

ACCA

Applied Skills

**Taxation (TX-UK)
(Finance Act 2025)**

EXAM KIT

For June 2026 to June 2027 examination sittings

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Key features in this edition

In addition to providing a wide ranging bank of real past exam questions, we have also included in this edition:

- An analysis of all of the recent examinations.
- Exam specific information and advice on exam technique.
- Our recommended approach to make your revision for this particular subject as effective as possible. This includes step by step guidance on how best to use our Kaplan material (study text, pocket notes and exam kit) at this stage in your studies.
- A wealth of past real examination questions adapted to the new examination style with enhanced tutorial answers and packed with specific key answer tips, technical tutorial notes and exam technique tips from our experienced tutors.
- Complementary online resources including full tutor debriefs and question assistance to point you in the right direction when you get stuck.

You will find a wealth of other resources to help you with your studies on the following sites:

www.mykaplan.co.uk

www.accaglobal.com/en/student.html

Quality and accuracy are of the utmost importance to us so if you spot an error in any of our products, please send an email to mykaplanreporting@kaplan.com with full details, or follow the link to the feedback form in MyKaplan.

Our Quality Coordinator will work with our technical team to verify the error and take action to ensure it is corrected in future editions.

INDEX TO QUESTIONS AND ANSWERS

INTRODUCTION

All TX exams have been computer-based exams (CBEs) from the June 2019 sitting, if you would like further information on sitting a CBE TX examination please contact either Kaplan or the ACCA.

As a result of changes to the TX exam format over time, many past exam questions in their original format are not representative of current TX examination questions. The questions contained in this exam kit are therefore based on past exam questions but it has been necessary to adapt some of them to ensure that they are representative of questions in the examinations. The adaptations have been made to reflect the new style of exam, new legislative changes in recent Finance Acts, Tax law changes and IFRS® Standards terminology. We have also included new topics brought into the syllabus in some questions.

Many of the questions within the kit are past ACCA exam questions, and the more recent questions (from 2005) are labelled as such in the index. Note that if a question within this kit has been adapted or changed in any way from the original version, this is indicated in the end column of the index below with the mark (A).

Also included are the marking schemes for past ACCA examination questions to assist you in understanding where marks are earned and the amount of time to spend on particular tasks. Note that if a question has been changed from the original version, it will have also been necessary to change the original ACCA marking scheme. Therefore, if a question is marked as 'ADAPTED' you should assume that this also applies to the marking scheme.

A number of questions included in the exam kit are referenced to two examination sittings e.g. March/June 2024. This is as a result of a change in policy made by the ACCA regarding the release of examination questions. Previously, examinations were released in their entirety. The ACCA now release a selection of questions from the March/June and September/December examinations. Therefore, questions referenced as such are taken from the sample released by the ACCA.

KEY TO THE INDEX

ANSWER ENHANCEMENTS

We have added the following enhancements to the answers in this exam kit:



Key answer tips

All section C answers include key answer tips to help your understanding of each question.



Tutorial note

Most answers include tutorial notes to explain some of the technical points in more detail.



Tutor's top tips

For selected questions, we 'walk through the answer' giving guidance on how to approach the questions with helpful 'tips from a top tutor', together with technical tutor notes.

These answers are indicated with the 'footsteps' icon in the index.

Within the questions in the exam kit you will see the following icons, shown in the section C question requirements:



= word processing



= spreadsheet

The icons highlighting the constructed response workspace tool alongside some of the questions are for guidance only – it is important to recognise that each question is different and that the answer space provided by ACCA in the exam is determined by both the technical content of the question as well as the quality assurance processes ACCA undertakes to ensure the student is provided with the most appropriate type of workspace.

ONLINE ENHANCEMENTS



Answer debrief

For selected questions, we recommend that they are to be completed in full exam conditions (i.e. properly timed in a closed book environment).

In addition to the examining team's technical answer, enhanced with key answer tips and tutorial notes in this exam kit, online you can find an answer debrief by a top tutor that:

- works through the question in full
- explains key elements of the answer, and
- ensures that the easy marks are obtained as quickly as possible.

These questions are indicated with the 'video' icon in the index.

Answer debriefs will be available on MyKaplan at:

www.mykaplan.co.uk

PRACTICE INCOME TAX AND NATIONAL INSURANCE QUESTIONS

Page number					
			Question	Answer	Past exam (Adapted)
SECTION A OBJECTIVE TEST QUESTIONS			1	211	
SECTION B OBJECTIVE TEST CASES					
Income tax basics and employment income					
93	Philip and Charles		30	249	Dec 11 (A)
94	Kim Baxter		31	252	Jun 08 (A)
95	Dill		33	254	Sep/Dec 17 (A)
96	John Beach		34	256	Jun 13 (A)
Income tax basics and income from self-employment					
97	Foo Dee		36	257	Dec 06 (A)
SECTION C CONSTRUCTED RESPONSE QUESTIONS					
Income tax basics and employment income					
98	Jason		38	260	Mar/July 20
99	Poppy		39	264	Mar/Jun 22
100	Kazuo		40	268	June 23
101	Sheldon		42	272	Sep/Dec 24
102	Kagan		43	276	Sep/Dec 19
103	Esme		44	279	Sep/Dec 23
104	Tonie		45	282	Mar/Jun 19 (A)
105	Kat		47	285	Sep/Dec 18 (A)
106	Bertie		48	289	Sep/Dec 23
Income tax basics and income from self-employment					
107	Triple A Ltd		49	293	Mar/Jun 24
108	Idris Williams		50	297	
109	Ethel		51	300	
110	Dada		52	303	Mar/Jun 24
111	Fleur		53	307	Mar/Jun 22 (A)
112	Paul		55	311	Mar/Jun 21 (A)

Income tax basics and income from self-employment					
113	Na Style		55	315	Dec 09 (A)
114	Zhi		56	319	Mar/Jun 17 (A)
115	Jade		58	322	Sep/Dec 21 (A)
116	Hannah		59	325	June 23
117	Alfred and Amaia		60	330	Mar/Jun 21 (A)
Trading losses					
118	Ashura		61	334	Sep 16 (A)
119	Dee Zyne		63	338	Jun 05 (A)
120	Samantha Fabrique		64	341	Dec 07 (A)
121	Michael and Sean		65	345	Jun 12
Partnerships					
122	Sam, Tam and Uma		66	350	Sep/Dec 20 (A)
123	Amanda		68	355	Sep/Dec 21
124	Daniel, Francine and Gregor		69	360	Sep/Dec 15 (A)
Pensions and NIC					
125	Jack		70	363	Dec 16 (A)
Self-assessment					
126	Ernest Vader		71	367	Jun 10 (A)
127	Sophie Shape		72	370	Jun 15 (A)

PRACTICE CHARGEABLE GAINS QUESTIONS

		Page number		Past exam (Adapted)
		Question	Answer	
SECTION A OBJECTIVE TEST QUESTIONS		73	373	

SECTION B OBJECTIVE TEST CASES

Individuals – capital gains tax					
162	Michael Chin		84	388	Jun 05 (A)
163	Bo		85	391	Dec 09 (A)
164	Alphabet Ltd		87	394	Jun 11 (A)
165	Lily		88	396	Mar/Jun 21
166	Albert and Charles		90	399	Dec 13 (A)
167	Zoyla		92	402	Dec 16 (A)
168	Hali and Goma		93	404	Mar/Jun 19 (A)
169	Avery		95	406	Sep/Dec 22
170	Jerome		97	408	Mar/Jun 16 (A)
171	Mick Stone		98	410	Jun 14 (A)
Companies – chargeable gains					
172	Expansion Ltd		99	412	Mar/Jun 24
173	Kat Ltd		101	414	Sep 16 (A)
174	Fogo Ltd and Netta Ltd		102	417	Sep/Dec 21

SECTION C CONSTRUCTED RESPONSE QUESTIONS

Individuals – capital gains tax					
175	David and Angela Brook		104	419	Dec 07 (A)
176	Bill Ding		105	423	
177	Ginger and Nigel		106	426	Jun 13 (A)
178	Daljeet		107	430	
Companies – chargeable gains					
179	Luna Ltd		108	433	Jun 15

PRACTICE INHERITANCE TAX QUESTIONS

Page number				
		Question	Answer	Past exam (Adapted)
SECTION A OBJECTIVE TEST QUESTIONS				
		109	437	
SECTION B OBJECTIVE TEST CASES				
202	Lebna and Lulu	117	447	Mar/Jun 19 (A)
203	Tom 	119	448	Dec 12 (A)
204	Afiya 	120	451	Dec 13 (A)
205	Roman 	122	454	Dec 16 (A)
206	Adana 	124	456	Sep 16 (A)
207	Tony and Anita	125	458	Sep/Dec 20
208	Nagina and Rishi	127	461	Mar/Jun 22
209	Dianne	128	463	Sep/Dec 23
SECTION C CONSTRUCTED RESPONSE QUESTIONS				
210	Aurora 	130	465	Sep/Dec 20 (A)
211	James 	131	469	Mar/Jun 16 (A)
212	Jessica	132	473	Sep/Dec 2024

PRACTICE CORPORATION TAX QUESTIONS

Page number				
		Question	Answer	Past exam (Adapted)
SECTION A OBJECTIVE TEST QUESTIONS				
		133	477	
SECTION B OBJECTIVE TEST CASES				
Corporation tax basics and administration				
252	Greenzone Ltd 	146	497	Jun 13 (A)
253	Mixture Ltd	148	500	Mar/Jun 22
Relief for trading losses				
254	Loser Ltd	150	502	Pilot 07 (A)
With group aspects				
255	Deutsch Ltd 	151	506	Jun 13 (A)

				Page number	
			Question	Answer	Past exam (Adapted)
SECTION C CONSTRUCTED RESPONSE QUESTIONS					
Corporation tax basics and administration					
256	Harbour Ltd		153	509	Sept/Dec 20 (A)
257	Deimos Ltd, Elara Ltd and Fenrir Ltd		155	514	Mar/Jun 24
258	Venus Ltd		157	518	June 23
259	Maison Ltd		159	522	Sept/Dec 19 (A)
260	E-Commerce plc		161	526	Dec 14 (A)
261	Stretched Ltd		163	530	Jun 05 (A)
Relief for trading losses					
262	Cop Ltd		164	532	Sept/Dec 24
263	Wretched Ltd		166	537	Dec 16 (A)
264	Crumble Ltd		167	541	Sep/Dec 22
265	Mooncake Ltd		170	545	Mar/Jun 21 (A)
With group aspects					
266	Music plc		172	549	Dec 05 (A)
267	Ash Ltd		173	552	Sep/Dec 18 (A)
268	Clueless Ltd		175	556	Dec 12 (A)
269	Long Ltd and Road Ltd		177	561	Jun 14 (A)
270	Maximum Ltd		179	566	Sep/Dec 23

PRACTICE VALUE ADDED TAX QUESTIONS

Page number					
		Question	Answer	Past exam (Adapted)	
SECTION A OBJECTIVE TEST QUESTIONS		181	571		
SECTION B OBJECTIVE TEST CASES					
293	Thidar		188	578	Mar/Jun 19 (A)
294	Candy Apple and Sugar Plum		190	580	Dec 13 (A)
295	Lithograph Ltd		192	582	Jun 06 (A)
296	Alisa		193	584	Sep 16 (A)
297	The Whitlock Sisters		195	586	Jun 12 (A)
298	Knight Ltd		197	589	Jun 13 (A)
299	Ardent Ltd		199	591	Dec 16 (A)
300	Denzil Dyer		200	593	Jun 07 (A)
301	Kristel		202	595	Sep/Dec 24
302	Lian		204	597	Sep/Dec 21
303	Mabel		205	598	Jun 23
SECTION C CONSTRUCTED RESPONSE QUESTIONS					
304	Silverstone Ltd		207	600	Dec 12 (A)
305	Tardy plc		208	602	Dec 14 (A)
306	Zia		209	605	Jun 15

ANALYSIS OF PAST EXAMS

The table below summarises the key topics that have been tested in recent exams.

Key:

- Q The question references are to the number of the question in this edition of the exam kit.
- ✓ Refers to questions which have not been included in the kit due to similarity to other recent questions.

	Mar/Jun 2021	Sep/Dec 2021	Mar/Jun 2022	Sep/Dec 2022	June 2023	Sep/Dec 2023	Mar/Jun 2024	Sep/Dec 2024
Principles of taxation/Ethics								
Tax avoidance vs evasion		Q115						
Income tax								
Basic income tax computation	Q112 Q117	Q115 Q123	Q99 Q111	✓	Q100	Q103 Q106	Q107 Q110	Q101
Savings income			Q99	✓				Q212
Dividend income	Q112		Q111	✓	Q100	Q103 Q106	Q107	Q101 Q212
Child benefit tax charge		Q123						
Reduction of PA	Q112		Q111					
Property income	Q117							Q101
Exempt income							Q110	
Residence								
Qualifying interest								
Gift aid		Q123				Q103		
Employed individual								
Salary and bonus	Q112 Q117	Q115	Q99 Q111	✓	Q100 Q116	Q103 Q106 Q268	Q107 Q110	Q101
Exempt benefits	Q117		Q99	✓	Q116			Q101
Car and fuel benefit	Q117		Q99	✓		Q103 Q106		
Living accommodation	Q117	Q123			Q116 Q116			Q101 Q101
Beneficial loan								
Use/gift of assets			Q99				Q110	
Mileage allowance				✓	Q116	Q103 Q106	Q110	
Professional subscriptions				✓				
PAYE system			Q99	✓			Q110	

	Mar/Jun 2021	Sep/Dec 2021	Mar/Jun 2022	Sep/Dec 2022	June 2023	Sep/Dec 2023	Mar/Jun 2024	Sep/Dec 2024
Self-employed individual								
Adjustment to profits	Q117	Q115			Q116		Q110	
Capital allowances	Q117	Q115	Q99		Q116		Q110	
Basis of assessment rules								
Partnerships – allocation		Q123	Q99					
Tax planning	Q112	Q115 Q123	Q111					Q212
Pensions								
Pension income								
Occupational pension					Q100	Q103	Q107 Q110	
Personal pension contributions	✓					Q106		
Income tax losses								
Relief against income		Q123	Q99					
National Insurance contributions								
Class 1	Q112	Q113 Q115	Q111	✓	Q100	Q106	Q107	
Class 4	Q112	Q115	Q111					
Capital gains								
Basic CGT computation	Q165			Q169				Q212
Part disposals	Q165							
Wasting assets	Q165							
Shares	Q165			Q169				
Husband and wife				Q169				
Capital losses				Q169				
Reliefs								
BADR	Q165			Q169				
Private residence relief	Q165							
Letting relief								
Rollover relief		Q174				Q270	Q172	
Gift holdover relief				Q169				
Self-assessment – individual								
Interest and penalties			Q99					

	Mar/Jun 2021	Sep/Dec 2021	Mar/Jun 2022	Sep/Dec 2022	June 2023	Sep/Dec 2023	Mar/Jun 2024	Sep/Dec 2024
Inheritance tax								
IHT payable calculations			Q208			Q209		Q212
PETs			Q208			Q209		
CLTs			Q208			Q209		Q212
Exemptions			Q208					
Transfer of value			Q208					Q212
Estate computation						Q209		
Administration			Q208			Q209		
Transfer of NRB/RNRB						Q209		
Residence nil rate band						Q209		
Planning								
Corporation tax								
Accounting periods							Q257	
Adjustment to profits	Q265	✓		Q264	Q258	Q270	Q257	Q262
Capital allowances	Q265		Q253		Q258		Q257	Q262
Lease premiums					Q258	Q270		
Basic TTP computation	Q265	✓			Q258	Q270	Q107/ Q257	Q262
Property income			Q253	Q264		Q270	Q257	
Interest income		Q174			Q258		Q257	
Chargeable gains	Q265	Q174		Q264	Q258	Q270	Q172 Q257	Q262
Qualifying donations	Q265			Q264	Q258	Q270	Q257	Q262
Corporation tax liability	Q265 Q112		Q111	Q264	Q100 Q258	Q106	Q107	
Corporation tax losses								
Capital losses	Q265	Q174				Q270	Q172	
Trading losses	Q265			Q264		Q270		Q262
Property losses	Q265					Q270		
Groups								
Group relief					Q258	Q270		
Gains groups		Q174						

	Mar/Jun 2021	Sep/Dec 2021	Mar/Jun 2022	Sep/Dec 2022	June 2023	Sep/Dec 2023	Mar/Jun 2024	Sep/Dec 2024
Self-assessment – companies								
Quarterly instalments			Q253					
Claim dates				Q264				
Value added tax								
Registration/ deregistration					Q303			
Tax point		Q302						
Output VAT					Q303			Q301
Input VAT recovery					Q303			Q301
Impairment losses		Q302						
Cessation of trade/TOGC					Q303			
Penalties		Q302						
Special schemes		Q302						Q301
Overseas aspects		Q302						

EXAM TECHNIQUE

GENERAL COMMENTS

- We recommend that you always read the questions and examination requirements carefully.
- **Divide the time** you spend on questions in proportion to the marks on offer:
 - one suggestion for this examination is to allocate 1.8 minutes to each mark available (180 minutes/100 marks), so a 10 mark question should be completed in approximately 18 minutes.
 - within that, try to allow time at the start to read the question and plan your answer (see P.24 below) and at the end of each question to review your answer and address any obvious issues.
- If you **get completely stuck** with a question:
 - flag the question in the CBE software and **return to it later**.
- Spend the last **five minutes** of the examination:
 - reading through your answers, and
 - **making any additions or corrections**.

SECTION A OBJECTIVE TEST QUESTIONS

- Decide whether you want to attempt these at the start of the examination or at the end.
- Stick to the timing principle of 1.8 minutes per mark. This means that the 15 OT questions in section A (30 marks) should take 54 minutes.
- No credit for workings will be given in these questions; the answers will either be correct (2 marks) or incorrect (0 marks).
- It is still important to carry out full workings for numerical questions. For centre based exams these can be done on scrap paper or using the on-screen scratchpad. For remote invigilated exams you will not be able to use scrap paper, but will have to use the scratchpad. It is therefore essential to practice using this functionality prior to your exam. The ACCA practice platform can be used to familiarise yourself with using this function.
- Work steadily. Rushing leads to careless mistakes and questions are designed to include answers that result from careless mistakes.
- If you don't know the answer, eliminate those options you know are incorrect and see if the answer becomes more obvious.
- Remember that there is no negative marking for an incorrect answer. After you have eliminated the options that you know to be wrong, if you are still unsure, guess.

SECTION B OT CASE QUESTIONS

- There is likely to be a significant amount of information to read through for each case. You should begin by reading the OT questions that relate to the case, so that when you read through the information for the first time, you know what it is that you are required to do.
- Each OT question is worth two marks. Therefore, you have 18 minutes (1.8 minutes per mark) to answer the five OT questions relating to each case. It is likely that all of the cases will take the same length of time to answer, although some of the OT questions within a case may be quicker than other OT questions within that same case.
- Once you have read through the information, you should first answer any of the OT questions that do not require workings and can be quickly answered. You should then attempt the OT questions that require workings utilising the remaining time for that case.
- All of the tips for section A are equally applicable to each section B question.

SECTION C CONSTRUCTED RESPONSE (LONG) QUESTIONS

- The constructed response questions in section C will require a written response rather than being OT questions. Therefore, different techniques need to be used to score well.
- Unless you know exactly how to answer the question, spend some time planning your answer. Stick to the question and tailor your answer to what you are asked. Pay particular attention to the verbs in the question e.g. 'Calculate', 'State', 'Explain'.
- If you do not understand what a question is asking, state your assumptions. Even if you do not answer in precisely the way the examining team hoped, you should be given some credit if your assumptions are reasonable.
- You should do everything you can to make things easy for the marker. Your answer should:
 - have a clear structure
 - be concise.

It is better to write a little about a lot of different points than a great deal about one or two points.

- **Section C Computations:**
 - It is essential to include all your workings in your answers. Many computational questions require the use of a standard format e.g. income tax computations, corporation tax computations and capital gains.
 - Be sure you know these formats thoroughly before the examination and use the layouts that you see in the answers given in this book and in model answers.
 - Adopt a logical approach and cross reference workings to the main computation to enable the marker to find them easily. Do not leave a large gap between your answer and the workings.
 - You will be presented with a blank spreadsheet. A number of standard spreadsheet functions are available via the menu and tool bar for you to use when responding to the question. It is important to practise answering questions using the CBE software and to familiarise yourself with the CBE functionality, particularly the spreadsheet functions.
- **Section C Reports, memos and other documents:**
 - Some questions ask you to present your answer in the form of a report, a memo, a letter or other document. Make sure you have practiced these styles of writing before the real exam.

ADDITIONAL TIPS

- Do not attempt a CBE until you have completed all study material relating to it.
- On the ACCA website there is a CBE demonstration. It is ESSENTIAL that you attempt this before your real CBE. You will become familiar with how to move around the CBE screens and the way that questions are formatted, increasing your confidence and speed in the actual examination.
- There is an additional constructed response (CR) workspace on the ACCA website which you can use to practice questions from this exam kit in a CBE environment.
- Be sure you understand how to use the software before you start the examination. If in doubt, ask the assessment centre staff to explain it to you.
- Questions are displayed on the screen and answers are entered using keyboard and mouse.
- In addition to multiple choice type questions, CBEs will also contain other types of questions. You need to be sure you know how to answer questions of these types before you sit the examination, through practice. The types of objective test questions you could see in your CBE are as follows:

Question type	Description	Example exam kit question
Multiple choice	Select one correct answer from a choice of four	3 or 4
Multiple response	Select a given number of correct answers	33
Fill in the blank	Input a numerical answer	14
Drag and drop	Match chosen answer to chosen areas of the screen	145
Drop down list	Select one correct answer from a drop down list	155
Hot area	Select one or more areas in an image as a correct answer (e.g. true or false)	1

EXAM SPECIFIC INFORMATION

THE EXAM

FORMAT OF THE EXAM

The exam will be in **THREE sections**, and will be predominantly computational.

Section A will consist of 15 objective test questions, each worth 2 marks.

Section B will consist of three 10 mark questions which each comprise five objective test questions of 2 marks each.

Section C will consist of one 10 mark question and two 15 mark questions.

All questions are compulsory.

	Number of marks
Section A: 15 objective test questions of 2 marks each	30
Section B: Three 10 mark questions covering any area of the syllabus	30
Section C: One 10 mark question covering any area of the syllabus	10
Two 15 mark questions, one focusing on income tax and one on corporation tax	30
	—
Total	100
	—

The **CBE** will be **3 hours** long and students will have up to 10 minutes to familiarise themselves with the CBE system before starting the exam.

Note that:

- Section A and section B questions can be drawn from any area of the syllabus.
- The two 15 mark section C questions could include a small number of marks in respect of other taxes.
- There is no set order for the section C questions. In the specimen exam the 10 mark question appeared before the 15 mark questions, but the examining team could change the order.

PASS MARK

The pass mark for all ACCA Qualification examinations is 50%.

Remote invigilated exams

In certain geographical areas it may be possible for you to take your exam remotely. This option, which is subject to strict conditions, can offer increased flexibility and convenience under certain circumstances. Further guidance, including the detailed requirements and conditions for taking the exam by this method, is contained on ACCA's website at:

<https://www.accaglobal.com/an/en/student/exam-entry-and-administration/about-our-exams/remote-exams/remote-session-exams.html>

SUGGESTED APPROACH TO THIS EXAM

Decide in advance whether you will attempt section A, B or C first so that you are not wasting time on this decision in the real examination.

- This is a personal choice and you have time on the revision phase to try out different approaches, for example, if you sit mock examinations.
- A common approach is to tackle the short section A questions first, so they are out of the way, then section B and finally the longer constructed response questions in section C.
- Others may prefer to tackle the longer section B and C questions first, as they will take longer than the individual questions in section A.

You should complete at least one mock examination under examination conditions to try out your chosen approach in advance.

Whatever your approach though, you must make sure that you leave enough time to attempt all questions fully and be very strict with yourself in timing each question.

READING AND PLANNING

Reading and planning are crucial elements of your examination technique and it is important that you allocate time in the examination to this. Spend time reading the questions carefully, particularly in sections B and C, where questions will be based on longer scenarios than the two mark OTs in section A.

Whatever happens, always keep your eye on the clock and do not over run on any part of any question!

As all questions are compulsory, there are no decisions to be made about choice of questions, other than in which order you would like to tackle them.

Therefore, in relation to TX we recommend that you take the following approach to planning your answers:

- **Note down the amount of time you should spend on each part of each question.**
- **Decide the order** in which you think you will attempt each question in sections B and C:

A common approach is to tackle the question you think is the easiest and you are most comfortable with first.

Others may prefer to tackle the longest questions first, or conversely leave them to the last.

It is usual however for students to tackle their least favourite topic and/or the most difficult question in their opinion last.

Whatever your approach, you must make sure that you leave enough time to attempt all questions fully and be very strict with yourself in timing each question.

- **For each section C question** in turn, read the requirements and then the detail of the question carefully.
Always read the requirement first as this enables you to **focus on the detail of the question with the specific task in mind**.
For section C computational questions:
Note key numbers/information and key words in the question, scribble notes to yourself to remember key points in your answer.
Jot down pro formas required if applicable.
For section C written questions:
Take notice of the format required (e.g. letter, memo, notes) and identify the recipient of the answer. You need to do this to judge the level of financial sophistication required in your answer and whether the use of a formal reply or informal bullet points would be satisfactory.
Pay particular attention to the verbs in the question e.g. 'Calculate', 'State', 'Explain'.
Plan your beginning, middle and end and the key areas to be addressed and your use of titles and sub-titles to enhance your answer.
For all section C questions:
Spot the easy marks to be gained in a question and parts which can be performed independently of the rest of the question. For example, writing down due dates of payment of tax, due dates for making elections, laying out basic pro formas correctly.
Make sure that you do these parts first when you tackle the question.
- As mentioned in the 'Exam Technique' section earlier, you should decide in advance of the real examination whether to attempt section A, B or C first.

Always keep your eye on the clock and do not over run on any part of any question!

DETAILED SYLLABUS

The detailed syllabus and study guide written by the ACCA can be found at:
www.accaglobal.com/en/student.html

KAPLAN'S RECOMMENDED REVISION APPROACH

QUESTION PRACTICE IS THE KEY TO SUCCESS

Success in professional examinations relies upon you acquiring a firm grasp of the required knowledge at the tuition phase. In order to be able to do the questions, knowledge is essential.

However, the difference between success and failure often hinges on your examination technique on the day and making the most of the revision phase of your studies.

The **Kaplan study text** is the starting point, designed to provide the underpinning knowledge to tackle all questions. However, in the revision phase, pouring over textbooks is not the answer.

Kaplan Online knowledge checks help you consolidate your knowledge and understanding and are a useful tool to check whether you can remember key topic areas.

Kaplan pocket notes are designed to help you quickly revise a topic area, however you then need to practice questions. There is a need to progress to full examination standard questions as soon as possible, and to tie your examination technique and technical knowledge together.

The **ACCA practice platform** (<https://cbept.accaglobal.com>) should be used to practice questions in the same CBE layout as the real exam. The specimen exam and two past exams can be accessed on the platform and these will be updated to Finance Act 2025. A mock exam is also released shortly before the real exam. This allows you to practice questions with the real exam format and functionality, and to get accustomed to the tools you will need to use to present your answers well. Your responses to these questions will be saved, sections A and B will be marked automatically and you can self-mark section C using marking guides and sample answers. It is recommended to practice as many questions as possible on the platform to familiarise yourself with how the software works.

The importance of question practice cannot be over-emphasised.

The recommended approach below is designed by expert tutors in the field, in conjunction with their knowledge of the examining team and the recent real examinations.

The approach taken for the Applied Skills Level exams is to revise by topic area. **You need to practice as many questions as possible in the time you have left.**

OUR AIM

Our aim is to get you to the stage where you can attempt examination standard questions confidently, to time, in a closed book environment, with no supplementary help (i.e. to simulate the real examination experience).

Practising your examination technique on real past examination questions, in timed conditions, is also vitally important for you to assess your progress and identify areas of weakness that may need more attention in the final run up to the examination.

In order to achieve this, we recognise that initially you may feel the need to practice some questions with open book help and exceed the required time.

The approach below shows you which questions you should use to build up to coping with examination standard question practice, and references to the sources of information available should you need to revisit a topic area in more detail.

Remember that in the real examination, all you have to do is:

- attempt all questions required by the examination
- only spend the allotted time on each question, and
- get them at least 50% right!

Try and practice this approach on every question you attempt from now to the real examination.

EXAMINER COMMENTS

We have included the examining team's comments to the examination questions in this kit for you to see the main pitfalls that students fall into with regard to technical content.

However, too many times in the general section of the report, the examining team comment that students had failed due to:

- 'misallocation of time'
- 'running out of time' and
- showing signs of 'spending too much time on an earlier question and clearly rushing the answer to a subsequent question'.

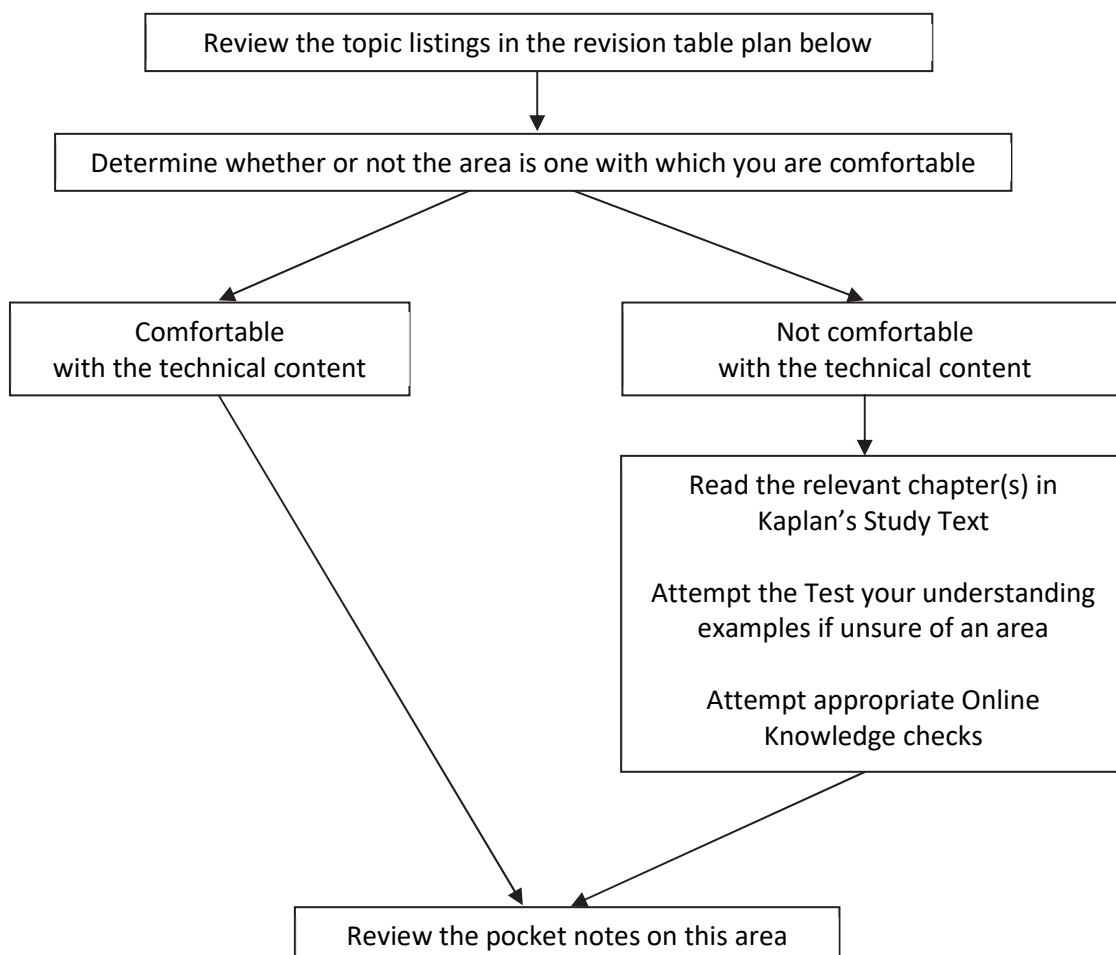
Good examination technique is vital.

ACCA SUPPORT

For additional support with your studies please also refer to the ACCA Global website.

KAPLAN'S TX EXAMINATION REVISION PLAN

Stage 1: Assess areas of strengths and weaknesses



Stage 2: Practise questions

Follow the order of revision of topics as recommended in the revision table plan below and attempt the questions in the order suggested. Note that although the plan is organised into different subject areas, the real examination questions will cover more than one topic, and therefore some parts of the examination questions set below will be on topics covered later in the revision plan.

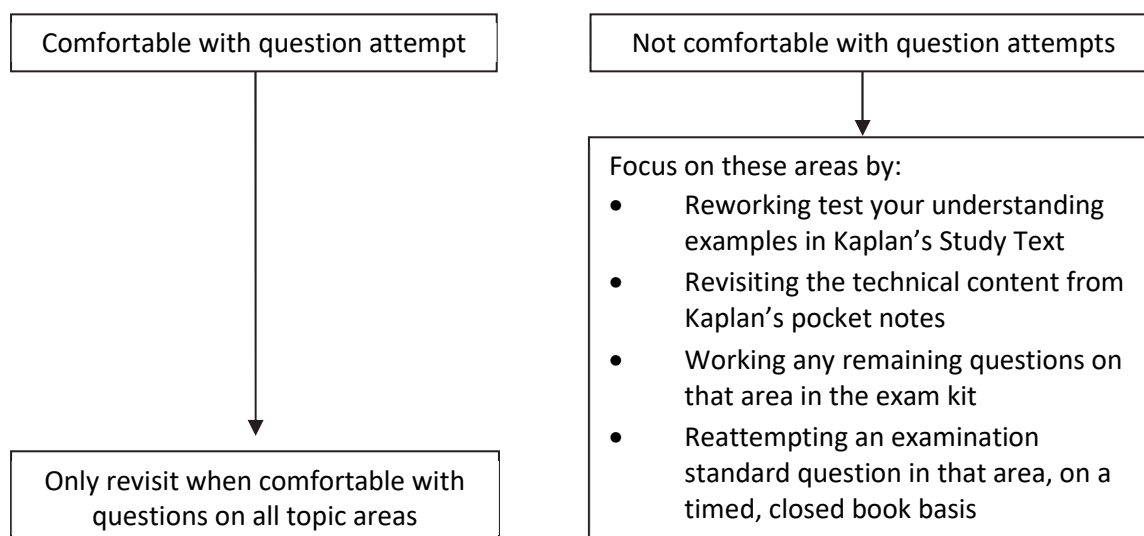
For each topic listed below you must also practice a selection of objective test questions covering that topic. Do bear in mind that some of the questions in this kit will take longer than 3.6 minutes each.

Try to avoid referring to textbooks and notes and the model answer until you have completed your attempt.

Try to answer the question in the allotted time.

Review your attempt with the model answer and assess how much of the answer you achieved in the allocated examination time.

Fill in the self-assessment box below and decide on your best course of action.



Note that:



The 'footsteps questions' give guidance on exam techniques and how you should have approached the question.



The 'answer debrief' questions have an online debrief where a top tutor works through the question in full, explains key elements of the answer and how to gain marks.

Stage 3: Final pre-examination revision

We recommend that you **attempt at least one full mock examination** containing a set of previously unseen examination standard questions.

It is important that you get a feel for the breadth of coverage of a real examination without advanced knowledge of the topic areas covered – just as you will expect to see on the real examination day.

Ideally this mock should be sat in timed, closed book, real examination conditions and could be:

- a mock examination offered by your tuition provider and/or
- the specimen exam in the back of this exam kit and/or
- the last released examination (available shortly afterwards on MyKaplan and updated to the relevant Finance Act, if necessary).

THE DETAILED REVISION PLAN

Topic	Study Text Chapter	Pocket note Chapter	Section B/C questions to attempt	Tutor guidance	Date attempted	Self-assessment
Personal income tax computation	2	1		Review the layout of an income tax computation and rates of tax. Section C in the examination will include at least one question focusing on income tax, and it is crucial that you are comfortable with the pro forma. Various aspects of income tax will also inevitably be tested in section A and possibly section B as well, and it is important to practice a cross-section of these questions.		
– Residence	3	1	104(a)	The rules to determine whether an individual is resident in the UK are relatively complex. Revise the rules from the pocket notes and practice this question, along with the relevant questions in Section A, where residence is most commonly tested.		
– Employment income and assessable benefits	5	2	103(a) 98 104(b) 94	A popular exam topic, almost guaranteed to form part of the exam. There are many questions on this area. Start with Q103(a) covering several employment benefits. Follow this with Q98 which is also a past exam question on this area, covering two different employments. Q104(b) tests the rules for determining whether an individual is employed or self-employed. Q94 is a section B case OT question. It is important to practice these before your examination as you are likely to find it takes practice to isolate the information needed for each individual question from the case information.		

Topic	Study Text Chapter	Pocket note Chapter	Section B/C questions to attempt	Tutor guidance	Date attempted	Self-assessment
– Property income	4	1	101 104(c)	Property income is a small part of these income tax questions. It is often tested as one of a few sources of income for an individual in the examination.		
– Badges of trade	7	3	–	Revise the badges of trade rules from the pocket notes. You may be asked to apply the rules in the exam.		
– Cash basis and adjusted trading profits under the accruals basis, including capital allowances	7 & 8	3 & 4	108 116 117(a)	The cash basis is the default basis of assessment for sole traders – Q108 tests this. An adjustment of profits calculation under the accruals basis is very likely to be tested in the exam, although it may form part of a sole trader/partnership or corporation tax question. Q116 requires a calculation of the trading income figure on the accruals basis. Q117(a) tests some of the typical adjustments you may see under either basis.		
– National insurance	11	7	107	National insurance may form part of a section B or C question and can provide easy marks to a well-prepared student. It is also likely to be tested in Section A. This question covers NICs for partners and employees.		

Topic	Study Text Chapter	Pocket note Chapter	Section B/C questions to attempt	Tutor guidance	Date attempted	Self-assessment
– Trading losses for individuals	10	6	120 119 118	These questions cover the range of ways losses can be tested – in an ongoing business, losses in the opening years and losses on cessation. Q120 also tests the cap on income tax reliefs. Losses are a popular examination topic and it is important to be familiar with each of the reliefs.		
– Partnerships	9	5	122(a) 124(a)	The allocation of profits between partners is a relatively straightforward computation, but it does require practice.		
– Pensions	6	7	125(b)	Like national insurance, pensions is a topic which is likely to form a small part of a longer question, however the question listed here provide excellent practice of the various ways this topic could be tested.		
– Tax admin for individuals	12	8	126 127	Administration is highly likely to be tested in sections A and B as an OT question. It is vital to learn the dates for submission and payment as well as the potential penalties and interest.		
Consolidation of income tax			101 107 123	Having revised all of the above topics, attempt Q101, Q107 and Q123. These questions incorporate many aspects of the taxation of individuals. Don't forget to practice a number of section A questions on income tax if you haven't already done so.		
Inheritance tax (IHT)	22	17	207 209 211	IHT can be tested in all three sections of the examination and therefore it is important to study this area. Use your pocket notes to revise the key facts and techniques. Warm up with Q207 then practice questions 209 and 211.		

Topic	Study Text Chapter	Pocket note Chapter	Section B/C questions to attempt	Tutor guidance	Date attempted	Self-assessment
Corporation tax computation	13	9	–	Review the layout of a corporation tax computation and the rates of tax. One of the 15 mark section C questions will focus on CT, and it is crucial that you are comfortable with the pro forma. There may also be a section B question and certainly some section A questions as well.		
– Adjustment of profits and capital allowances	13	9	256(a) 258 252	It is important to be comfortable with the differences between sole traders who are using the accruals basis and companies for adjustments to profits and capital allowances. Use Q256 to check that you are clear about these differences, then attempt Q258, which is classic example of this type of question, that also covers long periods of account. Q252 is an example of a section B OT case question on corporation tax.		
– Property income	13	9	253(Q5)	There are minor but important differences between taxing property income for individuals and companies. This question covers property income for a company.		
– Long periods of account	13	9	261(a)	In order to deal with a long period of account, you need to learn the rules regarding apportioning different types of income between the two periods. Having revised these rules from the pocket notes, practice them using this question. This tests how a long period account should be split, although not the allocation of profits between the periods.		

Topic	Study Text Chapter	Pocket note Chapter	Section B/C questions to attempt	Tutor guidance	Date attempted	Self-assessment
– Corporation tax losses	14	10	262 264 265	Many students are daunted by loss questions, however a systematic approach is all that is required and practice is key. Remind yourself of the layout required using the pocket notes, and practice the test your understandings from the study text if you are not confident, before attempting these questions.		
– Groups	15	11	266 267(c) 255	Groups are often tested as part of a corporation tax question. Q267(c) tests group relief, Q266(a) tests the rules for determining a capital gains group, and Q264(b) tests the rules regarding associated companies. Q255 is an example of a section B case OT question.		
– Tax admin for a company	16	12	268(b) 269(b)	Administration could make up part of a constructed response question so you need to be prepared for this. It is also highly likely to be tested in sections A and B as an OT question. It is vital to learn the dates for submission and payment as well as the potential penalties and interest.		
Chargeable gains for individuals	17	13	–	Chargeable gains could appear in section B or C and these questions will usually test a wide variety of the topics below. They are also likely to be tested in Section A. Revise the basic computation using the pocket notes before looking at the detailed areas.		
Chattels, shares, PRR, Business asset disposal relief, Gift Relief	18, 19 & 20	14 & 15	165 166 168	These questions demonstrate how various aspects of capital gains will be tested in one question. Few of these areas are technically challenging, however, it is important that you can tackle them all.		

Topic	Study Text Chapter	Pocket note Chapter	Section B/C questions to attempt	Tutor guidance	Date attempted	Self-assessment
– Deferral reliefs	20	15	171 176	Recognising which deferral reliefs apply and whether they are available in full is important. These questions cover all these reliefs and provide excellent practice.		
Chargeable gains for companies	21	16	174	Remind yourself of the different gains rules for companies, and test your understanding using this question.		
– Quoted shares	19 & 21	14 & 16	179	A brief revision of the share pool and matching rules from the pocket notes may be useful. Then attempt this question which tests the capital gains rules for companies, including share pooling.		
Value added tax	23 & 24	18	296 297 300 305	Start by reviewing the examiner's VAT article. VAT could be tested in any of the three sections so it is important that you practise VAT questions from all sections.		
Scenario style exam questions	N/A	19	100 102 106 111 178	These questions test a range of subjects and the tax rules covered are not complex, however, the style of questions differs from the others in the kit. Look at the different styles of question using the chapter in the pocket notes, and then ensure you are comfortable with the different question styles by practicing each of these questions.		

Note that not all of the Section B and C questions in the exam kit are referred to in the programme above.

We have recommended an approach to build up from the basics to examination standard Section B and C questions using a selection of the exam kit questions. The remaining questions are available in the kit for additional practice for those who require more questions on some areas.

It is also vital that you practice Section A questions on all topics.

TAX RATES AND ALLOWANCES

Tax rates and allowances will be produced in the examination for TX for the June 2026 to June 2027 sittings which will contain the following information.

SUPPLEMENTARY INSTRUCTIONS

- 1 **Calculations and workings need only be made to the nearest £.**
- 2 **All apportionments should be made to the nearest month.**
- 3 **All workings should be shown in Section C.**

INCOME TAX

		Normal rates	Dividend rates
Basic rate	£1 – £37,700	20%	8.75%
Higher rate	£37,701 – £125,140	40%	33.75%
Additional rate	£125,141 and over	45%	39.35%
Savings income nil rate band	– Basic rate taxpayers		£1,000
	– Higher rate taxpayers		£500
Dividend nil rate band			£500

A starting rate of 0% applies to savings income where it falls within the first £5,000 of taxable income.

Personal allowance

Personal allowance	£12,570
Transferable amount	£1,260
Income limit	£100,000

Where adjusted net income is £125,140 or more, the personal allowance is reduced to zero.

Residence status

Days in UK	Previously resident	Not previously resident
Less than 16	Automatically not resident	Automatically not resident
16 to 45	Resident if 4 UK ties (or more)	Automatically not resident
46 to 90	Resident if 3 UK ties (or more)	Resident if 4 UK ties
91 to 120	Resident if 2 UK ties (or more)	Resident if 3 UK ties (or more)
121 to 182	Resident if 1 UK tie (or more)	Resident if 2 UK ties (or more)
183 or more	Automatically resident	Automatically resident

Child benefit income tax charge

Where income is between £60,000 and £80,000, the charge is 1% of the amount of child benefit received for every £200 of income over £60,000.

Car benefit percentage

The relevant base level of CO₂ emissions is 55 grams per kilometre.

The percentage rates applying to petrol cars (and diesel cars meeting the RDE2 standard) with CO₂ emissions up to this level are:

51 grams to 54 grams per kilometre	16%
55 grams per kilometre	17%

The percentage for electric cars with zero CO₂ emissions is 3%.

For hybrid-electric cars with CO₂ emissions between 1 and 50 grams per kilometre, the electric range of the car is relevant:

Electric range

130 miles or more	3%
70 to 129 miles	6%
40 to 69 miles	9%
30 to 39 miles	13%
Less than 30 miles	15%

Car fuel benefit

The base figure for calculating the car fuel benefit is £28,200.

Company van benefits

The company van benefit scale charge is £4,020, and the van fuel benefit is £769.

Vans producing zero emissions have a 0% benefit.

Individual Savings Accounts (ISAs)

The overall investment limit is £20,000.

Rent-a-room relief

The rent-a-room relief limit is £7,500.

Pension scheme limits

Annual allowance –2022/23	£40,000
Annual allowance – 2023/24 to 2025/26	£60,000
Minimum allowance	£10,000
Income limit	£260,000

The maximum contribution that can qualify for tax relief without any earnings is £3,600.

Approved mileage allowance: cars

Up to 10,000 miles	45p
Over 10,000 miles	25p

Capital allowances: rates of allowance**Plant and machinery**

Main pool	18%
Special rate pool	6%

Cars

New cars with zero CO ₂ emissions	100%
Second-hand cars with zero CO ₂ emissions	18%
CO ₂ emissions between 1 and 50 grams per kilometre	18%
CO ₂ emissions over 50 grams per kilometre	6%

Annual investment allowance

Rate of allowance	100%
Expenditure limit	£1,000,000

Enhanced capital allowances for companies

Main pool first year allowance	100%
Special rate pool first year allowance	50%

Structures and buildings allowance

Straight-line allowance	3%
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Cap on income tax reliefs

Unless otherwise restricted, reliefs are capped at the higher of £50,000 or 25% of income.

CORPORATION TAX

Financial year	2023	2024	2025
Small profits rate	19%	19%	19%
Main rate	25%	25%	25%
Lower limit	£50,000	£50,000	£50,000
Upper limit	£250,000	£250,000	£250,000
Standard fraction	3/200	3/200	3/200

Marginal relief

$(\text{Upper limit} - \text{Augmented profits}) \times \text{Standard fraction} \times \frac{\text{Taxable total profits}}{\text{Augmented profits}}$

Quarterly instalments

Profit threshold	£1,500,000
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VALUE ADDED TAX

Standard rate	20%
Registration limit	£90,000
Deregistration limit	£88,000

Penalties for late VAT payments

Days late	Penalty
Up to 15 days	None
16 to 30 days	3%
More than 30 days	6% plus a daily penalty at an annual rate of 10%

INHERITANCE TAX: tax rates

Nil rate band			£325,000
Residence nil rate band			£175,000
Rate of tax on excess	–	Lifetime rate	20%
	–	Death rate	40%

Inheritance tax: taper relief

Years before death	Percentage reduction
More than 3 but less than 4 years	20%
More than 4 but less than 5 years	40%
More than 5 but less than 6 years	60%
More than 6 but less than 7 years	80%

CAPITAL GAINS TAX: tax rates

Lower rate	18%
Higher rate	24%
Annual exempt amount	£3,000

Capital gains tax: Business asset disposal relief and investors' relief

Lifetime limit	– Business asset disposal relief	£1,000,000
	– Investors' relief	£1,000,000
Rate of tax		14%

NATIONAL INSURANCE CONTRIBUTIONS

Class 1	Employee	£1 – £12,570 per year	Nil
		£12,571 – £50,270 per year	8%
		£50,271 and above per year	2%
Class 1	Employer	£1 – £5,000 per year	Nil
		£5,001 and above per year	15%
		Employment allowance	£10,500
Class 1A			15%
Class 4		£1 – £12,570 per year	Nil
		£12,571 – £50,270 per year	6%
		£50,271 and above per year	2%

RATES OF INTEREST (assumed)

Official rate of interest	3.75%
Rate of interest on underpaid tax	8.50%
Rate of interest on overpaid tax	3.50%

STANDARD PENALTIES FOR ERRORS

Taxpayer behaviour	Maximum penalty	Minimum penalty – unprompted disclosure	Minimum penalty – prompted disclosure
Deliberate and concealed	100%	30%	50%
Deliberate but not concealed	70%	20%	35%
Careless	30%	0%	15%

TIME LIMITS AND ELECTION DATES

Income tax

Election/claim	Time limit	For 2025/26
Agree the amount of trading losses to carry forward	4 years from the end of the tax year in which the loss arose	5 April 2030
Current and prior year set-off of trading losses against total income (and chargeable gains)	12 months from 31 January following the end of the tax year in which the loss arose	31 January 2028
Three year carry back of trading losses in the opening years	12 months from 31 January following the end of the tax year in which the loss arose	31 January 2028
Three year carry back of terminal trading losses in the closing years	4 years from the end of the last tax year of trading	5 April 2030

National Insurance Contributions

Class 1 employee and employer's – pay days	17 days after the end of each tax month under PAYE system (14 days if not paid electronically)	22nd of each month
Class 1A NIC – pay day	22 July following end of tax year (19 July if not paid electronically)	22 July 2026
Class 4 NICs – pay days	Paid under self-assessment with income tax	See self-assessment

Capital gains tax

Replacement of business asset relief for individuals (Rollover relief)	4 years from the end of the tax year: – in which the disposal occurred or – the replacement asset was acquired whichever is later	5 April 2030 for 2025/26 sale or acquisition (if later event)
Gift holdover relief of gain on the gift of a business asset (Gift relief)	4 years from the end of the tax year in which the disposal occurred	5 April 2030
Business asset disposal relief	12 months from 31 January following the end of the tax year in which the disposal occurred	31 January 2028
Determination of main private residence	2 years from the acquisition of the second property	

Self-assessment – individuals

Election/claim	Time limit	For 2025/26
Pay days for income tax and class 4 NIC	1st instalment: 31 January in the tax year 2nd instalment: 31 July following the end of tax year Balancing payment: 31 January following the end of tax year	31 January 2026 31 July 2026 31 January 2027
Pay day for CGT on residential property disposals	60 days after the disposal	
Pay day for CGT (balance)	31 January following the end of tax year	31 January 2027
Filing dates If notice to file issued by 31 October following end of tax year If notice to file issued after 31 October following end of tax year	Paper return: 31 October following end of tax year Electronic return: 31 January following end of tax year 3 months from the date of issue of the notice to file	31 October 2026 31 January 2027
Retention of records Business records Personal records	5 years from 31 January following end of the tax year 12 months from 31 January following end of the tax year	31 January 2032 31 January 2028
HMRC right of repair	9 months from date the return was filed	
Taxpayer's right to amend a return	12 months from 31 January following end of the tax year	31 January 2028
Taxpayer's claim for overpayment relief	4 years from the end of the tax year	5 April 2030
HMRC can open an enquiry	12 months from submission of the return	
HMRC can raise a discovery assessment – No careless or deliberate behaviour – Tax lost due to careless behaviour – Tax lost due to deliberate behaviour	4 years from the end of the tax year 6 years from the end of the tax year 20 years from the end of the tax year	5 April 2030 5 April 2032 5 April 2046
Taxpayer's right of appeal against an assessment	30 days from the assessment – appeal in writing	

Corporation tax

Election/claim	Time limit
Replacement of business asset relief for companies (Rollover relief)	4 years from the end of the accounting period: – in which the disposal occurred or – the replacement asset was acquired whichever is later
Offset trading losses brought forward against total profits (income and gains)	2 years from the end of the accounting period in which the loss is relieved
Current year set-off of trading losses against total profits (income and gains), and 12 month carry back of trading losses against total profits (income and gains)	2 years from the end of the accounting period in which the loss arose
Surrender of trading losses to other group companies (Group relief)	2 years after the claimant company's accounting period
Election for transfer of capital gain or loss to another company within the gains group	2 years from the end of the accounting period in which the disposal occurred by the company actually making the disposal

Self-assessment – companies

Election/claim	Time limit
Pay day for small and medium companies	9 months and one day after the end of the accounting period
Pay day for large companies	Instalments due on 14th day of: – Seventh, tenth, thirteenth, and sixteenth month after the start of the accounting period
Filing dates	Later of: – 12 months from the end of the accounting period – 3 months from the issue of a notice to deliver a corporation tax return
Company's claim for overpayment relief	4 years from the end of the accounting period
HMRC can open an enquiry	12 months from the actual submission of the return
Retention of records	6 years from the end of the accounting period

Value added tax

Election/claim	Time limit
Compulsory registration Historic test: – Notify HMRC – Charge VAT Future test: – Notify HMRC – Charge VAT	30 days from end of the month in which the threshold was exceeded First day of second month after the month when taxable supplies exceeded the threshold 30 days from the date it is anticipated that the threshold will be exceeded The date it is anticipated that the threshold will be exceeded (i.e. the beginning of the 30 day period)
Compulsory deregistration	Notify HMRC 30 days from cessation
Filing of VAT return and payment of VAT	One month and seven days after the end of the return period

Section 1

PRACTICE INCOME TAX AND NATIONAL INSURANCE QUESTIONS

PRACTICE SECTION A OBJECTIVE TEST QUESTIONS

INCOME TAX BASICS AND EMPLOYMENT INCOME

- 1 Said has made a number of investments during the tax year.

Tick the appropriate box to show which of the following investments will generate taxable income and which will generate exempt income.

	Taxable	Exempt
£400 in shares in the company he works for		
£1,000 in an Individual Savings Account		
£800 in a NS&I investment account		
£500 purchasing a NS&I certificate		

- 2 **Identify, by ticking the appropriate box, the treatment of each of the following forms of savings income.**

	Taxable	Exempt
NS&I investment account interest		
Gilt edged security interest		
NS&I savings certificate interest		

3 June 2015 OT question

Samuel is planning to leave the UK to live overseas, having always previously been resident in the UK. He will not automatically be treated as either resident in the UK or not resident in the UK. Samuel has several ties with the UK and will need to visit the UK for 60 days each tax year. However, he wants to be not resident after he leaves the UK.

For the first two tax years after leaving the UK, what is the maximum number of ties which Samuel could keep with the UK without being treated as resident in the UK?

- A One
- B Four
- C Two
- D Three

4 March 2019 OT question

Hana was UK resident in the tax year 2024/25. He worked full time in Egypt in the tax year 2025/26.

What is the maximum number of days which Hana can spend in the UK and be treated as automatically not resident in the UK for the tax year 2025/26?

- A 15
- B 45
- C 90
- D 182

5 September/December 2021 OT question

Ella arrived in the UK to work as a nanny on 1 February 2025. She has never previously visited the UK.

Ella lived with a family, for whom she did substantive, but not full-time work, until 31 August 2025.

On 1 September 2025 Ella left the UK to attend university in another country.

As a result of this visit to the UK, Ella stayed in the UK for 65 days during the tax year 2024/25 and 148 days during the tax year 2025/26. For these two tax years, Ella was neither automatically not resident in the UK nor automatically resident.

What is Ella's UK residency status for each of the tax years 2024/25 and 2025/26?

- A Resident in both years
- B Not resident in either year
- C Resident in 2024/25 but not in 2025/26
- D Resident in 2025/26 but not in 2024/25

6 December 2016 OT question

Which of the following will NOT cause Harper to be treated as automatically UK resident for the tax year 2025/26?

- A Harper spending 192 days in the UK during the tax year 2025/26
- B Harper renting a house in the UK to live in and then occupying it (as her only home) throughout the tax year 2025/26
- C Harper accepting a 15-month contract for a full-time job in the UK on 6 April 2025
- D Harper's husband living in the UK throughout the tax year 2025/26 and Harper staying with him when she visits the UK

7 September 2016 OT question

Identify, by ticking the appropriate box, whether or not the following two individuals satisfy or do not satisfy the tests to be treated as automatically not resident in the UK for the tax year 2025/26.

Eric, who has never previously been resident in the UK, was in the UK for 40 days during the tax year 2025/26.

Fran, who was resident in the UK for the two tax years prior to the tax year 2025/26. In the tax year 2025/26, she was in the UK for 18 days.

	Satisfies	Does not satisfy
Eric		
Fran		

8 March 2020 OT question

Dane and Zara are a married couple.

They jointly own a residential property which is let to tenants. In the tax year 2025/26 the property business income from the property is £20,000. Dane owns 25% of the property and Zara owns the other 75%. No election has been made in relation to the ownership of the property.

Zara earns employment income of £85,000 and Dane receives £2,252 of child benefit in the tax year 2025/26. Dane has no other income.

Which TWO of the following statements are true in relation to Zara's income tax liability for the tax year 2025/26?

- A Zara's taxable income is £82,430
- B Zara can reduce her income tax liability by claiming the transferable personal allowance (the "marriage allowance")
- C It would be beneficial to Zara if the couple were to make a joint election to HM Revenue & Customs (HMRC) specifying their actual ownership share in the residential property
- D A child benefit charge of £2,252 will be added to Zara's income tax liability

- 9** Genna and Wayne are a married couple. In the tax year 2025/26 Genna had a salary of £5,000 and Wayne had property income of £40,650. They have made an election to transfer the fixed amount of personal allowance from Genna to Wayne.

What is Wayne's income tax liability for the tax year 2025/26?

- A £4,356
- B £4,102
- C £5,364
- D £5,868

10 June 2015 OT question

For the tax year 2025/26, Chi has a salary of £66,200. She received child benefit of £2,252 during this tax year.

What is Chi's child benefit income tax charge for the tax year 2025/26?

- A £2,252
- B £0
- C £1,554
- D £698

- 11** Amber is in employment earning an annual salary of £73,000. Her only other income is bank interest of £3,000. She received child benefit of £2,252 during the tax year 2025/26.

Select Amber's child benefit tax charge and method of collection for the tax year 2025/26, by selecting the appropriate box in the table below.

		Method of collection	
		Self-assessment	PAYE
Child benefit tax charge	£1,801	A	B
	£1,463	C	D

12 September 2015 OT question (ADAPTED)

Tick the appropriate box to show which of the following items of expenditure are deductible in the calculation of an individual's taxable income.

	Deductible	Not deductible
A contribution into a personal pension scheme		
A charitable gift aid donation		
A contribution into an employer's occupational pension scheme		
A charitable donation made under the payroll deduction scheme		

- 13** Ifram has been employed for many years and has also recently become a partner in a partnership. He is in the process of completing his tax return and has asked your advice regarding the interest payments he has made.

Identify, by ticking the appropriate box, whether his interest payments represent qualifying interest (and are therefore deductible from his total income) or are not qualifying.

	Qualifying interest	Not qualifying
Interest paid on a loan he incurred to purchase a laptop for use in his employment		
Interest paid on the mortgage for his main private residence		
Interest paid on an amount he borrowed to finance the acquisition of 2,000 shares in a quoted company		
Interest paid on a loan he took to invest capital in a partnership in order to become a partner		

- 14** Ines is a sole trader. During the tax year 2025/26 she had taxable trading income of £106,800 and received dividend income of £1,500. Ines made a gift aid donation of £2,000 (gross) during the tax year 2025/26.

What amount of personal allowance is Ines entitled to for the tax year 2025/26?

£

- 15 December 2016 OT question**

David received the following income for the tax year 2025/26:

	£
Property income	21,150
Interest from UK Government securities (gilts)	2,400
Dividends	450

What is David's total income tax liability for the tax year 2025/26?

- A £1,996
- B £2,035
- C £2,196
- D £2,235

- 16** Harrison's only income in the tax year 2025/26 was dividend income of £56,950.

What is Harrison's income tax liability for the tax year 2025/26?

£

- 17** Manon purchased £200,000 (nominal value) gilts, paying interest at 1%, for £211,000 on 1 September 2024. Interest is payable half yearly on 30 June and 31 December.

He sold the gilts on 1 December 2025 for £213,000 (including accrued interest).

How much will Manon include in savings income in respect of the gilts in the tax year 2025/26?

- A £833
- B £2,000
- C £1,000
- D £1,833

- 18** Ahmed purchased £10,000 (nominal value) gilts, paying interest at 2%, for £11,000 on 1 June 2025. Interest is payable half yearly on 31 March and 30 September.

He sold the gilts on 28 February 2026 for £11,400 (including accrued interest).

How much will Ahmed include in savings income in respect of the gilts in the tax year 2025/26?

- A £150
- B £165
- C £100
- D £183

- 19 September 2015 OT question**

Since 6 April 2025, Nicolas has let out an unfurnished freehold office building. On that date, the tenant paid Nicolas a premium of £82,000 for the grant of a 15-year lease.

How much of the premium of £82,000 is taxable as property income for the tax year 2025/26?

- A £59,040
- B £22,960
- C £82,000
- D £5,467

20 December 2016 OT question

On 6 April 2025, Melinda rented out a furnished room in her house to Jenny at a rent of £750 a month. Jenny continued to rent the room on the same terms until 5 July 2026.

Melinda continued to live in the house and paid for all of the living expenses, of which £475 a month related to the room rented out to Jenny.

What is Melinda's property income for the tax year 2025/26, assuming that any beneficial elections are made?

- A £1,500
- B £0
- C £3,300
- D £7,500

21 September/December 2020 OT question

On 1 October 2025, Sou granted a 25-year lease of a freehold property in return for a premium of £20,000.

What is Sou's taxable property income for the tax year 2025/26 in respect of this lease premium?

- A £10,400
- B £9,600
- C £5,200
- D £10,000

22 Maisy has a cottage which she lets out furnished for an annual rent of £9,600, payable monthly in advance.

She incurred the following expenditure, which was paid for on the dates shown:

		£
6 April 2025	Council tax (for the year to 31 March 2026)	900
6 October 2025	Insurance for the year ended 30 September 2026 (previous year £480 paid 5 October 2024)	540
9 December 2025	Replaced the refrigerator with a similar model	870

What is Maisy's property income for the tax year 2025/26?

- A £8,190
- B £7,290
- C £7,320
- D £8,160

- 23** Steffania's only income is from letting out furnished residential property. For the tax year 2025/26 her taxable property income was £25,000, BEFORE adjusting for the following items.

- 1 Payment of £500 to replace a damaged kitchen unit in a fitted kitchen.
- 2 Interest paid of £12,000 on a loan to acquire one of the properties.

What is Steffania's taxable property income for the tax year 2025/26?

£

- 24** Ewa earned an annual salary of £55,000 throughout the tax year 2025/26. She used her own car for business travel, and she travelled 14,500 business miles during the tax year 2025/26.

What is Ewa's taxable employment income, assuming her employer paid her 43p per business mile?

- A £55,610
- B £54,390
- C £54,710
- D £55,290

- 25** Christos, a higher rate taxpayer, is provided with the following benefits in the tax year 2025/26 by his employer:

- 1 Free use of the staff canteen at lunchtime for 200 days during the tax year. The canteen is available to all staff and the average cost of preparing a meal is £4.
- 2 Private medical insurance at a cost of £650 to his employer. Christos made a claim during the tax year 2025/26 and the insurance provider paid out £350.
- 3 £5 per week for the additional household costs incurred when he works from home.

What is the taxable value of his benefits in the tax year 2025/26?

£

- 26** Elin is provided with accommodation by her employer, which the employer purchased 35 years ago at a cost of £72,000. The property has an annual value of £2,600, and had a market value of £245,000 when first made available to Elin 8 years ago. Elin pays £250 per month to her employer to live in the property.

The accommodation does not qualify as job-related.

What is the taxable benefit for Elin in the tax year 2025/26?

- A £0
- B £5,975
- C £6,088
- D £2,600

- 27 Thiago is provided with a new diesel company car on 6 May 2025, which he used for both business and private purposes during the tax year 2025/26. The car has a list price of £28,000 and CO₂ emissions of 152 grams per kilometre. The car meets the RDE2 standard.

What is Thiago's car benefit for the tax year 2025/26?

£

- 28 Enzo is provided with an electric car with zero CO₂ emissions on 5 April 2025, which he uses 60% for business and 40% for private purposes. Enzo's employer also allows him to charge the car at the office. The car had a list price of £45,000 but only cost his employer £42,000 due to purchasing cars for other employees at the same time.

What is Enzo's car benefit for the tax year 2025/26?

£

- 29 Olayide is provided with van by her employer on 6 April 2025, which she uses 60% for business and 40% for private purposes during the tax year 2025/26. The van has a list price of £30,000 and CO₂ emissions of 158 grams per kilometre. Olayide's employer also pays for fuel used on private journeys in the van.

What is Olayide's total van and van fuel benefit for the tax year 2025/26?

£

- 30 Woojin is provided with a loan, on which he pays interest at 1% per annum, by his employer. The loan was £100,000 when it was taken out on 6 April 2025 and he repaid £40,000 of the loan on 6 August 2025.

What is Woojin's beneficial loan benefit for the tax year 2025/26 assuming the average method of calculation is used?

- A £3,000
- B £2,267
- C £2,017
- D £2,200

31 September 2016 OT question

Max is employed by Star Ltd. On 6 April 2024, Star Ltd provided Max with a camera for his personal use. The camera had a market value of £2,000 on 6 April 2024.

On 6 April 2025, Star Ltd gave the camera to Max for free. The camera had a market value of £1,400 on 6 April 2025.

What is Max's taxable benefit in respect of the camera for the tax year 2025/26?

- A £1,000
- B £1,400
- C £2,000
- D £1,600

- 32** Dong is employed. As well as his annual salary he is also paid a bonus in April each year. The amount of the bonus is based upon his performance to the end of the previous calendar year.

Identify, by ticking the appropriate box, the treatment of each of the following bonuses.

	Taxable in tax year 2025/26	Not taxable in tax year 2025/26
Bonus of £2,800 received on 6 April 2025 in respect of the year to 31 December 2024		
Bonus of £3,300 received on 3 April 2026 in respect of the year to 31 December 2025		

- 33** On 6 June 2025 Albert, a marketing manager, was reimbursed £500 by his employer, Generous Ltd, in respect of subscription fees he had paid to The Chartered Institute of Marketing, and £200 in respect of train fares incurred travelling to meetings.

Which TWO of the following statements concerning the tax treatment of the reimbursed expenses are correct?

- A The reimbursed subscription fees must be added to taxable pay and taxed through the PAYE system
- B The reimbursed travel expenses must be added to taxable pay and taxed through the PAYE system
- C The reimbursement of the subscription fees is exempt income so no action is required for tax purposes
- D The reimbursement of the travel expenses is exempt income so no action is required for tax purposes
- E Albert must include the reimbursed subscription fees on his tax return
- F Albert must include the reimbursed travel expenses on his tax return

INCOME TAX BASICS AND INCOME FROM SELF-EMPLOYMENT

- 34** Vicente is a sole trader. He has incurred the following expenses:

- 1 Gifts of food hampers for 10 customers costing £450 in total
- 2 Christmas party for 3 staff members costing £630 in total
- 3 Legal fees of £150 in respect of the acquisition of a 20-year lease of a property
- 4 Employee parking fine whilst on business of £30

What amount of his expenses will be disallowed when calculating Vicente's tax adjusted trading profits?

£

- 35** Haniful has taken goods from his business for personal use. The goods cost £850 and have a selling price of £1,100. He has made no entry in his business accounts in respect of the goods except to record their original purchase by the business.

Haniful's trading profits calculated on the accruals basis and prior to any adjustment required for the goods taken for own use were £247,500.

What is Haniful's tax adjusted trading profit after making any necessary adjustments in respect of the goods taken for personal use?

- A £248,350
- B £248,600
- C £246,400
- D £247,750

- 36** Rosa runs a sole trader business and on 1 January 2025 she paid a £25,000 premium for a 20-year lease on an office from which she will run her business.

What amount can be deducted in respect of the lease premium when calculating Rosa's tax adjusted trading profits on the accruals basis for the year ended 31 December 2025?

£

- 37 September 2015 OT question**

Wan ceased trading on 31 December 2025, having been self-employed and preparing the accounts on the accruals basis since 1 January 2010. On 1 January 2025, the tax written down value of her plant and machinery main pool was £6,200. On 10 November 2025, Wan purchased a computer for £1,600. All of the items included in the main pool were sold for £9,800 on 31 December 2025.

What is the balancing charge which will arise on the disposal of the main pool items upon the cessation of Wan's trade?

- A £4,716
- B £3,404
- C £2,000
- D £3,600

38 June 2019 OT question

Olive is self-employed, preparing her accounts to 5 April each year on the cash basis. She claims capital allowances on a car used in her business. The car has a CO₂ emission rate of 65 grams per kilometre, with 40% of Olive's mileage for private purposes.

The car had a tax written down value of £12,000 at 6 April 2025. Olive sold the car for £6,000 on 1 November 2025.

What amount of capital allowances can Olive claim in respect of the car for the tax year 2025/26?

- A £3,600
- B £648
- C £2,400
- D £216

39 Which TWO of the following assets bought by a sole trader using the accruals basis will be allocated to the main pool for capital allowance purposes?

- A Delivery van costing £12,500 with 25% private use by the owner of the business
- B Laptop computer costing £4,500 with 15% private use by the owner of the business
- C Car with CO₂ emissions of 45 grams per kilometre costing £17,500 with 25% private use by an employee of the business
- D Car with CO₂ emissions of 75 grams per kilometre costing £16,500 used solely for business purposes by the owner of the business
- E Factory air-conditioning system costing £110,000 with a 27-year expected life
- F Packing machine costing £105,000 and with a 24-year expected life

40 Andrew prepared accounts for the eight months to 31 March 2026 using the accruals basis. The tax written down value of the main pool on 1 August 2025 was £18,000.

On 15 January 2026 he purchased a new car with zero CO₂ emissions costing £12,260. It is used solely for business purposes by Andrew.

What are the maximum capital allowances Andrew may claim for the eight-month period ended 31 March 2026?

£

- 41** Ronald has always prepared his accounts to 31 March uses the accruals basis. On 31 March 2026 Ronald ceased trading. The tax written down value of the main pool at 1 April 2025 was £15,000.

On 1 January 2026 Ronald purchased a laptop solely for business use costing £4,500.

On 31 March 2026 all the items in the main pool were sold for £14,550 apart from the laptop which was retained by Ronald. The market value of the laptop at 31 March 2026 was £4,150. None of the items in the main pool were sold for more than their original cost.

What is the capital allowance/(balancing charge) for the year ended 31 March 2026?

- A £144
- B £450
- C (£800)
- D £800

- 42** Ciara has always prepared her accounts to 31 October and uses the accruals basis. On 1 May 2025 she purchased a building which she brought into use on 1 June 2025. Ciara spent £700,000 on the land, £550,000 on the structure and building and £30,000 renovating the building.

What is the maximum structure and buildings allowance (SBA) Ciara may claim for the year ended 31 October 2025?

£

- 43** Which TWO of the following statements concerning the tax treatment of capital expenditure are ALWAYS correct for a business that uses the accruals basis?

- A A goods vehicle with zero CO₂ emissions will qualify for a FYA
- B Expenditure on a building qualifies for a 3% SBA from the date of acquisition
- C The main pool qualifies for the small pool WDA if the balance after disposals is less than £1,000
- D The AIA is allocated to additions in the special rate pool in priority to additions in the main pool
- E A balancing adjustment is calculated on the disposal of a building on which SBAs have been claimed
- F On disposal of a building that qualified for SBAs the seller increases the sales price by the SBAs claimed

PARTNERSHIPS

- 44** Elizabeth and Henry have been in partnership for many years, preparing accounts to 31 December each year.

Until 31 July 2025 profits were shared in the ratio 70:30 to Elizabeth and Henry respectively, with no salary allocated to either partner. From 1 August 2025 the profit sharing ratio was adjusted to 80:20 to Elizabeth and Henry respectively, after allocating a salary of £24,000 per annum to Henry.

The adjusted trading profits for the accounting year ended 31 December 2025 are £120,000.

How much of the profit for the year ended 31 December 2025 is allocated to Henry?

- A £41,000
B £31,000
C £43,200
D £39,000
- 45** Albert and Jolene have been in partnership for many years, preparing accounts to 30 September each year. Albert and Jolene have balances on their capital accounts of £50,000 and £40,000 respectively.

The partnership agreement provides for Albert to receive an annual salary of £25,000 and both partners to receive interest on capital of 4% per year.

The agreed profit sharing ratio is 1:3 to Albert and Jolene respectively.

The adjusted trading profits for the accounting year ended 30 September 2025 are £80,000.

How much is Albert's taxable share of the trading profit in respect of the year ended 30 September 2025?

£

- 46** Tim, Abhiroop and Angela have been in partnership for many years, preparing accounts to 31 December each year.

The partnership agreement provides for Tim to receive an annual salary of £15,000.

The agreed profit sharing ratio is 1:3:2 to Tim, Abhiroop and Angela respectively.

Tim left the partnership on 31 May 2025.

The adjusted trading profits for the accounting year ended 31 December 2025 are £360,000.

How much of the profit for the year ended 31 December 2025 is allocated to Tim?

- A £25,000
B £30,208
C £72,500
D £23,958

TRADING LOSSES

47 June 2015 OT question

Naomi is self-employed. For the year ended 5 April 2026 she made a trading loss of £110,000, having made a trading profit of £24,000 for the year ended 5 April 2025. Naomi also had employment income of £92,000 for the tax year 2024/25.

What is the maximum loss relief claim which Naomi can make against her total income for the tax year 2024/25?

- A £74,000
- B £50,000
- C £110,000
- D £29,000

48 Brooke had been trading profitably as a sole trader for many years. However, in the year ended 31 March 2025 she made a trading loss of £65,000.

Brooke has the following income in the tax year 2025/26:

	£
Trading profit for year ended 31 March 2026	12,000
Dividend income	9,000
Property income	4,000
NS&I savings certificate interest	1,000

What is Brookes' net income for the tax year 2025/26 assuming she carries the trading loss forward?

£

49 Damyanti has been trading as a sole trader for many years. Her recent tax adjusted trading profits/(losses) have been:

Year ended 5 April 2025	£55,000
Year ended 5 April 2026	(£90,000)

Damyanti also receives bank interest of £14,000 each tax year.

What is the amount of trading loss carried forward to the tax year 2026/27 assuming that Damyanti makes a claim to use the loss in the current and prior tax years?

- A £35,000
- B £26,000
- C £21,000
- D £7,000

- 50** Sabine started to trade as a sole trader on 1 April 2024. Her tax adjusted trading profits/(losses) for the first two years are:

Year ended 31 March 2025 £5,000

Year ended 31 March 2026 (£25,000)

Sabine was employed until 31 March 2024 earning £45,000 per annum. She also receives £3,000 of savings income every year.

Sabine would like to relieve her loss as early as possible.

Indicate, by selecting the relevant boxes in the table below, the earliest tax year in which her loss can be offset and how much loss can be relieved in that year?

Earliest tax year	Loss relieved
2020/21	£14,000
2021/22	£20,000
2022/23	£22,000
2023/24	£25,000
2024/25	

- 51** Sally has been trading as a sole trader for many years. In the year ended 31 March 2026 she made a trading loss of £45,000.

Sally's only other source of income is property income of £8,000 each tax year.

In the tax year 2025/26 Sally realised a chargeable gain of £32,000 on the sale of a necklace and a capital loss of £4,000 on the sale of a painting. She has capital losses brought forward of £18,000.

What is the amount of trading loss that Sally can offset against her chargeable gain in the tax year 2025/26?

- A £45,000
- B £37,000
- C £28,000
- D £10,000

- 52** Carol ceased trading on 31 March 2026.

Her recent tax adjusted trading profits/(losses) have been:

Year ended 31 March 2023 £12,000

Year ended 31 March 2024 £28,000

Year ended 31 March 2025 £19,000

Year ended 31 March 2026 (£44,000)

Carol also receives dividend income of £5,000 each tax year. She wishes to claim terminal loss relief to utilise her loss in the period to cessation.

What is the amount of terminal loss that will be offset against her income in the tax year 2023/24?

£

53 December 2018 OT question

Humphrey is a sole trader who has been trading for a number of years.

Humphrey incurred a trading loss in the tax year 2025/26. He wishes to make a claim to offset this loss against his total income of the tax year 2024/25.

What is the deadline for Humphrey to claim this relief?

- A 31 January 2027
- B 31 January 2028
- C 5 April 2029
- D 5 April 2030

PENSIONS AND NIC

- 54** Hamid runs a sole trader business, in which he employs an employee who earns £40,000 per annum and is provided with a company car for private and business use.

For each class of NIC select whether it is paid to HMRC by Hamid and also whether it represents part of the total tax cost suffered by Hamid.

	Paid by Hamid to HMRC	Suffered by Hamid
Employee class 1 primary		
Employer's class 1 secondary		
Class 1A		
Class 4		

55 September 2015 OT question

Lorna has the choice of being either employed or self-employed. If employed, Lorna's gross annual salary for the tax year 2025/26 will be £36,000. If self-employed, Lorna's trading profit for the year ended 5 April 2026 will be £36,000.

How much more national insurance contributions will Lorna suffer for the tax year 2025/26 if she chooses to be employed rather than self-employed?

- A £3,244
- B £2,109
- C £720
- D £468

56 March/June 2024 OT question

Mina's salary for the tax year 2025/26 was £68,000.

Mina's employer provided her with a loan throughout the tax year 2025/26, and this resulted in a taxable benefit of £1,500.

During the tax year 2025/26, Mina contributed £3,000 into her employer's occupational pension scheme. Her employer contributed a further £7,000 into the scheme on Mina's behalf.

What were Mina's earnings for the purpose of calculating the class 1 national insurance contributions payable for the tax year 2025/26?

- A £68,000
- B £69,500
- C £72,000
- D £65,000

- 57** Efe is a director of Mulch Ltd, and is paid an annual salary of £60,000. During the tax year 2025/26 he also received an annual bonus of £3,000 and free meals in the workplace canteen, open to all staff, at a cost of £1,040 to his employer.

What amount of employee class 1 national insurance contribution (NICs) will have been suffered by Efe for the tax year 2025/26?

- A £3,271
- B £3,291
- C £3,211
- D £4,034

- 58** Isak is an employee of Dibbit Ltd, and is paid an annual salary of £50,000. He makes contributions of £3,000 into the company's occupational pension scheme each year.

In the tax year 2025/26 he drove 12,000 business miles in his own car for which he was paid 50p per mile by Dibbit Ltd.

How much employer's class 1 NICs is Dibbit Ltd required to pay in respect of Isak for the tax year 2025/26?

£

59 September 2019 OT question

Elsa is employed by Bee Ltd. During the tax year 2025/26, Bee Ltd provided Elsa with the following benefits:

- 1 A private gym membership
- 2 A contribution of £1,800 into a private pension scheme.

Elsa had use of the private gym membership throughout the tax year. The normal membership fee is £1,000, but Bee Ltd negotiated a discount and paid £900 for it.

What amount of class 1A national insurance contributions (NICs) are payable by Bee Ltd in respect of Elsa for the tax year 2025/26?

- A £135
- B £150
- C £405
- D £420

60 September/December 2022 OT question

Red Dolphin Ltd provided the following benefits to its employee, Alonso, for the tax year 2025/26:

	Cost £
Cash vouchers	3,000
A gift of a new television	2,000

Red Dolphin Ltd always pays its tax liabilities and national insurance contributions (NIC) electronically. The benefits provided to Alonso were not payrolled.

Indicate, by selecting the relevant boxes in the table below, the correct amount of class 1A NIC payable by Red Dolphin Ltd in respect of Alonso's benefits for the tax year 2025/26 and the due date of payment.

Class 1A	Due date
£300	22 April 2026
£450	31 January 2027
£750	22 July 2026

61 Broadman Ltd provides employment benefits to its employees.

On which TWO of the following benefits is class 1A NIC payable by Broadman Ltd?

- A Occupational pension scheme contributions of 5% of the employees' salaries
- B Payment for a parking space in a public car park near the office
- C Annual summer event costing £200 per head
- D Provision of a smart phone for business and private use including the cost of private calls
- E Membership of local sports club at a cost of £400 per annum
- F Mileage allowance of 5p per mile for cost of travel between employee's home and the company's office premises

62 September 2016 OT question

Paloma has been trading for a number of years. Her tax adjusted trading profit for the year ended 31 March 2025 was £57,200 and for the year ended 31 March 2026 was £58,000.

What is the amount of class 4 national insurance contributions (NIC) payable by Paloma for the tax year 2025/26?

- A £2,678
- B £2,726
- C £2,401
- D £2,417

63 September/December 2023 OT question

Raj is self-employed and his trading profit for the tax year 2025/26 is £52,000. Raj also had property income of £5,200 from rental property for this tax year.

What are Raj's class 4 national insurance contributions for the tax year 2025/26?

- A £3,155
- B £2,297
- C £3,051
- D £2,401

- 64** Roger is employed on an annual salary of £145,000. His employer has an occupational pension scheme into which Roger pays 2% of his salary and the company pays 5% of his salary. Roger also made a payment of £20,000 into a personal pension scheme in the tax year 2025/26.

What is Roger's net income (before deducting the personal allowance) for the tax year 2025/26?

£

- 65** Isaac is self-employed and for the year ended 31 March 2026 he paid £20,000 (net) into his personal pension plan. Isaac's relevant earnings for the tax year 2025/26 were £110,000.

What amount of income tax will Isaac pay at the basic rate for the tax year 2025/26?

£

66 September 2016 OT question

Abena has made the following gross contributions to her personal pension scheme over the past three tax years:

Tax year	£
2022/23	42,000
2023/24	57,000
2024/25	48,000

Abena's adjusted income did not exceed £260,000 in any tax year.

What is the maximum gross contribution which Abena can make to her personal pension scheme for the tax year 2025/26 without giving rise to an annual allowance charge?

- A £73,000
- B £60,000
- C £75,000
- D £72,000

67 Austin, age 47, runs a sole trader business. In the tax year 2025/26 his trading income was £51,200. During the tax year 2025/26 he paid £22,400 (net) into a personal pension scheme.

Petra, age 45, has employment income of £120,000 in the tax year 2025/26. She has never been a member of a pension scheme until the tax year 2025/26 when she paid £66,000 (net) into a personal pension scheme.

Identify, by ticking the appropriate box, who has made fully tax relieviable pension contributions in the tax year 2025/26.

	Fully tax relieviable pension contributions	Not fully tax relieviable pension contributions
Austin		
Petra		

68 Natalia's only income in the tax year 2025/26 is trading income of £100,000. She also has an annual allowance charge of £10,000 as a result of making gross personal pension contributions of £70,000 in the tax year 2025/26.

What is Natalia's income tax liability for the tax year 2025/26?

- A £19,486
- B £22,000
- C £27,486
- D £31,432

69 December 2019 OT question

Niamhe has adjusted income for the tax year 2025/26 of £330,000.

During the year, she made personal pension scheme contributions of £100,000 (gross).

Niamhe has no brought forward unused annual allowances.

What is the amount of annual allowance charge to be added to Niamhe's taxable income for the tax year 2025/26?

- A £75,000
- B £40,000
- C £90,000
- D £25,000

ADMINISTRATION AND ETHICS

70 September 2015 OT question (ADAPTED)

Taxes can be either capital taxes or revenue taxes, although some taxes are neither type of tax.

Tick the appropriate boxes to show the correct classification for the following three taxes.

	Capital tax	Revenue tax	Neither type
Value added tax			
Inheritance tax			
National insurance contributions			

71 September/December 2023 OT question

Indicate, by ticking the relevant boxes in the table below, whether each tax listed is a direct or indirect tax and whether it is progressive or not progressive.

	Direct	Indirect	Progressive	Not progressive
Income tax				
Value added tax (VAT)				

72 June 2015 OT question

Which of the following statements correctly explains the difference between tax evasion and tax avoidance?

- A Both tax evasion and tax avoidance are illegal, but tax evasion involves providing HM Revenue & Customs with deliberately false information
- B Tax evasion is illegal, whereas tax avoidance involves the minimisation of tax liabilities by the use of any lawful means
- C Both tax evasion and tax avoidance are illegal, but tax avoidance involves providing HM Revenue & Customs with deliberately false information
- D Tax avoidance is illegal, whereas tax evasion involves the minimisation of tax liabilities by the use of any lawful means

73 Which TWO of the following are true of tax evasion?

- A Tax evasion means using the taxation regime to ones' own advantage by arranging your affairs to minimise your tax liability
- B Tax evasion includes not providing all relevant information to HMRC
- C Tax evasion is legal and does not involve misleading HMRC
- D Tax evasion utilises loopholes in tax legislation
- E Tax evasion encompasses any attempt to avoid or reduce tax by illegal means
- F Tax evasion includes utilising tax-free investments, such as ISAs

74 Which of the following is true of a tax adviser?

- A A tax adviser can only disclose information about the client to third parties with the clients' consent
- B A tax adviser must not assist a client to plan or commit any tax offences
- C If a tax adviser becomes aware that a client has committed a tax irregularity they must disclose it to HMRC
- D A tax adviser acting for a client has no duties and responsibilities towards HMRC

- 75** You are a trainee Chartered Certified Accountant and your firm has a client who has refused to disclose a chargeable gain to HM Revenue & Customs (HMRC).

Tick the appropriate boxes to show which of the following actions could be expected of your firm and which would be unacceptable.

	Could be expected	Unacceptable
Reporting under the money laundering regulations		
Advising the client to make disclosure		
Ceasing to act for the client		
Informing HMRC of the non-disclosure		
Warning the client that your firm will be reporting the non-disclosure		
Notifying HMRC that your firm has ceased to act for the client		

76 December 2016 OT question

Which of the following is the correct definition of an extra-statutory concession?

- A A provision for the relaxation of the strict application of the law where it would lead to anomalies or cause hardship
- B Supplementary information providing additional detail in relation to the general principles set out in legislation
- C HM Revenue & Customs' interpretation of tax legislation
- D Guidance provided to HM Revenue & Customs' staff in interpreting and applying tax legislation

77 September 2015 OT question (ADAPTED)

For the tax year 2025/26, what are the latest dates by which a taxpayer, who does not wish to incur a penalty, should file a self-assessment tax return on paper or online?

Select the appropriate box from the table below.

		Paper tax return	
		31 October 2026	31 October 2027
Online tax return	31 January 2027	A	B
	31 January 2028	C	D

78 September 2016 OT question

Which of the following statements concerning self-assessment tax returns for individuals is true?

- A Individuals with tax payable of less than £1,000 for a tax year are not required to file a tax return.
- B Individuals are only required to file a tax return for a tax year if they receive a notice to deliver from HM Revenue & Customs (HMRC).
- C All individuals who submit a tax return on time are able to have their tax payable calculated by HM Revenue & Customs (HMRC).
- D The tax return for an individual covers income tax, class 1 and class 4 national insurance contributions and capital gains tax liabilities.

79 Geoffrey is a sole trader and is married to Harriet. Harriet is in employment. They jointly own a residential investment property which is rented out.

Select, by ticking the appropriate box, the latest date until which Geoffrey and Harriet must keep the records that support their tax returns for the tax year 2025/26.

	Geoffrey	Harriet
31 January 2028		
31 January 2031		
31 January 2032		

80 December 2016 OT question

Complete the following sentence relating to the length of time a sole trader is required to keep their accounting records after the end of a tax year in which a self-assessment tax return has been completed.

A sole trader is required to keep their accounting records for
months after the

Number

Period

Number of months	Period
12	end of the tax year
60	31 January that follows the end of the tax year

81 March/June 2024 OT question

Phillip did not file his self-assessment tax return for the tax year 2024/25 until 31 March 2026. This was two months after the 31 January 2026 due date.

What is the latest date that HM Revenue & Customs (HMRC) can begin a compliance check enquiry into Phillip's self-assessment tax return for the tax year 2024/25?

- A 31 January 2027
- B 30 April 2027
- C 31 July 2027
- D 31 March 2027

82 June 2015 OT question

For the tax year 2024/25, Willard filed a paper self-assessment tax return on 10 August 2025.

What is the deadline for Willard to make an amendment to his tax return for the tax year 2024/25, and by what date will HM Revenue & Customs (HMRC) have to notify Willard if they intend to carry out a compliance check into this return?

Select the appropriate box from the table below.

		Amendment	
		10 August 2026	31 January 2027
Compliance check	10 August 2026	A	B
	31 January 2027	C	D

83 June 2015 OT question

Abdul's tax liabilities for the tax years 2024/25 and 2025/26 are as follows:

	2024/25	2025/26
	£	£
Income tax payable	300	2,400
Class 4 national insurance contributions	320	1,260
Capital gains tax liability	240	0
	860	3,660

What payment on account will Abdul have to make on 31 July 2026 in respect of his tax liability for the tax year 2025/26?

- A £310
- B £1,830
- C £430
- D £0

84 September/December 2024 OT question

Siena is employed and also has some self-employment income.

Siena's income tax liability and class 4 national insurance contributions (NICs) for the tax year 2024/25 totalled £40,000, of which £6,000 was deducted via PAYE.

Siena's income tax liability and class 4 NICs for the tax year 2025/26 will total £49,000, of which £8,000 will be deducted via PAYE.

What will be the amount of each of Siena's payments on account for the tax year 2025/26?

£

85 September 2016 OT question

Eva's income tax liability and class 4 national insurance contributions (NIC) for the tax year 2025/26 are £4,840. Her income tax liability and class 4 NICs for the tax year 2024/25 were £6,360.

What is the lowest amount to which Eva could make a claim to reduce each of her payments on account for the tax year 2025/26 without being charged interest?

- A £4,840
- B £0
- C £3,180
- D £2,420

- 86** Jeanette's income tax and capital gains tax liabilities for the tax year 2025/26 were £25,000 and £5,000 respectively. Of the £25,000 income tax liability, tax of £5,400 was deducted at source under PAYE. She made payments on account totalling £18,000 for the tax year 2025/26.

What is the balancing payment Jeanette should pay and when is it due? Select the appropriate box from the table below.

		Due date	
		31 January 2026	31 January 2027
Balancing payment	£6,600	A	B
	£16,400	C	D

87 June 2015 OT question

Quinn will not pay the balancing payment in respect of her tax liability for the tax year 2025/26 until 17 October 2027.

What is the total percentage penalty which Quinn will be charged by HM Revenue & Customs (HMRC) in respect of the late balancing payment for the tax year 2025/26?

- A 15%
- B 10%
- C 5%
- D 30%

88 June 2023 OT question

Ruby was required to make payments on account of £5,000 in total towards her tax liability for the tax year 2025/26.

She paid both payments on account, of £2,500 each, on 1 July 2026.

After completing her self-assessment tax return for the tax year 2025/26, Ruby calculates that her tax liability for that year is £7,000.

Ruby pays her balancing payment of £2,000 on 31 January 2027.

How much late payment interest will Ruby have to pay in relation to her tax liability for the tax year 2025/26?

- A £89
- B £425
- C £213
- D £595

89 March/June 2021 OT question

On 10 August 2026, Zahra submitted her income tax return electronically for the tax year 2024/25. She paid the tax due of £8,400 on the same day.

What is the MAXIMUM penalty that can be imposed by HM Revenue & Customs (HMRC) in respect of the late filing of Zahra's income tax return?

You are not required to consider penalties for the late payment of tax.

- A £100
- B £1,000
- C £1,420
- D £1,300

90 March/June 2022 OT question

Hassan filed his self-assessment tax return for the tax year 2023/24 on 31 August 2025. The return showed a tax liability of £6,200, which Hassan paid in full on 31 August 2025.

Which THREE of the following penalties could Hassan be charged in respect of the late filing of his self-assessment tax return?

- A £100 fixed penalty
- B £900 of daily penalties
- C £200 fixed penalty
- D £310 tax geared penalty
- E £620 tax geared penalty
- F £2,120 of daily penalties

91 September 2016 OT question

Rajesh is a sole trader. He correctly calculated his self-assessment payments on account for the tax year 2025/26 and paid these on the due dates.

Rajesh paid the correct balancing payment of £1,200 for the tax year 2025/26 on 30 June 2027.

What penalties and interest may Rajesh be charged as a result of his late balancing payment for the tax year 2025/26?

- A Interest of £43 only
- B Interest of £102 only
- C Interest of £102 and a penalty of £60
- D Interest of £43 and a penalty of £60

92 September/December 2022 OT question

Bod Ltd's employees are all paid on the last day of the calendar month. The PAYE information for September 2025 was not filed with HM Revenue & Customs (HMRC), using the real time information (RTI) software, until 7 November 2025. This was the second late submission during the tax year 2025/26.

Indicate, by selecting the relevant boxes in the table below, the latest date by which Bod Ltd should have filed the PAYE information for September 2025, and whether or not a penalty will have been charged.

Latest date	Penalty
30 September 2025	Penalty not charged
22 October 2025	Penalty charged

PRACTICE SECTION B OBJECTIVE TEST CASES

INCOME TAX BASICS AND EMPLOYMENT INCOME

93 PHILIP AND CHARLES (ADAPTED)



Walk in the footsteps of a top tutor

Philip and Charles are father and son. The following information is available for the tax year 2025/26.

Philip Wind

Philip retired at the age of 55. During the tax year 2025/26 Philip received pension income of £15,000 and building society interest of £14,600.

Charles Wind

Charles is self-employed, and his tax adjusted trading profit for the year ended 31 March 2026 was £112,400.

During the tax year 2025/26 Charles made a gift aid donation of £800 (gross) to a national charity.

Charles has been a member of a personal pension scheme since May 2023. He made a gross contribution of £45,000 in the tax year 2023/24 but has not made any subsequent contributions.

1 What is Philip's income tax liability for the tax year 2025/26?

- A £2,692
- B £2,892
- C £3,206
- D £3,406

2 Charles is entitled to a personal allowance of £_____ for the tax year 2025/26.

Select the appropriate answer from the options below.

- A £12,570
- B £6,770
- C £6,870
- D £5,800

3 What is the amount of class 4 national insurance liability in respect of Charles for the tax year 2025/26?

£

- 4 What was the total available annual allowance available to Charles for pension contribution purposes in the tax year 2025/26?

A £135,000
 B £60,000
 C £175,000
 D £75,000

- 5 Charles had considered making payments of £6,880 into a personal pension scheme during the tax year 2025/26.

For each of the following statements select whether it would be true or false if he had made such a contribution:

	True	False
His basic rate band for the tax year 2025/26 would have been increased by £8,600 in relation to this contribution		
His taxable income for the tax year 2025/26 would have been reduced by £8,600		
HM Revenue & Customs would have paid £1,376 into the pension fund on his behalf		
His personal allowance would have increased by £4,300 in the tax year 2025/26		

94 KIM BAXTER (ADAPTED)



Walk in the footsteps of a top tutor

Kim is employed as a sales person by Sharp-Suit plc. During the tax year 2025/26 her employment package included the following benefits:

- 1 During the period from 1 June 2025 to 5 April 2026 Kim used her private car for business and private purposes. She received 36p for each business mile travelled from Sharp-Suit plc.

Kim's mileage during this period was as follows:

	Miles
Normal daily travel between home and permanent workplace	3,400
Travel between permanent workplace and Sharp-Suit plc's customers	9,200
Travel between home and a temporary workplace for one month	1,300

- 2 On 1 June 2025 Sharp-Suit plc provided Kim with a loan of £14,600, at an annual interest rate of 2.25%, so that she could purchase a new car.

- 3 On 6 April 2025 Kim purchased a television from Sharp-Suit plc for £50 when its market value was £200. The company had purchased the television for £800 on 6 April 2024 and Kim had used it at home since that date.

Kim's total employment income, including the above benefits/deductions, for the tax year 2025/26 was £25,650.

Other information

During the tax year 2025/26 Kim paid interest of £140 on a personal loan, taken out on 1 January 2025, to purchase a laptop computer for use in her employment with Sharp-Suit plc. She also paid a charitable contribution of £800 under the gift aid scheme. She had no other sources of income.

Kim's husband Richard stays at home to look after their children while Kim is at work. Richard's only income in the tax year 2025/26 was savings income of £11,700.

- 1 What effect will the use of her car for business purposes have on Kim's taxable employment income in the tax year 2025/26? Select the appropriate box from the table below.**

		Effect on employment income	
		Allowable deduction	Taxable benefit
Amount	£845	A	B
	£945	C	D

- 2 What is the taxable benefit in respect of the loan from Kim's employer for the tax year 2025/26?**

- A £219
B £456
C £274
D £182

- 3 What is the taxable benefit in respect of the purchase of the television from Sharp-Suit plc in the tax year 2025/26?**

£

- 4 What is the amount of Kim's taxable income for the tax year 2025/26?**

- A £12,940
B £13,080
C £25,510
D £25,650

- 5 Assuming that Kim and Richard make a marriage allowance election in respect of the tax year 2025/26, match the correct tax impact to each individual.**

	Richard	Kim
Personal allowance reduced by £870		
Personal allowance reduced by £1,260		
Personal allowance increased by £870		
Personal allowance increased by £1,260		
Income tax liability reduced by £174		
Income tax liability reduced by £252		

95 DILL (ADAPTED)

On 6 April 2024 Dill started employment with Herb plc as the IT manager. She also set up a small technology business, which she ran on a self-employed basis, but this business failed and Dill ceased self-employment on 5 April 2026. The following information is available for the tax year 2025/26:

Employment

- 1 During the tax years 2024/25 and 2025/26, Dill was paid a gross annual salary of £350,000.
- 2 During the tax year 2025/26, Dill contributed the maximum possible tax relievable amount into Herb plc's money purchase occupational pension scheme. The company also contributed £15,000 on her behalf. Dill first became a member of a personal pension scheme in the tax year 2024/25 and had an unused annual allowance brought forward of £9,000.
- 3 Throughout the tax year 2025/26, Dill had the use of Herb plc's company gym which is only open to employees of the company. The cost to Herb plc of providing this benefit was £780.
- 4 During the tax year 2025/26, Dill's three-year-old son was provided with a place at Herb plc's workplace nursery. The total cost to the company of providing this nursery place was £7,200 (240 days at £30 per day).
- 5 On 25 January 2026, Herb plc paid a health club membership fee of £990 for the benefit of Dill.
- 6 Dill also received various other taxable benefits during 2025/26.

Dill's total employment income for the tax years 2024/25 and 2025/26 was £361,990, inclusive of the items in Notes 1 to 6 above.

Self-employment

For the tax year 2024/25, Dill's self-employed business did not make any profit and for the tax year 2025/26, made a tax adjusted trading loss of £58,000. Dill will claim relief for this loss against her total income for the tax year 2024/25.

Other income

- 1 On 1 November 2024, Dill received a premium bond prize of £1,000.
- 2 On 28 February 2025, Dill received interest of £1,840 on the maturity of savings certificates from NS&I (National Savings and Investments).

-
- 1 **What was the maximum employee contribution made by Dill in the tax year 2025/26 in relation to Herb plc's occupational pension scheme?**

- A £4,000
- B £9,000
- C £19,000
- D £54,000

- 2 For each of the employment benefits stated in Notes 3 to 5, what is the taxable benefit for Dill for the tax year 2025/26? Select the appropriate box from the table below.

	Taxable benefit	
Company gym	£0	£780
Workplace nursery	£0	£7,200
Health club membership	£0	£990

- 3 What is the amount of personal allowance that Dill is entitled to for the tax year 2025/26?

£

- 4 For each of the statements below regarding sole trader trading loss relief, select which statements are true or false.

	True	False
The carry forward of trading losses is indefinite if the business continues to trade.		
When carrying forward trading losses, obtaining relief in a later period is advantageous from a cashflow and time value of money perspective.		
Trading loss relief against total income permits the taxpayer to relieve trading losses against the total income of the tax year of the loss, and/or previous tax year.		

- 5 What is Dill's net income for the tax year 2024/25?

£

96 JOHN BEACH (ADAPTED)

This scenario relates to two requirements.

John has been employed as a sales director by Surf plc since 1 December 2002. During the tax year 2025/26 his employment package included the following:

- During the tax year 2025/26, he was paid gross director's remuneration of £234,000.
- During the period 6 April to 31 October 2025, John used his private car for both private and business journeys. He was reimbursed by Surf plc at the rate of 60p per mile for the following mileage:

	Miles
Normal daily travel between home and Surf plc's offices	1,180
Travel between Surf plc's offices and the premises of Surf plc's clients	4,270
Travel between home and the premises of Surf plc's clients (none of the clients' premises were located near the offices of Surf plc)	510
Total mileage reimbursed by Surf plc	5,960

- 3 During 2022 Surf plc provided John with a loan which was used to purchase a yacht. The amount of loan outstanding at 6 April 2025 was £84,000. John repaid £12,000 of the loan on 31 July 2025, and then repaid a further £12,000 on 31 December 2025. He paid loan interest of £2,170 to Surf plc during the tax year 2025/26. The taxable benefit in respect of this loan is calculated using the average method.
- 4 Surf plc gave John an engraved gold watch costing £465 on 1 December 2025 in recognition of his long service with the company.

John's total employment income for the tax year 2025/26 was £207,995, inclusive of the items in Notes 1 to 4 above and after adjustment for pension contributions.

- 1 What is the total mileage allowance in respect of John using his car for business purposes for the tax year 2025/26?**

£

- 2 What is the taxable benefit in respect of the loan from John's employer for the tax year 2025/26?**

- A £80
- B £530
- C £980
- D £568

- 3 What is the taxable benefit in respect of the gold watch gifted by John's employer for the tax year 2025/26?**

- A £0
- B £93
- C £415
- D £465

- 4 What amount of personal allowance is John entitled to for the tax year 2025/26?**

£

- 5 Which TWO of the following statements concerning class 1 NICs for the tax year 2025/26 are correct?**

- A Employers are entitled to a maximum employment allowance of £10,500 per employee
- B Taxable mileage allowances paid in respect of home to office travel are subject to class 1 NIC
- C Non-cash benefits are not subject to class 1 NIC
- D Class 1 primary NICs are always payable by employees at a rate of 8% on earnings above £12,570

INCOME TAX BASICS AND INCOME FROM SELF-EMPLOYMENT

97 FOO DEE (ADAPTED)

On 31 December 2025 Foo Dee resigned as an employee of Gastronomic Food plc and on 1 January 2026 Foo started self-employment running her own restaurant, preparing accounts to 30 September.

The following information is available for the tax year 2025/26:

Employment

During the period 6 April 2025 to 31 December 2025 Foo earned a salary of £38,000 and was provided with the following benefits:

- 1 A car with CO₂ emissions of 132 grams per kilometre and a list price of £19,000. Foo was also provided with all diesel fuel for the car. The car does not meet the RDE2 standard.
- 2 Gastronomic Food plc paid Foo £6 per night to cover incidental expenses when she was working away in the UK for 14 nights.
- 3 The company contributed 6% of Foo's gross salary of £38,000 into Gastronomic-Food plc's occupational pension scheme.

Self-employment

- 1 Foo's statement of profit or loss for her restaurant business for the nine-month period ended 30 September 2026 is as follows:

	£	£
Gross profit		202,054
Legal fees (Note 2)	4,200	
Property expenses (Note 3)	12,800	
Other expenses (all allowable)	50,700	
	—————	(67,700)
Net profit		134,354

- 2 Legal fees include conveyancing fees of £1,400 for the purchase of the restaurant.
- 3 Foo purchased a 10-year old restaurant on 1 January 2026. She lives in a flat that is situated above the restaurant, and one quarter of the total property expenses of £12,800 relate to this flat.
- 4 On 30 September 2026 Foo purchased a car with CO₂ emissions of 40 grams per kilometre for £14,600. Private use of the car by Foo is 30%. Foo chooses to claim capital allowances for this purchase.

Foo never had to complete a tax return whilst she was employed by Gastronomic Food plc.

1 Which TWO of the following statements concerning the taxable benefits in respect of the company car for the tax year 2025/26 are correct?

- A Foo will have a car benefit of £4,560
- B Foo will have a car benefit of £5,130
- C Foo will have a car benefit of £6,840
- D Foo will have a fuel benefit of £6,768
- E Foo will have a fuel benefit of £7,614
- F Foo will have a fuel benefit of £10,152

2 How much is the total taxable benefit for the payment of the overnight expenses and the pension contribution by the company for the tax year 2025/26?

- A £0
- B £84
- C £14
- D £2,364

3 What is Foo's tax adjusted trading profit before capital allowances for the nine-month period ended 30 September 2026, assuming she elects to use the accruals basis?

£

4 What is the maximum capital allowances claim that Foo can make in respect of the nine-month period ended 30 September 2026?

- A £1,380
- B £1,971
- C £1,840
- D £460

5 Foo has not previously been required to submit a tax return to HMRC.

By what date must Foo inform HMRC of her new source of self-employment income and what is the filing date for the first tax return that includes income from self-employment? Select the appropriate box from the table below.

		Inform HMRC of new source of income	
		30 September 2026	5 October 2026
First tax return filing date	31 January 2027	A	B
	31 January 2028	C	D

PRACTICE SECTION C CONSTRUCTED RESPONSE QUESTIONS

INCOME TAX BASICS AND EMPLOYMENT INCOME

98 JASON *Walk in the footsteps of a top tutor*

This scenario relates to three requirements.

You should assume that today's date is 15 February 2025.

Jason is currently employed by Initial plc as a sales manager, but he is considering resigning on 14 March 2025 and taking up an offer of employment with Subsequent plc which would start on 15 March 2025. If employed by Subsequent plc, Jason will receive a higher base salary and more benefits compared to if he remains employed by Initial plc. However, Jason wants to know how much more income tax he will have to pay for the tax year 2025/26 should he take up the new offer of employment. The following information is available for the tax year 2025/26:

Initial plc

- 1 If Jason remains employed by Initial plc, rather than taking up the offer of employment with Subsequent plc, he will be paid a gross annual salary of £180,000 during the tax year 2025/26.
- 2 Jason will contribute a total of £8,000 into Initial plc's occupational pension scheme.
- 3 In addition to his salary, Jason expects to be paid the following bonuses by Initial plc:

Amount	Date of payment	Date of entitlement	In respect of the year ended
£22,000	30 April 2025	15 March 2025	31 January 2025
£24,000	30 April 2026	15 March 2026	31 January 2026

- 4 Throughout the tax year 2025/26, Jason will be provided with free meals in Initial plc's staff canteen. The total cost of these meals to the company will be £1,440. Free meals in the staff canteen are available to all of Initial plc's employees.

Subsequent plc

- 1 If Jason takes up the offer of employment with Subsequent plc, then he will be paid a gross annual salary of £205,000 during the tax year 2025/26.
- 2 Subsequent plc will contribute a total of £9,000 into the company's occupational pension scheme on Jason's behalf.
- 3 Throughout the tax year 2025/26, Jason will be provided with a hybrid-electric car, which has a list price of £62,500 and an official CO₂ emission rate of 25 grams per kilometre. It has an electric range of 25 miles. Jason will not be provided with any fuel for private journeys.
- 4 For the period 6 April to 31 July 2025, Subsequent plc will provide Jason with living accommodation in a property purchased by the company in 2014 for £140,000. The property will be valued at £285,000 on 6 April 2025. Improvements costing £17,000 were made to the property during August 2023. The annual value of the property is £4,800.

- 5 On 1 August 2025, Subsequent plc will provide Jason with an interest-free loan of £140,000 to help him purchase a main residence. No loan repayments will be made before 5 April 2026.

Where possible, Subsequent plc will payroll the taxable benefits provided to Jason so that the related income tax liability will be collected under PAYE along with the tax on his salary.

Jason will not have any other income for the tax year 2025/26.

Required:

- (a) State one advantage and one disadvantage for an employee if their employer payrolls the taxable benefits provided to the employee.  (2 marks)
- (b) Calculate how much more income tax Jason will have to pay for the tax year 2025/26 if he takes up the offer of employment with Subsequent plc rather than remaining employed by Initial plc. 

Notes:

- 1 Your answer should be based on separate calculations of Jason's employment income for the tax year 2025/26 under each employment alternative.
 - 2 You should indicate by the use of zero (0) any items which are not taxable or deductible.
 - 3 You are not required to calculate Jason's national insurance contributions (NICs). (11 marks)
- (c) If Jason decides to resign as an employee of Initial plc on 14 March 2025, briefly explain the main content and purpose of PAYE form P45.  (2 marks)

(Total: 15 marks)

99 POPPY

This scenario relates to three requirements.

Poppy is employed by Zune plc and she is also a member of a partnership. The following information is available:

Employment

- 1 During the tax year 2025/26, Poppy was paid a gross annual salary of £65,000 in respect of her employment with Zune plc.
- 2 During the period from 1 August 2025 to 5 April 2026, Zune plc provided Poppy with a diesel car which has a list price of £21,800. The car cost Zune plc £20,600, and it has an official CO₂ emission rate of 70 grams per kilometre. The car does not meet the real driving emissions 2 (RDE2) standard. Poppy was not provided with any fuel for private use.
- 3 Throughout the tax year 2025/26, Zune plc provided Poppy with two mobile telephones. The telephones had each cost £480 when purchased by the company in March 2025.
- 4 All of the taxable benefits provided by Zune plc to Poppy are payrolled.

Partnership

- 1 Poppy has been in partnership with Rose and Teasel since 6 April 2016, but Teasel resigned as a partner on 6 July 2025. The partners have always shared profits equally.
- 2 For the year ended 5 April 2026, the partnership had a tax adjusted trading loss of £19,500. This figure is before taking account of capital allowances.
- 3 The only item of plant and machinery owned by the partnership is a car with a CO₂ emission rate of 90 grams per kilometre. The car was used by Poppy and 70% of the mileage was for private journeys. The written down value of the car as at 6 April 2025 was £8,400. The car was sold on 31 July 2025 for £5,400 and was not replaced.

UK Government securities (gilts)

On 1 August 2025, Poppy purchased, for £50,000, gilts with a nominal value of £40,000. The gilts paid interest at the rate of 3%, with interest paid half-yearly on 30 June and 31 December based on the nominal value. Poppy sold the gilts on 31 October 2025 for £50,300 (including accrued interest).

Balancing payment for tax year 2024/25

Poppy filed her self-assessment tax return for the tax year 2024/25 by the filing date, but did not make the balancing payment of £2,600 until 31 August 2026. She was not required to make any payments on account.

Required:

- (a) Assuming that Poppy claims loss relief against her total income for the tax year 2025/26, calculate her taxable income for this tax year. (10 marks)
- (b) Explain how Poppy's income tax liability in respect of her taxable benefits for the tax year 2025/26 will have been collected, and if any forms containing details of these benefits will have been reported to HM Revenue & Customs (HMRC). (2 marks)
- (c) Advise Poppy of the interest and penalties that will be charged by HM Revenue & Customs (HMRC) as a consequence of her not making the balancing payment for the tax year 2024/25 until 31 August 2026. (3 marks)

(Total: 15 marks)

100 KAZUO

This scenario relates to five requirements.

You should assume that today's date is 25 March 2025 and the tax rates and allowances for the tax year 2025/26 apply throughout.

Kazuo is currently employed at a gross annual salary of £200,000. Kazuo will continue to earn the same salary until he retires on 5 April 2029, at which point his income will reduce to gross annual pension income of £55,000. This means that Kazuo is currently an additional rate taxpayer, but will only be a higher rate taxpayer from when he retires on 5 April 2029.

Kazuo will undertake £40,000 of work on a freelance basis during the year ended 5 April 2026. To carry out this work, Kazuo will form a new limited company, Zaoku Ltd, of which he will be an employee. This freelance work will not involve any expenditure and will last for just one year, from 6 April 2025 to 5 April 2026. Zaoku Ltd will prepare accounts for the year ended 5 April 2026.

Kazuo is looking at three alternative ways of extracting the profits of Zaoku Ltd:

Alternative 1

After allowing for corporation tax, Kazuo will withdraw the entire net of tax profits as dividends during the tax year 2025/26.

Alternative 2

Zaoku Ltd will pay Kazuo gross directors' remuneration of £8,000 and Zaoku Ltd will make a pension contribution of £32,000 into a company occupational pension scheme on Kazuo's behalf during the tax year 2025/26. Kazuo has sufficient unused pension annual allowances so that a pension contribution of this amount will not result in an annual allowance charge.

Alternative 3

Kazuo will not withdraw any amounts during the tax year 2025/26. Instead, the net of tax profits will be left undrawn in Zaoku Ltd until the tax year 2029/30 when Kazuo has retired. He will then withdraw the entire net of tax amount as dividends in the tax year 2029/30.

Kazuo does not have any other income.

Required:

Assuming that Kazuo withdraws the entire net of tax profits of Zaoku Ltd as dividends (alternative 1) during the tax year 2025/26:

- (a) (i) Calculate the corporation tax liability of Zaoku Ltd for the year ended 5 April 2026; and (1 mark)
- (ii) Calculate the income tax payable by Kazuo in respect of his dividend income. (2 marks)

Assuming that Zaoku Ltd will pay Kazuo gross directors' remuneration of £8,000 and Zaoku Ltd will make a pension contribution of £32,000 into a company occupational pension scheme on Kazuo's behalf (alternative 2) during the tax year 2025/26:

- (b) (i) Explain the corporation tax, income tax and national insurance contributions (NICs) implications of alternative 2; and (3 marks)
- (ii) Calculate the tax saving of alternative 2 compared with alternative 1 (entirely as dividends). (1 mark)

Notes:

- 1 You are not expected to explain the tax implications of ultimately receiving a pension from the pension scheme.
- 2 Zaoku Ltd is not entitled to the NICs annual employment allowance.
- (c) Calculate the tax saving in respect of Kazuo's dividend income and Zaoku Ltd's corporation tax liability if Kazuo withdraws the entire net of tax profits of Zaoku Ltd as dividends during the tax year 2029/30 (alternative 3) when Kazuo has retired, rather than during the tax year 2025/26 (alternative 1). (3 marks)

(Total: 10 marks)

101 SHELDON *Walk in the footsteps of a top tutor*

This scenario relates to one requirement.

Sheldon is employed by Luqe Ltd. The following information is available for the tax year 2025/26:

Employment income

- (1) Luqe Ltd paid Sheldon a gross annual salary of £126,000.
- (2) On 1 August 2025, Luqe Ltd provided Sheldon with an interest-free loan of £80,000 (not provided for a qualifying purpose). Sheldon repaid £8,000 of the loan on 31 January 2026. The taxable benefit in respect of the loan is calculated using the average method.
- (3) Throughout the tax year 2025/26, Sheldon had the use of Luqe Ltd's company gym. The company gym is only open to employees of Luqe Ltd and the annual cost per employee to the company of providing this benefit is £670.
- (4) Throughout the tax year 2025/26, Luqe Ltd provided Sheldon with living accommodation. The company purchased the property on 1 January 2024 for £540,000 and it has an annual value of £14,000. Sheldon pays Luqe Ltd £250 a month towards the use of the property. Running costs totalling £850 for the tax year 2025/26 were paid by Luqe Ltd. The property was furnished by Luqe Ltd at a cost of £20,000 when Sheldon first moved into the property on 1 January 2025.
- (5) Luqe Ltd paid £890 for medical insurance for Sheldon. If Sheldon had arranged the medical insurance himself, then it would have cost £1,060.
- (6) Sheldon incurred business expenditure of £600 during the tax year 2025/26 which was reimbursed by Luqe Ltd in full.
- (7) For the tax year 2025/26, Luqe Ltd deducted income tax of £60,560 under PAYE from Sheldon's earnings.

Property income

- (1) Sheldon owns 12 residential properties which are let out. The total rent received during the tax year 2025/26 was £140,000.
- (2) In addition, on 6 April 2025, Sheldon received a premium of £45,000 on the grant of a five-year lease for a freehold shop.
- (3) Sheldon's expenditure in relation to the property business was £35,800 for the tax year 2025/26. This figure includes:
 - (a) £2,000 for redecorating and painting one of the properties.
 - (b) £4,000 for the cost of five new washing machines. All five washing machines replaced washing machines which had been bought for £600 each in 2018. The new washing machines were similar to the ones replaced.
 - (c) £1,600 for legal fees in relation to the grant of the five-year lease for the freehold shop.

Other income

During the tax year 2025/26, Sheldon received dividend income of £17,000.

Required:

Calculate the income tax payable by Sheldon for the tax year 2025/26.

Note: You should indicate by use of zero (0) any items which are not taxable or deductible.
(15 marks)

102 KAGAN

This scenario relates to four requirements.

You should assume that today's date is 4 April 2025.

On 2 April 2025, Kagan inherited some quoted ordinary shares valued at £510,000 following the death of his aunt. Kagan is unsure whether to retain the shares or sell some of them in order to make some alternative investments.

Kagan is aged 61 and is an additional rate taxpayer. Prior to the inheritance, his taxable income, consisting entirely of employment income, for the tax year 2025/26 would have been £400,000. The income tax liability on this income for the tax year 2025/26 would have been £166,203.

Prior to receiving the inheritance, Kagan's chargeable estate for inheritance tax (IHT) purposes was valued at £1,700,000. IHT of £550,000 would be payable were he to die in the near future.

Retain the inherited shares

If Kagan simply retains the inherited shares, then he will receive dividend income of £15,300 during the tax year 2025/26. This is in addition to his employment income of £400,000.

Sell some inherited shares and make four alternative investments

Kagan is considering selling some of his inherited shares (for which there has only been a minimal increase in value since he inherited them) to fund the following four investments, all of which will be made at the start of the tax year 2025/26:

- 1 Kagan will make a gross personal pension contribution of £100,000. Kagan is a member of a pension scheme, but has not made any contributions in recent years because his income has been substantially lower than it is for the tax year 2025/26. He therefore has sufficient unused annual allowances to cover a pension contribution of £100,000. Kagan will immediately withdraw £25,000 of the pension fund tax-free. This is the permitted tax-free amount. However, no pension will be taken during the tax year 2025/26.
- 2 Kagan will invest £50,000 in premium bonds. The expected amount of premium bond prizes which will be received during the tax year 2025/26 is £700.
- 3 Kagan will invest the maximum permitted amount of £20,000 in a cash individual savings account (ISA). The ISA will pay interest of £400 during the tax year 2025/26.
- 4 Kagan will purchase a freehold property for £295,000 (including all costs of purchase). The property will be let out unfurnished, with Kagan receiving property income of £9,600 during the tax year 2025/26.

After making these four investments, Kagan will be left with £65,000 of inherited shares, on which he will receive dividend income of £450 during the tax year 2025/26. He will also have his employment income of £400,000.

Kagan will not make any other disposals during the tax year 2025/26.

Required:

- (a) Calculate Kagan's revised income tax liability for the tax year 2025/26 if he retains the inherited shares. (1 mark)
- (b) (i) Explain why little or no capital gains tax (CGT) will be payable if Kagan sells some of his inherited shares. (1 mark)
- (ii) Calculate Kagan's revised income tax liability for the tax year 2025/26 if he sells some of his inherited shares and makes the four alternative investments.

Notes:

- 1 For this part of the question, you are expected to produce a full income tax computation.
- 2 You should indicate by the use of zero (0) any items which are not taxable. (6 marks)
- (c) For each of the four alternative investments (pension contribution, premium bonds, ISA and freehold property) state whether the investment will reduce Kagan's potential IHT liability compared to him retaining the inherited shares.

Note: For this part of the question, no computations are required. (2 marks)

(Total: 10 marks)

103 ESME**This scenario relates to three requirements.**

Esme is employed by HHK plc. The following information is available for the tax year 2025/26:

- (1) HHK plc paid Esme a gross annual salary of £45,000.
- (2) During the tax year 2025/26, Esme received a bonus of £19,000 on 10 April 2025 and another bonus of £22,000 on 22 March 2026. Esme was contractually entitled to receive these bonuses on 31 March 2025 and 31 March 2026 respectively.
- (3) During the period 6 April to 30 November 2025, Esme was provided with a petrol company car. The car has a list price of £42,000 and an official CO₂ emissions rate of 173 grams per kilometre. Esme was not provided with any fuel for private journeys.
- (4) On 1 December 2025, Esme purchased her own car for £20,000. During the period 1 December 2025 to 5 April 2026, Esme drove a total of 23,000 miles, of which 12,000 were for business journeys. HHK plc reimbursed Esme £5,760 for the business journeys.
- (5) Esme contributed 4% of her gross annual salary of £45,000 into HHK plc's occupational pension scheme. HHK plc contributed a further 2% into the pension scheme on Esme's behalf.

Other information

- (1) During the tax year 2025/26, Esme received dividend income of £6,000 from quoted shares. Esme is considering transferring these shares to her husband, Andy.
- (2) During the tax year 2025/26, Esme made a charitable donation of £5,000 (net) under the gift aid scheme.

Esme's husband

Esme is married to Andy. Andy's only income in the tax year 2025/26 is dividend income of £7,000.

Both Esme and Andy's income is expected to remain the same for the foreseeable future.

Required:

- (a) Calculate Esme's income tax liability for the tax year 2025/26. 

Note: You should indicate by the use of zero (0) any items which are not taxable or deductible. (10 marks)

- (b) Explain how a married couple can reduce their income tax liabilities for the tax year 2025/26 by claiming the transferable amount of personal allowance (the marriage allowance), and state why such a claim is not possible for Esme and Andy.  (3 marks)

- (c) Explain how both Esme's income tax liability and Andy's income tax liability for the tax year 2026/27 would be affected if they were to transfer all of the quoted shares currently held by Esme to Andy. 

Notes:

- 1 You are not expected to recalculate all of Esme's income tax liability.
- 2 You should assume that income tax rates and allowances remain unchanged. (2 marks)

(Total: 15 marks)

104 TONIE (ADAPTED)

This scenario relates to three requirements.

Up to and including the tax year 2023/24, Tonie was resident in the UK for tax purposes, spending more than 300 days in the UK each year. Tonie understands that for the tax year 2025/26, she will again automatically be treated as resident in the UK, but is unsure of her residence status for the tax year 2024/25. For this tax year, Tonie was neither automatically resident in the UK nor automatically not resident. Throughout the tax year 2024/25, Tonie was travelling around the world and did not stay in any one country for longer than 30 days, although she did spend a total of 50 days in the UK. Tonie has a house in the UK, but it was let out throughout the tax year 2024/25. She is single, has no children, and stayed with a friend on the 50 days that she spent in the UK. Tonie did not do any substantive work in the UK during the tax year 2024/25.

The following information is available for the tax year 2025/26:

Employment

On 6 April 2025, Tonie, who is a software developer, accepted a one-year contract to maintain websites for Droid plc. Droid plc treated the contract as one of employment, with the payments to Tonie being subject to PAYE. However, Tonie thought that, because she was working from home, her employment status should instead have been one of self-employment.

- 1 For the term of the contract, from 6 April 2025 to 5 April 2026, Tonie was paid a fixed gross amount of £6,200 a month. During the term of the contract, Tonie was not permitted to work for any other clients. She was required to do the work personally, not being permitted to sub-contract the work to anyone else.
- 2 During the term of the contract, Tonie worked from home, but had to attend weekly meetings at Droid plc's offices to receive instructions regarding the work to be performed during the following week. During the period 6 April 2025 to 5 April 2026, Tonie used her private car for business visits to Droid plc's clients. She drove 2,300 miles, for which Droid plc paid an allowance of 60 pence per mile.
- 3 During the term of the contract, Tonie leased computer equipment at a cost of £180 a month. This was used 100% for business purposes.

Property income

- 1 Tonie owns a freehold house which is let out. The total amount of rent received during the tax year 2025/26 was £10,080.
- 2 Tonie partly financed the purchase of the property with a repayment mortgage, paying mortgage interest of £4,200 during the tax year 2025/26.
- 3 During May 2025, Tonie purchased a new washer-dryer for the property at a cost of £640. This was a replacement for an old washing machine which was scrapped, with nil proceeds. The cost of a similar washing machine would have been £380.
- 4 During November 2025, Tonie purchased a new dishwasher for the property at a cost of £560. The property did not previously have a dishwasher.
- 5 The other expenditure on the property for the tax year 2025/26 amounted to £1,110, and this is all allowable.
- 6 During the tax year 2025/26, Tonie rented out one furnished room of her main residence. During the year, she received rent of £8,580 and incurred allowable expenditure of £870 in respect of the room. Tonie always uses the most favourable basis as regards the tax treatment of the furnished room.

Other income

- 1 On 1 July 2025, Tonie inherited £100,000 (nominal value) of gilts paying interest at the rate of 3%. The inheritance was valued at £120,000. Interest is paid half-yearly on 30 June and 31 December based on the nominal value. Tonie sold the gilts on 30 November 2025 for £121,250 (including accrued interest).
- 2 On 31 January 2026, Tonie received a premium bond prize of £100.
- 3 On 31 March 2026, Tonie received interest of £520 on the maturity of savings certificates from NS&I (National Savings and Investments).

Required:

- (a) Explain why Tonie was treated as not resident in the UK for the tax year 2024/25. 
(2 marks)
- (b) List FOUR factors which are indicators of Tonie being treated as employed in relation to her contract with Droid plc rather than as self-employed. 

Note: You should confine your answer to the information given in the question.

(2 marks)

- (c) On the basis that Tonie is treated as employed in relation to her contract with Droid plc, calculate her taxable income for the tax year 2025/26. 

Note: You should indicate by the use of zero (0) any items which are not taxable or deductible. (11 marks)

(Total: 15 marks)

105 KAT (ADAPTED) *Walk in the footsteps of a top tutor*

This scenario relates to two requirements.

You should assume that today's date is 15 March 2025.

On 6 April 2025, Kat will purchase a residential freehold property which she will let out. However, Kat is unsure whether to purchase the property personally or via a limited company. The limited company would be incorporated for the sole purpose of purchasing and letting out the property, and Kat would hold all of the shares in the company.

Regardless of whether the property is purchased personally or via a limited company:

- 1 The property will be let throughout the year ended 5 April 2026 at a monthly rent of £2,600.
- 2 The purchase of the property will be partly financed with a repayment mortgage. Mortgage interest of £12,000 will be paid during the year ended 5 April 2026.
- 3 The other expenditure on the property for the year ended 5 April 2026 will amount to £4,600, and this will all be allowable.
- 4 Kat will also have employment income of £60,650 for the tax year 2025/26.

If the property is purchased via a limited company, then the company's corporation tax liability for the year ended 5 April 2026 will be £2,774 and Kat will withdraw dividends from the company totalling £6,000 during the tax year 2025/26.

Kat will not have any other income for the tax year 2025/26.

Required:

- (a) Determine if there will be an overall saving of tax for the year ended 5 April 2026 if Kat purchases the property via a limited company rather than purchasing it personally. 

Notes:

- 1 Your answer should include a calculation of Kat's income tax liability if she purchases the property personally and if she purchases it via a limited company.
 - 2 You should ignore national insurance contributions (NICs). (9 marks)
- (b) Explain ONE way in which the calculation of a future taxable gain on a property disposal made by the limited company would differ from the calculation of a taxable gain on a disposal made personally by Kat.  (1 mark)

(Total: 10 marks)

106 BERTIE

This scenario relates to two requirements.

You should assume that today's date is 25 March 2025.

Bertie is the managing director of, and 100% shareholder in, Rebite Ltd.

For the past few years, Bertie has taken a high level of director's remuneration from Rebite Ltd to fund his personal pension contributions and the lease payments on his private car. However, Bertie has now realised that these are not the most tax beneficial arrangements, and is therefore considering more beneficial alternative arrangements.

Existing arrangements

If Bertie continues with the existing arrangements for the tax year 2025/26:

- (1) Rebite Ltd will pay Bertie gross director's remuneration of £75,000.
- (2) Bertie will use his private car for business mileage, with Rebite Ltd paying a mileage allowance of 45 pence per mile for business journeys. Bertie will drive 10,000 miles in the performance of his duties for Rebite Ltd during the tax year 2025/26.
- (3) Bertie will make personal pension contributions of £25,000 (gross).

Bertie does not have any other income.

After taking account of the above, Rebite Ltd's corporation tax liability for the year ended 5 April 2026 will be £62,852.

Beneficial arrangements

If Bertie adopts the beneficial arrangements throughout the tax year 2025/26:

- (1) Instead of paying any director's remuneration, Rebite Ltd will pay Bertie dividends of £35,000.
- (2) Instead of Bertie running a private car, Rebite Ltd will provide Bertie with a company car. This will be an electric car with a list price of £37,000 and zero CO₂ emissions per kilometre.

The car will be leased by Rebite Ltd at an annual cost of £12,000.

Because the car will be electric, there will be no car fuel benefit.

- (3) Instead of Bertie personally making personal pension contributions, Rebite Ltd will make pension contributions of £25,000 into a company pension scheme on his behalf.

Before taking account of any deductions under the beneficial arrangements (dividends, leasing costs and pension contributions) Rebite Ltd will have a trading profit of £340,000 for the year ended 5 April 2026.

Required:

- (a) **Calculate the reduction in Bertie's income tax and employee class 1 national insurance contributions (NIC) for the tax year 2025/26 if the beneficial arrangements are implemented throughout the year, rather than the existing arrangements.** ☒

Note: Where relevant, you are expected to produce full income tax and employee class 1 NIC computations. (7 marks)

- (b) Calculate the increase in Rebite Ltd's corporation tax liability for the year ended 5 April 2026 if the beneficial arrangements are implemented throughout the year, rather than the existing arrangements. 

Notes:

- 1 You are not expected to recalculate the corporation tax liability under the existing arrangements.
- 2 You should assume that the rate of corporation tax remains unchanged.

(3 marks)

(Total: 10 marks)

INCOME TAX BASICS AND INCOME FROM SELF-EMPLOYMENT

107 TRIPLE A LTD



Walk in the footsteps of a top tutor

This scenario relates to one requirement.

You should assume that today's date is 15 March 2025.

You are a trainee Chartered Certified Accountant dealing with the tax affairs of Afia, Afua and Akua who have been in partnership since 6 April 2011. The partnership's profits have recently increased, so the partners are considering incorporating the partnership's business on 6 April 2025. The new limited company would be called Triple A Ltd.

Your assistant has correctly calculated some of the relevant tax figures.

Partnership

If the partners continue to trade as a partnership, their total income tax liabilities and national insurance contributions (NIC) (for all three partners) for the tax year 2025/26 will be:

	£
Income tax	55,896
Class 4 NICs	9,051
	64,947

This is based on Afia, Afua and Akua sharing profits equally. The figures are after taking account of the personal pension scheme contributions made by each partner. None of the partners has any other income except for their partnership share.

Triple A Ltd

If the partners incorporate the partnership's business, Triple A Ltd's taxable total profits for the year ended 5 April 2026, before taking account of director's remuneration and company pension scheme contributions, will be £264,000.

- 1 Afia, Afua and Akua will each be paid gross director's remuneration of £50,270 for the tax year 2025/26.

- 2 The total amount of class 1 employee NICs payable (for all three directors) in respect of this director's remuneration will be £9,048. The total amount of class 1 employer NICs will be £20,373.
- 3 During the tax year 2025/26, Triple A Ltd will make a pension contribution of £20,000 into the company's occupational pension scheme for each of the three directors. The directors will then not personally make any pension contributions.
- 4 During the tax year 2025/26, Triple A Ltd will pay dividends of £9,000 to each of the three directors.

Required:

Assuming the business is run as a company from 6 April 2025:

- (i) Calculate the tax payable by the three individuals. [3]
- (ii) Calculate the tax payable by Triple A Ltd. [3]
- (iii) Compare the total tax and national insurance contributions (NIC) liabilities for the partners (as shown in the scenario) and the tax as calculated at (a)(i) and (ii) plus the NIC (as shown in the scenario for Triple A Ltd) and state if there is any saving. [3]

Notes:

- 1 You should indicate by the use of zero (0) any items which are not taxable or deductible.
- 2 You should assume that the rate of corporation tax remains unchanged.

(10 marks)

108 IDRIS WILLIAMS *Walk in the footsteps of a top tutor*

This scenario relates to three requirements.

Idris started trading on 6 April 2025 and has decided to prepare his first set of accounts to 5 April 2026.

The following information is available regarding his statement of profit or loss for the first year of trading:

	Notes	£	£
Revenue	1		49,910
Less: Food, utilities and other household goods	2		(17,660)
Gross profit			32,250
Expenses:			
Depreciation	3	1,250	
Car expenses	4	9,340	
Other expenses	5	1,485	
			(12,075)
Net profit			20,175

Notes:

- 1 Revenue includes £10,275 which is still receivable at 5 April 2026.
- 2 Idris paid for 95% of his purchases of £17,660 by 5 April 2026 and the remainder in May 2026. There is no closing inventory at 5 April 2026.
Idris is living in part of the bed and breakfast and £4,500 of the purchases paid for during the period relate to Idris's personal use.
- 3 The depreciation charge relates to furniture bought in the period for £3,500 and a car purchased on 6 April 2025 for £9,000. The car has CO₂ emissions of 35 grams per kilometre.
- 4 The car expenses of £9,340 relate to Idris' car and in the period he drove 13,000 business miles and 20,000 miles in total.
- 5 The other expenses are all allowable for tax purposes. £400 of these expenses was unpaid at 5 April 2026.

The cash basis private use adjustment for one occupant in a business premises for a 12-month period is £4,200 and this will be used if Idris uses the cash basis.

Required:

- (a) Calculate Idris' tax adjusted trading profit for the year ended 5 April 2026, assuming he elects to use the accruals basis.  (4 marks)
- (b) Calculate Idris' taxable trading profit for the year ended 5 April 2026, assuming he uses the default cash basis and claims HMRC's approved mileage allowances.  (5 marks)
- (c) State which basis would be more beneficial for Idris for the tax year 2025/26.  (1 mark)

(Total: 10 marks)

109 **ETHEL** *Walk in the footsteps of a top tutor*

This scenario relates to two requirements.

Ethel Brown started to run a small bed and breakfast business as a sole trader on 6 April 2025. She prepared her first accounts for the year to 5 April 2026.

She has read about the cash basis of accounting and HMRC flat rate expense adjustments which are intended to simplify tax accounting for small businesses.

In the year to 5 April 2026 she has the following transactions:

- 1 Ethel earned income of £74,500 during the year. At 5 April 2026 £10,000 of the income was still outstanding.
- 2 Payments of £25,000 in respect of food, utilities and other household costs. She lives in part of the bed and breakfast premises with her husband and two children and 35% of the food, utilities and other household costs relate to their private use. The HMRC flat rate private use adjustment for four occupants of business premises is £7,800.

- 3 On 1 June 2025 Ethel paid a car dealer £14,000 by cheque for a car with CO₂ emissions of 40 grams per kilometre. She also made payments totalling £3,000 related to the running costs of the car for the year. She has used the car 40% of the time for private purposes and she drove 11,000 business miles during the year.
- 4 On 1 March 2026 she acquired an item of kitchen equipment for £350 on credit terms. She paid the supplier's invoice on 15 April 2026.

Required:

- (a) Calculate Ethel's taxable trading profit for the year ended 5 April 2026 assuming that she prepares her accounts using the cash basis and opts to use the HMRC flat rate expense adjustments for both the car and the private use of the business premises. Your answer should be supported with brief notes to explain how you have treated the transactions in Notes 1 to 4. ☒

You should ignore VAT.

(6 marks)

- (b) Calculate Ethel's tax adjusted trading profit for the year ended 5 April 2026 assuming that she elects to prepare her accounts using the accruals basis. ☒

You should ignore VAT.

(4 marks)

(Total: 10 marks)

110 DADA (ADAPTED)

This scenario relates to three requirements.

Dada ceased employment with Curly plc on 31 December 2025, having been employed since 1 January 2019. Dada is also self-employed and prepares accounts for his business on the accruals basis to 31 March each year. The following information is available for the tax year 2025/26:

Self-employment

Dada's tax adjusted trading profit based on his draft accounts for the year ended 31 March 2026 is £29,800. This figure is **before** accounting for:

- Advertising expenditure of £1,300 incurred during November 2025 to promote Dada's business
- Expenditure incurred on client entertaining of £560
- The cost of Dada's office (see note (1) below)
- Capital allowances (see note (2) below)

Notes

- 1 Dada runs his business using one of the six rooms in his private house as an office. The total running costs of the house for the year ended 31 March 2026 were £2,400. No deduction has been made for the cost of the office in calculating the profit of £29,800.

- 2 Capital allowances

The tax written down value of both the main pool and the special rate pool as at 1 April 2025 is £Nil.

On 1 January 2026, Dada purchased a laptop computer for £1,200. This laptop computer was sold on 20 March 2026 for £400. Dada had elected for this laptop computer to be treated as a short-life asset. A replacement laptop computer was purchased on the same day for £2,700.

On 1 May 2025, Dada brought his private car into his business at its market value of £14,000. The car has a CO₂ emission rate of 39 grams per kilometre. The car is used 80% for business journeys in his self-employment.

Employment

During the period from 6 April to 31 December 2025, Dada was paid a gross monthly salary of £5,400.

During the period from 6 April to 31 December 2025, Dada contributed a total of £2,340 into Curly plc's occupational pension scheme.

Dada used his private car for business purposes. During the period from 6 April to 31 December 2025, he drove 16,400 miles in the performance of his duties for Curly plc, for which the company paid an allowance of 30 pence per mile.

On 10 May 2025, Dada spent £460 on a replacement suit which he only wore when meeting clients of Curly plc. The suit was scrapped, with nil proceeds, on 31 December 2025.

Other income

On 31 May 2025, Dada received a premium bond prize of £500.

During the tax year 2025/26, Dada received interest of £270 from UK Government securities (gilts).

On 30 November 2025, Dada received interest of £1,030 on the maturity of savings certificates from NS&I (National Savings and Investments).

Required:

- (a) Calculate Dada's revised tax adjusted trading profit for the year ended 31 March 2026. 

Note: Your computation should commence with the draft profit per accounts of £29,800, indicating by the use of zero (0) any item which does not require adjustment. (6 marks)

- (b) Calculate Dada's taxable income for the tax year 2025/26. 

Note: You should indicate by the use of zero (0) any items which are not taxable or deductible. (7 marks)

- (c) State TWO advantages for an employee if their employer had payrolled the taxable benefits provided to the employee.  (2 marks)

(Total: 15 marks)

111 FLEUR (ADAPTED)

This scenario relates to one requirement.

You should assume that today's date is 25 March 2025.

You are a trainee Chartered Certified Accountant dealing with the tax affairs of Fleur. Fleur has been self-employed since 6 April 2010 and has previously asked you to calculate whether it would be beneficial to incorporate her business on 6 April 2025. The new limited company was to be called Flower Ltd.

Fleur operating as a sole trader

Her forecast taxable trading profit was £100,000 for the year ending 5 April 2026.

Fleur operating as a limited company

Flower Ltd's forecast tax adjusted trading profit for the year ending 5 April 2026 was £100,000. After taking account of Fleur's director's remuneration of £35,000 and the related employer's class 1 national insurance contributions (NICs) of 4,500, this was to be £60,500 (£100,000 – £35,000 – £4,500). Fleur would then have withdrawn £45,000 of the company's profits as dividends. Fleur has no other source of income.

Based on these figures, you established that there was no tax benefit to incorporating Fleur's business since the tax and NIC costs were higher. The supporting tax liabilities and NICs which you had correctly calculated were:

Operate as a sole trader	£	Operate as a limited company	£
Income tax	27,432	Income tax	15,812
Class 4 NICs	3,257	Employee class 1 NICs	1,794
		Employer's class 1 NICs	4,500
	————	Corporation tax	12,282
Total	30,689		————
	————	Total	34,388
			————

Change to the forecast figures

Fleur has just signed a contract with a new customer and has revised her forecast for the year ending 5 April 2026.

Operating as a sole trader

She now forecasts that her taxable trading profit for the year ending 5 April 2026 will be £135,000 rather than £100,000.

Operating as a limited company

The forecast tax adjusted trading profit for the year ending 5 April 2026 will be £135,000 rather than £100,000. Director's remuneration will remain at £35,000, but Fleur will increase the dividends taken from Flower Ltd to £70,000.

Fleur wants to know whether the additional £35,000 of profit will now mean it is beneficial to incorporate her business on 6 April 2025.

Required:

Based on the increased taxable trading profit of £135,000, calculate revised figures for each of the six tax and national insurance contributions (NICs) figures already calculated for the year ending 5 April 2026, and show if there will be an overall cost or saving if she incorporates the business on 6 April 2025.

Notes:

- 1 For each of the six tax and NIC figures already calculated, you should show the revised amounts, stating if any remain unchanged.**
- 2 For the income tax figures, you are expected to produce full income tax computations.**
- 3 You should assume that the rate of corporation tax remains unchanged.**

(Total: 10 marks)

112 PAUL (ADAPTED)*Walk in the footsteps of a top tutor*

This scenario relates to one requirement.

You should assume that today's date is 15 March 2025.

Paul is the managing director of, and 100% shareholder in, Palu Ltd.

For the year ended 5 April 2026, Palu Ltd's tax adjusted trading profit, before taking account of director's remuneration, is forecast to be £175,000. Paul intends to extract all of Palu Ltd's profits (after allowing for corporation tax). This will be achieved by paying himself gross director's remuneration of £5,000 and dividends of £128,700.

Paul wants to know if it would be beneficial to cease trading via Palu Ltd on 5 April 2025, and instead run his business from 6 April 2025 onwards as a sole trader. His tax adjusted trading profit for the year ended 5 April 2026 would remain unchanged at £175,000.

Paul will not have any other income for the tax year 2025/26.

Required:

Determine whether or not there will be an overall saving of tax and national insurance contributions (NICs) for the year ended 5 April 2026 if Palu Ltd's business is instead run by Paul as a sole trader from 6 April 2025. ☒

Notes:

- 1** You are expected to calculate the income tax payable by Paul, any NICs payable by Paul and Palu Ltd, and the corporation tax liability of Palu Ltd for the year ended 5 April 2026 assuming that he continues to run the business via the company.
- 2** You should then compare this total amount with the income tax and NICs payable by Paul assuming that he runs the business as a sole trader.
- 3** You should assume that the rate of corporation tax remains unchanged.

(Total: 10 marks)

113 NA STYLE (ADAPTED)*Walk in the footsteps of a top tutor*

This scenario relates to three requirements.

Na Style ceased self-employment as a hairdresser on 31 January 2026. Na's tax adjusted trading profit for the final ten-month period of trading from 1 April to 31 January 2026 was £33,215. This figure is before taking account of capital allowances and was calculated on the accruals basis.

The tax written down value of the capital allowances main pool at 1 April 2025 was £2,200. On 10 August 2025, Na purchased a laptop computer for £1,700.

On the cessation of trading, Na personally retained the laptop computer. Its value on 31 January 2026 was £1,200. The remainder of the items included in the main pool were sold for £800 on 31 January 2026.

Other information

- 1 During the tax year 2025/26 Na received dividends of £5,200, building society interest of £700, interest of £310 from an individual savings account (ISA), interest of £1,100 on the maturity of a NS&I savings certificate, and interest of £370 from government stocks (gilts).
- 2 Na's payments on account of income tax in respect of the tax year 2025/26 totalled £3,200.

Required:

- (a) Calculate the amount of trading profit that will have been taxed on Na Style for the tax year 2025/26.  (5 marks)
 - (b) 1 Calculate the income tax payable by Na Style for the tax year 2025/26.  (6 marks)
 - 2 Calculate Na Style's balancing payment for the tax year 2025/26 and her payments on account for the tax year 2026/27, stating the relevant due dates.  (3 marks)
 - You should ignore national insurance contributions.
 - 3 State the penalty that will be payable if Na Style does not submit her income tax return for the tax year 2025/26 until 31 March 2027. (1 mark)
- (Total: 15 marks)**

114 ZHI (ADAPTED) *Walk in the footsteps of a top tutor*

This scenario relates to four requirements.

You should assume that today's date is 15 December 2025.

Zhi has been self-employed since 2007, preparing accounts to 31 December. On 1 December 2025, Zhi purchased a new freehold warehouse for £164,000 for use in his business, but this purchase has resulted in Zhi having cash flow problems. He has various tax payments becoming due over the next two months, and would like to reduce or postpone these payments as much as possible.

Income tax and national insurance contributions (NICs)

Zhi's income tax liabilities and class 4 NICs for the tax years 2023/24 to 2025/26 (inclusive) are, or are forecast to be:

	2023/24	2024/25	2025/26
	£	£	£
Income tax liability	25,200	27,600	18,000
Class 4 NICs	4,084	4,204	3,724

Zhi has not made any claims to reduce his payments on account.

Capital gains tax (CGT)

Zhi has a CGT liability of £17,520 becoming due for payment on 31 January 2026. This is in respect of a freehold office building which was sold for £210,000 on 10 December 2024, resulting in a chargeable gain of £76,000. The office building had always been used for business purposes by Zhi.

Zhi is a higher rate taxpayer. No claim has been made for rollover relief.

Value added tax (VAT)

Zhi has forecast that he will have to pay VAT of £20,200 on 7 February 2026 to HM Revenue & Customs (HMRC) in respect of the VAT quarter ended 31 December 2025.

On 12 December 2025, Zhi dispatched goods relating to an exceptionally large credit sale of standard-rated goods of £45,600 (inclusive of VAT). He has not yet issued a sales invoice for this sale.

Because the customer is unlikely to pay until 28 February 2026, Zhi is considering not issuing a sales invoice until 1 February 2026.

PAYE and NICs

Zhi will have to pay PAYE and NICs of £5,526 electronically on 22 January 2026 to HMRC in respect of his two employees for the tax month running from 6 December 2025 to 5 January 2026.

This includes amounts for bonuses, which Zhi was planning to pay to his two employees on 1 January 2026, but he could delay payment until 10 January 2026. The bonuses are in respect of the year ended 31 December 2025, and they will be treated as being received on whichever is the date of payment.

The first employee has a gross annual salary of £20,000 and is to be paid a bonus of £1,500. The second employee has a gross annual salary of £55,000 and is to be paid a bonus of £5,000.

Required:

- (a) Calculate the amount by which Zhi can claim to reduce his self-assessment income tax and NICs due for payment on 31 January 2026 without incurring interest or penalties.  (2 marks)
- (b) Calculate the amount by which Zhi's CGT liability due for payment on 31 January 2026 will be reduced if he makes a claim for rollover relief based on the warehouse purchased on 1 December 2025 for £164,000. Assume that tax rates and allowances for the tax year 2025/26 apply throughout.  (3 marks)
- (c) Explain whether Zhi can reduce the amount of VAT payable on 7 February 2026 by not issuing a sales invoice for the credit sale of £45,600 until 1 February 2026, and, if so, by how much the payment will be reduced.  (2 marks)
- (d) Calculate the amount by which Zhi's PAYE and NICs due on 22 January 2026 will be reduced if he delays the payment of employee bonuses until 10 January 2026, and state when the postponed amount will be payable. 

Note: Your calculations should be based on annual income tax and NIC thresholds. (3 marks)

(Total: 10 marks)

115 JADE (ADAPTED)

This scenario relates to three requirements.

You should assume that today's date is 15 December 2025.

Jade is self-employed and is normally subject to income tax at the higher rate of 40%. However, because of some exceptionally large one-off contracts, Jade has forecast that her trading profit for the year ended 5 April 2026 will exceed £200,000, meaning she will pay income tax at the additional rate of 45% for the tax year 2025/26.

Jade is going to undertake four measures aimed at reducing her income tax liability and national insurance contributions (NICs) for the tax year 2025/26:

Employment of daughter

Jade's daughter, Emerald, has recently returned to the United Kingdom after travelling overseas. She currently has no income for the tax year 2025/26. For the three-month period ended 5 April 2026, Emerald will be employed by Jade's business at a gross monthly salary of £2,000, payable on the 5th of the month. This salary is reasonable in relation to the duties that will be performed by Emerald.

Capital expenditure

Jade was planning to purchase new office equipment for £14,000 on 10 April 2026, but this expenditure will instead be brought forward to 1 April 2026. This will be her only capital expenditure in the tax year 2025/26.

Bonus

Jade has one key employee who was largely responsible for obtaining the large contracts. This employee, who has a gross annual salary of £65,000, will be paid a bonus of £10,000 on 1 April 2026.

Drawings

Jade was planning to take £100,000 out of the business as drawings during the tax year 2025/26, but will instead take reduced drawings of £80,000.

Required:

- (a) Briefly explain the difference between tax evasion and tax avoidance. (2 marks)**
- (b) Calculate the income tax payable and class 1 NICs suffered by Emerald for the tax year 2025/26. (2 marks)**
- (c) Calculate Jade's overall saving of income tax and class 4 NICs for the tax year 2025/26 if she undertakes the four tax planning measures.**

Note: You should show by how much each of the four measures will reduce Jade's trading profit and the resulting tax and class 4 NIC saving for Jade. (6 marks)

(Total: 10 marks)

116 HANNAH

This scenario relates to three requirements.

Hannah has been trading for many years preparing accounts to 31 March. On 1 January 2026, she commenced part-time employment with Lomly Ltd.

The following information is available in respect of the tax year 2025/26:

Self-employment

Hannah's tax adjusted trading profit for the year ended 31 March 2026 was £81,770. This figure is **before** taking account of capital allowances. Hannah uses the accruals basis.

On 1 April 2025, the tax written down values of Hannah's plant and machinery were as follows:

	£
Main pool	25,000
Car	7,700

The car has a CO₂ emissions rate of 105 grams per kilometre and is used by Hannah 40% for business mileage.

On 15 May 2025, Hannah bought office equipment for £4,500. On 17 August 2025, she replaced her old car (which had been purchased for £11,200) by exchanging it for a new one. With a part exchange allowance of £10,000, Hannah had to pay an additional £25,000 for the new car. The CO₂ emissions rate of the new car was 45 grams per kilometre and the private usage remained the same.

On 31 December 2025, she sold some of the old plant for £24,500.

For the tax year 2025/26, Hannah has transition profits of £4,500.

Employment

On 1 January 2026, Hannah commenced part-time employment with Lomly Ltd earning a gross annual salary of £125,000. Lomly Ltd also provides Hannah with the following benefits:

Living accommodation

On 1 January 2026, Hannah moved into a property owned by Lomly Ltd which does not qualify as job-related accommodation. The property has an annual value of £16,000. The property was purchased by Lomly Ltd on 1 September 2023 for £250,000 and its market value on 1 January 2026 was £280,000.

Beneficial loan

Lomly Ltd provided Hannah with an interest-free loan of £60,000 on 1 January 2026. She has repaid £2,500 at the end of each month starting on 31 January 2026. The taxable benefit in respect of this loan is calculated using the average method.

Travel and expenses

During the period 1 January to 5 April 2026, Hannah used her private car to travel 6,000 business miles. She was reimbursed by Lomly Ltd at a rate of 50 pence per mile.

Hannah also paid £450 out of her own bank account for hotel rooms which she stayed in during business trips. Lomly Ltd reimbursed her for these expenses on 20 March 2026.

Required:

- (a) Calculate the trading income assessment of Hannah for the tax year 2025/26. ☒ (6 marks)
- (b) Calculate the employment income of Hannah for the tax year 2025/26. ☒
 Note: You should indicate by the use of zero (0) any items which are not taxable or deductible. (8 marks)
- (c) Explain how the tax treatment of the property provided to Hannah would differ if it qualified as job-related accommodation. ☒ (1 mark)
- (Total: 15 marks)

117 ALFRED AND AMAIA (ADAPTED)*Walk in the footsteps of a top tutor***This scenario relates to two requirements**

Alfred and Amaia are a married couple.

Alfred

Alfred started trading as a sole trader on 1 January 2026. He prepared his first set of accounts for the seven-month period ended 31 July 2026, and his draft taxable trading profit was £163,000 before adjusting for any deductions arising from the following:

- 1 £5,000 incurred during January and February 2025 on a marketing campaign for his business.
- 2 £4,500 of sales recorded in the accounts were made on credit and payment was not received until August 2026.
- 3 Cost of a golf day on 31 March 2026 for a group of Alfred's largest clients totalling £1,000.
- 4 Expenditure of £116,000 on 1 March 2026 for plant and equipment.
- 5 The purchase of a car on 15 February 2026 for £24,000. The car has a CO₂ emissions rate of 44 grams per kilometre, and is used by Alfred's employee. Alfred chooses to claim capital allowances in respect of this car.

Amaia

Amaia is employed by Argole Ltd and her remuneration package comprises:

- 1 A gross annual salary of £80,000.
- 2 From 1 January 2026, Argole Ltd provided Amaia with a petrol company car. The car had a list price of £25,000, although Argole Ltd received a discount and only paid £23,500. The car has a CO₂ emissions rate of 52 grams per kilometre. Argole Ltd did not provide any fuel for Amaia's private use.
- 3 Since 6 April 2023 Argole Ltd has provided Amaia with living accommodation which qualifies as job-related accommodation. The annual value of the property is £23,000 and Argole Ltd pays rent of £2,500 per month.

Argole Ltd deducted income tax under PAYE of £19,432 from Amaia's salary during the tax year 2025/26.

Since 6 April 2023 Amaia has let out her own house unfurnished at a rent of £1,200 per month. Amaia received 13 months' rent during the tax year 2025/26. Amaia has a mortgage which she took out to acquire the house, and in the tax year 2025/26 she made mortgage payments of £6,000, including interest of £2,600.

On 1 December 2024, Amaia paid an insurance premium of £800 for the house in respect of the year ended 31 December 2025. Then on 1 December 2025, she paid an insurance premium of £1,250 for the year ended 31 December 2026.

Required:

- (a) Calculate Alfred's revised taxable trading profit or loss for the seven-month period ended 31 July 2026 and his taxable trading income in the tax year 2025/26. 

Note: Your computation should commence with the draft taxable trading profit of £163,000 and list all of the items referred to in notes 1 to 5, indicating with the use of zero (0) any items which do not require adjustment. (6 marks)

- (b) Calculate the income tax payable by Amaia for the tax year 2025/26. 

Note: Your computation should list all of the items referred to in the scenario, indicating with the use of zero (0) any items which are not taxable. (9 marks)

(Total: 15 marks)

TRADING LOSSES

118 ASHURA (ADAPTED) *Walk in the footsteps of a top tutor*

This scenario relates to four requirements.

Ashura has been employed by Rift plc since 1 January 2022. She has also been self-employed since 1 July 2025, preparing her first accounts for the nine-month period ended 5 April 2026. The following information is available for the tax year 2025/26:

Employment

- During the tax year 2025/26, Ashura was paid a gross annual salary of £56,200, from which she paid 5% into Rift plc's occupational pension scheme.
- On 1 January 2026, Ashura personally paid two subscriptions. The first was a professional subscription of £320 paid to an HM Revenue & Customs' (HMRC's) approved professional body. The second was a subscription of £680 to a health club which Ashura regularly uses to meet Rift plc's clients. Ashura was not reimbursed for the costs of either of these subscriptions by Rift plc.
- During the tax year 2025/26, Ashura contributed £3,400 (gross) into a personal pension scheme.

Self-employment

- Ashura's tax adjusted trading profit based on her draft accounts for the nine-month period ended 5 April 2026 is £10,930. However, this figure is before making any adjustments required for the cost of Ashura's office (note 2) or capital allowances (note 3) and she suspects she will actually have an allowable loss for tax purposes. Ashura has elected to use the accruals basis.

- 2 Ashura runs her business from a newly built office (construction began on 2 November 2024 and was completed in June 2025 shortly before Ashura started trading). No deduction has been made for the £110,000 cost of the office in calculating the profit of £10,930. The cost of £110,000 was made up as follows:

	£
Building	97,600
Heating system	5,100
Water system	4,200
Decoration	3,100
	110,000

- 3 On 10 June 2025, Ashura purchased a laptop computer for use in her trade for £2,600. On 1 July 2025, Ashura purchased a car for £19,200. The car has a CO₂ emission rate of 87 grams per kilometre. During the nine-month period ended 5 April 2026, Ashura drove a total of 8,000 miles, of which 2,400 were for self-employed business journeys.

Other information

Ashura's total income for the previous four tax years is as follows:

Tax year	Total income
	£
2021/22	10,700
2022/23	10,400
2023/24	48,800
2024/25	54,300

Self-assessment tax return

Ashura filed her self-assessment tax return for the tax year 2025/26 on 14 August 2026. She is quite confident that all of her income for the tax year 2025/26 was correctly declared and that no deductions were incorrectly claimed.

Required:

- (a) Calculate Ashura's tax adjusted trading loss for the nine-month period ended 5 April 2026.  (6 marks)
- (b) Explain why it would not be beneficial for Ashura to claim loss relief under the provisions giving relief to a loss incurred in the early years of trade. 
- Note: You should assume that the tax rates and allowances for the tax year 2025/26 also applied in all previous tax years. (2 marks)
- (c) Assuming that Ashura claims loss relief against her total income for the tax year 2025/26, calculate her taxable income for this tax year.  (5 marks)
- (d) State the period during which HM Revenue & Customs (HMRC) will have to notify Ashura if they intend to carry out a compliance check in respect of her self-assessment tax return for the tax year 2025/26, and the likely reason why such a check would be made.  (2 marks)

(Total: 15 marks)

119 DEE ZYNE (ADAPTED)*Walk in the footsteps of a top tutor*

This scenario relates to two requirements.

On 5 July 2025 Dee Zyne resigned as an employee of Trendy-Wear plc. The company had employed her as a fashion designer since 2014. On 6 July 2025 Dee started self-employment running her own clothing business, preparing accounts to 5 April. She has elected to use the accruals basis.

The following information is available for the tax year 2025/26:

Self-employment

- 1 Dee's tax adjusted trading loss for the period 6 July 2025 to 5 April 2026 was £11,653. This figure is before taking account of the information in Note 2 and capital allowances.
- 2 During the period 6 July 2025 to 5 April 2026 Dee paid patent royalties of £500 in respect of specialised technology that she uses in her clothing business.
- 3 Dee purchased the following assets during the period ended 5 April 2026:

		£
10 July 2025	Computer	1,257
16 August 2025	Office furniture	2,175
13 November 2025	Car 1	10,400
21 January 2026	Car 2	17,800

Car 1 purchased on 13 November 2025 has CO₂ emissions of 45 grams per kilometre, is used by an employee, and 15% of the mileage is for private purposes.

Car 2 purchased on 21 January 2026 has CO₂ emissions of 95 grams per kilometre, is used by Dee, and 20% of the mileage is for private purposes.

Other information

- 1 Dee's employment income for the period 6 April 2025 to 5 July 2025 was £32,875.
- 2 Dee's total income for each of the tax years 2019/20 to 2024/25 was £80,000.

Required:

- (a) Calculate Dee's tax adjusted trading loss for the tax year 2025/26. (6 marks)
- (b) Describe the ways in which Dee could have relieved her trading loss for the tax year 2025/26 against total income, and explain which of these claims would have been most beneficial.

You should assume that the tax rates for the tax year 2025/26 apply throughout.

(4 marks)

(Total: 10 marks)

120 SAMANTHA FABRIQUE (ADAPTED)*Walk in the footsteps of a top tutor*

This scenario relates to two requirements.

Samantha Fabrique has been a self-employed manufacturer of clothing since 2013. She has the following income and chargeable gains for the tax years 2024/25 to 2026/27:

	2024/25	2025/26	2026/27 (estimated)
	£	£	£
Trading profit/(loss)	21,600	(81,900)	11,650
Building society interest	52,100	3,800	1,850
Chargeable gains/(loss)	53,600	(9,700)	12,500

The chargeable gains do not qualify for business asset disposal relief and are not in relation to residential property.

Required:

- (a) State the factors that will influence an individual's choice of loss relief claims.  (3 marks)
- (b) Calculate Samantha's taxable income and taxable gains for each of the tax years 2024/25 to 2026/27 (inclusive) on the assumption that she relieves the trading loss of £81,900 for the tax year 2025/26 on the most favourable basis. Explain your reasoning behind relieving the loss on the most favourable basis. 

You should assume that the tax allowances for the tax year 2025/26 apply throughout.

Note: You should use the preformatted response area provided to structure your answer. (12 marks)

(Total: 15 marks)

Preformatted response area:

Taxable income	2024/25	2025/26	2026/27
	£	£	£
Trading income	21,600	0	11,650
Interest	52,100	3,800	1,850

Taxable gains	2024/25	2025/26	2026/27
	£	£	£
Chargeable gains	53,600	0	12,500

121 MICHAEL AND SEAN *Walk in the footsteps of a top tutor*

(a) This scenario relates to three requirements.

The UK Government uses tax policies to encourage certain types of activity.

Required:

Briefly explain how the UK Government's tax policies encourage: 

- 1 Individuals to save, (1 mark)**
- 2 Individuals to support charities, (1 mark)**
- 3 Entrepreneurs to build their own businesses and to invest in plant and machinery. (2 marks)**

(b) This scenario relates to one requirement.

You are a trainee chartered certified accountant and your manager has asked for your help regarding two taxpayers who have both made trading losses.

Michael

Michael started in self-employment on 1 July 2024, preparing accounts to 5 April. His results for the first two periods of trading were as follows:

		£
Nine-month period ended 5 April 2025	– Trading loss	(24,600)
Year ended 5 April 2026	– Trading profit	7,100

For tax years 2020/21 to 2022/23, Michael had the following employment income:

	£
2020/21	44,500
2021/22	17,200
2022/23	51,000

Michael did not have any income during the period 6 April 2023 to 30 June 2024.

Sean

Sean has been in self-employment since 2014, but ceased trading on 31 March 2026. He has always prepared accounts to 31 March. His results for the final five years of trading were as follows:

	£
Year ended 31 March 2022 – Trading profit	21,300
Year ended 31 March 2023 – Trading profit	14,400
Year ended 31 March 2024 – Trading profit	18,900
Year ended 31 March 2025 – Trading profit	3,700
Year ended 31 March 2026 – Trading loss	(26,700)

For each of the tax years 2021/22 to 2025/26 (inclusive) Sean has property business profits of £12,570.

Required:

For each of the two taxpayers Michael and Sean, identify the loss relief claims that are available to them, and explain which of the available claims would be the most beneficial. 

Notes:

- 1 You should clearly state the amount of any reliefs claimed and the rates of income tax saved. However, you are not expected to calculate any income tax liabilities.**
- 2 You should assume that the tax rates and allowances for the tax year 2025/26 apply throughout.**

The following mark allocation is provided as guidance for this requirement:

Michael	(5 marks)
Sean	(6 marks)
	(Total: 15 marks)

PARTNERSHIPS

122 SAM, TAM AND UMA (ADAPTED)

Walk in the footsteps of a top tutor

This scenario relates to two requirements.

Sam and Tam have been in partnership since 1 July 2011 preparing accounts to 30 June. Tam retired as a partner on 31 October 2025, with Uma replacing her as a partner on 1 November 2025.

Sam has always received an 80% share of the partnership's profits, with Tam, and then Uma, receiving a 20% share.

The partnership's recent trading profits are as follows:

	£
Year ended 30 June 2025	137,500
Year ended 30 June 2026	132,000

Sam

For the tax year 2025/26, Sam does not have any other income apart from her 80% share of the partnership's profits.

Tam

In addition to her 20% share of the partnership's profits, for the tax year 2025/26 Tam was employed by XZQ plc between 6 April and 31 October 2025 and received pension income between 1 November 2025 and 5 April 2026. The following information is available for the tax year 2025/26:

- 1 From 6 April to 31 October 2025, Tam received a monthly gross salary of £3,400 from XZQ plc.
- 2 During the period 6 April to 31 October 2025, Tam contributed 5% of her monthly gross salary into XZQ plc's occupational pension scheme. XZQ plc contributed a further 10% on her behalf.
- 3 XZQ plc provided Tam with an interest-free loan to purchase a motorbike. The balance of the loan outstanding at 6 April 2025 was £6,400, and Tam repaid the loan in full on 31 October 2025.

Uma

In addition to her 20% share of the partnership's profits, Uma was employed by ABCD plc throughout the tax year 2025/26 as a marketing director. The following information is available for the tax year 2025/26:

- 1 Uma was paid gross annual director's remuneration of £180,000 by ABCD plc.
- 2 During the tax year 2025/26, Uma paid interest of £2,100 (gross) on a personal loan taken out to purchase her share in the partnership.

Required:

- (a) Calculate the trading income assessments of Sam, Tam and Uma for the tax year 2025/26.  (8 marks)
- (b) Calculate the taxable income of Sam, Tam and Uma for the tax year 2025/26.  (7 marks)

Note: You should indicate by the use of zero (0) any items which are not taxable or deductible.

(Total: 15 marks)

123 AMANDA**Answer debrief**

This scenario relates to four requirements.

Amanda's taxable income for the tax year 2025/26 is:

	£
Employment income	68,200
Property income	2,000
Total Income	70,200
Deductions for loss relief and qualifying interest payments	(3,200)
Net Income	67,000
Personal allowance	(12,570)
Taxable income	54,430

Living accommodation

For the period 1 November 2025 to 5 April 2026, Amanda's employer provided her with living accommodation.

Her employer had purchased the property on 10 February 2023 for £174,000, and it was valued at £192,000 on 6 April 2025 and at £194,000 on 1 November 2025. Improvements costing £8,000 were made to the property during May 2024. The annual value of the property is £6,300.

The property was furnished by Amanda's employer during August 2025 at a cost of £12,400.

The taxable benefit in respect of the living accommodation is included in the employment income figure of £68,200.

Partnership loss

Amanda has been in partnership with Benny and Cotton since 1 April 2011. For the year ended 31 March 2026, the partnership made a tax-adjusted trading loss of £10,800.

Until 31 May 2025, profits and losses were shared equally. Since 1 June 2025, profits and losses have been shared 15% to Amanda, 60% to Benny and 25% to Cotton.

Amanda has claimed her share of the partnership's loss against her total income for the tax year 2025/26, and this is included in the deductions for loss relief and interest payments figure of £3,200.

Gift aid donations

During the tax year 2025/26, Amanda made charitable gift aid donations totalling £640 (net).

PAYE

For each of the twelve months of the tax year 2025/26, Amanda's employer deducted £1,200 of income tax from Amanda's monthly earnings under PAYE.

Child benefit

Amanda received child benefit of £3,149 during the tax year 2025/26.

Amanda's husband

For the tax year 2025/26, Amanda's husband had a taxable income of £21,000.

Required:

- (a) Calculate Amanda's taxable benefit for the tax year 2025/26 in respect of the living accommodation provided by her employer. (5 marks)
- (b) Calculate Amanda's partnership loss relief claim for the tax year 2025/26. (2 marks)
- (c) Calculate the income tax and child benefit income tax charge payable by, or repayable to, Amanda for the tax year 2025/26. (5 marks)
- (d) Calculate the overall income tax saving and reduction in child benefit income tax charge for the tax year 2025/26 if the property income of £2,000 had been received by Amanda's husband rather than by Amanda. (3 marks)

(Total: 15 marks)



Calculate your allowed time and allocate the time to each separate part.

124 DANIEL, FRANCINE AND GREGOR (ADAPTED)

Walk in the footsteps of a top tutor

- (a) This scenario relates to one requirement.

Beatrice and Claude have been in partnership since 1 November 2018, preparing accounts to 31 October annually. Daniel joined as a partner on 1 May 2025. Profits had always been shared equally until Daniel joined when the split was 35:35:30. The partnership's recent taxable trading profits are as follows:

	£
Year ended 31 October 2025	96,000
Year ended 31 October 2026 (forecast)	180,000

Required:

Calculate each partner's share of the trading profits for both periods.  (3 marks)

- (b) This scenario relates to one requirement.

Francine is employed by Fringe plc. On 1 August 2025, Fringe plc provided Francine with a loan of £96,000 to help her purchase a holiday cottage. On 1 October 2025, the loan was increased by a further £14,000 so that Francine could renovate the cottage. Francine pays interest at an annual rate of 1.5% on this loan.

The taxable benefit in respect of this loan is calculated using the average method.

Required:

Calculate Francine's taxable benefit for the tax year 2025/26 in respect of the loan from Fringe plc.  (3 marks)

(c) This scenario relates to one requirement.

Gregor has been self-employed since 6 April 2010. He has the following income and chargeable gains for the tax years 2024/25 and 2025/26:

	2024/25	2025/26
	£	£
Trading profit/(loss)	14,700	(68,800)
Property income/(loss)	4,600	(2,300)
Building society interest	1,300	900
Chargeable gain/(loss)	(2,900)	17,400

Required:

On the assumption that Gregor relieves his trading loss of £68,800 as early as possible, calculate the amount of trading loss carried forward to the tax year 2026/27. 

Note: You should assume that the tax allowances for the tax year 2025/26 apply throughout. (4 marks)

(Total: 10 marks)

PENSIONS AND NIC

125 JACK (ADAPTED) *Walk in the footsteps of a top tutor*

This scenario relates to four requirements.

You should assume that today's date is 15 March 2026 and that the tax rates and allowances for the tax year 2025/26 continue to apply.

Jack, aged 44, is a widower following the recent death of his wife. He has just cashed in a substantial share portfolio and is now considering what to do with the proceeds.

Gift to a trust

The value of Jack's estate is in excess of £1,000,000, and he is worried about the amount of inheritance tax which will be payable should he die. His wife's nil rate band was fully used when she died.

Jack is therefore planning to make an immediate lifetime cash gift of £300,000 to a trust with the funds then being held for the benefit of his two children aged 10 and 12. Jack has not made any previous lifetime gifts.

Personal pension contribution

The only pension contributions which Jack has made previously are a gross amount of £1,000 per month which he saves into a personal pension scheme. Jack has continued to make these contributions throughout the tax year 2025/26. Although Jack has been saving into this scheme for the previous 15 years, he is concerned that he is not saving enough for his retirement. Jack therefore wants to make the maximum possible amount of additional gross personal pension contribution for the tax year 2025/26, but only to the extent that the contribution will attract tax relief at the higher rate of income tax.

Jack is self-employed. His trading profit is £112,000 for the tax year 2025/26 and the previous five tax years. He does not have any other income and expects to make the same level of profit in future years.

Individual savings account (ISA)

Jack has never invested any amounts in ISAs. During the next 30 days he would like to invest the maximum possible amounts into stocks and shares ISAs.

Required:

- (a) Explain, with supporting calculations where necessary, why it is good inheritance tax planning for Jack to make the immediate lifetime cash gift of £300,000 to a trust.  (3 marks)

Note: You are not expected to consider taper relief.

- (b) (i) Advise Jack of the amount of additional gross personal pension contribution he can make for the tax year 2025/26 which will benefit from tax relief at the higher rate of income tax, and explain why this is a tax efficient approach to pension saving.  (4 marks)

- (ii) Calculate the amount of unused pension annual allowances which Jack will be able to carry forward to the tax year 2026/27 if the contribution in (i) above is made.  (1 mark)

- (c) Advise Jack as to the maximum possible amount which he can invest into stocks and shares ISAs during the next 30 days.  (2 marks)

(Total: 10 marks)

SELF-ASSESSMENT**126 ERNEST VADER (ADAPTED)**

Walk in the footsteps of a top tutor

This scenario relates to four requirements.

You should assume that today's date is 30 June 2027.

You are a trainee Chartered Certified Accountant and are dealing with the tax affairs of Ernest Vader.

Ernest's self-assessment tax return for the tax year 2025/26 was submitted to HM Revenue & Customs (HMRC) on 15 May 2026, and Ernest paid the resulting income tax liability by the due date of 31 January 2027. However, you have just discovered that during the tax year 2025/26 Ernest disposed of some shares, the details of which were omitted from his self-assessment tax return. The capital gains tax liability in respect of this disposal is £18,000, and this amount has not been paid.

Ernest has suggested that since HMRC's right to initiate a compliance check into his self-assessment tax return for the tax year 2025/26 expired on 15 May 2027, no disclosure should be made to HMRC of the capital gain.

Required:

- (a) Briefly explain the difference between tax evasion and tax avoidance, as well as the general anti-abuse rule and how HMRC would view the situation if Ernest Vader does not disclose his capital gain.  (4 marks)

- (b) Briefly explain from an ethical viewpoint how you, as a trainee Chartered Certified Accountant, should deal with the suggestion from Ernest Vader that no disclosure is made to HMRC of his capital gain.  (3 marks)

- (c) Explain the penalties which your firm, as tax agents, could be liable to, if a compliance check is commenced by HMRC and the firm fails to supply the information requested by HMRC.  (2 marks)
- (d) State the period for which late payment interest will run assuming that HMRC discover the capital gain and raise an assessment on 15 July 2027 in respect of Ernest Vader's capital gains tax liability of £18,000 for the tax year 2025/26, and that this amount is then paid on 31 July 2027.  (1 mark)
- (Total: 10 marks)

127 SOPHIE SHAPE (ADAPTED)



Walk in the footsteps of a top tutor

This scenario relates to four requirements.

Sophie Shape has been a self-employed sculptor since 2005, preparing her accounts to 5 April. Sophie's tax liabilities for the tax years 2024/25 and 2025/26 are as follows:

	2024/25	2025/26
	£	£
Income tax liability	5,240	6,100
Class 4 national insurance contributions	1,820	1,910
Capital gains tax liability	0	5,277

Required:

- (a) Prepare a schedule showing the payments on account and balancing payment which Sophie Shape will have made, or will have to make, during the period from 1 April 2026 to 31 March 2027.  Your answer should clearly identify the relevant due date of each payment. (4 marks)
- (b) State the implications if Sophie Shape had made a claim to reduce her payments on account for the tax year 2025/26 to £Nil without any justification for doing so.  (2 marks)
- (c) Advise Sophie Shape of the latest date by which she can file a paper self-assessment tax return for the tax year 2025/26.  (1 mark)
- (d) State the period during which HM Revenue & Customs (HMRC) will have to notify Sophie Shape if they intend to carry out a compliance check in respect of her self-assessment tax return for the tax year 2025/26, and the possible reasons why such a check would be made. 

You should assume that Sophie will file her tax return by the filing date. (3 marks)

(Total: 10 marks)

Section 2

PRACTICE CHARGEABLE GAINS QUESTIONS

PRACTICE SECTION A OBJECTIVE TEST QUESTIONS

INDIVIDUALS – CAPITAL GAINS TAX

- 128** Massita is planning to dispose of several assets and wants to avoid any capital gains tax liability. He is unsure which of his assets to sell and which to retain.

Which TWO of the following assets would potentially realise a chargeable gain?

- A Qualifying corporate bonds
- B Painting by a famous artist
- C Gilt-edged securities
- D Main residence that he has always lived in
- E A car used in his trade, on which he has claimed capital allowances and which would be sold for £15,000 and realise a profit
- F A machine used in his trade, on which he has claimed capital allowances and which would be sold for £22,000 and realise a profit

- 129** September/December 2024 OT question

Which of the following gifts made by an individual is exempt from capital gains tax?

- A Gift of a motor boat valued at £10,000 (cost £5,000) to an aunt
- B Gift of shares in an unquoted company valued at £2,500 (original cost £1,800) to a brother
- C Gift of antique jewellery valued at £6,800 (cost £3,200) to a sister
- D Gift of land valued at £120,000 (original cost £90,000) to a nephew

130 September/December 2022 OT question (ADAPTED)

Naomi realised a chargeable gain of £20,700 in the tax year 2025/26. The gain related to the disposal of a residential property held for investment purposes and did not qualify for business asset disposal relief.

In the tax year 2025/26, Naomi had taxable income of £29,700 and she contributed £2,000 (net) into her personal pension scheme.

What is Naomi's capital gains tax liability for the tax year 2025/26?

- A £3,618
- B £4,338
- C £3,768
- D £4,488

131 Jackson acquired a holiday villa for £115,000 on 1 May 2014. He gave it to his wife Sophia on 30 September 2020 when it was worth £100,000. Sophia sold the villa for £159,000 on 1 July 2025. The villa was never the couple's main home.

Sophia had no other capital disposals in the tax year 2025/26 and has capital losses brought forward of £4,300. Her taxable income for the tax year 2025/26 is £60,000.

What is Sophia's capital gains tax payable in the tax year 2025/26?

£

132 March/June 2023 OT question (ADAPTED)

Brian had the following income and chargeable gains for the tax year 2025/26:

	£
Employment income	43,000
Chargeable gain from the sale of an antique vase	8,700

What is Brian's capital gains tax liability for the tax year 2025/26?

- A £1,652
- B £2,088
- C £1,026
- D £1,368

133 September 2017 OT question

Putting an asset into joint names with a spouse (or a partner in a registered civil partnership) prior to the asset's disposal can be sensible capital gains tax (CGT) planning.

Which of the following CANNOT be achieved as a direct result of using this type of tax planning?

- A Making the best use of annual exempt amounts
- B Deferring the CGT due date
- C Reducing the amount of CGT payable
- D Making the best use of capital losses

134 September/December 2021 OT question

Which TWO of the following statements about allowable capital losses for an individual are true?

- A The annual exempt amount is deducted before any brought forward capital losses are utilised against current year gains
- B Current year capital losses remaining after offset against current year chargeable gains can always be offset against current year income
- C The annual exempt amount is deducted before any current year capital losses are utilised against current year gains
- D Excess current year capital losses are carried forward indefinitely until future chargeable gains arise

- 135** Noah sold two paintings at an auction on 14 May 2025 for £4,000 and £7,200 respectively. He had purchased the two paintings for £1,000 each on 22 May 2013.

What is Noah's total chargeable gain arising on the sale of the two paintings?

£

- 136** Liam purchased an antique glass vase for £22,000 on 30 March 2009, incurring legal fees of £800.

The market for antique glassware has since slumped and Liam sold the vase for £5,500 on 1 January 2026 incurring auctioneer fees of £300.

What is Liam's allowable loss on this disposal?

- A £16,000
- B £16,800
- C £17,100
- D £17,600

137 June 2015 OT question

For the tax year 2025/26, Nog has a chargeable gain of £17,400 and a capital loss of £10,100. She has unused capital losses of £5,300 brought forward from the tax year 2024/25.

What amount of capital losses can Nog carry forward to the tax year 2026/27?

£

138 September 2015 OT question

On 31 March 2026, Jessica sold a copyright for £28,800. The copyright had been purchased on 1 April 2020 for £21,000 when it had an unexpired life of 15 years.

What is Jessica's chargeable gain in respect of the disposal of the copyright?

- A £0
- B £20,400
- C £16,200
- D £7,800

139 Aiden bought 30 hectares of land on 1 March 2017 for £300,000.

On 1 March 2020 he sold 10 hectares of the land for £150,000. At this time the remaining land was worth £250,000.

On 1 January 2026 Aiden sold the remaining hectares for £425,600.

Identify Aiden's chargeable gain and the due date for the capital gains tax payable thereon.

		Due date	
		31 January 2026	31 January 2027
Chargeable gain	£225,600	A	B
	£238,100	C	D

140 December 2017 OT question

Habib purchased a copyright on 30 April 2009 for £31,320. The remaining life of the copyright at the date of purchase was 30 years. On 30 April 2025, Habib sold the copyright for £27,900.

What is Habib's chargeable gain or allowable loss for the tax year 2025/26 in respect of the disposal of the copyright?

- A (£3,420)
- B £11,196
- C £0
- D £13,284

141 September/December 2023 OT question

Lotte purchased a freehold warehouse on 24 November 2020 for £52,000. On 30 June 2025, the warehouse was destroyed in a fire.

On 28 August 2025, Lotte received insurance proceeds of £71,000. She spent £64,000 of the proceeds on a replacement warehouse on 29 January 2026.

Assuming that, as far as possible, Lotte claims to defer any chargeable gains arising in the tax year 2025/26, calculate the carried forward base cost of the new warehouse purchased on 29 January 2026.

- A £45,000
- B £52,000
- C £57,000
- D £64,000

142 September 2015 OT question

On 10 January 2026, a freehold property owned by Winifred was damaged by a fire. The property had been purchased on 29 May 2012 for £73,000. Winifred received insurance proceeds of £37,200 on 23 February 2026, and she spent a total of £41,700 during March 2026 restoring the property. Winifred has elected to disregard the part disposal.

What is the base cost of the restored freehold property for capital gains tax purposes?

- A £68,500
- B £77,500
- C £114,700
- D £35,800

143 Madison gave 10,000 shares in Miles plc to her daughter during the tax year 2025/26.

The shares were quoted in the Stock Exchange Official List at 120p – 136p per share on the day of the sale.

Madison acquired 15,000 shares in Miles plc on 1 January 2020 for £4,000.

What is the chargeable gain on the gift of the 10,000 shares?

£

144 Clarissa has disposed of the following shares and securities during the tax year 2025/26:

- 1 Gilts for £8,000 which were purchased in 2023 for £2,500.
- 2 20,000 shares in Martin plc sold to her sister for £7,000.
The market value of the shares on the day of the sale was £12,300.
The shares were purchased for £8,000 in February 2023.

What is Clarissa's total chargeable gain on these disposals in the tax year 2025/26?

- A £4,500
- B £4,300
- C £5,500
- D £9,800

145 Emily had the following transactions in the shares of Elijah Plc during 2025:

		Number of shares
1 June	Purchase	22,000
1 October	Purchase	2,000
1 October	Sale	20,000
23 October	Purchase	3,000

Select the share purchases which will be matched to the 20,000 shares sold on 1 October 2025.

Matching order

Matched first

Matched second

Matched third

Share purchases – options

- 20,000 shares from the purchase on 1 June
- 2,000 shares from the purchase on 1 October
- 3,000 shares from the purchase on 23 October
- 15,000 shares from the share pool as at 1 October
- 17,000 shares from the share pool as at 1 October
- 18,000 shares from the share pool as at 1 October
- 20,000 shares from the share pool as at 1 October
- No further matches needed
- No further matches needed

- 146** In February 2026 Siobhan, a higher rate taxpayer, sold shares in Banana Ltd, a trading company. She realised a gain of £36,000. Siobhan acquired the newly issued shares in July 2022.

Siobhan has never worked at Banana Ltd, nor has she made any previous share disposals.

What is the capital gains tax liability arising on the disposal of the shares in February 2026 assuming all available reliefs are claimed and Siobhan makes no other disposals in the tax year 2025/26?

£

- 147** Caleb had the following transactions in Harper plc shares:

26 April 2014 Purchased 40,000 shares in Harper plc for £260,000

19 May 2017 Harper plc announced a 1:4 rights issue at £4 per share. Caleb took up his rights in full

3 May 2021 Harper plc announced a 1:5 bonus issue

25 March 2026 Caleb sold 12,500 shares for £175,000

Identify the allowable cost for capital gains tax purposes of the shares disposed of on 25 March 2026, and the due date for the capital gains tax payable thereon.

		Due date	
		31 July 2026	31 January 2027
Allowable cost	£62,500	A	B
	£75,000	C	D

- 148** Hunter purchased 50,000 shares in Grayson Ltd for £90,000 on 30 May 2014.

On 1 November 2025 Grayson Ltd was taken over by Riley plc. Grayson Ltd shareholders received £3 cash and 2 Riley plc ordinary £1 shares for every Grayson Ltd share.

Immediately after takeover Riley plc shares were worth £1.20 each.

What is Hunter's chargeable gain as a result of the takeover?

£

149 September 2017 OT question

On 31 March 2012, Angus sold a house, which he had bought on 31 March 2012.

Angus occupied the house as his main residence until 31 March 2017, when he left for employment abroad.

Angus returned to the UK on 1 April 2019 and lived in the house until 31 March 2020, when he bought a flat in a neighbouring town and made that his main private residence.

What is Angus' total number of qualifying months of occupation for private residence relief on the sale of the house?

- A 72 months
- B 63 months
- C 105 months
- D 96 months

- 150** Masuma sold her only home and realised a gain before reliefs of £120,000. She had used six of the ten rooms herself and let out the other four for the duration of her ownership.

What is her chargeable gain, assuming she claims all available reliefs?

£

- 151 The disposal of which TWO of the following assets qualifies for rollover relief?**

- A A portable sewing machine used by a sole trader in the business
- B Shares in an individual's personal trading company
- C Land used by a sole trader in the business
- D Shares in the company of which the individual is an employee
- E A building owned by a company and let out to other businesses
- F The goodwill in a sole trader's business

152 June 2015 OT question

Alice is in business as a sole trader. On 13 May 2025, she sold a freehold warehouse for £184,000, and this resulted in a chargeable gain of £38,600. Alice purchased a replacement freehold warehouse on 20 May 2025 for £143,000. Where possible, Alice always makes a claim to roll over gains against the cost of replacement assets. Both buildings have been, or will be, used for business purposes by Alice.

What is the base cost of the replacement warehouse for capital gains tax purposes?

- A £181,600
- B £104,400
- C £143,000
- D £102,000

- 153** In October 2014 Hitesh sold a factory for £230,574 and realised a gain of £31,083.

In May 2015 he bought a warehouse for £231,211. He then sold the warehouse in December 2025 for £270,213.

Both of the buildings were used for the purposes of his sole trader business.

What is the chargeable gain arising on the disposal of the warehouse in December 2025 assuming all available reliefs are claimed?

£

- 154 September/December 2024 OT question**

Daniel has had a 30% share in a manufacturing partnership since 2019. He intends to dispose of his entire interest in the partnership in the tax year 2025/26 by selling it to his son for less than its market value.

Daniel has also been a director and 10% shareholder in an unquoted investment (non-trading) company since 2015. He has decided to gift his shares to his daughter in the tax year 2025/26.

Which of the following statements is true?

- A Gift holdover relief is available on the disposal of the interest in the partnership but not on the shares
 - B Gift holdover relief is available on the disposal of the shares but not the interest in the partnership
 - C Gift holdover relief is available on both disposals
 - D Gift holdover relief is available on neither disposal
- 155** The four shareholders of Elephant Ltd are selling their shares. They own the share capital as follows:
- Amin: 32%
- Ben: 32%
- Camilla: 32%
- Dimitri: 4%
- All shares have equal voting rights. Amin has never worked for the company. Ben works part time, and Camilla and Dimitri work full time for the company. Camilla only joined Elephant Ltd six months ago and has owned her shares for three months, whereas Ben and Dimitri have worked for the company and owned their shares for five years.
- Only _____ will qualify for business asset disposal relief on the sale of their shares.

Select the individual that appropriately fills the gap above:

- A Amin
- B Ben
- C Camilla
- D Dimitri

156 December 2017 OT question

Anika sold her entire holding of 3,000 £1 ordinary shares in Distribio Ltd, a trading company, to her son, Hemi, for £53,000 on 14 July 2025. The market value of the shares on that date was £98,000. Anika had purchased the 3,000 shares on 28 October 2012 for £41,500. She has never worked for Distribio Ltd.

What is the amount of gift (holdover) relief (if any) which could be claimed in respect of the disposal of these shares?

- A £0
- B £11,500
- C £45,000
- D £56,500

COMPANIES – CHARGEABLE GAINS

- 157** Forrest Ltd bought a warehouse for £250,000 in December 2009, incurring £20,000 legal fees in connection with the acquisition. The warehouse was sold for £830,000 in May 2025, incurring legal fees of £30,000.

Assume the relevant indexation factors are as follows:

December 2009 to December 2017 0.276

What is the chargeable gain arising on the sale of the warehouse?

- A £461,000
- B £455,480
- C £447,200
- D £530,000

- 158** Harrop Ltd sold two assets during the accounting period:

- 1 Two hectares of land which it had acquired for £20,000 and sold for £45,000. The relevant indexation factor is 1.418.
- 2 A warehouse which it had acquired for £80,000 and sold for £75,000. The relevant indexation factor is 0.702.

What is the company's allowable loss for the period, assuming it sold no other assets?

- A £64,520
- B £8,360
- C £5,000
- D £61,160

- 159** In the year ended 30 June 2025 Lompy Ltd had a tax adjusted trading profit of £800,200 and property income of £45,000. It also realised a chargeable gain of £25,000 and a capital loss of £80,000 on assets that were used for the purposes of the property business.

In the year ended 30 June 2024 it had a tax adjusted trading profit of £520,000 and chargeable gains of £9,000.

How much, if any, of the capital loss arising in the year ended 30 June 2025 is carried forward to the year ended 30 June 2026?

£

- 160** Rimbo Ltd had the following transactions in the shares of Profitable Ltd, an investment company:

		Number	£
April 1995	Purchase	25,000	33,000
June 2025	Sale	8,000	26,000

Assume the relevant indexation factors are as follows:

April 1995 to December 2017 0.866

What is the amount of the indexed cost available on the sale of the shares in June 2025?

- A £61,578
 B £28,578
 C £19,705
 D £10,560
- 161** On 1 October 2025 Smooth Ltd sold a factory for £850,000, realising a gain of £250,000.
- On 1 November 2024 the company had purchased an immovable machine for £900,000. The machine is expected to be used by the company for at least 25 years.

The company prepares accounts to 31 December.

The company wishes to defer the gain arising on the sale of the factory by making a rollover relief election in respect of the acquisition of the machine.

For each of the following statements select whether it is true or false:

	True	False
The £250,000 gain which could be deferred as a result of the acquisition of the machine will become chargeable on 1 October 2035		
The company must make a rollover relief election by 31 December 2029		

PRACTICE SECTION B OBJECTIVE TEST CASES

INDIVIDUALS – CAPITAL GAINS TAX

162 MICHAEL CHIN (ADAPTED)

Michael Chin made the following disposals of assets during the tax year 2025/26:

- 1 On 30 June 2025 Michael sold a business that he had run as a sole trader since 1 January 2021. He realised the following gains and losses on the chargeable assets of the business:

	£
Goodwill	60,000
Freehold property	64,000
Storage unit	(13,000)

The goodwill has been built up since 1 January 2021. The freehold property had been acquired 6 months prior to the date of disposal and the storage unit had been acquired on 1 June 2022.

- 2 On 8 December 2025 Michael gave Mika, his daughter, his entire holding of 50,000 50p ordinary shares (a 60% holding) in Minnow Ltd, an unquoted trading company. The market value of the shares on that date was £180,000.

Michael had originally purchased the shares on 5 January 2025 for £87,500. On 8 December 2025 the market value of Minnow Ltd's chargeable assets was £250,000, of which £200,000 was in respect of chargeable business assets. Michael has never been employed by Minnow Ltd.

- 3 On 28 February 2026 Michael sold a painting for £5,900 after auctioneer's fees of £656. He had originally acquired the painting on 1 June 2024 for £4,000.
- 4 On 15 March 2026 Michael gave Mika, his daughter, the following assets:
 - Necklace valued at £4,000. Acquired by Michael for £5,000.
 - Boat valued at £80,000. Acquired by Michael for £70,000.
 - Machine used for trading activities valued at £7,000. Acquired by Michael for £8,000.

Michael incurred a capital loss of £16,800 during the tax year 2023/24, and made a chargeable gain of £7,800 and a capital loss of £7,000 during the tax year 2024/25.

Assume that the tax rates and allowances for the tax year 2025/26 apply throughout.

- 1 **What is the net chargeable gain on the disposal of the sole trader business on 30 June 2025 that qualifies for business asset disposal relief?**
 - A £124,000
 - B £111,000
 - C £60,000
 - D £51,000

- 2 What amount of gift holdover relief, if any, is available on the gift of shares in Minnow Ltd on 8 December 2025?

£

- 3 What is the chargeable gain, if any, arising on the sale of the painting on 28 February 2026?

- A £1,244
B £0
C £1,900
D £927

- 4 Match the following gifts made by Michael on 15 March 2026 to the correct category, based on whether or not the gift will result in a chargeable gain or allowable loss:

Asset given

Necklace

Boat

Machine

Chargeable gain/allowable loss	Gain not chargeable/loss not allowable

- 5 What amount of capital losses are brought forward from the tax year 2024/25 and how should they be used? Tick the appropriate box.

Loss b/f	Use against gains qualifying for business asset disposal relief	Use against gains not qualifying business asset disposal relief
£16,800		
£19,000		

163 BO (ADAPTED)

You are a trainee accountant and your manager has asked for your help regarding a client who disposed of assets during the tax year 2025/26.

Bo Neptune

On 31 July 2025 Bo made a gift to his son, Chi, of his entire holding of 50,000 £1 ordinary shares (a 100% holding) in Botune Ltd, an unquoted trading company. The market value of the shares on that date was £210,000. The shares had been purchased by Bo on 22 January 2018 for £94,000. Bo and Chi have elected to hold over the gain as a gift of a business asset.

Bo has taxable income in the tax year 2025/26 of £30,700 and had made a chargeable gain on the sale of a painting of £11,400. Bo has never made any other chargeable disposals.

Saffie Jupiter

On 30 September 2025 Saffie sold a house for £282,000, resulting in a chargeable gain of £172,000. The house had been purchased on 1 October 2013.

She occupied the house as her main residence from the date of purchase until 30 September 2015. Saffie then moved in with her girlfriend and the house was unoccupied between 1 October 2015 and 30 September 2025. Throughout the period 1 October 2013 to 30 September 2025 Saffie did not have any other main residence.

1 What is Chi's base cost in the 50,000 £1 ordinary shares in Botune Ltd?

- A £94,000
- B £97,000
- C £116,000
- D £210,000

2 If Bo had instead sold the shares in Botune Ltd to Chi for £160,000, for each of the following statements select whether it is true or false:

	True	False
Bo's chargeable gain would have been £66,000		
Bo and Chi would not have been able to claim gift holdover relief		
The base cost of the shares for Chi would be £210,000		

3 When is the capital gains tax due date(s) for the tax year 2025/26 and by what date must Bo and Chi make the election to hold over the gain on the Botune Ltd shares? Tick the appropriate box.

		Election date	
		5 April 2030	31 January 2031
CGT due date	31 January 2026		
	31 January 2027		

4 Assuming that no other chargeable gains arise in the tax year, how much capital gains tax would Bo pay on the disposal of the painting in the tax year 2025/26?

£

5 How much private residence relief is Saffie entitled to on the sale of her main residence?

- A £172,000
- B £82,417
- C £39,417
- D £38,729

164 ALPHABET LTD (ADAPTED)*Walk in the footsteps of a top tutor*

On 15 October 2025 Alphabet Ltd, an unquoted trading company, was taken over by XYZ plc. Prior to the takeover Alphabet Ltd's share capital consisted of 100,000 £1 ordinary shares and under the terms of the takeover the shareholders received either cash of £6 per share or one £1 ordinary share in XYZ plc for each £1 ordinary share in Alphabet Ltd.

The following information is available regarding three shareholders of Alphabet Ltd:

Aloi

Aloi has been the managing director of Alphabet Ltd since the company's incorporation on 1 January 2015, and she accepted XYZ plc's cash alternative of £6 per share in respect of her shareholding of 60,000 £1 ordinary shares in Alphabet Ltd. Aloi had originally subscribed for 50,000 shares in Alphabet Ltd on 1 January 2015 at their par value, and purchased a further 10,000 shares on 20 May 2016 for £18,600.

Bon

Bon has been the sales director of Alphabet Ltd since 1 February 2024, having not previously been an employee of the company. She accepted XYZ plc's share alternative of one £1 ordinary share for each of her 25,000 £1 ordinary shares in Alphabet Ltd. Bon had purchased her shareholding on 1 February 2024 for £92,200.

On 4 March 2026 Bon gave 10,000 of her £1 ordinary shares in XYZ plc to her brother for £50,000. On that date the shares were quoted on the Stock Exchange Daily Official List at £7.10 – £7.18. Gift holdover relief is not available in respect of this disposal.

Cherry

Cherry has been an employee of Alphabet Ltd since 1 May 2016. She accepted XYZ plc's share alternative of one £1 ordinary share for each of her 3,000 £1 ordinary shares in Alphabet Ltd. Cherry had purchased her shareholding on 20 June 2017 for £4,800.

On 13 November 2025 Cherry sold 1,000 of her £1 ordinary shares in XYZ plc for £6,600.

Cherry died on 5 April 2026, and her remaining 2,000 £1 ordinary shares in XYZ plc were inherited by her daughter. On that date these shares were valued at £15,600.

- 1 Which of the following individuals met the qualifying conditions for business asset disposal relief as regards their shareholdings in Alphabet Ltd?**

	Meets the conditions for business asset disposal relief	Does not meet the conditions for business asset disposal relief
Aloi		
Bon		
Cherry		

- 2 What is the chargeable gain, if any, arising on Aloi on the takeover of Alphabet Ltd?**

£

- 3 What is the chargeable gain or allowable loss on the disposal of shares in XYZ plc by Bon to her brother?**
- A £13,120 gain
 B £34,120 gain
 C £34,520 gain
 D (£20,800) loss
- 4 By what date(s) must Bon pay any capital gains tax due as a result of the disposal of shares in XYZ plc?**
- A 31 January 2027
 B 30 September 2026
 C 4 March 2027
 D 5 December 2026
- 5 What is the allowable cost that will be used by Cherry's daughter in the capital gains computation on a subsequent disposal of her inherited shares in XYZ plc?**
- A £15,600
 B £4,800
 C £2,000
 D £3,200

165 LILY

Lily disposed of various assets during the tax year 2025/26, resulting in chargeable gains. Lily's disposals included the following:

A copyright sold on 30 June 2025

The copyright had been purchased on 1 July 2022 for £22,000 when it had an unexpired life of 15 years.

Four hectares of land sold on 12 August 2025

Lily had originally purchased six hectares of land on 30 May 2013 for £84,000. The four hectares of land were sold for £140,000, and the market value of the unsold two hectares of land at the time of sale was £60,000. Prior to the disposal, Lily spent £14,400 clearing and levelling the four hectares of land that were sold.

A house sold on 31 December 2025

The house had been purchased on 1 January 2012, and throughout the 168 months of ownership had been occupied by Lily as follows (periods shown chronologically):

	Months
Occupied	32
Unoccupied – travelling overseas	36
Unoccupied – required to work elsewhere in the United Kingdom	60
Occupied	20
Unoccupied – travelling overseas	20
	168

Throughout the period 1 January 2012 to 31 December 2025, Lily did not have any other main residence.

Cash received following the takeover of Moon plc by Sun plc on 22 February 2026

Lily had originally purchased her £1 ordinary shares in Moon plc on 18 July 2016 for £27,280. Under the terms of the takeover, Lily received total cash of £19,800 and 22,000 £1 ordinary shares in Sun plc. Immediately after the takeover, Sun plc's £1 ordinary shares were quoted at £2.20.

Lily's sister

Lily's sister has chargeable gains for the year 2025/26 of £44,200 which qualify for business asset disposal relief and £107,400 of chargeable gains relating to the disposal of a residential property which is not her main residence.

Lily's sister does not have any taxable income for the tax year 2025/26.

- 1 What cost figure will have been used in calculating the chargeable gain on the disposal of Lily's copyright?**
 - A £22,000
 - B £17,600
 - C £4,400
 - D £19,067

- 2 What are the total deductions which will have been allowed in calculating the chargeable gain on the disposal of Lily's four hectares of land?**
 - A £68,880
 - B £73,200
 - C £70,400
 - D £58,800

- 3 What is the total period of occupation (both actual and deemed) for the purposes of calculating the private residence relief on the disposal of Lily's house?**
 - A 145 months
 - B 157 months
 - C 168 months
 - D 136 months

- 4 What is Lily's chargeable gain in respect of the cash received following the takeover of Moon plc by Sun plc?**
 - A £11,880
 - B £6,878
 - C £19,800
 - D £8,640

5 What is Lily's sister's capital gains tax liability for the tax year 2025/26?

- A £31,964
- B £28,982
- C £31,544
- D £31,244

166 ALBERT AND CHARLES (ADAPTED)*Walk in the footsteps of a top tutor***Answer debrief****Albert and Victoria**

On 12 February 2026, Albert sold a house for £840,000, which he had owned individually. The house had been purchased on 12 February 2010 for £222,900.

Throughout the period of ownership the house was occupied by Albert and his wife, Victoria, as their main residence. One-quarter of the house was always used exclusively for business purposes by the couple.

For the tax year 2025/26 Albert is a higher rate taxpayer and did not make any other disposals of assets.

For the tax year 2025/26 Victoria had taxable income of £21,440 and made chargeable gains on other disposals of £3,000.

Charles and Daphne

On 23 October 2025 Charles sold 4,000 £1 ordinary shares in Restoration plc, a quoted trading company, to his daughter, Daphne, for £20,000 when they were valued at £31,600. Gift holdover relief is not available in respect of this gift.

The company has 4 million £1 ordinary shares in issue. Charles has never worked for the company, but Daphne has worked for the company for the previous five years.

Charles acquired his shares in the company as follows:

1 March 2017	Purchased 20,000 shares for £19,800
20 July 2021	Purchased 8,000 shares for £27,800

On 4 April 2026 Daphne sold a painting for gross proceeds of £5,300. The painting had been purchased for £13,000 in September 2009. Daphne incurred auctioneer's fees of £300 in relation to the disposal.

1 What is the amount of private residence relief available on the disposal of the house by Albert?

- A £154,275
- B £462,825
- C £469,253
- D £460,575

- 2 Albert's brother Ernest has told Albert it would have been better to have transferred 50% ownership of the house to Victoria prior to its disposal. Which TWO of the following statements are correct?**

- A The transfer to Victoria would have been at nil gain/nil loss
- B Private residence relief available would not have been available in relation to Victoria's gain on the disposal of the house
- C The amount of capital gains tax that would have been saved is £3,902
- D The amount of capital gains tax that would have been saved is £976

- 3 What is the allowable base cost used in the capital gains tax computation on Charles' sale of shares to Daphne?**

£

- 4 Which of the following are valid reasons why gift holdover relief WAS NOT available on the sale of shares to Daphne?**

	Valid reason	Not a valid reason
Charles has never worked for the company		
Daphne paid Charles for the shares		
Charles did not own at least 5% of the ordinary shares and voting rights in Restoration plc		

- 5 What is Daphne's allowable loss, if any, in respect of the sale of the painting on 4 April 2026?**

- A (£7,300) loss
- B (£7,000) loss
- C £0
- D (£8,000) loss

167 ZOYLA (ADAPTED) *Walk in the footsteps of a top tutor*

Zoyla's capital gains tax (CGT) liability for the tax year 2025/26 is calculated as follows:

	Gain £
Ordinary shares in Minor Ltd	92,400
Ordinary shares in Major plc	44,400
Annual exempt amount	(3,000)
	130,800
CGT: £10,600 × 18%	1,908
£120,200 × 24%	28,848
	30,756

Minor Ltd is an unquoted trading company with an issued share capital of 200,000 £1 ordinary shares. Zoyla has been a director of this company since 1 April 2019. On 20 June 2025, Zoyla sold 20,000 of her holding of 45,000 ordinary shares in Minor Ltd. She had originally purchased 22,500 shares on 15 August 2023 for £117,000. On 12 December 2023, Minor Ltd made a 1 for 1 rights issue. Zoyla took up her allocation under the rights issue in full, paying £7.40 for each new share issued.

Major plc is a quoted trading company with an issued share capital of 2,000,000 £1 ordinary shares. Zoyla has been an employee of Major plc since 1 November 2023 when she acquired 16,000 ordinary shares in the company. On 6 March 2026, Zoyla sold her entire holding of ordinary shares in Major plc to her son for £152,000. On that date, shares in Major plc were quoted on the stock exchange at £9.62 – £9.74.

Zoyla will not make any other disposals in the foreseeable future, and her taxable income will remain unchanged.

- 1 Why did neither of Zoyla's share disposals during the tax year 2025/26 qualify for business asset disposal relief?**

Company	Size of shareholding	Holding period
Minor Ltd		
Major plc		

- 2 What cost figure will have been used in calculating the chargeable gain on Zoyla's disposal of 20,000 ordinary shares in Minor Ltd?**

- A £126,000
- B £104,000
- C £148,000
- D £252,000

- 3 What proceeds figure will have been used in calculating the chargeable gain on Zoyla's disposal of 16,000 ordinary shares in Major plc?

£

- 4 If Zoyla had delayed the sale of her 16,000 ordinary shares in Major plc until 6 April 2026, by how long would the related CGT liability have been deferred?

- A 11 months
B 12 months
C 1 month
D 6 months

- 5 Which of the following statements about how much CGT Zoyla would have saved if she had delayed the sale of her 16,000 ordinary shares in Major plc until the following tax year are true? Assume that the tax rates and allowances for the tax year 2025/26 continue to apply.

	True	False
Zoyla would not have saved any CGT, but would have benefited from the delayed payment date		
Zoyla would have saved CGT of $\text{£}3,000 \times 24\% = \text{£}720$ due to the AEA for the tax year 2026/27 being available		
Zoyla would have saved CGT of $\text{£}10,600 \times 24\% = \text{£}2,544$ due to the remaining basic rate band for the tax year 2026/27 being available		

168 HALI AND GOMA (ADAPTED)

You should assume that the tax allowances for the tax year 2025/26 applied in previous tax years.

Hali and Goma are a married couple.

Capital losses brought forward

Hali had capital losses of £39,300 for the tax year 2023/24. He had chargeable gains of £7,000 for the tax year 2024/25.

Goma had capital losses of £9,100 and chargeable gains of £6,900 for the tax year 2024/25. She did not have any capital losses for the tax year 2023/24.

Ordinary shares in Lima Ltd

On 24 July 2025, Hali sold 5,000 £1 ordinary shares in Lima Ltd, for £4.95 per share. Lima Ltd's shares have recently been selling for £5.30 per share, but Hali sold them at the lower price because he needed a quick sale.

Goma, Hali's wife, had originally subscribed for 30,000 ordinary shares in Lima Ltd at their par value of £1 per share on 28 July 2013. On 18 August 2023, she gave 8,000 ordinary shares to Hali. On that date, the market value for 8,000 shares was £23,200.

Hali and Goma will both dispose of their remaining shareholdings in Lima Ltd during the tax year 2026/27. However, they are unsure as to whether these disposals will qualify for business asset disposal relief.

Antique table

On 11 October 2025, an antique table owned by Hali was destroyed in a fire. The table had been purchased on 3 June 2015 for £44,000. Hali received insurance proceeds of £62,000 on 12 December 2025, and on 6 January 2026, he purchased a replacement antique table for £63,600. Hali will make a claim to roll over the gain arising from the receipt of the insurance proceeds.

Disposals by Goma during the tax year 2025/26

Goma disposed of the following assets during the tax year 2025/26, all of which resulted in gains:

- 1 Qualifying corporate bonds sold for £38,300
- 2 A car (suitable for private use) sold for £11,600
- 3 An antique vase sold for £6,200
- 4 A copyright (with an unexpired life of eight years when purchased) sold for £5,400
- 5 Quoted shares held within an individual savings account (ISA) sold for £24,700

1 What amount of unused capital losses do Hali and Goma have brought forward to the tax year 2025/26?

	Hali	Goma
A	£32,300	£9,100
B	£32,300	£2,200
C	£35,300	£9,100
D	£35,300	£2,200

2 What cost figure and what value per share (disposal value) will be used in calculating the chargeable gain on Hali's sale of 5,000 ordinary shares in Lima Ltd?

	Cost figure	Value per share
A	£5,000	£4.95
B	£14,500	£4.95
C	£14,500	£5.30
D	£5,000	£5.30

3 In deciding whether Hali and Goma's future disposals of their shareholdings in Lima Ltd will qualify for business asset disposal relief, which one of the following statements is correct?

- A Hali and Goma must be directors of Lima Ltd
- B Lima Ltd must be a trading company
- C Hali and Goma must have shareholdings of at least 10% each in Lima Ltd
- D The qualifying conditions must be met for a period of three years prior to the date of disposal

- 4 What is the base cost of Hali's replacement antique table for capital gains tax (CGT) purposes?**
- A £62,000
B £63,600
C £45,600
D £44,000
- 5 How many of the five assets disposed of by Goma during the tax year 2025/26 are exempt assets for the purposes of capital gains tax (CGT)?**
- A Three
B Five
C Two
D Four

169 AVERY

Avery and Baylor are a married couple.

Avery

Avery disposed of various assets during the tax year 2025/26, with these disposals resulting in chargeable gains of £98,600 qualifying for business asset disposal relief and other chargeable gains of £83,100. None of the gains are in respect of disposals of residential property.

Avery is an additional rate taxpayer and has unused capital losses of £24,400 brought forward from the tax year 2021/22.

Investment property

On 19 July 2025, Baylor transferred an investment property to Avery. On that date, the property was valued at £340,000.

Baylor's mother had originally purchased the property on 25 August 2011 for £156,000. Baylor's mother died on 6 October 2020 and the property was inherited by Baylor. On that date, the property was valued at £213,000. Baylor added a basement extension to the property during March 2022 at a cost of £51,000.

Ordinary shares in Sala plc

On 18 August 2025, Baylor sold her entire shareholding of £1 ordinary shares in Sala plc. Prior to the disposal, she had the following transactions in the ordinary shares of Sala plc:

		Cost/(proceeds)
		£
12 April 2017	Purchased 38,000 shares	98,800
23 October 2020	Sold 6,000 shares	(19,200)
1 November 2020	Purchased 8,000 shares	24,800

Ordinary shares in Alas Ltd

On 11 November 2025, Baylor sold her entire holding of £1 ordinary shares in Alas Ltd, an unquoted trading company, to her son for £180,000. The market value of the shares on that date was £220,000. The shares had been purchased on 1 August 2013 for £55,000. Baylor's son sold the entire shareholding on 28 March 2026 for £210,000.

An election will be made to hold over as much as possible of the gain as a gift of a business asset.

- 1 What is Avery's capital gains tax liability for the tax year 2025/26 assuming that this is calculated on the most favourable basis?**
 - A £27,892
 - B £27,172
 - C £37,032
 - D £29,912

- 2 What is Avery's base cost for the investment property which was transferred from Baylor on 19 July 2025?**
 - A £340,000
 - B £207,000
 - C £213,000
 - D £264,000

- 3 What cost figure will have been used by Baylor when calculating the chargeable gain on her disposal of ordinary shares in Sala plc on 18 August 2025?**
 - A £104,400
 - B £108,000
 - C £107,478
 - D £105,000

- 4 How much of the gain arising on Baylor's sale of the ordinary shares in Alas Ltd to her son can be held over by making a gift holdover relief claim?**
 - A £40,000
 - B £165,000
 - C £125,000
 - D £30,000

- 5 By what date will an election have to be made in order to hold over Baylor's gain on the sale of the ordinary shares in Alas Ltd to her son, and who must make the claim? Tick the appropriate box.

		Claimants	
		Either Baylor or her son	Baylor and her son
Date	5 April 2030		
	31 January 2027		

170 JEROME (ADAPTED)



Walk in the footsteps of a top tutor

Jerome made the following gifts to family members during the tax year 2025/26:

- On 28 May 2025, Jerome made a gift of a house valued at £187,000 to his wife. Jerome's uncle had originally purchased the house on 14 July 2004 for £45,900. The uncle died on 12 June 2013, and the house was inherited by Jerome. On that date, the house was valued at £112,800. Jerome has never occupied the house as his main residence.
- On 24 June 2025, Jerome made a gift of his entire 12% holding of 12,000 £1 ordinary shares in Reward Ltd, an unquoted trading company, to his son. The market value of the shares on that date was £98,400. The shares had been purchased on 15 March 2015 for £39,000. On 24 June 2025, the market value of Reward Ltd's chargeable assets was £540,000, of which £460,000 was in respect of chargeable business assets. Jerome and his son have elected to hold over the gain on this gift of a business asset.
- On 7 November 2025, Jerome made a gift of an antique bracelet valued at £12,200 to his granddaughter. The antique bracelet had been purchased on 1 September 2010 for £2,100.
- On 29 January 2026, Jerome made a gift of nine hectares of land valued at £78,400 to his brother. He had originally purchased ten hectares of land on 3 November 2014 for £37,800. The market value of the unsold hectare of land as at 29 January 2026 was £33,600. The land has never been used for business purposes.

- 1 What is the chargeable gain, if any, arising on the gift of the house on 28 May 2025?

£

- 2 What amount of gift holdover relief, if any, is available on the gift of shares in Reward Ltd on 24 June 2025?

£

- 3 What is the chargeable gain, if any, arising on the gift of the antique bracelet on 7 November 2025?

- A £0
B £7,100
C £10,333
D £10,100

- 4 What cost figure will be used in calculating the chargeable gain on Jerome's gift of nine hectares of land on 29 January 2026?

£

- 5 For each of the following statements, select whether it is true or false in relation to gift holdover relief:

	True	False
The company must be an unquoted company		
The company must not own any non-business assets		
The company must be a trading company		
Jerome must have owned the shares for at least two years		

171 MICK STONE (ADAPTED)



Walk in the footsteps of a top tutor

Mick Stone disposed of the following assets during the tax year 2025/26:

- On 19 May 2025, Mick sold a freehold warehouse for £522,000. The warehouse was purchased on 6 August 2011 for £258,000. In January 2018, the floor of the warehouse was damaged by flooding and had to be replaced at a cost of £63,000. The warehouse was sold because it was surplus to the business's requirements as a result of Mick purchasing a newly built warehouse during 2024. Both warehouses have always been used for business purposes in a wholesale business run by Mick as a sole trader.
- On 24 September 2025, Mick sold 700,000 £1 ordinary shares in Rolling Ltd, an unquoted trading company, for £3,675,000. He had originally purchased 500,000 shares in Rolling Ltd on 2 June 2016 for £960,000. On 1 December 2021, Rolling Ltd made a 3 for 2 bonus issue. Mick has been a director of Rolling Ltd since 1 January 2016.

- 1 What is the chargeable gain arising on the sale of the warehouse on 19 May 2025 assuming no reliefs are available?

£

- 2 Which capital gains tax relief might be available to Mick in respect of his disposal of the warehouse in the tax year 2025/26?

- A Rollover relief
- B Business asset disposal relief
- C Gift holdover relief
- D Private residence relief

- 3 What cost figure will be used in calculating the chargeable gain on Mick's disposal on 24 September 2025 of 700,000 shares in Rolling Ltd?

£

- 4 In deciding whether Mick qualifies for business asset disposal relief (BADR) in relation to the disposal of the shares in Rolling Ltd, which TWO of the following statements are correct?
- A Mick must be a full-time employee of Rolling Ltd
 - B Mick must have a shareholding of at least 5% in Rolling Ltd
 - C Mick must have enough of his BADR lifetime limit remaining to fully cover the gain
 - D Rolling Ltd must be a trading company
- 5 By what date must Mick pay any capital gains tax due as a result of his disposals in tax year 2025/26 and when by what date should a claim for BADR relief be made?

		Due date	
		31 January 2026	31 January 2027
Claim date	31 January 2027		
	31 January 2028		

COMPANIES – CHARGEABLE GAINS

172 EXPANSION LTD

Expansion Ltd disposed of land and property during the year ended 31 March 2026.

Investment properties

An investment property was sold on 10 June 2025. The property had been purchased during January 2006. Details are as follows:

	£
Sale proceeds	436,000
Purchase price	315,250
Legal fees on purchase	4,750

The indexation factor from January 2006 to December 2017 was 0.438.

Freehold factory

On 15 January 2026, Expansion Ltd sold a freehold factory, with the disposal resulting in a chargeable gain of £159,000. The gain was calculated as sale proceeds of £294,000 less an indexed cost of £135,000.

Expansion Ltd has made four acquisitions during the 18-month period prior to the disposal of the freehold factory:

Date of purchase	Description of asset
2 November 2024	Freehold warehouse
20 January 2025	Fixed plant and machinery
3 March 2025	Movable plant and machinery
17 May 2025	Inventory

The freehold factory and all four acquisitions have been, or are, used for business purposes by Expansion Ltd.

During the year ended 31 March 2026, Expansion Ltd incurred the following expenditure in respect of the factory prior to its sale on 15 January 2026:

	£
Cost of replacing the factory's windows which were leaking	8,700
Cost of a new boundary wall around the factory	7,100

Land

On 21 March 2026, a hectare of land was sold for £143,000. Expansion Ltd had originally purchased four hectares of land in February 2019 for £330,000. The market value of the unsold three hectares of land as at 21 March 2026 was £385,000. Prior to the disposal, Expansion Ltd spent £24,000 clearing and levelling the one hectare of land which was sold.

- 1 What is the allowable loss on the disposal of Expansion Ltd's investment property on 10 June 2025?**
 - A £24,160
 - B £17,330
 - C £0
 - D £10,499

- 2 As regards the disposal of the freehold factory, how much will Expansion Ltd have to invest in a replacement asset in order to benefit from a partial rollover relief claim (more than £0, but less than the full chargeable gain)?**
 - A Between £135,001 and £293,999
 - B Between £1 and £293,999
 - C Between £135,001 and £158,999
 - D Between £1 and £158,999

- 3 Which one of Expansion Ltd's four acquisitions qualifies as a replacement asset for the purposes of making a rollover relief claim in respect of the chargeable gain on the disposal of the freehold factory?**
 - A Freehold warehouse
 - B Fixed plant and machinery
 - C Movable plant and machinery
 - D Inventory

- 4 How much of Expansion Ltd's expenditure in respect of the freehold factory during the year ended 31 March 2026 will have been included in the indexed cost figure of £135,000?**
 - A £7,100
 - B £8,700
 - C £15,800
 - D £0

5 What cost figure will have been used in calculating the chargeable gain on the disposal of Expansion Ltd's one hectare of land on 21 March 2026?

- A £89,375
- B £113,375
- C £95,875
- D £106,500

173 KAT LTD (ADAPTED)



Walk in the footsteps of a top tutor

Kitten is the controlling shareholder in Kat Ltd, an unquoted trading company.

Kat Ltd

Kat Ltd sold a freehold factory on 30 November 2025 for £394,000, which resulted in a chargeable gain of £131,530 in the company's year ended 31 March 2026 (after the deduction of indexation and professional fees). The factory was purchased on 1 October 2005 for £138,600, and capital improvements were made at a cost of £23,400 during December 2007. The relevant indexation factors are as follows:

October 2005 to December 2017	0.439
December 2007 to December 2017	0.319

Kat Ltd is unsure how to reinvest the proceeds from the sale of the factory. The company is considering either purchasing a freehold warehouse for £302,000, or acquiring a leasehold office building on a 40-year lease for a premium of £370,000. If either reinvestment is made, it will take place on 30 September 2026.

All of the above buildings have been, or will be, used for the purposes of Kat Ltd's trade.

Kitten

Kitten sold 20,000 £1 ordinary shares in Kat Ltd on 5 October 2025, which resulted in a chargeable gain of £142,200. This disposal qualified for business asset disposal relief.

Kitten had originally subscribed for 90,000 shares in Kat Ltd on 7 July 2016 at their par value. On 22 September 2019, Kat Ltd made a 2 for 3 rights issue. Kitten took up her allocation under the rights issue in full, paying £6.40 for each new share issued.

Kitten also sold an antique vase on 16 January 2026, which resulted in a chargeable gain of £26,100. For the tax year 2025/26, Kitten had taxable income of £12,000.

1 What amount of indexation allowance will have been deducted in calculating the chargeable gain of £131,530 on the disposal of Kat Ltd's factory?

- A £68,310
- B £60,845
- C £71,118
- D £51,678

- 2 If Kat Ltd decides to purchase the freehold warehouse and makes a claim to roll over the chargeable gain on the factory under the rollover relief rules, which of the following statements are true?

	True	False
The base cost of the warehouse for chargeable gains purposes will be £170,470		
The claim for rollover relief against the warehouse must be made by 31 March 2030		
A further claim for rollover relief may be made if another qualifying asset is acquired by 31 March 2029		

- 3 If Kat Ltd decides to acquire the leasehold office building and makes a claim to hold over the chargeable gain on the factory under the rollover relief rules, what is the latest date by which the held-over gain will crystallise?

- A 10 years from 30 November 2025
 B The date when the office building is sold
 C 40 years from 30 September 2026
 D 10 years from 30 September 2026

- 4 What cost figure will have been used in calculating the chargeable gain on Kitten's disposal of 20,000 ordinary shares in Kat Ltd?

£

- 5 What is Kitten's capital gains tax (CGT) liability for the tax year 2025/26 and by when must it be paid? Tick the appropriate box.

		CGT liability	
		£25,452	£25,752
Due date	31 July 2026		
	31 January 2027		

174 FOGO LTD AND NETTA LTD

Fogo Ltd has one 100% subsidiary, Netta Ltd.

Fogo Ltd

During the year ended 30 September 2025, Fogo Ltd made the following capital disposals:

On 31 October 2024, Fogo Ltd sold an investment property which had been let out to tenants since it was acquired. The investment property was sold to an unconnected company for £625,000. It had cost £500,000 when it was acquired in February 2011.

On 4 May 2025, Fogo Ltd sold a freehold warehouse which it had used exclusively in its trade. The warehouse was sold to an unconnected company for £560,000. It had cost Fogo Ltd £100,000 when it was acquired in September 2001.

On 19 September 2025, Fogo Ltd sold a 4% shareholding in an unconnected trading company, resulting in a capital loss of £25,000.

Indexation factors:

September 2001 to December 2018	0.593
February 2011 to December 2018	0.269

Netta Ltd

For the year ended 30 September 2025, Netta Ltd has a draft tax adjusted trading profit of £180,000.

This figure has been calculated correctly but does not include interest payable or receivable.

Interest payable

On 1 October 2024, Netta Ltd borrowed £1,000,000 from a bank at an annual interest rate of 5%. During the year ended 30 September 2025, the interest payable of £50,000 was in respect of the following:

- 1 Interest on £550,000 of the loan to acquire fixed plant and machinery for use in its factory. The fixed plant and machinery has an expected useful life of 15 years.
- 2 Interest on £450,000 of the loan to acquire a 3% shareholding in a trading company called Jona Ltd.

Interest receivable

Netta Ltd's financial statements for the year ended 30 September 2025 showed interest receivable from investments of £35,000, of which £25,000 was received during the year and £10,000 was accrued on 30 September 2025. There was no accrual brought forward at 1 October 2024.

- 1 **What is the chargeable gain or allowable loss on the disposal of the investment property on 31 October 2024 by Fogo Ltd, for the year ended 30 September 2025?**

£

- 2 **What is the chargeable gain on the disposal of the warehouse on 4 May 2025 by Fogo Ltd, for the year ended 30 September 2025?**

- A £435,000
- B £460,000
- C £375,700
- D £400,700

- 3 **Select which TWO of the following statements are requirements for Fogo Ltd and Netta Ltd to claim group rollover relief.**

- A Netta Ltd's asset acquisitions took place within one year before and four years after the disposal, which is a qualifying condition for group rollover relief
- B The freehold warehouse sold by Fogo Ltd on 4 May 2025 is a qualifying asset and was used in Fogo Ltd's trade
- C The shares acquired by Netta Ltd in Jona Ltd are qualifying business assets for rollover relief as it is a trading company
- D Netta is a 75% subsidiary of Fogo Ltd

- 4 Assuming Fogo Ltd's gain is rolled over into the purchase of fixed plant and machinery by Netta Ltd, select which of the following events will NOT result in the gain becoming chargeable.
- A Netta Ltd selling the fixed plant and machinery
 - B Fogo Ltd selling the shareholding in Netta Ltd
 - C Netta Ltd ceasing to use the fixed plant and machinery in the trade
 - D Ten years since the purchase of the fixed plant and machinery
- 5 What is Netta Ltd's total non-trade loan relationship income for the year ended 30 September 2025?

£

PRACTICE SECTION C CONSTRUCTED RESPONSE QUESTIONS

INDIVIDUALS – CAPITAL GAINS TAX

175 DAVID AND ANGELA BROOK (ADAPTED)



Walk in the footsteps of a top tutor

This scenario relates to one requirement.

David and Angela Brook are a married couple. They disposed of the following assets during the tax year 2025/26:

Jointly owned property

On 30 September 2025 David and Angela sold a house for £381,900. The house had been purchased on 1 October 2005 for £86,000.

David and Angela occupied the house as their main residence from the date of purchase until 31 March 2009. The house was then unoccupied between 1 April 2009 and 31 December 2012 due to Angela being required by her employer to work elsewhere in the United Kingdom.

From 1 January 2013 until 31 December 2019 David and Angela again occupied the house as their main residence. The house was then unoccupied until it was sold on 30 September 2025.

Throughout the period 1 October 2005 to 30 September 2025 David and Angela did not have any other main residence.

David Brook

On 5 May 2025 David transferred his entire shareholding of 20,000 £1 ordinary shares in Bend Ltd, an unquoted trading company, to Angela. On that date the shares were valued at £64,000. David's shareholding had been purchased on 21 June 2022 for £48,000.

Angela Brook

On 7 July 2025 Angela sold 15,000 of the 20,000 £1 ordinary shares in Bend Ltd that had been transferred to her from David. The sale proceeds were £62,400.

Neither David nor Angela has ever worked for Bent Ltd.

On 15 October 2025 Angela disposed of a small business she had been running part time for many years. The only chargeable asset in the business was a warehouse and this resulted in a gain of £3,700.

Angela has taxable income of £27,145 for the tax year 2025/26. David does not have any taxable income.

Required:

Compute David and Angela's respective total capital gains tax liabilities for the tax year 2025/26. Ignore any payments on account. ☒☒ (10 marks)

176 BILL DING



Walk in the footsteps of a top tutor

This scenario relates to three requirements.

Bill Ding has run a construction company, High Rise Ltd since he purchased the entire shareholding for £112,000 in 2005. He has worked for the company since purchase.

Bill has decided to retire and on 17 August 2025 Bill made a gift of his entire holding of High Rise Ltd shares to his daughter, Belle, who also works for the company. The market value of the shares on that date was £260,000.

On 17 August 2025 the market value of High Rise Ltd's chargeable assets was £180,000, of which £150,000 was in respect of chargeable business assets. Bill and his daughter have elected to hold over the gain on this gift of a business asset.

Belle plans to sell the shares in High Rise Ltd on 31 March 2026, when they are expected to be worth £262,000 in order to fund a new business venture.

Neither Bill nor Belle has made any previous disposals chargeable to capital gains tax, and both are higher rate taxpayers.

Required:

- (a) Calculate the gains arising and capital gains tax liabilities for Bill and Belle on the gift of High Rise Ltd shares to Belle and the subsequent sale by Belle. ☒☒**

Assume that Bill and Belle make a joint claim for gift holdover relief, and state the due date for this claim. (5 marks)

- (b) Recalculate the gains arising and capital gains tax liabilities for Bill and Belle, assuming a joint claim for gift holdover relief is not made. ☒☒ (3 marks)**

- (c) Briefly conclude, including a calculation of the tax saving, on which route would be preferable for Bill and Belle. ☒☒ (2 marks)**

(Total: 10 marks)

177 GINGER AND NIGEL (ADAPTED)*Walk in the footsteps of a top tutor*

You should assume that today's date is 1 March 2026.

(a) This scenario relates to one requirement.

Ginger has a holding of 10,000 £1 ordinary shares in Nutmeg Ltd, an unquoted trading company, which she had purchased on 13 February 2015 for £2.39 per share. The current value of the shares as agreed with HM Revenue & Customs is £6.40 per share, but Ginger intends to sell some of the holding to her daughter at £4.00 per share during March 2026. Ginger and her daughter will elect to hold over any gain as a gift of a business asset.

For the tax year 2025/26, Ginger will not make any other disposals, and has therefore not utilised her annual exempt amount.

Required:

Explain how many £1 ordinary shares in Nutmeg Ltd Ginger can sell to her daughter for £4.00 per share during March 2026 without incurring any capital gains tax liability for the tax year 2025/26. 

Your answer should be supported by appropriate calculations. (4 marks)

(b) This scenario relates to one requirement.

Innocent and Nigel, a married couple, both have shareholdings in Cinnamon Ltd, an unquoted trading company with a share capital of 100,000 £1 ordinary shares.

Innocent has been the managing director of Cinnamon Ltd since the company's incorporation on 1 July 2015, and she currently holds 20,000 shares (with matching voting rights) in the company. These shares were subscribed for on 1 July 2015 at their par value. Nigel has never been an employee or a director of Cinnamon Ltd, and he currently holds 3,000 shares (with matching voting rights) in the company. These shares were purchased from an existing shareholder on 23 April 2020 for £40,200.

Either Innocent or Nigel will sell 2,000 of their shares in Cinnamon Ltd during March 2026 for £65,000, but they are not sure which of them should make the disposal. For the tax year 2025/26, both Innocent and Nigel have already made disposals which will fully utilise their annual exempt amounts, and they will each have taxable income of £80,000.

Required:

Calculate the capital gains tax saving if the disposal of 2,000 shares in Cinnamon Ltd during March 2026 is made by Innocent rather than Nigel.  **(6 marks)**

(Total: 10 marks)

178 DALJEET*Walk in the footsteps of a top tutor*

This scenario relates to two requirements.

Please assume today's date is 5 April 2025.

Daljeet wishes to sell personal assets to generate funds to pay his daughter's university fees and he has selected two assets that he is willing to sell. He will sell one of the assets to a third party on 31 December 2025 and will make his decision based on the asset that will generate the highest amount of net proceeds.

The assets Daljeet has identified as potential disposals are as follows:

1,000 shares in ABC Ltd

Daljeet acquired 1,000 shares in ABC Ltd, a trading company, on 7 June 2020 for £60,000 when he became an employee of the company. On 7 June 2021 ABC Ltd underwent a rights issue, offering shareholders the opportunity to purchase 2 shares for every 5 shares already held for £50 per share. Daljeet purchased the maximum number of shares.

ABC Ltd has 20,000 shares in issue.

If Daljeet sells the ABC Ltd shares, he will sell 1,000 shares worth £100,600 on 31 December 2025.

Holiday cottage

The cottage is currently worth £110,000 and legal fees in respect of the disposal are expected to be £1,000. Repairs costing £3,500 were made to the cottage roof in December 2023 following damage caused by a storm.

Daljeet originally bought the cottage in May 2015 at a cost of £64,700. It has always been let out and Daljeet has never occupied the property as his private residence.

Other information

Daljeet will be a higher rate taxpayer and will make no other disposals in the tax year 2025/26.

Required:

- (a) Calculate which of the above asset disposals will result in the highest amount of proceeds, after deducting tax and any costs of sale.

You should assume that Daljeet will claim any relevant reliefs where possible and has not previously claimed any capital gains tax reliefs. (8 marks)

- (b) Briefly explain why the disposal of either the ABC Ltd shares or the holiday cottage will not be subject to inheritance tax. (2 marks)

(Total: 10 marks)

COMPANIES – CHARGEABLE GAINS

179 LUNA LTD *Walk in the footsteps of a top tutor*

This scenario relates to two requirements.

Luna Ltd had the following transactions in shares during the year ended 31 March 2026:

- 1 On 29 November 2025, Luna Ltd sold its entire shareholding of £1 ordinary shares in Pluto plc for £53,400. Luna Ltd had originally purchased 16,000 shares in Pluto plc on 14 June 2011 for £36,800. On 22 May 2013, Luna Ltd sold 10,000 of the shares for £46,200. Assume the indexation factors are as follows:

June 2011 to May 2013	0.063
May 2013 to December 2017	0.112
- 2 On 12 February 2026, Luna Ltd's shareholding in Asteroid plc was taken over by Comet plc. Luna Ltd had originally purchased 10,000 £1 ordinary shares in Asteroid plc, and their indexed cost on 12 February 2026 was £33,000. Under the terms of the takeover, for each of its £1 ordinary shares in Asteroid plc, Luna Ltd received £6.50 in cash plus one £1 ordinary share in Comet plc. Immediately after the takeover, Comet plc's £1 ordinary shares were quoted at £4.50.

Required:

- (a) Explain how the indexation allowance can be used when a company makes a capital loss, or where the indexation allowance is greater than a company's unindexed gain.  (2 marks)
- (b) Calculate the chargeable gain arising from each of Luna Ltd's transactions in shares during the year ended 31 March 2026. When calculating the chargeable gain arising from the disposal of the shareholding in Pluto plc, you should show full workings for the share pool.  (8 marks)

(Total: 10 marks)

Section 3

PRACTICE INHERITANCE TAX QUESTIONS



Tutorial note

You should expect inheritance tax to be tested in both sections A and B. The ten mark question in Section C could also test inheritance tax topics.

There is however no set minimum or maximum number of marks for inheritance tax.

PRACTICE SECTION A OBJECTIVE TEST QUESTIONS

180 Mario made a number of gifts during the tax year 2025/26:

For each of the following gifts select whether they are exempt or not exempt transfers for inheritance tax purposes.

	Exempt	Not exempt
On 7 May 2025 he gave 100,000 shares in Lahm Ltd to his wife. The shares have been valued at that date at £500,000		
On 10 August 2025 he gave 50,000 shares in Hummells Ltd to a discretionary trust. The shares have been valued at that date at £75,000		
On 6 October 2025 he gave £2,000 to his son on the occasion of his marriage		
On 9 February 2026 he gave £300 to his daughter		

181 September 2017 OT question

Cora made a cash gift of £300,000 to her niece on 30 April 2020.

She then made a cash gift of £500,000 to her nephew on 31 May 2021.

Both of these amounts are stated after deducting available exemptions.

Cora subsequently died on 31 October 2025.

What amount of inheritance tax was payable as a result of Cora's death in respect of the cash gift of £500,000 to her nephew?

- A £190,000
- B £110,000
- C £114,000
- D £76,000

182 September/December 2022 OT question

Gabe died on 22 November 2025.

During his lifetime, Gabe had made the following potentially exempt transfers (PETs), after all available exemptions:

		£
5 May 2017	Cash to his daughter	200,000
12 July 2021	An antique painting to his son	370,000

What is the amount of the nil rate band available in calculating the additional IHT due on the gift of the antique painting as a result of Gabe's death?

£

183 September 2017 OT question

On 1 July 2024, Sameer made a cash gift of £2,500 to his sister.

On 1 May 2025, he made a cash gift of £2,000 to a friend.

On 1 June 2025, he made a cash gift of £50,000 to a trust.

Sameer has not made any other lifetime gifts.

In respect of Sameer's cash gift of £50,000 to the trust, what is the lifetime transfer of value for inheritance tax purposes after taking account of all available exemptions?

- A £48,500
- B £44,000
- C £46,000
- D £46,500

184 Amir died on 1 February 2026. During his lifetime, he made two gifts:

- 1 On 30 November 2018 he gave £200,000 to his son
- 2 On 15 June 2019 he gave £350,000 to his daughter

Select the correct chargeable amount of the above gifts (i.e. value before the deduction of the nil rate band) which becomes chargeable as a result of Amir's death.

	Chargeable amount £
1 30 November 2018	
2 15 June 2019	

Chargeable amount options:

- 0
- 194,000
- 347,000
- 344,000

185 September 2015 OT question

Heng is a wealthy 45 year old who would like to reduce the potential inheritance tax liability on her estate when she dies.

Which of the following actions will NOT achieve Heng's aim of reducing the potential inheritance tax liability on her estate when she dies?

- A Changing the terms of her will so that the residue of her estate goes to her grandchildren rather than her children
- B Making lifetime gifts to trusts up to the value of the nil rate band every seven years
- C Changing the terms of her will so that the residue of her estate goes to her husband rather than her children
- D Making lifetime gifts to her grandchildren early in life

186 July 2021 OT question

Oliver got married on 5 October 2025 and Oliver's mother and father each gave him £25,000 as a wedding present. Oliver's parents have not made any previous gifts for the purposes of inheritance tax (IHT).

For the purposes of IHT, what is the total amount of exemptions that can be deducted from the gifts made to Oliver?

- A £17,000
- B £10,000
- C £11,000
- D £22,000

187 June 2024 OT question

Roman died on 1 November 2025.

During June 2022, Roman gave an antique vase to his daughter Petra. The transfer value for inheritance tax (IHT) purposes at the date of the gift was £400,000 before any available exemptions.

Roman had made no other transfers during his lifetime.

Drag and drop the correct amounts from the options below to correctly identify the IHT payable by Petra at the time of the gift in June 2022 and on the death of Roman in November 2025.

June 2022

November 2025

Inheritance tax – options

£0

£13,800

£15,000

£22,080

£24,000

£27,600

188 Fabrice died on 20 January 2026. During his lifetime he made the following gifts:

- | | | |
|---|-------------------|--|
| 1 | 20 February 2015 | £300,000 to his son |
| 2 | 22 March 2018 | £400,000 to a discretionary trust |
| 3 | 30 September 2024 | half share in his main residence, worth £250,000 to his daughter |
| 4 | 24 December 2025 | £800,000 to his wife |

Select the gift(s) on which inheritance tax will be payable as a result of Fabrice's death.

	Inheritance tax payable
20 February 2015	
22 March 2018	
30 September 2024	
24 December 2025	

189 September 2015 OT question

Benjamin died on 30 November 2025 leaving an estate valued at £890,000. Inheritance tax of £252,000 was paid in respect of the estate. Under the terms of his will, Benjamin left £260,000 to his wife, a specific legacy of £120,000 (free of tax) to his brother, and the residue of the estate to his grandchildren.

What is the amount of inheritance received by Benjamin's grandchildren?

- A £638,000
- B £510,000
- C £378,000
- D £258,000

190 June 2015 OT question (ADAPTED)

Which TWO of the following are NOT deducted when calculating the value of a person's chargeable estate for inheritance tax purposes?

- A An outstanding repayment mortgage
- B Funeral expenses
- C An outstanding interest-only mortgage
- D An outstanding gambling debt owed to a friend
- E A verbal promise to pay a friend's debt
- F Credit card debts

191 Fred died on 8 July 2025.

His estate consisted of the following assets:

- 1 A house worth £545,000 on which there is an outstanding interest-only mortgage of £145,000, and
- 2 A life insurance policy with a market value of £300,000, but the proceeds paid to the executors from the policy were £350,000.

Under the terms of Fred's will £400,000 was left to his wife with the remainder of his estate to his son.

What is Fred's chargeable estate for inheritance tax purposes?

£

192 December 2017 OT question

Gita died on 17 May 2025. At the date of her death she owned the following assets:

	£
House	390,000
Chattels and cash	70,000
Shares held in an individual savings account (ISA)	60,000

At the date of her death, Gita owed income tax of £25,000 in respect of the tax year 2024/25.

Gita left £100,000 of her estate to her husband, with the remainder of the estate left to her daughter.

What is Gita's chargeable estate for inheritance tax purposes?

- A £335,000
- B £395,000
- C £495,000
- D £420,000

193 September/December 2024 OT question

Kamila died on 3 September 2023 leaving an estate which included the following assets and liabilities:

- 1 A property valued at £420,000, which had an interest-only mortgage of £170,000
- 2 Savings of £24,000 in a bank account and £15,500 of savings certificates from NS&I (National Savings and Investments)
- 3 A debt due to Kamila's nephew of £12,000 resulting from a promise to pay for his university tuition

Indicate, by ticking on the relevant boxes in the table below, the value of the assets and liabilities listed in (1) to (3) above which will be included in, or deducted from, Kamila's chargeable estate for inheritance tax purposes.

House	£420,000	£250,000
Savings	£24,000	£39,500
Debt	£0	£12,000

- 194** Joel died on 20 December 2025, and left an estate worth £1,176,000 to his daughter. Joel's main residence, valued at £300,000, was included in the total value of the estate.

Joel did not make any lifetime gifts.

How much inheritance tax is payable on Joel's death estate?

£

- 195** Dominic owned 7,500 shares in Halder Ltd. On 1 July 2025 he gave 3,000 shares to his son.

The company has an issued share capital of 10,000 shares.

The values of different shareholdings in the shares on 1 July 2025 are as follows:

Holding	Value per share
Up to 25%	£5
26% to 50%	£8
51% to 74%	£13
75% or more	£20

What is the transfer of value for inheritance tax purposes on the gift of shares to his son?

£

- 196** March/June 2024 OT question

Yuna made a gift of cash into a discretionary trust on 31 July 2021. Yuna died on 1 May 2025.

Inheritance tax (IHT) was payable as a result of this lifetime gift, both during Yuna's lifetime and as a result of her death.

Match the relevant dates to indicate when the IHT liabilities in respect of the cash gift would have become due, both during Yuna's lifetime and as a result of Yuna's death.

IHT liability

In Yuna's lifetime

As a result of Yuna's death

Dates – options

31 January 2022

30 April 2022

31 January 2023

1 November 2025

30 November 2025

30 April 2026

- 197** Melvin died on 6 March 2026 leaving an estate worth £2,000,000. His estate included a holiday home in the UK worth £400,000 which he left to his sister. He left the rest of his estate to his daughter and appointed a friend to act as executor.

For each of the following individuals, select whether they will pay the inheritance tax due on the estate, suffer the inheritance tax payable on the estate, or neither. It is possible to select more than one individual for the same answer.

	Pays tax	Suffers tax	Neither pays nor suffers tax
Sister			
Daughter			
Executor			

198 For each of the following statements select whether it is true or false:

	True	False
An advantage of giving an appreciating asset away during lifetime is that the increase in value up to the date of death will not be subject to inheritance tax		
For capital gains tax purposes lifetime gifts are taxable but gifts on death are not		
On a lifetime gift made more than three years before death, taper relief will reduce the amount of the gift chargeable to inheritance tax on death		

199 March/June 2022 OT question

Ken died on 15 January 2026 leaving a chargeable estate valued at £245,000. He had made gross chargeable lifetime transfers of £98,000 in October 2018 and £118,000 in June 2022.

How much inheritance tax (IHT) is payable in respect of Ken's chargeable estate of £245,000?

£

200 June 2020 OT question (ADAPTED)

Sandeep made a gift of £425,000 to a trust on 10 November 2025. No agreement has been made about who will pay the inheritance tax in respect of the gift.

What is the due date for payment of the inheritance tax and who is primarily liable for its payment? Select the appropriate box in the table below.

		Liability for payment	
		Trustees of the trust	Sandeep
Due date	30 April 2026	A	B
	31 May 2026	C	D

201 December 2017 OT question

Nadia died on 13 February 2004, leaving an estate valued at £275,400 for inheritance tax purposes. Nadia left 50% of her estate to her son and 50% to her husband, Tareq.

Tareq subsequently died on 17 January 2026.

Neither Nadia nor Tareq made any lifetime gifts.

The inheritance nil rate band for the tax year 2003/04 was £255,000.

What is the maximum available nil rate band which can be used when calculating the inheritance tax payable in respect of Tareq's estate?

- A £500,500
- B £474,500
- C £442,300
- D £462,700

PRACTICE SECTION B OBJECTIVE TEST CASES

202 LEBNA AND LULU (ADAPTED)

You should assume that today's date is 1 March 2026.

Lebna and Lulu were a married couple, but, unfortunately, Lulu died on 24 January 2021.

Lulu

Lulu left an estate valued at £210,000 for inheritance tax (IHT) purposes. The estate did not include a main residence. Under the terms of her will, Lulu left a specific legacy of £40,000 to her brother, with the residue of the estate to her husband, Lebna. Lulu had made the following lifetime transfers:

Date	Type of transfer	Amount £
13 February 2013	Chargeable lifetime transfer	50,000
21 June 2019	Potentially exempt transfer	80,000

Both of these transfers are after taking account of all available exemptions.

Lebna's chargeable estate

Lebna has a chargeable estate valued at £980,000. His estate includes a main residence valued at £340,000 on which there is an outstanding interest-only mortgage of £152,000.

Under the terms of his will, Lebna has left his entire estate to his son.

Gift to son on 22 February 2021

On 22 February 2021, Lebna made a gift of 60,000 £1 ordinary shares in Blean Ltd, an unquoted investment company, to his son. Before the transfer, Lebna owned all of Blean Ltd's share capital of 100,000 ordinary shares. The market value of Blean Ltd's ordinary shares on 22 February 2021 was as follows:

Holding	Market value per share
40%	£4.20
60%	£6.30
100%	£7.10

Lebna had not made any previous lifetime gifts.

Gifts to friends during October 2025

Lebna made cash gifts of £85, £225, £190 and £490 to various friends during October 2025. The gifts of £85 and £190 were to the same friend.

- 1 If Lebna were to die today, 1 March 2026, how much of Lulu's nil rate band will the personal representatives of Lebna's estate be able to claim when calculating the IHT payable on his chargeable estate?
 - A £155,000
 - B £205,000
 - C £35,000
 - D £285,000

- 2** If Lebna were to die today, 1 March 2026, what is the total amount of residence nil rate band which will be available when calculating the IHT payable on his chargeable estate?
- A £175,000
B £350,000
C £340,000
D £188,000
- 3** What is the amount of the potentially exempt transfer which Lebna has made to his son on 22 February 2021 (the gift of 60,000 shares in Blean Ltd) after deducting any available exemptions?
- A £542,000
B £536,000
C £372,000
D £378,000
- 4** If Lebna were to die today, 1 March 2026, what taper relief percentage reduction would be available when calculating the IHT payable on the potentially exempt transfer which he made to his son on 22 February 2021 (the gift of 60,000 shares in Blean Ltd), and when would this IHT be due?
- | | Taper relief reduction | Due date |
|---|-------------------------------|-------------------|
| A | 60% | 30 September 2026 |
| B | 60% | 1 September 2026 |
| C | 40% | 1 September 2026 |
| D | 40% | 30 September 2026 |
- 5** What amount of the cash gifts made by Lebna to his friends during October 2025 is covered by the small gifts exemption?
- A £500
B £990
C £225
D £275

203 TOM (ADAPTED)
Walk in the footsteps of a top tutor

Tom died on 1 May 2025.

He had made a gift with a chargeable amount of £450,000 (after all available exemptions) to a trust on 20 February 2019. Tom paid the inheritance tax arising on the gift. This was Tom's only gift.

Tom's estate at the date of death included the following assets as well as some cash in the bank:

- 1 A 50% share, valued at £150,000, in a successful racehorse
- 2 Cash winnings from betting on horse racing of £40,000
- 3 His main residence valued at £875,000 which has an outstanding repayment mortgage of £500,000.

The executors have determined that Tom's chargeable estate for IHT purposes was £2,000,000.

Tom left all of his estate to his children. His wife is still alive.

- 1 **What was the GROSS chargeable amount, for the purpose of calculating any additional tax as a result of Tom's death, in respect of Tom's gift of £450,000 to the trust on 20 February 2019?**

- A £475,000
 B £450,000
 C £481,250
 D £473,750

- 2 **If Tom had also made cash gifts of £5,500 to his daughter and £400 to his granddaughter on 20 December 2017 what would have been the amount of annual exemption available on the gift into the trust on 20 February 2019?**

£

- 3 **In respect of the gift to the trust on 20 February 2019, what rate of taper relief is applied to the IHT payable on Tom's death and who is liable to pay this additional IHT arising on death? Select the appropriate box in the table below.**

		Liability for tax	
		Trustees	Executors
Taper relief	20%	A	B
	80%	C	D

- 4 What is the net value of the estate assets 1 – 3 that will be included in Tom's chargeable death estate for IHT purposes?

	Net value
1 50% share in a racehorse	
2 Cash winnings	
3 Main residence	

Potential answers

£0
 £40,000
 £150,000
 £200,000
 £375,000
 £700,000
 £875,000

- 5 How much IHT is payable on Tom's death estate?

A £600,000
 B £670,000
 C £730,000
 D £800,000

204 AFIYA (ADAPTED)



Walk in the footsteps of a top tutor



Answer debrief

Afiya died on 29 November 2025. She had made a number of gifts during her lifetime as follows:

- Afiya's first gift was made on 14 September 2020, when she gave 6,500 £1 ordinary shares in Cassava Ltd, an unquoted investment company, to her daughter.
 Before the transfer Afiya owned 8,000 shares out of Cassava Ltd's issued share capital of 10,000 £1 ordinary shares. On 14 September 2020, Cassava Ltd's shares were worth £3 each for a holding of 15%, £7 each for a holding of 65%, and £8 each for a holding of 80%.
- Afiya then made various other gifts such that as at 26 January 2025 the total gross chargeable value of all transfers made in the previous seven years was £220,000 comprising potentially exempt transfers of £100,000 and chargeable lifetime transfers of £120,000.
- On 27 January 2025, Afiya made a transfer of value (after all exemptions) of £400,000 to a trust. Afiya paid the inheritance tax arising from this gift.

Afiya's husband had died on 1 June 2008 leaving an estate valued at £200,000. He left £46,800 to his daughter and the balance to Afiya. He had never made any gifts during lifetime.

On her death Afiya left an estate valued at £525,000, including her main residence worth £375,000, to her children.

The nil rate band for the tax year 2008/09 is £312,000 and it is £325,000 thereafter.

- 1 What is the gross chargeable transfer value (after all exemptions) of Afiya's gift to her daughter on 14 September 2020?**
 - A £59,500
 - B £39,500
 - C £53,500
 - D £45,500

- 2 How much lifetime IHT is payable on the gift to the trust on 27 January 2025?**

£

- 3 Which FOUR of the following items will be included in, or deducted from, Afiya's chargeable death estate for inheritance tax purposes?**
 - A Her main residence
 - B Funeral expenses
 - C Annual exemption
 - D Shares held in an Individual Savings Account
 - E £10,000 held in Gilts
 - F £500 owed to a friend through a verbal agreement

- 4 What is the total amount of nil rate band(s) that Afiya could claim in respect of unused nil rate band(s) on the death of her husband?**
 - A £265,200
 - B £276,250
 - C £440,200
 - D £451,250

- 5 For both the lifetime inheritance tax on the gift to the trust on 27 January 2025 and the tax arising on Afiya's estate select the due date of payment from the following list.

Dates	Lifetime tax on gift to trust	Tax on estate
30 April 2025		
27 July 2025		
31 July 2025		
30 April 2026		
29 May 2026		
31 May 2026		

205 ROMAN (ADAPTED) *Walk in the footsteps of a top tutor*

Roman died on 7 August 2025, and his wife Paris died on 18 February 2026.

The couple had attempted to mitigate their inheritance tax (IHT) liabilities when they both made substantial gifts during 2023. These gifts made full use of their respective nil rate bands of £325,000, but unfortunately neither Roman nor Paris then survived long enough for any of the gifts to benefit from taper relief. Neither Roman nor Paris had made any previous lifetime gifts or owned a main residence.

Roman

On 4 March 2023, Roman made a cash gift of £210,000 to his daughter. On 26 August 2023, he made a cash gift of £190,000 to a trust. No lifetime IHT arose in respect of the gift to the trust.

Roman's estate for IHT purposes was valued at £560,000. Under the terms of his will, Roman left £300,000 to Paris (his wife) and the residue of his estate to his daughter.

Paris

On 12 December 2023, Paris made a gift of 75,000 £1 ordinary shares in Capital Ltd, an unquoted investment company, to her son. Before the transfer, Paris owned 100,000 of Capital Ltd's 250,000 ordinary shares. The market value of Capital Ltd's ordinary shares on 12 December 2023 was as follows:

Holding	Market value per share
10%	£5
30%	£6
40%	£8

Paris also made cash gifts of £80, £210, £195 and £460 to various friends during February 2024. The gifts of £80 and £195 were to the same friend.

Paris's estate for IHT purposes was valued at £840,000, including the inheritance from Roman (her husband). Under the terms of her will, Paris left a specific legacy of £20,000 to a friend and the residue of her estate to her grandchildren.

- 1 How much IHT will be payable in respect of the gift made to the trust by Roman as a result of his death?

A £26,400
 B £28,800
 C £27,600
 D £25,200

- 2 Who will be responsible for paying the IHT arising from Roman's gift to the trust as a result of his death, and when will the tax be due? Select the appropriate box in the table below.

		Liability for tax	
		Trustees	Personal representatives of Roman's estate
Due date	28 February 2026	A	B
	30 April 2026	C	D

- 3 For IHT purposes, what was the amount of the transfer of value as a result of Paris's gift of 75,000 ordinary shares in Capital Ltd?

A £450,000
 B £600,000
 C £675,000
 D £425,000

- 4 What is the amount of the cash gifts made by Paris to her friends during February 2024 NOT covered by the small gifts exemption?

£

- 5 What is the amount of IHT payable in respect of Roman's and Paris's estates on death? Tick the appropriate boxes.

		Roman's estate	Paris's estate
IHT payable	£104,000		
	£224,000		
	£328,000		
	£336,000		

206 ADANA (ADAPTED)

Walk in the footsteps of a top tutor

Adana died on 17 March 2026, and inheritance tax (IHT) of £566,000 is payable in respect of her chargeable estate. Under the terms of her will, Adana left her entire estate, which does not include a main residence, to her children.

At the date of her death, Adana had the following debts and liabilities:

- 1 An outstanding interest-only mortgage of £220,000.
- 2 Income tax of £43,700 payable in respect of the tax year 2025/26.
- 3 Legal fees of £4,600 incurred by Adana's sister which Adana had verbally promised to pay.

Adana's husband had died on 28 May 2007, and only 20% of his inheritance tax nil rate band was used on his death. The nil rate band for the tax year 2007/08 was £300,000.

On 22 April 2014, Adana had made a chargeable lifetime transfer of shares valued at £500,000 to a trust. Adana paid the lifetime IHT of £52,250 arising from this gift. If Adana had not made this gift, her chargeable estate at the time of her death would have been £650,000 higher than it otherwise was. This was because of the subsequent increase in the value of the gifted shares.

- 1 What is the maximum nil rate band which will have been available when calculating the IHT of £566,000 payable in respect of Adana's chargeable estate?**

- A £325,000
- B £565,000
- C £390,000
- D £585,000

- 2 What is the amount of liabilities 1 – 3 which will be deducted in calculating Adana's chargeable estate for IHT purposes?**

	Deductible
1 Interest-only mortgage	
2 Income tax payable	
3 Sister's legal fees	

Potential answers

- £0
- £4,600
- £43,700
- £220,000

- 3 Select who will be responsible for paying the IHT of £566,000 in respect of Adana's chargeable estate, and the due date for the payment of this liability.

Payable by:	Tax payable		
	30 September 2026	17 September 2026	17 March 2027
Beneficiaries (her children)	A	B	C
Personal representatives	D	E	F

- 4 How much of the IHT payable in respect of Adana's estate would have been saved if, under the terms of her will, Adana had made specific gifts of £400,000 to a trust and £200,000 to her grandchildren, instead of leaving her entire estate to her children?

- A £240,000
B £160,000
C £0
D £80,000

- 5 How much IHT did Adana save by making the chargeable lifetime transfer of £500,000 to a trust on 22 April 2014, rather than retaining the gifted investments until her death?

£

207 TONY AND ANITA

You should assume that today's date is 1 March 2026.

Tony died on 17 July 2025. Anita was his wife.

Tony

Tony had made the following lifetime transfers:

Date	Type of transfer	Amount £
26 February 2017	Potentially exempt transfer	95,000
14 April 2017	Chargeable lifetime transfer	120,000
10 June 2023	Potentially exempt transfer	500,000

The above potentially exempt transfers and the chargeable lifetime transfer are **after** taking account of all available exemptions.

Tony left an estate valued at £1,600,000 for inheritance tax (IHT) purposes. As the nil rate band has already been used, IHT was payable on the chargeable estate. Under the terms of his will, Tony left £400,000 to his wife, Anita, a specific legacy of £100,000 to his brother, and the residue of the estate to his niece, Marguerite.

In Marguerite's will she leaves all of her estate to her children.

Anita

Anita made a cash gift of £600,000 to her niece, Marguerite, on 20 August 2021. This figure is before taking account of any exemptions. Anita had already made a chargeable lifetime transfer on 2 December 2019 which fully utilised her nil rate band.

- 1 How much IHT was payable in respect of the potentially exempt transfer of £500,000 made on 10 June 2023 as a result of Tony's death?**
 - A £156,000
 - B £118,000
 - C £108,000
 - D £70,000

- 2 What is the amount of inheritance received by Marguerite?**
 - A £1,120,000
 - B £1,100,000
 - C £1,020,000
 - D £620,000

- 3 What would the IHT implications have been if, under the terms of his will, Tony had left part of the residue of his estate to Marguerite's children rather than leaving the entire residue to Marguerite?**
 - A It would have reduced the amount of IHT payable in respect of Tony's estate
 - B It would have removed the potential for a double charge to IHT before Tony's estate is inherited by Marguerite's children
 - C It would have reduced the potential IHT payable when Marguerite's children die
 - D It would not have resulted in any IHT saving for either Tony, Marguerite or her children

- 4 If Anita were to die on 15 March 2026, how much IHT would she have saved as a result of making the cash gift of £600,000 to Marguerite on 20 August 2021, rather than retaining this cash until her death?**
 - A £96,000
 - B £2,400
 - C £97,440
 - D £240,000

- 5 If Anita were to die on 15 March 2026, who would be responsible for paying the IHT arising from the cash gift to Marguerite on 20 August 2021, and when would this IHT be due?**
 - A Marguerite by 30 September 2026
 - B Marguerite by 15 September 2026
 - C The personal representatives of Anita's estate by 30 September 2026
 - D The personal representatives of Anita's estate by 15 September 2026

208 NAGINA AND RISHI

Nagina and Rishi were a married couple. They made three lifetime gifts before Nagina died on 26 June 2025.

Rishi

On 16 April 2019, Rishi made a chargeable lifetime transfer to a trust. The amount of the gift was £355,000 after deducting all available exemptions. Rishi agreed to pay any inheritance tax on the gift.

On 10 January 2025, Rishi made a gift of 2,000 £1 ordinary shares in Altion Ltd to his son. Before the transfer, Rishi owned 8,000 shares in Altion Ltd. Altion Ltd has an issued share capital of 10,000 £1 ordinary shares.

The value of Altion Ltd's shares on 10 January 2025 were:

Holding	Value per share
1% to 25%	£10
26% to 50%	£14
50% to 75%	£20
75% to 100%	£30

These are the only lifetime gifts which Rishi has made.

Nagina

On 11 May 2022, Nagina made a potentially exempt transfer of £350,000 to her grandson as a wedding gift when the grandson got married. This figure is after deducting all available exemptions.

This is the only lifetime gift made by Nagina.

- 1 What was the amount of the gross chargeable transfer in respect of Rishi's chargeable lifetime transfer made to the trust on 16 April 2019?**

£

- 2 For inheritance tax purposes, what was the amount of the transfer of value of Rishi's gift of 2,000 ordinary shares in Altion Ltd?**

- A £120,000
- B £20,000
- C £60,000
- D £180,000

- 3 What is the total value of the exemptions which will have been deducted in calculating the value of the potentially exempt transfer that Nagina made to her grandson on 11 May 2022?**

- A £7,000
- B £6,000
- C £5,500
- D £8,500

- 4 What is the amount of inheritance tax which will be payable in respect of the potentially exempt transfer made to the grandson on 11 May 2022 as a result of Nagina's death?**

- A £8,000
B £10,000
C £140,000
D £112,000

- 5 Select the correct individual and date from below to identify who is responsible for paying the inheritance tax arising from the potentially exempt transfer made to the grandson on 11 May 2022 as a result of Nagina's death, and when this tax will be payable.**

Individuals	Responsible for payment	Date payable by
Grandson		
Personal representatives of Nagina's estate		
Dates		
31 December 2025		
26 December 2025		

209 DIANNE

You should assume that today's date is 5 March 2026.

Dianne's father died on 14 September 2025. Dianne's mother had died on 28 May 2021.

Cash gifts received from father

Dianne received a cash gift of £84,000 from her father on 4 May 2020, with a further cash gift of £440,000 received on 10 June 2020.

These gifts are stated after taking account of any available exemptions.

Dianne's father did not make any other lifetime gifts.

Father's chargeable estate

For inheritance tax (IHT) purposes, the chargeable estate of Dianne's father is valued at £1,134,000. This is calculated as follows:

	£
Property (main residence)	620,000
Mortgage	(380,000)
	240,000
Other assets	970,000
Debts and funeral expenses	(76,000)
Chargeable estate	1,134,000

The father's estate has been left entirely to Dianne.

When Dianne's mother died, her estate was also left to Dianne. The value of the estate was sufficient to fully utilise all of the mother's nil rate band. The estate did not include a main residence.

Gift made by Dianne

On 1 March 2026, Dianne made a chargeable lifetime transfer of £520,000 to a trust for the benefit of her children. She will pay the IHT arising from this gift.

On 10 June 2025, Dianne had made a chargeable lifetime transfer of £70,000 to a trust for the benefit of her nieces, and a potentially exempt transfer of £30,000 to her sister. Dianne has not made any other lifetime gifts.

The chargeable lifetime transfers of £520,000 and £70,000, and the potentially exempt transfer of £30,000, are after taking account of all available exemptions.

1 Complete the following sentence:

As a result of her father's death, Dianne will have to pay inheritance tax of £_____ in respect of the cash gift of £440,000 received on 10 June 2020.

2 How much inheritance tax will be payable in respect of the chargeable estate of Dianne's father valued at £1,134,000?

- A £313,600
- B £453,600
- C £357,600
- D £383,600

3 Which TWO of the following deductions will have been permitted in calculating the debts and funeral expenses of £76,000 in the chargeable estate of Dianne's father?

- A The legal fees of a friend which Dianne's father had verbally promised to pay
- B Capital gains tax payable in respect of the tax year 2024/25
- C Credit card debts
- D An electricity bill which Dianne's father paid on 5 September 2025

4 Identify, by selecting the relevant boxes in the table below, the due dates for the inheritance tax (IHT) payable in respect of the lifetime cash gift of £440,000 received by Dianne on 10 June 2020, and the IHT payable in respect of her father's chargeable estate valued at £1,134,000.

Lifetime gift	31 March 2026	30 April 2026
Chargeable estate	14 March 2026	31 March 2026

5 What is the amount of lifetime inheritance tax payable by Dianne in respect of the chargeable lifetime transfer of £520,000 which she made to a trust on 1 March 2026?

- A £66,250
- B £73,750
- C £53,000
- D £48,750

PRACTICE SECTION C CONSTRUCTED RESPONSE QUESTIONS

210 AURORA (ADAPTED)



Walk in the footsteps of a top tutor

This scenario relates to two requirements.

You should assume that today's date is 6 April 2025.

You are a trainee Chartered Certified Accountant dealing with the tax affairs of Aurora.

Let properties

Aurora owns three freehold residential properties which are all let out. Properties 1 and 3 qualify for private residence relief (PRR) because, at separate times, they were previously occupied by Aurora immediately after purchasing each one. These two properties also have outstanding interest-only mortgages. Details are as follows:

	Property 1	Property 2	Property 3
	£	£	£
Current value	350,000	350,000	350,000
Outstanding interest-only mortgage	(115,000)	0	(115,000)
Chargeable gain if sold (before any reliefs)	100,000	150,000	150,000
Period of ownership	15 years	15 years	20 years
Period lived in as private residence	2 years	0 years	12 years

All three properties have been let out during any periods when not occupied by Aurora as her private residence.

Inheritance tax

On 23 August 2019, Aurora made a gift of a house valued at £416,000 to her nephew, Phil. This was a wedding gift when Phil got married.

Aurora's only other asset is her main residence valued at £500,000. This property does not have a mortgage. Under the terms of her will, Aurora's entire estate is left to her children.

Aurora's husband, Andrew, died on 15 August 2023, with all of his estate left to Aurora. During February 2023, Andrew made lifetime gifts of assets to his children which fully utilised his inheritance tax (IHT) nil rate band of £325,000.

Sale of one of the three let properties

Aurora is planning to sell one of her three let properties during May 2025, and wants to sell the one which will result in the lowest chargeable gain after taking into account any available reliefs. Her rough calculations indicate that this will be property 3.

Required:

- Calculate the IHT payable in respect of Aurora's death if she were to die on 6 April 2025. (7 marks)
- Assuming Aurora does not die on 6 April 2025, for each one of her three let properties, calculate the chargeable gain (after taking account of any available reliefs, but before deducting the annual exempt amount) if she sells that property during May 2025 and explain why no letting relief is available. (3 marks)

Note: You should assume that the tax rates and allowances for the tax year 2025/26 apply throughout.

(Total: 10 marks)

211 JAMES (ADAPTED)*Walk in the footsteps of a top tutor*

This scenario relates to three requirements.

James died on 22 January 2026. He had made the following gifts during his lifetime:

- 1 On 9 October 2018, a cash gift of £35,000 to a trust. No lifetime inheritance tax was payable in respect of this gift.
- 2 On 14 May 2024, a cash gift of £420,000 to his daughter.
- 3 On 2 August 2024, a gift of a property valued at £260,000 to a trust. No lifetime inheritance tax was payable in respect of this gift because it was covered by the nil rate band. By the time of James' death on 22 January 2026, the property had increased in value to £310,000.

On 22 January 2026, James' estate was valued at £870,000. Under the terms of his will, James left his entire estate to his brother as his children already have considerable assets. James believes his nephew will benefit from his estate in the future.

The nil rate band of James' wife was fully utilised when she died ten years ago.

Required:

- (a) Calculate the inheritance tax which will be payable as a result of James' death, and state who will be responsible for paying the tax. (6 marks)
- (b) Explain why it might have been beneficial for inheritance tax purposes if James had left a portion of his estate to his nephew rather than to his brother. (2 marks)
- (c) Explain why it might be advantageous for inheritance tax purposes for a person to make lifetime gifts even when such gifts are made within seven years of death.

Notes:

- 1 Your answer should include a calculation of James' inheritance tax saving from making the gift of property to the trust on 2 August 2024 rather than retaining the property until his death.
- 2 You are not expected to consider lifetime exemptions in this part of the question. (2 marks)

(Total: 10 marks)

212 JESSICA

This scenario relates to three requirements.

Jessica is an additional rate taxpayer and on 6 April 2025, she made a lifetime gift consisting of both shares and cash to a trust, with the funds then being held for the benefit of her two grandchildren aged three and four. Jessica understands that she will have to consider both inheritance tax (IHT) and capital gains tax in respect of these gifts, but the trust will pay the IHT arising.

Jessica's gifts to the trust

Shares

100,000 £1 ordinary shares in Valuable Ltd, an unquoted non-trading (investment) company. Jessica currently owns 150,000 shares out of Valuable Ltd's issued share capital of 250,000 £1 ordinary shares. The current market value of Valuable Ltd's ordinary shares is:

Holding	Market value per share
20%	£3
40%	£4
60%	£7

Jessica subscribed for her 150,000 shares in Valuable Ltd at their par value of £1 per share on 8 July 2007.

Jessica's disposal of shares in Valuable Ltd will not qualify for business asset disposal relief or investors' relief or gift holdover relief for a gift of a business asset. Jessica will not make any other disposals during the tax year 2025/26.

Cash

Cash totalling £250,000, of which £50,000 was held within cash individual savings accounts (ISAs) and the remainder was in bank accounts earning interest.

Jessica has not made any previous lifetime gifts.

Jessica's income 2025/26

Jessica will be an additional rate taxpayer for the tax year 2025/26.

As a result of gifting the cash to the trust, Jessica will have no savings income for the tax year 2025/26. If Jessica had not made the gift, then she would have received savings income of £6,250 on the cash held during the tax year 2025/26, of which £1,250 would have been from ISAs.

As a result of making the gift of shares, Jessica's dividend income for the tax year 2025/26 was reduced from £24,000 to £8,000.

Required:

- (a) Calculate Jessica's capital gains tax liability for the tax year 2025/26. (3 marks)
- (b) Calculate the lifetime inheritance tax (IHT) which will be payable as a result of Jessica making both gifts to the trust.

Note: You should ignore the IHT annual exemption. (4 marks)

- (c) Calculate the reduction in Jessica's income tax liability for the tax year 2025/26. (3 marks)

(Total: 10 marks)

Section 4

PRACTICE CORPORATION TAX QUESTIONS

PRACTICE SECTION A OBJECTIVE TEST QUESTIONS

CORPORATION TAX BASICS AND ADMINISTRATION

213 September/December 2022 OT question

Geyor Ltd opened and placed a deposit into an interest-bearing bank account on 1 March 2025.

The company began trading on 1 April 2025 and prepared its first financial statements for the year ended 31 March 2026.

Identify, by selecting the relevant boxes in the table below, Geyor Ltd's first accounting period for corporation tax purposes and the financial year into which this first accounting period falls.

Accounting period	1 March 2025 to 31 March 2025	1 April 2025 to 31 March 2026
Corporation tax due	FY2024	FY2025

214 December 2016 OT question

Somily Ltd filed its self-assessment corporation tax return for the year ended 31 December 2024 on 15 March 2026.

What is the deadline for HM Revenue & Customs (HMRC) to start a compliance check enquiry into Somily Ltd's corporation tax return for the year ended 31 December 2024?

- A 30 April 2027
- B 31 December 2026
- C 15 March 2027
- D 31 January 2027

215 September 2015 OT question (ADAPTED)

Indicate with a tick in the relevant box which of the following companies will be treated as resident in the UK for corporation tax purposes.

	Resident	Not resident
A Ltd, a company incorporated in the UK, with its central management and control exercised in the UK		
B Ltd, a company incorporated overseas, with its central management and control exercised in the UK		
C Ltd, a company incorporated in the UK, with its central management and control exercised overseas		
D Ltd, a company incorporated overseas, with its central management and control exercised overseas		

216 September/December 2024 OT question

Each of the following companies has a factory and sales office in the UK:

- (1) Xebec Inc, which is incorporated overseas and holds its board meetings in the UK
- (2) Yawl Ltd, which is incorporated in the UK and holds its board meetings overseas
- (3) Zille Inc, which is incorporated overseas and holds its board meetings overseas

Which of the three companies will be treated as resident in the UK for corporation tax purposes?

- A Xebec Inc only
- B Yawl Ltd only
- C Xebec Inc and Yawl Ltd only
- D Xebec Inc, Yawl Ltd and Zille Inc

217 September 2016 OT question

Lili Ltd started trading on 1 January 2025. The company incurred the following expenditure prior to 1 January 2025:

		£
30 November 2017	Initial market research	15,000
6 June 2020	Research into competitors	12,000
31 July 2024	Entertaining potential customers and suppliers	8,000
15 December 2024	Donation to local school fair in exchange for advertising	2,000

What is the amount of Lili Ltd's deductible pre-trading expenditure in respect of the year ended 31 December 2025?

- A £10,000
- B £14,000
- C £27,000
- D £29,000

218 June 2024 OT question

Flower Ltd is a trading company. Its results for the year ended 31 March 2026 include the following items relating to interest received and paid in the year:

	£
Loan interest receivable:	
Received in the year	35,000
Accrued at 31 March 2026	5,000
Loan interest payable:	
On loan to purchase a fleet of delivery vans	(10,000)
On loan to buy shares in an unrelated trading company	(8,000)

What amount of non-trade loan relationship income will be included in Flower Ltd's calculation of taxable total profits for the year ended 31 March 2026?

£

219 July 2021 OT question (ADAPTED)

Red Hill Ltd has the following results for the year ended 31 March 2026.

	£
Trading profit	625,000
Dividends received	32,000
Qualifying charitable donations	(7,000)

Red Hill Ltd is not part of a group.

Indicate, by selecting the relevant boxes in the table below, the amount of corporation tax payable by Red Hill Ltd for the year ended 31 March 2026 and the date this corporation tax will be due.

Corporation tax payable	£154,500	£156,250	£162,500
Corporation tax due	1 January 2027	31 March 2027	31 January 2027

- 220** Shed Ltd had a tax adjusted trading profit for the year ended 31 March 2026 of £200,000. The company also received dividends of £5,000 from a non-associated company.

What is the corporation tax payable by Shed Ltd for the year ended 31 March 2026?

£

221 In the year ended 30 June 2025, the accounts of Chelsea Ltd included the following two amounts:

- 1 £1,000 spent on a Christmas party for the company's five employees
- 2 £2,000 for car lease payments. The leased car has CO₂ emissions of 95 grams per kilometre and has been leased by the company since 1 July 2024. During the year the car was used by one of the company's directors who drove 4,000 personal miles and 16,000 business miles in the car.

What adjustments are needed when calculating the trading profit for Chelsea Ltd for the year ended 30 June 2025? Select the appropriate box in the table below.

		Christmas party	
		£0	£1,000
Car lease	£300	A	B
	£725	C	D

222 During the year ended 31 March 2026, Cheddar Ltd purchased a new machine for £100,000.

The old machine was disposed of during May 2025 for £10,000. The old machine originally cost £90,000 and the super deduction was claimed when it was purchased.

On 1 April 2025, Cheddar Ltd had a tax written down value brought forward on the main pool of £35,000.

What are the maximum capital allowances that Cheddar Ltd could claim in the year ended 31 March 2026?

£

223 During the year ended 31 March 2026, Swiss Ltd purchased a new car for £8,000, which has zero CO₂ emissions. It is used by an employee 30% of the time for private purposes and 70% of the time for business purposes.

On 1 April 2025, Swiss Ltd had a tax written down value brought forward on the main pool of £20,000.

What are the maximum capital allowances that Swiss Ltd could claim in the year ended 31 March 2026?

- A £5,040
- B £11,600
- C £9,200
- D £4,608

- 224** During the year ended 31 March 2026, Edam Ltd, a VAT-registered company, purchased a second-hand lorry for £198,000 (including VAT of £33,000).

On 1 April 2025, the tax written down value brought forward on the main pool was £15,000.

What are the maximum capital allowances that Edam Ltd could claim in the year ended 31 March 2026?

- A £167,700
- B £32,400
- C £38,340
- D £200,700

225 December 2016 OT question

Modal Ltd lets out an unfurnished investment property.

During the year ended 31 December 2025, the company had rental income of £3,000 per month and electricity expenses (relating to the rental property) of £200 per month. The electricity payment for December 2025 was not paid until 30 January 2026.

Modal Ltd also paid interest of £1,200 per month on a loan taken out to finance the purchase of the rental property.

What amount of property income will be included in Modal Ltd's corporation tax computation for the year ended 31 December 2025?

£

- 226** Hound Ltd started to trade on 1 June 2025 and prepared its first set of accounts for the 15-month period to 31 August 2026.

On which date(s) must Hound Ltd submit a corporation tax return in respect of the 15-month period of account? You can tick more than one box.

	Corporation tax return due
1 March 2027	
31 May 2027	
1 June 2027	
31 August 2027	

227 December 2020 OT question

Giant Ltd is a large company, and therefore pays its corporation tax by instalments.

For the eight-month period ended 31 August 2025, the company estimated that its corporation tax liability would be £400,000.

What would Giant Ltd's first corporation tax instalment be in respect of the eight-month period ended 31 August 2025, and what is the due date of this instalment.

- A £100,000 on 14 April 2025
- B £100,000 on 14 July 2025
- C £150,000 on 14 April 2025
- D £150,000 on 14 July 2025

RELIEF FOR TRADING LOSSES

228 September 2016 OT question

Oblong Ltd has had the following results:

	Year ended 31 March 2025	Year ended 31 March 2026
	£	£
Trading profit/(loss)	79,400	(102,800)
Property business income	6,800	10,100
Qualifying charitable donations	(1,600)	(1,300)

If Oblong Ltd makes a claim to relieve its trading loss of £102,800 for the year ended 31 March 2026 against total profits for the year ended 31 March 2025, how much of this loss will remain unrelieved?

- A £6,500
- B £16,600
- C £9,400
- D £23,400

229 Hobart Ltd has had the following results:

	Year ended 31 March 2025	Year ended 31 March 2026
	£	£
Tax adjusted trading profit/(loss)	40,000	(50,000)
Property income	15,000	21,000
Qualifying charitable donations paid	(6,000)	(14,000)

What are Hobart Ltd's taxable total profits, if any, in the year ended 31 March 2025 assuming the company makes a claim to carry back the trading loss to the year ended 31 March 2025?

£

230 Tasman Ltd has had the following results:

	Year ended 30 June 2024	9 months ended 31 March 2025	Year ended 31 March 2026
	£	£	£
Tax adjusted trading profit/(loss)	40,000	22,000	(60,000)
Non-trade loan relationship income	4,000	3,000	5,000

What is the amount of loss, if any, available to carry forward as at 31 March 2026 assuming Tasman Ltd claims to use the trading loss as soon as possible?

- A £0
- B £30,000
- C £19,000
- D £24,000

231 Cairns Ltd has had the following results:

	Year ended 30 June 2025	Year ended 30 June 2026
	£	£
Tax adjusted trading profit/(loss)	(40,000)	25,000
Chargeable gains	9,000	45,000
Qualifying charitable donations paid	(2,000)	(3,000)

The company wishes to claim relief for the trading loss as soon as possible.

For each of the following statements concerning the loss relief claimed by Cairns Ltd select whether it is true or false:

	True	False
Cairns Ltd's taxable total profits in the year ended 30 June 2026 are £27,000		
The trading loss may not be offset against chargeable gains		
Cairns Ltd must make a claim for any loss relief claimed by 30 June 2027		

232 Perth Ltd has had the following results:

	Year ended 30 April 2025	Year ended 30 April 2026
	£	£
Tax adjusted trading profit/(loss)	(120,000)	61,000
Property income/(loss)	(28,000)	27,000
Non-trade loan relationship income	30,000	30,000
Qualifying charitable donations paid	(10,000)	(10,000)

Assuming that Perth Ltd claims loss relief in the most efficient way, select the correct amount of brought forward property and trading losses which will be offset in the year ended 30 April 2026.

	Property loss claimed in y/e 30 April 2026	Trading loss claimed in y/e 30 April 2026
A	£0	£108,000
B	£0	£118,000
C	£8,000	£108,000
D	£8,000	£110,000

233 Adelaide Ltd has had the following results:

Year ended 31 March	2024	2025	2026
	£	£	£
Tax adjusted trading profit	16,000	20,000	25,000
Property income/(loss)	5,000	(65,000)	10,000
Qualifying charitable donations paid	(800)	(900)	(1,100)

What is the amount of the unused property loss as at 31 March 2026 assuming Adelaide claims relief in the most efficient way?

£

234 Darwin Ltd ceased to trade on 31 March 2026. Its recent results have been as follows:

Year ended 31 March	2023	2024	2025	2026
	£	£	£	£
Tax adjusted trading profit/(loss)	45,000	32,000	10,000	(100,000)
Chargeable gain	5,000	–	9,000	14,000

What are the company's taxable total profits for the year ended 31 March 2023 assuming the company makes a terminal loss relief claim?

- A £0
- B £6,000
- C £1,000
- D £15,000

235 September/December 2021 OT question

Flat Wall Ltd has the following results for the year ended 31 December 2025:

	£
Trading profits	13,300
Property business income	4,600
Non-trade loan relationship income	2,500
Qualifying charitable donations	(1,000)

The company also has £20,400 of brought forward trading losses. Flat Wall Ltd always utilises its tax losses in the most efficient way possible.

Match the date by which Flat Wall Ltd must make a claim to offset its brought forward trading losses in the year ended 31 December 2025 and the amount of unrelieved trading loss which will be carried forward to the year ended 31 December 2026.

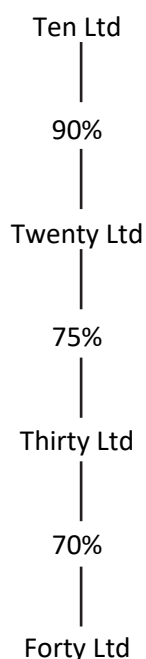
Dates	Trading losses
31 December 2026	£0
31 December 2027	£1,000

Date by which loss relief claim must be made	Trading losses carried forward

WITH GROUP ASPECTS

236 June 2015 OT question

Ten Ltd is the parent company for a group of companies. The group structure is as follows:



Each percentage holding represents a holding of ordinary share capital.

What is the group relationship between Forty Ltd and Ten Ltd?

- A They form a group for both group relief and chargeable gains purposes
 - B They form a group for group relief purposes but not for chargeable gains purposes
 - C They form a group for chargeable gains purposes but not for group relief purposes
 - D They do not form a group for either group relief or chargeable gains purposes
- 237** Computer Ltd owns 75% of Chair Ltd, 60% of Bin Ltd and 100% of Paper Inc. Paper Inc owns 75% of Cardboard Ltd. All companies are resident in the UK except Paper Inc, which is resident in the US.

Computer Ltd suffered a trading loss during its most recent accounting period.

Indicate with a tick in the relevant box to which companies Computer Ltd's trading loss could be surrendered.

	Loss can be surrendered to
Chair Ltd	
Bin Ltd	
Paper Inc	
Cardboard Ltd	

238 December 2016 OT question

Acasta Ltd owns 75% of the ordinary share capital of Barge Ltd and 100% of the ordinary share capital of Coracle Ltd. Barge Ltd owns 75% of the ordinary share capital of Dhow Ltd. Coracle Ltd owns 51% of the ordinary share capital of Eight Ltd.

Which companies, along with Coracle Ltd, are within Acasta Ltd's chargeable gains group?

- A Barge Ltd, Dhow Ltd and Eight Ltd
- B Barge Ltd only
- C Barge Ltd and Dhow Ltd only
- D None of the other companies

239 September/December 2024 OT question

Xtra Ltd bought 60% of the ordinary share capital of Yak Ltd on 31 October 2024 and 80% of the ordinary share capital of Zeus Ltd on 31 March 2025.

For the year ended 31 December 2025, Xtra Ltd made a trading profit of £240,000 and Yak Ltd made a trading profit of £120,000. Zeus Ltd made a trading loss of £180,000 for the year ended 31 December 2025.

Which TWO of the following statements are correct in respect of the potential group relief claims which can be made for the year ended 31 December 2025?

- A Xtra Ltd can claim group relief of £135,000 from Zeus Ltd
- B Xtra Ltd can claim group relief of £180,000 from Zeus Ltd
- C Yak Ltd can claim group relief of £90,000 from Zeus Ltd
- D Yak Ltd cannot claim group relief from Zeus Ltd

- 240** Battery Ltd owns 100% of Watch Ltd. During the six-month period ended 31 March 2026 Watch Ltd had trading income of £50,000 and property income of £30,000. During the year ended 31 December 2026 Battery Ltd had a trading loss of £100,000.

What is the maximum loss that Watch Ltd can claim from Battery Ltd for the period ended 31 March 2026?

- A £50,000
- B £25,000
- C £40,000
- D £80,000

- 241** AB Ltd owns 100% of BD Ltd. For the year ended 31 December 2025 AB Ltd has a trading loss of £20,000, a brought forward trading loss of £12,000 and chargeable gains of £8,000. BD Ltd has total taxable profits of £44,000.

Compute the maximum group relief claim that can be made by BD Ltd for the year ended 31 December 2025.

£

- 242** Apple Ltd owns 75% of Grape Ltd. Apple Ltd transferred an asset with a market value of £350,000 to Grape Ltd. The original cost of the asset was £100,000 and the relevant indexation allowance was £50,000.

What is the deemed acquisition cost for chargeable gains purposes for Grape Ltd?

£

- 243** Telephone Ltd prepares accounts to 31 March each year. Throughout the year ended 31 March 2026 Telephone Ltd owned 62% of Desk Ltd, 75% of Chair Ltd, 55% of Floor Ltd (a dormant company) and 100% of Window Inc (resident overseas). Telephone Ltd acquired 60% of the share capital of Blind Ltd on 1 January 2026.

What is the total number of companies for the purposes of adjusting the upper and lower limits for calculating the corporation tax of Telephone Ltd for the year ended 31 March 2026?

- A 3
- B 4
- C 5
- D 6

- 244** Novak Ltd owns 80% of Roger Ltd. Roger Ltd owns 70% of Pete Ltd and Pete Ltd owns 50% of Andy Ltd. The group structure has been the same for a number of years.

What is the upper limit for determining whether corporation tax will be paid at the main rate for the year ended 31 March 2026?

- A £62,500
- B £125,000
- C £250,000
- D £83,333

- 245** Custard Ltd started trading on 1 August 2025 and prepared its first set of accounts to 31 March 2026. The company's taxable total profits for the period to 31 March 2026 are £190,000.

Custard Ltd has three associated companies from which it received dividends of £70,000. The company also received dividends from one non-associated company of £27,000.

What is the amount of the augmented profits threshold that will be used to determine whether Custard Ltd is a large company for the period ended 31 March 2026?

- A £250,000
- B £375,000
- C £500,000
- D £333,333

- 246** Bourbon Ltd prepares annual accounts to 31 January. In the year ended 31 January 2026, the company had the following income:

	£
Trading income	1,450,000
Chargeable gain	100,000

Bourbon Ltd received dividends of £50,000 from associated companies and dividends of £20,000 from non-associated companies.

What are the augmented profits of Bourbon Ltd for the year ended 31 January 2026?

£

- 247 September 2015 OT question (ADAPTED)**

During the year ended 31 March 2026, Luck Ltd received the following dividends:

	£
From unconnected companies	4,680
From a company in which Luck Ltd has a 80% shareholding	3,870
From a company in which Luck Ltd has a 45% shareholding	1,260

What is the amount that is included in Luck Ltd's augmented profits for the year ended 31 March 2026?

- A £5,940
- B £9,810
- C £3,870
- D £4,680

- 248** All of the following companies are NOT large companies for the purposes of paying corporation tax.

Which of the companies have a due date in respect of corporation tax of 1 April 2026? You can tick more than one box.

	Corporation tax due on 1 April 2026
W Ltd – prepared accounts for the year ended 30 June 2025	
X Ltd – prepared accounts for the 15 months ended 30 September 2025	
Y Ltd – prepared accounts for the year ended 31 March 2025	
Z Ltd – prepared accounts for the eight months to 30 June 2025	

249 December 2016 OT question

Three unconnected companies have the following results for corporation tax purposes:

Company	Current accounting period	Number of associated companies	Taxable total profits (TTP) £	TTP for previous 12-month period £
Asher Ltd	Year ended 31 March 2026	3	700,000	600,000
Barton Ltd	Four-month period ended 31 December 2025	0	600,000	1,600,000
Chelfry Ltd	Year ended 30 November 2025	0	1,600,000	1,400,000

All the companies have had the same number of associated companies for many years. None of the companies have received any dividends.

Which of the three companies will NOT have to pay corporation tax by quarterly instalments for the current accounting period?

- A Asher Ltd
- B Barton Ltd only
- C Chelfry Ltd only
- D Barton Ltd and Chelfry Ltd

250 September 2015 OT question

Mammoth Ltd started trading on 1 January 2024. The company's augmented profits have been as follows:

Period	£
Year ended 31 December 2024	524,000
Year ended 31 December 2025	867,000
Year ended 31 December 2026	912,000

Throughout all of these periods, Mammoth Ltd had one associated company.

What is the first year for which Mammoth Ltd will be required to pay its corporation tax liability by quarterly instalments?

- A Year ended 31 December 2024
- B None of the years ended 31 December 2024, 2025 or 2026
- C Year ended 31 December 2025
- D Year ended 31 December 2026

251 September 2015 OT question (ADAPTED)

For the year ended 30 June 2025, Forgetful Ltd had a corporation tax liability of £166,250, which it did not pay until 31 July 2026. Forgetful Ltd is not a large company.

How much interest will Forgetful Ltd be charged by HM Revenue & Customs (HMRC) in respect of the late payment of its corporation tax liability for the year ended 30 June 2025?

£

PRACTICE SECTION B OBJECTIVE TEST CASES

CORPORATION TAX BASICS AND ADMINISTRATION

252 GREENZONE LTD (ADAPTED) *Walk in the footsteps of a top tutor*

Greenzone Ltd is a trading company.

Year ended 30 September 2025

Included in the company's statement of profit or loss for the year ended 30 September 2025 were the following expenses:

	£
Repairs and renewals	
Repainting the exterior of the company's office building	8,390
Legal fees for renewing a 20-year lease on the office building	19,800
Entertaining expenses	
Entertaining UK customers	3,600
Entertaining overseas customers	1,840
Gifts and donations	
Political donations	740
Donation to a small, local charity where Greenzone Ltd received free advertising in the charity's newsletter.	430
Gifts to customers:	
– pens costing £30 each, not displaying Greenzone Ltd's name	660
– clocks costing £65 each and displaying Greenzone Ltd's name	910

Plant and machinery

On 1 October 2024 the tax written down value of Greenzone Ltd's main pool was £48,150.

The following cars were purchased during the year ended 30 September 2025:

	Date of purchase	Cost £	CO ₂ emission rate
New car 1	10 October 2024	10,800	0 grams per kilometre
New car 2	10 December 2024	20,400	48 grams per kilometre

The following car was sold during the year ended 30 September 2025:

	Date of sale	Proceeds £	Original cost £
Car 3	8 September 2025	9,100	8,500

The original cost of car 3 has previously been added to the main pool.

Period ended 31 March 2026

Greenzone Ltd changed its year end and prepared accounts for the six-month period to 31 March 2026.

On 1 October 2025 the tax written down value of Greenzone Ltd's special rate pool was £Nil. During the six-month period to 31 March 2026 the company installed a new air conditioning system throughout its offices at a cost of £550,000, which is expected to last 30 years.

- 1 What amount must be added back in the adjustment of trading profits computation in respect of repairs and renewals and entertaining expenses? Select the appropriate box in the table below.

		Entertaining expenses	
		£1,840	£5,440
Repairs and renewals	£0	A	B
	£19,800	C	D

- 2 What amount must be added back in the adjustment of trading profits computation in respect of gifts and donations?

- A £2,310
B £2,740
C £1,650
D £660

- 3 Assuming that Greenzone Ltd always claims the maximum capital allowances, what is the tax written down balance of the main pool at 30 September 2025?

£

- 4 Assuming that Greenzone Ltd always claims the maximum capital allowances, what capital allowances would be claimed in respect of the special rate pool for the six months ended 31 March 2026?

- A £500,000
B £512,500
C £525,000
D £526,500

- 5 Assuming that Greenzone Ltd is a large company for the purposes of paying its corporation tax, on what dates are instalments of its corporation tax liability for the six months ended 31 March 2026 payable? You can tick more than one box.

	Instalment date
14 January 2026	
14 April 2026	
14 July 2026	
14 October 2026	

253 MIXTURE LTD

Mixture Ltd is a large company and therefore has to make quarterly instalment payments in respect of its corporation tax liability.

For the year ended 31 March 2026, Mixture Ltd has taxable total profits of £770,000 and dividends from a non-associated company of £45,000. The company had the same level of profits for the year ended 31 March 2025.

Mixture Ltd has had two associated companies for many years.

Capital expenditure

Mixture Ltd incurred the following capital expenditure during the year ended 31 March 2026:

- 1 A new freehold office building was purchased. The purchase price included £22,200 for a staircase linking the two floors of the building, £16,400 for sprinkler equipment and the fire alarm system and £27,100 for the ventilation system.
- 2 A new decorative wall was constructed around the boundary of Mixture Ltd's business premises at a cost of £44,700.

Property business income

Mixture Ltd lets out a warehouse which is surplus to requirements, although the property was empty between 1 September 2025 and 28 February 2026. The following income and expenditure relates to the year ended 31 March 2026:

Date received/(paid)		£
1 January 2025	Insurance for the year ended 31 December 2025	(1,700)
28 March 2025	Rent for the quarter ended 30 June 2025	7,800
4 July 2025	Rent for July and August 2025	5,200
1 January 2026	Insurance for the year ended 31 December 2026	(1,900)
1 March 2026	Rent for the quarter ended 31 May 2026	8,400

- 1 What are the augmented profits of the company and what figure should they be compared with to determine if Mixture Ltd is a large company for the purposes of paying instalments?

		Augmented profits	
		£770,000	£815,000
Instalment threshold	£750,000	A	B
	£500,000	C	D

- 2 What amount is due for Mixture Ltd's first instalment in respect of the year ended 31 March 2026?

£

- 3 On what dates are the first and last instalments of Mixture Ltd's corporation tax liability for the year ended 31 March 2026 payable?**

Select the dates on which each instalment will be payable from the options below.

Instalment dates

First instalment

Last instalment

Instalment dates – options

14 September 2025

14 October 2025

14 June 2026

14 July 2026

14 September 2026

14 October 2026

14 June 2027

14 July 2027

- 4 What is the total expenditure qualifying for capital allowances as plant and machinery in the year ended 31 March 2026?**

A £27,100

B £43,500

C £65,700

D £88,200

- 5 What is the property business income figure which will have been included in Mixture Ltd's taxable total profits of £770,000 for the year ended 31 March 2026?**

A £19,650

B £14,050

C £13,900

D £11,700

RELIEF FOR TRADING LOSSES

254 LOSER LTD (ADAPTED)

Loser Ltd's recent results, together with a forecast for the year ended 31 March 2027 are:

	y/e 30.6.22	y/e 30.6.23	y/e 30.6.24	9 months ended 31.3.25	y/e 31.3.26	y/e 31.3.27
	£	£	£	£	£	£
Trading profit/(loss)	15,800	10,600	15,700	24,300	(78,300)	40,000
Property income	5,200	1,200	6,600	8,100	5,600	3,000
Qualifying charitable donations	(1,300)	(1,400)	(800)	(1,200)	(1,100)	(1,300)

The future prospects of Loser Ltd are currently uncertain, but are unlikely to exceed recent results.

Loser Ltd does not own shares in any other company.

- 1 Which of the following factors are relevant to Loser Ltd's decision when choosing which loss relief claims to make?

	Relevant	Not relevant
Timing of relief		
Extent to which losses will be wasted		
Extent to which QCD relief will be wasted		
Rate of corporation tax saved		

- 2 Assuming that Loser Ltd decided to carry the trading loss forward and offset it in the next period as efficiently as possible, what would be the amount of unrelieved loss at 31 March 2027?

- A £38,300
B £36,600
C £35,300
D £31,000

- 3 Assuming that Loser Ltd elects to offset the loss as soon as possible what would be the amount of unrelieved loss at 31 March 2026?

£

- 4 Assuming that Loser Ltd wishes to make a current year loss relief claim in respect of the trading loss, select whether the following statements are true or false.

	True	False
The amount of loss used in the current year can be restricted to avoid wasting QCD relief		
The claim must be made by 31 March 2028		

- 5 Assuming that Loser Ltd had ceased trading on 31 March 2026 and claimed terminal loss relief in respect of its trading loss, what would be the amount of unrelieved loss at 31 March 2026?

- A £950
B £5,775
C £6,200
D £23,750

WITH GROUP ASPECTS

255 DEUTSCH LTD (ADAPTED)



Walk in the footsteps of a top tutor

Deutsch Ltd has held shares in four trading companies for a number of years. All four companies prepare accounts to 31 March.

Year ended 31 March 2026

The following information is available for the year ended 31 March 2026:

	Eins Ltd	Zwei Ltd	Drei Ltd	Vier Co
Residence	UK	UK	UK	Overseas
Percentage shareholding	60%	20%	90%	70%
Trading profit/(loss)	£(74,800)	£68,900	£(52,700)	£22,600
Property income	£10,000	–	–	–
Chargeable gains		£204,400		
Qualifying charitable donations paid	–	–	£(12,000)	–

In the year ended 31 March 2026 Deutsch Ltd had a tax adjusted trading profit of £277,700 and no other income or gains.

Zwei Ltd

The remaining 80% of the Zwei Ltd shares are held by Berlin Ltd.

On 15 March 2026 Zwei Ltd sold a building for its market value of £500,000 to an independent third party. It had acquired the building for £200,000 in May 2006. No structures and buildings allowances were available on the purchase of the building. The indexed cost of the building at 15 March 2026 was £281,400. On 1 August 2025 Zwei Ltd acquired a factory at a cost of £460,000.

- 1 Which of the four trading companies will be treated as associated companies of Deutsch Ltd? You can tick more than one box.

	Associated company
Eins Ltd	
Zwei Ltd	
Drei Ltd	
Vier Co	

- 2 What is the maximum amount of group relief that Deutsch Ltd can claim for the year ended 31 March 2026?

- A £64,700
 B £52,700
 C £139,500
 D £58,230

- 3 What is the amount of gain arising on the sale of the building by Zwei Ltd that can be rolled over into the acquisition of the factory?

£

- 4 If instead of selling the building to an independent third party Zwei Ltd had sold it to Berlin Ltd for £450,000 on 15 March 2026, what would have been the capital gains base cost of the building for Berlin Ltd?

- A £281,400
 B £500,000
 C £200,000
 D £450,000

- 5 What are the dates by which Deutsch Ltd must make a group relief claim in respect of the year ended 31 March 2026 and Zwei Ltd must make a rollover relief claim in respect of the disposal of the building in the year ended 31 March 2026?

		Group relief	
		31 March 2028	31 March 2030
Rollover relief	31 March 2028	A	B
	31 March 2030	C	D

PRACTICE SECTION C CONSTRUCTED RESPONSE QUESTIONS

CORPORATION TAX BASICS AND ADMINISTRATION

256 HARBOUR LTD (ADAPTED)



Walk in the footsteps of a top tutor

This scenario relates to three requirements.

You should assume that today's date is 25 March 2026.

Harbour Ltd has previously prepared accounts to 30 November, but has decided to change its accounting reference date to 31 March to be coterminous with the corporation tax financial year. The company's forecast draft statement of profit or loss for the four-month period ending 31 March 2026 is as follows:

	Note	£
Operating profit	1	715,500
Other income:		
Property business income	2	13,800
Chargeable gain	3	104,300
Interest expense:		
Interest paid	4	(24,600)
Profit before income taxes		809,000

Notes

- Depreciation of £11,760 and amortisation of leasehold property of £1,300 (see below) have been deducted in arriving at the operating profit figure of £715,500.
On 1 December 2025, Harbour Ltd acquired a leasehold office building, paying a premium of £78,000 for the grant of a 20-year lease. The office building will be used for business purposes by Harbour Ltd throughout the four-month period ending 31 March 2026.
- Harbour Ltd lets out a freehold warehouse which is surplus to requirements. On 1 December 2025, the tenant paid rent of £15,600 for the six-month period to 31 May 2026. On 1 December 2025, Harbour Ltd paid insurance of £1,800 for the year ended 30 November 2026.
- The chargeable gain is in respect of the disposal of investments on 10 March 2026. No indexation allowance is available.
- The interest paid is in respect of Harbour Ltd's 6% loan notes, with interest for six months of £24,600 being paid on 1 January 2026. Interest of £12,300 will be accrued at 31 March 2026, with the corresponding accrual at 1 December 2025 being £20,500. The loan notes were issued in order to finance the company's trading activities.

Capital allowances

The tax written down value of both the main pool and the special rate pool as at 1 December 2025 was £Nil.

On 12 January 2026, Harbour Ltd purchased plant and machinery for £548,000. This will be a long-life asset for capital allowance purposes.

Required:

- (a) Calculate Harbour Ltd's corporation tax liability for the four-month period ending 31 March 2026. 

Note: Your computation should commence with the operating profit figure of £715,500. (10 marks)

The directors of Harbour Ltd now realise that it will be beneficial for the company to prepare accounts for the year ending 30 November 2026 rather than for the four-month period ending 31 March 2026. This conclusion is based on the following information which is available in respect of the period 1 April to 30 November 2026:

- 1 Harbour Ltd will not purchase any further plant and machinery during this period, so the full annual investment allowance of £1,000,000 will be available in respect of the long-life plant and machinery purchased on 12 January 2026 for £548,000.
- 2 Harbour Ltd will sell an investment on 10 April 2026 and this disposal will result in an allowable capital loss of £42,000.

Required:

- (b) (i) Briefly explain the difference between tax evasion and tax avoidance, and how HM Revenue & Customs (HMRC) are likely to view the situation if Harbour Ltd extends its accounting period in order to save corporation tax.  (3 marks)
- (ii) If Harbour Ltd prepares accounts for the year ending 30 November 2026 rather than for the four-month period ending 31 March 2026, calculate the revised figures that will be included in respect of capital allowances and chargeable gains.  (2 marks)

(Total: 15 marks)

257 DEIMOS LTD, ELARA LTD AND FENRIR LTD

This scenario relates to three requirements.

You should assume that today's date is 5 March 2026.

You are a trainee Chartered Certified Accountant assisting your manager with the tax affairs of three unrelated limited companies, Deimos Ltd, Elara Ltd and Fenrir Ltd.

Deimos Ltd

Deimos Ltd ceased trading on 30 September 2025, preparing its final financial statements for the 17-month period 1 May 2024 to 30 September 2025. On 1 October 2025, the company's shareholders passed a resolution to commence winding up procedures. The winding up of Deimos Ltd was completed on 28 February 2026, with the company ceasing to exist on that date.

Elara Ltd

Elara Ltd's summarised statement of profit or loss for the year ended 31 December 2025 is as follows:

	Note	£
Operating profit	1	612,900
Other income:		
Loan interest receivable	2	1,100
Profit on disposal of freehold warehouse	3	99,300
Interest expense:		
Interest payable	4	(900)
Profit before income taxes		712,400

Note 1 – Operating profit

Depreciation of £8,820, qualifying charitable donations of £2,300 and leasing costs of £4,200 have been deducted in arriving at the operating profit of £612,900. The leasing costs relate to a car with an official CO₂ emissions rate of 124 grams per kilometre which was leased from 1 June 2025.

Elara Ltd incurred £2,576 on entertaining clients and £75 on gifts of calendars to customers (each calendar costing £7.50 each and bearing the company's name). These costs have also been deducted in arriving at the operating profit of £612,900.

Note 2 – Loan interest receivable

The loan was made for non-trading purposes on 1 October 2025. The loan interest of £1,100 was accrued at 31 December 2025.

Note 3 – Profit on disposal of freehold warehouse

On 21 December 2025, Elara Ltd sold a freehold warehouse for £204,000. The warehouse had been purchased for £104,700 in 2016, and its indexed cost on 21 December 2025 was £108,800. Structures and buildings allowances were not available on this warehouse.

Elara Ltd has made a claim to rollover the gain on the warehouse against the replacement cost of a new freehold warehouse which was purchased on 6 January 2026 for £168,000. The freehold warehouse and the replacement warehouse have been, and are, used entirely for business purposes by Elara Ltd.

Note 4 – Interest payable

The interest payable is in respect of Elara Ltd's 4.5% loan notes which were repaid on 31 January 2025. Interest of £5,400 was paid on 31 January 2025, and an accrual of £4,500 had been provided for at 1 January 2025. The loan notes were issued in order for Elara Ltd to purchase plant and machinery.

Capital allowances

The tax written down value of both the main pool and the special rate pool as at 1 January 2025 is nil.

On 10 February 2025, Elara Ltd purchased an overhead crane for £220,000. The crane is a long-life asset.

On 1 March 2025, Elara Ltd purchased a new car with CO₂ emissions of 25 grams per kilometre for £30,000.

Fenrir Ltd

Fenrir Ltd's forecast corporation tax liability for the year ending 31 March 2026 is £132,500. This is based on forecast taxable total profits of £530,000. Because these figures are relatively high compared to previous years, Fenrir Ltd plans to take three measures prior to the end of the company's accounting period on 31 March 2026:

- 1 Four new cars will be purchased for a total cost of £64,000. All four cars will have zero CO₂ emissions.
- 2 A dividend of £60,000 will be paid to the company's shareholders.
- 3 Rent of £18,000 covering the six-month period 1 April to 30 September 2026 will be paid in advance.

Required:

- (a) Identify Deimos Ltd's accounting periods throughout the period 1 May 2024 to 28 February 2026.  (2 marks)

- (b) Calculate Elara Ltd's taxable total profits for the year ended 31 December 2025. 

Note: Your computation should commence with the operating profit figure of £612,900, and should also list all of the items referred to in the scenario, indicating by the use of zero (0) any items which do not require adjustment. (9 marks)

- (c) Calculate the amount of corporation tax which Fenrir Ltd will save for the year ending 31 March 2026 by taking the three measures prior to 31 March 2026. 

Note: Your answer should be supported by appropriate explanations. (4 marks)

(Total: 15 marks)

258 VENUS LTD

This scenario relates to one requirement.

Venus Ltd's summarised statement of profit or loss for the year ended 31 March 2026 is as follows:

	Note	£
Gross profit		521,750
Operating expenses		
Depreciation		(32,046)
Amortisation of leasehold property	1	(4,000)
Other expenses	2	(285,012)
Operating profit		200,692
Income from investments		
Bank interest received	3	18,050
Dividends received	4	34,000
Profit on disposal of shares	5	70,300
Profit before income taxes		323,042

Note 1 – Leasehold property

On 1 October 2025, Venus Ltd acquired a leasehold office building for use by the business, paying a premium of £96,000 for the grant of a 12-year lease.

Note 2 – Other expenses

Other expenses include the following:

	£
Entertaining UK customers	3,600
Gifts to customers (food hampers costing £30 each)	2,730
Qualifying charitable donations	1,410

Note 3 – Bank interest received

The bank interest received during the year ended 31 March 2026 of £18,050 relates to deposits held for non-trading purposes. In addition, on 10 April 2026, £350 of non-trading loan interest was received in relation to the year ended 31 March 2026.

Note 4 – Dividends received

During the year ended 31 March 2026, Venus Ltd received dividends of £34,000 from Mars Ltd, an 80% UK subsidiary company.

Note 5 – Profit on disposal of shares

The profit on disposal of shares is in respect of a 2% shareholding that was sold on 18 January 2026. The disposal resulted in a chargeable gain of £62,880 after taking account of the indexation allowance.

Note 6 – Plant and machinery

On 1 April 2025, the tax written down values of plant and machinery were as follows:

	£
Main pool	8,400
Special rate pool	12,740

The following purchases took place during the year ended 31 March 2026:

Date	Description	CO ₂ emissions	£
10 August 2025	Car (1)	115	22,930
16 November 2025	New delivery van	120	20,800
18 November 2025	Equipment	n/a	52,112
12 February 2026	Car (2)	40	26,470

On 15 March 2026, Venus Ltd sold car (1) that had been purchased on 10 August 2025 for £16,750.

Note 7 – Group relief

For the year ended 31 March 2026, Mars Ltd (the 80% UK subsidiary company – see note 4) made a trading loss of £7,635. Venus Ltd has made a group relief claim, for the year ended 31 March 2026, in respect of this loss.

Required:

Calculate Venus Ltd's corporation tax liability for the year ended 31 March 2026. ☒

Notes:

- 1 Your computation should commence with the operating profit figure of £200,692 indicating by the use of zero (0) any items which do not require adjustment.
- 2 You should assume that the full annual investment allowance is available to Venus Ltd. (15 marks)

259 MAISON LTD (ADAPTED)



Walk in the footsteps of a top tutor



Answer debrief

This scenario relates to one requirement.

You are a trainee Chartered Certified Accountant dealing with the tax affairs of Maison Ltd.

Your assistant, Phoebe, has prepared a partly completed draft corporation tax computation for the year ended 31 March 2026. All of your assistant's workings for the figures provided are correct, but there are four uncompleted sections, all related to property, which your assistant does not know how to deal with.

The assistant's corporation tax computation, along with references to the uncompleted sections (with missing figures indicated by a question mark (?)), is shown below:

Maison Ltd – Corporation tax computation for the year ended 31 March 2026

	Uncompleted section	£
Operating profit		892,900
Deduction for lease premium	1	?
Capital allowances	2	?
Structures and buildings allowance	2	?
Trading profit		?
Property business income	3	?
Chargeable gains	4	?
Taxable total profits		?
Corporation tax		?

Uncompleted section 1 – Deduction for lease premium

Your assistant has identified that on 1 January 2026, Maison Ltd acquired a leasehold office building, paying a £44,000 premium for the grant of a 12-year lease. The office building was used for business purposes by Maison Ltd throughout the period 1 January to 31 March 2026.

Uncompleted section 2 – Capital allowances

Your assistant has correctly calculated that writing down allowances of £34,630 are available on the main pool. However, she is unsure of the amount of capital allowances which are available in respect of the £140,000 spent by Maison Ltd during November 2025 constructing an extension which is adjacent to the company's existing freehold office building. The extension is used by the company's employees as a staff room and was available for use from 1 December 2025. The total cost of £140,000 is made up as follows:

Integral to the building	£
Building costs of extension	93,300
New ventilation system	6,700
New heating system	3,900
Not integral to the building	
New furniture and furnishings	33,500
New refrigerator and microwave cooker	2,600
Total cost	140,000

Uncompleted section 3 – Property business income

On 1 July 2025, Maison Ltd purchased a freehold warehouse. No structures and buildings allowances were available on the purchase of the building. The warehouse is currently surplus to requirements, so it was let out from 1 November 2025. However, the warehouse was purchased in a dilapidated state and could not be let until repair work was carried out during August 2025. This fact was represented by a reduced purchase price. Your assistant has listed any income and expenditure that is potentially relevant:

Date received/(paid)		£
1 July 2025	Insurance for the period to 31 March 2026	(1,035)
August 2025	Initial repairs	(17,680)
28 September 2025	Advertising for tenants	(780)
1 November 2025	Security deposit of two months' rent	12,200
1 November 2025	Rent for the quarter ended 31 January 2026	18,300
1 February 2026	Rent for the quarter ended 30 April 2026	18,300

Uncompleted section 4 – Chargeable gains

Maison Ltd disposed of two investment properties during August 2025, both resulting in gains. Your assistant has correctly calculated the gains, but is unsure of the amount of indexation allowance available. The assistant's workings are as follows:

	Date	First property £	Second property £
Disposal proceeds	August 2025	237,000	143,000
Cost	April 2009	(101,000)	(117,000)
Enhancement expenditure	January 2025	(26,200)	0
Gain		109,800	26,000

Indexation factors are:

April 2009 to December 2017 0.315

No rollover relief claim is possible in respect of these gains.

Prepare a completed version of Maison Ltd's corporation tax computation for the year ended 31 March 2026 after dealing with the sections uncompleted by your assistant.

Notes:

- 1** Your computation should commence with the operating profit figure of £892,900, and you should indicate by the use of zero (0) any items which are not included in your calculation.
- 2** In calculating the operating profit figure of £892,900, no deduction has been made for the lease premium (uncompleted section 1) or any capital allowances (uncompleted section 2). It also does not include any income or expenditure in relation to property business income (uncompleted section 3) or any chargeable gains in relation to the disposal of the two investment properties (uncompleted section 4). (Total: 15 marks)



Calculate your allowed time and allocate the time to each separate part.

260 E-COMMERCE PLC (ADAPTED)*Walk in the footsteps of a top tutor*

This scenario relates to two requirements.

You are a trainee Chartered Certified Accountant, and your firm has recently completed its audit of E-Commerce plc's financial statements for the year ended 31 March 2026. The company runs an internet-based retail business.

E-Commerce plc prepared its own corporation tax computations for the year ended 31 March 2026, and your colleague has completed your firm's tax audit of these figures.

E-Commerce plc's original corporation tax computation, along with references to your colleague's queries, is as follows:

E-Commerce plc – Corporation tax computation for the year ended 31 March 2026

	Queries	£
Operating profit	1	2,102,300
Deduction for lease premium	2	(14,400)
Capital allowances	3	(209,200)
Trading profit		1,878,700
Property income	4	156,700
Loan interest receivable	5	42,400
Taxable total profits		2,077,800
Corporation tax at 25%		519,450

Your colleague has raised some queries in regard to E-Commerce plc's corporation tax computation. Apart from any corrections arising from your colleague's queries, the corporation tax computation prepared by E-Commerce plc does not contain any errors.

Query 1 – Legal fees

E-Commerce plc has treated all of the company's legal expenditure as allowable when calculating its operating profit. However, legal expenses include the following:

- 1 Legal fees of £80,200 in connection with an issue of £1 preference shares.
- 2 Legal fees of £92,800 in connection with the issue of loan notes. The loan was used to finance the company's trading activities.
- 3 Legal fees of £14,900 in connection with the renewal of a 99-year lease of property.
- 4 Legal fees of £8,800 in connection with the registration of trademarks.

Query 2 – Deduction for lease premium

The amount taxed on the landlord has been correctly calculated, but the life of the lease should be 15 years and not the 12 years used by E-Commerce plc. The lease started on 1 April 2025.

Query 3 – Capital allowances

There are two issues here:

- 1 E-Commerce plc purchased four cars during the year ended 31 March 2026, and all four cars have been included in the main pool. Details are as follows:

	Cost £	CO₂ emission rate
Car 1	20,300	42 grams per kilometre
Car 2	24,900	44 grams per kilometre
Car 3	51,750	145 grams per kilometre
Car 4	19,800	0 grams per kilometre

- 2 Four years ago, E-Commerce plc purchased computer equipment on which a short-life asset election was made. For the year ended 31 March 2026, the writing down allowance claimed on this equipment was £1,512, calculated at the rate of 18%. However, the computer equipment was actually scrapped, with nil proceeds, on 10 December 2025.

Query 4 – Property income

There are two issues here:

- 1 E-Commerce plc has claimed a deduction for repairs of £95,300 in respect of a warehouse which was purchased on 21 May 2025. The warehouse was purchased in a dilapidated state, and could not be let until the repairs were carried out. This fact was represented by a reduced purchase price. The property was first let out on 1 July 2025.
- 2 E-Commerce plc did not receive the rent due of £16,200 in respect of this warehouse for the quarter ended 31 May 2026 until 1 April 2026. None of this amount has been included in calculating the property business profit for the year ended 31 March 2026.

Query 5 – Loan interest receivable

The accrual at 31 March 2026 has been calculated at £4,800, but because of falling interest rates the accrual should actually be £3,500.

Other information

For the year ended 31 March 2025, E-Commerce plc had augmented profits of £1,360,000, and has forecast that its augmented profits for the year ended 31 March 2027 will exceed £2,000,000. E-Commerce plc does not have any associated companies.

Required:

- (a) Prepare a revised version of E-Commerce plc's corporation tax computation for the year ended 31 March 2026 after making any necessary corrections arising from your colleague's queries. ☒

Note: Your calculations should commence with the operating profit figure of £2,102,300, and you should indicate by the use of zero (0) any items referred to in queries 1 to 5 which do not require adjustment. (12 marks)

- (b) Explain why E-Commerce plc will not have been required to make quarterly instalment payments in respect of its corporation tax liability for the year ended 31 March 2026, but will have to do so for the year ended 31 March 2027. ☒

(3 marks)

(Total: 15 marks)

261 STRETCHED LTD (ADAPTED)

This scenario relates to two requirements.

Stretched Ltd has always prepared its accounts to 31 December, but has decided to change its accounting reference date to 31 March. The company's results for the 15-month period ended 31 March 2026 are as follows:

- 1 The tax adjusted trading profit is £642,500. This figure is before taking account of capital allowances.
- 2 Until January 2026 the company has never been entitled to capital allowances as all assets were leased. On 15 January 2026 the company bought office equipment for £50,000, and a car with CO₂ emissions of 42 grams per kilometre for £7,500.
- 3 There is a property business profit of £45,000 for the 15-month period ended 31 March 2026.
- 4 On 15 April 2025 the company disposed of some investments, and this resulted in a chargeable gain of £44,000. On 8 February 2026 the company made a further disposal, and this resulted in a capital loss of £6,700.
- 5 Dividend income of £30,000 was received on 10 September 2025.
- 6 A qualifying charitable donation of £5,000 was made on 31 March 2026.

As at 1 January 2025 Stretched Ltd had unused trading losses of £330,000, and unused capital losses of £3,000. Stretched will make a claim to relieve these losses as soon as possible where necessary.

In the year ended 31 December 2024 the company had taxable total profits of £Nil and no dividend income.

Stretched Ltd has no associated companies.

Required:

- (a) Calculate Stretched Ltd's corporation tax liabilities in respect of the 15-month period ended 31 March 2026, and advise the company by when these should be paid.  (13 marks)
- (b) State the advantages for tax purposes of a company having an accounting reference date of 31 March instead of 31 December.  (2 marks)

(Total: 15 marks)

RELIEF FOR TRADING LOSSES

262 COP LTD

This scenario relates to one requirement.

Cop Ltd has prepared its accounts for the three-month period 1 October to 31 December 2025. These accounts show a trading loss before taxation of £13,000.

Expenses

In arriving at that loss, Cop Ltd deducted the following expenses in its statement of profit or loss:

	Note	£
Depreciation		45,000
Donations	1	550
Legal and professional fees	2	122,575
Promotional costs	3	1,100
Annual party for all staff at a cost of £160 per head		12,800

Note 1 – Donations

	£
To a political party	250
Qualifying charitable donation	300
	550

Note 2 – Legal and professional fees

	£
Legal costs in connection with the disposal of its investment property	115,000
Solicitor's fees to recover trading debts from customers	2,750
Advice on making staff redundant as a result of closing a branch	4,050
Legal fees for drawing up a new standard form of contract with suppliers	775
	122,575

Note 3 – Promotional costs

	£
50 umbrellas with Cop Ltd's name on, given to customers	500
100 packets of biscuits with Cop Ltd's name on, given to customers	200
Five briefcases with Cop Ltd's name on, given to customers	400
	1,100

Additional information**Capital allowances**

The tax written down value of the capital allowances main pool at 30 September 2025 was £30,000.

During October 2025, Cop Ltd purchased two new cars. Car (1) cost £57,000 and had CO₂ emissions of 65 grams per kilometre. Car (2) cost £22,000 and is electric with zero CO₂ emissions. Cop Ltd sold car (1) for £50,000 during December 2025.

On 10 November 2025, Cop Ltd purchased new machinery costing £270,000.

Chargeable gain

During December 2025, Cop Ltd sold its only investment property for £4 million. The property had cost £1.5 million in November 2009 and a further £15,000 was spent on legal fees in November 2009 to acquire the property.

In error, legal fees in relation to the disposal were not capitalised in Cop Ltd's accounts and instead they were included in legal and professional fees in the company's statement of profit or loss (Note 2).

During October 2013, Cop Ltd spent £550,000 adding an extension to the property.

Indexation factors are as follows:

November 2009 to December 2017	0.284
October 2013 to December 2017	0.168

Requirement:

Calculate Cop Ltd's taxable total profits for the three-month period ended 31 December 2025.

Notes:

- 1** Your computation should commence with the trading loss before taxation of £13,000 and should also list all the items referred to in the scenario, indicating by the use of zero (0) any items which do not require adjustment.
- 2** You should assume that Cop Ltd claims the maximum available capital allowances.
- 3** You should assume that any trading loss is claimed against Cop Ltd's total profits for the three-month period ended 31 December 2025.

(15 marks)

263 WRETCHED LTD (ADAPTED)*Walk in the footsteps of a top tutor*

This scenario relates to three requirements.

Wretched Ltd started trading on 1 August 2025, preparing its first accounts for the eight-month period ended 31 March 2026.

Wretched Ltd is incorporated in the United Kingdom, but its three directors are all non-resident in the United Kingdom. Board meetings are always held overseas.

The following information is available:

Trading loss

The trading loss based on the draft accounts for the eight-month period ended 31 March 2026 is £141,200. This figure is **before** making any adjustments required for:

- 1 Advertising expenditure of £7,990 incurred during April 2025. This expenditure has not been deducted in arriving at the trading loss for the eight-month period ended 31 March 2026 of £141,200.
- 2 The premium which was paid to acquire a leasehold office building on a ten-year lease.
- 3 Capital allowances.

Premium paid to acquire a leasehold office building

On 1 August 2025, Wretched Ltd paid a premium to acquire a leasehold office building on a ten-year lease. The amount of premium taxed on the landlord as income was £34,440. The office building was used for business purposes by Wretched Ltd throughout the eight-month period ended 31 March 2026.

Plant and machinery

On 1 August 2025, Wretched Ltd purchased three new laptop computers at a discounted cost of £520 per laptop. The original price of each laptop was £950, but they were sold at the discounted price because they were ex-display.

Wretched Ltd also purchased three second-hand cars on 1 August 2025. Details are:

	Cost	CO₂ emissions rate
	£	
Car 1	8,300	0 grams per kilometre
Car 2	12,300	50 grams per kilometre
Car 3	18,800	65 grams per kilometre

Property income

Wretched Ltd lets out a warehouse which is surplus to requirements. The warehouse was let out from 1 August to 31 October 2025 at a rent of £1,400 per month. The tenant left on 31 October 2025, and the warehouse was not re-let before 31 March 2026.

During the eight-month period ended 31 March 2026, Wretched Ltd spent £2,100 on advertising for tenants.

Due to a serious flood, Wretched Ltd spent £5,900 on repairs during January 2026. The damage was not covered by insurance.

Loss on the disposal of shares

On 20 March 2026, Wretched Ltd sold its entire 1% shareholding of £1 ordinary shares in Worthless plc for £21,400. Wretched Ltd had purchased these shares on 5 August 2025 for £26,200.

Other information

Wretched Ltd does not have any associated companies. Wretched Ltd will continue to trade for the foreseeable future.

Required:

- (a) State, giving reasons, whether Wretched Ltd is resident or not resident in the United Kingdom for corporation tax purposes.  (1 mark)
- (b) Assuming that Wretched Ltd is resident in the United Kingdom, calculate the company's trading loss, property income loss and capital loss for the eight-month period ended 31 March 2026. 
- Note:** You should assume that the company claims the maximum available capital allowances. (11 marks)
- (c) Explain how Wretched Ltd will be able to relieve its trading loss, property income loss and capital loss for the eight-month period ended 31 March 2026.  (3 marks)
- (Total: 15 marks)

264 CRUMBLE LTD

This scenario relates to three requirements.

Crumble Ltd has brought forward its accounting reference date to 31 December. Its summarised statement of profit or loss for the nine-month period ended 31 December 2025 is as follows:

	Note	£
Gross profit		261,100
Operating expenses		
Professional fees	1	(23,900)
Repairs and renewals	2	(13,100)
Qualifying charitable donation	3	(3,400)
Other expenses	4	(408,500)
Operating loss		(187,800)
Other income		
Property business income	5	7,960
Profit on disposal of shares	6	12,800
Interest expense		
Interest payable	7	(8,750)
Loss before income taxes		(175,790)

Note 1 – Professional fees

Professional fees of £23,900 comprise:

	£
Accountancy fees	6,200
Legal fees in connection with varying the terms of Crumble Ltd's loan notes (note 7)	4,600
Legal fees in connection with the issue of share capital	9,300
Legal fees in connection with the registration of trademarks	3,800
	23,900

The accountancy fees of £6,200 include £2,800 in respect of the additional work arising as a result of a compliance check by HM Revenue & Customs (HMRC) into Crumble Ltd's self-assessment tax return for the year ended 31 March 2024. No additional tax was payable as a result of the compliance check.

Note 2 – Repairs and renewals

Repairs and renewals of £13,100 comprise:

	£
Levelling land next to the company's business premises to avoid drainage issues	7,300
Repairing the wall of an office building after it was damaged by a lorry	5,800
	13,100

Note 3 – Qualifying charitable donation

Crumble Ltd paid the qualifying charitable donation of £3,400 on 15 December 2025.

Note 4 – Other expenses

Other expenses of £408,500 comprise:

	£
Removal expenses to the company's new business premises (this was not an expansionary move)	14,400
Fine for infringing health and safety regulations	1,200
Remaining expenses – fully allowable	392,900
	408,500

Note 5 – Property business income

Crumble Ltd lets out a warehouse which is surplus to requirements. The building was empty and available for letting from 1 April to 31 August 2025, but was let from 1 September 2025 onwards. The following income and expenditure was received or incurred during the nine-month period ended 31 December 2025:

Date received/(paid)		£
1 April 2025	Insurance for the year ended 31 March 2026	(840)
1 September 2025	Rent for the six months ended 28 February 2026	6,600
1 September 2025	Security deposit of two months' rent	2,200
		7,960

Note 6 – Profit on disposal of shares

On 22 September 2025, Crumble Ltd sold a 1% shareholding in an unconnected company for £25,200. The shareholding had been purchased for £12,400, and its indexed cost on 22 September 2025 was £13,600.

Note 7 – Interest payable

The interest payable of £8,750 is in respect of the company's loan notes which were issued on 1 October 2016 and were due for repayment on 30 September 2025. However, Crumble Ltd has varied the terms of the loan notes so that they are now repayable on 30 September 2030. At the same time, the annual rate of interest payable was reduced from 7% to 4% with effect from 1 October 2025.

Interest of £8,750 was paid on 30 September 2025 in relation to the six-month period ended on that date. Interest for the six-month period ending 31 March 2026 will be £5,000.

The loan notes were issued in order to finance the company's trading activities.

Capital allowances

No capital allowances are available for the nine-month period ended 31 December 2025.

Year ended 31 March 2025

For the year ended 31 March 2025, Crumble Ltd had taxable total profits of £466,300. Corporation tax of £116,575 (£466,300 at 25%) has been paid in respect of these profits.

Required:

- (a) Calculate Crumble Ltd's tax adjusted trading loss for the nine-month period ended 31 December 2025. 10

Notes:

- 1 Your computation should commence with the operating loss figure of £187,800, and should also list all of the items referred to in notes 1, 2, 3, 4 and 7, indicating by the use of zero (0) any items that do not require adjustment.
- 2 For this part of the question, the items referred to in notes 5 and 6 are not relevant. (7 marks)

- (b) Before taking account of any possible loss relief claim, calculate Crumble Ltd's taxable total profits for the nine-month period ended 31 December 2025. 䄀

Note: For this part of the question, only the items referred to in notes 3, 5 and 6 are relevant. (4 marks)

- (c) (i) State by what date Crumble Ltd must make a claim if it wishes to set its trading loss for the nine-month period ended 31 December 2025 (as calculated in part (a)) against the company's total profits for the year ended 31 March 2025. 䄀 (1 mark)
- (ii) Calculate the amount of corporation tax which will be repaid by HM Revenue & Customs (HMRC) if Crumble Ltd makes this loss relief claim against the company's total profits for the year ended 31 March 2025. 䄀

Note: You should take into account any necessary loss relief claim against the total profits for the nine-month period ended 31 December 2025 (as calculated in part (b)). (3 marks)

(Total: 15 marks)

265 MOONCAKE LTD (ADAPTED)



Walk in the footsteps of a top tutor

This scenario relates to four requirements.

Mooncake Ltd reported an operating loss of £93,820 in its statement of profit or loss for the year ended 31 March 2026 as follows:

	£
Revenue	184,550
Operating expenses	
– Depreciation	(7,230)
– Lease of office equipment	(6,380)
– Other expenses Note	(264,760)
Operating loss	(93,820)

Note – Other expenses

Other expenses are as follows:

	£
Entertaining staff (cost of £160 per head)	4,320
Entertaining overseas customers	9,230
Qualifying charitable donations	1,600
Balance of expenditure (all allowable)	249,610
	264,760

Additional information**Plant and machinery**

On 1 April 2025, the tax written down value of the main pool was £43,200.

The following vehicles were sold during the year ended 31 March 2026:

	Date of sale	Proceeds	Original cost
		£	£
Delivery van	12 April 2025	11,800	14,700
Car 1	13 August 2025	8,400	8,100
Car 2	9 March 2026	5,300	12,200

The original cost of car 1 had previously been added to the main pool. The original cost of car 2 qualified for a 100% first year allowance. The AIA was claimed on the purchase of the delivery van.

Property business loss

Mooncake Ltd has a property business loss of £4,400 for the year ended 31 March 2026.

Profit on disposal of shares

Mooncake Ltd made a profit on disposal of shares of £3,700 in respect of a 1% shareholding which was sold on 8 November 2025. This profit on disposal is calculated as disposal proceeds of £34,200 less cost of £30,500. The indexation allowance is £6,700.

Results for the year ended 31 March 2025

Mooncake Ltd's results for the year ended 31 March 2025 were:

	£
Trading profit	98,200
Property business income	23,700
Capital loss	(4,900)
Qualifying charitable donations	(1,400)

Required:

- (a) State the factors which influence a company's choice of loss relief claims. (3 marks)
- (b) Calculate Mooncake Ltd's tax adjusted trading loss for year ended 31 March 2026.

Notes:

- 1 Your computation should commence with the operating loss figure of £93,820, and should indicate by the use of zero (0) any items which do not require adjustment.
 - 2 You should assume that the company claims the maximum available capital allowances. (6 marks)
- (c) Assuming that Mooncake Ltd wishes to claim relief for its losses as early as possible:
- (i) Calculate the company's corporation tax liabilities for each of the years ended 31 March 2025 and 31 March 2026. (4 marks)
 - (ii) Calculate the amount of unused losses or payments which Mooncake Ltd can carry forward to be utilised in the year ending 31 March 2027. (2 marks)

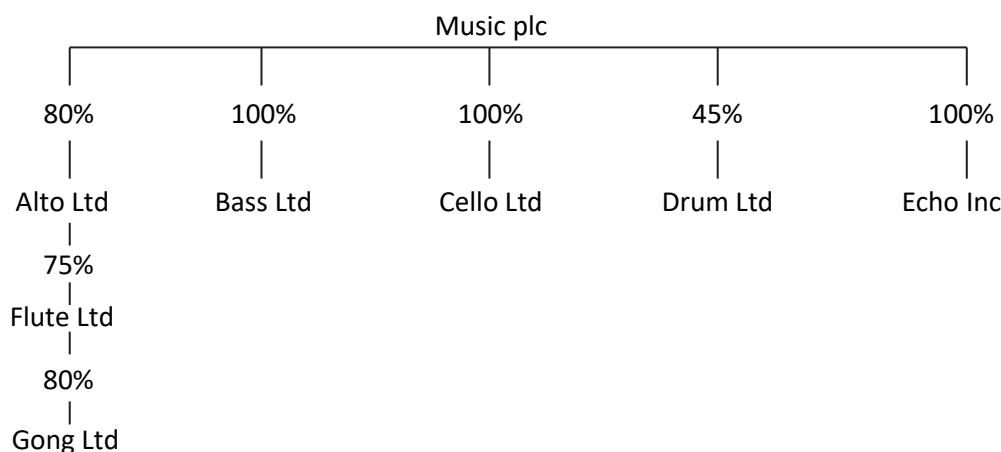
(Total: 15 marks)

WITH GROUP ASPECTS

266 MUSIC PLC (ADAPTED)

This scenario relates to four requirements.

Music plc is the holding company for a group of companies. The group structure is as follows:



Music plc's shareholding in Bass Ltd was disposed of on 31 December 2025, and the shareholding in Cello Ltd was acquired on 1 January 2026. The other shareholdings were all held throughout the year ended 31 March 2026. Echo Inc is resident overseas. The other companies are all resident in the United Kingdom.

For the year ended 31 March 2026 Music plc had a tax adjusted trading profit of £92,000. During the year Music plc received dividend income of £15,000 from an unconnected company, bank interest of £12,000 and a dividend of £5,400 from Bass Ltd.

As at 31 March 2025 Music plc had unused capital losses of £32,000. On 5 January 2026 the company sold a freehold office building, and this resulted in a further capital loss of £65,000. Alto Ltd sold a freehold warehouse on 10 March 2026, and this resulted in a capital gain of £120,000. An election has been made so that the gain is treated as Music plc's gain.

Year ending 31 March 2027

Music plc intends to acquire a property which it will rent out for £10,000 per annum. The company will take out a non-trade related bank loan of £100,000 (annual interest rate of 10%) to partly fund the acquisition. Legal fees in connection with this acquisition will be £300.

Required:

- State, giving appropriate reasons, which companies in the Music plc group of companies form a group for capital gains purposes. (5 marks)
- Explain why Music plc has six associated companies for the purposes of adjusting the augmented profits threshold for the year ended 31 March 2026.
Your answer should identify the six related companies. (5 marks)
- Calculate Music plc's corporation tax liability for the year ended 31 March 2026. (2 marks)
- Explain how the interest costs, legal fees and rent receivable will be treated for tax purposes if Music plc acquires a property in the year ended 31 March 2027. (3 marks)

(Total: 15 marks)

267 ASH LTD (ADAPTED)*Walk in the footsteps of a top tutor*

This scenario relates to four requirements.

You are a trainee chartered certified accountant assisting your manager with the tax affairs of three unconnected limited companies, Ash Ltd, Beech Ltd and Cedar Ltd.

Ash Ltd

Ash Ltd was incorporated in the UK on 1 December 2023 and immediately opened a non-interest bearing bank account. The company started trading on 1 February 2024, preparing its first accounts for the 14-month period ended 31 March 2025. Accounts were then prepared for the year ended 31 March 2026.

At the date of incorporation, all three of Ash Ltd's directors (who each own one-third of the company's ordinary share capital) were based in the UK. However, on 1 October 2025, two of the directors moved overseas. The directors have always held Ash Ltd's board meetings in the UK, and will continue to do so despite two of them moving overseas.

Beech Ltd

Beech Ltd's summarised statement of profit or loss for the year ended 31 January 2026 is as follows:

	Note	£
Gross profit		565,800
Operating expenses		
Depreciation		(14,700)
Gifts and donations	1	(4,600)
Impairment loss	2	(3,700)
Leasing costs	3	(12,600)
Other expenses	4	(217,700)
Interest expense: Interest payable	5	(7,000)
Profit before income taxes		305,500

Note 1 – Gifts and donations

Gifts and donations of £4,600 comprise:

	£
Gifts to customers (pens costing £70 each and displaying Beech Ltd's name)	3,500
Qualifying charitable donations	1,100
	4,600

Note 2 – Impairment loss

On 31 January 2026, Beech Ltd wrote off an impairment loss of £3,700 relating to a trade debt. This was in respect of an invoice which had been due for payment on 15 October 2025.

Note 3 – Leasing costs

The leasing costs of £12,600 are in respect of four car leases which started on 1 February 2025. Each of the four leased cars has CO₂ emissions of 60 grams per kilometre.

Note 4 – Other expenses

The other expenses of £217,700 include a fine of £6,400 for a breach of data protection law, and legal fees of £5,700 in connection with the renewal of a 15-year property lease. The remaining expenses are all fully allowable.

Note 5 – Interest payable

The interest payable of £7,000 is in respect of the company's 4% loan notes which were issued on 1 July 2025. Interest of £6,000 was paid on 31 December 2025, with an accrual of £1,000 provided for at 31 January 2026. The loan notes were issued in order to finance the company's trading activities.

Capital allowances

No capital allowances are available for the year ended 31 January 2026.

Cedar Ltd

Cedar Ltd is a 100% subsidiary company of Timber Ltd. The following information is available in respect of the two companies for the year ended 31 March 2026:

- 1 For the year ended 31 March 2026, Cedar Ltd made a trading loss of £19,700.
- 2 On 28 December 2025, Cedar Ltd sold its entire shareholding of 25,000 £1 ordinary shares in Forest plc for £6.00 per share. Cedar Ltd had originally purchased 20,000 shares in Forest plc on 1 July 2010 for £24,800. On 20 July 2010, Forest plc made a 1 for 4 rights issue. Cedar Ltd took up its allocation under the rights issue in full, paying £1.15 for each new share issued. The indexation factor from July 2010 to December 2017 is 0.244.
- 3 For the year ended 31 March 2026, Timber Ltd made:

Trading loss	£20,800
Capital loss	£8,800

There is no possibility of Cedar Ltd or Timber Ltd offsetting their trading losses against prior year profits. The group has a policy of utilising losses at the earliest opportunity.

Required:

- (a) (i) Identify Ash Ltd's accounting periods throughout the period 1 December 2023 to 31 March 2026.  (2 marks)
- (ii) Explain Ash Ltd's residence status throughout the same period.  (2 marks)
- (b) Calculate Beech Ltd's corporation tax liability for year ended 31 January 2026. 

Note: Your computation should commence with the profit before income taxes figure of £305,500, and should also list all of the items referred to in notes 1 to 5, indicating by the use of zero (0) any items which do not require adjustment.

(6 marks)
- (c) On the basis that all available claims and elections are made, calculate Cedar Ltd's taxable total profits for the year ended 31 March 2026.  (5 marks)

(Total: 15 marks)

268 CLUELESS LTD (ADAPTED)*Walk in the footsteps of a top tutor***(a) This scenario relates to one requirement.**

You are a trainee accountant and your manager has asked you to correct a corporation tax computation that has been prepared by the managing director of Clueless Ltd, a company which manufactures children's board games.

The corporation tax computation is for the year ended 31 March 2026 and contains a significant number of errors:

Clueless Ltd – Corporation tax computation for the year ended 31 March 2026

	£
Trading profit (working 1)	453,782
Loan interest received (working 2)	32,100
Chargeable gain (working 3)	50,000
	535,882
Dividends received (working 4)	28,700
	564,582
Corporation tax (£564,582 × 25%)	141,146

Working 1 – Trading profit

	£
Operating profit	382,610
Depreciation	15,740
Client entertaining	400
Qualifying charitable donations paid	900
Gifts to customers:	
– portable power banks and displaying Clueless Ltd's name (£10 each)	920
– boxes of chocolates displaying Clueless Ltd's name (£15 each)	1,650
Capital allowances (working 5)	51,562
Trading profit	453,782

Working 2 – Loan interest received

	£
Loan interest receivable	32,800
Accrued at 1 April 2025	10,600
Accrued at 31 March 2026	(11,300)
Loan interest received	32,100

The loan was made for non-trading purposes.

Working 3 – Chargeable gain

The gain relates to the sale of a building to an unconnected party for £200,000 on 1 March 2026. The office had been acquired by Clever Ltd (a 100% UK subsidiary) for £70,000 on 1 April 2003. No structures and buildings allowances were available on the purchase of the building. Clever Ltd had sold the building to Clueless Ltd on 1 June 2011 for £150,000, which was its market value at that date.

Working 4 – Dividends received

	£
From unrelated companies	20,700
From Clever Ltd (a 100% UK subsidiary company)	8,000
Dividends received	28,700

Working 5 – Capital allowances

	Main pool	Car	Special rate pool	Allowances
	£	£	£	£
TWDV b/f	12,400		13,500	
Additions				
New computers	42,300			
New car		11,800		
	54,700			
AIA @ 100%	(54,700)			54,700
Disposal proceeds			(9,300)	
			4,200	
Balancing allowance			(4,200)	(4,200)
WDA @ 18%		(2,124) × 50%		1,062
TWDV c/f	0	9,676		
Total allowances				51,562

Notes:

- The car has a CO₂ emission rate of 145 grams per kilometre. This car is used by the sales manager and 50% of the mileage is for private journeys.
- All of the items included in the special rate pool at 1 April 2025 were sold for £9,300 during the year ended 31 March 2026. The original cost of these items was £16,200 and the AIA was claimed when they were purchased.

Required:

Prepare a corrected version of Clueless Ltd's corporation tax computation for the year ended 31 March 2026. 📊

You should indicate by the use of zero any items in the computation of the trading profit for which no adjustment is required.

The indexation factors are:

April 2003 to June 2011	0.298	
April 2003 to December 2017	0.535	
June 2011 to December 2017	0.182	(11 marks)

(b) This scenario relates to two requirements.

The managing director of Clueless Ltd understands that the company has to file its self-assessment corporation tax returns online, and that the supporting accounts and tax computations have to be filed using the inline eXtensible Business Reporting Language (iXBRL). The managing director is interested in the options regarding how the company can produce documents in this format.

Required:

- 1 State the date by which Clueless Ltd's self-assessment corporation tax return for the year ended 31 March 2026 should be filed. 📅 (1 mark)
- 2 Explain the options available to Clueless Ltd regarding the production of accounts and tax computations in the iXBRL format. 📄 (3 marks)

(Total: 15 marks)

269 LONG LTD AND ROAD LTD (ADAPTED)



Walk in the footsteps of a top Tutor

(a) This scenario relates to one requirement.

Long Ltd owns 100% of the ordinary share capital of Road Ltd. Long Ltd and Road Ltd are both trading companies.

Long Ltd's shareholding in Road Ltd was acquired on 15 January 2025 when that company was incorporated. Long Ltd has prepared accounts for the year ended 31 March 2026, whilst Road Ltd has prepared accounts for the period 1 January 2026 (when the company started trading) to 31 March 2026.

The following information is available:

Long Ltd

- 1 The operating profit for the year ended 31 March 2026 is £384,400. Depreciation of £43,050, amortisation of £5,000 and leasing costs of £3,600 have been deducted in arriving at this figure. The amortisation relates to a premium which was paid on 1 August 2021 to acquire a leasehold office building on a 20-year lease. The amount of premium taxed on the landlord as income was £68,200.

The office building was used for business purposes by Long Ltd throughout the year ended 31 March 2026. The leasing costs relate to a car with a CO₂ emission rate of 82 grams per kilometre, which was leased from 1 April 2025.

- 2 On 1 April 2025, the tax written down value of the plant and machinery main pool was £44,800. On 10 June 2025, Long Ltd purchased a new lorry for £47,840 and a new car for £15,700. The car has a CO₂ emission rate of 42 grams per kilometre. The car is used by the managing director of Long Ltd, and 40% of the mileage is for private journeys.
- 3 On 1 February 2026, Long Ltd disposed of a 2% shareholding in an unconnected company. The disposal resulted in a capital loss of £21,300.

Road Ltd

- 1 The operating loss for the three-month period ended 31 March 2026 is £26,100. Donations of £2,800 have been deducted in arriving at this figure. The donations consist of political donations of £400 and qualifying charitable donations of £2,400.
- 2 On 3 October 2025, Road Ltd purchased a car for £11,600. The car has zero CO₂ emissions.
- 3 For the three-month period ended 31 March 2026, loan interest receivable was £4,300. The loan was made for non-trading purposes.
- 4 On 18 March 2026, Road Ltd disposed of a 1% shareholding in an unrelated company. The disposal resulted in a chargeable gain of £29,800. This figure is after taking account of indexation.

Other information

Road Ltd is not expected to be profitable for the foreseeable future, and Long Ltd and Road Ltd claim maximum possible group relief where group relief is available.

Required:

On the assumption that any available reliefs are claimed as soon as possible, calculate the corporation tax liability of Long Ltd for the year ended 31 March 2026, and of Road Ltd for the three-month period ended 31 March 2026. ☒ (12 marks)

(b) This scenario relates to one requirement.

Road Ltd's recently appointed bookkeeper understands that the company must report PAYE information to HM Revenue & Customs in real time. However, the bookkeeper does not know how PAYE real time reporting works in practice, having previously only produced payroll manually.

Road Ltd pays its employees at the end of each calendar month, with some employees receiving taxable benefits. Road Ltd has chosen not to tax the benefits through the payroll system.

Required:

Explain how and when Road Ltd will have to report real time PAYE information to HM Revenue & Customs, and state what forms, if any, will have to be provided to employees or submitted to HM Revenue & Customs following the end of the tax year. ☒ (3 marks)

(Total: 15 marks)

270 MAXIMUM LTD

This scenario relates to two requirements.

The following information is available in respect of Maximum Ltd for the year ended 31 March 2026:

Trading profit

The trading profit based on the draft accounts for the year ended 31 March 2026 is £127,200. This figure is before making any adjustments required for:

- (1) A premium which was paid on 1 August 2025 to acquire a leasehold office building on an eight-year lease. The amount of premium assessed on the landlord as income was £22,320. The office building was used for business purposes by Maximum Ltd throughout the period 1 August 2025 to 31 March 2026.
- (2) Leasing costs of £10,300 which have been deducted in arriving at the profit of £127,200. The leasing costs relate to two cars which have been leased since 1 April 2025. The first car has CO₂ emissions of 40 grams per kilometre and is leased at an annual cost of £6,400. The second car has CO₂ emissions of 120 grams per kilometre and is leased at an annual cost of £3,900.
- (3) Employee bonuses of £36,000, which have not been deducted in arriving at the profit of £127,200, all of which relate to the year ended 31 March 2026. Maximum Ltd paid £20,000 of the bonuses on 30 November 2026, with the remainder of £16,000 paid on 15 February 2027. No entitlement to the bonuses arose until the time that they were paid.

Property business income

Maximum Ltd lets out a freehold warehouse which is surplus to requirements. The building was let from 1 April to 31 October 2025 but, although it was available for letting, it was empty from 1 November 2025 to 31 January 2026. Because it was not possible to find new tenants, the warehouse was sold on 31 January 2026 (see chargeable gains).

The following income and expenditure was incurred during the period 1 April 2025 to 31 January 2026:

Date received/(paid)		£
1 January 2025	Rent for the six months ended 30 June 2025	8,400
1 April 2025	Insurance for the year ended 31 March 2026	(1,320)
1 July 2025	Rent for the four months ended 31 October 2025	5,600
31 October 2025	Repaid security deposit of one month's rent	(1,400)
20 January 2026	Advertising for tenants	(720)
31 January 2026	Insurance refund (less an administrative fee)	190

Chargeable gains

Maximum Ltd made two disposals during the year ended 31 March 2026:

- (1) On 31 January 2026, Maximum Ltd disposed of a freehold warehouse (see property business income) for £187,000. The disposal resulted in a chargeable gain of £43,300. The warehouse was never used by Maximum Ltd for business purposes.
- (2) On 20 February 2026, Maximum Ltd disposed of a freehold factory for £142,000. The disposal resulted in a chargeable gain of £29,100. The factory was used by Maximum Ltd for business purposes.

On 10 December 2025, Maximum Ltd had purchased a new factory for £342,000. This factory is used for business purposes. Maximum Ltd made the maximum possible rollover relief claim against the new factory cost of £342,000.

No rollover relief claim has been, or will be, made in respect of the premium paid for the eight-year lease (trading profit note (1)).

Donations

During the year ended 31 March 2026, Maximum Ltd made qualifying charitable donations of £2,800 and political donations of £700. Neither of these amounts have been deducted in arriving at the trading profit figure of £127,200.

Subsidiary companies

Maximum Ltd has two subsidiary companies, both of which commenced trading on 1 April 2023. Each company made a trading profit for the year ended 31 March 2026. The following information is available:

Subsidiary	Percentage shareholding	Trading profit
Xim Ltd	85%	£21,400
Mum Ltd	65%	£13,800

Neither company has any other income or outgoings, with neither making a trading profit for the year ended 31 March 2025.

Brought forward losses

Maximum Ltd has the following brought forward amounts of unused losses from the year ended 31 March 2025:

	£
Trading loss	(288,200)
Property business loss	(3,800)
Capital loss	(4,900)

Required:

- (a) Before taking account of brought forward losses, apart from any losses which are automatically relieved, calculate Maximum Ltd's taxable total profits for the year ended 31 March 2026. ☒

Note: Your computation should commence with the trading profit based on the draft accounts figure of £127,200, indicating by the use of zero (0) any items that do not require adjustment. (11 marks)

- (b) On the basis that the maximum possible loss relief and group relief claims are made for the year ended 31 March 2026, calculate the total remaining amount of unused losses which Maximum Ltd can carry forward to the year ended 31 March 2027. ☒

Note: If possible, your loss relief claims should not result in donations becoming unrelieved. (4 marks)

(Total: 15 marks)

Section 5

PRACTICE VALUE ADDED TAX QUESTIONS

PRACTICE SECTION A OBJECTIVE TEST QUESTIONS

271 March/June 2024 OT question

Which TWO of the following taxpayers are most likely to benefit financially from voluntary registration for value added tax (VAT)?

- A A business which buys standard rated supplies and sells zero rated goods to members of the public
- B A business which buys zero rated supplies and sells standard rated goods to members of the public
- C A business which buys zero rated supplies and sells zero rated goods to members of the public
- D A business which buys standard rated supplies and sells standard rated goods to other VAT-registered businesses

272 March/June 2022 OT question

Frances started trading on 1 January 2025. An analysis of her taxable supplies for the first year of trading (spread evenly over the quarter) is as follows:

Quarter ended	£
31 March 2025	16,000
30 June 2025	21,000
30 September 2025	31,000
31 December 2025	34,000

Frances notifies HM Revenue & Customs (HMRC) of her liability to compulsorily register for value added tax (VAT) on time.

From what date will Frances be registered for VAT?

- A 30 December 2025
- B 1 January 2026
- C 31 January 2026
- D 1 February 2026

273 September/December 2021 OT question

Brett started trading on 1 February 2024. His sales (exclusive of VAT) were £6,000 a month for the first three months of trading, £8,000 for the next four months and £10,500 a month after that.

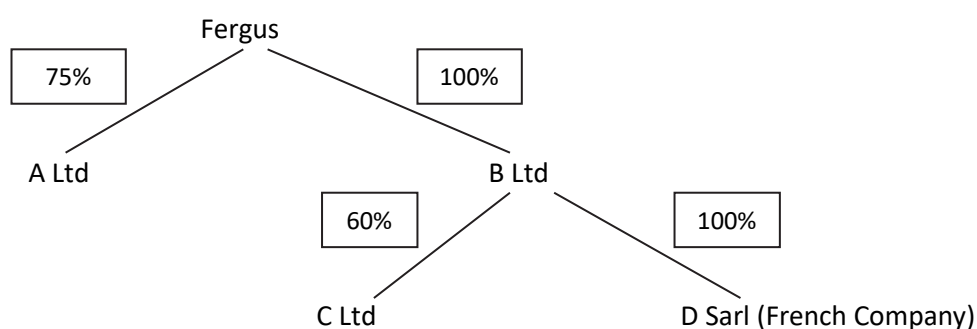
From what date will Brett have to charge output VAT on his supplies?

- A 1 March 2025
- B 1 January 2025
- C 30 January 2025
- D 1 February 2025

274 Betty, a retailer, decides to voluntarily register for VAT.

Which TWO of the following statements, concerning supplies made to Betty before the date of VAT registration, are TRUE?

- A Betty CAN reclaim input VAT on a car that she purchased six months ago, which she still uses for both private and business purposes
- B Betty CANNOT reclaim input VAT on the petrol used in her car, for both private and business purposes, in the month prior to the date of VAT registration
- C Betty CAN reclaim input VAT on a van purchased for the business two years ago which she still uses in the business
- D Betty CAN reclaim input VAT on accountancy services she purchased one year ago in connection with setting up the business
- E Betty CAN reclaim input VAT on the cost of goods bought for resale two months ago, which she sold the week before registration

275 Fergus owns shares in a number of companies as set out below.

D Sarl's only place of business is in France.

Tick the appropriate box(es) to show which of the above companies can be in a VAT group.

	Can be in VAT group
A Ltd	
B Ltd	
C Ltd	
D Sarl	

276 September 2015 OT question

Yui started trading on 1 April 2025, and registered for value added tax (VAT) from 1 January 2026. Her first VAT return is for the quarter ended 31 March 2026. During the period 1 April 2025 to 31 March 2026, Yui incurred input VAT of £110 per month in respect of the hire of office equipment.

How much input VAT, in respect of the office equipment, can Yui reclaim on her VAT return for the quarter ended 31 March 2026?

- A £660
- B £990
- C £330
- D £1,320

277 Vikram ceased trading on 17 June 2025.

For each of the following statements concerning his responsibilities in relation to VAT select whether it is true or false:

	True	False
Vikram should have notified HM Revenue & Customs that he had ceased to make taxable supplies by 30 July 2025.		
Vikram must account for output tax on the value of non-current assets and inventory held at the date of deregistration and on which a deduction for input tax has previously been claimed, unless this would result in a liability below £88,000.		

278 Padma Ltd received an order for goods on 20 October 2025. The goods were delivered to the customer on 20 December 2025 and Padma Ltd sent the invoice for £1,000 on 15 January 2026, which the customer paid on 5 February 2026.

What is the tax point of the transaction for VAT?

- A 20 October 2025
- B 20 December 2025
- C 15 January 2026
- D 5 February 2026

279 Barney is VAT registered and only makes standard-rated supplies. On 31 March 2026 he wrote off two irrecoverable debts in his VAT account. The first for £800 (VAT-inclusive) was due for payment on 1 June 2025 and despite being chased has still not been paid. The second for £1,000 (VAT-inclusive) relates to a company that Barney has recently been informed has gone into liquidation. The debt was due for payment on 1 December 2025.

How much input VAT will Barney be able to recover, in respect of the irrecoverable debts, in his VAT return for the quarter to 31 March 2026?

£

280 June 2015 OT question

Violet Ltd provides one of its directors with a company car which is used for both business and private mileage. For the quarter ended 31 March 2026, the total cost of petrol for the car was £600, of which 30% was for private use by the director. The relevant quarterly scale rate is £380. Both these figures are inclusive of value added tax (VAT).

What output VAT and input VAT entries will Violet Ltd include on its VAT return for the quarter ended 31 March 2026 in respect of the company car?

- A Output VAT of £63 and input VAT of £70
- B Output VAT of £0 and input VAT of £70
- C Output VAT of £0 and input VAT of £100
- D Output VAT of £63 and input VAT of £100

281 West Ltd is registered for VAT and makes standard-rated supplies.

The company incurs the following costs:

- 1 £650 (VAT-inclusive) on entertaining new suppliers based in France
- 2 £3,000 (VAT-inclusive) on car leasing costs. The car has CO₂ emission of 120 grams per kilometre and is used by a director for both private (20% of the time) and business purposes.

How much input VAT can the company recover on the above costs?

		Entertaining suppliers	
		£0	£108
Car leasing	£100	A	B
	£250	C	D

282 December 2016 OT question

Emil is registered for value added tax (VAT). For the quarter ended 31 March 2026, the input VAT incurred on his purchases and expenses included the following:

	£
Entertaining overseas customers	320
Purchase of new office equipment	1,250
Purchase of a new car for business and private use by one of Emil's employees	3,000

What is the amount of input VAT recoverable by Emil in the quarter ended 31 March 2026 in respect of the entertaining, office equipment and car?

- A £1,250
- B £320
- C £1,570
- D £4,570

283 Tobias is VAT registered and only makes standard-rated supplies.

In the quarter to 31 March 2026 he had the following transactions:

- 1 Sales of £30,000 and purchases of goods for resale of £16,800. Both figures are VAT-inclusive.
- 2 He gave samples of his products to a potential customer which he would normally sell for £100 (VAT-exclusive).

How much VAT is payable by Tobias for the quarter ended 31 March 2026?

£

284 Blessing is VAT registered.

In the quarter to 31 March 2026 Blessing's accounts include the total cost of fuel for her car, which she uses 20% for private purposes, of £1,200 (VAT-inclusive). The relevant VAT scale rate for the car is £412.

How much net VAT (i.e. output VAT less input VAT) is reclaimable by Blessing for the quarter ended 31 March 2026 in respect of the fuel for her car?

- A £200
- B £158
- C £131
- D £69

285 For each of the following statements concerning simplified VAT invoices select whether it is true or false.

	True	False
The date of the supply is not required on a simplified VAT invoice.		
A description of goods and services is required on a simplified VAT invoice.		
A simplified VAT invoice can be provided when the consideration for the supply is less than £1,000.		
The amount of VAT payable on the supply is not required on a simplified VAT invoice.		

286 Following the late submission of the VAT return for the quarter ended 31 October 2025, Chimney Ltd has three penalty points. For the quarter ended 31 January 2026 the return was filed on 23 March 2026.

When the 31 January 2026 VAT return is filed late, which of the following consequences are NOT true?

- A A £200 penalty will be charged
- B Penalty points will expire two years after they were acquired
- C If the 30 April 2026 return is filed late a £200 penalty will be charged
- D Chimney Ltd has to submit all returns on time for twelve months to avoid any future penalties

287 September 2016 OT question

Triangle Ltd is registered for value added tax (VAT) and uses the annual accounting scheme. For the year ended 31 December 2025, the net VAT payable by Triangle Ltd was £73,500. For the year ended 31 December 2024, the net VAT payable by Triangle Ltd was £47,700.

Indicate, by selecting the relevant boxes in the table below, the number and amount of the monthly payments on account of VAT which Triangle Ltd must make in respect of the year ended 31 December 2025 prior to submitting its VAT return for that year?

Number of monthly payments	NINE	TEN
Monthly payment amount	£4,770	£7,350

288 For each of the following statements concerning the VAT cash accounting scheme select whether it is true or false:

	True	False
Input tax cannot be claimed until the invoice is paid which delays recovery of input VAT		
Traders using the scheme do not have to pay output VAT to HMRC until they receive it from customers		
To join the scheme the trader's expected taxable turnover (excluding VAT) for the next twelve months must not exceed £150,000		
The cash accounting scheme cannot be used where a trader issues an invoice in advance of supplying goods		

289 March/June 2023 OT question

Jack is registered for value added tax (VAT) and has just joined the flat rate scheme. His standard rated sales are £10,000 per month and his standard rated purchases are £7,000 per month. Both of these amounts are exclusive of VAT.

The relevant flat rate percentage for Jack's business is 8%. The percentage reduction for the first year of VAT registration is not available.

What is Jack's monthly VAT liability under the flat rate scheme?

£

290 March/June 2024 OT question

Hamza is registered for value added tax (VAT) and calculates his VAT liability using the flat rate scheme.

For the year ended 31 March 2026, Hamza's sales (net of VAT) of standard rated goods were £100,000, with a further £30,000 of zero-rated sales. The amount of standard rated purchases (net of VAT) was £15,000.

The relevant flat rate scheme percentage for Hamza's business is 11%.

What was Hamza's VAT liability for the year ended 31 March 2026?

- A £14,300
- B £16,500
- C £14,520
- D £13,200

291 Marina is a UK VAT registered trader making only standard-rated supplies. She purchased goods worth £10,000 (VAT-exclusive) from a trader situated in Narnia. The goods would be classed as standard-rated if they were supplied in the UK. The standard rate in Narnia is 5%.

What is the net effect on the VAT position of the UK trader?

- A £0
- B £2,000 to pay to HM Revenue & Customs
- C £2,000 to reclaim from HM Revenue & Customs
- D £500 to pay to HM Revenue & Customs

292 September 2020 OT question

In which of the following cases must an appeal be made directly to the Tribunal?

- A A company appealing against a penalty for late filing of a corporation tax return
- B A company appealing against a penalty for late filing of employer year end returns
- C An individual appealing against a penalty for late registration for value added tax (VAT)
- D An individual appealing against a penalty for late payment of capital gains tax

PRACTICE SECTION B OBJECTIVE TEST CASES

293 THIDAR (ADAPTED)

You should assume that today's date is 25 April 2026.

Thidar started trading as a builder on 1 January 2025. She voluntarily registered for value added tax (VAT) on 1 January 2025.

Sales

Thidar's sales for the first 15 months of trading have been:

Month	Standard-rated	Zero-rated	Month	Standard-rated	Zero-rated
	£	£		£	£
1	3,500	0	9	8,900	6,400
2	0	2,000	10	3,000	7,400
3	5,800	2,200	11	0	0
4	6,900	0	12	900	2,700
5	9,600	1,300	13	2,900	1,000
6	8,000	2,300	14	3,300	1,800
7	0	3,800	15	22,300	3,700
8	12,200	0			

Pre-registration expenditure

Thidar paid for the following standard-rated services prior to registering for VAT on 1 January 2025:

Date	Cost of service	Description
	£	
10 June 2024	1,800	Advertisement for the building business
8 December 2024	300	Advertisement for the building business

Both figures are exclusive of VAT. Thidar paid for the advertisement of £300 by cash, and she does not have any evidence of this transaction (such as a VAT invoice).

VAT return for the quarter ended 30 September 2025

Thidar's VAT return for the quarter ended 30 September 2025 was filed by the submission deadline but the related VAT liability was not paid until 27 November 2025.

VAT return for the quarter ended 31 March 2026

Thidar is currently completing her VAT return for the quarter ended 31 March 2026 and is unsure as to how much input VAT is irrecoverable in respect of two items:

During the quarter ended 31 March 2026, Thidar spent £800 on entertaining UK customers.

During the quarter ended 31 March 2026, Thidar leased a car at a cost of £700. The car is used by Thidar and 75% of the mileage is for private journeys.

Both figures are exclusive of VAT.

- 1 In which month did Thidar exceed the VAT threshold for compulsory registration?**
- A Month 14
B Month 15
C Month 13
D Not yet exceeded
- 2 What amount of pre-registration input VAT was Thidar able to recover in respect of expenditure incurred prior to registering for VAT on 1 January 2025?**
- A £360
B £60
C £420
D £0

- 3 Within what period must Thidar issue a VAT invoice after making a standard-rated supply, and for how long must these VAT invoices then normally be retained by Thidar?**

	VAT invoices	Retention
A	Within 14 days	Four years
B	Within 30 days	Six years
C	Within 30 days	Four years
D	Within 14 days	Six years

- 4 Indicate, by selecting the relevant boxes in the table below, the percentage penalty payable in respect of the late payment of tax for the quarter ended 30 September 2025 and whether interest will be charged?**

Percentage penalty	0%	3%	6%
Interest payable	Yes	No	

- 5 For the quarter ended 31 March 2026, what is the amount of irrecoverable input VAT in respect of entertaining UK customers and the leasing cost of the car?**

	Entertaining UK customers	Leasing cost
A	£0	£105
B	£160	£105
C	£160	£70
D	£0	£70

294 CANDY APPLE AND SUGAR PLUM (ADAPTED)

 Walk in the footsteps of a top tutor

 *Answer debrief*

Candy Apple

Candy Apple began a trading business on 1 April 2025. Her sales since the start of trade have been as follows:

April to July 2025	£11,200 per month
August to November 2025	£15,100 per month
December 2025 to March 2026	£22,200 per month

These figures are stated exclusive of value added tax (VAT). Candy’s sales are all standard-rated and arise evenly over the month.

As her accountant you have advised Candy in writing that she should be registered for VAT, but she has refused to register because she thinks her net profit is insufficient to cover the additional cost which would be incurred.

Sugar Plum

Sugar Plum began trading on 1 April 2025 and registered for VAT on 1 May 2025 to avoid late registration penalties. The following information is available in respect of Sugar Plum’s VAT for the quarter ended 31 July 2025:

- 1 Invoices were issued for standard-rated and zero-rated sales of £53,700 and £23,100 respectively. These figures are exclusive of VAT.
- 2 Sugar uses a room at her home as her office. The house has seven main rooms. The VAT charged on the electricity bill for the whole house for the quarter is estimated as £49.

During the quarter, Sugar also purchased several items of furniture for her office for a total of £1,500 exclusive of VAT. A 5% discount was applied to this amount as Sugar had purchased two items or more.

- 3 Prior to starting business, Sugar engaged a consultancy firm to undertake some market research. Sugar paid the consultancy firm £250 on 1 August 2024 and £375 on 1 January 2025. Sugar also purchased £2,500 worth of inventory on 1 January 2025, of which £1,000 was unsold by 1 May 2025. These figures are exclusive of VAT.

- 1 **From what date was Candy Apple compulsorily required to charge VAT on her taxable supplies and by what date must she notify HM revenue & Customs that she is required to register for VAT?**

		Charge VAT from	
		1 November 2025	1 December 2025
Notify	31 October 2025	A	B
	30 November 2025	C	D

- 2 For each of the following statements concerning the consequences of late VAT registration select whether it is true or false:**

	True	False
A late filing penalty will be charged for late registration		
Candy must account to HM Revenue & Customs for output tax at 20/120 of the value of sales from the date that she should have been registered from		
Candy must issue VAT invoices charging her customers the VAT that she should have charged on sales from the date she should have been registered by		

- 3 What is the amount of output VAT payable by Sugar Plum in respect of her sales for the quarter ended 31 July 2025?**

£

- 4 What is the amount of input VAT claimable by Sugar in respect of the electricity and furniture costs for the quarter ended 31 July 2025?**

- A £292
- B £334
- C £245
- D £307

- 5 What is the amount of input VAT claimable by Sugar in respect of the consultancy fees and inventory costs incurred prior to the start of trade?**

- A £625
- B £200
- C £325
- D £275

295 LITHOGRAPH LTD (ADAPTED)

Lithograph Ltd runs a printing business, and is registered for VAT. Because its annual taxable turnover is only £250,000, the company uses the annual accounting scheme so that it only has to prepare one VAT return each year. The annual VAT period is the year ended 31 March. Unless stated otherwise all of the figures below are exclusive of VAT.

Year ended 31 March 2025

The results for the year ended 31 March 2025 include the following:

- 1 Standard-rated expenses of £28,000. This includes £3,600 for entertaining overseas customers.
- 2 On 1 May 2024 Lithograph Ltd purchased a car costing £18,400 for the use of its managing director. The manager director is provided with free petrol for private mileage, and the cost of this petrol is included in the standard-rated expenses in Note 1. The relevant annual scale rate is £2,049. Both figures are inclusive of VAT.
- 3 During the year ended 31 March 2025 Lithograph Ltd purchased machinery for £24,000, and sold office equipment for £8,000. Input VAT had been claimed when the office equipment was originally purchased.

Year ended 31 March 2026

In the year ended 31 March 2026 Lithograph Ltd wrote off two debts which were due from customers. The first debt of £4,800 was in respect of an invoice that was due for payment on 31 August 2025. The second debt of £6,400 was in respect of an invoice that was due for payment on 12 October 2025. Both these figures are VAT-inclusive.

- 1 In which month would Lithograph Ltd have been required to make the first and last payments on account (POA) of VAT in respect of the year ended 31 March 2025?

	First POA	Last POA
April 2024		
May 2024		
June 2024		
July 2024		
January 2025		
February 2025		
March 2025		
April 2025		

- 2 By reference to which VAT liability were the payments on account for the year ended 31 March 2025 calculated and by when must the annual VAT return for the year ended 31 March 2025 be submitted to HM Revenue & Customs?

		VAT liability	
		Estimated for year ended 31 March 2025	Actual for year ended 31 March 2024
Due date for return	7 May 2025	A	B
	31 May 2025	C	D

- 3** How much output tax is payable by Lithograph Ltd in respect of the items 1 – 3 included in the results for the year ended 31 March 2025?
- A £342
B £410
C £1,942
D £2,010
- 4** How much input tax is reclaimable by Lithograph Ltd in respect of the items 1 – 3 included in the results for the year ended 31 March 2025?
- £
- 5** How much VAT is reclaimable by Lithograph Ltd in the VAT year to 31 March 2026 in respect of the two impaired debts written off?
- A £1,867
B £2,240
C £960
D £800

296 ALISA (ADAPTED)

Walk in the footsteps of a top tutor

Alisa started trading on 1 January 2025. Her sales since the start of trade have been as follows:

January to April 2025	£8,000 per month
May to August 2025	£10,500 per month
September to December 2025	£16,500 per month

The above figures are stated exclusive of value added tax (VAT). Alisa only supplies services, and these are all standard-rated for VAT purposes. Alisa notified her liability to compulsorily register for VAT by the appropriate deadline.

For each of the eight months prior to the date on which she registered for VAT, Alisa paid £240 per month (inclusive of VAT) for website design services and £180 per month (exclusive of VAT) for advertising. Both of these supplies are standard-rated for VAT purposes and relate to Alisa's business activity after the date from when she registered for VAT.

After registering for VAT, Alisa purchased a car on 1 January 2026. The car is used 60% for business mileage. During the quarter ended 31 March 2026, Alisa spent £456 on repairs to the car and £624 on fuel for both her business and private mileage. The relevant quarterly scale rate is £297. All of these figures are inclusive of VAT.

All of Alisa's customers are registered for VAT, so she appreciates that she must issue VAT invoices when services are supplied.

- 1 From what date would Alisa have been required to be compulsorily registered for VAT and therefore have had to charge output VAT on her supplies of services?**

A 30 September 2025
 B 1 November 2025
 C 1 October 2025
 D 30 October 2025

- 2 What amount of pre-registration input VAT would Alisa have been able to recover in respect of inputs incurred prior to the date on which she registered for VAT?**

A £468
 B £608
 C £504
 D £456

- 3 What is the maximum amount of input VAT which Alisa can reclaim in respect of her car expenses for the quarter ended 31 March 2026?**

£

- 4 How and by when does Alisa have to pay any VAT liability for the quarter ended 31 March 2026?**

		How the liability is paid	
		Any payment method	Electronically
Due date	30 April 2026	A	B
	7 May 2026	C	D

- 5 Which THREE of the following items of information is Alisa always required to include on a valid VAT invoice?**

	Include
The customer's VAT registration number	
An invoice number	
The customer's address	
Date of delivery of the goods	
A description of the services supplied	
The price inclusive and exclusive of a prompt payment discount	

297 THE WHITLOCK SISTERS (ADAPTED)*Walk in the footsteps of a top tutor*

Sisters Beth and Amy Whitlock trade as a partnership.

- 1 The partnership has been registered for VAT for many years and on 1 January 2026 it began using the flat rate scheme to calculate the amount of VAT payable. The relevant flat rate scheme percentage for the partnership's trade is 13%.
- 2 For the quarter ended 31 March 2026 the partnership had standard-rated sales of £50,000 and exempt sales of £10,000. For the same period standard-rated expenses amounted to £27,300. The input VAT in relation to the expenses is all recoverable. All figures are stated inclusive of VAT.
- 3 The partnership has two private rooms in its premises that can be hired by customers. Such customers can book the rooms up to two months in advance, at which time they have to pay a 25% deposit.

An invoice is then given to the customer on the day after the room hire, with payment of the balance of 75% required within seven days. For VAT purposes, the renting out of the rooms is a standard-rated supply of services.

- 4 Beth and Amy are planning to make significant changes to the partnership's accounts payable and accounts receivable processes and plan to take key suppliers and clients out for dinner to explain the changes. The VAT-inclusive cost of this in the quarter to 30 June 2026 will be as follows:

UK customers	£250
UK suppliers	£100
Overseas customers	£775
Overseas suppliers	£650

- 1 **How much VAT is payable by the partnership for the quarter ended 31 March 2026 if the flat rate scheme is used?**

- A £6,500
- B £4,251
- C £2,951
- D £7,800

- 2 **How much VAT would be payable by the partnership for the quarter ended 31 March 2026 if the flat rate scheme was NOT used?**

£

- 3 For each of the following statements concerning the VAT flat rate scheme select whether it is true or false:**

	True	False
To join the scheme expected taxable turnover (including VAT) for the next 12 months must not exceed £150,000		
The scheme can only be used by small unincorporated businesses		
A business must leave the scheme if total VAT-inclusive turnover exceeds £230,000		
VAT must still be charged on standard-rated sales invoices at the rate of 20%		

- 4 Select the actual tax point date in respect of the 25% deposit and 75% balancing payment in respect of the room hire.**

Deposit

Balancing Payment

Date options

When the deposit is paid

Invoice date

Day of the room hire

When the balance is paid

- 5 What is the amount of input VAT reclaimable in the quarter to 30 June 2026 on the proposed dinner expenses?**

A £238

B £296

C £108

D £129

298 KNIGHT LTD (ADAPTED)*Walk in the footsteps of a top tutor*

Knight Ltd is a UK resident trading company. The following information is available in respect of Knight Ltd's value added tax (VAT).

- 1 For the quarter ended 31 March 2026 Knight Ltd had the following transactions:
 - (a) Output VAT of £38,210 was charged in respect of sales. This figure includes output VAT of £400 on a deposit received on 29 March 2026, which is in respect of a contract that is due to start on 20 April 2026.
 - (b) The managing director of Knight Ltd, Kamal, is provided with free fuel for private mileage driven in his company car. The relevant quarterly scale rate is £280. This figure is inclusive of VAT.
 - (c) Input VAT of £12,770 was incurred in respect of sundry expenses as follows:

	£
Entertaining UK customers	210
Entertaining overseas customers	139
Extending the office building in order to create a new reception area	3,300
Other sundry expenses (all recoverable)	9,121
	12,770

- 2 In the following quarter to 30 June 2026, the following information is available in respect of outstanding customer debts:

Customer	Invoice date	Payment due date	Output VAT £
Armour Ltd	1 November 2020	30 November 2020	640
Jousting Ltd	1 October 2025	1 November 2025	555
Marion Ltd	15 December 2025	31 January 2026	759

All of the above debts have been written off in Knight Ltd's accounts except for the debt due from Jousting Ltd, as Knight Ltd is still hopeful that the debt will be paid.

- 3 On 1 July 2026 Knight Ltd acquired 100% of the shares in Are Ltd and Can Ltd, which are both UK resident VAT registered companies. Knight Ltd will make standard-rated supplies to both companies.
- 4 Knight Ltd was late in submitting the VAT returns for the quarters ended 31 March 2024, 31 December 2024, 30 September 2025 and 30 June 2026.

All of the company's other VAT returns have been submitted on time.

1 How much output tax is payable by Knight Ltd for the quarter to 31 March 2026?

- A £38,257
- B £37,857
- C £38,266
- D £37,866

2 How much input tax is recoverable in respect of the sundry expenses incurred in the quarter to 31 March 2026?

- A £9,260
- B £12,421
- C £12,560
- D £12,631

3 How much relief for impairment losses can Knight Ltd claim in respect of the quarter to 30 June 2026?

£

4 For each of the following statements concerning the VAT groups select whether it is true or false:

	True	False
If Knight Ltd forms a VAT group it must include both Are Ltd and Can Ltd		
Standard-rated supplies made by Knight Ltd to other VAT group members will be ignored for VAT purposes		
Knight Ltd will become the representative member of the VAT group and will be required to submit one VAT return for the whole group		
Each group member will remain liable for its share of the VAT payable		

5 As a result of the late submission of the VAT return in respect of the three months ended 30 June 2026, what is the total amount of the penalty payable, and when will Knight Ltd have zero penalty points assuming all future returns are filed on time?

		Penalty	
		£0	£200
Zero penalty points	30 June 2027	A	B
	30 June 2028	C	D

299 ARDENT (ADAPTED)*Walk in the footsteps of a top tutor*

Ardent Ltd was incorporated on 1 April 2025 and started trading on 1 January 2026. The company voluntarily registered for value added tax (VAT) on 1 January 2026, preparing its first VAT return for the quarter ended 31 March 2026. Ardent Ltd's sales have been as follows:

		Standard-rated	Zero-rated
		£	£
2026	January	24,800	30,100
	February	42,600	28,700
	March	58,300	22,700
		125,700	81,500

Where applicable, the above figures are stated exclusive of VAT.

During the period 1 April to 31 December 2025, Ardent Ltd incurred input VAT of £120 each month in respect of payments made for advertising services. The company also incurred input VAT totalling £400 (£200 each) in respect of the purchase of two laptop computers on 10 July 2025. One of the laptop computers was scrapped on 30 November 2025 at a nil value, and the other laptop was not used until Ardent Ltd started trading on 1 January 2026.

During the quarter ended 31 March 2026, Ardent Ltd received standard-rated invoices totalling £56,400 (inclusive of VAT) in respect of purchases and expenses. As at 31 March 2026, £11,400 (inclusive of VAT) of the purchases was unsold and therefore included in inventory.

Ardent Ltd was late in submitting its VAT return for the quarter ended 31 March 2026. The company currently does not use either the VAT cash accounting scheme or the annual accounting scheme.

- 1 For each of the following statements concerning Making Tax Digital (MTD) select whether it is true or false:**

	True	False
MTD software is used to print out returns which can then be sent to HMRC		
The usual VAT return and payment submission dates apply		
Although returns are produced automatically, the business is still responsible for checking them		
The rules apply to all VAT registered businesses, including those with taxable supplies below the VAT registration threshold		

- 2 What amount of pre-registration input VAT was Ardent Ltd able to recover in respect of the inputs incurred prior to it registering for VAT on 1 January 2026?

		Advertising	
		£720	£1,080
Laptops	£200	A	B
	£400	C	D

- 3 Ignoring pre-registration input VAT, what amount of VAT should Ardent Ltd have paid to HM Revenue & Customs in respect of the quarter ended 31 March 2026?

£

- 4 How and by when should Ardent Ltd have filed its VAT return for the quarter ended 31 March 2026?

- A Either by paper or electronically by 30 April 2026
 B Electronically by 7 May 2026
 C Electronically by 30 April 2026
 D Either by paper or electronically by 7 May 2026

- 5 How long will it take for the penalty point incurred for late submission to expire, and which VAT scheme may help in avoiding further late submissions? Tick the relevant box.

		Period	
		One year	Two years
VAT scheme	Annual accounting		
	Cash accounting		
	Flat rate		

300 DENZIL DYER (ADAPTED)

Denzil Dyer has been a self-employed printer since 2014. He has recently registered for value added tax (VAT).

Denzil's sales consist of printed leaflets, some of which are standard-rated and some of which are zero-rated. He sells to both VAT registered customers and to non-VAT registered customers.

Denzil offers a discount of 5% to those customers that pay within one month of the date of the sales invoice. A customer, Tracey, placed an order for £500 of goods (exclusive of VAT) and Tracey paid within one month of the date of the sales invoice.

All of Denzil's printing supplies are purchased from a VAT registered supplier, Paper Ltd. He pays by credit card and receives a VAT invoice. In the year ended 31 March 2026, Denzil purchased some printing supplies from Paper Ltd for £800 (inclusive of VAT). Denzil also purchases some office supplies by cash from various other suppliers for £200 (inclusive of VAT), without receiving any invoices. All of these purchases are standard-rated.

Denzil does not use the annual accounting scheme, the cash accounting scheme or the flat rate scheme.

- 1 For each of the following statements, select whether it is true or false in relation to standard-rated and zero-rated supplies:**

	True	False
Output VAT is only due in respect of standard-rated supplies.		
Incorrectly classifying a supply as zero-rated would not remove Denzil's liability to pay the output VAT which is calculated on the actual price charged. This would then be an additional cost to the business.		
The type of supply, whether standard-rated or zero-rated, has no effect on the recovery of input VAT for Denzil.		

- 2 For the order placed by Tracey, what is the amount payable by Tracey?**

- A £475
- B £570
- C £600
- D £500

- 3 Select TWO of the following conditions, which must be met in order for Denzil to recover input VAT on purchases.**

- A The supply must be made to Denzil since he is the taxable person making the claim for input VAT
- B The supply must be supported by evidence, normally in the form of a VAT invoice
- C Denzil must only pay for all of his purchases by credit card
- D Denzil can recover all input VAT paid on purchases which are partly for private and partly for business purposes

- 4 How much input VAT is recoverable in respect of Denzil's purchases of printing supplies and office supplies in the year ended 31 March 2026?**

£

- 5 Select TWO of the following statements which are correct in relation to Denzil issuing VAT invoices to customers.**

- A Denzil must issue a VAT invoice when he makes a zero-rated supply to one of his VAT registered customers
- B A simplified invoice can be issued if the supply is less than £250
- C A VAT invoice is required to be issued for a standard-rated supply to a non-VAT registered customer
- D A VAT invoice should be issued within 30 days of the date that the supply of the services is treated as being made

301 KRISTEL

Kristel commenced trading as a retailer of ladies and children's clothes on 1 July 2024. She registered for value added tax (VAT) on 1 August 2025, and is currently completing her VAT return for the quarter ended 31 October 2025. All of the amounts stated below are exclusive of VAT.

Sales of clothing

Kristel's quarterly sales were:

	£
Ladies' clothes (standard rated)	7,200
Children's clothes (zero rated)	1,600

Kristel offered a prompt payment discount on sales made during August 2025. The amount of discount taken was £230 of which £140 related to sales of ladies' clothes and £90 related to sales of children's clothes.

Car and marketing services

On 16 September 2025, Kristel purchased a new car for £8,000. She uses the car 40% for business purposes.

On 1 October 2025, Kristel paid £220 for marketing services to a company situated overseas.

Inventory for own use

During the quarter ended 31 October 2025, Kristel took ladies clothes from inventory for herself. These had a replacement value of £90 but had a selling price of £125.

1 What is the amount of output VAT which Kristel will have to include on her VAT return for the quarter ended 31 October 2025 in respect of her sales of clothing?

- A £1,760
- B £1,714
- C £1,440
- D £1,412

2 What amount of input VAT will Kristel be able to reclaim in respect of the purchase of the car and the marketing services paid during the quarter ended 31 October 2025?

- A £0
- B £44
- C £640
- D £684

- 3** What additional amount of output VAT will Kristel have to include on her VAT return for the quarter ended 31 October 2025 in respect of the clothes which she took from inventory for her own use?

A £25
B £18
C £7
D £0

- 4** Kristel is able to issue simplified (or less detailed) VAT invoices to some of her customers.

Which of the following does NOT need to be shown on such a simplified invoice?

A Kristel's VAT registration number
B A description of the goods supplied
C Kristel's name and address
D The total amount of VAT charged

- 5** Kristel registered for the flat rate scheme from 1 November 2025. The relevant flat rate percentage for Kristel's trade is 8.5% (after deducting any available first year discount).

Sales for the quarter ended 31 January 2026 were:

	£
Total sales of ladies clothes (standard rated)	26,250
Total sales of children's clothes (zero rated)	6,300

These figures are stated exclusive of VAT.

No discounts were offered.

What amount of VAT was payable by Kristel to HM Revenue & Customs (HMRC) in respect of the quarter ended 31 January 2026?

A £3,213
B £2,678
C £2,231
D £2,767

302 LIAN

You should assume that today's date is 20 February 2026.

Lian is registered for value added tax (VAT), but does not use any of the special VAT schemes. All of her supplies are standard rated for VAT.

Lian has just completed her VAT return for the quarter ended 31 December 2025.

Office equipment

On 28 September 2025, Lian signed a contract to purchase standard rated office equipment. On that date, she paid a deposit of £2,400.

The equipment was delivered on 23 December 2025, but, because of the New Year holiday, an invoice for the balance of the purchase price of £7,200 was not raised until 3 January 2026. Lian paid the balance of the purchase price on 17 January 2026.

Both of the above figures are exclusive of VAT.

Impairment losses

On 31 December 2025, Lian wrote off three impairment losses:

Invoice date	Payment date due	Output VAT originally paid
18 May 2025	18 June 2025	£420
21 June 2025	21 July 2025	£360
3 August 2025	3 September 2025	£100

Submission of VAT returns

Because of the busy New Year period, Lian was late in submitting her VAT return for the quarter ended 31 December 2025 and in paying the related VAT liability of £19,400. The return was submitted and payment was made on 20 February 2026.

Similarly, Lian was late in submitting her VAT returns and in paying the related VAT liabilities for the quarters ended 31 December 2022, 31 June 2024 and 31 December 2024. All of her other VAT returns have been submitted on time and the related VAT liabilities paid on time.

Services acquired from overseas

During the quarter ended 31 March 2026, Lian will purchase specialist engineering services from a VAT registered overseas supplier at a cost of £4,000. This figure is exclusive of VAT. The rate of VAT in the supplier's country is 15%.

1 How much input VAT should Lian have claimed on her VAT return for the quarter ended 31 December 2025 in respect of the office equipment?

- A £1,920
- B £480
- C £1,440
- D £0

- 2 What amount of input VAT should Lian have included on her VAT return for the quarter ended 31 December 2025 in respect of the three impairment losses?**

A £0
 B £420
 C £780
 D £880

- 3 What penalties (if any) will Lian have to pay in respect of the late submission of her VAT return and late payment of VAT for the quarter ended 31 December 2025?**

		Penalty for late submission	
		£0	£200
Penalty for late payment	£0	A	B
	£582	C	D

- 4 If Lian were to use the annual accounting scheme, with a VAT annual return period ending on 30 June, which VAT advantage could she benefit from?**

A Automatic relief for impairment losses
 B Avoidance of late submission penalties
 C Less VAT will be payable
 D A single payment of VAT

- 5 What entry, or entries, will Lian have to make on her VAT return for the quarter ended 31 March 2026 in respect of the services purchased from overseas?**

A Input VAT of £600
 B Input VAT of £800
 C Input VAT of £600 and output VAT of £800
 D Input VAT of £800 and output VAT of £800

303 MABEL

You should assume today's date is 20 March 2026.

Mabel, a sole trader, is registered for value added tax (VAT) and is in the process of completing her VAT return for the quarter ended 28 February 2026. Mabel does not use the VAT cash accounting scheme.

Outputs

During the quarter ended 28 February 2026, standard rated sales invoices totalling £98,000 (exclusive of VAT) were issued in respect of credit sales. Mabel offers all of her customers a 10% discount for payment within 14 days of the date of the sales invoice, and 60% of customers paid within the 14-day period.

Inputs

During the quarter ended 28 February 2026, standard rated purchase and expense invoices totalling £35,700 were received. This figure includes £690 for entertaining UK customers, £1,200 for entertaining overseas customers, and £900 for mobile telephone calls (of which 20% related to private calls). All of these figures are inclusive of VAT.

Cessation

Mabel wishes to retire and is therefore going to cease trading on 31 March 2026. She will deregister for VAT. Mabel is unsure whether she will sell the assets of her business separately to different purchasers after ceasing to trade, or whether she will sell the entire business as a going concern on 31 March 2026. During the previous three years, Mabel has purchased the following non-current assets:

- 1 Computer equipment purchased during July 2023 for £4,100 and sold during November 2025 for £350
- 2 A car purchased (for both business and private use) during August 2025 for £9,600 which Mabel still owns
- 3 Office equipment purchased during March 2026 for £7,400 which Mabel still owns.

All of the non-current asset figures are exclusive of VAT.

- 1 What is the amount of output value added tax (VAT) payable by Mabel in respect of her sales for the quarter ended 28 February 2026?**

- A £18,424
- B £17,640
- C £15,353
- D £19,600

- 2 What is the amount of input value added tax (VAT) recoverable by Mabel in respect of her purchases and expenses for the quarter ended 28 February 2026?**

- A £5,920
- B £5,835
- C £5,805
- D £5,605

- 3 By what date must Mabel notify HM Revenue & Customs (HMRC) of her ceasing to make taxable supplies, and what is the earliest date from which her business can be deregistered for value added tax (VAT)?**

- A Notification: 30 April 2026
Deregistration 30 April 2026
- B Notification: 30 April 2026
Deregistration 31 March 2026
- C Notification: 31 March 2026
Deregistration 31 March 2026
- D Notification: 31 March 2026
Deregistration 30 April 2026

- 4 Assuming that Mabel sells the assets of her business separately to different purchasers, how much output value added tax (VAT) will she have to pay on her final VAT return, in respect of the non-current assets purchased during the three years prior to the cessation of trading?
- A £3,400
 - B £2,300
 - C £2,230
 - D £1,480
- 5 What is the advantage for Mabel if she sells her entire business as a going concern for value added tax (VAT) purposes?
- A No output VAT will be payable in respect of the sale of the business
 - B The new owner must take over Mabel's VAT registration
 - C The new owner must take over Mabel's outstanding VAT liabilities
 - D Mabel will not have to prepare a VAT return for the period 1 to 31 March 2026

PRACTICE SECTION C CONSTRUCTED RESPONSE QUESTIONS

304 SILVERSTONE LTD (ADAPTED)



Walk in the footsteps of a top tutor

This scenario relates to three requirements.

Silverstone Ltd is registered for value added tax (VAT), but currently does not use any of the special VAT schemes. The company has annual standard-rated sales of £1,200,000 and annual standard-rated expenses of £550,000. Both these figures are exclusive of VAT and are likely to remain the same for the foreseeable future.

Silverstone Ltd is up to date with all of its tax returns, including those for corporation tax, PAYE and VAT. It is also up to date with its corporation tax, PAYE and VAT payments. The company has never had a conviction for any VAT offences. However, the company often incurs considerable overtime costs due to its employees working late in order to meet tax return filing deadlines.

Silverstone Ltd pays its expenses on a cash basis, but allows customers two months credit when paying for sales. The company does not have any impairment losses.

Silverstone Ltd is planning to purchase some new machinery at a cost of £22,000 (exclusive of VAT). The machinery will be purchased from an overseas supplier. Silverstone Ltd is not a regular importer and so is unsure of the VAT treatment for this purchase.

Silverstone Ltd is also planning to start selling goods overseas for the first time and wants to understand how the sales will be treated for VAT purposes. All of these sales will be standard-rated.

Required:

- (a) Explain why Silverstone Ltd is entitled to use both the VAT cash accounting scheme and the VAT annual accounting scheme, and why it will probably be beneficial for the company to use both schemes.  (6 marks)
- (b) Explain when and how Silverstone Ltd will have to account for VAT in respect of the: 
- 1 purchase of machinery, and
 - 2 overseas sales. (4 marks)

(Total: 10 marks)**305 TARDY PLC (ADAPTED)***Walk in the footsteps of a top tutor***This scenario relates to four requirements.**

You are a trainee Chartered Certified Accountant, and your firm has recently completed its audit of Tardy plc's financial statements for the year ended 31 March 2026. The company runs an internet-based retail business.

For the previous three value added tax (VAT) quarters, Tardy plc has been late in submitting its VAT returns and in paying the related VAT liabilities. The company therefore currently has three penalty points.

As part of your firm's tax audit for the year ended 31 March 2026, you have discovered that Tardy plc has been careless in incorrectly treating the supply of standard-rated services received from VAT registered businesses situated overseas. This careless incorrect treatment has resulted in an underpayment of VAT to HM Revenue & Customs of £8,200 for the year ended 31 March 2026.

Required:

- (a) Advise Tardy plc of the penalty and interest implications if it is more than 30 days late in submitting the return and paying the VAT liability for the following quarter, and state what the company will need to do in order to avoid further penalties.  (4 marks)
- (b) Explain when and how a UK VAT registered business should account for VAT in respect of the supply of services received from overseas VAT registered businesses.  (3 marks)
- (c) Explain why Tardy plc will be permitted to disclose the underpayment of VAT of £8,200 by entering this amount on its next VAT return.  (1 mark)
- (d) Advise Tardy plc as to the maximum amount of penalty which is likely to be charged by HM Revenue & Customs in respect of the underpayment of VAT of £8,200, and by how much this penalty would be reduced as a result of the company's unprompted disclosure.  (2 marks)

(Total: 10 marks)

306 ZIA

*Walk in the footsteps of a top tutor*

This scenario relates to three requirements.

Zia has been registered for value added tax (VAT) since 1 April 2015.

The following information is available for the year ended 31 March 2026:

- 1 Sales invoices totalling £126,000 were issued, of which £115,200 were in respect of standard-rated sales and £10,800 were in respect of zero-rated sales. None of Zia's customers are VAT registered.
- 2 On 31 March 2026, Zia wrote off two impairment losses which were in respect of standard-rated sales.

The first impairment loss was for £780, and was in respect of a sales invoice which had been due for payment on 15 August 2025.

The second impairment loss was for £660, and was in respect of a sales invoice which had been due for payment on 15 September 2025.
- 3 Purchase invoices totalling £49,200 were received, of which £43,200 were in respect of standard-rated purchases and £6,000 were in respect of zero-rated purchases.
- 4 Rent of £1,200 is paid each month. During the year ended 31 March 2026, Zia made 13 rental payments because the invoice dated 1 April 2026 was paid early on 31 March 2026. This invoice was in respect of the rent for April 2026.
- 5 During the year ended 31 March 2026, Zia spent £2,600 on mobile telephone calls, of which 40% related to private calls.
- 6 During the year ended 31 March 2026, Zia spent £1,560 on entertaining customers, of which £240 was in respect of overseas customers.

All of the above figures are inclusive of VAT where applicable. The expenses referred to in notes 4, 5 and 6 are all standard-rated.

Zia does not use either the cash accounting scheme or the flat rate scheme.

He has forecast that for the year ended 31 March 2027, his total sales will be the same as for the year ended 31 March 2026.

Required:

- (a) Calculate the amount of value added tax (VAT) payable by Zia for the year ended 31 March 2026.

You should indicate by the use of zero any items referred to in notes 1 to 6 where there is no VAT impact. (6 marks)

- (b) Explain why Zia will be permitted to use the VAT flat rate scheme from 1 April 2026, and state the circumstances in which he will have to leave the scheme. (2 marks)

- (c) Explain whether or not it would have been beneficial for Zia to have used the VAT flat rate scheme for the year ended 31 March 2026. 

Notes:

- 1 You should assume that the relevant flat rate scheme percentage for Zia's trade would have been 12% throughout the whole of the year ended 31 March 2026.
- 2 Your answer for this part of the question should be supported by appropriate calculations. (2 marks)

(Total: 10 marks)

Section 6

ANSWERS TO PRACTICE INCOME TAX AND NATIONAL INSURANCE QUESTIONS

PRACTICE SECTION A OBJECTIVE TEST QUESTIONS

INCOME TAX BASICS AND EMPLOYMENT INCOME

1

	Taxable	Exempt
£400 in shares in the company he works for	✓	
£1,000 in an Individual Savings Account		✓
£800 in a NS&I investment account	✓	
£500 purchasing a NS&I certificate		✓

Income generated from an Individual Savings Account and a NS&I certificate is exempt from income tax.

Income generated from shares (dividends) and from a NS&I investment account (interest) is subject to income tax, although the savings and dividend nil rate bands may result in a tax liability of £Nil.

2

	Taxable	Exempt
NS&I investment account interest	✓	
Gilt edged security interest	✓	
NS&I savings certificate interest		✓

3 C

**Tutor's top tips**

The number of ties needed for an individual to be UK resident depending on the number of days spent in the UK in a particular tax year is included in the tax rates and allowances provided to you in the examination.

This question could have been answered quickly and easily provided that you understood how to interpret the table!

4 C

Examiner's report

This question examines the third automatic non-UK residency test. For an individual to meet this test, and therefore be treated as automatically not resident in the UK for the tax year 2025/26, they would have to work full-time overseas and spend less than 91 days in the UK. Therefore, because Hana worked full-time in Egypt throughout 2025/26, he will be treated as automatically not resident in the UK for the tax year as long as he spends no more than 90 days in the UK.

The correct answer is therefore C, however, answer option A was most commonly chosen. This would be the correct answer using the sufficient ties tests. However, the sufficient ties tests are only used to determine residence status if none of the automatic non-UK residence tests (and none of the automatic UK residence tests) is met.

This suggests that candidates may not have been familiar enough with the residence tests and the procedure to determine residence.

5 D

As Ella has not previously been resident in the UK then she will need to have four UK ties to be UK resident in 2024/25 and will need two UK ties to be UK resident in 2025/26.

Ella has two UK ties, substantive work in the UK and available accommodation in the UK (she lives with the family) and is therefore UK resident in 2025/26 but not 2024/25.

6 D

**Tutorial note**

The circumstances described in options A, B and C would each lead to Harper meeting one of the automatic UK residency tests. The circumstances described in option D would result in Harper meeting two of the sufficient ties tests, but not an automatic UK residency test.

7

	Satisfies	Does not satisfy
Eric	✓	
Fran		✓

**Tutorial note**

Eric – less than 46 days and not previously resident.

Fran – resident during the previous three years, so to be automatically not resident she must be in the UK for less than 16 days.

8 **A, D**

Zara's taxable income is £82,430, which is calculated as follows:

	£
Employment income	85,000
Property business income (£20,000 × 50%)	10,000
	95,000
Personal allowance	(12,570)
Taxable income	82,430

Zara's adjusted net income is above £80,000, therefore a child benefit income tax charge will arise equal to the full amount of child benefit received by Dane, i.e. £2,252.

**Tutorial note**

Income generated from assets which are owned jointly is split 50:50 between spouses regardless of the actual ownership percentage, unless an election is made to use the actual ownership percentage.

The child benefit tax charge is taxed on the spouse or civil partner with income exceeding £60,000, who is not necessarily the spouse in receipt of the benefit.

Examiner's report

Statement B is incorrect. It is not possible for Zara to claim the transferable personal allowance from Dane, as she is a higher rate taxpayer. In order to claim the transferable personal allowance neither spouse/civil partner can be a higher or additional rate taxpayer.

Statement C is also incorrect. It would not be beneficial to Zara to make a joint election to HMRC specifying their actual ownership share in the property. In doing so, Zara would be taxed on 75% of the property income, i.e. £15,000 ($20,000 \times 75\%$). This would increase Zara's tax liability for the tax year 2025/26 and it would also mean that more of the income would be taxed at the higher rate of 40%, than under the current 50:50 split.

9 C

			Non-savings income
			£
Rental income = net income			40,650
Less: PA			(12,570)
Taxable income			28,080
Income tax liability:	£		
Non-savings income – basic rate	28,080	$\times 20\%$	5,616
Less: Marriage allowance	1,260	$\times 20\%$	(252)
Income tax liability			5,364

10 D

	£	£
Child benefit received		2,252
Employment income = Adjusted net income	66,200	
Less: Lower limit	(60,000)	
	6,200	
1% per £200 of £6,200 = 31%		
Child benefit tax charge = 31% of £2,252 (rounded down if necessary)		698

11 A

	£	£
Child benefit received		2,252
Employment income	73,000	
Bank interest	3,000	
Adjusted net income	76,000	
Less: Lower limit	(60,000)	
	16,000	
1% per £200 of £16,000 = 80%		
Child benefit tax charge = 80% of £2,252 (rounded down if necessary)		1,801

12

	Deductible	Not deductible
A contribution into a personal pension scheme		✓
A charitable gift aid donation		✓
A contribution into an employer's occupational pension scheme	✓	
A charitable donation made under the payroll deduction scheme	✓	

13

	Qualifying interest	Not qualifying
Interest paid on a loan he incurred to purchase a laptop for use in his employment	✓	
Interest paid on the mortgage for his main private residence		✓
Interest paid on an amount he borrowed to finance the acquisition of 2,000 shares in a quoted company		✓
Interest paid on a loan he took to invest capital in a partnership in order to become a partner	✓	

**Tutorial note**

Relief is given for interest paid on loans to finance expenditure for a qualifying purpose, which includes:

- *The acquisition of plant and machinery by an employed person for use in his employment.*
- *The purchase of shares in an employee-controlled trading company by a full-time employee.*
- *The purchase of a share in a partnership, or the contribution to a partnership of capital or a loan. The borrower must be a partner in the partnership.*
- *The purchase of plant and machinery for use in the partnership, by a partner.*

14 £9,420

		£
Trading income		106,800
Dividend		1,500
Net income		108,300
	£	£
PA		12,570
Net income	108,300	
Less: Gross gift aid	(2,000)	
Adjusted net income	106,300	
Less: Income limit	(100,000)	
	6,300	
Reduction of PA (50% × £6,300)		(3,150)
Adjusted PA		9,420

15 A

	£
Property income	21,150
Interest from UK Government securities (Gilts)	2,400
Dividends	450
Net income	24,000
Less: Personal allowance	(12,570)
Taxable income	11,430

Analysis of income:

Non-savings income = £8,580 (£21,150 – £12,570), savings income = £2,400, dividend income = £450.

	£
8,580 × 20% (Non-savings income)	1,716
1,000 × 0% (SNRB)	0
1,400 × 20% (Savings income)	280
450 × 0% (DNRB)	0
11,430	
Income tax liability	1,996

**Tutorial note**

Basic rate taxpayers are entitled to a £1,000 savings nil rate band (SNRB), whereas higher rate taxpayers are only entitled to a £500 SNRB, and additional rate taxpayers do not receive a SNRB at all.

A dividend nil rate band of £500 is available to all taxpayers regardless of the amount of their taxable income.

16 £5,510

	£
Dividends	56,950
Less: PA	(12,570)
Taxable income	44,380
	£
Income tax liability:	
Dividend income – nil rate band ($£500 \times 0\%$)	0
Dividend income – basic rate ($£37,200 \times 8.75\%$)	3,255
Dividend income – higher rate ($£6,680 \times 33.75\%$)	2,255
Income tax liability	5,510

**Tutorial note**

The dividend nil rate band is £500. This uses up part of the basic rate band.

17 D

	£
Interest received 30 June 2025 ($£200,000 \times 1\% \times 6/12$)	1,000
Interest accrued (1 July 2025 – 30 November 2025) ($£200,000 \times 1\% \times 5/12$)	833
Total interest income	1,833

**Tutorial note**

Gilt interest is taxed like other interest income on the receipts basis. However, under the accrued income scheme when gilts are sold, interest is effectively allocated to the vendor and purchaser on the accruals basis up to the date of sale.

Manon did not receive any interest on 31 December 2025 but will be taxed on £833 representing the interest accruing in the interest period for which he owned the gilts.

18 A

	£
Interest received 30 September 2025 ($£10,000 \times 2\% \times 6/12$)	100
Less: Interest accrued prior to purchase (1 April 2025 – 31 May 2025) ($£10,000 \times 2\% \times 2/12$)	(33)
Interest accrued (1 October 2025 – 28 February 2026) ($£10,000 \times 2\% \times 5/12$)	83
Total interest income	150

**Tutorial note**

Gilts are subject to the accrued income scheme. On disposal, interest is effectively allocated between the vendor and purchaser on the accruals basis in relation to their period of ownership.

19 A

	£
Premium	82,000
Less: $£82,000 \times 2\% \times (15 - 1)$	(22,960)
Property income	59,040

Alternative calculation = $£82,000 \times (51 - 15)/50 = £59,040$

20 A

	£
Normal taxable property income:	
Rental income ($£750 \times 12$)	9,000
Expenses ($£475 \times 12$)	(5,700)
Property income	3,300
Alternative:	
Rental income	9,000
Rent-a-room relief	(7,500)
	1,500

**Tutorial note**

Rent-a-room relief of £7,500 should be deducted instead of the actual expenses incurred as this produces a lower taxable amount than the normal property income calculation.

21 A

	£
Premium	20,000
Less: $£20,000 \times 2\% \times (25 - 1)$	(9,600)
Property income	10,400

Alternative calculation = $£20,000 \times (51 - 25)/50 = £10,400$

Examiner's report

The premium received is on a short lease therefore a proportion of it is treated as income. £10,400 being the correct income portion of the premium.

(B) Calculates the capital portion of the premium $£20,000 \times 2\% \times (25 - 1) = £9,600$

(C) Calculates the correct part of the premium but it is unnecessarily time apportioned (since Sou is the lessor and is taxed to income on receipt of the premium) $£10,400 \times 6/12 = £5,200$

(D) $£20,000$ less $(2\% \times (25) \times £20,000) = £10,000$ This does not deduct one year from 'n', the number of years on the lease.

22 B

	£	£
Rent received		9,600
Less: Expenses paid		
Council tax	900	
Insurance	540	
Refrigerator	870	
		(2,310)
Property income		7,290

**Tutorial note**

Property income should be calculated on the cash basis in the examination unless you are told otherwise. The deduction for insurance is calculated by reference to the date paid, the period covered is irrelevant under the cash basis. A deduction can be taken for the cost of replacing furniture, furnishings, appliances (including white goods) and kitchenware on a like-for-like basis, provided for use in a dwelling.

23 £24,500

	£	£
Net property income before adjustments		25,000
Less: Expenses		
Replacement kitchen unit (repair to fitted kitchen)	500	
Interest payable	0	
	<u> </u>	(500)
Property income		<u>24,500</u>

**Tutorial note**

Tax relief for interest paid on a loan to acquire a residential property that is let out, is restricted as follows:

- 1 *None of the finance costs are an allowable deduction from property income*
- 2 *Tax relief is given on the finance costs at the basic rate (20%) by deduction from the taxpayer's final income tax liability.*

24 A

	£	£
Salary		55,000
Mileage allowance:		
Amount received (14,500 × 43p)	6,235	
AMAP rates:		
10,000 × 45p	(4,500)	
4,500 × 25p	(1,125)	
	<u> </u>	
Excess mileage allowance		610
Employment income		<u>55,610</u>

25 £650

The taxable benefit is the cost of the medical insurance to Christos' employer. The other benefits are both exempt.

26 A

Note that regardless of the market value, an additional benefit for 'expensive' accommodation is only charged if the **original cost** plus improvements completed before the start of the tax year is greater than £75,000. As the original cost did not exceed £75,000, the property is not considered to be 'expensive' accommodation. The only benefit is the basic charge based on the annual value of £2,600. Elin contributes more than the annual value ($£250 \times 12 = £3,000$) and therefore the taxable benefit is £0.

27 £9,240

CO₂ emissions = 152 grams per kilometre (rounded down to 150), available for 11 months.

	%
Diesel (meets RDE2 standard so no additional 4%)	17
Plus: $(150 - 55) \times \frac{1}{5}$	19
	—
Appropriate percentage	36
	—
	£
Car benefit ($£28,000 \times 36\% \times 11/12$)	9,240
	—

28 £1,350

The percentage benefit for an electric car with zero CO₂ emissions is 3%.

	£
Car benefit ($£45,000 \times 3\%$)	1,350
Benefit for electric charging	0
	—
	1,350
	—

***Tutorial note***

The list price of the car is used regardless of the price paid by the employer.

There is no taxable benefit in relation to any electricity provided for an electric car.

29 £4,789

	£
Van benefit	4,020
Fuel benefit	769
Total taxable benefit	4,789

**Tutor's top tips**

Van benefits are provided in the tax rates and allowances in the exam, so do not need to be learnt. The CO₂ emissions and the proportion of private use are not relevant (unless the private use is insignificant, in which case there is no benefit at all).

30 B

	£	£
Average method		
Loan at start of tax year	100,000	
Loan at end of tax year	60,000	
	160,000	
Average loan ($£160,000 \div 2$)	80,000	
Taxable benefit ($£80,000 \times 3.75\%$)		3,000
Less Interest paid		
($£100,000 \times 1\% \times 4/12$)	333	
($£60,000 \times 1\% \times 8/12$)	400	
		(733)
		2,267

31 D

	£	£
Higher of:		
(i) MV at date of transfer	1,400	
(ii) MV when made available for private use	2,000	
Less: Annual value for 2024/25 for use of asset (£2,000 × 20%)	(400)	
	1,600	
Taxable benefit		1,600

**Tutorial note**

The benefit on 6 April 2025 when Max was given the camera is the higher of the market value at the time of gift and the market value when it was first made available to Max less amounts previously taxed.

32

	Taxable in tax year 2025/26	Not taxable in tax year 2025/26
Bonus of £2,800 received on 6 April 2025 in respect of the year to 31 December 2024	✓	
Bonus of £3,300 received on 3 April 2026 in respect of the year to 31 December 2025	✓	

**Tutorial note**

Employment income is taxed on the receipts basis (i.e. income received in the tax year).

33 C, D**Tutorial note**

Where an employee is reimbursed expenses by the employer, the amount received is taxable income. However, an exemption applies where the employee would be able to claim a tax deduction for the business related expenses.

The reimbursement of Albert's professional subscription fees and train fares are therefore exempt income.

INCOME TAX BASICS AND INCOME FROM SELF-EMPLOYMENT**34 £600**

The £450 spent on food hampers needs to be disallowed as it is a gift of food. Costs relating to the acquisition of a short lease (£150) are also disallowable. The costs of renewing a short lease would be allowable.

Employee parking fines incurred on business and amounts spent on staff entertaining (regardless of the amount) are allowable deductions from trading profits.

**Tutorial note**

Annual events which cost the employer more than £150 per head are a taxable benefit for the employee, but the cost is still deductible for the employer.

35 B

Haniful is treated as making a sale to himself at selling price. As no adjustment has been made in the accounts to reflect the goods taken for personal use the full selling price must be added to the trading profits.

**Tutorial note**

If Haniful had already made an adjustment in the accounts to remove the cost of the goods taken out of the business (by adding back the cost of £850) then only the profit element of £250 would need to be added to the trading profits for tax purposes.

36 £775

Firstly, the amount taxable on the landlord as property income must be calculated:

	£
Premium	25,000
Less: $£25,000 \times 2\% \times (20 - 1)$	(9,500)
Property income	15,500

Alternative calculation = $£25,000 \times (51 - 20)/50 = £15,500$

Rosa can take an annual deduction for the property income element, spread evenly over the period of the lease:

$(£15,500 \div 20) = £775$.

As Rosa acquired the lease on 1 January 2025 the full annual amount of £775 is deductible when calculating the tax adjusted trading profits for the year ended 31 December 2025.

37 C

	Main pool £	Allowances £
TWDV b/f	6,200	
Addition: Computer	1,600	
	7,800	
Disposal	(9,800)	
	(2,000)	
Balancing charge	2,000	(2,000)
Total allowances	0	(2,000)

***Tutorial note***

In the period of account in which the business permanently ceases, the AIA, WDAs and FYAs are not available. Additions and disposals are added to/deducted from the relevant pool and a balancing charge or allowance is calculated.

38 A

	Private use car		Allowances
	£		£
TWDV b/f	12,000		
Disposal	(6,000)		
	6,000		
Balancing allowance	(6,000)	× 60%	3,600
TWDV c/f	0		
Total allowances			3,600

Examiner's report

This question required students to demonstrate their knowledge of capital allowances on cars, where there was a disposal of a car during the year which was also used for private use by Olive.

As the car was disposed of during the year, candidates need to recognise that a balancing allowance arose on its disposal, and that the amount of capital allowance Olive could claim was restricted to the business use element (i.e. 60%). The correct answer was therefore A.

Many candidates instead chose D, continuing to write down the cost of the car, rather than calculating a balancing allowance. Candidates are reminded that cars which are used partly for private use by a sole trader are put into their own pool and on disposal a balancing charge or allowance may arise.

39 C and F

Any asset with private use by the owner of the business is allocated to a private use asset column rather than the main pool.

Cars with CO₂ emissions in excess of 50 grams per kilometre are allocated to the special rate pool rather than the main pool.

Long life assets (those with an expected life of 25 years or more, with a total cost of £100,000 in a twelve-month period) are added to the special rate pool. Assets with an expected working life of less than 25 years are not treated as long life assets and are added to the main pool.

40 £14,420

A new car with zero CO₂ emissions qualifies for a first year allowance of 100%. The FYA is never time apportioned irrespective of the length of the period of account.

The tax written down value brought forward in the main pool is entitled to WDA at 18% time apportioned for 8 months therefore:

	£	Main pool £	Allowances £
TWDV b/f		18,000	
WDA @ 18% × 8/12		(2,160)	2,160
Addition (with FYA)			
Car	12,260		
FYA @ 100%	(12,260)		12,260
		0	
TWDV c/f		15,840	
Total allowances			14,420

***Tutorial note***

In Section A, marks are not available for your workings. If you are confident with capital allowances you may find it quicker for straightforward questions such as this to calculate the allowances available for each pool without using the pro forma:

$$(\text{£}12,260 \times 100\%) = \text{£}12,260$$

$$(\text{£}18,000 \times 18\%) = \text{£}3,240 \times 8/12 = \text{£}2,160$$

$$\text{Total} = (\text{£}12,260 + \text{£}2,160) = \text{£}14,420$$

41 D

In the final period of account, no AIA, WDA or FYA is available; only balancing adjustments arise.

	Main pool £	Allowances £
TWDV b/f	15,000	
Additions	4,500	
Disposals – pool items	(14,550)	
Disposals – laptop retained personally	(4,150)	
	800	
Balancing allowance	(800)	800

The laptop is treated as having been disposed of at market value.

42 £7,250

Structures and buildings allowances (SBA) can be claimed on qualifying expenditure which includes the cost of the building and structure as well as the renovation cost, but not the cost of land.

SBAs can only be claimed from the date the building is brought into use.

$$(\pounds550,000 + \pounds30,000) \times 3\% \times 5/12 = \pounds7,250$$

43 D and F

Only new cars with zero CO₂ emissions qualify for FYAs in the TX syllabus.

Expenditure on a building qualifies for a 3% SBA from the date it is bought into use.

The small pool WDA of £1,000 is time apportioned if the accounting period is not twelve months long.

There is no balancing adjustment on disposal of a building on which SBAs have been claimed. Instead, the buyer takes over the remaining SBAs based on the original cost of the building.

PARTNERSHIPS**44 D**

y/e 31 December 2025	Total £	Henry £
p/e 31 July 2025 ($\pounds120,000 \times 7/12$) = £70,000		
PSR (70:30)	70,000	21,000
p/e 31 December 2025 ($\pounds120,000 \times 5/12$) = £50,000		
Salary ($\pounds24,000 \times 5/12$)	10,000	10,000
PSR (80:20)	40,000	8,000
Allocation of profit	120,000	39,000

45 £39,850

y/e 30 September 2025	Total £	Albert £	Jolene £
Salary	25,000	25,000	
Interest on capital ($4\% \times \pounds50,000/\pounds40,000$)	3,600	2,000	1,600
Balance (1:3)	51,400	12,850	38,550
Allocation of profit	80,000	39,850	40,150

46 B

y/e 31 December 2025	Total	Tim
	£	£
1.1.2025 – 31.5.2025 ($£360,000 \times 5/12$) = £150,000		
Salary ($£15,000 \times 5/12$)	6,250	6,250
PSR (1/6)	143,750	23,958
Allocation of profit	150,000	30,208

**Tutorial note**

You could have calculated the profit allocated to each of the three partners for the whole year ended 31 December 2025. However, only the profit allocated to Tim for the 5 months that he was a partner was required. It was not necessary to calculate how the remaining profit was allocated to the other two partners and would have wasted valuable time in the examination.

TRADING LOSSES**47 A****Prior year loss relief claim**

	£
Set against trading profits (unrestricted)	24,000
Set against non-trading profits (restricted to maximum)(note)	50,000
Maximum loss relief claim	74,000

**Tutorial note**

Only losses set against non-trading income of earlier years are restricted to the maximum amount; losses set against prior year trading profits are not restricted. The cap on income tax reliefs is included in the tax rates and allowances provided to you in the examination.

48 £13,000

	2025/26
	£
Trading income	12,000
Less: Losses b/f	(12,000)
Dividends	9,000
Property income	4,000
NS&I certificate interest	exempt
Net income	13,000

**Tutorial note**

The trading loss is carried forward to the next tax year and offset against the first available trading profits from the same trade.

49 D

	2024/25	2025/26
	£	£
Trading income	55,000	0
Bank interest	14,000	14,000
Total income	69,000	14,000
Less: Loss relief	(69,000)	(14,000)
Net income	0	0

Loss memorandum:

	£
Loss arising in 2025/26	90,000
Used in 2024/25 – Prior year	(69,000)
Used in 2025/26 – Current year	(14,000)
Loss carried forward to 2026/27	7,000

**Tutorial note**

A current and prior year loss relief claim is against total income in the tax years 2025/26 and/or 2024/25. It cannot be restricted to prevent the loss of the personal allowance.

The loss offset in the tax year 2024/25 is not restricted to £50,000 as the restriction only applies to losses offset against other income, not income from the same trade.

50

Earliest tax year	Loss relieved
2020/21	£14,000
2021/22	£20,000
2022/23 ✓	£22,000
2023/24	£25,000 ✓
2024/25	

**Tutorial note**

The loss of £25,000 arising in the tax year 2025/26 is a loss in the first four tax years of trading and can be offset against total income in the tax years 2022/23, 2023/24 and 2024/25 in that order. It does not have to be offset against the prior year trading profit, or the savings income in the current or prior year before this loss carry back.

51 D

	£
Available loss is lower of:	
(i) Remaining trading loss following current year claim against total income (£45,000 – £8,000)	37,000
(ii) CY chargeable gains	32,000
Less: CY capital losses	(4,000)
Less: Capital losses b/f	(18,000)
	10,000
Available loss	10,000

**Tutorial note**

The maximum amount of trading loss that can be offset against chargeable gains is the lower of:

- (i) the remaining loss, or*
- (ii) chargeable gains in the year after the deduction of current year capital losses and brought forward capital losses. Brought forward capital losses are **not** restricted to preserve the annual exempt amount in this calculation.*

*The maximum trading loss is then offset against current year chargeable gains, after current year capital losses but before brought forward capital losses. The offset of brought forward capital losses is deducted before the annual exempt amount, therefore the annual exempt amount **will be** preserved.*

52 £25,000

Terminal loss relief	£
Loss of y/e 31 March 2026 arises in tax year 2025/26	44,000
Offset against trading profit of tax year 2024/25	(19,000)
Remainder to offset in tax year 2023/24	25,000

**Tutorial note**

Terminal loss relief is set against trading profits only and carried back three years on a LIFO basis. It is therefore relieved against the trading profits of the tax year 2024/25, then the tax year 2023/24. There is no loss remaining to carry back to the tax year 2022/23.

53 B

Examiner's report

This question examines knowledge of the deadline for an individual taxpayer to claim relief for a trading loss which they wish to offset in the tax year prior to the tax year in which the loss arose. The correct answer is option B (31 January 2028), as a claim must be made within one year of 31 January following the end of the tax year in which the loss arose. Therefore, as the loss arose in the tax year 2025/26, a claim for relief must be made by 31 January 2028.

Option B was the most common answer selected but a significant number of candidates also chose each of the other answer options, suggesting that many candidates were not well prepared for a question on this topic. The second most common answer was option A (31 January 2027) which is the deadline for submitting a personal tax return online for the tax year 2025/26. Candidates may have selected this date as they are familiar with this deadline in relation to the tax year 2025/26 and assumed the deadline for claiming the loss would be the same.

Administration deadlines, both for individuals and companies, are an important part of the syllabus and future candidates are reminded of the importance of learning, and being able to distinguish between, the different deadlines as part of their studies.

PENSIONS AND NIC

54

	Paid by Hamid to HMRC	Suffered by Hamid
Employee class 1 primary	✓	
Employer's class 1 secondary	✓	✓
Class 1A	✓	✓
Class 4	✓	✓

**Tutorial note**

Hamid must pay class 4 NICs in respect of his sole trader profits, employer's class 1 secondary NICs in respect of his employee's salary and class 1A NICs in respect of the company car benefit for the employee.

Although Hamid is required to pay over the employee class 1 primary NIC to HMRC, he will deduct this from the salary paid to his employee so it is not a cost that is suffered by him.

55 D

	£
Employed – Class 1 ($£36,000 - £12,570$) $\times$ 8%	1,874
Self-employed – Class 4 ($£36,000 - £12,570$) $\times$ 6%	(1,406)
	468

56 A

	£
Salary	68,000
	68,000

Examiner's report

Class 1 national insurance contributions (NICs) are payable by both Mina and her employer on her earnings. Mina's earnings for this purpose is her salary of £68,000. The loan provided to Mina by her employer is a benefit and will be subject to Class 1A NICs, the contribution to the occupational pension scheme which Mina pays is not deductible when assessing earnings and the employer contribution is excluded from the definition of earnings.

The incorrect answers are as follows:

B. £69,500 incorrectly includes the taxable benefit of the loan;

C. £72,000 incorrectly adds the employer's pension contribution and deducts Mina's own contribution; and

D. £65,000 deducts Mina's own contribution to the pension fund.

57 A

	£
$(£50,270 - £12,570) \times 8\%$	3,016
$(£63,000 - £50,270) \times 2\%$	255
Class 1 employee NICs	3,271

**Tutorial note**

Subsidised on-site canteen facilities are an exempt benefit, provided they are available for all employees.

58 £6,840

Class 1 employer's NICs	£
$(£50,600 - £5,000) \times 15\%$	6,840

Working: Earnings liable to class 1 NIC

	£
Salary	50,000
Excess mileage allowance $(12,000 \times (50p - 45p))$	600
	50,600

**Tutorial note**

Occupational pension scheme contributions are not deductible from earnings for NIC purposes.

The excess mileage allowance above the AMAP of 45p per mile (regardless of the number of business miles) is subject to class 1 NICs.

59 A

Class 1A NIC	£
$£900 \times 15\%$	135

Examiner's report

The correct answer was A because class 1A NIC is only charged on the gym membership and it is calculated based on the cost to the employer (not what the employee would have paid).

A number of candidates selected C £405 as the correct answer. This was calculated by including the employer contributions into Elsa's private pension in the calculation (i.e. $(900 + 1,800) \times 15\%$), which is incorrect as these contributions are exempt from class 1A NIC.

60 £300, 22 JULY 2026

Class 1A is charged on the television – $£2,000 \times 15\% = £300$.

The cash vouchers are treated as earnings and are subject to class 1 NIC, not class 1A.

The due date is 22 July 2026.

Examiner's report

The incorrect options were:

Class 1A: £450 being NIC on the cash vouchers ($3,000 \times 15\%$) and £750 being NIC on both vouchers and television ($(3,000 + 2,000) \times 15\%$)

Due dates: 22 April 2026 (the month of the end of the tax year) and 31 January 2027 (the date for self-assessment return for tax year 2025/26).

61 C and E

The annual summer event is a taxable benefit as the cost exceeds £150 per head, and the sports club membership fee is also a taxable benefit. As non-cash benefits they are subject to class 1A NIC.

Occupational pension scheme contributions paid by the employer, car parking spaces at or near the workplace and the provision of one mobile phone are all exempt benefits for NIC purposes.

The mileage allowance paid for normal commuting is a taxable cash benefit, which is subject to class 1 NICs, not class 1A NICs.

62 D

	£
$(£50,270 - £12,570) \times 6\%$	2,262
$(£58,000 - £50,270) \times 2\%$	155
	2,417

**Tutorial note**

Paloma is taxed on the profits of the year ended 31 March 2026 in the tax year 2025/26.

63 B

	£
$(£50,270 - £12,570) \times 6\%$	2,262
$(£52,000 - £50,270) \times 2\%$	35
	2,297

**Examiner's report**

The incorrect answers were:

A: £3,155 which is calculated at the class 1 NIC rates and includes property income

$((£50,270 - £12,570) \times 8\%) + ((£52,000 + £5,200 - £50,270) \times 2\%)$

C: £3,051 which is calculated at class 1 NIC rates

$((£50,270 - £12,570) \times 8\%) + ((£52,000 - £50,270) \times 2\%)$

D: £2,401 which is calculated at the correct class 4 NIC rates but includes property income

$((£50,270 - £12,570) \times 6\%) + ((£52,000 + £5,200 - £50,270) \times 2\%)$

[The above report has been edited to update the figures to FA2025 and to remove the calculations which are shown in the working above.]

64 £142,100

	£
Salary	145,000
Less: Occupational pension contributions $(2\% \times £145,000)$	(2,900)
Net income	142,100

**Tutorial note**

Employer pension contributions are an exempt benefit.

Tax relief for occupational pension scheme contributions is given at the employee's marginal rate of tax by deducting them from employment income.

Basic rate tax relief for personal pension scheme contributions is given at source. Tax relief at higher rates is given by extending the basic rate and higher rate tax bands.

65 £12,540

Isaac's income tax basic rate band is extended by the grossed up contribution as follows:

$$£37,700 + (£20,000 \times 100/80) = £62,700$$

Income tax of £12,540 (£62,700 × 20%) is payable at the basic rate.

The contribution is lower than Isaac's relevant earnings for the year (£110,000) and therefore tax relief is available on the full amount.

66 C

	£
Annual allowance	60,000
Add: brought forward allowances (w)	15,000
Maximum contributions	75,000
Working: Unused AA B/f	
	£
2022/23 (Exceeds £40,000)	0
2023/24 (£60,000 – £57,000)	3,000
2024/25 (£60,000 – 48,000)	12,000
AA b/f from earlier years	15,000

**Tutorial note**

Unused annual allowances can be brought forward from the previous three tax years.

There is no unused AA for 2022/23 as the gross contributions in that year exceeded the AA of £40,000.

The excess would have been charged in 2022/23 or covered by unused allowances from earlier years and would not reduce the later AA available. Therefore this year has no impact on the answer to this question.

67

	Fully tax relievable pension contributions	Not fully tax relievable pension contributions
Austin	✓	
Petra		✓

Austin's total gross pension contributions are £28,000 ($£22,400 \times 100/80$). They are less than his relevant earnings of £51,200 and less than the annual allowance. His contributions are fully tax relievable.

Petra's gross contributions of £82,500 ($£66,000 \times 100/80$) exceed the annual allowance of £60,000 for the tax year 2025/26. She has no unused annual allowances brought forward as she was not a member of a pension scheme in previous years. She will obtain tax relief at source on the contributions, as they are less than her relevant earnings. However, part of the tax relief will be clawed back through an annual allowance charge.

**Tutorial note**

An employed individual can make pension contributions into either an occupational pension scheme or a personal pension scheme or both. Contributions are fully tax relievable provided total gross contributions do not exceed their total relevant earnings and the annual allowance.

68 A

		£
Trading income		100,000
Less: PA		(12,570)
Taxable income		87,430
Income tax liability		£
Non-savings income – basic rate	$£87,430 \times 20\%$	17,486
Annual allowance charge – basic rate	$£10,000 \times 20\%$	2,000
		19,486
Working: Extended basic rate band		£
Basic rate band		37,700
Gross personal pension contributions		70,000
		107,700

**Tutorial note**

The annual allowance charge is taxed at the taxpayer's highest marginal rate. In this case there is enough of the basic rate band left for this to be taxed at 20%.

69 A

	£	£
Adjusted income		330,000
Annual allowance – 2025/26	60,000	
Less: 50% × (£330,000 – £260,000)	(35,000)	
Available annual allowance		25,000
Gross personal pension contributions		100,000
Less: Available annual allowance		(25,000)
Annual allowance charge		75,000

Examiner's report

This is a fairly challenging question involving a number of rules and computational steps. Candidates should first calculate the annual allowance, followed by the annual allowance charge.

The correct answer is A because, the annual allowance of £60,000 is reduced by £1 for every £2 by which the individual's adjusted income exceeds the threshold of £260,000, subject to a minimum annual allowance of £10,000. So, Niamhe's annual allowance for the tax year 2025/26 is £25,000. The annual allowance charge is the amount by which Niamhe's gross personal pension scheme contributions exceed her annual allowance.

A number of candidates selected D £25,000, which is the annual allowance, rather than the annual allowance charge.

[The above report has been edited to update the figures to FA2025 and to remove the calculations which are shown in the working above.]

ADMINISTRATION AND ETHICS

70

	Capital tax	Revenue tax	Neither type
Value added tax			✓
Inheritance tax	✓		
National insurance contributions		✓	

**Tutorial note**

VAT is neither a capital nor a revenue tax. VAT is an example of a 'sales tax' suffered by consumers.

71

	Direct	Indirect	Progressive	Not progressive
Income tax	✓		✓	
Value added tax (VAT)		✓		✓

72 B

**Tutorial note**

The term tax evasion summarises any action taken to avoid or reduce tax by illegal means, for example providing HM Revenue & Customs with deliberately false information.

73 B and E

The other options refer to tax avoidance.

74 B

A tax adviser must not assist a client to plan or commit any offence.

**Tutorial note**

A tax adviser may have a legal or professional right or duty to disclose information about a client without their authority (e.g. in the case of money laundering).

If the adviser becomes aware that a client has committed an offence they must discuss the irregularity with the client and ensure proper disclosure is made to HMRC.

A tax adviser has duties and responsibilities towards both the client and HMRC (e.g. they must ensure that all information provided to HMRC is accurate and complete).

75

	Could be expected	Unacceptable
Reporting under the money laundering regulations	✓	
Advising the client to make disclosure	✓	
Ceasing to act for the client	✓	
Informing HMRC of the non-disclosure		✓
Warning the client that your firm will be reporting the non-disclosure		✓
Notifying HMRC that your firm has ceased to act for the client	✓	

**Tutorial note**

Members should not disclose information about the client to third parties (including HMRC) unless they have authorisation from the client or there is a legal or professional right or duty to disclose (e.g. money laundering).

Where a money laundering report is made the client should not be informed as this may amount to tipping off, which is an offence.

76 A

**Tutorial note**

The legality of extra-statutory concessions was successfully challenged in 2005, so they are gradually being withdrawn or made law.

Supplementary information covers Notices and Guidance Notes issued by HM Revenue & Customs (HMRC). These are aimed at tax agents and advisers, to provide additional detail in relation to the general principles set out in legislation.

HMRC's interpretation of tax legislation and clarification or detail of how it should be applied is given in statements of practice.

Guidance provided to HMRC staff in interpreting and applying tax legislation is also available to the public.

77 A

78 C

**Tutorial note**

If a taxpayer submits a paper return on time, they can ask HMRC to calculate the tax due. Tax returns submitted electronically automatically calculate the tax due.

79

	Geoffrey	Harriet
31 January 2028		
31 January 2031		
31 January 2032	✓	✓

**Tutorial note**

Taxpayers who are in business, which for this purpose includes the letting of a property, must keep their records until five years after the 31 January filing date (i.e. 31 January 2032 for a 2025/26 return).

80 60, 31 JANUARY THAT FOLLOWS THE END OF THE TAX YEAR**Tutorial note**

Taxpayers with a business must keep their records until 5 years after the 31 January filing date. A business for these purposes includes property income.

Other taxpayers are generally required to keep their records for 12 months from the 31 January filing deadline.

81 B**Examiner's report**

The correct answer is B – 30 April 2027, because the return was filed late and this is the first quarter day after the anniversary of the submission.

82 B**Tutorial note**

The taxpayer can amend the return within 12 months of the 31 January filing date. For the tax year 2024/25, amendments must therefore be made by 31 January 2027. HMRC must give written notice before commencing a compliance check. The written notice must be issued within 12 months of the actual date the return is filed with HMRC.

83 D

Payments on account (POAs) for the tax year 2025/26 are based on the relevant amount for the tax year 2024/25 = (£300 + £320) = £620.

As this does not exceed £1,000, POAs are not required in the tax year 2025/26.

84 £17,000

The payments on account will be based on the prior year (2024/25) liability which was due under self-assessment and not under PAYE.

(£40,000 – £6,000) = £34,000, which will be paid in two instalments of £17,000 (£34,000/2).

**Tutorial note**

The payments on account are payable in two equal instalments on 31 January in the tax year (31 January 2026) and 31 July after the end of the tax year (31 July 2026). The balancing payment would be due on 31 January after the end of the tax year (31 January 2027).

85 D

**Tutorial note**

A taxpayer can make a claim to reduce their payments on account if they expect their actual income tax and class 4 liability for the tax year to be lower than the previous tax year. The payments on account will each be 50% of the expected liability for the tax year 2025/26 i.e. $\pounds 4,840/2 = \pounds 2,420$.

86 B

2025/26	£
Income tax liability	25,000
Less: PAYE	(5,400)
Income tax payable (relevant amount)	19,600
Payments on account (POA)	(18,000)
CGT liability	5,000
Balancing payment due 31 January 2027	6,600

**Tutorial note**

CGT is payable in full on 31 January following the tax year and must therefore be included in the balancing payment. The first payment on account for the tax year 2026/27 is also due on 31 January 2027, making the total payable $\pounds 16,400$.

87 B

**Tutorial note**

The balancing payment is due on 31 January following the end of the tax year.

For the tax year 2025/26 this is 31 January 2027.

Where the balancing payment is made:

- *more than one month late, penalty = 5%*
- *more than six months late = an additional 5% is charged (total of 10%)*
- *more than 12 months late = a further 5% is charged (total of 15%).*

88 A

The correct answer is **£89** ($£2,500 \times 8.5\% \times 5/12$).

Ruby's payments on account are due on 31 January 2026 and 31 July 2026 with the balancing payment due on 31 January 2027. Therefore, her first payment on account was late by five months (from 31 January 2026 to 30 June 2026, the day before she paid the tax). The rate of interest on underpaid tax is given to you in the Tax Tables in the exam and is shown there as 8.5%.

89 C

The tax return is submitted more than six, but less than twelve, months late. The penalties payable are therefore:

	£
Initial penalty	100
Daily penalties of £10 per day for a maximum of 90 days	900
($5\% \times £8,400$)	420
Maximum penalty	1,420

**Tutorial note**

Daily penalties of £10 per day for 90 days are applicable since the return is 3 months late and outstanding for the full 90 days.

The 5% penalty is applicable as the return is over 6 months late.

Examiner's report

The alternative, incorrect options are as follows:

A – £100 being the initial penalty only.

B – £1,000 being the initial penalty of £100 plus maximum daily penalties of $£10 \times 90$.

D – £1,300 being the initial penalty of £100 plus maximum daily penalties of $£10 \times 90$ plus minimum tax geared penalty of £300.

90 A, B, D

The correct three options are:

- £100 fixed penalty
- £900 of daily penalties – 90 days at £10 per day because of the failure to file exceeding three months
- £310 tax geared penalty, being £6,200 at 5% because the failure continued after six months and is greater than £300.

Examiner's report

The incorrect choices were:

£200 fixed penalty being two lots of £100 late filing

£620 tax geared penalty (being £6,200 at 10%) and

£2,120 of daily penalties (being £10 per day for 212 days 1 Feb 2025 to 31 Aug 2025)

91 D**Tutorial note**

Interest will be charged from 1 February 2027 to 30 June 2027:

$$£1,200 \times 8.5\% \times 5/12 = £43$$

A penalty will be imposed since the payment is more than 30 days late:

$$£1,200 \times 5\% = £60$$

92

Latest date	Penalty
30 September 2025 ✓	Penalty not charged
22 October 2025	Penalty charged ✓

**Tutorial note**

As Bod Ltd is using real time information software, 30 September 2025 is the latest date by which Bod Ltd should have filed the PAYE information for September 2025 because this is when the employees are paid.

A penalty will be charged because this was not the first late payment in the tax year.

PRACTICE SECTION B OBJECTIVE TEST CASES

INCOME TAX BASICS AND EMPLOYMENT INCOME

93 PHILIP AND CHARLES (ADAPTED)

*Walk in the footsteps of a top tutor***Key answer tips**

This case OT involves the income tax position for two individuals with different circumstances. It tests income tax, knowledge of NIC and pension contributions. All the topics are covered at a basic level and should therefore have been manageable.

1 A

	Non-savings income	Savings income	Total income
	£	£	£
Pension income	15,000		15,000
Building society interest		14,600	14,600
	_____	_____	_____
Total income/Net income	15,000	14,600	29,600
Less: PA	(12,570)		(12,570)
	_____	_____	_____
Taxable income	2,430	14,600	17,030
	_____	_____	_____
Income tax			£
£			
2,430 × 20% Non-savings			486
2,570 × 0% Savings			0

5,000			
1,000 × 0% Savings			0
11,030 × 20% Savings			2,206

17,030			

Income tax liability			2,692

**Tutorial note**

Savings income falling in the first £5,000 of taxable income is taxed at the starting rate of 0%. In addition, basic rate taxpayers are entitled to a nil rate band of £1,000 for savings income. The starting rate band and the savings nil rate band use the basic rate and higher rate bands.

2 B

Charles's personal allowance is adjusted as follows:

	£		£
Personal allowance			12,570
Total income = net income	112,400		
Less: Gross gift aid	(800)		
ANI	111,600		
Less: Income limit	(100,000)		
Reduction of PA	11,600	× 50%	(5,800)
Adjusted PA			6,770

**Tutorial note**

- 1 Charitable donations under gift aid are grossed up before being used in the adjusted personal allowance computation. The gross figure is given in the question so there is no need to gross up the figure given.
- 2 As the adjusted net income exceeds £100,000 the allowance is reduced by £1 for every £2 it exceeds the limit. Net income for these purposes is adjusted (i.e. reduced) for both gross gift aid and gross personal pension contributions made in the year.

3 £3,505

	£
$(£50,270 - £12,570) = £37,700 \times 6\%$	2,262
$(£112,400 - £50,270) = £62,130 \times 2\%$	1,243
	3,505

4 A

	£
Unused annual allowances:	
2022/23 (Not a member of a scheme)	0
2023/24 (£60,000 – £45,000)	15,000
2024/25	60,000
Total unused allowances b/f	75,000
Allowance for 2025/26	60,000
	135,000

**Tutorial note**

The total available annual allowance is the allowance for the current tax year plus unused allowances from the previous three tax years, provided the individual was a member of a pension scheme in the tax year.

**Tutor's top tips**

Always check carefully whether you have been given payments gross or net.

5

	True	False
His basic rate band for the tax year 2025/26 would have been increased by £8,600 in relation to this contribution	✓	
His taxable income for the tax year 2025/26 would have been reduced by £8,600		✓
HM Revenue & Customs would have paid £1,376 into the pension fund on his behalf		✓
His personal allowance would have increased by £4,300 in the tax year 2025/26	✓	

**Tutorial note**

Statement 2 is incorrect because personal pension contributions do not affect taxable income. Instead basic rate tax relief is given at source and higher rate relief is given by extending the basic and higher rate bands by the amount of the gross contribution of £8,600 ($£6,880 \times 100/80$).

Statement 3 is incorrect because HM Revenue & Customs would have contributed £1,720 i.e. the basic rate tax deducted at source ($£6,880 \times 20/80$).

Statement 1 is correct because the basic rate band for 2025/26 is extended by the gross amount of the personal pension contributions ($£6,880 \times 100/80 = £8,600$). This reduces the income falling in the higher rate band by £8,600.

Statement 4 is correct as Charles' adjusted net income would have been £8,600 lower as a result of deducting the gross personal pension contribution of £8,600. This would increase the personal allowance by $£8,600 \times 50\% = £4,300$ as the ANI in excess of £100,000 has decreased.

94 KIM BAXTER (ADAPTED)



Walk in the footsteps of a top tutor



Key answer tips

This case OT involves the employment income rules, including benefits and deductions of expenses. It also covers qualifying interest payments and the marriage allowance. Benefits are a highly examinable area and the detailed rules must be learnt.

1 A

Ordinary commuting (i.e. travel between home and the permanent workplace) does not qualify for relief. The travel to a temporary workplace qualifies as it is for a period lasting less than 24 months.

Business mileage is therefore 10,500 miles (9,200 + 1,300).

	£
Amount reimbursed (10,500 miles at 36p)	3,780
Less: Approved mileage allowance:	
10,000 miles at 45p	(4,500)
500 miles at 25p	(125)
Allowable deduction	(845)

2 D

	£
Interest payable at official rate ($£14,600 \times 3.75\% \times 10/12$)	456
Less: Interest actually paid ($£14,600 \times 2.25\% \times 10/12$)	(274)
Taxable benefit	182



Tutor's top tips

Where a benefit has only been available for part of the tax year, it must be time apportioned.

3 £590

	£	£	£
Higher of:			
Market value when gifted		200	
		<u> </u>	
Market value when first made available	800		
Less: Use of asset benefit:			
2024/25 (£800 × 20%)	(160)		
	<u> </u>		
		640	
		<u> </u>	
			640
Less: Price paid			(50)
			<u> </u>
Taxable benefit			590
			<u> </u>

4 A

	Total
	£
Employment income = total income	25,650
Less: Relief for interest paid (Note)	(140)
	<u> </u>
Net income	25,510
Less: PA	(12,570)
	<u> </u>
Taxable income	12,940
	<u> </u>

***Tutorial note***

The loan interest paid of £140 is eligible for relief since the loan was used by Kim to finance expenditure for a qualifying purpose.

5

	Richard	Kim
Personal allowance reduced by £870		
Personal allowance reduced by £1,260	✓	
Personal allowance increased by £870		
Personal allowance increased by £1,260		
Income tax liability reduced by £174		
Income tax liability reduced by £252		✓

**Tutorial note**

The effect of the marriage allowance election is that the:

- *transferring spouse's PA is reduced by a fixed amount of £1,260 (for tax year 2025/26)*
- *the recipient spouse's income tax liability is reduced by a maximum of £252 (£1,260 MA × 20% BR income tax)*

Note that there is no provision for transferring less than the fixed amount.

95 DILL (ADAPTED)**Key answer tips**

This case OT involves the employment income rules, including pensions and benefits. It also covers the adjustment of the personal allowance, losses and some investment income. Benefits are a highly examinable area and the detailed rules must be learnt.

1 A

As Dill has adjusted income in excess of £360,000 she is only entitled to an annual allowance for the tax year 2025/26 of the minimum amount of £10,000.

The maximum contribution before incurring an annual allowance charge is therefore:

	£
Brought forward annual allowance from 2024/25	9,000
Current year annual allowance	10,000
	19,000
Less: Employer's contribution	(15,000)
Maximum employee contribution	4,000

2

	Taxable benefit	
Company gym	£0 ✓	£780
Workplace nursery	£0 ✓	£7,200
Health club membership	£0	£990 ✓

3 **£0**

Dill's adjusted net income exceeds £125,140 therefore she is not entitled to a personal allowance for the tax year 2025/26.

4

	True	False
The carry forward of trading losses is indefinite if the business continues to trade.	✓	
When carrying forward trading losses, obtaining relief in a later period is advantageous from a cashflow and time value of money perspective.		✓
Trading loss relief against total income permits the taxpayer to relieve trading losses against the total income of the tax year of the loss, and/or previous tax year.	✓	

5 **£303,990**

	£
Employment income	361,990
Trading income	0
Premium bond prize	0
Interest from savings certificate	0
Total income	361,990
Less: Loss relief	(58,000)
Net income	303,990

**Tutorial note**

Loss relief claimed against total income is capped at the higher of £50,000 and 25% of adjusted total income ($25\% \times £361,990 = £90,498$). Therefore there is full relief for the £58,000 loss against total income.

96 JOHN BEACH (ADAPTED)

**Key answer tips**

This case OT involves the employment income rules, especially benefits. It also covers the adjustment of the personal allowance and a question on NIC computations. The last question is relatively straightforward provided the key facts about national insurance contributions had been learnt.

1 £1,425

	£
Amount received by John (5,960 miles × 60p)	3,576
Less: Approved mileage allowance (4,270 + 510) × 45p	(2,151)
Taxable benefit	<u>1,425</u>

**Tutorial note**

Travel between home and office is ordinary commuting which does not qualify for tax relief.

2 B

John repaid £24,000 (£12,000 + £12,000) of the loan during the tax year so the outstanding balance at 5 April 2026 is £60,000 (£84,000 – £24,000).

**Tutor's top tips**

The question states that the average method is used to calculate the taxable benefit, so do not waste time also preparing calculations using the precise (or accurate) method which will score no marks.

The benefit calculated using the average method is:

	£
$((£84,000 + £60,000) \div 2) \times 3.75\%$	2,700
Less: Interest paid	(2,170)
Taxable benefit	<u>530</u>

3 A**Tutorial note**

Long service awards are exempt where there has been at least 20 years of service by the employee and where the cost is £50 or less for each year of service.

4 £0

As John's adjusted net income exceeds £125,140, he is not entitled to a personal allowance for the tax year 2025/26.

5 B and C**Tutorial note**

The employment allowance of £10,500 is available per employer, not per employee.

The taxable mileage allowance paid in respect of home to office travel is cash earnings and is subject to class 1 NIC.

Non-cash benefits are not subject to class 1 NICs – they are subject to class 1A.

Class 1 primary NICs are payable at 8% on earnings above £12,570, but this drops to 2% on earnings above £50,270.

INCOME TAX BASICS AND INCOME FROM SELF-EMPLOYMENT

97 FOO DEE (ADAPTED)**Key answer tips**

This question covers both the rules for income from employment and self-employment.

It requires a simple adjustment of profit and capital allowances computation, which should not have caused any problems if you remembered that it is a nine-month accounting period and therefore the maximum AIA and WDAs are time apportioned.

1 B, ECO₂ emissions rounded down to 130 grams per kilometre, available 9 months

	%
Diesel (17 + 4)	21
Plus: $(130 - 55) \times 1/5$	15
Appropriate percentage	36
Car benefit ($\pounds 19,000 \times 36\% \times 9/12$)	£5,130
Fuel benefit ($\pounds 28,200 \times 36\% \times 9/12$)	£7,614

2 B

	£
Overnight expenses paid when working away in the UK ($\pounds 6 \times 14$)	84
Employer pension contributions (6%)	0
	84

***Tutorial note***

The expenses paid to Foo exceed £5 per night therefore the full amount is a taxable benefit. If the amount paid to cover overnight expenses in the UK was ≤£5 per night it is fully exempt.

Pension contributions made by an employer are an exempt employment benefit.

3 £138,954**Trading profit – 9 m/e 30 September 2026**

	£
Net profit	134,354
Legal fees (capital re acquisition of restaurant)	1,400
Private accommodation ($\pounds 12,800 \times 1/4$)	3,200
Trading profit before capital allowances	138,954

4 A**Capital allowances – nine months ended 30 September 2026**

	Private use car		Allowances
	£		£
Additions (no AIA)			
Car (1 – 50g/km)	14,600		
WDA @ 18% × 9/12	(1,971)	× 70%	1,380
TWDV c/f	12,629		
Total allowances			1,380

**Tutorial note**

1 The WDA is time apportioned by 9/12 as the accounting period is only 9 months long.

2 Capital allowances on car purchases are calculated based on CO₂ emissions.

As the car purchased in this question has CO₂ emissions of between 1 – 50 grams per kilometre, it is eligible for a WDA at 18%. The WDA then needs to be adjusted for the short accounting period and for the private use by Foo Dee, as only the business use proportion of the allowance can be claimed.

5 B**Tutorial note**

Foo starts to trade on 1 January 2026 which is in the tax year 2025/26. During the tax year 2025/26 Foo will be taxed on the profits arising in the period 1 January 2026 to 5 April 2026.

The time limit for notifying HM Revenue & Customs of chargeability is six months from the end of the tax year in which the liability arises i.e. 5 October 2026.

The filing date for the tax return is 31 January following the end of the tax year i.e. 31 January 2027 for the tax year 2025/26.

PRACTICE SECTION C CONSTRUCTED RESPONSE QUESTIONS

INCOME TAX BASICS AND EMPLOYMENT INCOME

98 JASON

*Walk in the footsteps of a top tutor*

Key answer tips

Part (a) tests the advantages and disadvantages of payrolling benefits. Only one of each was required for two marks. Two short but accurate sentences should be sufficient to gain two marks. Two advantages are shown in the answer below, but only one is required for full marks.

Part (b) requires a comparison of two different employment options and the income tax on each. It is not necessary to do full income tax computations, as Jason is clearly an additional rate taxpayer, and therefore the difference in his income tax can be calculated at the marginal rate. Additionally, both options did not have an impact on the availability (or otherwise) of the personal allowance.

Part (c) is a written question regarding form P45. It asks for both the purpose and content of the form, so it is important to cover both to get two marks.

(a) Advantages

- 1 There is no need to declare payrolled benefits on an employee's self-assessment tax return.
- 2 Employees will not have any unexpected tax liabilities in respect of the taxable benefits that have been payrolled.

Disadvantage

- 1 Tax will generally be due earlier under PAYE than if tax was collected under self-assessment.

(b) Initial plc – Jason's employment income 2025/26

	£
Salary	180,000
Employee pension contributions	(8,000)
	172,000
Bonus– 15 March 2025	0
– 15 March 2026	24,000
Staff canteen (Exempt)	0
Employment income	196,000

**Tutorial note**

The bonus of £24,000 will be treated as received during 2025/26 because Jason will become entitled to it during this tax year. Similarly, the bonus of £22,000 will be treated as received during 2024/25.

Subsequent plc – Jason's employment income 2025/26

	£
Salary	205,000
Employer pension contributions	0
Car benefit ($£62,500 \times 15\%$)	9,375
Living accommodation – Annual value ($£4,800 \times 4/12$)	1,600
– Additional benefit (working)	2,625
Beneficial loan ($£140,000 \times 3.75\% \times 8/12$)	3,500
Employment income	222,100

**Tutorial note**

The car benefit is calculated at 15% as it is a hybrid-electric car with CO₂ emissions between 1 and 50 grams per kilometre and an electric range of less than 30 miles.

Additional income tax

Jason is an additional rate taxpayer under both employment alternatives, so he will have to pay £11,745 ($(£222,100 - £196,000)$ at 45%) more in income tax if he takes up the offer of employment with Subsequent plc.

Working – Living accommodation additional benefit

	£
Value 6 April 2025	285,000
Improvements	0
Limit	(75,000)
	210,000
Additional benefit ($£210,000$ at $3.75\% \times 4/12$)	2,625

**Tutorial note**

The living accommodation cost is in excess of £75,000 so there is an additional benefit. Since the property was purchased by Subsequent plc more than six years before first being provided to Jason, the benefit is based on the market value when first provided. The improvements were incurred prior to that date, so are not included as they are already reflected in the market value at the date first provided to Jason.

(c)

- 1 Form P45 will show Jason's taxable earnings and income tax deducted up to 14 March 2025, together with his tax code at this date.
- 2 Jason will give a copy of the form to Subsequent plc so that they can correctly calculate his PAYE for the remainder of 2024/25.

ACCA Marking scheme		
		Marks
(a)	Jason	
	Advantages – either advantage for 1 mark	1.0
	Disadvantage	1.0
	Maximum	2.0
(b)	Initial plc – Jason's employment income 2025/26	
	Salary	0.5
	Employee pension contributions	0.5
	Bonus – 15 March 2025	0.5
	Bonus – 15 March 2026	0.5
	Staff canteen exempt	0.5
	Subsequent plc – Jason's employment income 2025/26	
	Salary	0.5
	Employer pension contributions exempt	0.5
	Car benefit	1.0
	Living accommodation annual value	1.0
	Living accommodation additional benefit – value	1.0
	Living accommodation additional benefit – improvements excluded	0.5
	Living accommodation additional benefit – limit	0.5
	Living accommodation additional benefit – benefit	1.0
	Beneficial loan	1.5
	Additional income tax	1.0
	Maximum	11.0
(c)	1 P45 contents	1.0
	2 Purpose of P45	1.0
	Maximum	2.0
	Total	15.0

Examiner's report

The income tax question involved Jason. He was employed by Initial plc as a sales manager, but was considering resigning on 14 March 2025 and taking up an offer of employment with Subsequent plc which would commence on 15 March 2025. If employed by Subsequent plc, Jason would receive a higher base salary and more benefits compared to remaining employed by Initial plc. However, Jason wanted to know how much more income tax he would have to pay should he take up the new offer of employment.

Part (a) for 2 marks required candidates to state one advantage and one disadvantage for an employee if their employer payrolled the taxable benefits provided to the employee. This section was not particularly well answered.

Rather than just being asked to explain payrolling of benefits, candidates are also expected to know the advantages and disadvantages if an employer payrolls the taxable benefits provided to an employee. For example, an advantage to the employee could be either:

- There is no need to declare payrolled benefits on the employee's self-assessment tax return, or
- The employee will not have any unexpected tax liabilities in respect of the taxable benefits which have been payrolled.

And a disadvantage would be:

- The tax due on the benefit will generally be paid earlier than if collected under self-assessment.

Part (b) for 11 marks required a calculation of how much more income tax Jason would have had to pay for the tax year 2025/26 if he took up the offer of employment with Subsequent plc rather than remaining employed by Initial plc. This section was reasonably well answered.

- Candidates should simply list any exempt items within the main computation and indicate as such by the use of zero (0) – not by an explanation.
- Even though there might only be a ½ mark for recognising an exemption, it is important to know the various exemptions so that time is not spent in producing more complicated workings.
- Candidates should note that many of the workings for this style of question can be included within the main computation. For example, the beneficial loan working ($£140,000 \times 3.75\% \times 8/12 = £3,500$). The only aspect which warranted a separate working here was the living accommodation additional benefit.
- With computations containing both additions and deductions, candidates should be very careful to indicate which is which. A single column approach with deductions included as such on the spreadsheet avoids any confusion.
- Jason was clearly an additional rate taxpayer under both employment alternatives, so the extra amount of income tax payable was simply the difference between the two amounts of employment income multiplied by the rate of 45%. Producing two income tax workings not only used more time, but meant that a mistake was much more likely.

Practice as many computations as possible. If this is done, straightforward workings for the main benefits should become second nature, meaning that marks can be obtained quite quickly without making any basic mistakes.

Part (c) for 2 marks required candidates (if Jason decided to resign as an employee of Initial plc) to explain the main content and purpose of PAYE form P45. This section was not particularly well answered.

If a requirement is just for two marks, then just a few brief points are required in an answer. Of course, it is also important to know the difference between the different PAYE forms. The following answer would have been sufficient:

- Form P45 will have shown Jason's taxable earnings and income tax deducted up to the date of leaving, together with the tax code at this date.
- Jason will have given a copy of the form to Subsequent plc so that they can correctly calculate PAYE for the remainder of 2024/25.

99 POPPY



Key answer tips

This section C question covers employment income, the accrued income scheme, partnerships and administration.

Part (a) offers some easy marks for calculating basic employment benefits, but also has some trickier marks on the accrued income scheme. Do your best here and move on!

Part (b) focuses on the administration of tax for employees. Administration can represent quick and easy marks in the exam if you have learnt the rules. So make sure you know them.

Finally, part (c) looks at interest and penalties in respect of late payment of a balancing charge. Elements of the self-assessment system are often tested, so make sure you know the implications if deadlines are not met, as well as what the deadlines are.

(a) Taxable income 2025/26

	£
Employment income	
Salary	65,000
Car benefit ($£21,800 \times (20\% + 4\%) \times 8/12$)	3,488
Mobile telephone ($£480 \times 20\%$)	96
	68,584
Savings income ($£40,000$ at $3\% \times 3/12$)	300
	68,884
Loss relief (working)	(9,350)
Personal allowance	(12,570)
Taxable income	46,964

**Tutorial note**

- 1 The exemption for mobile telephones does not apply to the second telephone.
- 2 Under the accrued income scheme, Poppy must include the accrued interest from the gilts as savings income for 2025/26, even though she has not received any actual interest.
- 3 The company car is a diesel car that does not meet the real driving emissions 2 (RDE2) standard, and has an official CO₂ emission rate of 70 grams per kilometre. This means that the standard percentage of 17% plus 1% for every 5 grams per kilometre over 55 grams $((70-55)/5) = 3\%$. As the car does not meet the RDE2 standard an additional 4% needs to be added.

Working – Trading loss

		£
Trading loss		19,500
Balancing allowance	$((£8,400 - £5,400) \times 30\%)$	900
Revised trading loss		20,400
Profit share		
6 April 2025 to 5 July 2025	$(£20,400 \times 3/12 \times 1/3)$	1,700
6 July 2025 to 5 April 2026	$(£20,400 \times 9/12 \times 1/2)$	7,650
		9,350

- (b) 1 Because Poppy's benefits are payrolled, the related income tax liability will have been collected under PAYE along with the tax on her salary.
- 2 Payrolled benefits do not have to be reported to HMRC on form P11D or otherwise.
- (c) 1 Interest will be charged for the period 31 January 2026 to 31 August 2026, so the charge will be £129 $(£2,600 \times 8.5\% \times 7/12)$.
- 2 Two penalties of £130 $(£2,600 \text{ at } 5\%)$ will be imposed on the balancing payment, one when it is one month late and the other when it is six months late.

ACCA Marking scheme	
	Marks
(a) Taxable income	
Salary	0.5
Car benefit	2.0
Mobile phone	1.0
Savings Income	1.5
Loss relief	0.5
Personal allowance	0.5
Working trading loss:	
Trading loss	0.5
Balancing allowance	1.5
Profit share	2.0
	10.0
(b) Payrolled benefits	
Collected under PAYE	1.0
No reporting required	1.0
	2.0
(c) Balancing payments interest and penalties	
Calculation of interest	1.5
Penalties on late payment	1.5
	3.0
Total	
	15.0

Examiner's report

The income tax question was based around Poppy who was employed by Zune plc and was also a member of a partnership.

Zune plc provided Poppy with a diesel car (not meeting the real driving emissions 2 (RDE2) standard) and two mobile telephones. These benefits were all payrolled.

Poppy had been in partnership with Rose and Teasel, but Teasel resigned as a partner on 6 July 2025; the partners always sharing profits and losses equally. For the year ended 5 April 2026, the partnership had a tax adjusted trading loss (before taking account of capital allowances). The partnership's only asset was a car used by Poppy which was sold on 31 July 2025.

Poppy's only other income was the accrued interest from gilts which were purchased on 1 August 2025 and sold on 31 October 2025.

The three requirements were all fairly straightforward, so it was surprising that this question was not better answered.

Requirement (a) – 10 marks

Although the employment aspects of this requirement were well answered by most candidates, a number of candidates struggled to correctly allocate the trading loss. The interaction of capital allowances and loss relief was a particular issue. The calculation of the accrued gilt income also caused problems.

- The car benefit should have represented two easy marks, but some candidates omitted the 4% diesel surcharge, and the restriction by 8/12ths (the car only being provided for eight months) was also sometimes incorrectly calculated or omitted altogether.
- Most candidates recognised that only one of the mobile telephones was chargeable, but the 20% basis of tax charge was less well known.

With regard to the trading loss, very few candidates appreciated that the balancing allowance from the disposal of the car had to be added to the trading loss before allocating the resultant loss.

The balancing allowance was simply:

- The brought forward written down value of £8,400
- Less the sale proceeds of £5,400
- Restricted to the business use proportion of 30%.

Many candidates overcomplicated this working by claiming allowances prior to the disposal, with others not even realising there was a balancing event.

Having calculated a revised trading loss, the profit allocated should have been quite straightforward. However, candidates often wasted time by not restricting their calculation to just Poppy's share of the £20,400 loss. The shares for Rose and Teasel were not relevant and their calculation did not score any marks.

With Poppy receiving one-third of profits and losses for three months, and 50% thereafter, the calculation for 2 marks was simply:

$$(\text{£}20,400 \times 3/12 \times 1/3) + (\text{£}20,400 \times 9/12 \times 1/2) = \text{£}9,350$$

When it comes to calculating accrued interest, candidates should remember that the relevant figures are the nominal value and the interest rate. The gilts had a nominal value of £40,000, an interest rate of 3%, and were owned for three months. The accrued interest calculation for 1.5 marks was therefore:

$$\text{£}40,000 \text{ at } 3\% \times 3/12 = \text{£}300$$

Requirement (b) – 2 marks

This requirement was answered quite poorly.

- For the first mark, candidates simply had to say that the related income tax liability is collected under PAYE (or through payroll).
- For the second mark, it was necessary to state there is no reporting on form P11D.

Although some candidates picked up the first mark, very many candidates then went on to say that reporting on form P11D (or some other form) was required.

Requirement (c) – 3 marks

This requirement was generally well answered by most candidates. The key point was appreciating that the due date for the balancing payment was 31 January 2026, so the payment was made seven months late.

The interest charge was therefore $\text{£}2,600 \times 8.5\% \times 7/12 = \text{£}129$ for 1.5 marks.

A few candidates used the official rate of interest rather than the rate for underpaid tax.

As regards penalties, there were two 5% charges; the first for being one month late and the second for being six months late.

Candidates should realise that where a requirement is just for three marks, then no more than two or three short calculations or sentences are required. Also, answers should be related to the information provided, so a long, detailed, explanation of the interest and penalty rules in general is not going to score well.

100 KAZUO

**Key answer tips**

It is important to read the scenario and attempt each section of the requirement on its own, making clear which tax you are calculating when a question tests multiple taxes. Alternative 1 does not have an impact on Alternative 2 and so on.

This is a higher skills question; hence it is essential to not waste time doing full computations and work at the margin. Kazuo's existing employment will not change for Part (a) and (b). That information is to assist you in determining the level of tax that will be applicable.

For part (c), the withdrawal of the income is a few years later when his other income is reduced. This will impact the level of tax that is applicable. It is also important to identify that the income from freelance work is only for one year (from 6 April 2025 to 5 April 2026). It is not ongoing annual income.

- (a) (i) Zaoku Ltd's corporation tax liability for the year ended 5 April 2026 will be £7,600 (£40,000 at 19%).
- (ii) Kazuo will receive dividend income of £32,400 (£40,000 – £7,600) and the income tax payable on this amount will be £12,553 ((£32,400 – £500) at 39.35%).

**Tutorial note**

The rate of corporation tax will be 19% as the total taxable profits are less than the lower limit of £50,000.

Dividend income will be taxed at the additional rate as Kazuo already has employment income which makes him an additional rate taxpayer.

The first £500 of dividend income is taxed at 0% for all taxpayers.

- (b) (i) 1 Paying the director's remuneration and making the pension contribution will reduce Zaoku Ltd's taxable total profits (and corporation tax liability) to £0 (£40,000 – £8,000 – £32,000).
- 2 Kazuo will pay income tax of just £3,600 (£8,000 at 45%) because the pension contribution will be an exempt benefit.
- 3 There will be no class 1 NICs because the earnings of £8,000 are below the NIC lower threshold and are received from a different employer to Kazuo's current salary of £200,000.
- (ii) The overall tax saving compared to alternative 1 will be £16,553 (£7,600 + £12,553 – £3,600).

**Tutorial note**

Directors' remuneration and pension costs are allowable deductions for a company. Therefore, the total taxable profits will be £Nil.

For Kazuo, the only taxable income will be the directors' remuneration as the contribution to the occupational pension scheme by the employer is an exempt benefit, which is not subject to income tax or national insurance. When answering this part, note that cash earnings are subject to class 1 NICs, however as the income was less than the lower threshold, there are no NICs payable.

- (c) 1 Zaoku Ltd's corporation tax liability for the year ended 5 April 2026 will remain unchanged at £7,600.
- 2 For 2029/30, Kazuo will be a higher rate taxpayer, so the income tax payable in respect of his dividend income will be reduced to £10,766 ((£32,400 – £500) at 33.75%).
- 3 The overall tax saving compared to alternative 1 will be £1,787 (£12,553 – £10,766).

**Tutorial note**

By the time Kazuo retires, he is a higher rate taxpayer as his income levels have changed (he is now receiving pension income only). Therefore his dividend income from Zaoku Ltd will be taxed at 33.75%.

ACCA Marking scheme				Marks
(a)	(i)	Corporation tax liability		1.0
				—
	(ii)	Dividend income Income tax payable		1.0
				1.0
				—
				2.0
				—
(b)	(i)	1 Corporation tax implications		1.0
		2 Income tax implications		1.0
		3 NIC implications		1.0
				—
	(ii)	Overall tax saving		1.0
				—
(c)	1	Corporation tax liability		0.5
	2	Income tax payable		1.5
	3	Overall tax saving		1.0
				—
				3.0
				—
Total				10.0
				—

Examiner's report

The 10-mark higher skills question involved Kazuo. He was employed at a gross annual salary of £200,000 (so an additional rate taxpayer) but planned to retire on 5 April 2029. At that point, Kazuo's income will reduce to gross annual pension income of £55,000 (so a higher rate taxpayer).

Kazuo was going to undertake £40,000 of work on a freelance basis during the year ended 5 April 2026, and will do this via a new limited company, Zaoku Ltd.

Kazuo was looking at three alternative ways of extracting the profits of Zaoku Ltd:

Alternative 1: After allowing for corporation tax, Kazuo will withdraw the entire net of tax profits as dividends during the tax year 2025/26.

Alternative 2: Kazuo will be paid gross directors' remuneration of £8,000 and Zaoku Ltd will make a pension contribution of £32,000 into a company occupational pension scheme on Kazuo's behalf during the tax year 2025/26.

Alternative 3: The net of tax profits will be left undrawn in Zaoku Ltd until the tax year 2029/30 when Kazuo has retired. He will then withdraw the entire net of tax amount as dividends in the tax year 2029/30.

Although there were a number of perfect answers, many candidates found this question quite challenging. One particular problem was that candidates did not appreciate that part (c) was essentially the same as part (a), but set a few years ahead with a lower tax rate. This future setting confused a significant minority of candidates, with a number calculating income and taxes over several years. However, the question clearly stated that the freelance work would only last for just one year, from 6 April 2025 to 5 April 2026.

Requirement (a) – 3 marks

This requirement was generally fairly well answered, and there were many perfect answers. Although candidates had the option of using a full calculation approach, working at the margin was easier and quicker. There was also less scope for making arithmetical errors.

Unless opting for a full computation approach, the only relevance of Kazuo's salary of £200,000 was to establish the rate of tax applicable (and it was stated that Kazuo was an additional rate taxpayer in any case). However, a number of candidates included this amount within their corporation tax computation, and this then had a knock-on effect throughout the remainder of the answer.

If using a working at the margin approach for the income tax calculation, this was simply (for two marks):

£40,000 (freelance earnings) – £7,600 (corporation tax as calculated) – £500 (dividend nil rate band) multiplied by the dividend additional tax rate of 39.35%

Common problems included using the gross earnings (rather than the net of tax figure) and using an incorrect rate of tax. Given the rates of tax are provided, it made no sense to lose a half-mark by carelessly using, for example, 39.55% instead of 39.35%.

Requirement (b) – 4 marks

This requirement caused the most problems, although it was more straightforward than many candidates appreciated.

Corporation tax: Paying the director's remuneration and making the pension contribution simply reduced Zaoku Ltd's taxable total profits (and corporation tax liability) to £0 (£40,000 – £8,000 – £32,000). Most candidates picked up the deduction for the director's remuneration, but the deduction for the pension contribution was generally overlooked.

Income tax: With a working at the margin approach, the income tax liability was simply £8,000 at 45% = £3,600. The company pension contribution was an exempt benefit, and, since it was paid by Zaoku Ltd, did not extend Kazuo's tax bands as was often stated by candidates.

NICs: With gross directors' remuneration of just £8,000, there were no class 1 NICs given earnings were less than the lower threshold. Many candidates included the completely separate salary of £200,000, and therefore calculated class 1 NICs at the rate of 2%. This is why it is so important to read through the question carefully.

Comparison: When it came to the comparison with alternative 1, many candidates compared the income tax and NICs, but forgot to include the corporation tax figures. This should have been an easy one mark, as the mark was given provided a candidate made the comparison using whatever figures they had calculated. Another common mistake was to make a comparison based on a full computation approach with one done using a working at the margin approach. It should have been apparent that such a tax difference was not realistic.

Many candidates wasted time by redoing their part (a) figures instead of just picking then up from part (a).

Requirement (c) – 3 marks

There were a number of very good answers for this requirement. However, as already mentioned, many candidates did not appreciate that part (c) was essentially the same as part (a), but set a few years ahead with the dividend higher tax rate being applicable (rather than the additional rate).

Full marks could have been obtained with the following working:

£31,900 (£40,000 – £7,600 – £500) at 5.6% (39.35% – 33.75%) = £1,786.

One fairly common mistake was to either ignore the corporation tax (which was unchanged) or to calculate a new (and different) corporation tax figure.

The important thing when confronted by a different style of question to what has been practiced (and this will often be the case with the higher skills questions) is to not panic, read the question carefully to see what is required, and to appreciate that if workings become too long or complicated, the requirement has not been properly understood.

101 SHELDON

*Walk in the footsteps of a top tutor***Key answer tips**

This question requires a full income tax computation, covering employment income with various benefits and property income.

Remember to clearly classify income into non-savings, savings, and dividends, applying the correct tax rates and bands. Include the dividend nil rate band, remembering it may use up part of the basic or higher rate band.

Be meticulous with time-apportioning benefits and income where they do not apply for the full tax year.

Ensure you distinguish between allowable and disallowable expenditure for property income, particularly capital items, and consider the operation of replacement furniture relief.

Finally, always deduct PAYE from the overall tax liability.

**Tutor's top tips**

You are required to calculate employment income and property income for inclusion in the income tax computation. Start with your strongest of the two areas as it does not have to be completed in a set order. Remember to clearly show your workings to enable the marker to award marks where mistakes have been made.

	Non-savings income	Dividend income	Total
	£	£	£
Employment income (working 1)	162,078		162,078
Property income (working 2)	147,200		147,200
Dividend income		17,000	17,000
	309,278	17,000	326,278
Personal allowance	0	0	0
Taxable income	309,278	17,000	326,278

Income tax		
£		
37,700	at 20%	7,540
87,440	(£125,140 – £37,700) at 40%	34,976
184,138	(£309,278 – £37,700 – £87,440) at 45%	82,862
500	at 0%	0
16,500	(£17,000 – £500) at 39.35%	6,493
326,278		
Income tax liability		131,871
Less: PAYE		(60,560)
Income tax payable		71,311

**Tutorial note**

No personal allowance is available because Sheldon's adjusted net income of £326,278 exceeds £125,140.

Working 1 – Employment income

	£	£
Salary		126,000
Beneficial loan $((£80,000 + £72,000)/2) \times 3.75\% \times 8/12$		1,900
Company gym		0
Living accommodation		
Annual value	14,000	
Additional benefit $((£540,000 - £75,000) \times 3.75\%)$	17,438	
Less: Contribution $(£250 \times 12)$	(3,000)	
		28,438
Running costs		850
Furniture $(£20,000 \times 20\%)$		4,000
Medical insurance		890
Business expenditure		0
Employment income		162,078

Working 2 – Property income

	£	£
Rent received		140,000
Premium received	45,000	
Less: $\text{£}45,000 \times 2\% \times (5 - 1)$	(3,600)	
		41,400
Expenditure	35,800	
Adjustments:		
Redecorating	0	
Washing machines	0	
Legal fees	(1,600)	
		(34,200)
Property income		147,200

**Tutorial note**

The cost of redecorating and painting one of the properties is revenue expenditure and therefore allowable. Replacement furniture relief is available in respect of the five washing machines. Legal fees in respect of the grant of a new lease are capital in nature and therefore disallowable.

Marking scheme

	Marks
Income tax computation	
Dividend income	0.5
Personal allowance	0.5
Non-savings tax at 20%	0.5
Non-savings tax at 40%	0.5
Non-savings tax at 45%	0.5
Dividend nil rate band	0.5
Dividend tax at 39.35%	0.5
Less PAYE	0.5
Employment income	
Salary	0.5
Beneficial loan	1.5
Company gym	0.5
Medical insurance	0.5
Business expenditure	0.5
Living accommodation:	
Annual value	0.5
Additional benefit	1.0
Employee contribution	0.5
Running costs	0.5
Furniture	1
Property income	
Rent received	0.5
Premium	1.5
Expenditure	0.5
Redecorating	0.5
Washing machines	0.5
Legal fees	0.5
Total	15.0

Examiner's report

The income tax question was based around Sheldon who was employed by Luqe Ltd.

This question was very well answered, with a number of perfect responses. However, quite a few candidates failed to achieve fairly easy marks due to poor examination technique and/or not reading the question carefully enough.

Although there were various ways of approaching this question, the easiest one was to have a main computation with workings for employment income and for property income. Of course, many candidates had a lot more workings than this, which would have taken more time and made it more difficult to keep track of all the relevant figures.

As regards poor examination technique, one of the main problems here was not showing workings. If workings are shown, marks will still be given even if an arithmetical mistake is made. For example, one candidate incorrectly showed the beneficial loan as $((£80,000 - £72,000)/2) \times 3.75\% \times 8/12 = £100$. The correct calculation was $((£80,000 + £72,000)/2) \times 3.75\% \times 8/12 = £1,900$. However, because they had shown their workings, they were awarded 1 of the available 1.5 marks.

As regards not reading the question carefully enough, there were two quite common mistakes made that were costly in terms of marks:

- Luqe Ltd provided Sheldon with living accommodation. Even though the question stated that living accommodation was provided throughout the tax year, a number of candidates misread the subsequent statement that Sheldon first moved into the property on 1 January 2025. They took this to be the 1 January during the tax year in question (which would have been 1 January 2026) and then restricted living accommodation benefits by 3/12ths.
- For the property income expenses, it was stated that Sheldon's expenditure was £35,800 for the tax year. This figure included three amounts, only one of which was disallowable (£1,600 for legal fees in relation to the grant of a five-year lease). The deduction was therefore a quite straightforward $£35,800 - £1,600 = £34,200$. However, many candidates either ignored the total figure of £35,800, deducted £35,800 along with some or all the other figures, or deducted an adjusted version of £35,800 along with some or all the other figures. There were two marks for the correct deduction, but the incorrect variations scored poorly.

Candidates should avoid putting detailed workings within the one cell because it is too easy to make a mistake with the syntax. Referring to the beneficial loan working again, one mistake that cropped up several times was $(£80,000 + £72,000/2) = £116,000$ rather than the correct $((£80,000 + £72,000)/2) = £76,000$. Although candidates are not usually penalised for such obvious errors, it will be an issue where more complicated workings are involved.

Candidates who rush their response, can sometimes fail to spot the obvious. Before taking account of benefits or other income, Sheldon had a gross annual salary of £126,000. This level of income by itself meant that Sheldon was not entitled to any personal allowance and was an additional rate taxpayer. The personal allowance was sometimes given regardless, and the tax rate applied to Sheldon's dividend income was sometimes not 39.35%.

Looking at some of the other half marks on this question:

- The half mark for the use of Luqe Ltd's company gym being an exempt benefit was picked up by virtually every candidate.

- The half mark for the living accommodation running costs of £850 was sometimes not given because this figure was deducted rather than treated as a benefit.
- The half mark for deducting the £3,000 (£250 × 12) that Sheldon paid towards the living accommodation was sometimes not given because 12 months of payment were not used.
- The half mark for the medical insurance benefit of £890 was sometimes not given due to this incorrectly being treated as an exempt benefit.
- The half mark for the reimbursed business expenditure of £600 was sometimes not given because this was either treated as taxable or deductible.

Not achieving a few half marks may not sound that serious, but if done a few times it can easily be the difference between a marginal fail and a pass mark.

102 KAGAN



Key answer tips

This question is a typical 'higher skills' question where the focus was spread across three taxes, IHT, CGT and income tax.

Students needed to be especially careful not to mix up the rules for IHT and CGT.

In part (a) students needed to remember to work in the margin to calculate the revised tax liability and not waste time reworking the income tax liability in full.

Fairly straightforward computations were required to calculate the total tax under in part (b) as long as students remembered to factor in the large personal pension contribution.

(a) Kagan's revised income tax liability for 2025/26 will be £172,027 (£166,203 + ((£15,300 – £500) at 39.35%)).

(b) (i) The base cost of the shares will be their value at the time of the aunt's death (£510,000), so the minimal increase in value is likely to be covered by Kagan's annual exempt amount of £3,000.

(ii) Kagan – Income tax liability 2025/26

	£
Employment income	400,000
Pension tax-free lump sum	0
Premium bond prizes	0
Interest from ISA	0
Property income	9,600
Dividend income	450
	410,050
Personal allowance	0
Taxable income	410,050

**Tutorial notes**

- 1 Kagan's adjusted net income = £310,050 (£410,050 of taxable income less £100,000 gross personal pension contributions). As this exceeds £125,140 Kagan is not entitled to a personal allowance.
- 2 Personal pension scheme contributions will extend the basic and the higher rate bands.

Income tax

£	£
37,700 at 20%	7,540
100,000 at 20%	20,000
87,440 at 40%	34,976
225,140 (£125,140 + £100,000)	
184,460 (£410,050 – £450 – £225,140) at 45%	83,007
450 at 0%	0
410,050	
Income tax liability	145,523

- (c) 1 The amount invested in the pension fund (and not withdrawn) will be outside of Kagan's estate, reducing the potential IHT liability.
- 2 The investments in premium bonds, the ISA and the freehold property will not affect Kagan's potential IHT liability because one asset is simply being replaced with another of equivalent value.

ACCA Marking scheme

	Marks
(a) Revised income tax liability	1.0
(b) (i) CGT impact	1.0
(ii) Employment income	0.5
Pension lump sum	0.5
Premium bond prizes	0.5
ISA interest	0.5
Property income	0.5
Dividend income	0.5
Personal allowance	0.5
Income tax liability	2.5
	6.0
(c) Pension fund outside of estate	1.0
No impact on IHT liability	1.0
Total	10

Examiner's report

Part (a) for 1 mark required candidates to calculate Kagan's revised income tax liability for the tax year 2025/26 if he retained the inherited shares. Although fairly well answered, many candidates used valuable time doing full before and after tax computations. Kagan was clearly an additional rate taxpayer, so all that was required was to calculate the additional rate tax due on the dividend income and then add it to the provided figure of tax on the employment income.

Part (b)(i) for 1 mark required an explanation as to why little or no capital gains tax would have been payable if Kagan had sold some of his inherited shares. This was because assets are inherited at the value at the time of the deceased's death. If these assets are sold soon after being inherited, there will generally be a minimal increase in value (this fact was stated in the question), so any gain is likely to be covered by the annual exempt amount. It was pleasing to see that this part was well answered by those candidates who appreciated the tax treatment. Part (b)(ii) for 6 marks required a calculation of Kagan's revised income tax liability for the tax year 2025/26 if he sold some of his inherited shares and made the four alternative investments. This section was reasonably well answered, but several points should be noted:

The question stated that a full tax computation was required, so exempt items (pension lump sum, premium bond prizes and the interest from the ISA) should simply have been listed within the main computation and indicated as such by the use of zero (0) – not by an explanation.

- The non-availability of the personal allowance should have been indicated in the same manner. There was no need to justify the non-availability given the level of Kagan's income.
- Although there might only be a ½ mark available for recognising an exemption, it is important to know the various exemptions so that time is not spent producing unnecessary, and more complicated workings – such as applying the savings income nil rate band where the interest from the ISA was included as savings income.

Part (c) for 2 marks required candidates to state for each of the four alternative investments whether the investment would reduce Kagan's potential inheritance tax liability compared to him retaining the inherited shares. Unfortunately, this section was not well answered. Candidates need to remember, that unlike other taxes, there are few exemptions from inheritance tax. Therefore, the replacement of the quoted shares with either premium bonds, an ISA or freehold property would not have changed the value of Kagan's chargeable estate. However, the investment in the pension fund (which is not withdrawn) would have been outside of Kagan's estate, thereby reducing his potential IHT liability.

103 ESME

**Key answer tips**

Part (a) of this question is a standard income tax computation, involving employment income with various benefits as well as dividend income. It is important to present this clearly, preferable using the standard pro forma. Workings will be required for some of the benefits and these should be clearly labelled.

Part (b) requires an explanation of the transferable marriage allowance as well as an explanation of why that is not relevant for Esme and Andy. Note that there are three marks available here, so it is important to make three clear points.

Part (c) involves an inter spouse transfer of shares and the income tax implications of this. It is important to consider the implications for both partners. Some clear guidance is provided by the examiner in the requirement, so make sure you follow it!

(a) Esme – Income tax liability 2025/26

	Non-savings income	Dividend income	Total
	£	£	£
Salary	45,000		
Pension contributions:			
Esme ($£45,000 \times 4\%$)	(1,800)		
HHK plc (exempt)	0		
Bonus 1	0		
Bonus 2	22,000		
Car benefit (working 1)	10,360		
Mileage (working 2)	760		
Employment income	76,320		
Dividend income		6,000	
	76,320	6,000	82,320
Personal allowance	(12,570)		(12,570)
Taxable income	63,750	6,000	69,750
£			£
37,700	$700 \times 20\%$		7,540
6,250	$(£5,000 \times 100/80) \times 20\%$		1,250
19,800	$(£63,750 - £37,700 - £6,250) \times 40\%$		7,920
500	$\times 0\%$		0
5,500	$\times 33.75\%$		1,856
Income tax liability 2025/26			18,566

Working 1 – Car benefit

- (1) The relevant percentage for the car benefit is 37% ($17\% + 23\% ((170 - 55)/5) = 40\%$) but limited to 37%.
- (2) The car was available during the period 6 April to 30 November 2025, so the benefit for 2025/26 is £10,360 ($£42,000 \times 37\% \times 8/12$).

Working 2 – Mileage

	£	£
Mileage reimbursement		5,760
Approved mileage allowance		
10,000 miles at 45p	(4,500)	
2,000 miles at 25p	(500)	
		(5,000)
Mileage benefit		760

Tutorial notes:

- (1) The bonus of £19,000 will have been treated as being received during the tax year 2024/25 even though it was paid on 10 April 2025 because Esme became entitled to it on 31 March 2025.
 - (2) The bonus of £22,000 will have been treated as being received during the tax year 2025/26 because it was paid to her on 22 March 2026.
- (b)**
- (1) The transferable amount is £1,260 of the personal allowance. This would reduce the personal allowance of the spouse/civil partner making the transfer to £11,310 ($£12,570 - £1,260$).
 - (2) The income tax liability of the receiving spouse/civil partner would be reduced by a maximum of £252 ($£1,260 \times 20\%$).
 - (3) A claim is not possible in Esme and Andy's case because Esme is a higher rate taxpayer.
- (c)**
- (1) Andy currently receives dividend income of £7,000 each year from his own shareholdings. If Esme's quoted shares were transferred to Andy, his net income would increase to £13,000 ($£7,000 + £6,000$). This would be partially relieved by Andy's personal allowance of £12,570 with the remainder covered by the dividend nil rate band of £500.
 - (2) Esme's income tax liability would reduce by £5,500 ($£6,000 - £500$) $\times 33.75\% = £1,856$.

ACCA Marking scheme	
	Marks
(a) Esme income tax liability 2025/26	
Salary	0.5
Pension contributions – Esme	1.0
Pension contributions – HHK plc	0.5
Bonus 1	0.5
Bonus 2	0.5
Car benefit	1.5
Mileage	1.5
Dividend income	0.5
Personal allowance	0.5
Calculation of income tax	3.0
	10.0
(b) Transferable marriage allowance	
Explanation	3.0
(c) Transfer of shares to Andy	2.0
Total	15.0

Examiner's report

Requirement (a) was generally very well answered, and there were a number of perfect answers.

Along with Esme's salary and dividend income from quoted shares, candidates had to take into account:

- Two bonuses which were received by Esme during the tax year 2025/26 (the first bonus would have been treated as received during the tax year 2024/25 because Esme became entitled to it on 31 March 2025);
- Esme being provided with a company car for the period 6 April to 30 November 2025 (the calculated car benefit percentage was 40%, but this had to be restricted to the maximum of 37%);
- Esme using her own car for business journeys during the period 1 December 2025 to 5 April 2026 (the reimbursement by HHK plc resulted in a taxable benefit for the tax year 2025/26);
- Contributions into HHK plc's occupational pension scheme by both Esme and HHK plc on Esme's behalf (HHK plc's contributions being an exempt benefit); and
- Esme making a charitable donation of £5,000 (net) under the gift aid scheme.

Candidates were instructed to indicate by the use of zero (0) any items which were not taxable or deductible. In this case, the relevant items were the pension contributions made by HHK plc and the first bonus.

There were no consistent mistakes made with this requirement, although the pension contributions and charitable donation sometimes caused confusion. The correct treatment was to deduct Esme's pension contributions, ignore the contributions made by HHK plc, and to extend the basic rate band by £6,250 ($£5,000 \times 100/80$) for the charitable donation. As already mentioned, question practice will help reinforce these basic principles.

Because of the dividend income, a two-column layout was most suitable for this requirement. With any deductions included as negatives, it is then just a matter of using the SUM function to get to the taxable income figures.

The only aspect of the answer which warranted a separate working was the mileage benefit. Everything else was easily dealt with within the main computation.

Layout is not something candidates should really be concerned about on the day. With sufficient question practice, the correct layout becomes automatic.

Requirement (b) was generally reasonably well answered, although many responses – although correct – lacked sufficient detail to be awarded full marks.

When faced with this type of requirement, it is best to cover as many aspects as possible. So here, it was necessary to show how the personal allowance of the transferor would be reduced ($£12,570 - £1,260 = £11,310$) and how the transferee would benefit from a tax reduction ($£1,260 \times 20\% = £252$). In both cases, the relevant figures, where provided by candidates, assisted with their explanation.

The reason that a claim was not possible in Esme and Andy's case was because Esme was a higher rate taxpayer for the tax year 2025/26. This point was often not appreciated.

Requirement (c) often caused problems for candidates, and it was not answered as well as the other two requirements.

The starting point is to appreciate that all of Esme's dividend income of £6,000 will move from her to Andy. Based on the income tax workings from requirement (a), it is then a fairly easy matter to establish the reduction to Esme's income tax liability (£1,856 as per the workings in requirement (a)).

Andy already had dividend income of £7,000, so the transfer of £6,000 will increase his dividend income to £13,000. However, he will not have any income tax liability because of the personal allowance (£12,570) and the dividend nil rate band of £500.

104 TONIE (ADAPTED)



Key answer tips

Part (a) tests the residence rules for individuals. The tax rates and allowances show the required number of ties based on the time spent in the UK. You could have passed this part of the question using this information.

Part (b) asks for four factors that indicate Tonie will be treated as employed, rather than self-employed. The requirement asks you to 'list' four factors so don't waste time providing unnecessary explanations.

Part (c) requires the calculation of taxable income. This is a standard requirement and you should be familiar with the various income and expenses included in this calculation.

- (a) Tonie was previously resident and was in the UK between 46 and 90 days. She therefore needed three UK ties or more to be treated as UK resident.

Tonie only had two UK ties, which were being in the UK for more than 90 days during the previous tax year, and spending more time in the UK than in any other country during 2024/25.

- (b) The contract was for a relatively long period of time.

Tonie did not take any financial risk.

Tonie only worked for Droid plc.

Tonie was required to do the work personally.

Droid plc exercised control over Tonie via the weekly meetings and instructions.



Tutorial note

Only four of the factors were required to achieve the two marks available.

(c) Tonie – Taxable income 2025/26

	£
Employment income	
Salary ($£6,200 \times 12$)	74,400
Mileage allowance (2,300 at 15p (60p – 45p))	345
Leasing costs ($£180 \times 12$)	(2,160)
Property income (W)	9,670
Savings income ($£100,000$ at $3\% \times 5/12$)	1,250
Premium bond prize	0
Interest from savings certificate	0
	83,505
Personal allowance	(12,570)
Taxable income	70,935



Tutorial note

Under the accrued income scheme, Tonie must include the accrued interest from the gilts as savings income for 2025/26, even though she has not received any actual interest.

Working – Property income

	£
Rent received	10,080
Mortgage interest	0
Replacement furniture relief	
Washing machine	(380)
Dishwasher	0
Other expenses	(1,110)
	8,590
Furnished room (£8,580 – £7,500)	1,080
Property income	9,670

**Tutorial note**

- No relief is given for the mortgage interest in the property income working. Relief will be given at the bottom of the income tax computation.*
- No relief is given for that part of the cost of the washer-dryer that represents an improvement over the original washing machine. Relief is therefore restricted to the cost of a similar washing machine.*
- No relief is available for the cost of the dishwasher because this is an initial cost rather than the cost of a replacement.*
- Claiming rent-a-room relief in respect of the furnished room is more beneficial than the normal taxable property income (£8,580 – £870 = £7,710).*

ACCA Marking scheme

	Marks
(a) Residence	2.0
(b) Factors	2.0
(c) Salary	0.5
Mileage allowance	1.0
Leasing costs	1.0
Savings income	1.0
Premium bond	1.0
Interest from savings certificate	1.0
Rent received	1.0
Mortgage interest	1.0
Washing machine	1.0
Dishwasher	0.5
Other expenses	0.5
Room	1.0
PA	0.5
	11.0
Total	15.0

105 KAT (ADAPTED)*Walk in the footsteps of a top tutor***(a) Property purchased personally****Key answer tips**

In this question you are required to work out the tax savings that result from holding property either directly as an individual or through a company.

The corporation tax is provided for you and you must ensure you do not repeat calculations that have already been performed.

The key to passing this question is to ensure you set out two separate calculations, one with the property income directly taxed via a personal holding of the property and the other with the property being held via the company and therefore the dividends being the income that will be taxed.

When working out the property income for the option where the property is owned personally try and remember that none of the mortgage expense is allowable in the property income calculation. Relief will be given at the basic rate of income tax at the bottom of the income tax calculation.

Don't ignore part (b) as there is an easy mark for acknowledging that the annual exempt amount is only available to individuals.

Property purchased personally

	£
Employment income	60,650
Property income (working)	26,600
	87,250
Personal allowance	(12,570)
Taxable income	74,680
Income tax	
£	
$37,700 \times 20\%$ (Non-savings)	7,540
$36,980 \times 40\%$ (Non-savings)	14,792
74,680	
	22,332
Interest relief ($\pounds 12,000 \times 20\%$)	(2,400)
Income tax liability	19,932

Working – Property income

	£
Rent receivable ($£2,600 \times 12$)	31,200
Mortgage interest	0
Other expenses	(4,600)
Property income	26,600

Property purchased via a limited company

	£
Employment income	60,650
Dividend income	6,000
	66,650
Personal allowance	(12,570)
Taxable income	54,080

Income tax

£	£
$37,700 \times 20\%$ (Non-savings)	7,540
$10,380 \times 40\%$ (Non-savings)	4,152
$500 \times 0\%$ (Dividends)	0
$5,500 \times 33.75\%$ (Dividends)	1,856
54,080	
Income tax liability	13,548

Conclusion

If Kat purchases the property via a limited company, then the overall tax saving will be £3,610 compared to purchasing the property personally:

	£
Purchased personally	19,932
Purchased via a limited company ($£2,774 + £13,548$)	(16,322)
Tax saving	3,610

**Tutorial note**

The comparison ignores the fact that not all of the profits are withdrawn under the company purchase option. However, profits might typically be retained within a company to repay the mortgage borrowing or to fund a future property purchase.

- (b) The annual exempt amount will not be available if the gain occurs within a limited company.

**Tutorial note**

A limited company would not benefit from an indexation allowance as the property would be purchased after December 2018.

ACCA Marking scheme	
	Marks
(a) Kat – Income tax	
Employment income	0.5
Personal allowance	0.5
Tax at 20%	0.5
Tax at 40%	0.5
Interest relief	1.0
Kat – Property income	
Rent received	0.5
Interest	1.0
Other expenses	0.5
Company – Income tax	
Dividend income	0.5
Employment income	0.5
Personal allowance	0.5
Tax at 20%	0.5
Tax at 40%	0.5
Tax at 0%	0.5
Tax at 33.75%	0.5
Tax saving	0.5
	9.0
(b) AEA available to individuals	1.0
Total	10.0

Examiner's report

This question involved an individual who was planning to purchase a residential freehold property which was going to be let out. She was unsure whether to purchase the property personally or via a limited company. The limited company would be incorporated for the sole purpose of purchasing and letting out the property, and Kat would hold all of the shares in the company. The company's corporation tax liability was provided in the question.

Part (a) for 9 marks required candidates to determine if there would be an overall saving of tax if Kat purchased the property via a limited company rather than purchasing it personally. Those candidates who made sure that they understood the scenario and worked carefully through each calculation had no difficulty answering this section.

As warned in previous reports, where a tax figure is given for one of the scenarios (in this case, the corporation tax figure), candidates should never attempt to recalculate the figure for themselves. All this does is use up valuable time. As regards the conclusion, this should have just been a calculation of the tax difference between the two scenarios. There was no need for a detailed explanation.

Where computations are required for two different scenarios, candidates should clearly indicate which scenario is being answered. This is particularly important where some of the same information is used in both scenarios. In this case employment income and the personal allowance were common across both scenarios. Some candidates attempted to answer this question with just the one computation; impossible given that property income formed part of the first computation, with dividend income included in the second.

It should have been quite clear from the information provided that full computations were necessary for both scenarios. Those candidates who calculated the tax liability for a personal purchase and then attempted to adjust the figures for a corporate purchase invariably ended up with a very confused answer.

The personal purchase required candidates to apply the restriction whereby relief for 100% of property income finance costs is restricted to the basic rate.

Working through past examination questions will help candidates familiarise themselves with the best approach to be taken when answering questions which examine more than one tax. Also, it is important that candidates appreciate the interactions that can arise in such questions, and an article has been published covering many of the scenarios which could be examined.

Part (b) for 1 mark required an explanation of one way in which the calculation of a future taxable gain on a property disposal made by the limited company would differ from the calculation of a taxable gain on a disposal made personally by Kat. Although there were many good answers to this section, some candidates discussed the finance costs restriction when this has nothing to do with taxable gains. All that was required was a brief mention (not a detailed answer) of the annual exempt amount.

106 BERTIE

**Key answer tips**

In this question you are required to compare two scenarios – continuing to take director's remuneration and business mileage payments, while making personal pension contributions or receiving dividends, a company car and occupational pension contributions. In such a question, presentation is key – clearly separating the two calculations and ensuring the correct information is included in each. Although the scenario may seem different from others you have seen before, the tax calculations themselves are fairly straightforward. Since you are asked for the reduction in Bernie's income tax and NIC it is important to compare the two figures you have calculated and you will be given credit for this answer, even if you have made mistakes in earlier calculations.

Part (b) looks at the same two scenarios, but this time from the perspective of the company. Note that you have already been given the corporation tax liability for the first scenario, so it is not necessary to recalculate this.

(a) Existing arrangements

- (1) Bertie's income tax liability will be £12,486:

		£
Director's remuneration		75,000
Mileage allowance		0
Personal allowance		(12,570)
Taxable income		62,430
Income tax		
£		
37,700	× 20%	7,540
24,730	× 20%	4,946
62,430		
Income tax liability		12,486

**Tutorial notes**

- (1) *HM Revenue & Customs rate of authorised mileage allowance for the first 10,000 business miles is 45p per mile, so the mileage allowance will be tax-free with no expense claim possible.*
- (2) *Basic rate band extended: £37,700 + £25,000 = £62,700*

(2) Bertie's employee class 1 NICs will be £3,511:

£	£
37,700 ($£50,270 - £12,570$) $\times$ 8%	3,016
24,730 ($£75,000 - £50,270$) $\times$ 2%	495
Class 1 NICs	3,511

Beneficial arrangements

Bertie's income tax liability will be £2,016:

	Non-savings income	Dividend income
	£	£
Car benefit ($£37,000 \times 3\%$)	1,110	
Pension contribution	0	
Dividend income		35,000
Personal allowance	(1,110)	(11,460)
Taxable income	0	23,540

Income tax

£	
500 $\times$ 0%	0
23,040 ($£23,540 - £500$) $\times$ 8.75%	2,016
23,540	
Income tax liability	2,016

Reduction

The reduction in Bertie's income tax and employee class 1 NICs is £13,981 ($£12,486 + £3,511 - £2,016$).

- (b) Under the beneficial arrangements, Rebite Ltd's corporation tax liability will be £75,750:

	£
Trading profit	340,000
Leasing costs	(12,000)
Pension contributions	(25,000)
Taxable total profits	303,000
Corporation tax ($303,000 \times 25\%$)	75,750

The increase in Rebite Ltd's corporation tax liability is £12,898 ($£75,750 - £62,852$).

ACCA Marking scheme	
	Marks
(a) Bertie income tax liability – existing arrangement	
Director's remuneration	0.5
Mileage allowance	0.5
Personal allowance	0.5
Calculation of income tax	1.0
Class 1 NICs calculation	1.0
Bertie income tax liability – beneficial arrangement	
Car benefit	0.5
Pension contribution	0.5
Dividend income	0.5
Personal allowance	0.5
Calculation of income tax	1.0
Difference in IT liability	0.5
	7.0
(b) Rebite Ltd corporation tax liability	
Trading profit	0.5
Leasing costs	1.0
Pension contributions	0.5
Corporation tax calculation	0.5
Increase in CT liability	0.5
	3.0
Total	10.0

Examiner's report

The 10-mark higher skills question involved Bertie, who was the managing director of, and 100% shareholder in, Rebite Ltd. Bertie had previously withdrawn a high level of director's remuneration from Rebite Ltd, but is considering more beneficial alternative arrangements for the tax year 2025/26.

Existing arrangements: Bertie will be paid gross director's remuneration of £75,000 and will then use his private car for business mileage (being paid a mileage allowance for doing so). He will make personal pension contributions of £25,000 (gross).

Beneficial arrangements: Instead of director's remuneration, Bertie will be paid dividends of £35,000. He will also be provided with an electric company car which will be leased by Rebite Ltd. Instead of Bertie personally making personal pension contributions, Rebite Ltd will make pension contributions of £25,000 into a company pension scheme on his behalf.

Provided candidates kept the two sets of information separate, this question as a whole was generally very well answered. One particular problem however, was that some candidates treated Rebite Ltd's trading profit of £340,000 as personal income. Although the general approach when marking is that candidates only lose marks once under the "own figure rule", having such a high level of income completely distorted the income tax calculations, with the result that several half-marks were sometimes not able to be awarded.

With this style of question, it is very important to use appropriate headings so that it is obvious which aspect of the requirement is being answered.

Although a higher skills question, candidates were instructed to produce full income tax and NIC computations. Candidates seem to prefer this approach (compared to working at the margin), and this largely explains the very good performance.

There were many perfect answers to both aspects of requirement (a).

Existing arrangements

In regard to the existing arrangements, a number of candidates did not appreciate that the allowance received by Bertie for business mileage in his private car was tax-free with no expense claim possible. This was because the allowance of 45 pence per mile is exactly the amount of authorised mileage allowance permitted by HM Revenue & Customs.

When it came to the income tax computation, a fairly common mistake was to not appreciate that Bertie's liability was solely at 20% given the extent that the basic rate band was extended by his personal pension contributions.

With the calculation of employee class 1 NIC, quite a few candidates did not use Bertie's gross director's remuneration of £75,000 as the limiting figure. Instead, the taxable income figure was often used, or a figure adjusted for personal pension contributions and/or the mileage allowance.

Beneficial arrangements

In regard to the beneficial arrangements, there were various mistakes:

- Normal tax rates were sometimes applied instead of the dividend tax rates;
- It was not appreciated that with just dividend income, there would be no NIC payable;
- The car benefit – although correctly calculated – was sometimes shown as separate to the main income tax calculation (the basic rate of 20% was then applied, even though the benefit was clearly covered by Bertie's personal allowance); and
- Rebite Ltd's pension contributions on Bertie's behalf were taken into account despite being an exempt benefit.

Again, there were many perfect answers to requirement (b).

One particular problem was that a number of candidates recalculated Rebite Ltd's corporation tax liability under the existing arrangements, despite being instructed not to do so – this figure was being provided. If the correct figure was recalculated, this was just a case of some time being wasted. However, an incorrect calculation meant both wasted time and the inability to get the half-mark. This is why it is so important to read through the question carefully, especially the requirements along with any guidance notes.

The computation itself was fairly straightforward, and half the marks would have been given if just the trading profit of £340,000 was taxed at 25%, with this figure then compared to the given corporation tax liability under the existing arrangements. To get full marks, it was also necessary to deduct the leasing costs and the pension contributions.

The dividends paid to Bertie were irrelevant, although some candidates insisted on deducting them. This is why question practice is so important because this is the type of mistake which when made once, candidates learn not to repeat.

INCOME TAX BASICS AND INCOME FROM SELF-EMPLOYMENT

107 TRIPLE A LTD



Walk in the footsteps of a top tutor

**Key answer tips**

This question requires a comprehensive calculation of tax liabilities for both the individuals and the company, and then a comparison to determine the most tax-efficient structure.

For individual income tax, carefully compute each director's taxable income, including all taxable income from the company, but excluding any exempt benefits.

For corporation tax, remember to deduct all allowable expenses from the trading profit. Remember, you don't need to rework any tax figures provided in the question.

The overall comparison involves summing all tax and NIC liabilities for both scenarios to identify any saving or increased cost from incorporation.

(i) Total income tax liability 2025/26:

	£
Director's remuneration	50,270
Pension contribution	0
Dividend income	9,000
	59,270
Personal allowance	(12,570)
Taxable income	46,700
Income tax	
£	
37,700	(£50,270 – £12,570) at 20%
	7,540
500	at 0%
	0
8,500	(£9,000 – £500) at 33.75%
	2,869
46,700	
Income tax liability	10,409
Three directors (£10,409 × 3)	31,227

(ii) Corporation tax liability of Triple A Ltd for the year ended 5 April 2026:

	£
Trading profit	264,000
Director's remuneration (£50,270 × 3)	(150,810)
Dividends	0
Employer's class 1 NIC	(20,373)
Pension scheme contributions (£20,000 × 3)	(60,000)
Taxable total profits	32,817
Corporation tax (£32,817 at 19%)	6,235

**Tutor's top tips**

When tax or national insurance figures are provided in the question it is not necessary to check or rework these figures. They have been provided for you to save time in answering the question and because calculating them would not fit within the available marks.

- (iii)** If the partnership's business is incorporated, then the overall tax and NIC cost will increase by £1,936 compared to remaining as a partnership:

	£
Limited company (£31,227 + £6,235 + £9,048 + £20,373)	66,883
Partnership	(64,947)
Decrease	1,936

**Tutor's top tips**

You will get full marks for your answer to this section provided you correctly pick up all the tax figures from your own calculations and those provided in the question, even if some of your own figures are wrong.

Marking scheme	
	Marks
(i) Total income tax liability	
Director's remuneration	0.5
Pension contribution	1.0
Dividend income	0.5
Personal allowance	0.5
Income tax – basic rate	0.5
Income tax – dividend nil rate band	0.5
Income tax – higher rate	1.0
Three directors	0.5
(ii) Corporation tax liability of Triple A Ltd	
Trading profit	0.5
Director's remuneration	0.5
Dividends	0.5
Employer's class 1 NIC	0.5
Pension contributions	0.5
Corporation tax	1.0
(iii) Tax and NIC saving	
Decrease in tax	1.5
Total	10.0

Examiner's report

The 10-mark higher skills question involved Afia, Afua and Akua who had been in partnership since 6 April 2011. The partners were considering incorporating the partnership's business on 6 April 2025; the new limited company to be called Triple A Ltd.

With this type of question, it is very important that candidates read the question and requirements carefully, and to note which tax figures have been provided to them. In this case, they were given the total income tax liabilities and NICs (for all three partners) if the partners continued to trade as a partnership. They were also provided with the total amount of class 1 employee and employer NICs in respect of the director's remuneration to be paid by Triple A Ltd. A number of candidates, however, wasted time by calculating NIC figures.

Overall, this question was reasonably well answered. Those candidates who tried to use the provided partners' income tax figure as a basis for calculating the income tax payable by directors, invariably did not achieve a pass mark.

A surprising number of candidates had difficulty, despite a very similar example being available in the higher skills article. It is important to appreciate the interactions that can arise in a higher skills question, and reading published articles and practising exam standard questions will help to this end.

Requirement (i)

This was a very straightforward computation provided candidates ignored the pension contributions made by Triple A Ltd, and used the correct rate of tax for the dividend income.

There was a mark for knowing that the pension contributions were exempt, but this was only given if this point was indicated by either a zero entry or an explanation. Many candidates did not do this, thereby missing the very easy mark.

Because all three directors had the same income, the correct approach was to do the one income tax calculation and to then multiply the end result by three. Quite a number of candidates wasted time (even if it was just a matter of copy and paste) by producing three separate, but exactly the same, computations.

Requirement (ii)

The corporation tax working for Triple A Ltd was somewhat more difficult, although there were a number of perfect answers.

Candidates had to start with the company's taxable total profits (figure provided), then deduct the total director's remuneration, class 1 employer NICs and pension scheme contributions (all these figures were provided). It was necessary, however, to multiply the provided figures for director's remuneration and pension scheme contributions by three – the number of directors.

Dividends should be ignored, although quite a few candidates deducted them.

Another mistake sometimes made was to deduct the class 1 employee NICs as well as, or instead of, the employer NICs. If this was done, the half mark for correctly deducting just the employer NICs was not given.

Provided the correct figures were deducted, candidates would then have had a revised taxable total profits figure of below £50,000. The corporation tax calculation was therefore at the single rate of 19%.

If any of the figures were missed, candidates would have been faced with a more difficult marginal relief calculation for equivalent marks. With no dividend income, this could have of course been calculated as £50,000 at 19%, with the balance of profits charged at 26.5%.

Requirement (iii)

The comparison meant pulling together figures from both the scenario as well as ones calculated.

The comparison was between the total tax and NIC liabilities for the partners if they had continued to trade as a partnership (these figures were all provided) and the total income tax liabilities of the directors (calculated), the corporation tax liability of Triple A Ltd (calculated) and the class 1 employee and employer NICs (figures provided).

Most candidates achieved at least some marks here, with many gaining the full 1.5 marks. The most common mistake was to omit the corporation tax payable by Triple A Ltd.

108 IDRIS WILLIAMS



Walk in the footsteps of a top tutor



Key answer tips

This question has been written to test the comparison between the accruals and the cash basis.

The highlighted words in the written sections are key phrases that markers are looking for.

(a) Tax adjusted trading profit – accruals basis



Tutor's top tips

This question does not specifically request that you start with the net profit figure and adjust for any disallowable items, but this is the most obvious approach to take.

Always show your workings if the figure you are adjusting for is not clear from the question.

When using the accruals basis no adjustment should be made for any revenue not received or purchases not actually paid for during the year.

	£	£
Net profit	20,175	
Food, utilities, etc. (personal use)	4,500	
Depreciation	1,250	
Car expenses ($\text{£}9,340 \times 7,000/20,000$)	3,269	
Capital allowances (W)		4,553
	29,194	4,553
	(4,553)	
Tax adjusted trading profit	24,641	



Tutorial note

The usual presentation of an adjustment of profits is produced above. However, an alternative method of calculating the same taxable trading profit figure is to reproduce the accounts just deducting the expenses that are allowable, as opposed to adding back those that are not allowable to the net profit. This alternative presentation is given below as it provides a more direct comparison of the difference in the treatment when the cash basis is used.

	£	£
Revenue		49,910
Food, utilities and other household goods (£17,660 – £4,500)		(13,160)
		36,750
Depreciation	0	
Car expenses (£9,340 × 13,000/20,000)	6,071	
Other expenses	1,485	
Capital allowances (W)	4,553	
		(12,109)
		24,641

Working: Capital allowances

	£	Main pool £	Private use car £	Allowances £
Additions (no AIA)				
Car (1 – 50g/km)			9,000	
Additions (with AIA)				
Furniture	3,500			
AIA @ 100%	(3,500)			3,500
		0		
WDA @18% (Note)			(1,620) × 65%	1,053
TWDV c/f		0	7,380	
Total allowances				4,553

**Tutorial note**

Capital allowances on car purchases are calculated based on the CO₂ emissions.

As the car purchased in this question has CO₂ emissions of between 1 – 50 grams per kilometre, it is eligible for a WDA at 18%. The WDA then needs to be adjusted for the private use by Idris, as only the business use proportion of the allowance can be claimed.

The business mileage is 13,000 out of 20,000 miles (i.e. 65%).

(b) Taxable trading profit – Cash basis**Tutor's top tips**

When operating the cash basis adjustments need to be made for any revenue not received or purchases not actually paid for during the year (i.e. receivables and payables).

The car expenses deduction is calculated using the HMRC approved mileage allowances. The private use of business premises flat rate adjustment covers the private use of food, utilities and other household goods and services.

Capital purchases are deductible in full in the year of purchase; however, no deduction is available for the purchase of a car as this is covered by the approved mileage allowance.

Note that the cash basis revenue limit is given in the Tax Rates and Allowances provided in the examination.

	£	£
Revenue (£49,910 – £10,275)		39,635
Less: Food, utilities, etc. (£17,660 × 95%)		(16,777)
		22,858
Plus: Flat rate private use adjustment		4,200
Less: Depreciation	0	
Capital expenditure	3,500	
Car expenses (W)	5,250	
Other expenses (£1,485 – £400)	1,085	
		(9,835)
Taxable trading profit		17,223

Working: Car expenses

Idris is entitled to claim a deduction for his business mileage of 13,000 miles at the approved mileage rates.

	£
10,000 miles at 45p	4,500
3,000 miles at 25p	750
	5,250

(c) More beneficial basis

Using the cash basis will result in Idris being taxed on £7,418 (£24,641 – £17,223) less than under the accruals basis.

109 ETHEL



Walk in the footsteps of a top tutor



Key answer tips

Part (a) tests cash accounting and flat rate basis rules.

The highlighted words are key phrases that markers are looking for.

Part (b) has a very straightforward computation of taxable trading profit using the accruals basis.



Tutor's top tips

You do not have to answer this question in the order set. Provided you clearly indicate which part you are answering, you can answer in any order. Hence you might prefer to start with part (b) on the accruals basis if this is more familiar.

However, do take care when attempting a question out of order, as sometimes the answer to part (a) is required in part (b), and so on.

(a) Ethel Brown – Calculation of taxable trading profit using cash basis with flat rate expense adjustments

	£	£
Revenue (£74,500 – £10,000) (Note 1)		64,500
Less: Food, utilities, etc.	(25,000)	
Plus: Flat rate private use adjustment (Note 2)	7,800	
		(17,200)
Less: Mileage (Note 3)		(4,750)
Equipment (Note 4)		0
Taxable trading profit		42,550

Notes:

1 Income

- The income of £10,000 outstanding at the year-end is excluded when calculating the profit using the cash basis. When using cash accounting, income is only included if it has been received during the period.

2 Business premises used partly for private purposes

- The total payments of £25,000 can be deducted from the trading profit but the flat rate private use adjustment of £7,800 must be added to the trading profit for tax purposes.
- A net deduction from trading profits of £17,200 can therefore be claimed for tax purposes.

3 Car used for private and business purposes

- The cash payments in respect of the purchase and running costs of the car totalling £17,000 (£14,000 + £3,000) are not deductible from the trading profit and capital allowances are not available as she is using HMRC's approved mileage allowances.
- The tax deduction for the car is allowed using the approved mileage allowances for the business mileage as follows:

	£
First 10,000 miles at 45p/mile	4,500
1,000 miles at 25p/mile	250
Allowable deduction	4,750

4 Kitchen equipment

- A tax deduction can be claimed from the trading profits for the full cost of the kitchen equipment when the invoice is paid.
- No tax deduction is therefore allowed in the accounts for the year to 5 April 2026 but Ethel will obtain a tax deduction of £350 from trading profits in the following year to 5 April 2027.

**Tutorial notes**

- 1 The question states that Ethel uses the cash basis and opts to use the flat rate expense adjustments.
- 2 Where a business premises is used partly for private purposes (e.g. a bed and breakfast or small care home), a private use adjustment must be made for tax purposes if the full cost of food, utilities and other household goods have been included in the accounts. The HMRC flat rate private use adjustments are based on the number of occupants and will be provided as part of the question in the examination. Any information regarding actual private expenses is irrelevant.
- 3 The flat rate expense adjustment in respect of cars is based on the HMRC approved mileage allowances. These are the same rates that are used to calculate the taxable benefit/allowable deduction where employees use their own cars for business purposes. The rates are given in the tax tables provided in the examination.
- 4 Under the cash basis a 100% trading deduction is given for the acquisition cost of items of plant and machinery (other than cars) rather than capital allowances.

(b) Ethel Brown – Calculation of tax adjusted trading profit using accruals basis

	£	£
Revenue		74,500
Less: Food, utilities, etc. (£25,000 × 65%)		(16,250)
		58,250
Less: Car running costs (£3,000 × 60%)	1,800	
Equipment	0	
Capital allowances (W)	1,862	
		(3,662)
Tax adjusted trading profit		54,588

Working: Capital allowances

	£	Main pool £	Private use car £	Allowances £
Additions (no AIA)				
Car (1 – 50g/km)			14,000	
Additions (with AIA)				
Equipment	350			
AIA @ 100%	(350)			350
		0		
WDA @18% (Note)			(2,520) × 60%	1,512
TWDV c/f		0	11,480	
Total allowances				1,862

**Tutorial note**

Capital allowances on car purchases are calculated based on the CO₂ emissions.

As the car purchased in this question has CO₂ emissions of between 1 – 50 grams per kilometre, it is eligible for a WDA at 18%. The WDA then needs to be adjusted for the private use by Ethel as only the business use proportion of the allowance can be claimed.

110 DADA (ADAPTED)**Key answer tips**

This question includes an adjustment of profits and then an income tax computation incorporating the trading profit, employment income, a premium bond prize and interest income. It finally ends with a question on payrolling benefits.

When calculating tax adjusted trading profit, remember to account for private use adjustments and to correctly calculate capital allowances, especially for short-life assets and cars with private use.

For taxable income, carefully distinguish between taxable and exempt income and make sure you show the income which is exempt in your answer to be awarded with half a mark. Ensure to deduct allowable employment expenses and carefully consider the treatment of items like clothing for work.

Finally, there are two marks available for stating the advantages of payrolling benefits. In order to be awarded the two marks, two distinct points must be made.

(a) Dada – Trading profit for the year ended 31 March 2026

	£
Trading profit	29,800
Advertising expenditure	(1,300)
Client entertaining (not allowable)	0
Use of office ($£2,400 \times 1/6$)	(400)
Capital allowances	
First laptop ($£1,200 - 400$)	(800)
Second laptop ($£2,700 \times \text{AIA } 100\%$)	(2,700)
Motor car ($£14,000 \times 18\% \times 80\%$)	(2,016)
Revised trading profit	22,584

**Tutorial notes**

- 1 Short-life assets are kept in single asset pools, so the disposal of the first laptop will result in a balancing allowance.
- 2 Dada's car has CO₂ emissions between 1 and 50 grams per kilometre and therefore qualifies for writing down allowances at the rate of 18%. The allowance must be restricted to the business use percentage.

(b) Dada – Taxable income computation 2025/26

Employment income	£
Salary (£5,400 × 9)	48,600
Pension contributions	(2,340)
Mileage allowance (working)	(1,180)
Replacement suit	0
Trading profit (part a)	22,584
Premium bond prize	0
Interest from UK Government securities	270
Interest from savings certificate	0
	67,934
Personal allowance	(12,570)
Taxable income	55,364
Working – Mileage allowance	
	£
10,000 miles at 45p	4,500
6,400 miles at 25p	1,600
	6,100
Mileage allowance (£16,400 at 30p)	(4,920)
	1,180

***Tutorial note***

The cost of clothing for work (with the exceptions of uniforms or protective clothing) is not an allowable deduction.

- (c)**
- 1 As the tax on benefits is collected through the payroll, on a real time basis, income tax should not be underpaid, and the employee will not have any unexpected tax liabilities in respect of the taxable benefits which have been payrolled.
 - 2 There is no need to declare payrolled benefits on the employee's self-assessment tax return.

Marking scheme	
	Marks
(a) Trading profit	
Advertising expenditure	0.5
Client entertaining	0.5
Use of office	1.0
Capital allowances:	
First laptop	1.0
Second laptop	1.0
Motor car	1.0
	6.0
(b) Taxable income	
Salary	1.0
Pension contributions	0.5
Mileage allowance:	
Calculation at 45p	0.5
Calculation at 25p	0.5
Amount paid by employer	0.5
Replacement suit	1.0
Trading profit	1.0
Premium bond prize	0.5
Interest from UK government securities	0.5
Interest from savings certificates	0.5
Personal allowance	0.5
	7.0
(c) Balancing payments interest and penalties	
Tax collected through payroll, no unexpected liabilities	1.0
No need to declare payrolled benefits	1.0
	2.0
Total	15.0

Examiner's report

The income tax question was based around Dada, who ceased employment on 31 December 2025. Dada was also self-employed, preparing accounts to 31 March each year.

Requirement (a) – 6 marks

This requirement was generally quite well answered, and there were a number of perfect responses.

Commencing with Dada's tax adjusted trading profit based on his draft accounts, candidates needed to adjust for:

- Advertising expenditure
- Expenditure incurred on client entertaining
- The cost of Dada's office (the business being run out of one of the six rooms in Dada's private house); and
- Capital allowances.

Candidates should note that the model answer consists of just seven lines of workings, plus a total figure. None of the adjustments warranted separate workings.

Many candidates did not appreciate that the client entertaining, being not allowable, was not deducted in arriving at Dada's revised tax adjusted trading profit. The use of office deduction also caused some difficulty; only the business proportion of the total running costs was deductible ($\pounds 2,400 \times 1/6 = \pounds 400$).

The three capital allowance workings were simply:

- $\pounds 1,200 - \pounds 400 = \pounds 800$ for 1 mark (the sale of a laptop computer where a short-life asset election had been made)
- $\pounds 2,700$ at 100% = $\pounds 2,700$ for 1 mark (the purchase of a new laptop)
- $\pounds 14,000$ at $18\% \times 80\% = \pounds 2,016$ for 2 marks (Dada brought his private car into business use, with the car used 80% for business journeys).

Candidates need to be aware that with such straightforward capital allowance workings, there is no need for a full capital allowances layout with headings, separate columns and carry forward figures.

Requirement (b) – 7 marks

This requirement was generally very well answered, and there were again a number of perfect answers.

One very easy mark that some candidates missed was the mark for including Dada's trading profit as calculated in part (a).

It was pleasing to see that the deductions for Dada's contributions into his employer's occupational pension scheme, and for the mileage allowance in respect of Dada's business use of his private car, were generally correctly dealt with.

Candidates found more difficulty with the treatment of a suit which Dada had purchased for meeting his employer's clients. No deduction is usually given for the cost of clothing for work.

Dada also received three items of other income. Of these, only the interest from UK Government securities (gilts) was taxable. The other two (a premium bond prize and interest on the maturity of savings certificates from NS&I (National Savings and Investments)) were exempt. Although there was only a half mark for the correct tax treatment of each item, these should have been very easy (and quick) marks to obtain. Many candidates, however, struggled with the three items, sometimes not obtaining any of the three half marks at all if the tax treatment for each item was reversed.

As for part (a), none of the adjustments warranted separate workings. When answering this style of requirement, candidates need to keep workings as clear as possible, and then pull everything together into an overall summary computation.

Requirement (c) – 2 marks

The answer to this was disappointing. The advantages of having benefits payrolled are:

- Income tax should not be underpaid, so the employee will not have any unexpected tax liabilities; and
- There is no need for employees to declare benefits on their self-assessment tax return.

Too many candidates seemed to think that payrolling benefits would mean the employee would not have to calculate the amount of the benefit, despite this being done by the employer regardless of whether a benefit is payrolled or not.

111 FLEUR (ADAPTED)**Key answer tips**

This section C question is a higher skills question that tests some basic aspects of income tax, NIC and corporation tax – but in a more advanced way.

Here you are given a set of figures which have been calculated for one profit level, and then asked to recalculate them if the profit level changes. The figures you are given are correct, so don't waste time recalculating them.

The notes to the question say you need to do full income tax computations, so make sure you do. This note seems to suggest that you may not need to do full calculations for some of the other figures. So think about if there are any shortcuts you could use to save time.

Remain self-employed

	£
Income tax (working)	46,953
Class 4 NICs (£3,257 + (£35,000 at 2%))	3,957
Total	50,910

Working – Income tax

Trading profit	135,000
Personal allowance	0
Taxable income	135,000

Income tax	
£	
37,700 at 20%	7,540
87,440 at 40%	34,976
9,860 at 45%	4,437
135,000	
Income tax liability	46,953

**Tutorial note**

Adjusted net income exceeds £125,140 so there will be no personal allowance available.

Incorporation

	£
Income tax (working 1)	25,375
Employee class 1 NICs (unchanged)	1,794
Employer's class 1 NICs (unchanged)	4,500
Corporation tax (£12,282 + (£35,000 at 26.5%))	21,557
Total	53,226

Working 1 – Income tax

	£
Director's remuneration	35,000
Dividend income	70,000
	105,000
Personal allowance (working 2)	(10,070)
Taxable income	94,930
Income tax	
£	£
24,930 (£35,000 – £10,070) at 20%	4,986
500 at 0%	0
12,270 (£37,700 – £24,930 – £500) at 8.75%	1,074
57,230 (£70,000 – £500 – £12,270) at 33.75%	19,315
94,930	
Income tax liability	25,375

Working 2 – Personal allowance

	£
Personal allowance	12,570
Reduction ((£105,000 – £100,000)/2)	(2,500)
Reduced personal allowance	10,070

**Tutorial notes**

- 1 *Adjusted net income exceeds £100,000 so the personal allowance will need to be restricted.*
- 2 *The first £500 of dividend income is taxed at 0%.*
- 3 *The additional corporation tax liability can be calculated at 26.5% as the original profits (£60,500) and the revised profits (£60,500 + £35,000 = £95,500) both fall between £50,000 and £250,000, therefore the additional tax will all be taxed at the marginal rate. It is also possible to calculate the corporation tax in the normal way on the total profits.*

Conclusion

Given the increased forecast trading profit of £135,000, incorporating her business will still not result in an overall tax and NIC saving. The increase in the overall tax liability would be £2,316 (£53,226 – £50,910) for Fleur.

ACCA Marking scheme	
	Marks
Self-employment	
Income tax	
Trade income	0.5
Personal allowance	0.5
Income tax liability	1.5
Class 4 NICs	1.0
Incorporation	
Income tax	
Directors remuneration and dividend income	0.5
Personal allowance	1.0
Income Tax liability	2.0
Employee NICs	0.5
Employer NICs	0.5
Corporation Tax	1.0
Conclusion	1.0
Total	10.0

Examiner's report

The 10-mark higher skills question involved Fleur, who was self-employed. Based on Fleur's current trading profit of £100,000, tax and national insurance contributions (NICs) figures were provided for the year ending 5 April 2026 giving a comparison of her remaining self-employed and against the business being incorporated. The conclusion being that there was no tax advantage to incorporating Fleur's business as the tax and NIC costs were higher. However, Fleur had just signed a contract with a new customer and her revised forecast trading profit for the year ending 5 April 2026 was going to increase by £35,000 to £135,000.

As is typical for the higher skills question, it is important to read the question and requirements carefully. The recommendation was that full computations were only required for the two income tax computations, with all other workings being carried out at the margin. Although candidates were given marks if a full computation approach was taken throughout, such an approach invariably takes longer.

Provided candidates followed the guidance given, thinking carefully how to set out their answers, the question was generally quite well answered. The class 1 NIC figures did not change with the new profit level, and candidates that did not appreciate this not only wasted time, but often failed to pick up these easy marks.

For the self-employed alternative, net income was £135,000. Candidates should have therefore appreciated that no personal allowance was available without the need to perform a calculation.

Conversely, when it came to the incorporation alternative, the personal allowance was sometimes not given at all despite net income being just £105,000.

The incorporation alternative often caused more problems. One issue was the inclusion of the trading profit within the income tax computation. Even when the correct income was included, some candidates did not apply the dividend income tax rates to the dividend income correctly; many candidates not appreciating that the £500 dividend nil rate band counts towards the £37,700 basic rate band.

After deducting the personal allowance, the non-dividend income was £24,930. Therefore, the income tax calculation was:

- £24,930 at 20%, then
- £500 at 0% (the dividend nil rate band), then
- £12,270 (£37,700 – £24,930 – £500) at 8.75% (the remainder of the basic rate band), and finally
- £57,230 (£70,000 – £500 – £12,270) at 33.75% (the balance of the dividend income of £70,000)

It is not good practice to have anything other than the most basic of workings within a cell. It is very difficult to follow the answers of those candidates who did this entire four-line income tax calculation within one cell.

Those candidates that attempted to recalculate all of the tax and NIC figures already provided, wasted a considerable amount of time.

Candidates that gave some thought to their layout would have found themselves in a position to gain the one mark available for the conclusion with little further work.

112 PAUL (ADAPTED)*Walk in the footsteps of a top tutor***Key answer tips**

This question is a typical 'higher skills' question and may initially appear quite daunting as it requires you to consider a number of different taxes.

In this question you are required to work out whether or not there would be a tax saving as a result of Paul setting up as a sole trader rather than a company.

Treat each business as being set up separately and work out all of the relevant taxes that would be due for each.

The key to passing this question is to ensure you set out two separate calculations, one with the tax due operating as a company and the other as a sole trade.

Then use the information provided in the scenario to work out the tax and NICs that are due under both alternatives. A good knowledge of all the taxes that would be due under both options is vital to be able to score well in this question.

Business run as a limited company

- 1 Palu Ltd's corporation tax liability for the year ended 5 April 2026 will be:

	£
Trading profit	175,000
Director's remuneration	(5,000)
Taxable total profits	170,000
£170,000 at 25%	42,500
Less: Marginal relief	
$3/200 \times (£250,000 - £170,000)$	(1,200)
Corporation tax liability	41,300

**Tutorial note**

Equivalent marks will be awarded if the corporation tax liability is alternatively calculated as £175,000 – £5,000 – £128,700 = £41,300.

- 2 Paul's income tax liability for 2025/26 will be:

	£
Director's remuneration	5,000
Dividend income	128,700
	133,700
Less: Personal allowance	0
Taxable income	133,700



Tutorial note

Paul has total income over £125,140 which means he will not be entitled to any personal allowance. There was no need to show working as he is clearly over this limit.

Income tax

£	£
5,000 at 20%	1,000
500 at 0%	0
32,200 at 8.75%	2,818
37,700	
87,440 at 33.75%	29,511
125,140	
8,560 (£128,700 – £500 – £32,200 – £87,440) at 39.35%	3,368
133,700	
Income tax liability	36,697

- 3 There will be no class 1 employee or employer NICs because the earnings of £5,000 are below the NIC lower thresholds.



Tutorial note

Paul is receiving the majority of his income from the company as dividends. There will always be the £500 dividend nil rate band no matter the amount of taxable income.

The limit for which NICs is payable on earnings is £12,570 for employees and £5,000 for employers.

Business run as a sole trader

- 1 Paul's income tax liability for 2025/26 will be:

	£
Trading profit	175,000
Personal allowance	0
Taxable income	175,000

Income tax

£	£
37,700 at 20%	7,540
87,440 at 40%	34,976
49,860 at 45%	22,437
175,000	
Income tax liability	64,953

- 2 Class 4 NICs for 2025/26 will be:

£	£
37,700 (£50,270 – £12,570) at 6%	2,262
124,730 (£175,000 – £50,270) at 2%	2,495
Class 4 NICs	4,757

**Tutorial note**

If Paul were to operate as a sole trader he will not have Class 1 NICs but instead will have Class 4 NICs. Class 4 is based on the trader's profits and is after the deduction of the lower profits limit of £12,570.

Conclusion

If Paul runs his business as a sole trader, then overall tax and NIC will be £8,287 less compared to running the business as a limited company:

	£
Limited company (£41,300 + £36,697)	77,997
Sole trader (£64,953 + £4,757)	(69,710)
Tax saving	8,287

ACCA Marking scheme	
	Marks
Business run as a limited company	
Trading profit	0.5
Directors' remuneration	0.5
Corporation Tax	1.0
Taxable Income for Income Tax	1.0
No personal allowance	0.5
Income Tax Liability	2.0
Class 1 NICs	0.5
Business run as a sole trader	
Taxable Income	0.5
Income Tax Liability	1.5
Class 4 NICs	1.0
Conclusion	
Setting up as a sole trader will cost less.	1.0
Total	10.0

Examiner's report

As is quite typical for the 10-mark question, the question required a decision as to whether an individual should operate as a sole trader or a company. In the case of Paul, however, he was currently trading via a company, Palu Ltd, and was considering whether it would be beneficial to cease trading via Palu Ltd on 5 April 2025, and instead run his business from 6 April 2025 onwards as a sole trader.

The question effectively provided the amount of corporation tax payable by Palu Ltd, since it stated that all profits (after allowing for corporation tax) would be extracted and gave figures for director's remuneration and dividends.

Candidates were given clear guidance of what workings were required, and those following this guidance would have had little difficulty in achieving a pass for this question. This guidance also made it clear that full workings were required throughout, with the working at the margin approach not relevant in this question.

Corporation tax: This aspect was generally very well answered provided candidates did not deduct dividends. Either a full computation or (the previously mentioned) shortcut approach were acceptable. Both approaches are shown in the suggested solution.

Income tax liability under the corporate option: This aspect was also generally well answered. Given the level of income (£133,700), the personal allowance was obviously not available so just a zero (0) should have been shown. There was no need to justify this with a supporting calculation. The fact that the £500 dividend nil rate band counts towards the basic rate threshold was often overlooked in the income tax calculation.

NICs under the corporate option: Director's remuneration was just £5,000, so there were no class 1 NICs. Candidates wasted a lot of time on irrelevant calculations if they included dividend income or used Palu Ltd's trading profit. This is why question practice is so important because such basic mistakes only tend to be made the once.

Income tax liability under the sole trader option: Another generally well answered aspect. Again, it should have been obvious with a trading profit of £175,000 that the personal allowance was not available.

NICs under the sole trader option: There were many perfect answers to this section, although candidates should be careful with their layout. One problem sometimes encountered when marking this question was that candidates did not always make it clear which aspect was being answered, especially when it came to the two income tax computations. Headings are essential, and the best approach is to answer a question in line with the guidance given. The model answer shows the preferred layout, with none of the calculations requiring any separate workings. Candidates are advised to make sure their workings are clear whether shown on the face of the spreadsheet or within cells. Only the most basic of calculations should be done within a cell and care should be taken to ensure the correct details are recorded in the correct way. For example, the class 4 NIC working

$$(\pounds 50,270 - \pounds 12,570) \times 6\% = \pounds 2,262$$

If included within a cell, it is very easy to forget the brackets so that the answer becomes:

$$50,270 - 12,570 \times 6\% = \pounds 49,516$$

Some candidates included entire income tax or NIC workings within cells. This is not good practice and is not recommended, since it is easy for an error to occur and difficult for the correct elements to be deciphered for marking.

113 NA STYLE (ADAPTED)



Walk in the footsteps of a top tutor



Key answer tips

This question is a classic self-employed individual scenario, testing cessation of trade and the calculation of capital allowances at cessation and the compilation of an income tax computation. There is also an element of self-assessment at the end.

The first part has been changed from the original question due to changes in the tax rules which are examinable in the taxation exam.

Part (b) was straightforward provided the self-assessment rules had been learnt and applied to the information given.



Tutor's top tips

Remember to read the requirement carefully.

This question has clear mark allocations, which should be used to allocate the time spent on each section. You need to adopt a logical approach, using the requirements to break down the information and plan your answer. It is possible to score very well on this sort of question, which is not technically difficult, as long as you do not panic.

(a) Taxable trading profits

	£
Period ended 31 January 2026	33,215
Balancing allowance (working)	(1,900)
	31,315

Working – Capital allowances

	Main pool
	£
TWDV brought forward	2,200
Addition – Laptop computer	1,700
Proceeds (£1,200 + £800)	(2,000)
Balancing allowance	(1,900)

**Tutorial note**

There is no annual investment allowance, 100% FYA or writing down allowance available in the final capital allowances computation. Additions are included in the relevant pool at cost. The disposal proceeds are deducted to calculate a balancing allowance/charge on all columns on cessation of trade.

(b) 1 Income tax computation – 2025/26**Tutor's top tips**

For part (b) a systematic approach is needed. Remember not to ignore exempt income, as credit is given for stating that it is exempt, even though you do NOT include the figure in your computation. Part (b) 2 goes on to require the balancing payment after taking account of payments on account (POAs) already paid, and then requires the POAs to be paid in the following year.

	£
Trading profit	31,315
Building society interest	700
Interest from ISA (exempt)	0
Interest from NS&I savings certificate (exempt)	0
Interest from government stocks	370
Dividends	5,200
Total income	37,585
Less: PA	(12,570)
Taxable income	25,015

Analysis of income (Note)

Dividends = £5,200

Savings (£700 + £370) = £1,070

Non-savings income (£31,315 – £12,570) = £18,745

Income tax	£
£	
18,745 × 20% (non-savings income)	3,749
1,000 × 0% (savings income)	0
70 × 20% (savings income)	14
500 × 0% (dividend income)	0
4,700 × 8.75% (dividend income)	411
25,015	
Income tax payable	4,174

**Tutorial note**

There is nothing wrong in presenting your computation using one column for all sources of income (rather than different columns for non-savings, savings and dividend income) if you prefer.

However, you do need to be able to break down the taxable income into the different types of income, namely: non-savings, savings and dividend income, in order to apply the correct rates of tax to each type of income.

Basic rate taxpayers are entitled to a £1,000 nil rate band for savings income. A £500 nil rate band is also available to all taxpayers for dividend income.

2 Tax payments

- Na's balancing payment for the tax year 2025/26 due on 31 January 2027 is £974 (£4,174 – £3,200).
- Her payments on account for the tax year 2026/27 will be £2,087 and £2,087 (£4,174 × 50%). These will be due on 31 January 2027 and 31 July 2027.

**Tutorial note**

Whilst Na has ceased to trade, she will still need to make payments on account unless she makes a claim to reduce them. As this is not mentioned in the question you need to calculate the payments on account based on the 2025/26 figures calculated in requirement (a).

3 Penalty for late submission

If Na's return is not submitted until 31 March 2027, it will be submitted less than three months late. There is therefore a fixed penalty of £100.

ACCA Marking scheme		Marks
(a)	Trading profit year ended 31.1.2026	1.0
	Capital allowances – TWDV b/f	1.0
	Capital allowances – addition	1.0
	Capital allowances – disposal proceeds	1.0
	Capital allowances – balancing allowance	1.0
		5.0
(b)	1 Income tax computation	
	Trading profit	0.5
	Building society interest	0.5
	Individual savings account	0.5
	Interest from NS&I savings certificate	0.5
	Interest from government stocks	0.5
	Dividends	0.5
	Personal allowance	0.5
	Income tax	2.5
		6.0
	2 Tax payments	
	Balancing payment	1.5
	Payments on account	1.5
		3.0
	3 Penalty	1.0
		1.0
Total		15.0

Examiner's report

This question was very well answered, and there were many high scoring answers.

As regards the balancing payment and payments on account, candidates were often not aware of the relevant dates.

Note: The examiner's report has been edited to remove comments on elements of the question that have been deleted due to changes to the examination format.

114 ZHI (ADAPTED)

*Walk in the footsteps of a top tutor***Key answer tips**

This question is a typical 'higher skills' question and may initially appear quite daunting as it requires you to consider a number of different taxes. However, each part is only for two or three marks, so does not require an extensive answer. If you are unsure how to answer a part make an attempt and move quickly on.

The common theme of all the parts is the amount of tax that can be saved by different courses of action. So make sure you focus on this and compare your revised computation to the original liability.

Ensure you look out for opportunities to 'work in the margin' as in part (d) where a full computation of the revised PAYE and NIC is not necessary. You could save considerable time in the examination by realising that you simply needed to calculate the tax on the bonus at the appropriate rate of tax/NIC depending on the taxpayer's circumstances i.e. basic rate or higher rate taxpayer.

- (a) 1 The balancing payment for the tax year 2024/25 due on 31 January 2026 cannot be reduced.
- 2 A claim can be made to reduce the payment on account for the tax year 2025/26 due on 31 January 2026 by £5,040:

	£
Current POA ($£27,600 + £4,204 \times 50\%$)	15,902
Revised POA ($£18,000 + £3,724 \times 50\%$)	(10,862)
Reduction	5,040

(b)

	£	£
Current CGT liability		17,520
Revised CGT liability		
Proceeds not reinvested ($£210,000 - £164,000$)	46,000	
Annual exempt amount	(3,000)	
	43,000	
CGT: $£43,000 \times 24\%$		(10,320)
Reduction		7,200

**Tutorial note**

Equivalent marks will be awarded if the reduction is alternatively calculated as:

$(£76,000 - (£210,000 - £164,000))$ at 24% = £7,200.

- (c) 1 The basic tax point for goods is the date when they are made available to the customer, which in the case of Zhi's sale is 12 December 2025.
- 2 An invoice date of 1 February 2026 will not affect this because the invoice will not have been issued within 14 days of the basic tax point.
- 3 Zhi therefore cannot reduce the amount of VAT payable on 7 February 2026.

(d)

	£
First employee	
PAYE ($£1,500 \times 20\%$)	300
NIC:	
Employee ($£1,500 \times 8\%$)	120
Employer ($£1,500 \times 15\%$)	225
Second employee	
PAYE ($£5,000 \times 40\%$)	2,000
NIC:	
Employee ($£5,000 \times 2\%$)	100
Employer ($£5,000 \times 15\%$)	750
Reduction	3,495

The postponed PAYE and NICs of £3,495 will be payable one month later on 22 February 2026.

ACCA Marking scheme	
	Marks
(a) Income tax and national insurance	
2024/25 balancing payment can't be reduced	0.5
2025/26 payment on account reduction	1.5
	2.0
(b) Capital gains tax (CGT)	
Current CGT liability	0.5
Proceeds not reinvested	1.0
Annual exempt amount	1.0
CGT @ 20%	0.5
	3.0
(c) Value added tax (VAT)	
Basic tax point	0.5
Invoice raised after 14 days	1.0
NO reduction possible	0.5
	2.0
(d) PAYE and NICs	
First employee:	
PAYE	0.5
Employee and employer's NIC	0.5
Second employee:	
PAYE	0.5
Employee and employer's NIC	1.0
Payment delayed by 1 month	0.5
	3.0
Total	10.0

Examiner's report**Basic tax planning**

Where a question is just for two or three marks, candidates should realise that long, detailed, computations or written answers are not expected.

Questions of this nature often require candidates to work at the margin. It is much easier (and quicker) to work out, for example, that the tax reduction if a higher rate taxpayer's income falls by £5,000 is £5,000 at 40% = £2,000, rather than producing full before and after tax computations.

If a tax figure is given as part of a question, then candidates gain nothing by then calculating this figure for themselves.

A suggested tax planning strategy might not necessarily be effective, and candidates need to have the courage to base their answer on this conclusion if led there based on the application of basic principles. In such situations, too many candidates want to answer the question that they wish had been set, rather than the one that has been set.

115 JADE (ADAPTED)

**Key answer tips**

Part (a) is a simple definition style question about the differences between tax evasion and tax avoidance. The question clearly states it wants you to 'briefly' explain, and is only worth two marks so don't spend too long here!

Part (b) requires a calculation of the income tax payable and class 1 NICs for Emerald in the year. We know that Emerald will only be working for three months with a total salary less than the personal allowance. So again, we don't want to spend too long on this question as the main feature of the question is a simple NICs calculation. There is more than one acceptable method to calculate NICs for a period of less than a year.

Part (c) is the longest part of the question at six marks, requiring the calculation of the overall saving of income tax and class 4 NICs in the year. Remember to show your workings for each step clearly here, as you can pick up lots of easy marks through your workings!

(a) Difference between tax evasion and tax avoidance

Tax evasion is illegal and involves the reduction of tax liabilities by not providing information to which HM Revenue & Customs (HMRC) is entitled, or providing HMRC with deliberately false information.

In contrast, tax avoidance involves the minimisation of tax liabilities by the use of any lawful means.

(b) Income tax payable and class 1 NICs suffered by Emerald

Emerald will not have any income tax liability for 2025/26 because her salary of £6,000 is less than the personal allowance of £12,570.

Employee class 1 NICs will be:

$$£2,000 - (£12,570/12) \text{ at } 8\% \times 3 = £229$$

**Tutorial note**

The alternative approach using the annual earnings threshold and then taking 3/12ths of an annual NIC figure is acceptable.

(c) Jade's overall saving

	£
Emerald Salary (£2,000 × 3)	6,000
Employer class 1 NICs (working)	713
Capital expenditure	14,000
Key employee Bonus	10,000
Employer class 1 NICs (£10,000 at 15%)	1,500
Drawings	0
	32,213
Income tax saving £32,213 at 45%	14,496
Class 4 NICs saving £32,213 at 2%	644

**Tutorial notes**

- 1 Capital expenditure is deductible in full on the date of purchase under the cash basis, which is the default basis for calculating trading profits in the absence of an election to use the accruals basis.
- 2 The level of a business owner's drawings has no impact on the income tax liability or class 4 NICs.

Working – Employer class 1 NICs

£2,000 – (£5,000/12) at 15% × 3 = £713

ACCA Marking scheme	
	Marks
(a) Tax evasion explanation	1.0
Tax avoidance explanation	1.0
(b) Emerald's IT/NICs payable 2025/26	
Salary below PA therefore no IT liability	0.5
Class 1 NICs calculation	1.5
(c) Emerald salary	0.5
Employer class 1 NIC	1.5
Capital expenditure deductible	1.0
Key employee bonus/employer NICs	1.5
Jade's drawings	0.5
IT/NIC saving	1.0
Total	10.0

Examiner's report

As is typical for the 10-mark question, the question gave forecast income and tax details for Jade, who was self-employed and paying income tax at the additional rate, and then asked candidates to consider the implications of four measures aimed at reducing her income tax liability and national insurance contributions (NICs) for the tax year 2025/26.

With a trading profit in excess of £200,000, it should be clear that any reduction in tax liability will be at the rate of 45%, with any NIC reduction at the rate of 2%. The fact that a specific trading profit figure was not provided was a clear indication that workings were to be carried out at the margin. Although full tax computations were equally acceptable (generally based on a spurious trading profit figure of £200,000), a working at the margin approach was the most efficient way to attempt the tax calculations in respect of the four tax planning measure for part (c). The four measures were:

- Jade's employment of her daughter, Emerald, for a three-month period
- Bringing forward the purchase of new office equipment
- Paying a bonus to a key employee; and
- Reducing the amount of drawings taken out of the business by Jade.

However, it is always important to read the question carefully. For example, only the bonus was relevant, since the employee's salary had already been deducted in calculating Jade's trading profit.

Requirement (a)

Provided candidates remembered the difference between tax evasion and tax avoidance, this section was very well answered; the majority of candidates gaining the full two marks. It was also encouraging to see that very few candidates felt the need to provide long, detailed, answers, heeding the requirement to keep answers brief.

Requirement (b)

This section was generally not well answered. The majority of candidates realised that with income of £6,000 ($£2,000 \times 3$), Emerald would not have any income tax liability for the tax year 2025/26, since this is less than the personal allowance. A few candidates missed this easy half mark because they time-apportioned the personal allowance by 3/12ths. The class 1 NIC aspect was more problematic, and only a minority of candidates appreciated that NICs needed to be applied on a monthly basis. Full marks were given whether:

- NICs were calculated on an annual basis, and then pro-rated by 3/12ths ($(£24,000 - £12,570) \times 8\% \times 3/12 = £229$)
- A monthly threshold was used, monthly NICs calculated, and this figure then multiplied by three ($(£2,000 - £1,048) \times 8\% \times 3 = £228$); or
- A three-month threshold was used along with the three months of salary ($(£6,000 - £3,143) \times 8\% = £229$).

Those candidates who, inexplicably, based their answers on a figure of £200,000 (the spurious trading profit) did not achieve many marks.

Requirement (c)

This section was generally answered reasonably well, although very few candidates achieved full marks. Most candidates gained the easier marks available for this section by calculating that Jade's trading profit would be reduced by Emerald's salary (£6,000), the [capital expenditure] on the new office equipment (£14,000) and the bonus paid to the key employee (£10,000). That was two marks.

The next step was to appreciate that the reduction in drawings had no impact on taxable profit, and to calculate the saving of income tax and class 4 NICs at the marginal rates of 45% and 2% respectively. Another 1.5 marks. Those candidates who opted for a full computation approach wasted a lot of time, and there was much more chance of making an error.

The NIC aspects of this section for the final 2.5 marks were only picked up by a minority of candidates:

For the £10,000 bonus, employer class 1 NICs were simply at the rate of 15% because, with an annual salary of £65,000, the employee was clearly already earning in excess of the monthly threshold (£5,000/12 = £417).

For Emerald's salary, similar calculations were required to those in part (b). So this could have been:

- $(£24,000 - £5,000) \times 15\% \times 3/12 = £713$
- $(£2,000 - £417) \times 15\% \times 3 = £712$; or
- $(£6,000 - £1,250) \times 15\% = £713$.

The fact that the section was for six marks, should have been an indication that the answers outlined in the first two paragraphs above were insufficient in themselves.

It is best practice to show all workings on the face of the spreadsheet rather than only within cells. Only the most basic of calculations should be done within a cell – and even then it is not recommended. For example, the employer class 1 NIC working shown above:

$$(£24,000 - £5,000) \times 15\% \times 3/12 = £713$$

If included within a cell, it can be easy to forget the brackets (or not even know they are required) so that the answer becomes:

$$£24,000 - £5,000 \times 15\% \times 3/12 = £23,813.$$

116 HANNAH**Key answer tips**

Part (a) of this question has been significantly amended from the original question due to changes in the tax legislation relating to the basis of assessment rules. It now tests a detailed capital allowance computation and a simple trading income calculation.

Part (b) covers various benefit and employment expense rules. These are frequently tested but it is important to be careful with the timing here, as she has only been employed for three months of the tax year.

Finally the question has one mark regarding the difference if living accommodation was job-related. It is important not to waste time by writing more than is necessary for just one mark.

(a) Trading income assessment for the tax year 2025/26

	£
Trading profit for the year ended 31 March 2026	81,770
Less Capital allowances (working)	(6,600)
Tax adjusted trading profit for year ended 31 March 2026	75,170
Transition profits	4,500
Trading income 2025/26	79,670

Working – Capital allowances – y/e 31 March 2026

	AIA	Main pool	Private use car 1	Private use car 2	Allowances
		£	£	£	£
TWDV b/f		25,000	7,700		
Addition: No AIA/FYA					
New car				35,000	
Addition: AIA					
Plant	4,500				
AIA	(4,500)				4,500
		0			
Disposals		(24,500)	(10,000)		
		500	(2,300)		
Small pool WDA		(500)			500
Balancing charge			2,300	× 40%	(920)
WDA 18%				(6,300) × 40%	2,520
TWDV c/f		0	0	28,700	
Total allowances					6,600

**Tutorial note**

The small pool WDA is available when the balance on the main or special rate pool is £1,000 or less (adjusted for periods of less than one year).

(b) Employment income for the tax year 2025/26

	£
Salary ($£125,000 \times 3/12$)	31,250
Living accommodation (working 1)	5,641
Beneficial loan (working 2)	527
Mileage allowance (working 3)	300
Reimbursed expenses (exempt)	0
Employment income	37,718

**Tutorial note**

The reimbursed expenses are exempt as they related to tax deductible business travel and subsistence.

Working 1 – Living accommodation

	£
Annual value	16,000
Additional charge ($(£250,000 - £75,000) \times 3.75\%$)	6,563
	22,563
Taxable benefit ($£22,563 \times 3/12$)	5,641

**Tutorial note**

The cost of the property is used in the benefit calculation as Hannah moved into the property less than six years after Lomly Ltd purchased the property.

Working 2 – Beneficial loan**Average method**

	£
Balance at 1 January 2026	60,000
Balance at 5 April 2026 ($£60,000 - (3 \times £2,500)$)	52,500
	112,500
Average loan ($£112,500/2$)	56,250
Taxable benefit ($£56,250 \times 3.75\% \times 3/12$)	527

Working 3 – Mileage allowance

	£
Mileage allowance received (6,000 miles at 50p)	3,000
Approved mileage allowance (6,000 miles at 45p)	(2,700)
Taxable benefit	300

- (c) If the property provided to Hannah by Lomly Ltd qualified as job-related accommodation, there would be no taxable benefit.

ACCA Marking scheme	
	Marks
(a) Trading income	
Trading profit for period ended 31 March 2026	0.5
Transition profits	0.5
Capital allowances	
TWDV b/f	0.5
Addition – Car	0.5
Addition – Plant	0.5
AIA	0.5
Disposals – Car	0.5
Disposal – Plant	0.5
Small pool WDA	0.5
Balancing charge	1.0
WDA	0.5
	6.0
(b) Salary	0.5
Reimbursed expenses	0.5
Living accommodation – annual value	0.5
– additional charge	1.5
– taxable benefit	0.5
Beneficial loan – balance at 1 January 2026	0.5
– balance at 5 April 2026	1.0
– average loan	0.5
– taxable benefit	1.0
Mileage allowance	1.5
	8.0
(c) Tax treatment of job-related accommodation	1.0
Total	15.0

Examiner's report

The income tax question was based around Hannah, who is self-employed preparing accounts to 31 March 2026 and commenced employment with Lomly Ltd on 1 January 2026.

Requirement (a) – 6 marks

Note: This section of the examiner's report has been removed due to the question having been amended due to changes in legislation.

Requirement (b) – 8 marks

This requirement was generally very well answered, and there were a number of perfect answers.

Along with Hannah's salary for three months, candidates had to take into account:

- Hannah being provided with living accommodation (candidates had to use the purchase price of the property as it was purchased less than six years before being first provided to Hannah)
- Hannah having an interest-free loan (the average method was applicable, and candidates had to take account of monthly loan repayments made by Hannah)
- Hannah receiving a mileage for using her private car (the rate reimbursed by Lomly Ltd was 50 pence per mile despite the approved mileage allowance being 45 pence per mile); and
- A reimbursement for business expenditure incurred personally by Hannah (an exempt benefit).

There were no consistent mistakes made with this requirement, although candidates sometimes forgot to restrict the living accommodation and beneficial loan benefits by 3/12ths. The business expenditure reimbursement was sometimes treated as a taxable benefit.

When answering this style of requirement, candidates need to keep workings as clear as possible, and then pull everything together into an overall summary computation. It is best to avoid putting workings for two or three marks within the one cell. It is very easy to make mistakes, and marks can easily be lost if workings are not clearly shown.

Requirement (c) – 1 mark

If the property had qualified as job-related accommodation, there would have been no taxable benefit for Hannah. The majority of candidates appreciated this, although some candidates instead explained how the 10% restriction for living accommodation expenses would be applied.

117 ALFRED AND AMAIA (ADAPTED)



Walk in the footsteps of a top tutor

**Key answer tips**

This question is based on income tax and is split into two requirements.

Part (a) requires you to calculate the tax adjusted trading profits for a seven-month period which does not coincide with the tax year. An apportionment of profits is therefore required to determine the profits that will be taxable in the tax year. As this is a short accounting period this will impact the amount of WDA available.

Part (b) requires you to calculate the income tax payable for an individual with various sources of employment income as well as property income. The calculation of the employment income should have provided easy marks as it contained core areas. The property income should also have been straight forward as long as you remembered not to allow the mortgage interest as an allowable deduction against property income, but to instead treat it as an income tax reducer at 20% relief on the amount of interest charged.

(a) Alfred – Taxable trading profit for the seven-month period ended 31 March 2026

	£
Trading profit	163,000
Pre-trading expenditure	(5,000)
Sales on credit not paid for in the accounting period	(4,500)
Client entertaining	0
Purchase of plant and equipment	(116,000)
Capital allowances (working)	(2,520)
Trading profit	34,980

Working – Capital allowances

	Main pool £	Allowances £
Car	24,000	
WDA @ $18\% \times 7/12$	(2,520)	2,520
WDV carried forward	21,480	
Total allowances		2,520

**Tutorial notes**

- 1 *The cost of the marketing campaign is deductible because it was incurred in the seven years prior to the start of Alfred's trade and it would be deductible under general principles.*
- 2 *The purchase of the plant and machinery is deductible in full on the day of purchase under the cash basis.*
- 3 *The car has CO₂ emissions between 1 and 50 grams per kilometre, and therefore qualifies for writing down allowances at the rate of 18%. As the accounting period is only seven months long the WDA needs time apportioning. The private use by the employee is not relevant for capital allowances.*

Trading profit for the tax year 2025/26

The taxable profits for the tax year 2025/26 are those arising between 1 January 2026 and 5 April 2026, i.e. £14,991 ($£34,980 \times 3/7$).

**Tutorial note**

Trading profits are taxable on a tax year basis. Therefore, a business with an accounting period ending on any date other than 31 March or 5 April will have to time apportion their profits to work out the amount taxable in the tax year.

(b) Amaia – Income tax payable for the tax year 2025/26

	£
Employment income	
Salary	80,000
Car ($£25,000 \times 16\% \times 3/12$)	1,000
Job-related accommodation	0
Property income (working)	14,350
	95,350
Personal allowance	(12,570)
Taxable income	82,780

	£
Income tax:	
£37,700 at 20%	7,540
£45,080 (£82,780 – £37,700) at 40%	18,032
	25,572
Interest relief (£2,600 at 20%)	(520)
Income tax liability	25,052
PAYE	(19,432)
Income tax payable	5,620

Working – Property income

	£
Rent received (£1,200 × 13)	15,600
Insurance	(1,250)
Mortgage interest	0
Property income	14,350

**Tutorial note**

- 1 The car has CO₂ emissions of 52 grams per kilometre therefore the percentage is 16%.
- 2 The living accommodation is job-related and therefore is exempt from income tax.

ACCA Marking scheme		
		Marks
(a)	Trading Profits	
	Pre trade expenditure	1.0
	Adjustment for sales on credit	1.0
	Client entertaining	0.5
	Full deduction for plant and machinery	1.0
	Capital Allowances	1.5
	Time apportionment for tax year	1.0
		6.0
(b)	Salary	0.5
	Car benefit	1.5
	Job related accommodation	1.0
	Property income	3.0
	Personal allowance	0.5
	Income Tax Liability	1.0
	Interest relief	1.0
	PAYE	0.5
	Maximum	9.0
Total		15.0

Examiner's report

The income tax question was based around Alfred and Amaia, a married couple.

Alfred commenced trading as a sole trader on 1 January 2026, with draft accounts prepared for the seven-month period ended 31 July 2026. The requirement is to prepare a revised tax adjusted trading profit or loss taking into account pre-trading expenditure, expenditure on client entertainment and capital allowances.

Amaia is employed by Argole Ltd, and also has property income. The requirement is to calculate the income tax payable by her for the tax year 2025/26 taking into account a car benefit, job-related living accommodation and tax relief for finance costs.

Although the question was reasonably well answered, its straightforward nature meant that marks really should have been higher.

Requirement (a) – 6 marks

Candidates need to take care when it comes to using negatives in the spreadsheet. Entering appropriate negative and positive amounts and then using the SUM function on the spreadsheet is the most straightforward process and avoids simple errors.

The capital allowances working was generally not answered as well as would be expected. There is an 18% writing down allowance for a car but restricted to 7/12ths. Also, the capital expenditure was sometimes adjusted for in addition to the deduction for capital allowances.

Requirement (b) – 9 marks

Here, the two benefits surprisingly caused problems:

- With the car, the amount paid of £23,500 was often used rather than the list price of £25,000. The restriction to three months of the tax year (the car was only provided from 1 January 2026) was also frequently missed.
- With the job-related accommodation, many candidates did not appreciate that there is no benefit. Even when the benefit was stated as zero, they still included the rent paid by Argole Ltd of £2,500 per month.

As regards the property income, very few candidates correctly dealt with the finance costs. The question states that Amaia made mortgage payments of £6,000, including interest of £2,600. The capital repayments of £3,400 (£6,000 – £2,600) are completely irrelevant, and there is a finance costs reduction of £520 (£2,600 at 20%) given against Amaia's income tax liability. Too many candidates were determined to do something with the capital repayments, and the finance costs reduction was often included when calculating property income.

The cash basis is the default when it comes to calculating property income. This means that:

- The 13 months' rent received during the tax year 2025/26 are all included.
- Only the insurance premium actually paid of £1,250 on 1 December 2025 is deducted as an expense. The amount paid on 1 December 2024 is not relevant.

Both points were frequently dealt with incorrectly.

Additionally, it was disappointing to note that some candidates deducted the PAYE of £19,432 against Amaia's salary rather than against her income tax liability.

Note: The examiner's report has been edited to remove comments on elements of the question that have been deleted due to changes to the question to cover finance act changes.

TRADING LOSSES

118 ASHURA (ADAPTED)



Walk in the footsteps of a top tutor

**Key answer tips**

This question covers the situation where an individual is employed then also sets up a business, which is initially loss-making. This type of scenario is common in examination questions.

The calculation of the loss in part (a) was straightforward provided you remembered to time apportion the writing down allowance in the opening period of account.

Part (b) and (c) test loss relief options in opening years and against the current year. It is important to understand the different options and be able to apply them to a given scenario, as well as to identify when loss claims are or are not beneficial.

Part (d) was straightforward provided the self-assessment rules had been learnt and applied to the information given.

(a) Ashura – Trading loss for the nine-month period ended 5 April 2026

	£
Draft tax adjusted trading profit	10,930
Decoration of new office	(3,100)
Structures and buildings allowance (W1)	(2,196)
Capital allowances (W2)	(12,159)
Tax adjusted trading loss	(6,525)

(W1) Structures and buildings allowances

	£
Qualifying expenditure – building cost (Note 1)	97,600
SBA at 3%	2,928
Time apportion (1 July 2025 – 5 April 2026 = 9 months)	2,196

(W2) Capital allowances

		Main pool	Special rate pool	Private use car	Allowances
	£	£	£	£	£
Additions (no AIA)					
Car (>50 g/km)				19,200	
Additions (with AIA)					
Heating system	5,100				
Water system	4,200				
AIA (special rate pool) @ 100%	(9,300)				9,300
Laptop computer	2,600				
AIA (main pool) @ 100%	(2,600)				2,600
		0			
WDA @ 6% × 9/12 (Note)				(864) × 30%	259
TWDV c/f		0		18,336	12,159

**Tutorial note**

- 1 The heating and water systems qualify as integral features rather than part of the cost of the building, and as such they qualify for the AIA. The decoration costs are qualifying revenue expenditure.
- 2 Ashura's car has CO₂ emissions over 50 grams per kilometre, and therefore only qualifies for writing down allowances at the rate of 6%. The business mileage is 2,400 out of 8,000 miles (i.e. 30%).
- 3 The laptop computer purchased on 10 June 2025 is pre-trading capital expenditure, and is therefore treated as incurred on 1 July 2025.

- (b)
- 1 The trading loss would be relieved against total income for the tax years 2022/23 to 2024/25, using the income of the earliest year first.
 - 2 Ashura's total income for the tax year 2022/23 of £10,400 is already covered by her personal allowance so a loss relief claim against this year would use the entire loss but would not result in any tax saving.

(c) Ashura – Taxable income 2025/26

	£
Employment income	
Salary	56,200
Pension contributions	
– Occupational (£56,200 × 5%)	(2,810)
– Personal pension	0
Subscriptions	
– Professional	(320)
– Health club	0
Total income	53,070
Loss relief	(6,525)
Net income	46,545
Personal allowance	(12,570)
Taxable income	33,975

***Tutorial note***

- 1 *The personal pension scheme contribution does not affect the calculation of taxable income, but will instead extend Ashura's basic rate tax band by £3,400.*
- 2 *The health club subscription is not an allowable deduction because membership is not necessary for Ashura to carry out her duties of employment.*
- 3 *The loss relief cap does not apply because Ashura's trading loss is less than the greater of £50,000 and 25% of her total income.*

- (d)**
- 1 If HMRC intend to carry out a compliance check into Ashura's self-assessment tax return for 2025/26, then they will have to notify her by 14 August 2027 (12 months after they received her tax return).
 - 2 If Ashura is confident that her return is complete and accurate, then the likely reason for HMRC carrying out a compliance check is because the return has been selected on a random basis.

ACCA Marking scheme	
	Marks
(a) Trading loss	
Decorative expenditure deducted	1.0
SBA calculated and deducted	1.5
Capital allowances deducted	0.5
Integral features included in special rate pool	0.5
Laptop included in main pool	0.5
AIA offset against integral features then laptop	1.0
Car in separate column	0.5
WDA on car	1.5
	7.0
(b) Early year loss relief	
Relieved against 2022/23 – 2024/25 total income FIFO	1.0
2022/23 income covered by PA therefore no tax saving	1.0
	2.0
(c) Taxable income	
Salary	0.5
Pension	1.0
Subscriptions	1.0
Loss	1.0
Personal allowance	0.5
	4.0
(d) Compliance check	2.0
Total	15.0

Examiner's report

This was the income tax question. It was well answered, and involved a taxpayer who was employed and had also commenced self-employment during the tax year (making a trading loss).

[Part (a) has been significantly altered so the examiner's comments for this question are not relevant.]

For part (b), candidates had to explain why it was not beneficial for the taxpayer to claim loss relief under the provisions giving relief to a loss incurred in the early years of trade. It should have been fairly obvious that such a claim would have wasted the personal allowance and not resulted in any tax saving. This section was not as well answered, with many candidates not appreciating that the loss could only be carried back for three years. Some candidates actually explained why a claim would be beneficial.

Part (c) required a calculation of the taxpayer's taxable income (on the basis that loss relief was claimed against total income). This section was generally well answered, although many candidates wasted time by calculating the tax liability. The occupational pension scheme contribution was often grossed up (such contributions are not paid net of tax). Many candidates made things more difficult than they needed to be by attempting this section before section (b).

Part (d) has been taken from a different question which was amended due to finance act changes. The examiner's comments from the original version of the question are as follows.] This part required candidates to state the period during which HM Revenue & Customs (HMRC) would have to notify [Ashura] if they intended to carry out a compliance check in respect of her self-assessment tax return for the tax year 2025/26, and the likely reason why such a check would be made. Although there were a number of good answers, in general this section was not so well answered as other parts. Candidates should note:

- The fact that the requirement was for a total of just two marks should have been a good indication that only a few brief points needed to be made, and not a much longer discussion.
- Where a question asks for dates, then these dates need to be precise – including the year relevant to the question.
- Answers should always be related to the information provided. The question made it clear that [Ashura's] self-assessment tax return was complete and accurate, so the likely reason for HMRC carrying out a compliance check was because her tax return was selected on a random basis.

119 DEE ZYNE (ADAPTED) *Walk in the footsteps of a top tutor*



Key answer tips

An individual that is employed for part of the tax year, then sets up a business which is initially loss-making, is a common scenario in examination questions.

The calculation of the adjusted loss was straightforward provided you remembered to time apportion WDAs in the opening period of account.

Part (b) required consideration of alternative claims for Dee's trading loss, which is a common requirement in loss relief questions and you should therefore make sure that you are well prepared for this.

The highlighted words in the written sections are key phrases that markers are looking for.

(a) Tax adjusted trading loss – 2025/26

	£
Trading loss	(11,653)
Patent royalties (Note)	(500)
Capital allowances (W)	(5,477)
	(17,630)

**Tutorial note**

The patent royalties were incurred for trade purposes and are therefore deductible in computing the tax adjusted trading loss. As the question says they have not been accounted for in arriving at the loss given in the question, they must be adjusted for and will increase the loss.

Working: Capital allowances	£	Main Pool £	PU car £	Allowances £
Additions (no AIA)				
Car (between 1 – 50g/km)		10,400		
Car (> 50g/km) (Note 1)			17,800	
Additions (with AIA)				
Computer	1,257			
Office furniture	2,175			
	<u>3,432</u>			
AIA @ 100% (Note 2)	(3,432)			3,432
	<u>0</u>			
WDA @ 18% × 9/12		(1,404)		1,404
WDA @ 6% × 9/12 (Note 3)			(801) × 80%	641
		<u>8,996</u>	<u>16,999</u>	
TWDV c/f				
Total allowances				<u>5,477</u>

**Tutorial notes**

- Capital allowances on purchases of cars are calculated based on their CO₂ emissions.
The car with CO₂ emissions of between 1 – 50 grams per kilometre is put in the main pool and is eligible for a writing down allowance at 18%.
The car with CO₂ emissions of > 50 grams per kilometre is a private use car, has its own column and is eligible for a writing down allowance at 6%.
- The maximum AIA and the WDAs are time apportioned because Dee's period of account is only nine months' in length. However, the maximum AIA clearly exceeds the total qualifying expenditure so all of the expenditure is eligible for relief.
- Only private use by the owner restricts capital allowances. Private use by an employee does not affect the capital allowance claim, but will instead result in a taxable employment benefit for that employee.

(b) Alternative uses of trading loss***Tutor's top tips***

When you are describing use of losses, you must be very specific about exactly what the loss can be set against, and when. For example, don't just say 'the loss can be set off in the current year'. Specify in which tax year that is, and state that the loss can be set against total income.

The examining team have stated that the use of section numbers is not required and is not encouraged at the expense of explaining the relief.

- The loss could have been claimed against **total income** for the tax year(s) **2024/25** and/or **2025/26**.
- By claiming loss relief against her total income (£32,875) for the tax year **2025/26**, Dee could relieve the loss entirely at the basic rate of **20%** and reduce her income tax liability by £3,526 (£17,630 × 20%).
- If the loss is carried back to the tax year **2024/25** when Dee's total income was £80,000, Dee could relieve the loss entirely at the higher rate of **40%** and reduce her income tax liability by £7,052 (£17,630 × 40%).
- The loss is incurred within the first four tax years of trading, so a claim for special opening year loss relief could have been made against **total income** for the three tax years **2022/23** to **2024/25**, **earliest first**.
- As Dee's **total income** in the tax years **2022/23** to **2024/25** was **£80,000**, this would also have relieved the loss at the higher rate of **40%**, and resulted in an income **tax refund** of **£7,052** (£17,630 × 40%).
- It is therefore most beneficial for Dee to either make a claim to offset the loss in **2024/25** or make a claim for opening year loss relief to offset it in **2022/23**. Both of these claims result in tax relief being obtained at the highest marginal rate of tax and will result in a repayment of tax already paid, giving a cash flow benefit.

120 SAMANTHA FABRIQUE (ADAPTED)

*Walk in the footsteps of a top tutor***Key answer tips**

This is a losses question that requires you to choose the best use of the loss.

Given the information about gains it should be fairly obvious that you need to consider a claim against capital gains. However, remember that this only saves tax at 18% (for a basic rate taxpayer) or 24% (for a higher rate taxpayer) and can only happen after a claim against total income has been made first in the same tax year.

Be careful to consider the loss relief restriction which applies to loss claims against total income other than the profits of the same trade. This restriction did not apply in the question as originally set, as these rules did not exist then. This change in rules has made this question more challenging than it was when it was first set.

Part (a) should have provided easy marks listing the factors a taxpayer takes into account when deciding what to do with a loss.

(a) Factors influencing choice of loss relief claims

- The rate of income tax or capital gains tax at which relief will be obtained, with preference being given to income charged at the higher rate of 40% or additional rate of 45%.
- The timing of the relief obtained, with a claim against total income/chargeable gains of the current tax year or preceding tax year resulting in earlier relief than a claim against future trading profits.
- The extent to which personal allowances, the capital gains annual exempt amount and the savings and dividend nil rate bands may be wasted.

**Tutor's top tips**

As long as you addressed the factors influencing the choice of relief, not what the relief options are, you should have scored well here.

(b) Taxable income	2024/25	2025/26	2026/27
	£	£	£
Trading income	21,600	0	11,650
Interest	52,100	3,800	1,850
	73,700	3,800	13,500
Less: Loss relief		(0)	
– against trading (no restriction)	(21,600)		
– against other income (restricted)	(50,000)		
	2,100	3,800	13,500
Less: PA	(2,100)*	(3,800)*	(12,570)
Taxable income	0	0	930
*PA restricted			
Taxable gains	2024/25	2025/26	2026/27
	£	£	£
Chargeable gains	53,600	0	12,500
Less: Trading loss relief	(10,300)		
	43,300	0	12,500
Less: AEA	(3,000)	(wasted)	(3,000)
	40,300	0	9,500
Less: Capital loss b/f			(9,500)
Taxable gains	40,300	0	0



Tutorial note

The loss relief in the previous tax year against total income is restricted due to the cap on income tax reliefs. The losses offset against profits from the same trade are not restricted; therefore £21,600 of loss can be set against trading income. A further £50,000 of loss relief is available as this is the higher of £50,000 and 25% of total income (£73,700 × 25% = £18,425).

Although these two claims are both set off against total income in the computation, you may find it helpful to separate them out to ensure you relieve the correct amount of loss.

**Key answer tips**

Where loss questions require you to set off a loss against income and gains, make sure that you keep your income tax computation and CGT computation **separate**.

This is not only technically correct, but will also make it easier for you to see where best to set off the losses and apply your PA and AEA, and much easier for the marker to mark your answer!

The highlighted words are key words or phrases that markers are looking for.

Loss memorandum

	£
Trading loss in the tax year 2025/26	81,900
Less: Relief against total income	
current year (no claim as income covered by PA)	(0)
prior year – total claim	(71,600)

Loss remaining	10,300
Less: Relief against chargeable gains in prior year	(10,300)

Loss carried forward	0

Utilisation of losses**Trading loss**

Loss relief has been claimed:

- against total income for the tax year 2024/25,
- then against the chargeable gains of the same tax year.

This gives relief at the earliest date and at the highest rates of tax.

Capital loss

The capital loss for the tax year 2025/26 is carried forward and set against the chargeable gains for the following tax year.

The use of brought forward capital losses is after the annual exempt amount, which avoids wasting any of the annual exempt amount.

The balance of the loss £200 (£9,700 – £9,500) is carried forward against future gains.



Tutorial note

For the tax year 2024/25, if relief is claimed, the personal allowance is partially wasted in that year and the tax saving will be at 40% and 20% for income tax and 24% for capital gains.

Offsetting losses in the tax year 2025/26 however would utilise £3,800 of the loss, would waste the personal allowance and would not save any tax.

A claim against total income must be made before relief against chargeable gains can be considered.

Carrying all of the loss forward would use £11,650 of the loss in the tax year 2026/27 (as could only carry forward against future trading profits from the same trade), would waste most of the personal allowance and would save no tax.

The taxable income (before loss relief) of £930 represents savings income. All of the savings income falls in the nil rate starting rate band of £5,000 so no tax would be saved. The remaining loss would not be relieved until subsequent years.

The optimum relief is therefore to claim against total income for the tax year 2024/25, then against the chargeable gains of the same tax year, since this gives relief at the earliest date and at the highest rates of tax.

ACCA Marking scheme		
		Marks
(a)	Rate of tax	1.0
	Timing of relief	1.0
	Personal allowance, annual exempt amount, nil rate bands	1.0
		3.0
(b)	Loss relief against trading income	1.0
	Loss relief against other income	1.5
	Personal allowance	1.0
	Trading loss relief against capital gains	1.0
	AEA	0.5
	Capital loss carried forward	1.0
	Explanation of most beneficial route	6.0
		12.0
Total		15.0

Examiner's report

This question was generally not answered well.

Although it was technically the most demanding question in the exam, requiring a bit more thought than the other four questions, it was quite short and should not have presented too many difficulties for reasonably well prepared candidates.

In part (a) many candidates explained the loss reliefs that were available rather than the factors that must be taken into account when deciding which loss reliefs to actually claim.

In part (b) it was extremely disappointing to see the vast majority of candidates include the capital gains in their computation of taxable income. The capital gains annual exempt amount was often then deducted against the combined figure of taxable income and taxable gains.

Many candidates claimed loss relief against the total income for the year of the loss despite this income clearly being covered by the personal allowance.

Very few candidates, even if they showed the capital gains separately, claimed loss relief against capital gains.

121 MICHAEL AND SEAN

Walk in the footsteps of a top tutor

**Key answer tips**

Part (a) offered four easy marks to identify the reliefs available for individual savings accounts, pensions, gift aid, business asset disposal relief and capital allowances.

Part (b) was tricky and the hardest part of the whole examination. It involved opening and closing year losses.

Consideration of the optimum use of the losses was required together with the identification of the rates at which tax would be saved. A good knowledge of the loss relief rules and a lot of practice at application prior to sitting the examination was needed to score well on this part in the time given.

In order to score well in part (b) computations alone showing the different loss reliefs were not enough; explanations of how the reliefs work and advice on the most beneficial course of action were also needed.

The highlighted words are key words or phrases that markers are looking for.



Tutor's top tips

When you need to explain how tax policies can encourage individuals to take certain actions, always think about how those actions can save tax for the individual.

By opening an ISA, individuals can save income tax on the interest.

By saving money in a pension fund, individuals can save income tax by either reducing their employment income (occupational pensions) or extending their basic and higher rate bands (personal pensions).

By donating money to a charity, the individual can save income tax by either reducing their employment income (payroll deduction scheme) or extending their basic and higher rate bands (gift aid donations).

When the sole trader buys plant and machinery, capital allowances reduce trading profits under the accruals basis, or a deduction is allowable for the purchase under the cash basis, which saves income tax.

(a) Government tax policies

1 Individuals to save

Saving is encouraged by offering individuals tax incentives such as tax-free individual savings accounts (ISAs) and tax relief on pension contributions. In addition, the savings income nil rate bands encourage basic and higher rate taxpayers to save by providing tax-free savings income.

2 Individuals to support charities

Charitable support is encouraged by giving individuals tax relief on donations made through the gift aid scheme or the payroll deduction scheme.

3 Entrepreneurs to build businesses and invest in plant and machinery

Entrepreneurs are encouraged to build their own businesses through various capital gains tax reliefs such as business asset disposal relief.

Investment in plant and machinery is encouraged through capital allowances under the accruals basis or a deduction from trading profits under the cash basis.

(b) Michael



Tutor's top tips

It is difficult to comment on loss relief by just reading the scenario. Set up the income tax computations for each tax year involved, bringing in the figures given in the question.

This will give a clear picture of the position and will help to decide on the appropriate reliefs for the loss. It will also make it easier to comment on the tax savings and possible wastage of the personal allowance.

Loss relief available**1 Special opening year loss relief**

The loss of £24,600 arising in the tax year 2024/25 can be claimed against total income for the three preceding tax years, earliest first, since it is incurred in the first four tax years of trading.

Amount of loss claim

The loss relief claim will therefore be £17,200 in the tax year 2021/22 and £7,400 (£24,600 – £17,200) in the tax year 2022/23.

Tax saving

For the tax year 2021/22 this will waste Michael's personal allowance, with the balance of the claim of £4,630 (£17,200 – £12,570) (W) saving income tax at the basic rate of 20%.

For the tax year 2022/23 Michael has income of £730 (£51,000 – £12,570 – £37,700) subject to income tax at the higher rate of 40%, so the claim of £7,400 will save tax at the higher rate on the first £730. The remaining £6,670 will save tax at 20%.

2 Carry loss forward

Alternatively, Michael could have carried the trading loss forward against future trading profits, but the trading profit of £7,100 for the tax year 2025/26 is less than the personal allowance, and therefore no tax is saved in that year. There is no information available regarding future trading profits.

Most beneficial

Claim special opening year loss relief.

**Tutorial note**

A standard loss relief claim against total income in the tax year of the loss (2024/25) and/or the preceding tax year (2023/24) is not possible since Michael does not have any income for either of these years.

Special opening year loss relief is one claim for all three years (if there is sufficient loss) on a FIFO basis, it is not possible to only claim in one year, and it is an 'all or nothing relief' (i.e. cannot restrict the offset to preserve the personal allowance).

Note that the limit on the amount of loss relief that can be deducted from other income in any tax year does not need to be considered in this question, as the loss is not sufficiently high for it to be an issue.

Working**Taxable income (ignoring loss relief)**

	2021/22	2022/23	2023/24	2024/25	2025/26
	£	£	£	£	£
Employment income	17,200	51,000	0	0	0
Trading income				0	7,100
Less: PA	(12,570)	(12,570)	0	0	(restricted)
	<u>4,630</u>	<u>38,430</u>	<u>0</u>	<u>0</u>	<u>0</u>
Taxable income					
Basic rate band		(37,700)			
		<u>730</u>			
Taxed at higher rate					

The loss carried back is offset against income before the personal allowance is deducted. This means that £12,570 of the loss each year does not actually save tax as it merely replaces the personal allowance. This working enables you to see how much of the loss actually saves tax and at what rate.

Sean**Amount of the loss**

The loss for the tax year 2025/26 is £26,700.

Loss relief available**1 Terminal loss relief**

The whole of the loss can be claimed as a **terminal loss** since it is for the final 12 months of trading.

The claim is against **trading income** for the **tax year of the loss** and the **three preceding tax years**, latest first.

Amount of loss claim

The terminal loss claim will therefore be **£3,700** in the tax year 2024/25, **£18,900** in 2023/24 and **£4,100** (£26,700 – £3,700 – £18,900) in the tax year 2022/23.

Tax saving

The property business profits are sufficient to utilise Sean's personal allowance for each year, so the loss relief claims will save income tax at the basic rate of **20%**.

2 Standard loss relief against total income

Alternatively, Sean could have initially claimed loss relief against his **total income** for the tax year(s) **2025/26 and/or 2024/25**, but this would have **wasted his personal allowance** for either or both of those years.

Most beneficial

Claim terminal loss relief.

**Tutorial note**

A claim against future trading profits is not available since the business is ceasing and a trading loss can only be carried forward against future trading profits of the same trade.

A terminal loss claim is against trading profits only, on a LIFO basis, and is an 'all or nothing' relief (i.e. cannot restrict the offset to preserve the personal allowance).

ACCA Marking scheme			Marks
(a)	1	Saving	1.0
	2	Charitable support	1.0
	3	Build businesses: CGT reliefs	1.0
		Plant and machinery: CAs	1.0
			4.0
(b)	Michael		
		Relief against total income – opening year loss relief	1.0
		Amount of loss claims	1.0
		Rate of tax saved – 2021/22	1.0
		– 2022/23	1.0
		Carry forward	1.0
	Sean		
		Available loss	0.5
		Terminal loss relief	1.0
		Amount of loss claim	1.5
		Rate of tax saved	1.5
		Relief against total income	1.5
Total			15.0

Examiner's report

Part (a) was generally well answered, although candidates should note that where just one or two marks are available for a requirement then just a short sentence is required – not a detailed explanation.

Not surprisingly, part (b) was the section of the exam that caused the most problems.

For Michael, the claims should have been fairly straightforward given that he only had one source of income for each year. However, some candidates were not even aware that a claim could be made against total income.

For Sean, a few candidates suggested that the loss be carried forward despite the trade ceasing. In both cases, it was generally not appreciated that the most advantageous choice of loss relief claims would generally preserve the benefit of personal allowances.

PARTNERSHIPS

122 SAM, TAM AND UMA (ADAPTED)


Walk in the footsteps of a top tutor
**Key answer tips**

Part (a) requires the taxable partnership profits for three partners. It is necessary to apportion the profits between the partners, which can be presented in different ways as shown in the answer below. This part has been changed from the way it was originally examined due to changes in the tax rules and what is now examinable.

Part (b) requires a calculation of each partner's taxable income. This covers a restricted personal allowance, employment income with pension contributions and benefits and qualifying loan interest. It is necessary to do separate computations for each partner and to set the computations out clearly.

(a) Trading income assessments

	£
Sam	
Year ended 30 June 2025	
Share of profits ($£137,500 \times 80\%$)	110,000
Year ended 30 June 2026	
Share of profits ($£132,000 \times 80\%$)	105,600
Y/e 30 June 2025 ($£110,000 \times 3/12$)	27,500
Y/e 30 June 2026 ($£105,600 \times 9/12$)	79,200
Assessed in the tax year 2025/26	106,700
Tam	
Year ended 30 June 2025	
Share of profits ($£137,500 \times 20\%$)	27,500
Year ended 30 June 2026 (to 31 October 2025)	
Share of profits ($£132,000 \times 4/12 \times 20\%$)	8,800
Y/e 30 June 2025 ($£27,500 \times 3/12$)	6,875
P/e 31 October 2025	8,800
Assessed in the tax year 2025/26	15,675

Uma	£
Year ended 30 June 2026	
Share of profits ($£132,000 \times 8/12 \times 20\%$)	17,600
Y/e 30 June 2026 ($£17,600 \times 5/8$)	11,000
(1 November 2025 – 5 April 2026)	
Assessed in the tax year 2025/26	11,000

**Tutorial note**

An alternative presentation would be to allocate the partnership profits in a table as shown below.

Allocation of partnership profits

Year ended 30 June 2025	Total	Sam	Tam	
	£	£	£	
		80%	20%	
	137,500	110,000	27,500	
Year ended 30 June 2026	Total	Sam	Tam	Uma
	£	£	£	£
4 months to 31 October 2025		80%	20%	
$£132,000 \times 4/12$	44,000	35,200	8,800	0
8 months to 30 June 2026		80%		20%
$£132,000 \times 8/12$	88,000	70,400	0	17,600
	132,000	105,600	8,800	17,600

(b) Sam – Taxable income 2025/26

	£	£	£
Trading profit/net income			106,700
Personal allowance		12,570	
Adjusted net income	106,700		
Less: Limit	(100,000)		
Excess	6,700	× 50%	(3,350)
Personal allowance available			(9,920)
Taxable income			97,480

Tam – Taxable income 2025/26

	£
Trading profit	15,675
Employment income	
Salary ($\text{£}3,400 \times 7$)	23,800
Pension contributions – Employee ($\text{£}23,800 \times 5\%$)	(1,190)
– Employer	0
Beneficial loan	0
	38,285
Personal allowance	(12,570)
Taxable income	25,715



Tutorial note

There is no taxable benefit in respect of Tam's interest-free loan as it does not exceed the de minimis limit of £10,000 at any point during the tax year.

Employer contributions to an employee's personal or occupational pension schemes are an exempt benefit.

Uma – Taxable income 2025/26

	£
Trading profit	11,000
Director's remuneration	180,000
Total income	191,000
Less: Qualifying loan interest paid	(2,100)
Net income	188,900
Personal allowance (ANI > £125,140)	0
Taxable income	188,900

**Tutorial note**

Uma's adjusted net income exceeds £125,140 and therefore her personal allowance will be abated to zero.

The interest suffered on a loan taken out for a qualifying purpose is deductible from total income. A qualifying purpose includes taking out a loan to invest in a partnership in which you are a partner.

ACCA Marking scheme		Marks
(a)	Trading income assessments	
	Sam – y/e 30 June 2025	1.0
	y/e 30 June 2026	1.0
	Assessed in 2025/26	1.0
	Tam – y/e 30 June 2025	1.0
	y/e 30 June 2026	1.0
	Assessed in 2025/26	1.0
	Uma – y/e 30 June 2026	1.0
	Assessed in 2025/26	1.0
		8.0
(b)	Taxable income 2025/26	
	Sam – trading profit	0.5
	– personal allowance	1.5
	Tam – trading profit	0.5
	– salary	0.5
	– employee pension contribution	0.5
	– employer pension contribution	0.5
	– beneficial loan exempt	0.5
	– personal allowance	0.5
	Uma – trading profit	0.5
	– director's remuneration	0.5
	– qualifying loan interest paid	0.5
	– personal allowance	0.5
		7.0
	Total	15.0

Examiner's report

The income tax question was based around a partnership, with Sam (80% profit share) and Tam (20% profit share) having been in partnership since 1 July 2011, Tam retiring as a partner on 31 October 2025, and Uma (20% profit share) replacing her as a partner on 1 November 2025. Trading profits were given for the years ended 30 June 2025 and 2026.

Part (a) required some care in calculating the partners' [share of the partnership profits].

Part (b) was more straightforward, with computations of taxable income required for each partner for the tax year 2025/26. A read through the question should indicate that Sam's personal allowance is restricted, with Uma (who has director's remuneration of £180,000) not benefiting from any personal allowance.

Requirement (a) – 5 marks

With this type of requirement, candidates need to be very careful with dates. They also need to have well laid out answers so that their workings can be followed by markers. The model answer shows how this should be done, and it is much better to deal with each of the three partners separately. Headings are essential.

Requirement (b) – 10 marks

There is an interaction with part (a), because it is necessary to bring forward the [taxable partnership profits] that have been calculated (even if calculations have been incorrectly performed). There are three very easy $\frac{1}{2}$ marks for including each of the three figures, so it is essential to make sure figures are consistent across the two requirements. This is where having neatly laid out answers pays off.

Sam

Sam did not have any other income apart from her partnership trading profit, but it was necessary to restrict her personal allowance. With an 80% profit share, candidates should have managed to calculate a figure in the appropriate income range, and the marks for the personal allowance restriction are then awarded based on the candidate's own figure.

Tam

The entire working for Tam can be shown in the one computation. There are two items where a zero should be shown, and, as already mentioned, deductions should be included as negative figures. There are some particular points of note:

- With an occupational pension scheme, only the employee's (Tam's) contributions are deducted against employment income. The non-deductibility and non-taxable status of the employer contributions should be indicated by a zero.
- There is no taxable benefit in respect of Tam's interest-free loan because it does not exceed the de minimis limit of £10,000 during the tax year. There is no need for a calculation or an explanation – just a zero entry in the tax computation.

Uma

In addition to her partnership trading profit and director's remuneration, Uma had paid interest of £2,100 on a personal loan taken out to purchase her share in the partnership.

Once again, reading the question carefully, should lead to the interest on the personal loan being deducted rather than being included as income.

The fact that Uma has director's remuneration of £180,000 is sufficient by itself to establish that no personal allowance is available. All that is needed is a zero entry.

Another general point over which candidates should take care, is when entering numbers into spreadsheet computations; for example, please be careful not to enter £125,700 when you mean to enter £12,570.

Note: The examiner's report has been edited to remove comments on elements of the question that have been deleted due to changes to the exam format.

123 AMANDA

**Key answer tips**

Part (a) tests the taxable benefit on living accommodation. It is important to clearly show your workings here for each stage of your calculation, as this will maximize marks. Pay close attention to the dates provided – the accommodation was provided for five months of the tax year, so remember to time apportion your final benefit figure!

Part (b) requires a calculation of Amanda's partnership loss relief claim. At only two marks, you do not want to spend too long on this section. Some changes have been made to this part so that it still falls within the examinable topic areas.

Part (c) requires a calculation of the income tax and child benefit income tax charge for Amanda. We are already provided with her income figures at the start of the question, so use this as your starting point for both calculations and clearly show all of your workings.

Part (d) asks for you to calculate Amanda's overall income tax saving and reduction in child benefit charge. We know what type of taxpayer Amanda and her husband are at their marginal rates of tax, so that would be the most efficient way to attempt this part of the question.

(a) Amanda's taxable benefit on living accommodation

	£	£
Annual value		6,300
Additional benefit		
Cost 10 February 2023	174,000	
Improvements	8,000	
	182,000	
Limit	(75,000)	
	107,000	
Additional benefit (£107,000 at 3.75%)		4,013
Furniture (£12,400 × 20%)		2,480
		12,793
Time apportioned (£12,793 × 5/12)		5,330

**Tutorial note**

The property was purchased less than six years before first being provided to Amanda. The additional benefit is therefore based on the cost of the property plus the cost of subsequent improvements.

(b) Amanda – Share of partnership loss

	£
1 April 2025 to 31 May 2025	
$£10,800 \times 2/12 \times 1/3$	600
1 June 2025 to 31 March 2026	
$£10,800 \times 10/12 \times 15\%$	1,350
	1,950

(c) Amanda – Income tax repayable

	£
Taxable income	54,430
£	
37,700 at 20%	7,540
800 ($£640 \times 100/80$) at 20%	160
15,930 ($£54,430 - £37,700 - £800$) at 40%	6,372
54,430	
Income tax liability	14,072
Tax suffered at source – PAYE ($1,200 \times 12$)	(14,400)
Income tax repayable	(328)

Child benefit income tax charge

	£	£
Child benefit received		3,149
Net Income	67,000	
Less: Gross gift aid ($£640 \times 100/80$)	(800)	
Adjusted net income	66,200	
Less: Lower limit	(60,000)	
	6,200	
1% per £200 of £6,200 = 31%		
Child benefit tax charge = 31% of £3,149 (rounded down if required)		976

(d) Overall saving

	£
Amanda tax saving	
Income tax saving (£2,000 at 40%)	800
Reduction in child benefit income tax charge percentage (£3,149 × 10%) (£2,000/200)	315
Husband tax cost	
£2,000 × 20%	(400)
Overall saving	715

ACCA Marking scheme		
		Marks
(a)	Living accommodation	
	Annual value	0.5
	Additional benefit	1.5
	Less: limit	0.5
	Additional benefit × ORI	0.5
	Furniture × 20%	1.0
	Time apportion for months provided in tax year	1.0
(b)	Amanda share of partnership loss	
	January to February	1.0
	March to December	1.0
(c)	Income tax:	
	Basic rate band	0.5
	Gift aid donation	1.0
	Higher rate band	0.5
	PAYE deduction	1.0
	Child benefit charge	2.0
(d)	Overall tax saving	3.0
Total		15.0

Examiner's report

The income tax question was based around Amanda. A calculation of her taxable income for the tax year 2025/26 was provided. Details of Amanda's gift aid donations, monthly PAYE deductions and child benefit for the tax year 2025/26 were also given.

For the period 1 November 2025 to 5 April 2026, Amanda's employer provided her with living accommodation.

Amanda was in partnership with Benny and Cotton. For the year ended 31 March 2026, the partnership made a tax-adjusted trading loss. The partnership profit sharing ratio changed from 1 June 2025.

Although the question was quite well answered, it's straightforward nature meant that marks could have been higher.

Requirement (a) – 5 marks

Calculate Amanda's taxable benefit for the tax year 2025/26 in respect of the living accommodation provided by her employer.

Many candidates scored full marks for this section, but for others there were potential problems. One point that only a few candidates picked up on is that all three aspects of the taxable benefit were only available for five months. It was therefore easier to pro-rata the total benefit by 5/12ths rather than applying this separately to each aspect.

The three aspects of the taxable benefit were:

The annual value: Provided candidates realised that this was a separate benefit, this was an easy half mark. However, some candidates tried to compare the annual value to the additional benefit (taking the lowest or highest figure) or applying 20% to the annual value of £6,300.

An additional benefit: The property was purchased less than six years before first being provided to Amanda, so this benefit had to be based on the cost of the property (£174,000) plus the cost of subsequent improvements (£8,000). After deducting the £75,000 exemption, the benefit was calculated at the official interest rate of 3.75%. A number of candidates treated the £8,000 of improvements as a separate benefit, and others used 20% instead of 3.75%.

Furniture benefit: This was the aspect most often omitted by candidates, or the cost of the furniture (£12,400) was included within the calculation of the additional benefit.

Candidates need to be careful when laying out answers of this nature on a spreadsheet. There were sometimes numerous workings without any clear indication as to which ones the candidate wanted to include within their total taxable benefit figure. Question practice helps immensely in candidates becoming familiar with how to lay out the workings, and it will also iron out many of the problems mentioned above.

Requirement (b) – 2 marks

Calculate Amanda's partnership loss relief claim for the tax year 2025/26.

This was one of those sections which was either done very well (for full marks), or very badly (generally, for just a half mark).

There was a deduction of £3,200 in Amanda's taxable income calculation for loss relief and qualifying interest payments. This figure itself was not relevant to the calculation of Amanda's partnership loss relief, although it should have helped candidates in that their answer obviously had to be less than £3,200.

Another point not appreciated by many candidates was that it was only necessary to calculate Amanda's share of the £10,800 loss. The shares for Benny and Cotton were not relevant and their calculation did not score any marks.

With Amanda receiving one-third of profits and losses for two months, and 15% thereafter, the calculation for 2 marks was simply: $(£10,800 \times 2/12 \times 1/3) + (£10,800 \times 10/12 \times 15\%) = £1,950$.

Requirement (c) – 5 marks

Calculate the income tax and child benefit income tax charge payable by, or repayable to, Amanda for the tax year 2025/26.

There were many very good answers to this section, and it was generally well answered by the majority of candidates. However, one issue of concern is that quite a number of candidates initially calculated Amanda's taxable income, despite this figure being provided. This wasted time and some candidates calculated a different figure from the one given. Other problems included:

- Not extending the basic rate tax band by the gross charitable gift aid donations of £800 ($£640 \times 100/80$). Sometimes just the net figure was used, but a number of candidates instead deducted the donations in working out taxable income.
- Only deducting one month of PAYE rather than 12 months. Disturbingly, some candidates deducted the PAYE from Amanda's employment income rather than against her income tax liability.
- Including the child benefit or the child benefit income tax charge within the calculation of taxable income, or taxing the child benefit income tax charge at the basic or higher rate. Only a minority of candidates correctly deducted gross charitable gift aid donations when calculating the child benefit income tax charge, and there was often confusion regarding which income figure to use – especially where candidates had attempted their own calculation of taxable income.

Requirement (d) – 3 marks

Calculate the overall income tax saving and reduction in child benefit income tax charge for the tax year 2025/26 if the property income of £2,000 had been received by Amanda's husband rather than by Amanda.

For the tax year 2025/26, Amanda's husband had a taxable income of £21,000. There were two aspects to the tax saving. The first was that Amanda would save income tax at the higher rate of 40% on the £2,000 of property income, with her husband only taxed at 20%. Answers which clearly showed that the saving was at 40% less a cost at 20% (e.g. $2,000 \times (40\% - 20\%) = £400$) gained the two marks available. However, if a candidate's answer was just $2,000 \times 20\% = £400$ (without any explanation), then the full marks were not awarded because there was no way of knowing if this was a demonstration of a tax cost or saving or on which number. This underlines why it is important to make workings clear.

The second aspect was somewhat trickier, so it was rewarding to see many candidates get it right. This was the reduction in Amanda's child benefit income tax charge because she now had £2,000 less income. Given that the charge is at the rate of 2% per £100 on income exceeding £60,000, the percentage reduction was 10% ($2,000/200$). Candidates could either recalculate the charge, or simply work out the reduced charge based on the amount of child benefit ($£3,149 \times 10\% = £315$).

124 DANIEL, FRANCINE AND GREGOR (ADAPTED)



Walk in the footsteps of a top tutor

**Key answer tips**

This question comprises three separate parts, each related to a different area of income tax.

Part (a) tests the popular examination topic of partnership profit shares. This part has been changed from the original question as the syllabus area previously tested is no longer examinable.

Part (b) tests the calculation of a beneficial loan benefit. Employment benefits are a good opportunity for some easy marks, but care must be taken here as the loan is made part way through a tax year and the loan is not interest-free.

Part (c) tests trading losses and you should think carefully before beginning to answer. The requirement asks you to calculate the remaining loss to carry forward and not net income after loss relief, as you may have been expecting.

**Tutor's top tips**

This question is made up of three separate scenarios, which could be attempted in any order.

One strategy is to attempt the parts that you are most confident with first, ensuring you stick to the appropriate time allocation. Then use the remaining time for the question to attempt any parts that you are less confident about.

(a) Partnership profit shares

	Total	Beatrice	Claude	Daniel
	£	£	£	£
Year ended 31 October 2025				
6 months ended 30 April 2025		50%	50%	
£96,000 × 6/12	48,000	24,000	24,000	
6 months ended 31 Oct 2025		35%	35%	30%
£96,000 × 6/12	48,000	16,800	16,800	14,400
	<u>96,000</u>	<u>40,800</u>	<u>40,800</u>	<u>14,400</u>
Year ended 31 October 2026				
		35%	35%	30%
	180,000	63,000	63,000	54,000
	<u>180,000</u>	<u>63,000</u>	<u>63,000</u>	<u>54,000</u>

(b) Francine – Beneficial loan

Average method	£	£
Loan on 1 August 2025		96,000
Loan at end of 2025/26 tax year		110,000
		206,000
Average loan ($£206,000 \div 2$)		103,000
Taxable benefit ($£103,000 \times 3.75\% \times 8/12$)		2,575
Less: Interest paid ($£96,000 \times 1.5\% \times 2/12$)	240	
($£110,000 \times 1.5\% \times 6/12$)	825	
		(1,065)
Taxable benefit		1,510

***Tutor's top tips***

It is specifically stated in the question that the beneficial loan benefit should be calculated using the average method. It is important to follow this instruction as calculating an alternative benefit using the precise method will not score marks and will waste time that you could use elsewhere.

(c) Gregor – Loss memorandum

	£
Loss – 2025/26	68,800
Loss: Set off against total income 2024/25 (W1)	(20,600)
Loss: Set off against total income 2025/26 (W1)	(900)
Loss: Extended to chargeable gains 2025/26 (W2)	(14,500)
Loss carried forward	32,800

Workings**(W1) Income tax computations**

	2024/25	2025/26
	£	£
Trading income	14,700	0
Property income	4,600	0
Interest income	1,300	900
Total income	20,600	900
Less: Loss relief – current year		(900)
– prior year	(20,600)	
Net income	0	0

**Tutorial note**

The property loss of £2,300 in the tax year 2025/26 is carried forward against future property income. It cannot be offset against 2025/26 total income nor carried back against any income from the tax year 2024/25.

(W2) Trading loss relief against chargeable gains

The trading loss relief claim against the chargeable gain = Lower of:

- Chargeable gain less capital loss brought forward
= (£17,400 – £2,900) = £14,500, and
- Trading loss remaining = (£68,800 – £20,600 – £900) = £47,300

Therefore the maximum loss that can be offset against chargeable gains is £14,500.

**Tutorial note**

Gregor wishes to relieve his trading loss of £68,800 as early as possible so after a claim against total income is made in 2025/26, a claim against capital gains is made. The loss relief claim against the chargeable gain is restricted by the capital loss brought forward from 2024/25.

ACCA Marking scheme	
	<i>Marks</i>
(a) Partnership profit shares	
6 months ended 30 April 2025	1.0
6 months ended 31 October 2025	1.0
Year ended 31 October 2026	1.0
	—
	3.0
	—
(b) Francine – Beneficial loan 2025/26	
Interest at official rate (average method)	1.5
Interest actually paid	1.5
	—
	3.0
	—
(c) Gregor – Trading loss carried forward	
2024/25 – claim against total income	1.0
2025/26 – claim against total income	1.0
2025/26 – claim against chargeable gains	1.5
Loss carried forward	0.5
	—
	4.0
	—
Total	10.0
	—

PENSIONS AND NIC**125 JACK (ADAPTED)***Walk in the footsteps of a top tutor***Key answer tips**

This question is really three separate questions. Requirements (a) and (c) are straightforward, whereas requirement (b) is a bit tricky, so you may want to leave this part until last.

Part (a) required basic inheritance tax planning knowledge but in a written context. Don't forget you may need to explain tax implications in the examination as well as calculate them!

Part (b) required a good understanding of tax relief for pension contributions and the availability of the annual allowance. The annual allowance is included in the tax rates and allowances provided to you in the examination. Part (b)(ii) in particular was tricky but remember it is only worth one mark – have a quick go and move on!

Part (c) required basic tax planning in relation to ISAs. The maximum investment per tax year is included in the tax rates and allowances provided to you in the examination.

- (a) The gift will be a chargeable lifetime transfer of £294,000 (£300,000 less annual exemptions of £3,000 for the tax years 2025/26 and 2024/25).

No lifetime inheritance tax will be payable because this is less than the nil rate band of £325,000, and if Jack survives for seven years, there will also be no inheritance tax liability on Jack's death.

The value of Jack's estate will therefore be reduced by £300,000, which will mean an eventual inheritance tax saving of £120,000 (£300,000 at 40%).



Tutorial note

Although no IHT will be payable on Jack's gift to a trust due to the availability of his nil rate band, the chargeable amount of £294,000 will have to be taken into account when calculating the nil rate band available to set against any further chargeable lifetime transfers (i.e. gifts to trusts) which are made within the following seven years.

- (b) (i) 1 For the tax year 2025/26, £49,730 (W1) of Jack's income is currently taxable at the higher rate of income tax.
- 2 This is less than the available annual allowances of £172,000 (W3) for the tax year 2025/26.
- 3 Restricting the amount of personal pension contributions to the amount qualifying for tax relief at the higher rate will minimise the cost of pension saving because each £100 saved will effectively only cost £60 (£100 less 40% tax relief).

(W1) Amount of income subject to tax at the higher rate

	£
Net income	112,000
Less: Personal allowance (W2)	(12,570)
Taxable income	99,430
Less: Basic rate band (£37,700 + (£1,000 × 12))	(49,700)
Amount of income falling in the higher rate band	49,730

(W2) Personal allowance

	£
Net income	112,000
Less: Grossed up personal pension contributions	(12,000)
Adjusted net income	100,000
Therefore full PA available	

(W3) Amount of annual allowance available

	£
Annual allowance 2025/26	60,000
Brought forward allowances:	
2024/25	60,000
2023/24	60,000
2022/23	40,000
Total available allowances	220,000
Less: Contributions made ($£1,000 \times 12 \times 4$)	(48,000)
Remaining allowance for 2025/26 contributions	172,000

***Tutorial note***

Unused annual allowances can be carried forward for up to three years.

It wasn't necessary to restrict Jack's annual allowance as his adjusted income is $\leq$ £260,000.

Although Jack's approach to pension saving will maximise the available tax relief, it will mean that some carried forward annual allowances are wasted.

- (ii) Jack will have total allowances of £96,000 to carry forward to 2026/27:

	Unused allowance
	£
2023/24 (60,000 – 12,000)	48,000
2024/25 (60,000 – 12,000)	48,000
2025/26 (60,000 – 12,000 – 48,000)	0
Total unused allowances to c/f	96,000



Tutorial note

This requirement was only worth one mark so the examining team were expecting you to build on your calculations from the previous part and use your technical knowledge of how brought forward annual allowances are utilised. A proof of the answer is as follows:

Remaining allowance for 2025/26 contributions	£172,000
Less: Additional contribution in 2025/26	(£49,730)
Less: Unused 2022/23 allowance no longer c/f	
Remaining allowance (£40,000 – £12,000)	£28,000
Utilised by additional contribution	
(£49,730 – £48,000*)	(£1,730)
	(£26,270)
Allowance remaining to carry forward to 2026/27	£96,000

** £48,000 of the additional contribution will utilise the remaining allowance from the current year (2025/26). The remaining £1,730 (£49,730 – £48,000) of the additional contribution will utilise the unused allowance carried forward from 2022/23. The unused allowances from the tax years 2023/24 and 2024/25 are not needed to allow tax relief on the additional contribution and are carried forward to 2026/27.*

- (c) Jack can invest in an ISA for the tax year 2025/26 until 5 April 2026, and another ISA for the tax year 2026/27 between 6 April 2026 and 5 April 2027.

The maximum possible amount which he can invest into stocks and shares ISAs during the next 30 days is therefore £40,000 (£20,000 × 2).

ACCA Marking scheme	
	Marks
(a) Inheritance tax	
Chargeable lifetime transfer	1.0
Inheritance tax	1.0
Value of estate	1.0
	3.0
(b) Pension contributions	
(i) Income at higher rate	1.5
Annual allowances for 2025/26 and three years b/f	1.5
Conclusion	1.0
	4.0
(ii) Unused allowances 2023/24 – 2025/26	1.0
(c) ISA	
Timing	1.0
Limit ×2	1.0
	2.0
Total	10.0

Examiner's report

This question proved difficult for many candidates, with some aspects consistently causing problems.

As regards part (a), long, detailed, computations were often provided when the answer was quite straightforward. For example, the gift would have reduced the taxpayer's death estate by £300,000, so the inheritance tax saving was simply £120,000 (£300,000 at 40%). There was no need for before and after computations.

As regards part (b), few candidates appreciated that restricting the amount of personal pension contributions to the amount qualifying for tax relief at the higher rate minimises the cost of pension saving because each £100 saved effectively only costs £60 (£100 less 40% tax relief).

As regards part (c), very few candidates realised that the 30 day period fell into two tax years, so the taxpayer could invest £20,000 by 5 April 2026, and then another £20,000 on or after 6 April 2026.

SELF-ASSESSMENT**126 ERNEST VADER (ADAPTED)**

Walk in the footsteps of a top tutor

**Key answer tips**

This is an unusual and tricky question requiring substantial written explanations and statements about ethical issues and self-assessment.

Detailed knowledge is required to score highly on this question; however the application of some basic common sense would also gain quite a few marks.

The **highlighted** words are key words or phrases that markers are looking for.

The legislation regarding the general anti-abuse rule and dishonest conduct by tax agents did not exist when this question was first written, and have been added since to test these areas. The original part (c) tested HMRC's information powers, which are no longer in the syllabus and this part has therefore been removed.

Part (d) has been amended to reflect changes to the examination structure.



Tutor's top tips

Remember to read the requirement carefully and allocate the time spent on each section.

Part (a) covers the classic topic of tax evasion and tax avoidance, but care must be taken to apply your knowledge to Ernest's particular problem. This part also tests awareness of the general anti-abuse rule.

Part (b) requires the application of common sense if the specific guidelines have not been learnt.

Parts (c) and (d) are straightforward if the self-assessment rules have been learnt, difficult if not learnt.

(a) Tax evasion and tax avoidance

- Tax evasion is illegal and involves the reduction of tax liabilities by not providing information to which HMRC is entitled, or deliberately providing HMRC with false information.
- In contrast, tax avoidance involves the minimisation of tax liabilities by the use of any lawful means. However, certain tax avoidance schemes must be disclosed to HMRC.
- The general anti-abuse rule is a rule to counter artificial and abusive schemes where arrangements (which cannot be regarded as a reasonable course of action) are put in place deliberately to avoid tax.
- If Ernest makes no disclosure of the capital gain then this will be viewed as tax evasion as his tax liability for the tax year 2025/26 will be understated by £18,000.

(b) Failure to disclose information to HMRC

- How to deal with the failure to disclose is a matter of professional judgement, and a trainee Chartered Certified Accountant would be expected to act honestly and with integrity.
- Ernest should therefore be advised to disclose details of the capital gain to HMRC.
- If such disclosure is not made by Ernest, you would be obliged to report under the money laundering regulations, and you should also consider ceasing to act for Ernest.
- In these circumstances you would be advised to notify HMRC that you no longer act for him although you should not provide any reason for this.

(c) Penalties for tax agent

- A civil penalty may be payable by the firm if they have engaged in dishonest conduct, which may be the case if they have failed to supply the information HMRC have requested.
- The potential penalty is up to £50,000.

(d) Interest payable

- Late payment interest will run from the due date of 31 January 2027 to the payment date of 31 July 2027.

ACCA Marking scheme	
	Marks
(a) Tax evasion	1.0
Tax avoidance	1.0
General anti-abuse rule	1.0
Non-disclosure of disposal	1.0
	4.0
(b) Professional judgement	0.5
Advise disclosure	1.0
Report under Money Laundering Regulations	0.5
Cease to act and inform HMRC that ceased	1.0
	3.0
(c) Civil penalty for dishonest conduct	1.0
£50,000 penalty	1.0
	2.0
(d) Interest period	1.0
Total	10.0

Examiner's report

This question was not well answered, with many candidates attempting it as their final question or omitting it altogether. This was disappointing given that several sections covered recent tax management changes which have been covered in my Finance Act articles.

In part (a) most candidates knew the difference between tax evasion and tax avoidance, but many failed to score an easy mark by not stating that the taxpayer's actions would be viewed as tax evasion.

Part (b) caused problems for most candidates but a common sense approach would have gained most of the available marks. Unfortunately, far too many candidates instead just incorrectly explained that it would be necessary to inform HMRC themselves.

Note: The examiner's comments on the original parts (c) and (d) have been deleted as they are no longer relevant to the amended question.

127 SOPHIE SHAPE (ADAPTED) *Walk in the footsteps of a top tutor***Key answer tips**

Occasionally the examining team do include a section C question solely testing administration aspects of taxation such as this 10 mark personal tax question.

Parts (a) and (b) test the popular examination topic of payments on account. Part (c) tests tax return due dates for 1 mark. Part (d) tests compliance checks.

Provided you have revised the administration chapter, this question should be straightforward.

(a) Schedule of tax payments

Due date	Tax year	Payment	£
31 July 2026	2025/26	Second payment on account $\text{£}7,060 (\text{£}5,240 + \text{£}1,820) \times 50\%$	3,530
31 January 2027	2025/26	Balancing payment $\text{£}13,287 (\text{£}6,100 + \text{£}1,910 + \text{£}5,277)$ $- \text{£}7,060 (\text{£}3,530 \times 2)$	6,227
31 January 2027	2026/27	First payment on account $\text{£}8,010 (\text{£}6,100 + \text{£}1,910) \times 50\%$	4,005

**Tutorial note**

- 1 The second payment on account for the tax year 2025/26 is based on Sophie's income tax and class 4 NIC liability for the previous tax year.
- 2 The balancing payment for the tax year 2025/26 includes the capital gains tax liabilities for that year.
- 3 The first payment on account for the tax year 2026/27 is based on Sophie's income tax and class 4 NIC liabilities for the previous tax year.

(b) Reduction of payments on account

If Sophie's payments on account for the tax year 2025/26 were reduced to £Nil, then she would be charged interest on the payments due of £3,530 from the relevant due date to the date of payment.

A tax geared penalty will be charged as the claim to reduce the payments on account to £Nil would appear to be made fraudulently or negligently.

(c) Filing a paper tax return

Unless the notice to file a return is issued late, the latest date when Sophie can file a paper self-assessment tax return for the tax year 2025/26 is 31 October 2026.

(d) Compliance check

If HM Revenue & Customs (HMRC) intend to carry out a compliance check into Sophie's 2025/26 tax return they will have to notify her within 12 months of the date when they receive the return.

HMRC has the right to carry out a compliance check as regards the completeness and accuracy of any return, and such a check may be made on a completely random basis.

However, compliance checks are generally carried out because of a suspicion that income has been undeclared or because deductions have been incorrectly claimed. For example, where accounting ratios are out of line with industry norms.

Section 7

ANSWERS TO PRACTICE CHARGEABLE GAINS QUESTIONS

PRACTICE SECTION A OBJECTIVE TEST QUESTIONS

INDIVIDUALS – CAPITAL GAINS TAX

128 B and F

Qualifying corporate bonds, gilt-edged securities, a main residence (which has always been lived in by the owner) and all cars (regardless of any business use), are all exempt from CGT.

A painting is a non-wasting chattel. A non-wasting chattel is a chargeable asset unless it is bought and sold for less than £6,000 which is unlikely to be the case for a painting by a famous artist.

Assets used in the trade are still chargeable assets and will potentially realise a chargeable gain if they are sold at a profit. The wasting chattel rules do not apply to assets on which capital allowances have been claimed.

129 A

Examiner's report

Gift of a motor boat. A chattel is tangible, moveable property. A wasting chattel is a chattel with a predictable life of 50 years or less. A wasting chattel is generally exempt from CGT. The motor boat is a wasting chattel and is therefore an exempt disposal.

Shares in an unquoted company are not exempt, although may benefit from CGT reliefs available on business assets.

Antique jewellery is a non-wasting chattel (i.e. a predictable life of over 50 years) and therefore is only exempt if both sales proceeds and cost are less than £6,000.

Land is a chargeable asset.

130 A

	£
Chargeable gain	20,700
Less: AEA	(3,000)
Taxable gains	17,700
Capital gains tax:	
£10,500 (W) × 18%	1,890
£7,200 × 24%	1,728
	3,618
(W) Remaining basic rate band	
	£
Basic rate band	37,700
Extended by gross pension contributions ($£2,000 \times 100/80$)	2,500
	40,200
Taxable income	(29,700)
Remaining basic rate band	10,500

Examiner's report

Option B forgets to deduct the AEA from the chargeable gain

Option C forgets to extend the BRB by the gross pension contribution, and

Option D does not deduct the AEA or extend the BRB

131 £8,808

	£
Disposal proceeds	159,000
Less: Deemed acquisition cost	(115,000)
Chargeable gain	44,000
Less: AEA	(3,000)
	41,000
Less: Capital losses b/f	(4,300)
Taxable gains	36,700
Capital gains tax payable ($£36,700 \times 24\%$)	8,808

**Tutorial note**

A transfer between spouses is a no gain/no loss transfer. Sophia's deemed acquisition cost is equal to the deemed proceeds on the transfer from her husband. This is equal to his acquisition cost.

132 C

	£
Chargeable gain	8,700
Less: AEA	(3,000)
Taxable gains	5,700
Capital gains tax:	
£5,700 × 18%	1,026

(W) Remaining basic rate band

	£
Basic rate band	37,700
Taxable income (£43,000 – £12,570)	(30,430)
Remaining basic rate band	7,270

**Tutorial note**

Since all of the taxable gains fall within the basic rate band, they are all taxed at the lower rate of 18%.

Examiner's report (adapted)

Option A – £1,652 is the full chargeable gain of £8,700 (no AEA given) taxed at 18% for £7,270 and £1,430 at 24%

Option B – £2,088 is the full chargeable gain of £8,700 taxed at 24%; and

Option D – £1,368 is the taxable gain (£8,700 less AEA £3,000) at 24% the higher rate of CGT.

133 B**Tutorial note**

The CGT due date will be the same whether the asset is split between spouses (or civil partners) or not.

134 A and D**Examiner's report**

This question covers all the rules about the current and brought forward capital losses. The question is in the format of a multiple choice from which two options should be chosen.

Brought forward capital losses are deducted after the annual exempt amount (AEA) is deducted, thus ensuring that no AEA is wasted.

Capital losses are generally not set against income but can be carried forward to be set off against future chargeable gains.

135 £2,000

	£
Painting 1	
Non-wasting chattel bought and sold for < £6,000	Exempt
Painting 2	
Sale proceeds	7,200
Less: Cost	(1,000)
Chargeable gain	6,200
Gain cannot exceed:	
$5/3 \times (£7,200 - £6,000)$	2,000
Total chargeable gain (£0 + £2,000)	2,000

**Tutorial note**

The two paintings disposed of in this question are non-wasting chattels.

If non-wasting chattels are bought and sold for £6,000 or less they are exempt.

If bought for £6,000 or less but are sold for more than £6,000, the gain is restricted to:

$5/3 \times (\text{gross proceeds} - £6,000)$.

136 C

	£
Deemed sale proceeds	6,000
Less: Allowable selling costs (legal fees)	(300)
Net sale proceeds	5,700
Less: Allowable expenditure	
Cost	(22,000)
Incidental costs of acquisition	(800)
Allowable loss	(17,100)

**Tutorial note**

The vase disposed of in this question is a non-wasting chattel.

If a non-wasting chattel cost more than £6,000 but is sold for £6,000 or less, the allowable loss is calculated using deemed gross sale proceeds of £6,000.

137 £1,000

	£
Chargeable gain	17,400
Less: Current year capital losses	(10,100)
Net current year gains	7,300
Less: AEA	(3,000)
	4,300
Less: Capital losses b/f (restricted)	(4,300)
Taxable gains	0

Capital loss c/f

	£
2024/25 Loss	5,300
Utilised – 2025/26	(4,300)
Loss c/f	1,000

**Tutorial note**

The offset of capital losses brought forward is restricted to preserve the annual exempt amount.

138 C

	£
Sale proceeds	28,800
Less: Allowable element of acquisition cost (W)	(12,600)
Chargeable gain	16,200

Working: Allowable element of acquisition cost

Remaining life at disposal = 9 years

Estimated useful life = 15 years

Allowable cost = $\text{£}21,000 \times 9/15 = \text{£}12,600$

139 D

	£
Sale proceeds	425,600
Deemed cost of remainder ($\text{£}300,000 - \text{£}112,500(W)$)	(187,500)
Chargeable gain	238,100
Capital gains tax payable by:	31 January 2027

Working: Part disposal March 2020

Deemed cost of 10 hectares disposed of:

$\text{£}300,000 \times \text{£}150,000 / (\text{£}150,000 + \text{£}250,000)$

£112,500

140 D

	£
Proceeds	27,900
Cost ($\text{£}31,320 \times 14/30$)	(14,616)
Chargeable gain	13,284

**Tutorial note**

The copyright is a wasting asset as it has an expected life of ≤ 50 years. The allowable expenditure is restricted to take account of the asset's natural fall in value.

The asset's fall in value is deemed to occur on a straight line basis over its useful life.

141 B

	£
Base cost of replaced warehouse:	
Purchase price	64,000
Less Deferred Gain (W)	(12,000)
Revised Base Cost	52,000
Working	
Insurance proceeds	71,000
Less: Original cost	(52,000)
	19,000
Gain deferred (balancing figure)	(12,000)
Chargeable gain (proceeds not reinvested = £71,000 – £64,000)	7,000

**Tutorial note**

Where insurance proceeds are received in respect of an asset that has been destroyed there is a disposal. However, if some of the insurance proceeds are used in replacing the asset the taxpayer may claim to defer part of the gain against the cost of the replacement asset.

The part of the insurance proceeds that is not used to replace the asset is chargeable immediately and only the balance of the gain can be deferred.

Examiner's report

The incorrect answers are:

A – £64,000 – (£71,000 – £52,000) = £45,000 being the reinvested amount less the whole gain, i.e. no restriction on the amount of available rollover relief.

C – £64,000 – (£71,000 – £64,000) = £57,000 being the amount reinvested less the gain immediately chargeable to tax.

D – £64,000 – being the purchase price of the replacement warehouse.

142 B

	£
Original cost	73,000
Plus: Restoration expenditure	41,700
Less: Insurance proceeds	(37,200)
Revised base cost	77,500

143 £10,133

	£
Sales proceeds (W)	12,800
Cost ($£4,000 \times 10,000/15,000$)	(2,667)
Chargeable gain	10,133

Working: Average of quoted prices

$(120p + 136p) \div 2$	128p

Sales proceeds = £12,800 ($128p \times 10,000$)

***Tutor's top tips***

The share prices quoted in the question are given in pence, but you are required to provide your answer in pounds. Be careful when entering your answer that you have done this if the question requires you to!

144 B

	£
Gilts	Exempt
Martin plc shares:	
Proceeds – Market value	12,300
Less: Cost	(8,000)
Chargeable gain	4,300

**Tutorial note**

Where an asset is transferred to a connected party, market value is substituted for actual gross proceeds.

145**Matching order**

Matched first	2,000 shares from the purchase on 1 October
Matched second	3,000 shares from the purchase on 23 October
Matched third	15,000 shares from the share pool as at 1 October

**Tutorial note**

The matching rules require that shares disposed of by an individual are matched against shares acquired in the following order:

- 1 Shares purchased on the same day as the date of disposal; then*
- 2 Shares purchased within the following 30 days; then*
- 3 Shares in the share pool (made up of shares acquired before the date of disposal).*

146 £4,620

	£
Chargeable gain	36,000
Less: AEA	(3,000)
	33,000
Taxable gain	33,000
	4,620
Capital gains tax (£33,000 × 14%)	

**Tutorial note**

The gain on the shares is taxed at 14% as the disposal is eligible for Investors' relief (IR). Siobhan had not made any previous disposals, therefore the £1 million lifetime limit is available. IR applies to the disposal of:

- unlisted ordinary shares in a trading company (including AIM shares)*
- subscribed for (i.e. newly issued shares)*
- which have been held for a minimum period of 3 years*
- by an individual that is not an employee of the company.*

147 B

The allowable cost is £62,500 (W) and the capital gains tax is due on 31 January 2027.

Working: Share pool

		Number	Cost £
April 2014	Purchase	40,000	260,000
May 2017	Rights issue (1:4) @ £4 per share	10,000	40,000
		50,000	300,000
May 2021	Bonus issue (1:5)	10,000	0
		60,000	300,000
March 2026	Sale (12,500/60,000 × £300,000)	(12,500)	(62,500)
		47,500	237,500

148 £100,000

The total consideration provided by Riley plc is:

	MV £	Cost £
Cash (50,000 × £3)	150,000	50,000
Shares (50,000 × 2 × £1.20)	120,000	40,000
	270,000	90,000

Hunter has made a part disposal in relation to the cash consideration.

	£
Disposal proceeds (cash: 50,000 × £3)	150,000
Less: Original cost (£150,000/£270,000 × £90,000)	(50,000)
Chargeable gain	100,000

149 C

Date	Explanation	Total months	Exempt months	Chargeable months
31.3.2012 to 31.3.2017	Actual occupation	60	60	
1.4.2017 to 31.3.2019	Employed overseas	24	24	
1.4.2019 to 31.3.2020	Actual occupation	12	12	
1.4.2020 to 31.3.2026	Empty	72	9	63
		168	105	63

**Tutorial note**

Any period of employment overseas is exempt, providing there is actual occupation at some point before and at some point after the period of employment.

The last nine months of ownership are exempt as the property was Angus' main residence at some point.

150 £8,000

	£
Chargeable gain before reliefs	120,000
Less: PRR ($£120,000 \times 6/10$)	(72,000)
	48,000
Less: Letting relief (W)	(40,000)
Chargeable gain	8,000

Working: Letting relief

Lowest of:

- 1 Maximum = £40,000
- 2 PRR = £72,000
- 3 Gain on letting = £48,000

**Tutorial note**

PRR is available on 6/10 of the gain as Masuma has always occupied six out of the ten rooms in the house. Masuma cannot benefit from the rules of deemed occupation on the remaining four rooms as she has never used them as part of her main residence. Letting relief is available as the property has been let as part of a shared occupancy.

151 C and F

Only fixed (i.e. not movable) plant and machinery qualifies for rollover relief.

Shares are not qualifying assets.

Assets must be used for trading purposes to qualify for rollover relief.

Goodwill qualifies for rollover relief provided it is disposed of by a sole trader and not a company.

152 C**Disposal on 13 May 2025**

Chargeable gain is the lower of:

1 All of the chargeable gain = **£38,600**

2 Sale proceeds not reinvested

(£184,000 – £143,000) = £41,000

As all of the gain is chargeable in the tax year 2025/26, no rollover relief claim is possible.

Accordingly, the base cost of the replacement asset is the actual cost of £143,000.

153 £70,085

	£	£
Sale of warehouse		
Sale proceeds		270,213
Less: Cost	231,211	
Less: ROR on factory (Note)	(31,083)	
	<u> </u>	(200,128)
		<u> </u>
Chargeable gain		<u>70,085</u>

***Tutorial note***

The proceeds from the sale of the factory were fully reinvested in the warehouse.

Therefore, the gain on the factory of £31,083 can be fully rolled over against the acquisition cost of the warehouse.

154 A

Qualifying business assets for gift holdover relief include assets used in a trade, profession or vocation carried on by the donor and shares and securities in trading companies. Therefore, gift holdover relief is available in respect of the disposal of the interest in the partnership to his son for less than market value, however it is not available in respect of the gift of shares to his daughter, since the company is not a trading company.

155 B

Ben will qualify for BADR as he has worked for the company, and has owned at least 5% of the shares, for at least two years prior to the disposal. The others do not meet all of these conditions:

Amin – never worked for the company

Camilla – has only owned the shares for three months

Dimitri – owns <5%

156 C

	£
Proceeds (MV)	98,000
Less: Cost	(41,500)
Gain before relief	56,500
Gift holdover relief (balancing figure)	(45,000)
Chargeable gain (£53,000 – £41,500)	11,500

**Tutorial note**

The full gain cannot be deferred using gift holdover relief where there are actual proceeds in excess of cost (i.e. the donor has made a profit). In this case the actual proceeds of £53,000 exceeded the cost by £11,500. Therefore £11,500 of the gain is chargeable immediately and only the balance can be deferred using gift holdover relief.

There is no requirement for the donor to work at the company or to have held the shares for a minimum time period when claiming gift holdover relief in relation to shares. These are requirements for BADR.

COMPANIES – CHARGEABLE GAINS**157 B**

	£
Sale of warehouse	
Sale proceeds	830,000
Less: Legal fees	(30,000)
Net sale proceeds	800,000
Less: Cost (£250,000 + £20,000)	(270,000)
Unindexed gain	530,000
Less: Indexation allowance (Note)	
Cost (£270,000 × 0.276)	(74,520)
Chargeable gain	455,480

Note: Indexation has been frozen at December 2017.

158 C

	£
Land	
Sale proceeds	45,000
Less: Cost	(20,000)
Unindexed gain	25,000
Less: Indexation allowance (W)	
Cost (£20,000 × 1.418) – restricted	(25,000)
Chargeable gain	0
Warehouse	
Sale proceeds	75,000
Less: Cost	(80,000)
Unindexed loss	(5,000)
Less: Indexation allowance (Note)	0
Allowable loss	(5,000)

**Tutorial note**

The indexation allowance cannot increase or create a loss.

159 £55,000

	£
Year ended 30 June 2025	
Capital loss	80,000
Offset against current year chargeable gain	(25,000)
Loss carried forward	55,000

**Tutorial note**

Capital losses can only be offset against chargeable gains arising in the same accounting period. Any remaining loss is then carried forward against future capital gains.

Capital losses cannot be offset against current year total profits nor carried back and offset against income or gains from previous accounting periods.

160 C

The indexed cost on the disposal of shares is £19,705 (W).

Working: Share pool

		Number	Cost	Indexed cost
			£	£
April 1995	Purchase	25,000	33,000	33,000
1A to December 2017 (Note)	$0.866 \times £33,000$			28,578
		25,000	33,000	61,578
June 2025	Sale	(8,000)		
	$(8,000/25,000 \times £33,000)$		(10,560)	
	$(8,000/25,000 \times £61,578)$			(19,705)
		17,000	22,440	41,873

Note: Indexation has been frozen at December 2017.

161

	True	False
The £250,000 gain which could be deferred as a result of the acquisition of the machine will become chargeable on 1 October 2035		✓
The company must make a rollover relief election by 31 December 2029	✓	

The election must be made within four years of the later of the end of the accounting period in which the old asset is sold and the new asset is acquired.

**Tutorial note**

The deferred gain of £250,000 will become chargeable 10 years after the replacement asset is acquired (i.e. on 1 November 2034).

PRACTICE SECTION B OBJECTIVE TEST CASES

INDIVIDUALS – CAPITAL GAINS TAX

162 MICHAEL CHIN (ADAPTED)



Key answer tips

A typical examination question on capital gains tax with a series of disposals covering a variety of topics. Remember to use the market value as the proceeds in the computation of the gains when the disposal is a gift.

1 B

	£
Disposal of business	
Goodwill	60,000
Freehold property	64,000
Storage unit	(13,000)
Net chargeable gains qualifying for business asset disposal relief	111,000



Tutorial note

The **net chargeable gains** on the disposal of an unincorporated business qualify for BADR provided the business has been owned by the sole trader for two years prior to the disposal. The period of ownership of the individual assets is irrelevant.

Losses on the disposal of assets that are part of the business qualifying for BADR must be offset against the gains on the disposal of the same business.

2 £74,000

Ordinary shares in Minnow Ltd	£
Deemed proceeds = MV	180,000
Less: Cost	(87,500)
	92,500
Less: Gift holdover relief (W)	(74,000)
Chargeable gain	18,500

Working

The gift holdover relief in respect of the ordinary shares in Minnow Ltd is restricted because the shares are in Michael's personal trading company (i.e. he owns > 5%) and the company has investment assets.

The proportion of gain eligible for gift holdover relief is the proportion of chargeable business assets to chargeable assets, calculated as follows:

$$\text{Gift holdover relief} = (£92,500 \times £200,000 / £250,000) = £74,000$$

**Tutorial note**

Gift holdover relief is available as ordinary shares in an unquoted trading company are qualifying assets for gift holdover relief purposes. However full relief is not available as the shares are in Michael's personal trading company and the company holds investments.

3 D

	£	£
Painting		
Gross proceeds (£5,900 + £656)	6,556	
Less: Selling costs	(656)	
Net proceeds	5,900	
Less: Cost	(4,000)	
Gain	1,900	
Chargeable gain restricted to maximum of:		
5/3 × (£6,556 – £6,000)	927	927

**Tutorial note**

It is important to be able to recognise when an asset is a chattel (i.e. tangible and movable) and therefore that the disposal is subject to special rules. Also, it is the gross proceeds not the net proceeds that should be compared with the limit of £6,000.

4

Chargeable gain/allowable loss	Gain not chargeable/loss not allowable
	Necklace
	Boat
	Machine

**Tutorial note**

It is important to be able to recognise when an asset is a chattel (i.e. tangible and movable) and therefore that the disposal is subject to special rules.

The necklace is a chattel that was bought and sold for less than £6,000. It is therefore an exempt chattel and the loss is not an allowable loss.

The boat is exempt as a wasting chattel and the gain is therefore not chargeable.

The machine is a wasting chattel, but as it has been used for trading activities it is not an exempt disposal. However, the capital loss is not allowable as relief will be given through the capital allowances computation instead.

5

Loss b/f	Use against gains qualifying for BADR	Use against gains not qualifying for BADR
£16,800		✓
£19,000		

Loss left to c/f to 2025/26

	£
Capital loss – 2023/24	16,800
Less: Used in 2024/25 (W)	0
Loss c/f to 2025/26	16,800

In order to maximise the tax saved, the loss should be used against gains not qualifying for BADR.

Working – Capital loss brought forward

	£
Chargeable gain – 2024/25	7,800
Less: Current year capital loss	(7,000)
Net current year gains	800
Less: AEA (restricted)	(800)
Taxable gain	0

**Tutorial note**

The capital loss brought forward is not used in the tax year 2024/25 as the AEA already covers the net gains.

163 BO (ADAPTED)**Key answer tips**

This case covers an individual making disposals eligible for reliefs. The first two questions relate to a gift of a business asset and the application of gift holdover relief, followed by a basic calculation of capital gains tax. The third question tests payment and claim dates – it is important to learn the administration rules and to be able to apply them to a given scenario. The fourth question is a basic calculation of capital gains tax.

The last question relates to a separate individual and tests the rules regarding PRR.

1 A

Since no consideration has been paid for the shares, all of Bo's chargeable gain can be held over (i.e. deferred) with a gift holdover relief claim. The base cost of Chi's 50,000 £1 ordinary shares in Botune Ltd is:

	£
MV of shares acquired	210,000
Less: Gift holdover relief (W)	(116,000)
Base cost of shares	94,000

Working: Gift holdover relief

	£
Deemed proceeds = MV	210,000
Less: Cost	(94,000)
	116,000
Less: Gift holdover relief	(116,000)
Chargeable gain	0

2

	True	False
Bo's chargeable gain would have been £66,000	✓	
Bo and Chi would not have been able to claim gift holdover relief		✓
The base cost of the shares for Chi would be £210,000		✓

Bo and Chi would have been able to claim gift holdover relief as the consideration paid for the shares would be less than the market value. Bo's chargeable gain would have been calculated as follows:

	£
Deemed proceeds = MV	210,000
Less: Cost	(94,000)
	116,000
Less: Gift holdover relief (β)	(50,000)
Chargeable gain (£160,000 – £94,000)	66,000

The base cost of the shares for Chi would be £160,000.

	£
MV of shares acquired	210,000
Less: Gift holdover relief (W)	(50,000)
Base cost of shares	160,000

3

		Election date	
		5 April 2030	31 January 2031
CGT due date	31 January 2026		
	31 January 2027	✓	



Tutorial note

Capital gains tax is due under self-assessment, with the balancing payment for income tax, on 31 January following the tax year i.e. 31 January 2027 for the tax year 2025/26.

A gift holdover relief claim must be made within four years of the end of tax year of the gift i.e. 5 April 2030 for a disposal in the tax year 2025/26.

4 £1,596

	£
Chargeable gain	11,400
Less: AEA	(3,000)
Taxable gain	8,400
CGT payable:	£
Remaining BRB (£37,700 – £30,700) = £7,000	
£7,000 × 18%	1,260
£1,400 (£8,400 – £7,000) × 24%	336
	1,596

5 C**Working: PRR**

	Total months	Exempt months	Note	Chargeable months
1.10.2013 to 30.9.2015 (occupied)	24	24		
1.10.2015 to 31.12.2024 (unoccupied)	111	0	1	111
1.01.2025 to 30.09.2025 (last 9 months)	9	9	2	
	144	33		111

$$\text{PRR} = (£172,000 \times 33/144) = £39,417$$

***Tutorial note***

- 1 *Saffie can't use 'three years for any reason' as a period of 'deemed occupation' as she did not reoccupy the property.*
- 2 *The last nine months are always allowable provided the property was the taxpayer's PRR at some time.*

164 ALPHABET LTD (ADAPTED)



Walk in the footsteps of a top tutor



Key answer tips

This is a familiar style capital gains tax question involving three individuals making disposals. All of them had shares in a company which is taken over.

Takeovers can be complicated where there is mixed consideration and many students may have been put off by the opening paragraph. However, in this question, there is no mixed consideration and it is quite straightforward.

They are disposing of their existing shares and have a choice of either cash or shares, but not a mixture of the two.

Of the three individuals, one chooses cash and therefore they just have a straightforward disposal of shares for cash.

The other two choose shares, which is just a share for share exchange with no capital gains tax consequences at that time. The new shares just 'stand in the shoes' of the old shares and are deemed to have been acquired at the same cost and at the same time as the original shares. They then dispose of some of the new shares.

For the first part, detailed knowledge of the BADR conditions is required.

1

	Meets the conditions for BADR	Does not meet the conditions for BADR
Aloi	✓	
Bon		✓
Cherry		✓

Aloi

Aloi acquired her shareholding and became a director on 1 January 2015, so the qualifying conditions were met for the 24 months prior to the date of the takeover.

Bon

Bon acquired her shareholding and became a director on 1 February 2024, so the qualifying conditions were not met for the 24 months prior to the date of the takeover.

Cherry

Cherry owned 3,000 shares out of the 100,000 shares in the company, which is a 3% shareholding.

This is less than the minimum required holding of 5% to qualify for the relief.

**Tutorial note**

To qualify for BADR, the company must be trading and the individual must:

- Own 5% or more of the shares, and
- Work for the company, and
- Must satisfy both of these conditions for 24 months prior to the date of disposal.

Note that the question specifically asks whether the individuals meet the qualifying conditions in relation to their shares in Alphabet Ltd, i.e. before the date of the takeover.

2 £291,400

	£
Ordinary shares in Alphabet Ltd	
Disposal proceeds (60,000 × £6)	360,000
Cost (£50,000 + £18,600)	(68,600)
Chargeable gain	291,400

3 C

	£
Ordinary shares in XYZ plc	
Disposal proceeds (£7.14 × 10,000)(W)	71,400
Cost (£92,200 × 10,000/25,000)	(36,880)
Chargeable gain	34,520

Working: Valuation of quoted shares

The disposal is to a connected party (her brother) and market value is therefore used as the proceeds in the capital gains computation.

The shares in XYZ plc are valued using the mid-price (i.e. average) of the quoted prices in the Stock Exchange Daily Official List:

$$(\pounds 7.10 + \pounds 7.18) \times 1/2 = \pounds 7.14$$

$$\text{Total value is } 10,000 \times \pounds 7.14 = \pounds 71,400$$

**Tutorial note**

Following the takeover Bon received 25,000 ordinary shares in XYZ plc.

Where there is a share for share exchange, the cost of the original shareholding is treated as the cost of the new shareholding acquired on the takeover.

The cost of the new shares disposed of is therefore a proportion of the original cost of the Alphabet Ltd shares.

4 A

5 A

**Tutorial note**

Transfers on death are exempt disposals for CGT purposes. The daughter's cost of acquisition on a subsequent disposal is the probate value i.e. the market value of the shares at the date of death.

165 LILY**Key answer tips**

This is a fairly typical capital gains tax question involving a number of disposals. It tests the rules for wasting assets which are not chattels, part disposals, private residence relief and takeovers. The last question tests the capital gains tax liability for a separate individual who has disposed of a residential property and an asset qualifying for business asset disposal relief (BADR).

1 B

	£
Copyright	
Less: Depreciated cost ($£22,000 \times 12/15$)	17,600

**Tutorial note**

The copyright is a wasting asset. The cost of £22,000 must therefore be depreciated based on an unexpired life of 15 years at the date of acquisition and an unexpired life of 12 years at the date of disposal.

2 B

	£
Land – part disposal	
Allowable cost	
$£84,000 \times (£140,000 / (£140,000 + £60,000))$	58,800
Cost of clearing and levelling	14,400
Total cost	73,200

**Tutorial note**

The cost of the land originally purchased was for six acres but only four acres are sold. Unlike the copyright the land is not a wasting asset, therefore the original cost must be apportioned proportionate to the current market value. The total market value is £200,000, being £140,000 (for the four acres sold) plus £60,000 (for the two acres not sold). Lily is also allowed to deduct any capital costs directly relating to the sale of the four acres of land; being the £14,400 for clearing and levelling those four acres.

3 A

	Months	Occupation	Non- occupation
Occupied	32	32	
Unoccupied – travelling overseas	36	36	
Unoccupied – required to work elsewhere in the United Kingdom	60	48	12
Occupied	20	20	
Unoccupied – travelling overseas	20	9	11
	168	145	23

**Tutorial note**

The months of actual occupation are shown clearly. The deemed occupation must be preceded and succeeded by periods of occupation so the first period of 36 months is covered as absence for any reason (up to three years) and the second period of working elsewhere in the UK is covered for 48 months, and the “three years for any reason” period has already been utilised. The final period of travelling is not covered as deemed occupation since there was no actual occupation afterwards (and the “three years for any reason” period has already been utilised). However, nine months of the final period of ownership are covered as deemed occupation, even if not actually occupied.

4 A

	£
Disposal proceeds (cash received)	19,800
Less: Acquisition cost (W1)	(7,920)
Chargeable gain	11,880

(W) Takeover consideration and allocation of original cost

Consideration received	MV of takeover consideration	Allocation of cost
	£	£
Cash	19,800	
$£27,280 \times (£19,800/£68,200)$		7,920
£1 ordinary shares in Sun plc		
$(22,000 \times £2.20)$	48,400	
$£27,280 \times (£48,400/£68,200)$		19,360
	68,200	27,280

**Tutorial note**

It is not necessary to calculate the allocation of cost to the shares in order to calculate the gains, but this is shown here for completeness.

5 D

2025/26	BADR gains	Other gains
	£	£
BADR gains	44,200	
Residential property		107,400
	_____	_____
Chargeable gains	44,200	107,400
AEA		(3,000)
	_____	_____
Taxable gain	44,200	104,400
	_____	_____
Capital gains tax at 14%/24%	6,188	25,056
Total CGT payable (£6,188 + £25,056)		£31,244

**Tutorial note**

Lily's sister has no taxable income for the year 2025/26 therefore her £37,700 basic rate band is available. The chargeable gains (rather than taxable gains) are given and so the annual exempt amount (AEA) is also available of £3,000. It is more beneficial to set off the AEA against the residential gain; since residential property is subject to tax at 18% and 24%, whereas the other gain is taxed at 14% only. However, this gain qualifying for business asset disposal relief will use up the full basic rate band. So, this gain will be £44,200 which will be taxed at 14%. The residential gain will be reduced by the AEA and taxed at 24%.

166 ALBERT AND CHARLES (ADAPTED)**Walk in the footsteps of a top tutor****Key answer tips**

A typical capital gains question with two distinct parts. The first part tests the rules for PRR and husband and wife transfers. The second part tests the valuation of a gift, the share matching rules and the composition of the share pool.

1 B

One quarter of Albert's house was always used exclusively for business purposes, so the PRR is restricted to £462,825 (£840,000 – £222,900) × 3/4).

**Tutorial note**

*The last nine months exemption does not apply to the whole house as one quarter has **always** been used for business purposes. If the business use had only been for part of the period of ownership, the last nine months would have applied to the whole house.*

2 A, D

Private residence relief (PRR) would have been available to Victoria as married couples must (jointly) have one single main private residence.

Transferring 50% ownership of the house to Victoria prior to its disposal would have enabled her to use her remaining lower rate tax band of 18%. There is no saving in respect of her annual exempt amount which has already been utilised by her other disposals in the tax year.

Therefore, the capital gains tax saving would have been calculated as:

	£
Gains falling into the BRB for Victoria (£37,700 – £21,440) = £16,260	
– lower rate of CGT applied (£16,260 × 6% (24% – 18%))	976

**Tutorial note**

The tax saving could be calculated by computing the tax payable by Albert at 24%, and then computing the tax payable by Albert and Victoria sharing the gain equally. However, with only 2 marks available, there is insufficient time to perform all of these calculations. Therefore, the examining team expects you to be able to see the effect of the planning on the computations and perform a two-line short cut calculation.

3 £6,800

Share pool	Number	Cost £
Purchase 1 March 2017	20,000	19,800
Purchase 20 July 2021	8,000	27,800
	28,000	47,600
Disposal 23 October 2025 (£47,600 × 4,000/28,000)	(4,000)	(6,800)
Balance c/f	24,000	40,800

4

	Valid reason	Not a valid reason
Charles has never worked for the company		✓
Daphne paid Charles for the shares		✓
Charles did not own at least 5% of the ordinary shares and voting rights in Restoration plc	✓	

**Tutorial note**

There is no requirement for an individual to work for the company in order to claim gift holdover relief.

The donee paying for the asset does not prevent gift holdover relief being available. However, if the amount paid exceeds the cost to the donor, the gift holdover relief must be restricted so that any actual capital profit made by the donor at the time of the sale will be immediately chargeable.

There is a requirement to hold 5% of the shares for gift holdover relief to be available if the shares are in a quoted company (i.e. a plc).

5 A

	£
Sale of painting – April 2026	
Deemed proceeds	6,000
Less: Cost of disposal	(300)
Net proceeds	5,700
Less: Cost	(13,000)
Allowable capital loss	(7,300)

**Tutorial note**

You were required to apply the rules for non-wasting chattels. In this situation the gross proceeds were <£6,000 and the cost was ≥£6,000. This requires the use of deemed gross proceeds of £6,000 in the computation to determine the allowable capital loss.

167 ZOYLA (ADAPTED) *Walk in the footsteps of a top tutor*
**Key answer tips**

The presentation of this capital gains tax question is slightly unusual, as the capital gains tax liability is provided in the question, and then three requirements are to establish how some of the calculations will have been made. However, there is nothing unusual in the technical content, which covers the conditions for business asset disposal relief, a share disposal following a rights issue and the valuation of quoted shares on a gift.

The final two questions relate more to tax planning by delaying a sale.

1

Company	Size of shareholding	Holding period
Minor Ltd		✓
Major plc	✓	

**Tutorial note**

The shares in Minor Ltd had not been owned for the 24 months required for claiming business asset disposal relief.

Major wasn't Zoyla's personal company i.e. she didn't own $\geq 5\%$.

2 A

		Number of shares	£
15 Aug 2023	Purchase	22,500	117,000
12 Dec 2023	Rights issue (1:1) @ £7.40 per share	22,500	166,500
		45,000	283,500
20 June 2025	Sale ($\text{£}283,500 \times 20,000/45,000$)	(20,000)	(126,000)
		25,000	157,500

3 £154,880

	£
Mid-price per share ($£9.62 + £9.74$)/2	9.68
Total value of shares sold ($£9.68 \times 16,000$)	154,880

**Tutorial note**

The actual proceeds received must be substituted with market value at the date of the disposal as Zoyla and her son are connected for capital gains tax.

The market value is determined by taking the mid-price of the prices quoted on the stock exchange on the date of disposal.

4 B**Tutorial note**

The disposal would have fallen into the tax year 2026/27 rather than the tax year 2025/26 and the due date of payment of the resultant CGT would accordingly have been 31 January 2028 rather than 31 January 2027.

5

	True	False
Zoyla would not have saved any CGT, but would have benefited from the delayed payment date		✓
Zoyla would have saved CGT of $£3,000 \times 24\% = £720$ due to the AEA for the tax year 2026/27 being available	✓	
Zoyla would have saved CGT of $£10,600 \times 24\% = £2,544$ due to the remaining basic rate band for the tax year 2026/27 being available		✓

**Tutorial note**

Zoyla would have saved CGT of $£10,600 \times (24\% - 18\%) = £636$ due to the remaining basic rate band for the tax year 2026/27 being available.

168 HALI AND GOMA (ADAPTED)

**Key answer tips**

A typical examination question on capital gains tax covering a variety of topics.

The first question tests capital losses, which are regularly tested, therefore you should ensure that you learn the rules in relation to both current year and brought forward losses.

The second and fourth questions require you to identify the base cost of shares and a chattel respectively. The second question includes an asset transfer between husband and wife, which is automatically on a no gain/no loss basis. The fourth question requires knowledge of the treatment of compensation received for a destroyed asset, including the impact of reinvestment of the proceeds in a replacement asset.

The third and fifth questions are relatively quick questions to answer. Question three tests the conditions in relation to BADR. Question five asks you to identify the exempt assets from a list. If you are unsure, try to eliminate some of the answers if possible, then make a sensible attempt and move on.

1 D

Hali	2024/25
	£
Chargeable gain	7,000
Less: AEA	(3,000)
	4,000
Less: Capital losses b/f (restricted)	(4,000)
Taxable gains	0
Capital loss c/f	
	£
2023/24 Loss	39,300
Utilised – 2024/25	(4,000)
Loss c/f	35,300
Goma	2024/25
	£
Chargeable gain	6,900
Less: Current year capital loss	(6,900)
Net gain	0

Capital loss c/f

	£
2024/25 Loss	9,100
Utilised – 2024/25	(6,900)
Loss c/f	2,200

**Tutorial note**

Current year losses are always offset in full, even if this wastes some or all of the AEA. Brought forward losses are offset after the deduction of the AEA.

2 A

Hali's deemed cost is equal to Goma's acquisition cost of £5,000 (£1 × 5,000).

The selling price of £4.95 is the value per share. Given the need for a quick sale, there is no reason to believe that this is not a bargain at arm's length.

3 B**Tutorial note**

For BADR to be available on a disposal of shares, the seller must be employed by the company, but it is not necessary to be a director. The minimum required shareholding is 5%, not 10%. All qualifying conditions must have been met for the two years prior to the disposal, not three years.

4 C

	£
Insurance proceeds	62,000
Less: Cost	(44,000)
Chargeable gain	18,000
	£
Cost of replacement table	63,600
Less: Gain deferred (Note)	(18,000)
Base cost	45,600

**Tutorial note**

The insurance proceeds were fully reinvested within 12 months, therefore the gain can be deferred in full.

5 A

Qualifying corporate bonds, cars and shares held in an ISA are all exempt assets for the purposes of capital gains tax.

169 AVERY**Key answer tips**

This is a fairly typical capital gains tax question involving a number of disposals. The first question tests the calculation of the capital gains tax liability with brought forward losses and different types of disposal. The next three questions test the calculations for transfers between spouses, share disposals and gift holdover relief. The last question covers the administrative side of a gift holdover relief claim. It is important to also learn claim dates, and who is responsible for making a claim.

1 B

2025/26	BADR gains	Other gains
	£	£
BADR gains	98,600	
Other gains		83,100
Chargeable gains	98,600	83,100
AEA		(3,000)
	98,600	80,100
Less: Capital losses b/f		(24,400)
Taxable gain	98,600	55,700
Capital gains tax at 14%/24%	13,804	13,368
Total CGT payable (£13,804+ £13,368)		£27,172

**Tutorial note**

Brought forward losses are offset after the deduction of the AEA. Both the AEA and the brought forward losses should be offset against the other gains, which are taxed at 24% (because Avery is an additional rate taxpayer), rather than BADR gains, which are only taxed at 14%.

2 D

As Avery and Baylor are married, the transfer of the property will be made on a no gain no loss basis, so that Avery (the transferee) will take over the property at the cost to Baylor (the transferor).

The cost to Baylor is the probate value (the market value of the property at the date of death) of £213,000 plus the enhancement expenditure on the basement extension of £51,000 totalling £264,000.

3 D

The shares were all sold in August 2025 and the base cost will be established by reviewing the earlier transactions in these ordinary shares. The 6,000 shares sold on 23 October 2020 will have been matched with the shares purchased within 30 days of the sale meaning that of the 8,000 shares purchased on 1 November 2020, 6,000 shares will be matched with the 23 October 2020 disposal. Therefore, the amount to be included as cost in the share pool in respect of the November purchase will only be in respect of 2,000 of the 8,000 shares purchased.

Working: Share pool

		Number	Cost £
12 April 2017	Purchase	38,000	98,800
1 November 2020	Purchase (2,000/8,000 × £24,800)	2,000	6,200
		40,000	105,000
18 August 2025	Sale	(40,000)	(105,000)
		0	0

4 A

	£
Proceeds (MV)	220,000
Less: Cost	(55,000)
Gain before relief	165,000
Gift holdover relief (balancing figure)	(40,000)
Chargeable gain (£180,000 – £55,000)	125,000

**Tutorial note**

The sale will be deemed to take place at market value because it is not an arms-length transaction. The amount which qualifies for gift holdover relief will be restricted by the excess of proceeds received by Baylor over the original cost of the shares, (this amount will be chargeable immediately). The balance of the gain can be deferred/held over.

5

		Claimants	
		Either Baylor or her son	Baylor and her son
Date	5 April 2030		✓
	31 January 2027		

**Tutorial note**

The transferor (Baylor) and the transferee (Baylor's son) can jointly claim within four years of the end of the tax year of the transfer.

170 JEROME (ADAPTED)

*Walk in the footsteps of a top tutor***Key answer tips**

This question tests basic chargeable gains computations for individuals, along with a key relief: gift holdover relief.

You do not have to deal with the questions in order. The disposal of the bracelet was relatively straightforward and would have been a good place to start. You should be familiar with the chattels rules that apply to this disposal.

1 £0

**Tutorial note**

Disposals of assets between married couples and civil partners are automatically on a no gain/no loss basis. If you are provided with the market value or any actual proceeds, they are merely there to distract you. Therefore, the gift of the house does not give rise to any gain or loss because it is a transfer between spouses.

2 £50,600

Gift holdover relief is restricted to £50,600 ($£59,400 \times £460,000/£540,000$), being the proportion of chargeable business assets to chargeable assets. ($£59,400 = £98,400 - £39,000$)

**Tutorial note**

The gift holdover relief computation tested the restriction on gift holdover relief that applies in a very specific scenario. When an individual makes a gift of shares in their personal company (i.e. owns $\geq 5\%$ of the shares), the gift holdover relief is restricted by reference to the proportion of the company's chargeable business assets to its chargeable assets.

3 D

	£
Disposal proceeds	12,200
Cost	(2,100)
Chargeable gain	10,100

This is lower than the maximum gain of £10,333 ($5/3 \times (12,200 - 6,000)$).

4 £26,460

The cost relating to the nine hectares of land gifted is £26,460 ($£37,800 \times £78,400/(£78,400 + £33,600)$).

**Tutorial note**

When dealing with a part disposal of land, the market value of the part disposed and the market value of the remainder should be used to determine the cost for the computation. Don't be tempted to use the proportion of asset being disposed of i.e. 9/10 hectares. The part disposal requires the application of $A/(A+B)$ to the full cost of the land. Any cost not included in the computation is the base cost of the remaining land.

5

	True	False
The company must be an unquoted company		✓
The company must not own any non-business assets		✓
The company must be a trading company	✓	
Jerome must have owned the shares for at least two years		✓

**Tutorial note**

The company can be a quoted company, provided that it is the individual's personal trading company (i.e. Jerome owns at least 5% of the voting rights).

If the company owns non-business assets a gift holdover relief claim can be made but the relief will be restricted if the shares are in the individual's personal company.

There are no minimum ownership period requirements for gift holdover relief.

171 MICK STONE (ADAPTED)***Walk in the footsteps of a top tutor*****Key answer tips**

This question requires the calculation of the chargeable gain arising from the disposal of a warehouse by an individual and the cost figure that will be used in a share disposal.

There are also three questions related to capital gains tax reliefs that might be available for each disposal. This includes which relief is available on the warehouse disposal, the requirements for BADR on the share disposal and some administration.

1 £264,000

	£
Disposal proceeds	522,000
Less: Cost	(258,000)
Enhancement expenditure – Floor	(0)
Chargeable gain	264,000

**Tutorial note**

The cost of replacing the warehouse's floor is revenue expenditure and is therefore not deductible from proceeds when the warehouse is sold. As a repair, it would have instead been deductible from trading profits when the replacement was made.

2 A

Rollover relief is the only relief that might be available on the disposal of the warehouse. BADR is not available, since it is not a disposal of all, or a substantial part, of a business. Gift relief is not available since it is not a gift and private residence relief is not available as it is a commercial property.

**Tutorial note**

In order to claim rollover relief, further information would be required. This information would be:

- 1 *The acquisition date of the replacement warehouse, since relief will only be available if this is after 19 May 2024 (one year before the date of disposal).*
- 2 *The cost of the replacement warehouse, since relief will be restricted if the sale proceeds of £522,000 have not been fully reinvested.*

3 £537,600

		Number of shares	Cost £
June 2016	Purchase	500,000	960,000
December 2021	Bonus issue (3:2) (500,000 × 3/2)	750,000	0
		1,250,000	960,000
September 2025	Disposal £960,000 × (700,000/1,250,000)	(700,000)	(537,600)
Balance c/f		550,000	422,400

4 B, D

**Tutorial note**

It is necessary to hold 5% of the shares in a trading company to qualify for BADR. It is not necessary to be a full-time employee, part-time is sufficient. If some of the BADR lifetime limit is still available, that can be used to tax part of the gain at 14% – it is not necessary to have sufficient BADR available to cover the whole gain.

5

		Due date	
		31 January 2026	31 January 2027
Claim date	31 January 2027		
	31 January 2028		✓

COMPANIES – CHARGEABLE GAINS

172 EXPANSION LTD

**Key answer tips**

The only capital gains relief available to companies is rollover relief and therefore it is not surprising to see it in this question as it is often tested in corporation tax questions.

It is also common to see indexation tested in corporate gains questions as this only applies to company gains. It is important to understand when indexation is deductible and the restrictions re losses.

1 C

	£
Sale proceeds	436,000
Less: Purchase price	(315,250)
Legal fees on purchase	(4,750)
Unindexed gain	116,000
Less: Indexation allowance (Note) $((£315,250 + £4,750) \times 0.438)$	(116,000)
Allowable loss	0

**Tutorial note**

Indexation cannot increase a loss. The indexation allowance is £140,160 $(£320,000 \times 0.438)$ but is restricted to £116,000.

2 A

**Tutorial note**

If the investment is at any amount less than £135,000 then the proceeds less the reinvestment will be more than the gain of £159,000. This would mean that no rollover relief claim would be possible.

If the reinvestment was £294,000 (the amount of the proceeds) or more, then full rollover relief would be possible.

Therefore, the range of reinvestment may be anywhere above £135,000 up to just below £294,000 in order to benefit from partial roll over.

3 B

The fixed plant and machinery was purchased within the period of one year before and three years after the date of the sale of the freehold factory on 15 January 2026 and is in a qualifying class of asset.

**Tutorial note**

Although the freehold warehouse is a qualifying asset, the purchase date was too old to qualify. Movable plant and machinery is not a qualifying asset. Inventory is not a capital asset and therefore does not qualify.

4 A

The cost of a new boundary wall is capital expenditure. The replacement of the leaking windows is revenue expenditure.

5 B

	£
Land – part disposal	
Allowable cost	
$£330,000 \times (£143,000 / (£143,000 + £385,000))$	89,375
Cost of clearing and levelling	24,000
Total cost	113,375

**Tutorial note**

The cost of clearing and levelling only applies to the one hectare sold and is therefore deductible in full.

173 KAT LTD (ADAPTED) *Walk in the footsteps of a top tutor*
1 A

	£
Cost (October 2005)	138,600
Add: Capital improvements (December 2007)	23,400
	162,000
Indexation: October 2005 to December 2017	
$0.439 \times £138,600$	60,845
Indexation: December 2007 to December 2017	
$0.319 \times £23,400$	7,465
	68,310

***Tutorial note***

The indexation allowance must be calculated separately on the capital improvements as the cost was incurred in December 2007. Indexation has been frozen at December 2017.

2

	True	False
The base cost of the warehouse for chargeable gains purposes will be £170,470		✓
The claim for rollover relief against the warehouse must be made by 31 March 2030		✓
A further claim for rollover relief may be made if another qualifying asset is acquired by 31 March 2029		✓

The base cost of the warehouse for chargeable gains purposes will be £262,470:

	£
Cost	302,000
Less: Gain rolled over (W)	(39,530)
Base cost	262,470

Working: rollover relief

	£
Gain	131,530
Rollover relief (β)	(39,530)
Chargeable gain = Proceeds not reinvested (£394,000 – £302,000)	92,000

The claim for rollover relief against the warehouse must be made within four years of the later of the end of the accounting period in which the asset is sold (year ended 31 March 2026) and replaced (year ended 31 March 2027). Therefore, the claim for rollover relief must be made by 31 March 2031.

A further claim for rollover relief may be made if another qualifying asset is acquired by 30 November 2028 (three years after the disposal).

**Tutorial note**

The gain can't be rolled over in full as the proceeds are only partially reinvested. The gain which is chargeable immediately is the lower of:

- *the gain on the qualifying asset disposed of, and*
- *the proceeds not reinvested in the replacement asset.*

The balance of the gain can be deferred by rolling it into the base cost of the replacement asset.

3 D**Tutorial note**

The leasehold building is a depreciating asset as it has an expected life of no more than 60 years.

The gain will crystallise at the earliest of:

- *the date the replacement asset is disposed of*
- *the date the replacement asset ceases to be used for trade purposes, and*
- *ten years from the date of the replacement asset's acquisition.*

The latest date is therefore ten years from the date of the leasehold office building's acquisition on 30 September 2026.

4 £63,200

	Number £	Cost £
7 July 2016	90,000	90,000
22 September 2019 ($90,000 \times 2/3 = 60,000 \times £6.40$)	60,000	384,000
Balance at 5 October 2025	150,000	474,000
Disposal ($20,000/150,000 \times £474,000$)	(20,000)	(63,200)
Balance carried forward	130,000	410,800

5

		CGT liability	
		£25,452	£25,752
Due date	31 July 2026		
	31 January 2027	✓	

2025/26

	BADR gains £	Non-BADR gains £
Kat Ltd shares	142,200	
Vase		26,100
Chargeable gains	142,200	26,100
AEA		(3,000)
Taxable gain	142,200	23,100
Capital gains tax at 14%/24%	19,908	5,544
Total CGT payable (£19,908 + £5,544)		£25,452

**Tutorial note**

Kitten has some of her basic rate band remaining. However, gains qualifying for BADR are treated as using up any remaining basic rate band in priority to other gains. This means that the gain on the vase is taxed at the higher rate of capital gains tax. The annual exempt amount should be offset against gains that don't qualify for BADR in order to save tax at a higher rate.

174 FOGO LTD AND NETTA LTD

**Key answer tips**

This question requires the calculation of two chargeable gains. Remember that indexation allowance is frozen at December 2017, and you have been provided with the indexation factors for both the investment property and the warehouse so be sure to use the correct ones for each. Indexation allowance cannot create or increase a loss.

This question also tests the rules on rollover relief in two of the questions. Make sure you are familiar with the rules to be able to answer these straightforward knowledge-based questions.

The final question is unrelated to chargeable gains and instead tests your knowledge of non-trade loan relationships.

1 £0

		£
Proceeds		625,000
Cost		(500,000)
		125,000
Indexation allowance	$(500,000 \times 0.269)$	(134,500)
Indexation cannot create a loss		0

2 D

		£
Proceeds		560,000
Cost		(100,000)
		460,000
Indexation allowance	$(100,000 \times 0.593)$	(59,300)
Gain		400,700

3 B, D**Tutorial note**

*Acquisitions must be made within **three** years after the disposal. A 75% group relationship is required for group rollover relief to be available. Shares are never a qualifying asset for rollover relief purposes.*

4 B**Tutorial note**

Having claimed group rollover relief, one company leaving the group will not cause the gain to become chargeable.

5 £12,500

	£
Non-trade loan interest receivable	35,000
Non-trade loan interest payable ($£450,000 \times 5\%$)	(22,500)
	12,500

**Tutorial note**

The interest on the loan to acquire fixed plant and machinery would be classified as trade related and would not, therefore, appear in the non-trade loan relationship (NTRLR) calculation. Whereas the interest on the loan to acquire a 3% shareholding is not trading related and therefore appears in the NTRLR calculation. All interest receivable will be classified as non-trade in the TX examination.

PRACTICE SECTION C CONSTRUCTED RESPONSE QUESTIONS

INDIVIDUALS – CAPITAL GAINS TAX

175 DAVID AND ANGELA BROOK (ADAPTED)



Walk in the footsteps of a top tutor

**Key answer tips**

A classic question involving the calculation of capital gains tax liabilities of a husband and wife, with a joint asset and assets held personally.

**Tutor's top tips**

Predictably a husband and wife no gain/no loss transfer is included, with the subsequent disposal by the recipient spouse.

Remember to consider BADR on the disposal of shares and the business.

David Brook**Capital gains tax liability – 2025/26**

	£
House (W1)	36,988
Shares in Bend Ltd (W3)	0
Total chargeable gains	36,988
Less: AEA	(3,000)
Taxable gain	33,988
Capital gains tax (£33,988 × 18%)	6,118

**Tutorial note**

David has no taxable income. All of his gains therefore fall into his basic rate band and are taxed at 18%. BADR is not available on any of his gains.

Angela Brook**Capital gains tax liability – 2025/26**

	BADR	Other gains
	£	£
House (W1)		36,988
Ordinary shares in Bend Ltd (W4)		26,400
Warehouse	3,700	
Total chargeable gains	3,700	63,388
Less: AEA		(3,000)
Taxable gain	3,700	60,388
	£	£
Gains qualifying for BADR:	$3,700 \times 14\%$	518
Other gains:	$6,855 \times 18\%$ (W5)	1,234
	10,555	
	$53,533 \times 24\%$	12,848
	64,088	
Capital gains tax liability		14,600

**Tutorial note**

The AEA should be offset against other gains in priority to gains qualifying for BADR in order to save the maximum amount of tax.

Angela has taxable income that uses some of, but not all of, her basic rate band. £3,700 of this is automatically used by the BADR gains first, leaving £6,855 to set against the other gains. The remaining basic rate band should be used against the other gains.

Workings**(W1) House****Tutor's top tips**

If an asset is jointly owned by husband and wife, all you need to do is calculate the gain as usual and then split it 50:50.

Make sure you show your working for the calculation of PRR. Even if you can't count months, you will still be given marks for applying the correct principles!

	£
Disposal proceeds	381,900
Less: Cost	(86,000)
	295,900
Less: PRR (W2)	(221,925)
Chargeable gain	73,975

David and Angela will each be taxed on 50% of the chargeable gain:

Chargeable gain each = (£73,975 × 50%) = £36,988

(W2) Occupation of the house

The total period of ownership of the house is 240 months, of which 180 months qualify for exemption as follows:

	Total months	Exempt months	Chargeable months
1.10.2005 to 31.3.2009 (occupied)	42	42	
1.4.2009 to 31.12.2012 (working in UK)	45	45	
1.1.2013 to 31.12.2019 (occupied)	84	84	
1.1.2020 to 31.12.2024 (unoccupied)	60		60
1.1.2025 to 30.9.2025 (final nine months)	9	9	
	240	180	60

PRR = (180/240 × £295,900) = £221,925

**Tutor's top tips**

Make sure that you include a brief explanation for the periods you allow as exempt due to the deemed occupation rules – as the examining team has said that such explanations are required to obtain maximum marks in these questions.

(W3) Shares in Bend Ltd – gift by David

Transfers between husband and wife are no gain/no loss transfers.

David makes no gain and Angela takes over David's cost of £48,000.

**Tutor's top tips**

Remember that the market value at the time of the inter-spouse gift is a red herring and irrelevant. The transfer will be at no gain/no loss.

(W4) Shares in Bend Ltd – Sale by Angela

	£
Disposal proceeds	62,400
Less: Cost ($£48,000 \times 15,000/20,000$)	(36,000)
Chargeable gain	26,400

**Tutorial note**

It is not clear what percentage interest Angela has in Bend Ltd and whether it is her personal trading company (i.e. she holds 5% interest or more). However, even if she does hold at least 5%, BADR is not available as Angela does not work for the company.

(W5) Remaining basic rate band

	£
Basic rate band	37,700
Less: Taxable income	(27,145)
	10,555
Utilised by BADR gains	(3,700)
Remaining basic rate band	6,855

ACCA Marking scheme	
	Marks
Jointly owned property – House – Proceeds	0.5
– Cost	0.5
– Period of exemption	2.0
– Exemption	1.0
– Division of gain	0.5
David Brook – Bend Ltd	0.5
– Annual exempt amount	0.5
– Capital gains tax	0.5
Angela Brook – Bend Ltd – Proceeds	0.5
– Cost	0.5
– Warehouse gain qualifies for BADR	0.5
– Annual exempt amount	0.5
– Capital gains tax	2.0
Total	10.0

Examiner's report

Although there were some very good answers to this question from well prepared candidates, it caused problems for many and was often the reason that they failed to achieve a pass mark.

The jointly owned property caused particular difficulty. Only a few candidates correctly calculated the [private residence relief].

Some candidates did not allocate the resulting chargeable gain between the couple but instead deducted an annual exempt amount and calculated a separate tax liability.

Note: The examiner's report has been edited to remove comments on elements of the question that have been deleted due to changes to the examination format.

176 BILL DING*Walk in the footsteps of a top tutor***Key answer tips**

This is a tricky question, examining three capital gains tax reliefs. A good knowledge of the conditions for all three reliefs and the way that they are applied is needed to score well here, and this should be a good test of whether you are well prepared for these topics!

In section (a) a father gifts shares qualifying for BADR to his daughter, and they make a joint claim for gift holdover relief. The daughter then sells the shares before two years have elapsed, meaning her disposal does not qualify for BADR. In section (b) you are asked to not apply gift holdover relief, in order for the father to benefit from BADR on the full gain.

In section (c) you are asked to compare sections (a) and (b). This style of requirement has become a frequent feature of the examination, so you should make sure that you are prepared for it.

(a) Bill and Belle make a joint claim for gift holdover relief**Bill****Capital gains tax liability – 2025/26**

	£
Deemed proceeds (Market value)	260,000
Less: Cost	(112,000)
	148,000
Less: Gift holdover relief (W)	(123,333)
Chargeable gain	24,667
Less: AEA	(3,000)
Taxable gain	21,667
Capital gains tax (£21,667 × 14%) (Note)	3,033

A gift holdover relief claim must be made by both Bill and Belle by 5 April 2030 (i.e. within four years of the end of the tax year of the gift).

Working: Gift holdover relief on shares in High Rise Ltd

Gift holdover relief is available on these shares as they are in an unquoted trading company. However, the gift holdover relief in respect of the shares in High Rise Ltd is restricted because the shares are in Bill's personal trading company (i.e. he owns ≥ 5%) and the company has investment assets.

The proportion of gain eligible for gift holdover relief is the proportion of chargeable business assets to chargeable assets, calculated as $\text{£}148,000 \times \text{£}150,000 / \text{£}180,000 = \text{£}123,333$.

Belle**Capital gains tax liability – 2025/26**

	£
Proceeds	262,000
Less: Cost (£260,000 – £123,333)	(136,667)
Chargeable gain	125,333
Less: AEA	(3,000)
Taxable gain	122,333
Capital gains tax (£122,333 × 24%)	29,360

**Tutorial notes**

- 1 *High Rise Ltd qualifies as Bill's personal company, as he holds at least 5% of the shares. As he has both worked for the company and held the shares for at least two years prior to disposal, BADR is available.*
- 2 *High Rise Ltd also qualifies as Belle's personal company. However, she has not held the shares for two years and therefore does not qualify for BADR. As she is an employee of High Rise Ltd she does not qualify investors' relief irrespective of the ownership period.*
- 3 *As a joint claim for gift holdover relief has been made, the cost for Belle is reduced by the amount of relief claimed.*

(b) Bill and Belle do not make a joint claim for gift holdover relief**Bill****Capital gains tax liability – 2025/26**

	£
Deemed proceeds (Market value)	260,000
Less: Cost	(112,000)
Chargeable gain qualifying for BADR	148,000
Less: AEA	(3,000)
Taxable gain	145,000
Capital gains tax (£145,000 × 14%)	20,300

Belle**Capital gains tax liability 2025/26**

	£
Proceeds	262,000
Less: Cost	(260,000)
Chargeable gain	2,000
Less: AEA	(2,000)
Taxable gain	0

(c) Comparison capital gains tax payable under options (a) and (b)

	Option (a)	Option (b)
	£	£
Bill	3,033	20,300
Belle	29,360	0
Total	32,393	20,300

Conclusion of best option

- Total capital gains tax payable is £12,093 lower under option (b) (£32,393 – £20,300) as more of the gain is taxable on Bill, who pays tax at 14% as the disposal qualifies for BADR.
- Bill however, may prefer option (a) as his own capital gains tax payable is £17,267 (£20,300 – £3,033) lower due to the claim for gift holdover relief.

**Tutor's top tips**

In part (c) you are asked to summarise the capital gains tax liabilities that you have calculated in parts (a) and (b) and conclude on the most favourable option.

Provided that you use the capital gains tax figures that you have calculated in the earlier parts of the question, and come to a sensible conclusion, you will score marks here, even if your answers to parts (a) and (b) are incorrect.

177 GINGER AND NIGEL (ADAPTED)**Walk in the footsteps of a top tutor****Key answer tips**

This question tests two important capital gains tax reliefs: gift holdover relief and BADR.

Part (a) tested gift holdover relief but in a slightly unusual way which required the application of the modified gift holdover relief rules for sales at an undervaluation, and a calculation of the maximum number of shares that can be gifted without a capital gains tax liability arising.

If you are ever unsure of how to deal with part of a question, it is important to make a sensible attempt and move on, rather than waste time, or potentially miss easy marks by not attempting to answer the part.

The **highlighted** words are key words or phrases that markers are looking for.

Part (b) compares the CGT payable by a husband or wife on the disposal of shares. Again, easy marks were available for the basic capital gains tax computation in each case and the calculation of the difference in tax payable by the two individuals.

(a) Ginger**Tutor's top tips**

Remember that where there is a disposal at an undervalue (as opposed to an outright gift) then part of the gain may be chargeable now and cannot be held over (deferred).

The examining team has given you a hint in the question as to how to approach the answer by stating that Ginger has not utilised her annual exempt amount.

- The disposal is at an undervalue, so only the 'gift' element of the gain can be held over.
- The consideration paid for each share will be immediately chargeable to capital gains tax to the extent that it exceeds the allowable cost.
- The chargeable amount is therefore £1.61 (£4.00 – £2.39) per share.
- Ginger's annual exempt amount for the tax year 2025/26 is £3,000.
- She can therefore sell 1,863 shares (£3,000/£1.61) to her daughter without this resulting in any capital gains tax liability for the tax year 2025/26.

**Tutorial note**

This method may have proved quite challenging to some students. If you are unsure how to tackle the question, then make sure you write down what you do know.

One mark was available for simply stating how to calculate the gain on a transfer at an undervalue and another half mark for stating the amount of the annual exempt amount!

Proof of the calculation:

	£
MV of shares ($1,863 \times £6.40$)	11,923
Less: Cost ($1,863 \times £2.39$)	(4,453)
Capital gain	7,470
Less: Gift holdover relief ($1,863 \times (£6.40 - £4.00)$)	(4,471)
Chargeable gain ($1,863 \times (4.00 - £2.39)$) (excess actual proceeds received)	2,999
Less: Annual exempt amount	(2,999)
Taxable gain	0

Note, there is a very small rounding difference in this calculation.

(b) Innocent and Nigel**Tutor's top tips**

Clearly, the CGT is not going to be the same for both Innocent and Nigel, so you need to look out for the differences in their circumstances. You are given a lot of information concerning their total shareholdings and employment position. As this is different for each of them this should give you a hint that you should consider how this is relevant for determining their CGT liability.

- If Innocent makes the disposal, then her CGT liability for 2025/26 will be:

	£
Disposal proceeds	65,000
Less: Cost ($2,000 \times £1$)	(2,000)
Chargeable gain	63,000
Capital gains tax ($£63,000 \times 14\%$)	8,820

Innocent pays CGT at 14% as the disposal qualifies for BADR.

- If Nigel makes the disposal, then his CGT liability for 2025/26 will be:

	£
Disposal proceeds	65,000
Less: Cost ($£40,200 \times 2,000/3,000$)	(26,800)
Chargeable gain	38,200
Capital gains tax ($£38,200 \times 24\%$)	9,168

Nigel pays CGT at 24% because he is a higher rate taxpayer and the disposal does not qualify for BADR or investors' relief.

- The capital gains tax saving if Innocent makes the disposal rather than Nigel is therefore £348 ($£9,168 - £8,820$).

**Tutorial notes**

- 1 A disposal by Innocent will qualify for BADR as she is the managing director of Cinnamon Ltd, the company is a trading company, her shareholding of 20% (20,000/100,000) is more than the minimum required holding of 5% and she has held the shares and worked for the company for more than two years. The gain is therefore taxed at 14%.
- 2 A disposal by Nigel will not qualify for BADR as he is not an officer or an employee of Cinnamon Ltd and his shareholding is only 3% (3,000/100,000). As Nigel is a higher rate taxpayer (taxable income £80,000) the gain is taxed at the higher rate of 24%.
- 3 A disposal by Nigel will not qualify for investors' relief as he did not subscribe for the shares (i.e. buy newly issued shares from the company).

ACCA Marking scheme	
	Marks
(a) Consideration paid in excess of cost is chargeable	1.0
Chargeable amount per share	1.0
Identifying available annual exempt amount	0.5
Maximum number of shares that can be sold	1.5
	—
	4.0
	—
(b) Innocent	
Disposal proceeds	0.5
Cost	1.0
Identifying BADR applies and capital gains tax	1.5
Nigel	
Disposal proceeds	0.5
Cost	1.0
Capital gains tax	1.0
CGT saving	0.5
	—
	6.0
	—
Total	10.0
	—

Examiner's report

Although there were a number of correct answers to part (a), it caused difficulty for many candidates. The main problem was not appreciating that the annual exempt amount should be used, despite a fairly heavy hint to this effect being given in the question.

Part (b) was another well answered section, with many candidates achieving maximum marks.

Note: The examiner's report has been edited to remove comments on elements of the question that have been deleted due to changes to the examination format.

178 DALJEET



Walk in the footsteps of a top tutor



Key answer tips

This ten mark capital gains tax question tests share disposals, BADR and the calculation of after tax proceeds. You are required to consider two alternative disposals and decide which one results in higher after tax proceeds.

It is becoming more common for examination questions to require the consideration of alternatives and the comparison of different outcomes so it is important that you practise questions in this style before your examination.



Tutor's top tips

When calculating after tax proceeds, start with the gross proceeds received and deduct any expenses of sale. The most obvious deduction is the tax, but remember to look out for any incidental amounts such as the legal costs in relation to the cottage. This will also be payable out of Daljeet's proceeds, therefore reducing the after tax proceeds available.

(a) After tax proceeds

	ABC plc shares	Holiday cottage
Shares	£	£
Disposal proceeds	100,600	110,000
Less: Selling costs		(1,000)
Less: CGT (W1)(W3)	(5,664)	(9,912)
Net proceeds	94,936	99,088

Daljeet should sell the holiday cottage as this will generate the higher net proceeds.



Tutor's top tips

If a question requires you to make a conclusion there will be credit given for a sensible conclusion based on your workings, even if errors in your calculations have led you to a different conclusion from the model answer.

(W1) Disposal of ABC Ltd shares

	£
Disposal proceeds	100,600
Less: Cost (W2)	(57,143)
Chargeable gain	43,457
Less: Annual exempt amount	(3,000)
Taxable gain	40,457
Capital gains tax (£40,457 × 14%)	5,664

***Tutorial note***

The disposal of the ABC Ltd shares qualifies for BADR as for the 24 months prior to disposal, the following conditions are met:

- *ABC Ltd is a trading company,*
- *Daljeet is an employee of ABC Ltd, and*
- *Daljeet has a shareholding of ≥ 5%*

(W2) Cost of ABC Ltd shares – share pool

	Number	Cost £
Purchase 7 June 2020	1,000	60,000
Rights issue 7 June 2021 (1,000 × 2/5) (£50 × 400)	400	20,000
	1,400	80,000
Disposal 31 December 2025 (£80,000 × 1,000/1,400)	(1,000)	(57,143)
Balance c/f	400	22,857

(W3) Disposal of holiday cottage

	£
Disposal proceeds	110,000
Less: Selling costs	(1,000)
Net disposal proceeds	109,000
Less: Cost	(64,700)
Repairs	0
Chargeable gain	44,300
Less: Annual exempt amount	(3,000)
Taxable gain	41,300
Capital gains tax (£41,300 × 24%)	9,912

**Tutorial note**

The repairs are not an allowable deduction in the CGT computation, as they are a revenue expense.

Daljeet is a higher rate taxpayer and no reliefs are available for this disposal, therefore the gain has been taxed at the higher rate of 24%.

(b) Inheritance tax

Inheritance tax is charged on a transfer of value of chargeable property by a chargeable person. A transfer of value is a gift of any asset which results in a reduction in value of the donor's estate.

Daljeet is going to sell either the ABC Ltd shares, or the holiday cottage at arm's length and receive consideration in return. He does not intend to make a gift of either asset, so there is no transfer of value for inheritance tax purposes.

COMPANIES – CHARGEABLE GAINS

179 LUNA LTD

*Walk in the footsteps of a top tutor***Key answer tips**

As this question concerns chargeable gains for companies, be careful to ensure that your answer does not refer to individuals, an annual exempt amount or capital gains tax. A company pays corporation tax on its net chargeable gains and there is no annual exempt amount available for companies.

Part (a) is a deceptively straightforward written part about the indexation allowance and the fact that it cannot create nor increase a capital loss.

The highlighted words in the answer are the key phrases that markers are looking for.

Part (b) requires two calculations in relation to share disposals, which could be attempted in either order.

The first is a straightforward share disposal but potentially time consuming.

The second is more demanding and involves a takeover with mixed consideration, and a gain arising in respect of the cash received.

(a) Indexation allowance**Tutor's top tips**

The requirement for part (a) is split into two parts so make sure your answer clearly sets out your explanation for each part separately.

- Where a company makes a capital loss, then no indexation allowance is available because it cannot be used to increase a loss.
- Where the indexation allowance is greater than a company's unindexed gain, then the gain is simply reduced to nil because the allowance cannot be used to create a loss.

(b) Chargeable gains – year ended 31 March 2026**Tutor's top tips**

In the absence of guidance on the split of marks you should assume equal weighting is given between the two disposals, and allocate your time accordingly.

It would be easy to spend too long on the first calculation you choose to tackle and miss easy marks on the second.

Pluto plc shares

	£
Disposal proceeds	53,400
Less: Cost (W1)	(13,800)
Unindexed gain	39,600
Less: Indexed allowance (£16,312 – £13,800) (W1)	(2,512)
Chargeable gain	37,088

Asteroid plc takeover – gain in respect of cash proceeds received

	£
Cash received on takeover	65,000
Less: Deemed cost (W2)	(19,500)
Chargeable gain	45,500

**Tutorial note**

On a takeover, no chargeable gain arises in respect of the £1 ordinary shares in Comet plc received as it is a paper for paper transaction. A new share pool is opened with the deemed cost calculated in respect of the shares on takeover as the base cost.

Workings**(W1) Share pool – Pluto plc**

	Number	Cost £	Indexed cost £
Purchase June 2011	16,000	36,800	36,800
Add: Indexation to May 2013 $£36,800 \times 0.063$			2,318
			39,118
Less: Disposal May 2013 $(£36,800/£39,118 \times 10,000/16,000)$	(10,000)	(23,000)	(24,449)
	6,000	13,800	14,669
Add: Indexation to December 2017 (Tutorial note) $£14,669 \times 0.112$			1,643
			16,312
Less: Disposal November 2025	(6,000)	(13,800)	(16,312)

**Tutorial note**

Remember to index the share pool before each operative event (i.e. purchase and sale) or December 2017 if earlier. The indexation allowance was frozen at December 2017.

(W2) Asteroid plc – takeover consideration and allocation of original cost

Consideration received	MV of takeover consideration £	Allocation of indexed cost £
£1 ordinary shares in Comet plc (10,000 × £4.50) £33,000 × (£45,000/£110,000)	45,000	13,500
Cash (10,000 × £6.50) £33,000 × (£65,000/£110,000)	65,000	19,500
	110,000	33,000

ACCA Marking scheme	
	Marks
(a) Capital loss	1.0
IA greater than unindexed gain	1.0
	2.0
(b) Pluto plc	
Disposal proceeds	0.5
Share pool working	
– purchase June 2011	0.5
– indexation June 2011 – May 2013	1.0
– disposal May 2013	1.0
– indexation May 2013 – December 2017	1.0
– disposal November 2025	0.5
Asteroid plc	
Disposal proceeds	1.0
Indexed cost attributable to cash element	2.5
	8.0
Total	10.0

Examiner's report

Part (a) All that was required here was a very short statement to the effect that the indexation allowance cannot increase or create a capital loss, but many candidates produced half-page explanations of everything to do with indexation and the use of capital losses.

Part (b) There were many good answers, but other candidates struggled with the workings of the share pool, and the basis of allocating the indexed cost following a takeover. This type of question is where revision question practice is essential. Candidates are advised to follow the standard approach to laying out the workings for a share pool.

Section 8

ANSWERS TO PRACTICE INHERITANCE TAX QUESTIONS

PRACTICE SECTION A OBJECTIVE TEST QUESTIONS

180

	Exempt	Not exempt
On 7 May 2025 he gave 100,000 shares in Lahm Ltd to his wife. The shares have been valued at that date at £500,000	✓	
On 10 August 2025 he gave 50,000 shares in Hummells Ltd to a discretionary trust. The shares have been valued at that date at £75,000		✓
On 6 October 2025 he gave £2,000 to his son on the occasion of his marriage	✓	
On 9 February 2026 he gave £300 to his daughter		✓

The gift to Mario's wife is exempt as the inter-spouse exemption applies.

The gift into the trust is a chargeable lifetime transfer and is therefore not exempt.

A lifetime transfer up to £5,000 given from parent to child on the occasion of the child's marriage is exempt, so the gift of £2,000 to Mario's son is exempt.

The gift to Mario's daughter is more than £250 and therefore the small gifts exemption does not apply.

181 C

	£	£
Gross chargeable amount		500,000
NRB (2025/26)	325,000	
Less: GCTs < 7 years before gift (31.5.2014 – 31.5.2021)	(300,000)	
		(25,000)
Taxable amount		475,000
IHT payable @ 40%		190,000
Less: Taper relief (31.5.2021 – 31.10.2025) (4 – 5 years before death) (40%)		(76,000)
		114,000

182 £325,000

Both of Gabe's lifetime gifts are PETs, which are not taxable and will not use any NRB during his lifetime and will become exempt if he lives for seven years following the date of the gift. Seven years prior to his death was 22 November 2018, and since the cash gift to his daughter is before this date it will never become chargeable to IHT and is now exempt.

The gift of the painting to his son (£370,000) is within this seven-year period and becomes chargeable using the nil rate band at death (£325,000). In the seven years prior to that gift (12 July 2014 to 12 July 2021) the only gift was the PET to his daughter, which is now exempt, so it does not use any NRB at death.

Therefore, the NRB available to the second PET on Gabe's death is the full £325,000.

***Tutorial note***

Note that if the first gift had been a chargeable lifetime transfer (CLT), it would have used some NRB on Gabe's death.

183 A

	£
Transfer of value	50,000
Annual exemption	
– 2025/26 (£3,000 – £2,000)	(1,000)
– 2024/25 (£3,000 – £2,500)	(500)
Gross chargeable transfer	48,500

**Tutorial note**

The annual exemption is set against PETs, even if they never become chargeable. The annual exemption is offset against the earliest gift in the tax year automatically. The 2025/26 annual exemption is therefore reduced by the amount given to Sameer's friend, as this was before the gift to the trust.

The current year's annual exemption must be offset prior to the offset of any brought forward amounts.

Any unused amounts can be carried forward one tax year, so the remaining annual exemption from 2024/25 can also be offset.

184

	Chargeable amount £
30 November 2018	0
15 June 2019	347,000

Date of death: 1 February 2026

7 years before: 1 February 2019

PET on 30 November 2018 is more than 7 years before death so no IHT payable on death.

	£
PET 15 June 2019	350,000
Less: Annual exemption – 2019/20	(3,000)
– 2018/19	(0)
Chargeable amount	347,000

**Tutorial note**

Although the PET made on 30 November 2018 does not become chargeable on death, it still utilises the annual exemption for the tax year of the gift (2018/19). This annual exemption is therefore not available to reduce the PET made in the tax year 2019/20 that becomes chargeable on death.

185 A

**Tutorial note**

Option A describes the common inheritance tax planning technique of 'skipping a generation'. This technique can maximise the inheritance available to future generations as a charge to inheritance tax will only arise once, on the passing of the estate residue to Heng's grandchildren. If the residue had been left to Heng's children and they subsequently gifted the assets to their children, two charges to inheritance tax would arise.

That being said, skipping a generation would not reduce Heng's potential inheritance tax liability on death as legacies left to both children and grandchildren are equally chargeable.

186 D

The correct answer is D £22,000.

This amount is comprised of two annual exemptions of £3,000 for the tax years 2025/26 and 2024/25 for each parent (total £12,000) plus the exemption for a gift in consideration of marriage given by a parent of £5,000, also from each parent (total £10,000).

Many candidates chose B £10,000 which did not include the annual exemptions which each parent had available (since they had made no other lifetime gifts).

Also, a number of candidates selected C £11,000, which was the total amount of exemptions available for one parent only.

187 June 2022 – £0, NOVEMBER 2025 – £22,080

£0 IHT is payable at the time of the gift in **June 2022** as it is a potentially exempt transfer.

£22,080 of IHT was payable by Petra at the time of Roman's death in **November 2025** as shown below.

	£	£
Gross chargeable amount		400,000
Less: Annual exemption – 2022/23		(3,000)
– 2021/22		(3,000)
		394,000
NRB (2025/26)	325,000	
Less: GCTs < 7 years before gift (June 2015 – June 2022)	(0)	
		(325,000)
Taxable amount		69,000
IHT payable @ 40%		27,600
Less: Taper relief (3 – 4 years before death) (20%)		(5,520)
IHT payable on death		22,080

**Tutorial note**

Since the gift in June 2022 was within seven years of death in November 2025, death tax is payable at 40%.

Remember that the rates of taper relief are provided in the tax tables in the exam.

188

	Inheritance tax payable
20 February 2015	
22 March 2018	
30 September 2024	✓
24 December 2025	

Date of death: 20 January 2026

7 years before: 20 January 2019

The gifts to the son and the discretionary trust are more than 7 years before death so no IHT is payable as a result of death (the CLT in March 2018 will suffer lifetime tax but none as a result of death).

The gift to the daughter is a PET which has become chargeable as a result of death. The available nil rate band is fully used by the CLT (gift to the trust) made in the 7 years before the date of the gift, so there will be an IHT liability on the gift to the daughter.

The gift to the wife is exempt under the inter-spouse exemption.

189 D

	£
Value of estate	890,000
Less: Legacy to wife	(260,000)
Legacy to brother	(120,000)
	510,000
Less: Inheritance tax payable	(252,000)
Residue of estate after inheritance tax	258,000

190 D, E**Tutorial note**

Repayment and interest-only mortgages are deductible.

Gambling debts owed to a friend are not legally enforceable and therefore not deductible. If the gambling debt was legally enforceable then it would be deductible.

A verbal promise to pay a friend's debt is not legally enforceable and therefore not deductible.

Funeral expenses and credit card debts are deductible.

191 £350,000

	£
House (£545,000 – £145,000)	400,000
Life insurance policy (proceeds received)	350,000
	750,000
Less: Spousal legacy	(400,000)
Chargeable amount	350,000

**Tutorial note**

Interest-only mortgages are deductible in the estate against the value of the property they are secured against.

Note that the chargeable amount is before deducting the RNRB or NRB.

192 B

	£
House	390,000
Chattels and cash	70,000
Shares held in an ISA	60,000
Income tax owed	(25,000)
Total estate	495,000
Less: Spousal legacy	(100,000)
Chargeable amount	395,000

**Tutorial note**

Transfers between spouses are exempt from inheritance tax in lifetime and on death.

Tax liabilities of the deceased are allowable deductions from the death estate, with the exception of the inheritance tax due on the death estate.

*Assets held in an ISA are exempt assets for capital gains tax but **not** for inheritance tax. They are a common feature in death estate questions for this reason!*

193

House	£420,000	£250,000 ✓
Savings	£24,000	£39,500 ✓
Debt	£0 ✓	£12,000

**Tutorial note**

The house is valued at £250,000: £420,000 less the repayment mortgage of £170,000.

The savings are valued at £39,500: The bank account of £24,000 plus the NS&I investments of £15,500.

The debt deductible is £0 since it has not incurred for valuable consideration.

194 £270,400**Death estate**

	£	£
Gross chargeable estate		1,176,000
NRB at death (2025/26)	325,000	
Add: RNRB (2025/26)	175,000	
		(500,000)
Taxable amount		676,000
IHT on chargeable estate (£676,000 × 40%)		270,400

**Tutorial note**

Where an individual's main residence is included in his/her estate and passed on to a direct descendant, the RNRB of £175,000 (or the value of the property if lower) is available to offset against the estate in addition to the standard nil rate band.

195 £114,000

	£
Value of estate before transfer ($£20 \times 7,500$)	150,000
Value of estate after transfer ($£8 \times 4,500$)	(36,000)
Transfer of value	114,000

**Tutorial note**

This question tests the diminution in value principle. Before the transfer of the shares Dominic has a 75% holding (7,500 shares) in Halder Ltd, giving the shares a value of £20 per share. After the transfer he has a 45% holding (7,500 – 3,000) giving a value of £8 per share.

196**IHT liability**

In Yuna's lifetime	30 April 2022
As a result of Yuna's death	30 November 2025

**Tutorial note**

The due date for tax on the lifetime gift is 30 April 2022 (being the later of 30 April following the end of the tax year of the transfer and six months after the end of the month of transfer). The due date for the tax due as a result of Yuna's death is 30 November 2025 (being six months from the end of the month of death).

197

	Pays tax	Suffers tax	Neither pays nor suffers tax
Sister			✓
Daughter		✓	
Executor	✓		

Inheritance tax due on the death estate is paid by the executors but is suffered/borne by the residual legatee (i.e. the daughter).

198

	True	False
An advantage of giving an appreciating asset away during lifetime is that the increase in value up to the date of death will not be subject to inheritance tax	✓	
For capital gains tax purposes lifetime gifts are taxable but gifts on death are not	✓	
On a lifetime gift made more than three years before death, taper relief will reduce the amount of the gift chargeable to inheritance tax on death		✓

Taper relief reduces the **IHT payable on death** provided the donor survives for more than three years following the gift; it does not reduce the chargeable amount on death.

199 £15,200

A review of the lifetime gifts at time of death shows that the chargeable lifetime transfer (CLT) in October 2018 is more than seven years before death so that falls out of consideration.

The CLT in June 2022 is within seven years of death so that will have to be reassessed on death.

Death estate	£	£
Gross chargeable estate		245,000
NRB at death (2025/26)	325,000	
Less: CLT in June 2022	(118,000)	
		(207,000)
Taxable amount		38,000
IHT on chargeable estate (£38,000 × 40%)		15,200

200 D

		Liability for payment	
		Trustees of the trust	Sandeep
Due date	30 April 2026		
	31 May 2026		✓

Examiner's report

This question tested candidates' knowledge of the payment of IHT on a chargeable lifetime transfer (CLT) to a trust. The donor, Sandeep, is primarily liable for the tax due on a CLT and the due date is the later of the following:

- (i) Six months after the end of the month of transfer
- (ii) 30 April after the end of the tax year of transfer

The later of these dates is therefore 31 May 2026 and so the correct answer was D. Many candidates were able to select the correct date, but were less successful in determining who was primarily liable for payment. Tax administration and the payment of tax are important aspects of the syllabus and candidates are reminded to devote sufficient attention to these topics when preparing for the TX UK exam.

201 B

	£
Nil rate band at Nadia's death	255,000
Band utilised on Nadia's death ($£275,400 \times 50\%$)	(137,700)
Unused NRB on Nadia's death	117,300
Percentage of NRB unused ($£117,300/£255,000$)	46%
Tareq's NRB in 2025/26	325,000
Transfer of Nadia's unused NRB ($£325,000 \times 46\%$)	149,500
Total NRB available	474,500

***Tutorial note***

The band utilised at Nadia's death is half of her estate, as the other half was bequeathed to her husband and is therefore an exempt transfer.

PRACTICE SECTION B OBJECTIVE TEST CASES

202 LEBNA AND LULU (ADAPTED)

**Key answer tips**

This IHT question starts by covering the transfer of the unused nil rate band and residence nil rate band from a spouse.

Question three requires knowledge of the diminution in value rule for inheritance tax.

The fourth question was straightforward. The correct taper relief percentage is included in the tax rates and allowances and the IHT payment due date is commonly tested.

The final question concerned the small gifts exemption, again, this is commonly tested and provides easy marks.

1 B

	£
Lulu's NRB	325,000
Specific legacy (to brother)	(40,000)
PET within seven years of death	(80,000)
Unused NRB available to transfer (Note)	205,000

Note: The unused percentage of the nil rate band is available to transfer to a spouse. The nil rate band was the same amount in the tax year of death of both Lulu and Lebna, therefore the unused amount is the same as the unused percentage of the current nil rate band.

2 D

The available RNRB is the lower of:

- Lebna's RNRB of £350,000 (W1)
- The value (net of repayment mortgage) of the main residence of £188,000 (W2)

Working 1 – RNRB

	£
Lebna's RNRB	175,000
100% Lulu's RNRB (Note)	175,000
Total RNRB available to Lebna	350,000

Note: The unused percentage of the RNRB is available to transfer to a spouse. Lulu's estate did not include a main residence, therefore her full RNRB is available to transfer to Lebna.

Working 2 – Value of main residence

	£
Value of Lebna's main residence	340,000
Less: Outstanding interest-only mortgage	(152,000)
Total RNRB available to Lebna	188,000

3 B

	£
Value pre transfer ($100,000 \times £7.10$)	710,000
Value post transfer ($40,000 \times £4.20$)	(168,000)
Transfer of value	542,000
Less: AE CY	(3,000)
AE PY	(3,000)
Gross chargeable amount	536,000

4 A

Death is between five and six years of when the PET was made, so taper relief of 60% is available. The due date for the IHT is six months after the end of the month in which the donor dies.

5 C

The gifts of £275 (£85 + £190) to the same person total more than the £250 limit. The gift of £490 also exceeds the exemption.

203 TOM (ADAPTED)

Walk in the footsteps of a top tutor

**Key answer tips**

This is a typical IHT question covering various aspects of lifetime gifts and then the death estate. The question doesn't test any peripheral topics and therefore should be relatively straightforward.

1 C

	£	£
Chargeable amount (after all exemptions)		450,000
NRB at date of gift	325,000	
Less: GCTs < 7 years before gift	(0)	
NRB available		(325,000)
Taxable amount		125,000
IHT payable × 25%		31,250
Gross chargeable amount (£450,000 + £31,250)		481,250

2 £3,000

	PETs 20 Dec 2017	CLT 20 Feb 2019
	£	£
Transfers of value	5,900	
Less: AE – 2017/18	(3,000)	
– 2016/17 b/f	(2,900)	
Less: AE – 2018/19		(3,000)
– 2017/18 b/f		0

**Tutorial note***The AE:*

- *exempts the first £3,000 of lifetime transfers in any one tax year*
- *is applied chronologically to the first gift in the tax year, then (if there is any left) the second gift and so on*
- *must be applied to the first gift each year, even if the first gift is a PET and never becomes chargeable.*

*Any unused AE can only be carried forward one tax year.***3 C**

4

	Net value
1 50% share in a racehorse	£150,000
2 Cash winnings	£40,000
3 Main residence	£375,000

**Tutor top tips**

Gambling winnings and wasting chattels (e.g. a racehorse) are exempt assets for the purposes of capital gains tax. It is common for these types of assets to be included in a death estate in an examination question to test if you have remembered that there are no exempt assets for inheritance tax. Therefore, it is important that you have a clear understanding of what assets or income are exempt for each tax!

Note that the RNRB is applied to the entire estate not the main residence, so the value needed here is the market value of £875,000 less the outstanding repayment mortgage of £500,000.

5 C

	£	£
Value of estate		2,000,000
RNRB available		(175,000)
NRB at death	325,000	
Less: GCTs in previous 7 years > £325,000 (Note)	(325,000)	
NRB available		(0)
Taxable amount		1,825,000
IHT × 40%		730,000

**Tutorial note**

There is no nil rate band remaining as the gross chargeable transfer on 20 February 2019, which is within the seven years before death, is greater than £325,000.

Tom is leaving his main residence to his children, therefore the additional residence nil rate band of £175,000 is available to deduct from the estate. Note that this is not reduced by gross chargeable transfers in the seven years before death.

204 AFIYA (ADAPTED)



Walk in the footsteps of a top tutor

**Key answer tips**

This IHT question starts by looking at two lifetime gifts, (one PET and one CLT). It then moves on to consider what is included in the death estate. The last two questions cover the transfer of the unused nil rate band from the spouse and the due dates of lifetime tax and tax on the death estate.

1 C**Working: PET – 14 September 2020**

	£
Value of shares held before the transfer (8,000 × £8)	64,000
Less: Value of shares held after the transfer (1,500 × £3)	(4,500)
Transfer of value	59,500
Less: AE – 2020/21	(3,000)
– 2019/20	(3,000)
Gross chargeable transfer	53,500

**Tutorial note**

The loss to the donor (or diminution in value) principle applies when calculating the transfer of value for IHT purposes. This is particularly relevant when valuing shares where a majority shareholding has a higher value per share than a minority shareholding in a company.

The transfer of value is the amount by which Afiya's estate has diminished and not the market value of the asset gifted.

Prior to the transfer Afiya had 8,000 shares (an 80% (8,000/10,000) shareholding) in the company and the shares are valued at £8 per share.

After the transfer Afiya owns 1,500 shares (a 15% shareholding) and the shares are valued at £3 per share.

2 £48,750**Working: CLT – 27 January 2025**

	£	£
Transfer of value (after all exemptions)		400,000
NRB at date of gift	325,000	
Less: GCTs in last 7 years (CLTs only)	(120,000)	
	—————	(205,000)
		—————
Taxable amount		195,000
		—————
Lifetime IHT (donor pays tax)	(× 25%)	48,750
		—————

**Tutorial note**

When calculating lifetime tax on a CLT, the available nil rate band is reduced by the value of CLTs in the previous seven years. PETs are ignored for lifetime tax calculations even if they subsequently become chargeable.

3 A, B, D and E**Tutorial note**

Debts are only deductible if they were outstanding at the date of death and were imposed by law.

The £500 owed to a friend is not a debt imposed by law, and so will not be deductible.

The annual exemption is only available for deduction from lifetime gifts in the calculation of lifetime tax. They cannot, therefore, be deducted from the death estate.

4 D**Husband's death estate**

	£
NRB at death	312,000
Chargeable estate (to daughter)	(46,800)
Unused NRB available to transfer (Note)	265,200
$\% \text{ of NRB at death } £265,200 / £312,000 = 85\%$	
Available NRB ($£325,000 \times 85\%$)	276,250
Unused residence nil rate band	175,000
	451,250

**Tutorial note**

The husband did not leave a main residence to direct descendants on his death so 100% of his residence nil rate band (RNRB) is unused and could be transferred to Afiya. Note that the husband does not need to have died after 5 April 2017 for the RNRB to be transferred to the surviving spouse.

5**Lifetime tax on gift to trust**

31 July 2025

Tax on estate

31 May 2026

**Tutorial note**

As the lifetime gift was made between 1 October and 5 April in the tax year 2024/25, the due date for the lifetime IHT on the CLT to the trust is 31 July 2025, being six months from the end of the month in which the gift was made.

The due date for the IHT on the estate is 31 May 2026, being six months after the end of the month in which Afiya died.

205 ROMAN (ADAPTED) *Walk in the footsteps of a top tutor***Key answer tips**

This question involves the IHT implications of gifts made by two individuals, both during their lifetime and on death. It includes the calculation of death tax on a CLT, diminution in value for share gifts, the small gifts exemption, and the IHT payable on their respective estates, including the transferable nil rate band.

There is also one administration question covering who is responsible for paying the IHT on a CLT and the tax due date. These administration questions result in easy marks if you know the rules.

1 A

	CLT – Gift to trust 26 August 2023	
	£	£
Transfer of value		190,000
AE 2023/24		(3,000)
AE 2022/23 b/f		(0)
Chargeable amount		187,000
NRB @ death	325,000	
Less: Chargeable transfers ≤ 7 years of this gift (26.8.2016 to 26.08.2023) (i.e. PET on 4.3.2023)	(204,000)	
NRB available		(121,000)
Taxable amount		66,000
IHT payable (£66,000 × 40%)		26,400

**Tutorial note**

The annual exemption for the tax year 2022/23 had already been utilised by the PET to Roman's daughter on 4 March 2023.

The PET also reduced the available nil rate band for the gift to the trust. The transfer of value in respect of the PET would be reduced by the 2021/22 and 2022/23 annual exemptions, resulting in a chargeable amount of £204,000 (£210,000 – £6,000).

2 A**Tutorial note**

The trustees of the trust are responsible for paying the IHT arising on the trust on death. The IHT is due to be paid six months from the end of the month of death.

3 C

	£
Value of a 40% shareholding pre gift ($100,000 \times £8$)	800,000
Value of a 10% shareholding post gift ($25,000 \times £5$)	(125,000)
Diminution in value	675,000

**Tutorial note**

The fall in the value of the donor's estate must be calculated in order to determine the value of the gift for IHT purposes. Paris had a 40% shareholding ($100,000/250,000$) prior to making the gift and a 10% shareholding ($25,000/250,000$) after making the gift.

The rule is different to capital gains tax where the value of a 30% shareholding in isolation would be used as the value of the gift in the computation.

4 £735**Tutorial note**

Gifts of up to £250 per recipient per tax year are exempt from IHT under the small gifts exemption. Accordingly, the gift of £210 is the only gift eligible for the small gift exemption. The gifts of £80 and £195 are made to the same friend and must be considered in total when determining whether the small gifts exemption applies.

The gifts that don't qualify = $£80 + £195 + £460 = £735$

5

		Roman's estate	Paris's estate
IHT payable	£104,000	✓	
	£224,000		
	£328,000		
	£336,000		✓

	£
IHT on estate:	
Roman	
Chargeable estate	560,000
Less: Exempt legacy – spouse	(300,000)
Taxable estate	260,000
IHT payable at 40% (£260,000 × 40%)	104,000
Paris	
Chargeable estate = taxable estate	840,000
IHT payable at 40% (£840,000 × 40%)	336,000

206 ADANA (ADAPTED) *Walk in the footsteps of a top tutor*



Key answer tips

This question focuses on various aspects of IHT, including the calculation of the nil rate band, deductible liabilities, payment responsibilities, and tax planning implications of lifetime transfers.

When calculating the available nil rate band, remember to consider any transferable nil rate band from a deceased spouse. It's crucial to apply the rules for deductible liabilities accurately and understand how previous gifts and unused nil rate bands affect the IHT calculation on the death estate.

Pay close attention to who is responsible for paying IHT on the death estate and the specific due dates for such payments. Finally, when evaluating the tax savings from lifetime gifts, compare the IHT that would have been payable if the assets were retained until death against the actual lifetime IHT paid and any IHT still due on death as a result of the gift.

1 D

	£
Adana's NRB	325,000
Add: Husband's unused % × current NRB	
(80% × £325,000)	260,000
	585,000

**Tutorial note**

The unused **percentage** (rather than amount) of nil rate band on the death of the first spouse is applied to the nil rate band at the date of the death of the second spouse to determine the additional amount of nil rate band available.

2

	Deductible
1 Interest-only mortgage	£220,000
2 Income tax payable	£43,700
3 Sister's legal fees	£0

**Tutorial note**

The legal fees are not deductible as the debt is not legally enforceable.

Interest-only mortgages are allowable deductions.

Outstanding taxes such as income tax and capital gains tax can be deducted in the estate, although the IHT itself is not deductible.

3 D

	Tax payable		
	30 September 2026	17 September 2026	17 March 2027
Beneficiaries (her children)			
Personal representatives		✓	

**Tutorial note**

The personal representatives (executors) of the donor's estate are responsible for paying any IHT on the death estate and the IHT must be paid within six months from the end of the month of death.

4 C

**Tutorial note**

The assets would still have been subject to inheritance tax; therefore, no tax would have been saved.

Assets left to a spouse are exempt from inheritance tax but assets left to other beneficiaries are taxable as normal.

5 **£207,750**

	£
Value of shares at 17 March 2026	650,000
IHT at 40% (£650,000 × 40%)	260,000
Less: Lifetime tax paid	(52,250)
IHT saved	207,750

207 TONY AND ANITA

**Key answer tips**

This IHT question starts by covering the death tax on a lifetime gift.

It then looks at the death estate, and how much inheritance is received by the residuary legatee as well as the impact of leaving assets to a later generation.

Question four tests the comparison of lifetime giving rather than keeping an asset in the death estate.

Finally, the question tests the administration rules regarding who has to pay the tax and when. This provides an easy two marks if the administration rules for inheritance tax have been learnt.

1 B

On Tony's death the lifetime transfers within seven years are reviewed again, this means only the PET made on 10 July 2023 is subject to tax at death.

	PET 10 July 2023	
	£	£
Transfer of value		500,000
NRB @ death	325,000	
Less: Chargeable transfers ≤ 7 years of this gift (10.6.2016 to 10.6.2023) (i.e. CLT on 14.4.2017)	(120,000)	
NRB available		(205,000)
Taxable amount		295,000
IHT payable (£295,000 $\times$ 40%)		118,000

***Tutorial note***

Note the PET in February 2017 has not used any NRB since there was no lifetime charge (being a PET) and no charge on death (as it falls out of the seven year period).

2 D

	£
Death estate	1,600,000
Exempt amount to wife	(400,000)
Chargeable estate	1,200,000
IHT @ 40%	(480,000)
	720,000
Specific legacy to brother	(100,000)
Residue to niece	620,000

3 B**Tutorial note**

It can be beneficial to skip a generation, i.e. leaving part of the estate to Marguerite's children. This avoids a further charge to IHT when the first generation (Marguerite) dies. Gifts will then only be taxed once before being inherited by the second generation, rather than twice.

4 C

	£	£
Transfer of value (PET)		600,000
Less: AE – 2021/22		(3,000)
AE – 2020/21		(3,000)
		594,000
NRB at time of death	325,000	
GCTs in 7 years pre gift (20.8.2014 – 20.8.2021)		
– CLT on 2 December 2019 fully utilised NRB	(325,000)	
		(0)
Taxable amount		
		594,000
IHT liability (£594,000 × 40%)		237,600
Less: Taper relief		
(20.8.2021 – 15.3.2026) (4 – 5 years) (40%)		(95,040)
IHT payable		142,560
If gift was left in the estate:		
Increased estate value		600,000
IHT payable @ 40%		240,000
IHT saving: (£240,000 – £142,560)		97,440

5 A

Anita's niece, the donee, would be responsible for the IHT arising from the gift. The due date will be six months after the end of the month in which Anita, the donor, died.

208 NAGINA AND RISHI**Key answer tips**

This IHT question starts with a calculation of the gross chargeable transfer on a chargeable lifetime gift.

The second question tests the diminution in value principle in relation to the valuation of a gift of shares.

The final three questions all relate to the same gift in different ways. The first asks for the value of the exemptions which were available on the gift (note that these have already been deducted in the transfer figure given in the question), the second asks for the inheritance tax payable on the gift on death. Finally, the question tests the administration rules regarding who has to pay the tax and when. This provides an easy two marks if the administration rules for inheritance tax have been learnt.

1 £362,500

	CLT 16 April 2019	
	£	£
Transfer of value		355,000
NRB @ gift (2019/20)	325,000	
Less: Chargeable transfers ≤ 7 years of this gift (16.4.2012 to 16.4.2019)	(0)	
NRB available		(325,000)
Taxable amount		30,000
IHT payable (£30,000 $\times$ 25%)		7,500
Gross chargeable transfer (£355,000 + £7,500)		362,500

**Tutorial note**

Rishi has agreed to pay the IHT, so the rate is 25% (being 20% of the gift plus the tax. This can also be calculated as $20\% \times 100/80$.)

The gross chargeable transfer is the value of the gift (after exemptions) plus the tax paid.

2 A

Before the gift Rishi had 8,000 shares in Altion Ltd, a holding of 80%. Each of Rishi's shares before the gift therefore had a value of £30 per share.

After the gift Rishi owned 6,000 shares in Altion Ltd, meaning the holding had fallen to 60%. Each of his shares after the gift therefore had a value of £20 per share for IHT.

	£
Value of estate before transfer ($£30 \times 8,000$)	240,000
Value of estate after transfer ($£20 \times 6,000$)	(120,000)
Diminution in value	120,000

3 D

As this was a gift made to her grandchild the marriage exemption available was £2,500. The gift will also qualify for the annual exemptions for the tax year 2022/23 and 2021/22.

$$£2,500 + (2 \times £3,000) = £8,500$$

4 A

	£	£
Value of PET (after exemptions as per question)		350,000
NRB at time of death	325,000	
GCTs in 7 years pre gift (11.5.2015 – 11.5.2022)	(0)	
		(325,000)
Taxable amount		25,000
IHT liability ($£25,000 \times 40\%$)		10,000
Less: Taper relief		
(11.5.2022 – 26.6.2025) (3 – 4 years) (20%)		(2,000)
IHT payable		8,000

5 Responsible for payment – Grandson**Date payable by – 31 December 2025**

Death tax on lifetime gifts made by the deceased individual is paid by the recipient of the gift. Thus, it is payable by the Grandson. It is due six months from the end of the month of death, the end of the month of death was 30 June 2025 and therefore six months after this is 31 December 2025.

Death tax is payable by the executors of the estate only on the estate left by the deceased individual.

209 DIANNE

**Key answer tips**

This section B IHT question tests the death tax on a lifetime gift as well as the tax payable on the death estate. It also asks which debts are an allowable deduction in the death estate (although these have already been deducted in the chargeable estate figure provided).

It then tests a different individual and asks for the due dates in respect of tax on a lifetime gift as a result of death as well as the due date for the death estate itself. Finally it asks for the lifetime tax on a lifetime gift to a trust.

1 £31,840

	PET	
	10 June 2020	
	£	£
Transfer of value		440,000
NRB @ death	325,000	
Less: Chargeable transfers ≤ 7 years of this gift (10.6.2013 to 10.6.2020)	(84,000)	
NRB available		(241,000)
Taxable amount		199,000
IHT payable (£199,000 × 40%)		79,600
Less: Taper relief (10.6.2020 – 14.9.2025) (5 – 6 years) (60%)		(47,760)
IHT payable		31,840

**Tutorial note**

Each gift made by Dianne's father within 7 years of his death on 14 September 2025 is reviewed again and so both the gift on 4 May 2020 and 10 June 2020 need to be taken into account. The gift on 4 May 2020 will use £84,000 of the available nil rate band (NRB) for the gift on 10 June 2020.

2 C

Death estate	£	£
Gross chargeable estate		1,134,000
NRB at death (2025/26)	325,000	
Less: Chargeable transfers $\leq$ 7 years of death (14.9.2018 to 14.9.2025) (£84,000 + £440,000)	(524,000)	
		(0)
RNRB (2025/26)	175,000	
RNRB transferred from spouse	175,000	
	350,000	
Relief for RNRB restricted to net value of property		(240,000)
Taxable amount		894,000
IHT on chargeable estate (£894,000 $\times$ 40%)		357,600

**Tutorial note**

Dianne's father's spouse (her mother) had utilised her own nil rate band, therefore there is no transfer of her nil rate band to Dianne's father. However, her estate did not include a main residence and therefore her residence nil rate band can be transferred. However, the total RNRB is restricted to the net value of the property which is £240,000.

3 B and C

The promise to pay the friend's legal fees is not legally enforceable, and the electricity bill was paid before the date of death.

4 31 March 2026 and 31 March 2026

The tax on both the lifetime gift and the chargeable estate are due six months after the month in which the father died.

5 A

The correct answer is A. £66,250. On the date of the gift Dianne has already used up £70,000 of her NRB in respect of the chargeable lifetime transfer (CLT) to the trust on 10 June 2023; the PET does not utilise any NRB during Dianne's lifetime.

	CLT	
	1 March 2026	
	£	£
Transfer of value		520,000
NRB @ gift	325,000	
Less: Chargeable transfers ≤ 7 years of this gift (1.3.2019 to 1.3.2026) – CLT on 10.6.2025 only	(70,000)	
NRB available		(255,000)
Taxable amount		265,000
IHT payable (£265,000 × 25%)		66,250

**Tutorial note**

The PET does not use any NRB since this will only become chargeable to IHT if Dianne dies within 7 years of making the PET to her sister.

As Dianne is paying the tax on this gift to the trust the tax must be grossed up and therefore tax is payable at 25% or 20/80.

PRACTICE SECTION C CONSTRUCTED RESPONSE QUESTIONS

210 AURORA (ADAPTED)*Walk in the footsteps of a top tutor***Key answer tips**

Part (a) tests a basic calculation of IHT due on a lifetime gift and an estate. It is important to consider whether there is an opportunity to utilise the unused proportion of the deceased spouse's nil rate band and/or residential nil rate band when dealing with the death of the second spouse.

Part (b) tests private residence relief (PRR) for capital gains tax. It is important to consider any deemed occupation, as well as the actual occupation given in the question.

(a) Inheritance tax (IHT) payable on Aurora's death**Lifetime transfer – 23 August 2019**

	£	£
Value transferred		416,000
Less: Marriage exemption		(1,000)
Annual exemptions – 2019/20		(3,000)
– 2018/19		(3,000)
Potentially exempt transfer		409,000
NRB at death	325,000	
Less: GCTs in previous 7 years	(0)	
NRB available		(325,000)
Taxable amount		84,000
IHT × 40%		33,600
Less: Taper relief (23.8.2019 to 6.4.2025) (5 – 6 years) (60%)		(20,160)
Less: Lifetime IHT paid (£0 – as it is a PET)		(0)
IHT payable		13,440

**Tutorial note**

The gift is a potentially exempt transfer that becomes chargeable as a result of Aurora dying within seven years of making it.

Aurora died more than five but less than six years after the date of the gift so taper relief of 60% is available. The taper relief table is given in the Tax Rates and Allowances provided in the examination.

Death estate

	£
Let property (£350,000 × 3)	1,050,000
Less: Mortgages (£115,000 × 2)	(230,000)
Main residence	500,000
Gross chargeable estate	1,320,000
Less: Residence nil rate band	(175,000)
Transfer spouse's unused residence nil rate band	(175,000)
Nil rate band on death (6 April 2025) (fully utilised by lifetime gifts)	0
Taxable estate	970,000
IHT payable (£970,000 × 40%)	388,000

**Tutorial note**

As Aurora's spouse (Andrew) left his entire estate to Aurora, this was exempt due to the spouse exemption. Andrew did not use his residence nil rate band and therefore his unused proportion (100%) can be transferred to his surviving spouse (Aurora).

The residence nil rate bands can be utilised by Aurora because her death estate includes a residence (which she had previously occupied) and she is leaving it to her direct descendants (her children).

Aurora has already fully utilised her nil rate band during her lifetime and therefore none is available against her death estate.

Andrew had fully utilised his nil rate band during his lifetime and there was therefore no unused proportion to transfer to his surviving spouse, Aurora.

Note that the above working has more detail than you would be expected to show in an exam answer. Extra lines have been included here for clarity, but you could combine the residence nil rate bands and omit the nil rate band completely.

(b) Aurora – Chargeable gains 2025/26

	Property 1	Property 2	Property 3
	£	£	£
Chargeable gain (before reliefs)	100,000	150,000	150,000
Less: Private residence relief (PRR)			
£100,000 × (2 + 0.75)/15 years	(18,333)		
£150,000 × (12 + 0.75)/20 years			(95,625)
Letting relief	0		0
Chargeable gain (after reliefs)	81,667	150,000	54,375

Letting relief is only available if the owner occupies part of the property whilst the rest of the property is let out. Aurora was absent from the properties during the let periods and therefore no letting relief is available.

**Tutorial note**

PRR is available for periods of actual and deemed occupation. Properties 1 and 3 both qualify for the final nine months (0.75 of a year) as they have been Aurora's private residences at some time. However, the 'three years for any reason' cannot be applied as the periods of absence were not followed by periods of actual occupation.

ACCA Marking scheme		Marks
(a)	Lifetime transfer	
	Marriage exemption	1.0
	Annual exemptions	1.0
	Nil rate band	0.5
	IHT liability at 40%	0.5
	Taper relief	1.0
	Aurora – Death Estate	
	Let properties	0.5
	Deduction of mortgages	0.5
	Main residence	0.5
	Deduction of residence nil rate bands – Aurora's	0.5
	– Deceased spouse's	0.5
	Calculation of IHT	0.5
		7.0
(b)	Aurora – Chargeable gains 2025/26	
	Chargeable gains before reliefs	0.5
	Private residence relief	1.5
	Letting relief	1.0
		3.0
Total		10.0

Examiner's report

As is typical for the 10-mark question, different taxes were covered, in this case namely inheritance tax and capital gains tax. The question revolved around three residential properties owned by Aurora, with two of the properties qualifying for private residence relief.

The question was not particularly technical, and much of the relevant information was provided. However, it was important for candidates to sort out which information related to which requirement.

- As regards inheritance tax, it was the values of the three properties, the amount of outstanding interest-only mortgages, and Aurora's main residence.
- As regards capital gains tax, it was the chargeable gains, periods of ownership and the periods which Aurora had lived in each property.

The 10-mark question will often exclude certain reliefs. This was the case here, with both Aurora and her deceased husband, Andrew, having made lifetime gifts which fully utilised their respective inheritance tax nil rate bands of £325,000. This being the case, the nil rate bands could simply be ignored. Only the residence nil rate bands were relevant.

The capital gains tax requirement stated that the chargeable gain should be calculated before deducting the annual exempt amount. Therefore, the annual exempt amount and the tax liability were irrelevant, and could not possibly gain any marks.

With the 10-mark question, it is always a good idea for candidates to spend a few minutes planning out their answers, especially as this can avoid wasting time taking a much longer approach than necessary. With this requirement, the three property values and the two mortgage figures can be combined into just the two figures – £1,050,000 ($3 \times £350,000$ for the property values) and £230,000 ($2 \times £115,000$ for the mortgages). Three separate sets of workings not only take longer, but there is more scope for error.

The next important point is that the chargeable gain figures are completely irrelevant to this requirement, and, as already noted, so are the nil rate bands of £325,000. It is also necessary to include the main residence valued at £500,000. This is why the reading and planning aspect of answering the 10-mark question is so important.

The only slightly technical aspect to the requirement is the residence nil rate bands. Since Andrew is deceased and would not have used his residence nil rate band on his death (the entire estate being left to Aurora), two residence nil rate bands of £175,000 are available. The total of £350,000 is clearly less than the value of the main residence (£500,000). As can be seen from the model answer, all of this is easily combined into a computation with no separate workings required.

Note: The question has been amended since it was originally set. Part of the examiner's report has been removed as it relates to a part of the question that has been deleted.

Requirement (b) – 3 marks

At just 3 marks, another short set of workings is required here.

Since the chargeable gains are given, it is just a matter of establishing the available reliefs. As for requirement (a), it is important to ignore any information which is not relevant, such as the property values and the mortgages.

There is a slightly more difficult aspect to this requirement:

- Although the periods of occupation are given, it is necessary to add in a further 9 months (0.75 years) where relevant for the final periods of ownership.

Note that the examiner's comments regarding letting relief are no longer relevant due to changes in the tax rules and have been deleted. This part of the question has been amended to take into account the new rules.

The periods of ownership and the periods which Aurora has lived in each property are given in years, so it makes sense to retain this format and not convert to months. The final 9 months are simply included as 0.75 years.

211 JAMES (ADAPTED)



Walk in the footsteps of a top tutor



Key answer tips

Part (a) for six marks was a standard IHT question requiring the calculation of the tax payable on two lifetime gifts and the death estate as a result of the donor's death. This part also tested the knowledge of who is responsible for making the payments of IHT on both the lifetime gifts and the death estate.

Parts (b) and (c) involved basic IHT planning – this had to be applied to the scenario.

**Tutor's top tips**

The focus of this question was on lifetime gifts. Don't be put off by the fact there are three lifetime gifts made by the donor in the question.

Inheritance tax requires you to deal with the gifts in chronological order. Start with the earliest gift and apply any available exemptions. You can then consider which gifts will be subject to inheritance tax on the donor's death; any gifts more than seven years prior to the donor's death will not be subject to IHT on death.

(a) James – Inheritance tax arising on death

14 May 2024	£
Value transferred	420,000
Annual exemptions 2024/25	(3,000)
2023/24	(3,000)
Potentially exempt transfer	414,000
Inheritance tax liability £296,000 (W) × nil%	0
£118,000 × 40%	47,200
	47,200

James' daughter will be responsible for paying the inheritance tax of £47,200.

2 August 2024

	£
Chargeable lifetime transfer (no annual exemptions remaining)	260,000
Inheritance tax liability:	
No nil rate band remaining – used by CLT on 9.10.2018 and PET on 14.5.2024	
£260,000 × 40%	104,000

The trust will be responsible for paying the inheritance tax of £104,000.

Death estate

	£
Chargeable estate	870,000
Inheritance tax liability £870,000 × 40% (no nil rate band remaining)	348,000

The personal representatives (also known as executors) of James' estate will be responsible for paying the inheritance tax of £348,000.

Working – Available nil rate band

	£	£
Nil rate band		325,000
Chargeable lifetime transfer 9 October 2018		
Value transferred	35,000	
Annual exemptions 2018/19	(3,000)	
2017/18	(3,000)	
		(29,000)
		296,000

**Tutorial note**

The gift in October 2018 was made more than seven years before the donor's death and as such there was no IHT due as a result of James' death. This was a gift into a trust however, which means it was chargeable to IHT immediately. As this gift was within seven years of the next two lifetime gifts, the nil rate band available to these gifts is reduced accordingly.

- (b) Skipping a generation avoids a further charge to inheritance tax when his brother dies. Gifts will then only be taxed once before being inherited by his nephew, rather than twice.
- (c)
- 1 Even if the donor does not survive for seven years, taper relief will reduce the amount of IHT payable after three years.
 - 2 The value of potentially exempt transfers and chargeable lifetime transfers are fixed at the time they are made.
 - 3 James therefore saved inheritance tax of £20,000 (£310,000 – £260,000) at 40%) by making the lifetime gift of property.

ACCA Marking scheme	
	Marks
(a) PET – 14 May 2024	
Annual exemptions	1.0
Nil rate band £325,000	0.5
Less: CLT – AEs	1.0
IHT at 40%	0.5
Daughter responsible	0.5
CLT – 2 August 2024	
Transfer of value (no nil rate band)	0.5
IHT at 40%	0.5
Trust responsible	0.5
Death estate	
IHT at 40% (no nil rate band)	0.5
PRs responsible	0.5
	6.0
(b) IHT planning	
Skipping a generation reduces IHT	1.0
Gifts only taxed once	1.0
	2.0
(c) IHT saving	
Taper relief after 3 years	0.5
Gifts lock in value	0.5
IHT saving	1.0
	2.0
Total	10.0

Examiner's report

This question was on inheritance tax (IHT), and candidates found this to be a challenging area.

The requirement for part (a) was to calculate the IHT payable as a result of a taxpayer's death, and to state who was responsible for paying the tax. The taxpayer had made (1) a chargeable lifetime transfer (more than seven years before death), (2) a potentially exempt transfer and (3) another chargeable lifetime transfer. A quick review of the information given should have indicated that no lifetime tax would have been paid (this fact was actually stated in respect of the second chargeable lifetime transfer) and that taper relief was not relevant (given that none of the gifts were between four and seven years of death). However, many candidates dedicated a lot of time to establishing this. Candidates should read through the question carefully before they begin their calculations.

Part (b) required an explanation as to why it might have been beneficial if the taxpayer had left a portion of their estate to his nephew rather than to his brother. This aspect was well answered, with most candidates appreciating the basic IHT planning of avoiding a double charge to tax.

The IHT planning in part (c) was less well understood. It was necessary to explain why it might be advantageous to make lifetime gifts even when such gifts are made within seven years of death. The main advantage here is that the value of the gift is fixed at the time it is made, so no IHT is payable on the increase in value between making the gift and the time of death. Taper relief may also be available.

212 JESSICA

**Key answer tips**

This question requires the calculation of CGT and IHT on gifts made to a trust, as well as the income tax implications of these gifts. It can be daunting when multiple taxes are covered in one question, however the requirements are completely distinct and the income tax information is separate in the question.

The challenge is therefore to distinguish the information needed for CGT and IHT and to correctly apply the rules for valuing unquoted shares for IHT purposes and the CGT rules for gifts. For the capital gains tax calculation, pay close attention to how the market value of unquoted shares is determined. When calculating the lifetime inheritance tax, remember the 'loss to the donor' (diminution in value) principle. Also ensure you use the correct IHT rates for lifetime transfers.

Finally, for the income tax reduction, focus on the change in Jessica's taxable income categories due to the gifts. In order to calculate the answers in the time allowed for just three marks, it will be necessary to work in the margin, rather than producing full income tax computations. Make sure to apply the correct tax rates for savings and dividends for an additional rate taxpayer.

(a) Capital gains tax (CGT) liability

	£
Deemed proceeds (100,000 × £4)	400,000
Less: Cost (100,000 × £1)	(100,000)
	300,000
Less: Annual exempt amount	(3,000)
	297,000
CGT: £297,000 at 24%	71,280

**Tutorial note**

For CGT purposes, the valuation is based on the market value of the 40% shareholding gifted.

(b) Lifetime inheritance tax (IHT) on gifts to trust

	£
Value of shares held before the transfer ($150,000 \times £7$)	1,050,000
Value of shares held after the transfer ($50,000 \times £3$)	(150,000)
	900,000
Cash	250,000
Chargeable lifetime transfer	1,150,000
IHT liability £325,000 at 0%	0
£825,000 at 20%	165,000
	165,000

(c) Reduction in income tax liability

	£
Dividend income	
£16,000 ($£24,000 - £8,000$) at 39.35%	6,296
Savings income	
£1,250 exempt	0
£5,000 ($£6,250 - £1,250$) at 45%	2,250
Income tax reduction	8,546

**Tutorial notes**

- 1 The dividend nil rate band is not relevant to the calculation because Jessica's dividend income both before and after the transfer exceeds £500.
- 2 As an additional rate taxpayer, Jessica would not have benefited from any savings income nil rate band.

Marking scheme	
	Marks
(a) Capital gains tax liability	
Deemed proceeds	1.0
Cost	1.0
Annual exempt amount	0.5
Capital gains tax	0.5
(b) Lifetime inheritance tax on gifts to trust	
Shares transfer of value	2.0
Cash	1.0
Nil rate band	0.5
Inheritance tax at 20%	0.5
(c) Reduction in income tax liability	
Dividend income	1.5
Savings income – exempt	0.5
Savings income at 45%	1.0
	—
Total	10.0
	—

Examiner's report

The 10-mark higher skills question involved Jessica, an additional rate taxpayer. On 6 April 2025, she had made a lifetime gift consisting of both shares and cash to a trust, with the funds then being held for the benefit of her two grandchildren aged three and four.

Although this question was well answered, the fact that the same share information had to be used for both capital gains tax and inheritance tax purposes often caused confusion. This is despite a similar example being included in the higher skills, chargeable gains and inheritance tax articles. It is important to appreciate the interactions that can arise in a higher skills question, and reading published articles and practising exam standard questions will help to this end.

Requirement (a)

The relevant information to pull out from the question is that Jessica made a gift of 100,000 £1 ordinary shares in Valuable Ltd to the trust. With Valuable Ltd having a share capital of 250,000 £1 ordinary shares, the gift represents a 40% shareholding, so the relevant deemed proceeds figure is based on £4 per share. The shares were acquired at a £1 par value.

Therefore, the gain is simply $100,000 \times £3$ ($£4 - £1$) = £300,000 (for 2 marks). Deduct the annual exempt amount, multiply by the higher capital gains tax rate (since Jessica is an additional rate taxpayer), and that gives the capital gains tax figure.

Provided the valuation basis is understood, that should be a very easy and quick 3 marks.

The big problem for many candidates, of course, was that they used an inheritance tax basis of valuation. A common error was to calculate the inheritance tax value (£900,000 – part (b)) and then deduct the correct cost figure of £100,000 (100,000 at £1). This would have wasted a minute or two on the erroneous calculation.

Requirement (b)

The diminution in value of Jessica's estate was a cash element of £250,000 (for one mark), and the 100,000 £1 ordinary shares in Valuable Ltd. Before the transfer, Jessica owned 150,000 shares; a 60% shareholding valued at £7 per share. After the transfer, Jessica owned 50,000 shares; a 20% shareholding valued at £3 per share. The diminution in value from the gift of shares was therefore $(150,000 \text{ at } £7) - (50,000 \text{ at } £3) = £900,000$ (for 2 marks).

The total value of the transfer was therefore £1,150,000 (£250,000 + £900,000). It was then just a case of deducting the full nil rate band of £325,000, with lifetime tax calculated at the rate of 20% (since the trust paid the inheritance tax arising).

This requirement was quite well answered, although a very common mistake was to exclude the £50,000 held within cash ISAs from the cash element of £250,000. Even though the requirement was to ignore the inheritance tax annual exemption, quite a few candidates still deducted this. Despite the scenario clearly stating that the trust paid the inheritance tax arising, a number of candidates grossed up the tax due using a rate of 20/80ths.

Requirement (c)

The gift impacted on Jessica's savings income and her dividend income.

Savings income: If the gift had not been made, Jessica would have received savings income of £6,250 on the cash held during the tax year, of which £1,250 would have been from ISAs.

Dividend income: If the gift had not been made, Jessica would have had dividend income of £24,000. This was reduced to £8,000 as a result of making the gift of shares.

There were many perfect answers to this requirement, although answers were often more complicated than they needed to be.

Savings income: The ISA interest was not relevant (being exempt), so the income tax reduction was simply £5,000 (£6,250 – £1,250) at 45% = £2,250 for 1.5 marks. Any attempt to include the personal allowance made it impossible to score full marks.

Dividend income: Here, the income tax reduction was £16,000 (£24,000 – £8,000) at 39.35% = £6,296 for 1.5 marks. The dividend nil rate band often caused unnecessary complications, although full marks were still available if the nil rate band was deducted from both 'before gift' and 'after gift' computations.

Candidates should be careful to use the correct tax rates which are clearly shown in the tax tables available in the exam.

Section 9

ANSWERS TO PRACTICE CORPORATION TAX QUESTIONS

PRACTICE SECTION A OBJECTIVE TEST QUESTIONS

CORPORATION TAX BASICS AND ADMINISTRATION

213

Accounting period	1 March 2025 to 31 March 2025 ✓	1 April 2025 to 31 March 2026
Corporation tax due	FY2024 ✓	FY2025

Examiner's report

An accounting period starts when the company becomes liable to corporation tax, in this case the company started to earn interest (on which it will pay corporation tax) on the 1 March 2025. An accounting period will finish when the company starts to trade and this will start a new accounting period. Therefore, the first accounting period will be from 1 March 2025 to 31 March 2025. A financial year (FY) starts on 1 April and ends on 31 March and is identified by the calendar year in which it begins. In this case the accounting period 1 March to 31 March 2025 falls within the FY2024 (starting on 1 April 2024 and ending on 31 March 2025).

The accounting period from 1 April 2025 to 31 March 2026 is the second accounting period for corporation tax purposes (when trade starts and running to the maximum period of 12 months) and that falls into FY2025 (starting on 1 April 2025).

214 A



Tutorial note

If a company files its return on time HMRC has 12 months from the date of actual delivery of the return to give notice of a compliance check.

If the return is submitted late, notice must be given within 12 months from the 31 January, 30 April, 31 July or 31 October next following the actual date of delivery of the tax return to HMRC (i.e. within 12 months of the next 'quarter day').

215

	Resident	Not resident
A Ltd, a company incorporated in the UK, with its central management and control exercised in the UK	✓	
B Ltd, a company incorporated overseas, with its central management and control exercised in the UK	✓	
C Ltd, a company incorporated in the UK, with its central management and control exercised overseas	✓	
D Ltd, a company incorporated overseas, with its central management and control exercised overseas		✓

216 C

**Tutorial note**

Companies are UK resident if they are incorporated in the UK or if they are centrally managed and controlled in the UK. Xebec Inc is managed and controlled in the UK. Yawl Ltd is incorporated in the UK. Zille Inc is neither incorporated in the UK nor managed and controlled from the UK.

217 B

**Tutorial note**

Lili Ltd can deduct the research into competitors incurred on 6 June 2020 (£12,000) and the donation to the local school on 15 December 2024 (£2,000), i.e. a total of £14,000.

It cannot deduct the initial market research as it was incurred more than seven years before the start of trade, nor the costs of entertaining customers and suppliers as this is disallowable expenditure under the normal rules.

218 £32,000

Non-trade loan relationship income

	£
Loan interest received	35,000
Loan interest accrued	5,000
Interest payable on loan to buy shares	(8,000)
Taxable total profits	32,000

**Tutorial note**

Loan interest receivable will always be non-trade loan relationship (NTLR) income unless the company is in the trade of money lending. The interest received and accrued will both be taxable, as the income is assessable on the accruals basis.

The non-trade loan interest payable will be deducted from the interest receivable when calculating NTLR income. The loan to purchase the delivery vehicles is for trade purposes and therefore it will be deducted from the trading profits (rather than go through NTLR). However, the loan to buy shares in another company is an investment and is not for trading purposes and so this amount will be deducted from interest receivable.

219

Corporation tax payable	£154,500 ✓	£156,250	£162,500
Corporation tax due	1 January 2027 ✓	31 March 2027	31 January 2027

	£
Trading profit	625,000
Less: Qualifying charitable donations	(7,000)
Taxable total profits	618,000
Corporation tax payable (£618,000 × 25%)	154,500

The corporation tax payable is at 25% as the profits are above £250,000. The due date is nine months and one day after the end of the accounting period, 1 January 2027, as augmented profits are below the threshold for instalment payments.

Examiner's report

While many candidates selected the correct corporation tax due date, a number of candidates incorrectly selected corporation tax payable of £162,500 because they included the dividends received in the taxable total profits.

220 £49,341**Corporation tax liability – y/e 31 March 2026**

	£
Tax adjusted trading profit	200,000
Taxable total profits	200,000
Corporation tax liability (£200,000 × 25%)	50,000
Less: Marginal relief	
$3/200 \times (£250,000 - £205,000) \times £200,000/£205,000$	(659)
	49,341

Working: Augmented profits

	£
TTP	200,000
Dividends	5,000
Augmented profits	205,000

As augmented profits are between £50,000 and £250,000 marginal relief applies.

221 A***Tutorial note***

Staff entertainment is an allowable deduction from trading profit. Note – the £150 threshold does not apply here – it only applies when calculating benefits for the employees.

Where the CO₂ emissions of a leased car exceed 50 grams per kilometre 15% of the lease charges are disallowed.

Remember that there are no private use adjustments for a company. The lease payments are therefore allowed in full, irrespective of any private use, subject to the 15% restriction.

222 £96,300

		Main pool	Allowances
	£	£	£
y/e 31 March 2026			
TWDV b/f		35,000	
Additions qualifying for AIA/Full expensing			
Machine	100,000		
AIA/Full expensing (100% FYA)	(100,000)		100,000
Disposals			
Super deduction balancing charge			(10,000)
WDA @ 18%		(6,300)	6,300
TWDV c/f		28,700	
Total allowances			96,300

**Tutorial note**

Whether the businesses claims full expensing (100% FYA) or the AIA, the new additions will be eligible for capital allowances at 100%, so it makes no difference to the calculations here. However, it would be more beneficial to claim the AIA as this would not lead to a balancing charge when the asset is subsequently disposed of.

Disposals of assets on which the super deduction was claimed result in an immediate balancing charge on disposal, calculated as 100% of the lower of proceeds and original cost.

223 B

		Main pool	Allowances
	£	£	£
y/e 31 March 2026			
TWDV b/f		20,000	
WDA @ 18%		(3,600)	3,600
Zero-emission car	8,000		
FYA @ 100%	(8,000)		8,000
		0	
TWDV c/f		16,400	
Total allowances			11,600

**Tutorial note**

Remember that there are no private use adjustments for a company. The employee who uses the car privately will have a taxable employment benefit instead.

224 A

		Main pool	Allowances
	£	£	£
y/e 31 March 2026			
TWDV b/f		15,000	
Additions qualifying for AIA			
Lorry (£198,000 – £33,000)	165,000		
AIA @ 100%	(165,000)		165,000
WDA @ 18%		(2,700)	2,700
TWDV c/f		12,300	
Total allowances			167,700

**Tutorial note**

As Edam Ltd is VAT-registered, the input VAT incurred on the lorry can be recovered, therefore the VAT-exclusive cost must be included in the capital allowances computation.

225 £33,600

	£
Rental income (£3,000 × 12)	36,000
Electricity (£200 × 12)	(2,400)
Property income	33,600

**Tutorial note**

Property income for a company is always taxed on an accruals basis, therefore the payment of electricity consumed during the accounting period but paid for after the end of the accounting period is still included as an expense.

Interest payable in relation to an investment property (i.e. mortgage interest) is not deductible from property income for companies. Instead, the interest payable is deductible from interest income in calculating the non-trading loan relationship income as it relates to a non-trading activity.

The treatment for individuals is different; interest payable on an investment property is not deductible from property income and instead is deductible at the basic tax rate from the income tax liability.

226

	Corporation tax return due
1 March 2027	
31 May 2027	
1 June 2027	
31 August 2027	✓

**Tutorial note**

If a period of account is split into two accounting periods, the related corporation tax return must be submitted within 12 months of the end of the period of account, not the end of the accounting periods.

227 D

**Tutorial note**

A large company is required to pay its final instalment of corporation tax by the 14th day of the 4th month after the end of the accounting period (AP). Note that for a 12-month AP this is 16 months after the start of the AP.

Where an AP is less than 12 months, the first instalment is due by the 14th day of the 7th month after the start of the AP. Subsequent instalments are due at 3 monthly intervals thereafter, until the date of the final instalment is reached.

For an eight-month AP instalments are due on the 14th day of months 7, 10 and 12 (the last being 4 months after the end of the AP). For this scenario, that is 14 July 2025, 14 October 2025 and 14 December 2025.

The first two instalments are calculated as $3/8 \times$ corporation tax liability ($£400,000 \times 3/8 = £150,000$). The final instalment will be $2/8 \times$ corporation tax liability.

Examiner's report

A number of candidates selected B £100,000 on 14 July 2025, which is the correct due date however the instalment amount (calculated as $£400,000 \times 3/12$, giving £100,000) is incorrect because £100,000 would be the amount payable if the period had been 12 months (rather than eight months) long.

RELIEF FOR TRADING LOSSES

228 A

Loss memorandum

	£
Trading loss for the y/e 31 March 2026	102,800
Loss against total profits	
– Current period (y/e 31 March 2026)	(10,100)
– 12 month carry back: y/e 31 March 2025 (£79,400 + £6,800)	(86,200)
Unrelieved loss at 31 March 2026	6,500

**Tutorial note**

The loss must be offset against the current period first to enable a 12 month carry back. The loss is deducted from total profits, prior to the deduction of qualifying charitable donations.

229 £20,000

Year ended 31 March	2025	2026
	£	£
Trading profit	40,000	0
Property income	15,000	21,000
Total profits	55,000	21,000
Less: Loss relief – current year		(21,000)
– carry back (£50,000 – £21,000)	(29,000)	
Total profits	26,000	0
Less: QCDs	(6,000)	Wasted
Taxable total profits	20,000	0

***Tutorial note***

A claim to carry back losses against total profits (i.e. before QCDs) of the previous year can only be made if a claim has been made to offset the loss against current year total profits first.

230 C

Loss memorandum	£
Loss of year ended 31 March 2026	60,000
Less: Used in current year – y/e 31 March 2026	(5,000)
Less: Used in 12 month carry back	
– 9 m/e to 31 March 2025 (W)	(25,000)
– y/e 30 June 2024	
Lower of:	
1 Total profits $\times 3/12 = (3/12 \times 44,000) = £11,000$	
2 Remaining loss = £30,000	(11,000)
Loss carried forward	19,000

Working: Loss relief

	y/e 30 June 2024	9 m/e 31 March 2025	y/e 31 March 2026
	£	£	£
Trading profit	40,000	22,000	0
Non-trade loan relationship income	4,000	3,000	5,000
Total profits	44,000	25,000	5,000
Loss relief:			
Current year			(5,000)
12 month carry back		(25,000)	
12 month carry back ($£44,000 \times 3/12$)	(11,000)		
TTP	33,000	0	0

**Tutorial note**

A loss can be carried back against the total profits of the previous 12 months (provided a current year claim has been made first).

Where an accounting period falls partly into the 12 month carry back period the total profits must be time apportioned and only those falling in the 12 month carry back period can be relieved.

231

	True	False
Cairns Ltd's taxable total profits in the year ended 30 June 2026 are £27,000		✓
The trading loss may not be offset against chargeable gains		✓
Cairns Ltd must make a claim for any loss relief claimed by 30 June 2027		✓

Year ended 30 June	2025	2026
	£	£
Trading profit	0	25,000
Chargeable gains	9,000	45,000
Total profits	9,000	70,000
Less: Loss relief		
Current year	(9,000)	
Brought forward		(31,000)
	0	39,000
Less: QCDs	Wasted	(3,000)
Taxable total profits	0	36,000
Loss memorandum		
		£
Loss of year ended 30 June 2025		40,000
Less: Loss relief		
Current year		(9,000)
Carried forward to y/e 30 June 2026		(31,000)
Loss carried forward at 30 June 2026		0

**Tutorial note**

Cairns Ltd's taxable total profits in the year ended 30 June 2026 are £36,000 as the trading loss must be offset against chargeable gains where a current year claim is made in year ended 30 June 2025.

A claim to set-off brought forward losses against the total profits of the year ended 30 June 2026 must be made within two years of the end of the accounting period in which the loss is relieved i.e. by 30 June 2028. However, a claim to set-off of trading losses against total profits of the year ended 30 June 2025 must be made within two years of the end of the accounting period in which the loss arose i.e. by 30 June 2027.

When loss relief is claimed against total profits in the current year, losses must be offset in full, even if this means wasting QCDs. Losses carried forward are offset against total profits before QCDs (although a lower relief can be claimed to avoid wasting QCDs).

232 A**Loss relief****Year ended 30 April**

	2025	2026
	£	£
Trading profit	0	61,000
Property income	0	27,000
Non-trade loan relationship income	30,000	30,000
Total profits	30,000	118,000
Less: Property loss relief – current year	(28,000)	(0)
Trading loss relief – brought forward		(108,000)
	2,000	10,000
Less: QCDs	(2,000)	(10,000)
Taxable total profits	0	0

Loss memorandum

	£
Property loss of year ended 30 April 2025	28,000
Less: Loss relief	
Current year	(28,000)
Loss carried forward at 30 April 2025	0
	£
Trading loss of year ended 30 April 2025	120,000
Less: Loss relief	
Carried forward to y/e 30 April 2026	(108,000)
Loss carried forward at 30 April 2026	12,000

**Tutorial note**

Property losses are automatically offset in the current year against total profits before QCDs, which may lead to the wastage (or part wastage as here) of the QCDs.

Trading losses do not need to be offset in the current year (and would not be in this case, as this would waste QCDs and not save any tax). When trading losses are carried forward they are offset against total profits before QCDs, but partial claims are possible to avoid the wastage of QCDs.

233 £11,100**Loss memorandum**

	£
Loss of year ended 31 March 2025	65,000
Less: Loss relief	
Used in current year claim – y/e 31 March 2025 (W)	(20,000)
Carried forward – y/e 31 March 2026 (W) restricted to preserve QCDs	(33,900)
Loss not utilised as at 31 March 2026	11,100

Working – Loss relief

Year ended 31 March	2024	2025	2026
	£	£	£
Trading profit	16,000	20,000	25,000
Property income	5,000	0	10,000
Total profits	21,000	20,000	35,000
Less: Loss relief			
Current year		(20,000)	
Brought forward			(33,900)
Total profits	21,000	0	1,100
Less: QCDs	(800)	wasted	(1,100)
Taxable total profits	20,200	0	0

**Tutorial note**

A property loss is automatically (no choice available) set against the total profits (before QCDs) of the current year. Any unused loss is carried forward and a claim can be made to offset it against future total profits (before QCDs). A partial claim is possible, which avoids wasting QCDs. Property losses cannot be carried back.

234 D**Loss memorandum**

	£
Loss of year ended 31 March 2026	100,000
Less: Loss relief	
Current year	(14,000)
Terminal loss relief (Previous three years on LIFO basis):	
y/e 31 March 2025	(19,000)
y/e 31 March 2024	(32,000)
y/e 31 March 2023 (balance)	(35,000)
Loss not utilised	0

Working – Loss relief

Year ended 31 March	2023	2024	2025	2026
	£	£	£	£
Trading profit	45,000	32,000	10,000	0
Chargeable gain	5,000	0	9,000	14,000
Total profits	50,000	32,000	19,000	14,000
Less: Loss relief				
Current year				(14,000)
Terminal loss relief (LIFO):				
First			(19,000)	
Second		(32,000)		
Third	(35,000)			
Taxable total profits	15,000	0	0	0

**Tutorial note**

A loss in the final 12 months of trading can be set against the total profits of the three preceding years on a LIFO basis, provided a claim has been made against current year total profits first.

235 31 DECEMBER 2027 AND £1,000**Taxable total profits – year ended 31 December 2025**

	£
Trading profits	13,300
Property business income	4,600
Non-trade loan relationship income	2,500
Total income	20,400
Less: Trading loss b/f (restricted) (20,400 – 1,000)	(19,400)
Qualifying charitable donations	(1,000)
Taxable total profits	0

Loss memorandum

	£
Trading loss brought forward	20,400
Loss used in the current year	(19,400)
Unrelieved loss at 31 December 2025	1,000

A claim to utilise the loss must be made within two years of the end of the accounting period in which the loss is relieved, i.e. 31 December 2027.

***Tutorial note***

Trading losses brought forward can be restricted to allow qualifying charitable donations to be utilised, rather than wasted.

Examiner's report

The incorrect options are:

Date 31 December 2026 is the date the tax return should be filed.

Trading loss – £0 – fails to recognise that trade loss offset against total income can be restricted to avoid wasting QCD's.

WITH GROUP ASPECTS

236 D

**Tutorial note**

Forty Ltd is not a 75% subsidiary of Thirty Ltd.

Accordingly, regardless of indirect percentage interests, Forty Ltd and Ten Ltd cannot form a group for group relief or chargeable gains purposes.

237

	Loss can be surrendered to
Chair Ltd	✓
Bin Ltd	
Paper Inc	
Cardboard Ltd	✓

**Tutorial note**

A group relief loss group consists of a company and directly/indirectly owned companies where there is a shareholding of at least 75%. Therefore, Bin Ltd is not in the loss group as Computer Ltd's direct shareholding is only 60%.

Computer Ltd has a direct holding of 75% in Chair Ltd and 100% in Paper Inc and an indirect 75% holding, through Paper Inc, in Cardboard Ltd (100% × 75%).

An overseas company can be part of the loss group structure but it cannot itself claim or surrender losses, so losses cannot be surrendered to Paper Inc.

238 C

**Tutorial note**

A capital gains group comprises the parent company and its 75% subsidiaries and also, the 75% subsidiaries of the first subsidiaries and so on.

The parent company must have an effective interest of over 50%, in ALL companies.

Acasta Ltd has a 75% interest in Barge Ltd and greater than 50% effective interest in Dhow Ltd. Eight Ltd is not in the capital gains group as although it is an effective 51% subsidiary of Acasta Ltd, it is not a direct 75% subsidiary of Coracle Ltd.

239 A and D**Tutorial note**

Group relief can only be claimed for the period when Zeus Ltd was in the Xtra Ltd group, i.e. from 1 April 2025. Group relief is therefore available for nine months in the year ended 31 December 2025. It is restricted to the lower of the available profits in Xtra Ltd and the available losses in Zeus Ltd for that nine-month period.

Zeus Ltd can therefore surrender the lower of £180,000 ($£240,000 \times 9/12$) and £135,000 ($£180,000 \times 9/12$) to Xtra Ltd.

Yak Ltd is not in a 75% group with Xtra Ltd and Zeus Ltd, and so cannot claim group relief for the corresponding accounting period.

240 B**Tutorial note**

Where the companies in a loss group have non-coterminous accounting periods, the available profits and losses must be time apportioned, to find the relevant amounts falling within the corresponding accounting period.

In this situation, the maximum loss that can be surrendered = lower of:

- *Taxable total profits in the claimant company for the corresponding accounting period = £40,000 ($3/6 \times £80,000$).*
- *Allowable loss in the surrendering (loss-making) company for the corresponding accounting period = £25,000 ($3/12 \times £100,000$).*

241 £24,000**Tutorial note**

Brought forward losses can only be group relieved to the extent they cannot be used against the surrendering company's own total profits. Therefore, AB Ltd can only group relieve £4,000 ($£12,000 - £8,000$) along with the current year loss of £20,000.

242 £150,000

The deemed acquisition cost is £150,000.

This is made up of the original cost of the asset to Apple Ltd (£100,000) plus indexation allowance (£50,000).

**Tutorial note**

When an asset is transferred between companies in a gains group the asset is deemed to be transferred at a price that gives rise to neither a gain or loss to the company transferring the asset.

The deemed transfer price becomes the deemed acquisition cost for the transferee.

243 C**Tutorial note**

There are five associated companies (Telephone Ltd, Desk Ltd, Chair Ltd, Window Inc and Blind Ltd) for the purposes of adjusting the upper and lower limits (for tax rate purposes) for the year ended 31 March 2026.

Associated companies are those companies that are under the control of Telephone Ltd (i.e. Telephone Ltd owns, either directly or indirectly, more than 50% of the company's ordinary share capital).

The upper and lower limits (for tax rate purposes) are adjusted for the number of associated companies in the accounting period, regardless of when in that period they were acquired or disposed. Therefore, Blind Ltd is included for the year ended 31 March 2026.

Overseas companies are included but dormant companies are excluded.

244 D**Tutorial note**

Novak Ltd has two associated companies (Roger Ltd and Pete Ltd). The upper limit will therefore be £83,333 (£250,000/3).

Pete Ltd is included as Novak Ltd controls Roger Ltd and Roger Ltd controls Pete Ltd. Andy Ltd is not included as Pete Ltd does not control Andy Ltd (not more than 50% ownership).

245 A**Corporation tax – 8 m/e 31 March 2026**

	£
Augmented profits threshold	1,500,000
Adjusted for eight-month accounting period and four associated companies (Custard Ltd plus three associated companies)	
$£1,500,000 \div 4 \times 8/12$	250,000

246 £1,570,000**Augmented profits – y/e 31 January 2026**

	£
TTP (£1,450,000 + £100,000)	1,550,000
Plus: Dividend income from non-associated companies	20,000
Augmented profits	1,570,000

247 A

£5,940 (£4,680 + £1,260)

***Tutorial note***

Dividends received from associated companies are excluded from augmented profits. As Luck Ltd does not own more than 50% of the third company from which dividends of £1,260 are received, the two companies are not associated companies.

248

	Corporation tax due on 1 April 2026
W Ltd – prepared accounts for the year ended 30 June 2025	✓
X Ltd – prepared accounts for the 15 months ended 30 September 2025	✓
Y Ltd – prepared accounts for the year ended 31 March 2025	
Z Ltd – prepared accounts for the eight months to 30 June 2025	✓

**Tutorial note**

Companies which are not large (augmented profits do not exceed £1,500,000) are required to pay corporation tax nine months and one day after the end of the accounting period (AP).

W Ltd and Z Ltd both have an AP ending on 30 June 2025 so the due date for payment of corporation tax is 1 April 2026.

X Ltd's 15-month period of account contains two APs for tax purposes, the year ended 30 June 2025 and the three months ended 30 September 2025. Therefore, it also has a due date for payment of corporation tax of 1 April 2026 in respect of the year ended 30 June 2025.

Y Ltd's due payment date in respect of the year ended 31 March 2025 is 1 January 2026.

249 C**Tutorial note**

As none of the companies have received any dividends, it can be assumed that the TTP is equal to augmented profits.

Chelfry Ltd is a large company for the first time in its current accounting period (AP), so does not have to pay its corporation tax by quarterly instalments.

Asher Ltd has a reduced profit threshold of £500,000 (£1,500,000/3) as there are three associated companies. The TTP of £700,000 exceeds the threshold and Asher Ltd was large in the previous year. Therefore, the corporation tax must be paid by instalments.

Barton Ltd has a reduced profit threshold of £500,000 (£1,500,000 × 4/12) as the AP is only 4 months. The TTP of £600,000 exceeds the threshold and it was a large company in the previous AP. Therefore, the corporation tax must be paid by instalments.

250 D**Tutorial note**

Large companies are required to pay corporation tax in instalments from the accounting period following the first accounting period in which they are a large company.

A large company is one whose profits exceed the augmented profit threshold of £1,500,000. This limit must be divided by the number of associated companies.

Mammoth Ltd has one associated company and therefore the relevant augmented profit threshold is £750,000 (£1,500,000/2). Mammoth's augmented profits exceed this threshold in the year ended 31 December 2025 and therefore quarterly instalment payments will be required from the year ended 31 December 2026.

251 £4,710

$(£166,250 \times 8.50\% \times 4/12) = £4,710$ (period 1 April 2026 to 31 July 2026)

PRACTICE SECTION B OBJECTIVE TEST CASES

CORPORATION TAX BASICS AND ADMINISTRATION

252 GREENZONE LTD (ADAPTED)



Walk in the footsteps of a top tutor

**Key answer tips**

This ten mark question concerns the adjustments to a company's tax adjusted trading profit, capital allowances computations and company payment dates.

1 B

		Entertaining expenses	
		£1,840	£5,440
Repairs and renewals	£0	A	B✓
	£19,800	C	D

**Tutorial note**

- 1 The legal fees on the renewal of the short (≤ 50 years) lease are allowable.
- 2 For corporation tax purposes all entertaining expenditure is disallowed unless it relates to employees.

**Top tutor tips**

For VAT purposes, input VAT can be reclaimed on the expense of entertaining overseas customers, but not on the expense of entertaining UK customers. Because of this, students often get confused about whether the expense of entertaining overseas customers is an allowable deduction against trading profits for income tax and corporation tax. Remember, for income tax and corporation tax purposes, only employee entertaining is deductible.

2 A

	£
Gifts and donations	
Political donations	740
Non-qualifying charitable donations (Note 1)	0
Gifts to customers – Pens (Note 2)	660
– Clocks (Note 2)	910
	2,310

**Tutorial note**

- 1 The charitable donation is an allowable expense against trading profits as it is local and reasonable in size in relation to the business and is wholly and exclusively incurred for trading purposes (i.e. advertising).
- 2 Gifts to customers are only an allowable deduction if they cost less than £50 per recipient per year, are not of food, drink, tobacco or vouchers exchangeable for goods and carry a conspicuous advertisement for the company making the gift.

3 £49,241

	FYA	Main pool £	Allowances £
TWDV b/f		48,150	
Addition not qualifying for AIA			
Car 2		20,400	
		68,550	
Proceeds – Car 3		(8,500)	
		60,050	
WDA @ 18%		(10,809)	10,809
Addition qualifying for 100% FYA			
Car 1	10,800		
FYA @ 100%	(10,800)		10,800
		0	
TWDV c/f		49,241	
			21,609

**Tutorial note**

- 1 Car 1 has zero CO₂ emissions and therefore qualifies for the 100% first year allowance (FYA). In the absence of any other information always assume that cars purchased are new cars (not second-hand).
- 2 Car 2 has CO₂ emissions between 1 and 50 grams per kilometre and therefore qualifies for writing down allowances at the rate of 18%.
- 3 The amount deducted on disposal of car 3 is restricted to the original cost figure of £8,500.

4 C

	AIA	FYA	Special rate pool	Allowances
6 months to 31 March 2026	£	£	£	£
TWDV b/f			0	
Addition qualifying for AIA				
– special rate addition	550,000			
AIA (Max £1,000,000 × 6/12)	(500,000)			500,000
SRP balance for 50% FYA		50,000		
FYA @ 50%		(25,000)		25,000
			25,000	
TWDV c/f			25,000	
				525,000

**Tutorial note**

The AIA (and where relevant) WDA must be adjusted to reflect the short accounting period of six months.

The balance of the expenditure after AIA qualifies for the 50% FYA on the SRP. FYAs are never time apportioned for a short period. WDAs will not be available on the remainder of the new expenditure until the following period.

5

	Instalment date
14 January 2026	
14 April 2026	✓
14 July 2026	✓
14 October 2026	

**Tutorial note**

Where the accounting period is less than 12 months:

- First instalment due by: 14th day of 7th month after the start of the accounting period (as normal).
- Subsequent instalments are due at three monthly intervals thereafter, until the date of the final instalment (see below) is reached.
- Last instalment due by: 14th day of 4th month after the end of the accounting period. Earlier instalments (as above) are only due if they fall before the date of the final instalment.

253 MIXTURE LTD**Key answer tips**

This section B question tests some common areas of corporation tax, including various elements of administration, which can lead to easy marks if the rules are learnt. These include augmented profits threshold for paying instalments, the amount of each instalment and the due dates.

It also tests the additions that qualify as plant and machinery for capital allowance purposes and the rules on calculating property business profits for a company.

1 D**Tutorial note**

The augmented profits include the dividends received because they were received from a non-associated company (£770,000 + 45,000 = £815,000).

The instalment threshold is divided by three because Mixture Ltd has two associated companies, so there are a total of three companies in the group (£1,500,000/3 = £500,000).

2 £48,125

	£
Corporation tax liability:	
£770,000 × 25%	192,500

First instalment:	
£192,500/4	48,125

**Tutorial note**

Mixture Ltd is paying corporation tax at 25% as the augmented profits exceed £250,000.

For a 12-month accounting period, instalments are due in four equal amounts. Although Mixture may not have known how much the final corporation tax liability would be at the time the first instalment was paid, the amount due is always one quarter of the total. If instalments are under or over paid, then interest will be payable or receivable.

3**Instalment dates**

First instalment	14 October 2025
Last instalment	14 July 2026

4 B

	£
Staircase	0
Sprinkler equipment and fire alarm system	16,400
Ventilation system	27,100
Decorative wall	0

	43,500

**Tutorial note**

Items which are included as part of the building (i.e. the staircase and walls) are not classed as plant as they form part of the setting of the business.

5 B

	£
Rent receivable ($£7,800 + £5,200 + (£8,400 \times 1/3)$)	15,800
Less: Insurance ($(£1,700 \times 9/12) + (£1,900 \times 3/12)$)	(1,750)
Property business income	14,050

**Tutorial note**

Remember that property income is always taxed on an accruals basis for companies. Therefore, it is important to consider the rent receivable and the expenses payable for the accounting period.

RELIEF FOR TRADING LOSSES**254 LOSER LTD (ADAPTED)****Key answer tips**

A fairly straightforward corporation tax loss question testing the different reliefs available. It covers the factors affecting the choice of loss relief, carry forward of losses, current year and prior year relief and terminal loss relief.

1

	Relevant	Not relevant
Timing of relief	✓	
Extent to which losses will be wasted	✓	
Extent to which QCD relief will be wasted	✓	
Rate of corporation tax saved		✓

**Tutorial note**

The timing of the relief obtained is relevant as a claim against total profits in the current year and previous 12 months will result in earlier relief than a claim to carry a loss forward, and such a claim will normally result in a tax repayment as well.

Losses may be lost on a cessation of trade if they have not previously been utilised, so this is a relevant factor.

The extent to which relief for qualifying charitable donations will be lost is relevant, since these cannot be carried forward.

The rate of corporation tax saved is not currently relevant as Loser Ltd is paying tax at 19% through all periods as Loser Ltd's profits never exceed £50,000.

2 B

	y/e 31.3.2026	y/e 31.3.2027
	£	£
Trading profit	0	40,000
Property income	5,600	3,000
Total profits	5,600	43,000
Less: Loss b/f		(41,700)
Less: QCD relief	(1,100)	(1,300)
Taxable total profits	4,500	0

Loss memorandum

	£
Trading loss for the y/e 31 March 2026	78,300
Loss against future total profits	(41,700)
Unrelieved loss at 31 March 2027	36,600

**Tutorial note**

It is possible to make a partial claim when offsetting trading losses brought forward from earlier periods. Loser Ltd will therefore restrict the claim to avoid wasting QCDs. There is no requirement to make a current period claim before carrying the loss forward.

3 £34,725

	y/e 30.6.2024	9 m/e 31.3.2025	y/e 31.3.2026
	£	£	£
Trading profit	15,700	24,300	0
Property profit	6,600	8,100	5,600
Total profits	22,300	32,400	5,600
Less: Loss relief			
– Current period			(5,600)
– 12 months c/b	(5,575)	(32,400)	
	16,725	0	0
Less: QCD relief	(800)	wasted	wasted
Taxable total profits	15,925	0	0
Loss memorandum			
			£
Trading loss for the y/e 31 March 2026			78,300
Loss against total profits			
– Current period (y/e 31 March 2026)			(5,600)
12 month carry back (9 m/e 31 March 2025)			(32,400)
12 month carry back (y/e 30 June 2024) (£22,300 × 3/12)			(5,575)
Unrelieved loss at 31 March 2026			34,725

4

	True	False
The amount of loss used in the current year can be restricted to avoid wasting QCD relief		✓
The claim must be made by 31 March 2028	✓	

5 A

	y/e 30.6.21	y/e 30.6.22	y/e 30.6.23	9 m/e 31.3.24	y/e 31.3.25
	£	£	£	£	£
Trading profit	15,800	10,600	15,700	24,300	0
Property profit	5,200	1,200	6,600	8,100	5,600
Total profits	21,000	11,800	22,300	32,400	5,600
Less: Loss relief					
– Current period					(5,600)
– 36 months c/b	(5,250)	(11,800)	(22,300)	(32,400)	
	15,750	0	0	0	0
Less: QCD relief	(1,300)	wasted	wasted	wasted	wasted
Taxable total profits	14,450	0	0	0	0

Loss memorandum

	£
Trading loss for the y/e 31 March 2026	78,300
Loss against total profits	
– Current period (y/e 31 March 2026)	(5,600)
36 month carry back:	
– p/e 31 March 2025	(32,400)
– y/e 30 June 2024	(22,300)
– y/e 30 June 2024	(11,800)
– y/e 30 June 2022 (£21,000 × 3/12)	(5,250)
Unrelieved loss at 31 March 2026	950

**Tutorial note**

The trading loss for the final 12 months of trading can be relieved against total profits for the previous 36 months, on a LIFO basis, under the terminal loss relief rules.

WITH GROUP ASPECTS

255 DEUTSCH LTD (ADAPTED)



Walk in the footsteps of a top tutor

**Key answer tips**

This corporation tax question involves a company with shareholdings in a number of other companies. Provided the relevant group definitions had been learnt there were easy marks available for identifying the associated companies and calculating the maximum group relief claim.

The question also tests rollover relief, which is commonly tested in corporation tax questions as it is the only relief against gains available to a company. Finally, it tests the rules for an inter-group transfer of an asset for gains purposes.

1

	Associated company
Eins Ltd	✓
Zwei Ltd	
Drei Ltd	✓
Vier Co	✓

**Tutorial note**

Two companies are associated companies if:

- *One of the companies is under the control of the other, or*
- *Both are under the control of the same person or persons.*

Control is where more than 50% of the ordinary share capital is directly or indirectly owned.

It does not matter where a company is resident so overseas companies are included in the definition.

2 A**Tutor's top tip**

Your first step should be to identify which companies are in a group relief group with Deutsch Ltd. You can then identify how much group relief is available.

- Deutsch Ltd cannot claim group relief from Eins Ltd as this company is not a 75% subsidiary. However, Drei Ltd and Deutsch Ltd are in a group relief group.
- The maximum amount of group relief that can be claimed is £64,700 being Drei Ltd's trading loss of £52,700 plus the unrelieved qualifying charitable donations of £12,000.

**Tutorial note**

- *The surrendering company may surrender any amount of its current period losses.*
- *There is no requirement for the surrendering company to relieve the loss against its own profits first.*
- *The current period losses which may be surrendered are trading losses, unrelieved QCDs and unrelieved property losses.*

3 £178,600

	£
Sales proceeds	500,000
Less: Indexed cost	(281,400)
Indexed gain	218,600
Less: Rollover relief	(178,600)
Gain chargeable (proceeds not reinvested £500,000 – £460,000)	40,000

**Tutorial note**

Where there is only partial reinvestment of the proceeds on disposal, the amount that has not been reinvested is immediately chargeable to tax. The balance of the indexed gain can be rolled over into the purchase of the new asset.

4 A

**Tutorial note**

Berlin Ltd owns more than 75% of Zwei Ltd. The two companies therefore form a group for capital gains purposes.

Assets transferred within a gains group are automatically transferred at no gain/no loss (i.e. without a chargeable gain or allowable loss arising).

The transfer is deemed to take place at a price that does not give rise to a gain or a loss (i.e. the indexed cost at the date of the transfer).

The transferor's deemed proceeds figure is also the deemed cost of the acquiring company.

5 C

**Tutorial note**

The claim for group relief must be made by Deutsch Ltd (the claimant company) on its corporation tax return by 31 March 2028 (within two years of the end of the accounting period when the loss is group relieved).

The claim for rollover relief must be made within four years of the end accounting period in which the assets are sold and replaced (whichever is later) i.e. 31 March 2030 in this scenario.

**Tutor's top tip**

Time limits for claims and elections should represent easy marks provided that you have learnt them prior to the examination.

PRACTICE SECTION C CONSTRUCTED RESPONSE QUESTIONS

CORPORATION TAX BASICS AND ADMINISTRATION

256 HARBOUR LTD (ADAPTED)



Walk in the footsteps of a top tutor



Key answer tips

This question is really three separate corporation tax questions.

Part (a) required the calculation of the corporation tax liability for a four-month period. As you attempt this part of the question be careful with any areas that require time apportionment, particularly capital allowances. Forgetting to time apportion can lose easy marks in the exam.

Part (b)(i) looks at tax evasion versus tax avoidance. Ethics will always feature in the TX exam, so you should ensure that you have prepared for the various scenarios that you could be faced with. These are some of the easiest marks to achieve in the exam, so make sure you allow time to attempt this part properly.

The final part of the question tests your higher skills, as it asks you to recalculate two of the figures in the computation if the accounting period was 12 months long instead of four months long. Think about what apportionments you made for the four-month period in part (a) and calculate those figures again without the apportionment.

(a) Harbour Ltd – Corporation tax computation for the four-month period ending 31 March 2026

	£	£
Operating profit	715,500	
Depreciation	11,760	
Amortisation	1,300	
Interest payable for trading purposes (£24,600 + £12,300 – £20,500)	(16,400)	
Deduction for lease premium (W1)	(806)	
Tax adjusted trading profits before capital allowances	711,354	
Capital allowances (W2)	(440,667)	
Trading profit		270,687
Property income (accruals basis) (£15,600 × 4/6) – (£1,800 × 4/12)		9,800
Chargeable gain		104,300
TTP		384,787
Corporation tax at 25%		96,197

**Tutorial note**

For companies, income and expenses associated with borrowing and lending money are dealt with according to the loan relationship rules.

Where there is a trading loan relationship (as is the case here) the income receivable or expense payable belongs in trading profits.

Where there is a non-trading loan relationship the income receivable or expense payable belongs in non-trading loan relationships.

For companies the accruals basis will always be applied to the interest income or interest expense.

Workings**(W1) Deduction for lease premium**

	£
Premium paid	78,000
Less: £78,000 × 2% × (20 – 1)	(29,640)
Amount taxed on landlord as income	48,360
Deduction (£48,360/20 years × 4/12)	806

**Tutorial note**

This is the grant of a short (≤ 50 years) lease by the landlord to the tenant (Harbour Ltd). The landlord will be taxed on a proportion of the lease premium in the year of receipt. Where the tenant uses the lease in their trade they can claim an allowable deduction against their trading profits on the accruals basis.

Alternative calculation for the deductible lease premium:

$((51 - n)/50) \times \text{premium} = \text{amount taxed on landlord/number of years of lease} = \text{annual deduction}$.

Where n = number of years of the lease to the nearest whole number of years.

$(51 - 20)/50 \times £78,000 = £48,360$.

$£48,360/20 \text{ years} = £2,418 \text{ per annum}$, time apportioned $\times 4/12$ for length of accounting period = £806.

(W2) Capital allowances

	AIA	FYA	Special rate pool	Allowances
	£	£	£	£
TWDV b/f			0	
Additions (AIA)				
Long-life assets	548,000			
AIA (max £1,000,000 × 4/12)	(333,333)			333,333
SRP balance for 50% FYA		214,667		
FYA @ 50%		(107,334)		107,334
			107,333	
TWDV c/f			107,333	
Total allowances				440,667

**Tutorial notes**

The AIA is time apportioned according to the length of the accounting period.

Long life assets are specifically allocated to the special rate pool. The balance of the expenditure after the AIA is eligible for the 50% FYA, which is not time apportioned for the short period. The balance after the 50% FYA is added to the special rate pool and will be eligible for a 6% WDA in the following accounting period.

(b) (i) Tax evasion and tax avoidance

Tax evasion is illegal and involves the reduction of tax liabilities by not providing information to which HM Revenue & Customs (HMRC) is entitled, or providing HMRC with deliberately false information.

In contrast, tax avoidance involves the minimisation of tax liabilities by the use of any lawful means.

If Harbour Ltd extends its accounting period in order to save corporation tax, then HMRC will not view this as tax evasion because it is quite lawful for the company to prepare accounts up to whatever accounting date it wishes.

(ii) Capital allowances

Since the full amount of annual investment allowance will be available, capital allowances will increase to £548,000 (£548,000 × 100%).

Chargeable gain

The capital loss will be offset against Harbour Ltd's chargeable gain because they will arise within the same accounting period. This will reduce the company's chargeable gain to £62,300 (£104,300 – £42,000).



Tutorial notes

The accounting period will now be 12 months long, eliminating the need to time apportion the AIA and therefore the full £1 million will be available to cover the expenditure on long life assets (£548,000).

As the expenditure will now be covered by the AIA, there will be no 50% FYA.

Capital losses can only be offset against current period gains and then carried forwards against future gains. It is not possible to carry back a capital loss. If the accounts are prepared for the year ended 30 November 2026 both the capital gain and the capital loss will fall in the same period, allowing the capital loss to offset the gain.

ACCA Marking scheme		
		Marks
(a)	Corporation tax computation	
	Depreciation	0.5
	Amortisation	0.5
	Interest payable	1.0
	Chargeable gain	0.5
	Corporation tax	0.5
	Lease premium – W1	2.5
	Capital allowances – W2	2.5
	Property income	2.0
		10.0
(b)	(i) Tax evasion	1.0
	Tax avoidance	1.0
	Application to Harbour Ltd	1.0
	(ii) Capital allowances	1.0
	Chargeable gain	1.0
		5.0
Total		15.0

Examiner's report

The corporation tax question should have been relatively straightforward, although some basic tax planning is covered in part (b)(ii).

An important point to note is that Harbour Ltd is going to prepare accounts for a four-month period. When reading through the question, candidates should therefore take a note that this is going to impact on the calculation of the lease premium deduction, capital allowances and property business income.

Then when candidates are planning the layout of their answer, it should be apparent that separate workings are only required for the lease premium and capital allowances. Everything else can be dealt with within the main computation, with just one column required for the figures. Note how the workings for interest payable and for the property business income are included in the model answer.

The main computation must commence with the computation of Harbour Ltd's operating profit, which is then followed by other income (property business income and chargeable gain). The corporation tax figure follows after the main computation.

There are two very important points here:

Negative figures should be clearly shown by entering them as such on the spreadsheet. It is very difficult for markers to pick up negative figures if all figures are shown positive, with the total calculated within the cell on the lines of $A1 + A2 - A3 + A4$. It is also very easy to make mistakes using this approach. If negative figures are entered, the total is simply $SUM(A1:A4)$.

Requirement (a) – 10 marks

As the note states, answers should commence with the operating profit. Any different approach makes an answer quite difficult to mark, especially an answer which attempts to rewrite the statement of profit or loss.

Figures should not be combined. For example, the amortisation add back of £1,300 and the lease premium deduction of £806 should not be shown as £494, especially as £494 was also a fairly common incorrect answer for the lease premium deduction. It should also be noted that since the lease premium consists of a payment, it simply cannot result in an income entry.

There are a couple of aspects which require obvious care:

- Interest paid in the statement of profit or loss is £24,600. Accruals at the beginning and end of the period are £20,500 and £12,300 respectively. The correct figure (on a payable basis) to deduct in working out the trading profit is therefore $£24,600 - £20,500 + £12,300 = £16,400$.
- With the property business income, the rent has been received for six months, but the insurance paid for 12 months. Given the four-month accounting period, the calculation is therefore $(£15,600 \times 4/6) - (£1,800 \times 4/12) = £9,800$.

Question practice will eliminate mistakes such as giving an annual exempt amount (which is not available for companies) against the chargeable gain, thereby losing a very easy $\frac{1}{2}$ mark. Also, candidates should appreciate that both the annual investment allowance and [first year] allowance are given for the same asset if the annual investment allowance expenditure limit is exceeded. In this case, the annual investment expenditure limit was reduced to $£1,000,000 \times 4/12 = £333,333$ because of the four-month accounting period.

Requirement (b)(i) – 3 marks

The fact that this requirement is just for 3 marks, together with the use of 'briefly' should be a very good indication that only a short set of answers is required. This is why it is important to make use of the model answers since candidates' answers should not be any longer.

If tax evasion and tax avoidance are muddled up, the available marks are obviously going to be lost, so candidates should think first, write second. The key point is that tax evasion is illegal, whereas tax avoidance is legal.

As regards Harbour Ltd extending its accounting period, the company can do this provided company law requirements are met (and these are not relevant to the tax examination). Therefore, candidates cannot expect to get the full mark available if there [are] any caveats to their answer. HM Revenue & Customs will not see this as tax evasion, nor is there any possibility of a compliance check being carried as a result of the change.

Requirement (b)(ii) – 2 marks

A quick read of the requirement should make it clear that it is not necessary to calculate any tax saving or provide an explanation. The detail in the model answer is just there to help candidates follow the workings.

With a 12-month accounting period, the full annual investment allowance of £1,000,000 is available, so the annual investment allowance becomes £548,000.

The capital loss now arises within the same accounting period, so can be offset against Harbour Ltd's chargeable gain.

The 2 marks available again indicate the length of answer required.

Note: The examiner's report has been edited in relation to comments on elements of the question that have been amended due to changes in legislation and terminology.

257 DEIMOS LTD, ELARA LTD AND FENRIR LTD**Key answer tips**

This question covers various aspects of corporation tax for three separate limited companies. You need to determine accounting periods, calculate taxable total profits, and assess the tax savings from specific measures. There is no overlap between the three requirements.

For Deimos Ltd, remember that an accounting period cannot exceed 12 months and consider the impact that this will have on their accounting periods.

For Elara Ltd's taxable total profits, start with the given operating profit and systematically adjust for non-allowable expenses and non-trading income. Make sure you are clear on which items should be added back and which should be deducted. For capital allowances, identify assets qualifying for the AIA and WDA and any FYAs, if relevant. The disposal of the warehouse requires careful consideration of rollover relief.

For Fenrir Ltd, calculate the corporation tax savings from the proposed measures. Ensure you calculate the tax impact of each measure at the appropriate corporation tax rate. Bear in mind that not all the measures will necessarily save any tax.

(a) Deimos Ltd**Accounting periods**

1 May 2024 to 30 April 2025

1 May 2025 to 30 September 2025

1 October 2025 to 28 February 2026

**Tutorial notes**

- 1 *An accounting period cannot be longer than 12 months, so the period of account ended 30 September 2025 must be split into two accounting periods.*
- 2 *The resolution to commence winding up procedures is irrelevant here because it happens immediately following the end of Deimos Ltd's period of account to 30 September 2025.*

(b) Elara Ltd**Taxable total profits for the year ended 31 December 2025**

	£
Operating profit	612,900
Depreciation	8,820
Qualifying charitable donations	2,300
Lease of car ($£4,200 \times 15\%$)	630
Entertaining clients	2,576
Gifts of calendars	0
Interest payable ($£5,400 - 4,500$)	(900)
Capital allowances:	
(AIA $100\% \times £220,000$)	(220,000)
(WDA $18\% \times £30,000$)	(5,400)
Trading profit	400,926
Non-trade loan relationship income	1,100
Chargeable gain ($£204,000 - £168,000$)	36,000
	438,026
Qualifying charitable donations	(2,300)
Taxable total profits	435,726

**Tutorial note**

Sale proceeds of £36,000 are not reinvested from the sale of the freehold warehouse. This amount of the gain remains chargeable.

(c) Fenrir Ltd**Cars**

This expenditure will reduce Fenrir Ltd's corporation tax liability by £16,000 (£64,000 at 25%). The new cars will have zero CO₂ emissions and will therefore qualify for the 100% first year allowance.

Dividend

The payment of a dividend will not affect Fenrir Ltd's corporation tax liability because dividends are paid out of post-tax profits.

Rent paid in advance

This expenditure will not affect the company's corporation tax liability for that year. Fenrir Ltd's financial statements must be prepared on the accruals basis, so the rent paid in advance will not be deductible for the year ended 31 March 2026.

Marking scheme	
	Marks
(a) Accounting periods	
1 May 2024 to 30 April 2025	1.0
1 May 2025 to 30 September 2025	0.5
1 October 2025 to 28 February 2026	0.5
	2.0
(b) Taxable total profits	
Depreciation	0.5
Qualifying charitable donations	0.5
Lease of motor car	1.0
Entertaining clients	0.5
Gifts of calendars	0.5
Interest payable	1.0
Capital allowances:	
AIA	1.0
WDA	1.0
Non-trade loan relationship income	1.0
Chargeable gain	1.5
Qualifying charitable donations	0.5
	9.0
(c) Corporation tax saving	
Cars	
First year allowance	1.0
CT saving	1.0
Dividend – no effect	1.0
Rent paid in advance – no effect	1.0
	4.0
Total	15.0

Examiner's report

The question was generally very well answered, with many candidates scoring high marks. The question involved three unrelated companies; Deimos Ltd, Elara Ltd and Fenrir Ltd.

Requirement (a) – 2 marks

There was one mark for the period 1 May 2024 to 30 April 2025, a half mark for the period 1 May 2025 to 30 September 2025 (the period of account to 30 September 2025 being split into two accounting periods), and a half mark for the period from 1 October 2025 (from the date of the final financial statements) to 28 February 2026 (completion of winding up).

This requirement was generally well answered, although many candidates either did not appreciate that there was an accounting period running from 1 October 2025 to 28 February 2026, or they had just the one period running from 1 May 2025 to 28 February 2026.

Requirement (b) – 9 marks

With this type of answer containing additions and deductions, candidates should be careful to indicate which is which. A single column approach with deductions included as such on the spreadsheet avoids any confusion. It is then just a matter of using the SUM function to get to a figure for taxable total profits. Candidates who added up their total figure on a cell-by-cell basis (e.g. A1 + A2 + A3 etc) invariably had problems when it came to negative entries, and it was sometimes difficult for markers to determine whether a figure was a plus or a minus.

None of the adjustments or entries really needed separate workings. The capital allowances were simply £220,000 at 100%, and £30,000 at 18% (for one mark in each case), and the gain was calculated as the proceeds of £204,000 less the reinvestment of £168,000 (1.5 marks).

This requirement was generally very well answered. The only aspects which consistently caused problems were the two interest figures and the chargeable gain. It was somewhat surprising to see a number of candidates adding the figure for interest payable and deducting the figure for interest receivable. Such carelessness cost a half mark in each case.

With the chargeable gain, it was clearly stated that Elara Ltd had made a claim to rollover the gain, so this should have represented a fairly easy 1.5 marks.

Many candidates forgot to make the deduction for the qualifying charitable donations, even where they had correctly added them back earlier in their computation.

Requirement (c) – 4 marks

There were quite a number of perfect answers to this requirement, although a number of candidates did not appreciate that payment of a dividend and the advance rental payment would not impact Fenrir Ltd's corporation tax liability for year ending 31 March 2026. This is because dividends are paid out of post-tax profits, and (given the accruals basis of accounts preparation) rent paid in advance would not be deductible for the year ended 31 March 2026.

Having worked out the adjustments, candidates then needed to calculate the tax saving. This could either be done by multiplying the adjustment by the corporation tax rate of 25%, or working out a revised corporation tax liability and comparing this to the previous liability.

Well prepared candidates were able to answer this requirement quickly (a benefit of question practice), scoring a fairly straightforward four marks and saving time. However, a correct answer for the car – along with the 25% tax saving – was sufficient to score half of the marks.

258 VENUS LTD

**Key answer tips**

This is a fairly standard corporation tax question, with just one requirement for 15 marks. There is a lot of information in the question, therefore it is important to work through it systematically and make sure that no elements are missed.

It starts with adjusting the trading profits, including various items of disallowable expenditure, a lease premium and a capital allowances computation. The adjusted trading profit is then brought into the taxable total profits computation, along with some bank interest, a chargeable gain and some dividend income (be careful when considering how to treat this item).

Although the question includes group relief, the amount to be claimed is provided in the question, so it is just a case of taking the deduction in the correct place.

Venus Ltd – Corporation tax computation for the year ended 31 March 2026

	£
Operating profit	200,692
Depreciation	32,046
Amortisation	4,000
Entertaining UK customers	3,600
Gifts of hampers	2,730
Qualifying charitable donation	1,410
Leasehold premium (working 1)	(3,120)
Capital allowances (working 2)	(80,324)
Trading profit	161,034
Non-trade loan relationship income (£18,050 + £350)	18,400
Dividends from Mars Ltd	0
Chargeable gain	62,880
	242,314
Qualifying charitable donation	(1,410)
	240,904
Group relief	(7,635)
Taxable total profits	233,269
Corporation tax (£233,269 at 25%) (working 3)	58,317

**Tutorial note**

The dividends received from Mars Ltd are exempt income. However, the upper limit of £250,000 will be divided by two as there are two associated companies. This means the upper limit will be £250,000 / 2 = £125,000. As a result, the company will pay tax at the main rate.

Working 1 – Leasehold premium

	£
Premium	96,000
Less: £96,000 × 2% × (12 – 1)	(21,120)
	74,880*
Deduction £74,880/12 × 6/12	3,120

*Alternative calculation = £96,000 × (51-12)/50 = £74,880

Working 2 – Capital allowances

	AIA/FYA	Main pool	Special rate pool	Allowances
	£	£	£	£
TWDV b/f		8,400	12,740	
Addition not qualifying for AIA:				
Car (1)			22,930	
Car (2)		26,470		
Addition qualifying for AIA:				
Equipment	52,112			
Delivery Van	20,800			
	72,912			
AIA @ 100%	(72,912)			72,912
		0		
Disposal Proceeds			(16,750)	
		34,870	18,920	
WDA @ 18%		(6,277)		6,277
WDA @ 6%			(1,135)	1,135
		28,593	17,785	
TWDV c/f				
Total allowances				80,324

Working 3 – Corporation tax rate

$$£250,000/2 = £125,000$$

As the taxable total profits (and therefore augmented profits) exceed the upper limit, corporation tax will be paid at the main rate of 25%.

**Tutorial notes**

- 1 *Car (1) has CO₂ emissions over 50 grams per kilometre, and therefore qualifies for writing down allowances at the rate of 6% and is added to the special rate pool. When this car is sold during the period, the proceeds are simply deducted from the pool, no balancing allowance is calculated.*
- 2 *Car (2) has CO₂ emissions up to 50 grams per kilometre, and therefore qualifies for writing down allowances at the rate of 18% and is added to the main pool.*
- 3 *As there is adequate AIA to cover the equipment and delivery van purchases, this should be claimed in preference to full expensing as then there will not be a potential balancing charge on disposal.*

ACCA Marking scheme	
	Marks
Corporation tax computation	
Depreciation	0.5
Amortisation	0.5
Entertaining	0.5
Gifts of hampers	0.5
Qualifying charitable donation	0.5
Leasehold premium – premium taxable on landlord	1.5
– deduction for six-month period	1.0
– deduction taken from trading profit	0.5
Capital allowances – TWDV b/f	0.5
– AIA @ 100%	1.0
– Addition of car (1) to special rate pool	0.5
– Proceeds for car (1)	1.0
– Addition of car (2) to main pool	0.5
– WDA @ 18%	0.5
– WDA @ 6%	0.5
– deduction from trading profit	0.5
Non-trade loan relationship income	1.0
Dividend income is exempt	0.5
Chargeable gain	0.5
Qualifying charitable donation	0.5
Group relief	1.0
Corporation tax	1.0
Total	15.0

Examiner's report

The corporation tax question was generally very well answered, with many candidates scoring high marks.

Requirement (a) – 15 marks

Commencing with the operating profit, candidates were required to adjust for the following:

Disallowable expenditure (2.5 marks): There were five items to consider, and these were all non-allowable. The majority of candidates correctly adjusted for four or five of the items, although the amortisation and/or the qualifying charitable donations were sometimes missed. For this style of question, it is very important that candidates clearly indicate whether items are being added or deducted. A single column layout is therefore recommended.

Leasehold premium (3 marks): Many candidates had no difficulty calculating the correct deduction for the grant of a 12-year lease. One common mistake, however, was to work out the non-chargeable portion of the lease ($£96,000 \times 2\% \times (12 - 1) = £21,120$) and then use that for the basis of the lease deduction rather than working out the chargeable portion ($£96,000 - £21,120 = £74,880$). Although most candidates appreciated that the chargeable portion then had to be divided by the number of years of the lease (12 years), quite a few did not then apply the 6/12ths restriction; the lease being granted on 1 October 2025.

An alternative approach to calculating the chargeable portion of the lease was $£96,000 \times (51 - 12)/50 = £74,880$. If using this approach, candidates needed to take care as the incorrect number of years (51 years and 12 years) were often used.

It was also important to realise that the final result had to be deducted in the main computation.

Regardless of approach, it is not recommended to attempt the entire working within the one spreadsheet cell. For example, missing the brackets on $£96,000 \times 51 - 12/50$ would give an answer of £4,896,000. Provided the correct workings are shown, appropriate marks will be awarded even if a candidate makes an arithmetical error. Without workings, it can be difficult determining what the candidate's intention is.

Capital allowances (5.5 marks): There were quite a lot of marks for a capital allowances computation, so care was needed. It was pleasing to see many perfect answers, but some candidates struggled here. It was necessary to decide whether an asset purchase qualified for the 100% annual investment allowance, and, if not qualifying, whether the purchase went into the main pool or the special rate pool.

The aspect which caused most difficulty was the disposal of the car purchased during the same year. The correct treatment was to add the addition and to deduct the disposal proceeds from the special rate pool. However, many candidates kept this car separate and calculated a balancing adjustment.

Other income (2 marks): The other income consisted of bank interest (it was necessary to add in a year end accrual), dividends from an 80% UK subsidiary company (this was exempt income) and a chargeable gain (the profit before taking account of the indexation allowance was also given).

Once again, there were a lot of perfect answers here. Typical mistakes included deducting the bank interest accrual, treating the dividend as taxable, and using the pre-indexed gain or deducting the annual exempt amount of £3,000. This is why question practice is so important because these are the type of mistakes which if made once, are less likely to be repeated.

Deductions (1.5 marks): After adding it back to trading profits earlier, the qualifying charitable donation now had to be deducted from total profits for a half mark. A group relief deduction was also available in respect of a trading loss made by the 80% UK subsidiary company. There was one mark for this, but only a half mark if not deducted at the correct point in the main computation or if the loss was restricted to 80%.

Corporation tax (0.5 mark): The final mark was for calculating the corporation tax liability. This generally wasn't a problem, although a few candidates kept the chargeable gain separate and then applied a different rate of tax on this. [Note that when this question was originally set there was only one rate of corporation tax and this calculation was for only half a mark.]

As already mentioned, with computations containing both additions and deductions, candidates should be very careful to indicate which is which. A single column approach with deductions included as such on the spreadsheet avoids any confusion. It is then just a matter of using the SUM function to get to a figure for taxable total profits. The simplicity of this approach is that the same layout can be used regardless of whether a profit or a loss is involved.

The only aspects of the answer which warranted separate workings were the leasehold premium and the capital allowances. Everything else was easily dealt with within the main computation.

Layout is not something candidates should really be concerned about on the day. With sufficient question practice, the correct layout becomes automatic.

Note: The examiner's report has been edited to remove comments on elements of the question that have been amended due to changes in legislation.

259 MAISON LTD (ADAPTED)



Walk in the footsteps of a top tutor



Key answer tips

This question asks you to complete an incomplete corporation tax computation.

You are required to calculate the capital allowances for costs incurred building an extension. Be careful here, as the various items are treated differently for capital allowances purposes. Think about what each item is eligible for, and what the maximum claim would be.

Property income is relatively straight forward to deal with, so this should offer some easy marks.

Don't forget to calculate corporation tax at the end! This is the easiest half mark in the question, so if you are running out of time don't forget to add up the figures you already have and calculate the tax on them.

Corporation tax computation for the year ended 31 March 2026

	£
Operating profit	892,900
Deduction for lease premium (W1)	(715)
Capital allowances (W2)	(81,330)
Structures and buildings allowance (W3)	(933)
Trading profit	809,922
Property business income (W4)	28,685
Chargeable gains (W5)	77,985
Taxable total profits	916,592
Corporation tax (£916,592 at 25%)	229,148

Workings**(W1) Deduction for lease premium**

	£
Premium paid	44,000
Less: $£44,000 \times 2\% \times (12 - 1)$	(9,680)
Amount taxed on the landlord as income	34,320*
Deduction ($£34,320/12 \text{ years} \times 3/12$)	715

*Alternative calculation = $£44,000 \times (51-12)/50 = £34,320$

(W2) Capital allowances

	£	Allowances £
Main pool allowances (given in question)		34,630
Building costs	0	
Ventilation system	6,700	
Heating system	3,900	
	10,600	
AIA @ 100%	(10,600)	10,600
Furniture and furnishings	33,500	
Refrigerator and microwave cooker	2,600	
	36,100	
AIA @ 100%	(36,100)	36,100
Total allowances		81,330

**Tutorial note**

The building costs are not plant and machinery so do not qualify for regular capital allowances. However, they will qualify for structures and buildings allowance (see below).

The integral features are allocated the AIA first as they would otherwise be added to the special rate pool. The remaining assets also qualify for the AIA as the total additions are less than £1,000,000 and there has been no AIA used already. The AIA should be claimed in preference to full expensing as then there will not be a potential balancing charge on disposal.

(W3) Structures and buildings allowance

$$£93,300 \times 3\% \times 4/12 = £933$$

**Tutorial note**

In the TX exam, structures and buildings allowance (SBA) can be claimed on renovations or extensions made to existing buildings on or after 1 April 2020. They are claimed from the date the building is available for use, therefore, the building costs of the extension are eligible for SBA from 1 December 2025. The other items are plant and machinery, and do not qualify for SBA. SBA should always be kept separate to capital allowances on plant and machinery.

(W4) Property business income

	£
Rent receivable (£18,300 + (£18,300 × 2/3))	30,500
Security deposit	0
Insurance	(1,035)
Initial repairs	0
Advertising	(780)
Property business income	28,685

**Tutorial notes**

- 1 A security deposit, less the cost of making good any damage, is returned to the tenant on the cessation of a letting. It is therefore initially not treated as income.*
- 2 The cost of insurance for the period 1 July to 1 November 2025 is deductible as pre-trading expenditure.*
- 3 The cost of the initial repairs to the warehouse are disallowable capital expenditure as the warehouse could not be let out in its original state and this was reflected in the purchase price paid.*

(W5) Chargeable gains

	£
First property	
Gain	109,800
Indexation allowance ($£101,000 \times 0.315$)	(31,815)
Enhancement expenditure	0
Chargeable gain	77,985
Second property	
Gain	26,000
Indexation allowance ($£117,000 \times 0.315$) – Restricted	(26,000)
Chargeable gain	0

**Tutorial notes**

- 1 *There is no indexation allowance for the first property's enhancement expenditure of £26,200 because this was incurred after December 2017.*
- 2 *For the second property, the indexation allowance cannot create a capital loss.*

ACCA Marking scheme	
	Marks
Corporation tax	0.5
Premium	
Amount taxed on landlord	1.0
Deduction per annum	1.0
Deduction in year ended 31 March 2026	0.5
Capital allowances	
Building costs – no allowances	0.5
Ventilation system eligible for AIA	0.5
Heating system eligible for AIA	0.5
AIA given to SRP additions	0.5
Furniture and furnishings eligible for AIA	0.5
Refrigerator and microwave cooker eligible for AIA	0.5
AIA on main pool additions	0.5
Structures and buildings allowance	1.0
Property	
Rent receivable ($£18,300 + (£18,300 \times 2/3)$)	1.0
Security deposit	0.5
Insurance	1.0
Initial repairs	1.0
Advertising	0.5
Gains	
Gain on property one	0.5
Indexation on property one	1.0
Gain on property two	0.5
Indexation on property two	1.5
Total	15.0

Examiner's report**Corporation tax computation**

Again, many workings for this style of question can be included within the main computation.

The order of items within the main computation should generally follow the layout of the question. This is especially the case if a question is based around a partly completed draft corporation tax computation which includes some correct figures.

Candidates should be aware that when it comes to capital allowances in relation to a newly constructed building, the construction cost of the building itself does not qualify for plant and machinery capital allowances.

[Sections of this examiner's report have been deleted because they relate to parts of the question which have been amended.]

As regards property business income, candidates should be aware that the cost of initial repairs will be disallowable capital expenditure if the property could not have been let out in its original state and this was reflected in the purchase price paid.

Where figures for chargeable gains are given, then these figures should not be recalculated. The only reason for giving more information (proceeds and expenditure) is so that the indexation allowance can be calculated.

Where there are two or more gains, then each gain should be dealt with separately. When it comes to the indexation allowance, note that:

- There is no indexation allowance for any expenditure incurred after December 2017.
- The indexation allowance cannot create a capital loss.

260 E-COMMERCE PLC (ADAPTED)

Walk in the footsteps of a top tutor

**Key answer tips**

Part (a) involves correcting an existing tax computation, rather than preparing the computation from scratch. This is a somewhat unusual presentation, although it is not dissimilar to that seen in a couple of other corporation tax questions. Here, however, the question is made slightly more difficult as it also involves reversing calculations which have already been done (incorrectly) to calculate correct figures. This question was not popular with students, many of whom did not know how to tackle it. It is important however, to attempt every question in the examination and therefore you should set out the computation, including the figures you do know, attempt the workings for those you don't (making assumptions if necessary), and then go on to calculate the corporation tax liability, for which you will get follow through marks, even if parts of your answer are wrong. This part is also for 12 marks, and you must make sure you don't overrun on time here.

Part (b) requires you to identify why the company would not pay instalments in the current year and why they would be due in the following year. This should be straightforward provided these aspects of administration have been learnt.

The highlighted words in the answer are key phrases that markers are looking for.

(a) Revised corporation tax computation – year ended 31 March 2026**Tutor's top tips**

In a challenging question such as this, it is important to maximise marks with a systematic approach, making sure you score all the easy marks (of which there are many). Start by laying out your computation – inserting any obvious figures (e.g. figures provided in the question which you know are correct) and leaving blank the more difficult ones. Then work through the gaps, doing straightforward workings on the face of the computation and more detailed ones in referenced workings underneath. If you are not sure, make a decision and move on, do not waste time on one small point.

For some figures, you need to reverse calculations which have been carried out incorrectly (some are not shown in the question), before doing revised calculations. This requires a good understanding of the way the calculations work, rather than just the ability to follow the pro forma and crunch the numbers. There are several ways these calculations could be presented.

	£	£
Operating profit		2,102,300*
Legal fees – Issue of preference shares (Note 1)	80,200	
– Issue of loan notes (Note 2)	0	
– Renewal of long lease (Note 3)	14,900	
– Registration of trademarks (Note 4)	0	
		95,100
		2,197,400
Deduction for lease premium (£14,400 × 12/15) (Note 5)		(11,520)
Capital allowances	209,200*	
Car 1 (Note 6)	0	
Car 2 (Note 6)	0	
Car 3 (£51,750 × 12%) (18% – 6%) (Note 7)	(6,210)	
Car 4 (£19,800 × 82%) (100% – 18%) (Note 8)	16,236	
Short-life asset (£1,512 × 82/18) (Note 9)	6,888	
		(226,114)
Trading profit		1,959,766
Property income	156,700*	
Repairs (Note 10)	95,300	
SBAs on repair cost (£95,300 × 3% × 9/12) (Note 10)	(2,144)	
Rent accrual – March 2026 (£16,200 × 1/3) (Note 11)	5,400	
		255,256
Loan interest receivable	42,400*	
Accrual (£4,800 – £3,500) (Note 11)	(1,300)	
Non-trade loan interest income		41,100
Taxable total profits		2,256,122
Corporation tax (£2,256,122 × 25%*)		564,031

*Figures provided in question



Tutor's top tips

Whilst it would be possible to calculate the capital allowances by doing a revised computation, not all of the figures for that computation (such as the brought forward balance on the main pool) were provided in the question. Therefore, it would be necessary to do significantly more workings (to establish the missing figures) if this approach were taken. It is therefore easier to simply correct the mistakes you are aware of via short workings as shown.



Tutorial note

- 1 The issue of preference shares is not a trading expense and therefore the associated legal fees are not an allowable deduction.
- 2 Legal fees are treated in the same way as the loan they relate to. The loan was for trading purposes, therefore the fees are a deductible trading expense.
- 3 Legal fees relating to a lease are only deductible if it is the **renewal** of a **short** (50 years or less) lease. The lease here is over 50 years long and as such the legal fees are not an allowable deduction for tax purposes and need to be added back.
- 4 Legal fees in relation to the registration of trademarks relate to the trade, and are therefore tax deductible.
- 5 Since it is only the life of the lease which was incorrect in the original calculation, this can be corrected by simply multiplying the figure given by the 12 years used originally and dividing by the correct figure of 15 years. It is not necessary to try to recalculate the deduction from scratch, and this would prove very difficult as the figure for the premium paid was not provided in the question.
- 6 Cars 1 and 2 have CO₂ emissions between 1 and 50 grams per kilometre, and qualify for writing down allowances at the rate of 18%. No adjustment is therefore required.
- 7 Car 3 has CO₂ emissions over 50 grams per kilometre, and therefore only qualifies for writing down allowances at the rate of 6%. The extra 12% (18% – 6%) that had been calculated originally therefore needs to be deducted from the total capital allowances.
- 8 Car 4 has zero emissions, and therefore qualifies for 100% first year allowance. In the absence of any other information, assume that cars purchased are new (not second-hand). Therefore, an additional allowance of 82% (100% – 18%) needs to be included.
- 9 The scrapping of the computer equipment is a disposal for capital allowances purposes. The company should therefore have received a 100% balancing allowance rather than a writing down allowance at the rate of 18%. The 82/18 adjustment represents the **additional** 82% (100% – 18%) of the brought forward TWDV which can be deducted. This could also have been calculated by comparing the correct balancing allowance (£1,512/18% = £8,400) with the amount that had previously been deducted (£1,512).
- 10 As the repairs were carried out in order to make the warehouse usable, they are treated as capital in nature and are therefore disallowed. However, structures and buildings allowance (SBA) at 3% can be claimed on these costs since they were incurred after 1 April 2020 (the relevant date for TX exams). SBA can only be claimed from the date the property was brought into use, i.e. the day it was first let out – 1 July 2025.
- 11 Property and interest income must be dealt with on an accruals basis, therefore an adjustment is required for the rent due and the correct loan interest accrual.

(b) Quarterly instalment payments**Tutor's top tips**

Being able to determine when corporation tax is payable is a common examination requirement, and it is important to learn the rules about which companies must pay by quarterly instalments and the exceptions from that system, which are relevant here.

- Large companies have to make quarterly instalment payments in respect of their corporation tax liability. A large company is one with augmented profits exceeding £1,500,000, adjusted for short accounting periods and associated companies.
- However, a company is not required to make quarterly instalment payments in the first year that it is large.

Therefore, E-Commerce plc will not have been required to make instalment payments for the year ended 31 March 2026 as it was not a large company in the year ended 31 March 2025.

This is because the augmented profits of £1,360,000 were less than £1,500,000.

- For the year ended 31 March 2027, this exception will not apply. Therefore, E-Commerce plc will have to make quarterly instalment payments as its augmented profits will exceed £1,500,000.

ACCA Marking scheme	
	Marks
(a)	
Correct figures from return – operating profit, capital allowances, property profit, loan interest receivable	1.0
Legal fees re preference shares	0.5
Legal fees re loan notes	0.5
Legal fees re renewal of lease	0.5
Legal fees re registration of trade marks	0.5
Deduction for lease premium	1.0
Capital allowances	0.5
– Car 1	0.5
– Car 2	1.0
– Car 3	1.0
– Car 4	1.0
– short life asset	1.0
Repairs disallowed	0.5
Structures and buildings allowance	1.0
Rent accrual	1.0
Loan interest accrual adjustment	1.0
Corporation tax liability	0.5
	12.0
(b)	
Companies with augmented profits exceeding £1,500,000	1.0
No instalments if not large in previous year	1.0
No exception in year ended 31 March 2027	1.0
	3.0
Total	15.0

Examiner's report

Part (a) was not particularly difficult, but the information was presented in a different format to previous questions of this nature. However, candidates would have benefited from knowing the pro forma layout.

The requirement was generally reasonably well answered and there were a few highly satisfactory answers. The deduction for the lease premium caused the most problems, with many candidates not appreciating that there was no need to recalculate the amount taxed on the landlord – thereby spending quite a bit of time unnecessarily.

Part (b) was also reasonably well answered, although to score full marks it was necessary for answers to be quite precise – not, for example, just mentioning large companies, without explaining what a large company is.

261 STRETCHED LTD (ADAPTED)**Key answer tips**

This question deals with the rules for a 15-month period of account which must be split into two accounting periods of 12 months and 3 months.

For ease, use a columnar layout to do the corporation tax computations side by side. Don't forget to pick up the easy marks for stating the due dates of payment.

The highlighted words in the answer are key phrases that markers are looking for.

(a) Corporation tax computations

	y/e 31.12.2025	p/e 31.3.2026
	£	£
Trading profit (12/15 : 3/15) (Note 1)	514,000	128,500
Less: Capital allowances (W1)	0	(50,338)
	514,000	78,162
Property business profit (12/15 : 3/15) (Note 1)	36,000	9,000
Chargeable gains (£44,000 – £3,000) (Note 2)	41,000	0
Total profits	591,000	87,162
Less: Loss relief b/f	(330,000)	0
Less: QCD relief	0	(5,000)
TTP	261,000	82,162
Corporation tax (W2)		
(£261,000/£82,162 × 25%)	65,250	20,541
Due dates (W3)	1 Oct 2026	1 Jan 2027

**Tutorial notes**

- 1 Trading profits and property business profits are allocated on a time basis: 12/15 to the year ended 31 December 2025 and 3/15 to the period ended 31 March 2026.
- 2 The capital loss of £6,700 for the period ended 31 March 2026 is carried forward, it cannot be carried back and set off against previous gains.

Workings**(W1) Capital allowances**

	£	Main pool £	Allowances £
3 months ended 31 March 2026			
TWDV b/f		0	
Addition – no AIA			
Car (1 – 50g/km)		7,500	
Additions (with AIA)			
Office equipment	50,000		
AIA (Max £1,000,000 × 3/12)	(50,000)		50,000
		0	
WDA @ 18% × 3/12		(338)	338
TWDV c/f		7,162	
Total allowances			50,338

**Tutorial note**

The AIA and WDA must be time apportioned as the accounting period is only three months in length.

(W2) Corporation tax rates

		y/e 31.12.2025 £	p/e 31.3.2026 £
Upper limit	(Full / × 3/12)	250,000	62,500
Augmented profits (W3)		291,000	82,162
		Main rate	Main rate

(W3) Payment dates

	y/e 31.12.2025	p/e 31.3.2026
	£	£
Taxable total profits	261,000	82,162
Plus: Dividend income	30,000	0
Augmented profits	291,000	82,162
Augmented profits threshold ($£1,500,000 \times 3/12$)	1,500,000	375,000

The company is not a large company for the purpose of quarterly instalments payments for either of the two accounting periods and was not a large company in the previous accounting period to 31 December 2024 (TTP and augmented profits £Nil). The tax is therefore due nine months and one day after the end of the accounting period.

(b) Advantages of 31 March year end

- Being aligned with the financial year will make it easier for a company to calculate its corporation tax liability, since the same rates, reliefs and legislation will apply throughout the accounting period.
- For owner-managed companies, alignment with the income tax year (the odd five days can be ignored) will make it easier as regards calculating the most tax efficient method of extracting profits from the company.

RELIEF FOR TRADING LOSSES**262 COP LTD****Key answer tips**

This question requires the calculation of a company's taxable total profits for a three-month accounting period. It encompasses adjustments to trading profit, capital allowances, and the computation of a chargeable gain.

You should begin by adjusting the given accounting loss for non-allowable expenses. Make sure you include a zero for the items where no adjustment is required as per the instructions in the question. When calculating capital allowances remember to think about the impact of the short accounting period on the different allowances.

When calculating the chargeable gain on the investment property, ensure you include all incidental costs of acquisition and disposal. Apply indexation allowance to both the original cost and any enhancement expenditure up to December 2017.

Finally, the trading loss should be offset against the total profits, and remember to deduct any qualifying charitable donations.

Taxable total profits for the three-month period ended 31 December 2025

	£
Loss before taxation	(13,000)
Depreciation	45,000
Donations:	
Political party	250
Qualifying charitable donation	300
Legal and professional fees:	
Disposal of investment property	115,000
Bad debt recovery	0
Redundancy advice	0
Supplier contracts	0
Promotional gifts:	
Umbrellas	0
Biscuits	200
Briefcases	400
Annual party	0
Capital allowances (working 1)	(293,455)
Trading loss	(145,305)

Computation of taxable total profits

	£
Trading income	0
Chargeable gain (working 2)	1,297,340
Total profits	1,297,340
Trading losses deducted from total profits	(145,305)
Qualifying charitable donation	(300)
Taxable total profits	1,151,735

**Tutorial notes**

- 1 *The umbrellas cost less than £50 each and carry advertising so are an allowable expense.*
- 2 *The biscuits are food and so are not an allowable expense.*
- 3 *The briefcases cost more than £50 each and so are not an allowable expense.*

Working 1 – Capital allowances

	AIA	Full expense	Main pool	Special rate pool	Allowances
	£	£	£	£	£
TWDV brought forward			30,000		
Additions not qual. for AIA:					
Car (1)				57,000	
Additions qualifying for AIA:					
Machine	270,000				
AIA (£1,000,000 × 3/12)	(250,000)				250,000
		20,000			
Full expensing (100% FYA)		(20,000)			20,000
Addition qualifying for FYA:					
Car (2)	22,000				
FYA	(22,000)				22,000
Proceeds car (1)				(50,000)	
			30,000	7,000	
WDA – 18% × 3/12			(1,350)		1,350
WDA – 6% × 3/12				(105)	105
TWDV carried forward			28,650	6,895	
Total allowances					293,455

**Tutorial notes**

- 1 Car (1) had CO₂ emissions over 50g/km and therefore qualifies for writing down allowances at 6%. Even though it is the only asset in the special rate pool, there is no balancing allowance on the disposal of this car because the expenditure is in a pool.
- 2 Car (2) has zero CO₂ emissions and therefore qualifies for the 100% first year allowance.
- 3 The AIA is claimed in preference to full expensing, as balancing charges will not arise when an asset on which AIA was claimed is sold. The AIA of £1,000,000 is reduced to three months and the remaining amount is added then eligible for full expensing (the 100% FYA).

Working 2 – Chargeable gain

	£	£
Disposal proceeds		4,000,000
Less: Incidental costs of disposal		(115,000)
		3,885,000
Cost	1,500,000	
Incidental costs of acquisition	15,000	
		(1,515,000)
Enhancement costs		(550,000)
		1,820,000
Indexation allowance:		
On cost (£1,515,000 × 0.284)	430,260	
On enhancement (£550,000 × 0.168)	92,400	
		(522,660)
Chargeable gain		1,297,340

Marking scheme	
Trading loss	<i>Marks</i>
Depreciation	0.5
Donations:	
Political party	0.5
Qualifying charitable donation	0.5
Legal and professional fees:	
Disposal of investment property	0.5
Bad debt recovery	0.5
Staff redundancy advice	0.5
Supplier contracts	0.5
Promotional gifts:	
Umbrellas	0.5
Biscuits	0.5
Briefcases	0.5
Annual party	0.5
Capital allowances	
TWDV b/f	0.5
Machine:	
AIA	1.0
Full expensing	0.5
Car (1) – special rate pool	0.5
Car (2) – FYA	0.5
Car (1) disposal	0.5
WDA on main pool	1.0
WDA on special rate pool	0.5
Chargeable gain	
Proceeds	0.5
Incidental costs of disposal	0.5
Cost	0.5
Incidental costs of acquisition	0.5
Enhancement expenditure	0.5
Indexation allowance on cost	0.5
Indexation allowance on enhancement	0.5
Taxable total profits	
Trading loss deducted from total profits	0.5
Qualifying charitable donation	0.5
Total	15.0

Examiner's report

The corporation tax question was very well answered, with many candidates scoring high marks. The question required candidates to calculate Cop Ltd's trading loss and taxable total profits for the three-month period 1 October to 31 December.

As for the income tax question, there were various ways of approaching this question. Again, the easiest one was to have a main computation working out the trading loss, with this then extended to include the chargeable gain and qualifying charitable donation to arrive at a figure for taxable total profits. Capital allowances and the chargeable gain both warranted separate workings.

In regard to the main computation, there were two issues which sometimes caused problems:

- Candidates were instructed to indicate by the use of zero (0) any items which did not require adjustment. There were in fact five items of expenditure where no adjustment was required (because they were allowable), representing a total of 2.5 marks. A number of candidates did not do as instructed and therefore would not have gained these very easy 2.5 marks even if the remainder of their workings were correct. Remember it is important to read and follow the instructions given in the requirement.
- With this type of answer containing both additions and deductions, candidates should be very careful to indicate which is which. A single column approach with deductions shown clearly as such on the spreadsheet avoids any confusion. Those candidates who did not show the deductions clearly invariably had problems when it came to showing totals with negative entries, and it was sometimes difficult for markers to determine whether a figure was a plus or a minus.

One other point to bear in mind is that candidates should answer a question in the order in which information is provided. The information was provided in the order (1) donations, (2) legal and professional fees, (3) promotional costs and (4) annual party. So, adjustments should follow the same sequence. If this approach is followed, it allows markers the opportunity to sometimes award a mark where an obvious mistake has been made.

Capital allowances

The fact that the accounting period was only three months long meant care had to be taken with the capital allowances working:

- The £1,000,000 annual investment allowance expenditure limit was $£1,000,000 \times 3/12 = £250,000$.
- There was no restriction in regard to first-year allowances.
- The 18% and 6% writing down allowances were both restricted by 3/12ths.

Despite these complications, quite a number of candidates correctly calculated the capital allowances figure for 5 marks, with many achieving 4 or 4.5 marks.

The main problem was with the car in the special rate pool which was bought (for £57,000) and sold (for £50,000) during the accounting period. Despite this being the only asset in the special rate pool, there was not a balancing adjustment, but, instead, a writing down allowance calculated as normal.

Chargeable gain

The chargeable gain was probably the most difficult aspect of this question, especially as two separate indexation allowance workings were necessary.

- The incidental costs had to be picked up from the disallowance of legal and professional fees. This figure was then deducted from the disposal proceeds, so was not relevant when it came to the indexation allowance calculations.
- One surprising mistake was sometimes the indexation allowances were calculated, but then only those figures deducted and not the cost and enhancement expenditure figures on which the indexation allowances were based.

Candidates should particularly note that the annual exempt amount is NOT relevant to corporation tax.

263 WRETCHED LTD (ADAPTED)

Walk in the footsteps of a top tutor

**Key answer tips**

The first mark available was in relation to company residence and was straightforward. You should be prepared to be tested on this topic.

The calculation of three separate losses was required: a trading loss, a property loss and a capital loss.

The capital allowances computation was the largest section of the trading loss calculation. Knowledge of the different treatment of cars based on the level of emissions was required here. This is regularly tested in the examination. Also, remember to time apportion allowances, except for the first year allowance, for a short accounting period.

The calculation of property income is tested regularly. This should have been straightforward as it was a standard computation.

- (a) Wretched Ltd is resident in the UK as companies which are incorporated in the UK are resident in the UK regardless of where their central management and control is exercised.

(b) Wretched Ltd – Period ended 31 March 2026**Trading loss**

	£
Trading loss	(141,200)
Advertising expenditure	(7,990)
Deduction for lease premium $((£34,440/10) \times 8/12)$	(2,296)
Capital allowances (working)	(4,784)
Revised trading loss	(156,270)

**Tutorial note**

The advertising expenditure was incurred within seven years of the company commencing to trade, so it is treated as being incurred on the first day of trading. It is therefore deductible, and an adjustment is required.

Working – Capital allowances

		Main pool	Special rate pool	Allowances
	£	£	£	£
Additions qualifying for AIA				
Laptops (£520 × 3)	1,560			
AIA @ 100%	(1,560)			1,560
		0		
Additions – Car 1		8,300		
– Car 2		12,300		
– Car 3			18,800	
		20,600		
WDA @ 18% × 8/12		(2,472)		2,472
WDA @ 6% × 8/12			(752)	752
		18,128	18,048	
Total allowances				4,784

**Tutorial note**

- The original cost of the laptops is irrelevant. The AIA should be claimed in preference to full expensing as then there will not be a potential balancing charge on disposal.*
- Although car 1 has zero CO₂ emissions, it is second-hand (i.e. not new) and therefore does not qualify for the 100% first year allowance. It instead qualifies for writing down allowances at the rate of 18%.*
- Car 2 has CO₂ emissions between 1 and 50 grams per kilometre and therefore qualifies for writing down allowances at the rate of 18%.*
- Car 3 has CO₂ emissions over 50 grams per kilometre and therefore qualifies for writing down allowances at the rate of 6%.*

All WDAs also need to be time apportioned based on the short AP.

Property income loss

	£
Rent receivable (£1,400 × 3)	4,200
Advertising	(2,100)
Repairs	(5,900)
Property income loss	(3,800)

Capital loss

	£
Disposal proceeds	21,400
Cost	(26,200)
Capital loss	(4,800)

**Tutorial note**

The indexation allowance was frozen at December 2017 and therefore no allowance is available in respect of the shares which were acquired after this date. Also, indexation cannot increase a loss and therefore it could not have been deducted even if the shares had been purchased earlier.

- (c)
- 1 The trading loss of £156,270 will be carried forward and a claim can be made to offset it against total profits in future.
 - 2 The property income loss of £3,800 will be carried forward and a claim can be made to offset it against total profits in future.
 - 3 The capital loss of £4,800 will be carried forward and relieved against the first available chargeable gains.

ACCA Marking scheme	
	Marks
(a) Residence	1.0
(b) Trading loss	
Advertising	1.0
Lease premium	1.5
Capital allowances	
– AIA	1.5
– Additions	2.0
– WDA	2.0
Property loss	
Rent receivable	0.5
Advertising	0.5
Repairs	0.5
Capital loss	
Proceeds	0.5
Cost	0.5
No indexation allowance available	0.5
	11.0
(c) Trading loss	1.0
Property loss	1.0
Capital loss	1.0
	3.0
Total	15.0

Examiner's report

For part (a), candidates were required to state whether the company was resident or not resident in the UK for corporation tax purposes. This requirement resulted in a very surprising amount of incorrect answers, with at least half the candidates deciding that the company was not resident because of its central management and control being exercised overseas.

Part (b) required a calculation of the company's trading loss, property business loss and capital loss. As regards the trading loss, this involved pre-trading expenditure, a deduction for a lease premium and capital allowances. This section was generally very well answered, although there were a couple of consistent problems. Firstly, it was often not appreciated that a second-hand car does not qualify for the 100% first year allowance. [Part of the examiner's report has been removed as it relates to a topic which is no longer examinable.]

For part (c), candidates were required to explain how the company would have been able to relieve its trading loss, property business loss and capital loss. Provided candidates appreciated that it was the company's first period of trading, this section was then well answered. However, candidates who overlooked this basic fact spent a lot of time discussing all the various (irrelevant) loss reliefs, with a few candidates discussing the income tax relief for a loss incurred in the early years of a trade.

264 CRUMBLE LTD

**Key answer tips**

This question on corporation tax losses starts with a requirement to calculate the amount of the corporation tax loss and then a calculation of the taxable total profits without any relief for the loss.

The remaining parts require consideration of when a loss carry back claim should be made and how much corporation tax will be repaid if the carry back claim is made.

The highlighted words in part (c) are key phrases that markers are looking for.

(a) Tax-adjusted trading loss for the nine-month period ended 31 December 2025

	£
Operating loss	(187,800)
Accountancy fees	0
Compliance check	0
Legal fees in connection with varying the terms of loan notes	0
Legal fees in connection with the issue of share capital	9,300
Legal fees in connection with the registration of trademarks	0
Levelling land next to business premises	7,300
Repairing the wall of an office building	0
Qualifying charitable donations	3,400
Removal expenses	0
Fine for infringing health and safety regulations	1,200
Remaining expenses – allowable	0
Interest payable ($£8,750 + (£5,000 \times 3/6)$)	(11,250)
Trading loss	(177,850)

(b) Taxable total profits for the nine-month period ended 31 December 2025

	£
Property business income	
Rent receivable ($£6,600 \times 4/6$)	4,400
Security deposit	0
Insurance ($£840 \times 9/12$)	(630)
	3,770
Chargeable gain ($£25,200 - £13,600$)	11,600
Total profits	15,370
Qualifying charitable donations	(3,400)
Taxable total profits	11,970

**Tutorial note**

A security deposit, less the cost of making good any damage, is returned to the tenant on the cessation of a letting. It is therefore initially not treated as income.

(c) (i) Claim

A claim must be made by 31 December 2027 (within two years of the end of the period ended 31 December 2025, the loss-making period).

(ii) Repayment of corporation tax

The loss carried back is $(£177,850 - £15,370) = £162,480$

This is less than Crumble Ltd's taxable total profits of £466,300 for the year ended 31 March 2025 (but results in a TTP figure above £250,000, meaning the main rate of tax still applies), so the corporation tax repayable is $(£162,480 \times 25\%) = £40,620$.

**Tutorial note**

As the year end 31 March 2025 all falls in FY2024, and even after loss relief the taxable total profits exceed £250,000 ($£466,300 - £162,480 = £303,820$) the corporation tax was at 25%.

In order to carry the loss back to y/e 31 March 2025 a current period claim must be made first against total profits of the period ended 31 December 2025 (as calculated in requirement (b)).

ACCA Marking scheme	
	Marks
(a)	
Accountancy fees	0.5
Compliance check	0.5
Legal fees in connection with varying the terms of loan notes	0.5
Legal fees in connection with the issue of share capital	0.5
Legal fees in connection with the registration of trademarks	0.5
Levelling land	0.5
Repairing the wall of an office building	0.5
Qualifying charitable donations	0.5
Removal expenses	0.5
Fine for infringing health and safety regulations	0.5
Remaining expenses – allowable	0.5
Interest payable	1.5
	7.0
(b)	
Rent receivable	1.0
Security deposit	0.5
Insurance	1.0
Chargeable gain	1.0
Qualifying charitable donations	0.5
	4.0

(c)	(i)	Claim date	1.0
	(ii)	Loss carried back	1.5
		Corporation tax repayable	1.5
			3.0
Total			15.0

Examiner's report

The corporation tax question was generally reasonably well answered, although few candidates scored high marks.

Crumble Ltd had made a trading loss for the nine-month period ended 31 December 2025, but had other income for this period and had taxable total profits for the year ended 31 March 2025.

Requirement (a) – 7 marks

This requirement was not answered as well as may be expected, given it was a fairly straightforward loss adjustment scenario:

- Several candidates failed to score very easy marks by not indicating the non-adjustable items with a zero, despite being instructed to do so. There were seven such items, so this basic mistake could have cost a potential 3.5 marks.
- The deduction for interest payable was ignored by many candidates, despite the requirement specifically referring to this note in the question scenario. On the other hand, few of those candidates who did include an adjustment computed the correct figure. The interest figure included in the summarised income statement was £8,750. This figure related to the period 1 March to 30 September 2025. A further three months of interest therefore had to be added ($£5,000 \times 3/6 = £2,500$), making a total interest deduction of $£8,750 + £2,500 = £11,250$.
- Some candidates attempted to rewrite the summarised statement of profit or loss in order to get to the tax adjusted trading loss. Apart from ignoring the instruction to commence with the operating loss figure, this approach was much more complicated; making it difficult to gain all the marks.
- The requirement specifically instructed candidates to ignore the information given in respect of the property business income and the chargeable gain, yet several candidates did not comply with this and wasted quite a bit of their time.
- The best approach to this requirement was a single-column list commencing with the operating loss as a negative figure and listing the items referred to in the relevant notes. Provided the interest was also included as a negative, it was then just a case of using the SUM function to get to the tax adjusted trading loss. The simplicity of this approach is that the same layout can be used regardless of whether a profit or a loss is involved.

Requirement (b) – 4 marks

There were many good answers for this requirement, with quite a few candidates achieving full marks.

Candidates had to take account of the property business income, the chargeable gain and the qualifying charitable donation, and were instructed in the requirement to only take account of this information. However, a number of candidates included the trading loss or even the taxable total profits for the previous period. Again, in doing so they would have certainly wasted time.

The most common problem was with the chargeable gain where figures were provided for both the original cost and for the indexed cost. Some candidates invariably deducted both figures, and this resulted in a capital loss rather than a chargeable gain. Once again, this shows why it is important to read the question and requirements as carefully as possible.

Requirement (c)(i) – 1 mark

The correct answer was by 31 December 2027, which is two years from the end of the loss-making period.

There were few correct answers for this requirement, with answers spread across a wide range of alternative dates.

Requirement (c)(ii) – 3 marks

Although there were some perfect answers to this requirement, overall, it was not particularly well answered.

Many candidates ignored the current period loss relief claim, with others calculating the revised corporation tax liability for the year ended 31 March 2025 rather than the corporation tax refund.

The answer was simply the trading loss (calculated in part (a)), less the current year total profits (the property business profits and chargeable gain from part (b)) at 25%. Even if this approach was used, however, many candidates included the current year qualifying charitable donation, thereby missing out on a half mark.

Quite a few candidates just stated that the corporation tax originally paid would be fully refunded. Although a mark was given for this, candidates needed to go further to gain any additional marks. For example, if a candidate's own-figure trading loss was greater than total profits in the year ended 31 March 2025 (so that a full refund was in fact the correct answer), a further half mark was given for an appropriate explanation.

265 MOONCAKE LTD (ADAPTED)**Key answer tips**

This question is based on corporation tax and is split into three requirements.

Part (a) is a written requirement asking for the factors that would influence which loss relief a company would use. This is only worth three marks, so you need to think of three factors.

Part (b) requires you to prepare the tax adjusted trading loss for the year ended 31 March 2026. Corporation tax computations will usually have several marks for working out the capital allowances. This question has a number of disposals rather than additions, so you need to be careful about the treatment of these disposals.

Part (c) is split into two further requirements. Firstly, to calculate the corporation tax liabilities for the 31 March 2025 and 2026 year ends. Make sure you read the requirement carefully as you need to use the losses as soon as possible. Secondly, you need to work out how much of the loss is left to carry forward to the year ended 31 March 2027.

- (a)
- 1 The rate of corporation tax saved, with a priority for saving tax in the margin (an effective rate of 26.5%), then at the main rate (25%) then at the small profits rate (19%).
 - 2 The timing and cash flow in relation to the relief obtained, with an earlier claim generally being preferable.
 - 3 The extent to which relief for qualifying charitable donations will be lost.

(b) Mooncake Ltd – Trading loss for the year ended 31 March 2026

	£
Operating loss	(93,820)
Depreciation	7,230
Lease of office equipment	0
Entertaining staff	0
Entertaining overseas customers	9,230
Qualifying charitable donations	1,600
Capital allowances (working)	(3,240)
Trading loss	(79,000)

**Tutorial notes**

Staff entertaining is allowed in full. For each employee there would be a taxable benefit if the cost exceeds £150 per person, per year.

Entertaining customers is always a disallowable expense when calculating trading profits. Try not to get confused with the rules you have learnt for VAT!

Working – Capital allowances

	Main pool	Allowances
	£	£
TWDV brought forward	43,200	
Proceeds – Delivery van	(11,800)	
– Car 1	(8,100)	
– Car 2	(5,300)	
	18,000	
WDA @ 18%	(3,240)	3,240
TWDV carried forward	14,760	
Total allowances		3,240

**Tutorial notes**

When disposing of an asset that is eligible for capital allowances the amount you deduct from the computation is the lower of cost or sale proceeds. There is only a balancing charge if the super deduction or full expensing was claimed at the time of purchase, if the pool balance becomes negative or at the cessation of trade.

When disposing of a car on which a 100% first year allowance was claimed, the disposal value is deducted from the main pool.

(c) (i) Corporation tax liabilities for the years ended 31 March 2025 and 2026

	Year ended 31 March 2025	Year ended 31 March 2026
	£	£
Trading profit	98,200	0
Property business income	23,700	0
Chargeable gain	0	0
	121,900	0
Trading loss	(79,000)	0
Qualifying charitable donations	(1,400)	0
Taxable total profits	41,500	0
Corporation tax at 19%	7,885	0

**Tutorial note**

There is no chargeable gain for the year ended 31 March 2026 because the indexation allowance of £6,700 exceeds the gain of £3,700.

Indexation allowance cannot be used to create a capital loss.

As the taxable total profits (there are no dividends in this question, so taxable total profits = augmented profits) for the year ended 31 March 2025 are less than £50,000, the corporation tax is all payable at 19%.

Capital losses and property business losses cannot be carried back.

(ii) Carry forward to the year ending 31 March 2027

	£
Trading loss	0
Property business loss	4,400
Capital loss	4,900
Qualifying charitable donations	0

ACCA Marking scheme		
		Marks
(a)	Rate of corporation tax saved	1.0
	Timing and cash flow	1.0
	Qualifying charitable donations	1.0
		3.0
(b)	Depreciation	0.5
	Lease of office equipment	0.5
	Staff entertaining	0.5
	Client entertaining	0.5
	QCD	0.5
	Capital allowances	3.5
		6.0
(c)	(i) Corporation tax liabilities	
	Trading profit	0.5
	Property income	0.5
	Chargeable gain	1.0
	Trading loss	1.0
	Qualifying charitable donations	0.5
	Corporation tax	0.5
	(ii) Losses carried forward	
	Trading loss	0.5
	Property loss	0.5
	Capital loss	0.5
	Qualifying charitable donations	0.5
		6.0
Total		15.0

Examiner's report

The corporation tax question was generally quite well answered, although (somewhat surprisingly) the capital allowances working in part (b) caused problems. Candidates often ended up with a reasonably correct answer to part (c)(i), where loss relief was claimed, but spent a lot of time on irrelevant workings in reaching that point.

One common problem seen in part (b) was the inability to deal with negatives. The requirement was to calculate Mooncake Ltd's tax adjusted trading loss, commencing with the operating loss figure of £93,820. This meant that the adjustments for non-allowable expenditure reduced the amount of loss, but the loss was increased by capital allowances. As shown in the suggested solution, the easiest approach was to start with £93,820 as a negative figure, show non-allowable expenditure as positive figures and then include capital allowances as another negative. This is then consistent with a profit adjustment question commencing with a profit, avoiding the loss of some easy marks if negatives and positives are confused. The total can then be obtained using the SUM function on the spreadsheet. Some candidates showed all figures as positive and then tried to calculate the total within the cell on the lines of $-A1+A2+A3-A4$. It is also very easy to make mistakes using this approach.

The only aspect requiring a separate working was one for capital allowances.

Requirement (a)

Although many candidates easily picked up the [three] available marks, many instead wrote at length about available loss reliefs.

The fact that this requirement is just for [3] marks, together with the use of 'state' should be a very good indication that only a short set of answers is required. This is why it is important to make use of the model answers since candidates' answers should, ideally, not be any longer than those.

Candidates who mentioned loss of personal allowances or annual exempt amounts had, worryingly, confused income and corporation taxes.

Requirement (b)

When answering this type of question, candidates are advised to answer in the same order as information is presented. So here, the first item was depreciation, and that, therefore, should have been the first adjustment. This approach makes it easier for markers to follow a candidate's answer, and there is less scope for missing out any of the adjustments.

As can be seen from the suggested solution, the capital allowances working was fairly straightforward, involving just a main pool. There were three disposal figures to deduct from the brought forward written down value, with an 18% writing down allowance calculated on the remaining balance. The only reason for providing the cost figures was so that (where relevant) proceeds could be restricted to original cost. However, many candidates included the cost figures as additions, and there were then various permutations involving balancing adjustments. Again, this is why question practice is so important.

It should also be noted that none of the other information (property business loss and profit on disposal of shares) was relevant to this part of the question since the requirement was just to calculate the tax adjusted trading loss.

Requirement (c)(i)

With only losses for the year ended 31 March 2026, there was obviously no income. However, this should have been indicated by the use of zeros (0). There was no chargeable gain because the indexation allowance of £6,700 exceeded the gain of £3,700. This did not create a loss, and there was no need to utilise the capital loss brought forward from the year ended 31 March 2025. These were both common mistakes made by candidates.

Another common mistake was to carry back the property business loss. Many candidates assumed that the qualifying charitable donations for the year ended 31 March 2025 were wasted despite the trading loss being considerably less than income. The suggested solution shows how it is much easier to lay out this type of answer using a two-column approach with one column for each year. Although most candidates did reasonably well in this part, there were not many perfect answers.

Requirement (c)(ii)

Although marks were awarded based on what candidates had done in part (c)(i), the need to carry out an overall review and see what was left appeared to be challenging for many candidates. The correct answer was that there was an unused capital loss from the year ended 31 March 2025, and a property business loss from the year ended 31 March 2026. For full marks, it was also necessary to show that the trading loss had been fully utilised, and that the unused qualifying charitable donations from the year ended 31 March 2026 were wasted. So four points for a half-mark each, and what should have been a very short answer.

There were very few perfect answers, with many candidates picking up just one or two half-marks and wasting time on unnecessary detailed workings.

The use of 'calculate' in the requirement should have indicated that no explanation was necessary.

Note: The examiner's report has been edited regarding elements of the question that have been edited due to changes in the tax legislation.

WITH GROUP ASPECTS**266 MUSIC PLC (ADAPTED)****Key answer tips**

In this question there are ten marks for written explanations of the gains group and associated company rules. It is important to state the basic rule and then apply to the facts of the question. Be careful with the overseas company, which is included but unable to enjoy the benefits of gains group status.

The highlighted words in the answer are key phrases that markers are looking for.

(a) Capital gains group

- Companies form a capital gains group if at each level in the group structure there is a 75% shareholding, provided the parent company has an effective interest of more than 50%.
- Alto Ltd, Bass Ltd, Cello Ltd, Echo Inc and Flute Ltd are all 75% subsidiaries, and Music plc has an effective interest of 60% ($80\% \times 75\%$) in Flute Ltd. All of these companies therefore form a capital gains group.
- However, Bass Ltd and Cello Ltd will only be included in respect of assets acquired or disposed of whilst they were members of the group.
- Drum Ltd and Gong Ltd are not included as Drum Ltd is not a 75% subsidiary, and Music plc's effective interest in Gong Ltd is only 48% ($80\% \times 75\% \times 80\%$).
- Although Echo Inc is included in the definition of the capital gains group, companies that are resident overseas are not able to take advantage of the provisions applicable to a capital gains group.

(b) Associated companies

- Alto Ltd, Bass Ltd, Cello Ltd, Echo Inc, Flute Ltd and Gong Ltd are all under the common control of Music plc, and are therefore associated companies.
- Companies associated for part of the accounting period, such as Bass Ltd and Cello Ltd, count as associated companies for the whole of the period.
- For these purposes, it does not matter where a company is resident. Echo Inc is therefore included despite being resident overseas.
- Drum Ltd is not included as an associated company since Music plc's effective interest in this company is only 45%.

(c) Corporation tax liability – year ended 31 March 2026

	£
Trading profit	92,000
Non-trade loan relationship income	12,000
Net chargeable gains (W1)	23,000
Taxable total profits	127,000
Plus: Dividends from unconnected companies	15,000
Augmented profits	142,000
Corporation tax ($£127,000 \times 25\%$) (W2)	31,750

(W1) Net chargeable gain

	£
Net chargeable gain in the year (by election)	120,000
Less: Capital losses in the year	(65,000)
	55,000
Less: Capital losses b/f	(32,000)
Net chargeable gain	23,000

**Tutorial note**

The capital gain of £120,000 is included in Music plc's taxable total profits since an election has been made with Alto Ltd to transfer the gain to Music plc. Music plc's capital losses (CY and b/f) may be set against this gain.

(W2) Corporation tax rates

	£
Upper limit ($£250,000 \times 1/7$)	35,714
Augmented profits	142,000
	<i>Main rate applicable</i>

There are seven associated companies in the group including Music plc itself.

(d) Bank loan

Under the loan relationship rules, the cost of loans used for non-trade purposes are deductible from interest income. If the loan was used to acquire a property which was to be rented out (i.e. a non-trade purpose), the interest would not be deducted from trading income, nor property business income (as for individuals), but from the company's interest income.

Legal fees

Legal fees incurred in relation to the purchase of a capital asset are not deductible from the company's trading profits. They will be deductible in the chargeable gain computation when the building is ultimately sold.

Rent receivable

The rent receivable from letting the property to a tenant will be included on an accruals basis, net of any allowable deductions, in taxable total profits as property income.

267 ASH LTD (ADAPTED)



Walk in the footsteps of a top tutor



Key answer tips

This question covers corporation tax for three different companies.

- (a) Part (a) involves identifying the accounting periods and explaining the residency status of a company. Make sure you don't mix up the residency rules that apply to individuals here.
- (b) Part (b) is a standard requirement looking for the corporation tax liability via an adjustment to profits starting point. Make sure you start with the correct figure here i.e. the profit before income taxes before making your adjustments.
- (c) Part (c) involved calculating a gain on shares followed by the offset of a capital loss by another group company. Make sure you index the pool before taking out the shares that are disposed of.

(a) Ash Ltd

(i) Accounting periods

1 February 2024 to 31 January 2025

1 February 2025 to 31 March 2025

Year ended 31 March 2026



Tutorial notes

- 1 *The bank account opened by Ash Ltd on 1 December 2023 is not a source of income as it does not generate interest, and therefore does not trigger the start of an accounting period.*
- 2 *An accounting period cannot be longer than 12 months, so the period of account ended 31 March 2025 must be split into two accounting periods.*
- 3 *The move overseas of a majority of Ash Ltd's director/shareholders on 1 October 2025 has no impact on the company's accounting periods.*

(ii) Residence status

Ash Ltd was incorporated in the UK, so the company is therefore resident in the UK throughout the period 1 December 2023 to 31 March 2026.

The move overseas of a majority of Ash Ltd's director/shareholders on 1 October 2025 does not have any impact on the company's residence status.

(b) Beech Ltd**Corporation tax computation for the year ended 31 January 2026**

	£
Profit before income taxes	305,500
Depreciation	14,700
Gifts to customers	3,500
Qualifying charitable donations	1,100
Impairment loss	0
Lease of cars ($£12,600 \times 15\%$)	1,890
Data protection fine	6,400
Legal fees – Renewal of short lease	0
Interest payable	0
Trading profit	333,090
Qualifying charitable donations	(1,100)
Taxable total profits	331,990
Corporation tax ($£331,990 \times 25\%$)	82,998

***Tutorial note***

Gifts to customers are only an allowable deduction if they cost less than £50 per recipient per year, are not of food, drink, tobacco or vouchers exchangeable for goods and carry a conspicuous advertisement for the company making the gift.

15% of the car lease costs must be disallowed as the emissions exceed 50 grams per kilometre.

The company's TTP and augmented profits are greater than £250,000, therefore the main rate of corporation tax applies.

(c) Cedar Ltd**Corporation tax computation for the year ended 31 March 2026**

	£
Disposal proceeds ($£6 \times 25,000$)	150,000
Indexed cost (W)	(38,004)
Chargeable gain	111,996
Capital loss	(8,800)
Current year trading loss relief	(19,700)
Group relief	(20,800)
Taxable total profits	62,696

Working – Indexed cost

	Number	£
Purchase July 2010	20,000	24,800
Rights issue July 2010 ($£1.15 \times 20,000 \times \frac{1}{4}$)	5,000	5,750
	<u>25,000</u>	<u>30,550</u>
Indexation to December 2017 ($£30,550 \times 0.244$)		7,454
		<u>38,004</u>
Disposal December 2025	(25,000)	(38,004)
	<u>0</u>	<u>0</u>
Balance c/f	0	0

**Tutorial note**

Indexation allowance for companies was frozen at December 2017 so although the disposal took place in December 2025 the pool is only indexed up to December 2017.

A joint election can be made to transfer Timber Ltd's capital loss to Cedar Ltd. In addition, Timber Ltd can surrender its current year trading loss to Cedar Ltd.

ACCA Marking scheme			
			<i>Marks</i>
(a)	(i)	Accounting periods	2.0
	(ii)	UK resident due to UK incorporation	1.0
		Retain UK residence	1.0
			<u>2.0</u>
(b)		Depreciation	0.5
		Gifts to customers	0.5
		Charitable donations	0.5
		Impairment loss	0.5
		Lease restriction	1.0
		Fine	0.5
		Legal fees	0.5
		Interest	0.5
		Deduct QCDs	0.5
		Corporation tax	1.0
			<u>6.0</u>
(c)		Proceeds	0.5
		Share pool working:	
		Purchase July 2010	0.5
		Rights issue	1.0
		Indexation	1.0
		Losses	2.0
			<u>5.0</u>
Total			<u>15.0</u>

Examiner's report

The corporation tax question involved three unconnected limited companies, Ash Ltd, Beech Ltd and Cedar Ltd.

Part (a)(i) for 2 marks was to identify Ash Ltd's accounting periods throughout the period 1 December 2023 (incorporation) to 31 March 2026 (the end of the first twelve-month set of accounts, Ash Ltd having previously prepared accounts for the 14-month period ended 31 March 2025). This section was quite well answered.

If asked to identify a company's accounting periods throughout a given period candidates should make sure that all relevant periods are stated. It does not create a good impression if there are gaps between the accounting periods stated by a candidate, or if a stated period ends before it has started.

Part (a)(ii) required candidates to explain Ash Ltd's residence status throughout the same period. Candidates should be careful not to confuse the rules for companies with those applicable to individuals. If a limited company is incorporated in the UK, then nothing else is relevant. So, as regards the majority of Ash Ltd's director/shareholders moving overseas, candidates should just have stated that this did not have any impact on the company's residence status.

For Beech Ltd, a summarised statement of profit or loss was provided for the year ended 31 January 2026. The requirement for 6 marks was to calculate the company's corporation tax liability for this year. Various adjustments were required, but there were no capital allowances. This section was very well answered.

When making adjustments to a trading profit, candidates need to be very careful that adjustments are correctly added and not deducted.

Cedar Ltd had made a chargeable gain on the disposal of a shareholding on 28 December 2025. For the year ended 31 March 2026, the company made a trading loss. Cedar Ltd was a 100% subsidiary company of Timber Ltd, and for the year ended 31 March 2026, Timber Ltd had made a trading loss and also a capital loss.

Part (c) for 5 marks required a calculation of Cedar Ltd's taxable total profits for the year ended 31 March 2026. This was on the basis that all available claims and elections were made. This section was again well answered. When calculating chargeable gains for a corporate share disposal carefully check the dates that have been given. There was a rights issue which had taken place in the month of purchase, so there was no need to index prior to adding the new shares into the share pool.

Note: The examiner's report has been edited regarding elements of the question that have been edited due to changes in the tax legislation.

268 CLUELESS LTD (ADAPTED)



Walk in the footsteps of a top tutor

**Key answer tips**

Part (a) requires the computation of a company's corporation tax liability including an adjustment of trading profits calculation. The information is presented in a slightly unusual format as an existing corporation tax computation that contains numerous errors. However, this should not prove a problem for the well-prepared student.

Part (b) deals with the administrative aspects of corporation tax. There is an easy mark in part (1). However, part (2) may cause some students problems if they have not learnt this topic. As all companies must now file their tax returns electronically it is an important and topical area.

The highlighted words in the answer are key phrases that markers are looking for.

(a) Corporation tax computation – year ended 31 March 2026**Tutor's top tips**

Do not be put off by the different format in which the information is presented. Set up your corporation tax computation as usual and work through each of the workings in the question dealing with each piece of information as you go. Remember to indicate by the use of zero any items in the computation of trading profit for which no adjustment is required.

Note that the company has a wholly owned subsidiary, Clever Ltd. Remember that dividends received are not included in taxable total profits, regardless of the relationship with the paying company. However, remember there are special rules where members of a capital gains group transfer assets between each other.

	£
Trading profit (W1)	355,808
Non-trade loan relationship income (interest receivable)	32,800
Chargeable gain (W3)	92,603
Taxable total profits	481,211
Less: QCD relief	(900)
Taxable total profits	480,311
Corporation tax liability at 25%	120,078

**Tutorial note**

Non-trade loan relationship income is taxed on the amount of loan interest receivable (not received) in respect of the accounting period.

Workings**(W1) Trading profit**

	£
Operating profit	382,610
Depreciation	15,740
Client entertaining	400
Qualifying charitable donations	900
Gifts to customers – portable power banks	0
Gifts to customers – boxes of chocolates	1,650
	401,300
Less: Capital allowances (W2)	(45,492)
Trading profit	355,808

**Tutorial note**

- 1 *Qualifying charitable donations are a disallowable trading expense but are deductible from total profits.*
- 2 *Gifts to customers are an allowable deduction if they cost less than £50 per recipient per year, are not of food, drink, tobacco or vouchers exchangeable for goods, and carry a conspicuous advertisement for the company making the gift.*

(W2) Capital allowances

		Main pool	Special rate pool	Allowances
	£	£	£	£
TWDV b/f		12,400	13,500	
Additions not qualifying for AIA				
Car			11,800	
Additions qualifying for AIA				
Computers	42,300			
AIA @ 100%	(42,300)			42,300
		0		
Less: Disposal proceeds			(9,300)	
			16,000	
WDA @ 18%		(2,232)		2,232
WDA @ 6%			(960)	960
TWDV c/f		10,168	15,040	
Total allowances				45,492

**Tutorial note**

- 1 The computers qualify for the AIA, but the brought forward balance on the main pool does not.
- 2 The car has CO₂ emissions over 50 grams per kilometre and therefore qualifies for writing down allowances at the rate of 6%. The private use of a car by an employee is irrelevant, since such usage will be taxed on the employee as a benefit.
- 3 A balancing allowance only arises on the main and special rate pools on the cessation of trade, even where all of the assets in the relevant pool have been disposed of. A balancing charge is not applied if the AIA was claimed when the assets were purchased.

(W3) Chargeable gain

Clueless Ltd owns 100% of Clever Ltd and together they form a capital gains group. The transfer from Clever Ltd to Clueless Ltd takes place at no gain/no loss as follows:

	£
Cost (April 2003)	70,000
Plus: IA (April 2003 to June 2011)	
$£70,000 \times 0.298$	20,860
Deemed proceeds	90,860

When Clueless Ltd sells the building outside of the group, its deemed cost is £90,860. The chargeable gain is:

	£
Proceeds (March 2026)	200,000
Less: Deemed cost	(90,860)
Unindexed gain	109,140
Less: IA (June 2011 to December 2017) (Note)	
$£90,860 \times 0.182$	(16,537)
Chargeable gain	92,603

**Tutorial note**

The indexation allowance has been frozen at December 2017.

(b) Self-assessment return**Tutor's top tips**

For written parts, write short succinct sentences in bullet point form and bear in mind the mark allocation for each sub-section. In general, there is usually one mark allocated for each valid point made. Do not therefore dwell on any one part too much and keep an eye on the clock. The highlighted words indicate those that the marker will be looking for.

1 Filing date

Clueless Ltd's self-assessment tax return for the year ended 31 March 2026 must be submitted by 31 March 2027.

2 Options for iXBRL format

If Clueless Ltd has straightforward accounts, it could use the software provided by HM Revenue & Customs. This automatically produces accounts and tax computations in the iXBRL format.

Alternatively, other software that automatically produces iXBRL accounts and computations could be used.

A tagging service could be used to apply the appropriate tags to the accounts and tax computations, or Clueless Ltd could use software to tag documents itself.

ACCA Marking scheme			Marks
(a)		Non-trade loan relationship income	0.5
		Qualifying charitable donations	0.5
		Corporation tax	0.5
		Trading profit	
		Depreciation	0.5
		Donations to political parties	0.5
		Qualifying charitable donations	0.5
		Gifts to customers – pens – no adjustment	0.5
		Gifts to customers – food hampers	0.5
		Capital allowances deducted	0.5
		Capital allowances	
		TWDVs brought forward	0.5
		AIA on computers	1.0
		Car addition in special rate pool	0.5
		Disposal proceeds in special rate pool	0.5
		WDA on main pool at 18%	0.5
		WDA on special rate pool at 6%	0.5
		Chargeable gain	
		Deemed proceeds on no gain/no loss transfer	1.5
		Chargeable gain on disposal outside of group	1.5
			11.0
(b)	1	Submit by 31 March 2027	1.0
	2	HMRC software	1.0
		Other software producing iXBRL accounts	1.0
		Tagging service/software to tag documents	1.0
			3.0
Total			15.0

Examiner's report

Part (a) was generally very well answered. The only aspect that consistently caused problems was the loan interest with very few candidates appreciating that this is taxed on a receivable basis.

In part (b) it was surprising that only a few candidates were aware of the filing date for a self-assessment corporation tax return, with far too many candidates giving a 31 January date...hardly any candidates were able to provide relevant details regarding the production of accounts and computations using iXBRL.

Note: The examiner's report has been edited to remove comments on elements of the question that have been deleted due to changes to the examination format.

269 LONG LTD AND ROAD LTD (ADAPTED)*Walk in the footsteps of a top tutor***Key answer tips**

This question, about a group of two companies, is split into two unrelated areas.

Part (a) requires you to calculate the corporation tax liability for each of the companies. There are capital and trading losses to deal with.

Part (b) has two requirements: firstly, to explain the reporting of real time PAYE information to HM Revenue & Customs ('HMRC'); and secondly to state which forms must be provided to employees or submitted to HMRC following the end of the tax year. The highlighted words in the answer to part (b) below are key phrases that markers are looking for.

**Tutor's top tips**

It is easy to overrun on part (a), so you could consider answering part (b) before part (a) to make sure that you do not run out of time to answer both parts of the question.

(a) Corporation tax computations**Tutor's top tips**

When you read the information, you see that one company has a capital loss and one has a trading loss. The requirement states that reliefs must be claimed as soon as possible so you will need to consider how relief can be taken for these losses.

You were told the amount of premium taxed on the landlord as income, not the premium itself, so all that is needed to calculate the tax allowable amount is to divide this figure by the number of years in the lease.

Long Ltd – Corporation tax computation – year ended 31 March 2026

	£
Operating profit	384,400
Depreciation	43,050
Amortisation	5,000
Lease of car (£3,600 × 15%) (Note 1)	540
Less: Deduction for lease premium (£68,200 ÷ 20) (Note 2)	(3,410)
Less: Capital allowances (W)	(58,730)
Trading profit	370,850
Net chargeable gain (£29,800 – £21,300) (Note 3)	8,500
Total profits	379,350
Less: Group relief – from Road Ltd (Note 4)	
Lower of:	
Road Ltd's loss	£34,900
3/12 of Long Ltd's profit (£379,350 × 3/12)	£94,838
	(34,900)
Taxable total profits	344,450
Corporation tax liability	
(£344,450 × 25%)	86,113

**Tutorial note**

- 1 The leased car has CO₂ emissions of more than 50 grams per kilometre, so 15% of the leasing costs are disallowed.
- 2 The office building has been used for business purposes. Therefore, the proportion of the lease premium taxed on the landlord as property income can be deducted from trading income, spread over the life of the lease.
- 3 A joint election can be made so that Long Ltd is treated as having made Road Ltd's capital gain. It would be equally beneficial for a joint election to be made so that Road Ltd is treated as having made Long Ltd's capital loss. In the examination equal marks would be awarded for either treatment.
- 4 Group relief is not restricted as Road Ltd's available loss is less than 3/12ths of Long Ltd's taxable total profits.

Working – Plant and machinery – Long Ltd

	£	Main pool £	Allowances £
TWDV b/f		44,800	
Addition not qualifying for AIA			
Car		15,700	
Addition qualifying for AIA			
Lorry	47,840		
AIA @ 100%	(47,840)		47,840
		0	
		60,500	
WDA @ 18%		(10,890)	10,890
TWDV c/f		49,610	
Total allowances			58,730

**Tutorial note**

- 1 The lorry qualifies for the AIA. Although cars do not qualify for the AIA this does not apply to other vehicles. The AIA should be claimed in preference to full expensing as then there will not be a potential balancing charge on disposal.
- 2 The car has CO₂ emissions between 1 and 50 grams per kilometre and therefore qualifies for writing down allowances at the rate of 18%.

When dealing with a company there is never any private use adjustment. The private use of the car will be taxed on the managing director as an employment benefit.

Road Ltd**Trading loss – period ended 31 March 2026**

	£
Operating loss	(26,100)
Donations	2,800
Capital allowances (£11,600 × 100%)	(11,600)
Surrendered as group relief	(34,900)

**Tutorial note**

- 1 Donations to political parties are a disallowable trading expense. Qualifying charitable donations are a disallowable trading expense but are deductible from total profits.
- 2 The car is purchased on 3 October 2025 before trade starts, so is treated as incurred on the first day of trading – 1 January 2026. The car has zero CO₂ emissions and therefore qualifies for the 100% first year allowance. First year allowances are never time apportioned. In the absence of any other information always assume that cars purchased are new cars (not second-hand).
- 3 It is beneficial for Road Ltd to surrender its trading loss to Long Ltd as this will use the loss as soon as possible.

Road Ltd**Corporation tax computation for the period ended 31 March 2026**

	£
Non-trade loan relationship income	4,300
Less: Qualifying charitable donations	(2,400)
Taxable total profits	1,900
Corporation tax (£1,900 × 19%)	361

**Tutorial note**

The qualifying charitable donations cannot be surrendered as group relief as they are fully relieved against Road Ltd's non-trade loan relationship income.

(b) PAYE real time reporting**Tutor's top tips**

Use headings to separate the two parts of your answer which makes it easier to mark.

Real time PAYE information

- Real time PAYE information must be filed electronically, so Road Ltd will have to either run payroll software or use the services of a payroll provider.
- Road Ltd will have to send real time PAYE information to HMRC electronically by the end of each calendar month (the time when employees are paid).

Forms

- Form P60 must be provided to employees following the end of the tax year.
- Form P11D detailing benefits provided to the employees must be submitted to HMRC following the end of the tax year, with a copy provided to the employees.
- Form P11D (b) should be submitted to HMRC detailing class 1A national insurance contributions.

ACCA Marking scheme		Marks
(a)	Long Ltd – Corporation tax computation	
	Depreciation	0.5
	Amortisation	0.5
	Lease of car	1.0
	Deduction for lease premium	1.0
	Net chargeable gain	1.5
	Group relief from Road Ltd	1.5
	Corporation tax	0.5
	TWDV brought forward	0.5
	Lorry	0.5
	AIA	0.5
	Car	0.5
	WDA – 18%	0.5
	Road Ltd – Trading loss for the period	
	Donations	0.5
	Capital allowances	1.0
	Road Ltd – Corporation tax computation	
	Non-trade loan relationship income	0.5
	Qualifying charitable donations	0.5
	Corporation tax	0.5
		12.0
(b)	PAYE real time reporting	
	File electronically	1.0
	Timing	0.5
	P60	0.5
	P11D	0.5
	P11D(b)	0.5
		3.0
Total		15.0

Examiner's report

Part (a) was generally well answered. The only aspect that consistently caused problems was Road Ltd, where candidates often incorrectly increased the loss for donations, and decreased it for capital allowances. In some cases, the loss was simply treated as a profit.

Part (b), perhaps not surprisingly, was not generally well answered. In many cases, the only form mentioned was form P45 which is no longer relevant. Candidates often explained PAYE in general terms, rather than answering the requirements of the question.

270 MAXIMUM LTD

**Key answer tips**

Part (a) tests you on your adjustments to profit knowledge. There are three adjustments to deal with here. You also need to calculate property income and chargeable gains where there is rollover relief to consider for one of the disposals. Make sure you answer the question set (to calculate TTP) as it could be tempting to continue and calculate the CT liability which is not asked for here.

Part (b) looks at loss relief and group relief. Be careful here with the percentage holdings in the various companies.

(a) Maximum Ltd – Taxable total profits for the year ended 31 March 2026

	£
Trading profit	127,200
Deduction for lease premium ($(£22,320/8) \times 8/12$)	(1,860)
Lease of first car	0
Lease of second car ($£3,900 \times 15\%$)	585
Employee bonus paid November 2026	(20,000)
Employee bonus paid February 2027	0
Revised trading profit	105,925
Property business income (working 1)	7,950
Chargeable gains (working 2)	38,400
	152,275
Qualifying charitable donations	(2,800)
Political donations	0
Taxable total profits	149,475

**Tutorial note**

Only the employee bonuses of £20,000 paid within nine months of the end of Maximum Ltd's period of account are deductible. The bonuses of £16,000 will be deducted in calculating the trading profit for the year ended 31 March 2027.

Working 1 – Property business income

	£
Rent receivable ($(£8,400 \times 3/6) + £5,600$)	9,800
Insurance ($£1,320 - £190$)	(1,130)
Security deposit	0
Advertising	(720)
Property business income	7,950

**Tutorial note**

A security deposit, less the cost of making good any damage, is returned to the tenant on the cessation of a letting. It is not treated as income when received by the landlord and, therefore, is not an allowable expense when returned to the tenant.

Working 2 – Chargeable gains

	£	£
Warehouse		43,300
Factory	29,100	
Rollover relief	(29,100)	0
Capital loss brought forward		(4,900)
Chargeable gains		38,400

**Tutorial note**

The sale proceeds of the factory are fully reinvested, so the chargeable gain of £29,100 can be rolled over. No rollover relief claim is possible in respect of the chargeable gain made on the disposal of the warehouse because this property was not used for business purposes.

The capital loss b/f is automatically offset against the first available capital gains and is therefore offset here. Claims would be required with regard to the b/f trading loss and property business loss, so (as per the requirement) these are not offset in this part of the question.

(b) Maximum Ltd – Unused losses carried forward

	£
Unused losses brought forward	
Trading loss	288,200
Property business loss	3,800
	292,000
Maximum Ltd – Loss relief	(149,475)
Xim Ltd – Group relief	(21,400)
Mum Ltd – Group relief	0
Unused losses carried forward	121,125

**Tutorial note**

The carried forward loss of £121,125 consists entirely of trading loss because the property business loss of £3,800 is used first. No group relief is possible against Mum Ltd's profit, as the percentage shareholding is less than 75% therefore it is not part of the group relief group.

ACCA Marking scheme	
	Marks
(a) Maximum Ltd – TTP for y/e 31 March 2026	
Deduction for lease premium	1.5
Lease of first car	0.5
Lease of second car	1.0
Employee bonus paid Nov 2026	0.5
Employee bonus paid Feb 2027	0.5
Qualifying charitable donations	0.5
Political donations	0.5
Property business income	
Rent receivable	1.0
Insurance	1.0
Security deposit	0.5
Advertising	0.5
Chargeable gains	
Warehouse	0.5
Factory	0.5
Rollover relief	1.0
Capital loss	1.0
	11.0
(b) Maximum Ltd – unused losses carried forward	
Trading loss	0.5
Property business loss	0.5
Maximum Ltd loss relief	1.0
Xim Ltd group relief	1.0
Mum Ltd group relief	1.0
	4.0
Total	15.0

Examiner's report

The corporation tax question was fairly well answered, although many candidates had difficulty when it came to requirement (b).

Along with a trading profit, for the year ended 31 March 2026 Maximum Ltd had property business income and chargeable gains. The company made qualifying charitable donations and political donations during the year. Maximum Ltd had brought forward amounts of trading loss, property business loss and capital loss.

Maximum Ltd had two subsidiary companies. Xim Ltd was a 75% group company, whereas Mum Ltd (with a 65% shareholding) was not.

Requirement (a)

One important point to appreciate is that property business income and chargeable gains are both included within the calculation of taxable total profits (TTP), yet a number of candidates kept these elements entirely separate from the trading profit (even though all income and gains form part of the TTP).

The starting point was to adjust the trading profit for three items:

Leasehold premium deduction (1.5 marks): The essential point to appreciate here was that the figure provided was the amount of premium assessed on the landlord (£22,320), and not the amount of premium itself. Therefore, the first step in the calculation had already been done. The relevant deduction was simply the assessed amount divided by the number of years of the lease (8 years), with an 8/12ths restriction; the lease being granted on 1 August 2025.

It was also important to realise that the final result ($22,320/8 \times 8/12 = £1,860$) had to be deducted in the main computation, not added.

Leasing costs disallowance (1.5 marks): Leasing costs for two cars had been deducted in arriving at the trading profit. The first car had CO₂ emissions of 40 grams per kilometre, so no adjustment was required. The second car had CO₂ emissions in excess of 50 grams per kilometre, so a 15% add-back was required. This adjustment often caused problems, with various mistakes made. For example, sometimes the 15% add-back was applied for both cars, or adjustment was made for the 85% deductible element of the leasing costs for the second car.

Deduction for employee bonuses (1 mark): Bonuses of £20,000 were paid on 30 November 2026, with a further £16,000 paid on 15 February 2027. No entitlement to the bonuses arose until the time that they were paid. The essential point here is that only the bonuses paid within nine months of the end of maximum Ltd's period of account are deductible, so not those paid on 15 February 2027.

Having calculated a revised trading profit figure, the next steps were to calculate the property business income and chargeable gains:

Property business income (3 marks): This was a fairly straightforward computation for 3 marks based around a freehold warehouse which was let for a seven-month period before the warehouse was subsequently sold. There were many perfect answers. Some candidates struggled with the insurance payment, often trying to restrict this to the period the warehouse was let out or owned by Maximum Ltd. However, it should have been obvious that this aspect was taken into account due to Maximum Ltd receiving a refund of the insurance premium paid. The correct deduction was therefore simply the insurance premium paid (£1,320) less the refund (£190).

Chargeable gains (3 marks): The chargeable gains computation was somewhat more complicated, although there were still a number of perfect answers. Some candidates did not appreciate that they had been given the two relevant chargeable gain figures (a freehold factory was sold as well as the freehold warehouse), so no chargeable gain calculations were required. However, the gain on the disposal of the factory could be rolled over (the proceeds being fully reinvested – and that is why proceed figures were provided). The gain on the disposal of the warehouse could not be rolled over because this property was not used for business purposes. It was also necessary to deduct the brought forward capital loss as this was automatically relieved (however, the mark available was given even if this deduction was made in the answer to requirement (b)).

Donations (1 mark): Finally, it was a matter of deducting the qualifying charitable donations, and indicating (by the use of a zero) that no deduction was available for the political donations; many candidates missed an easy half mark by not showing this zero, despite being instructed to do so.

As already mentioned, with computations containing both additions and deductions, candidates should be very careful to indicate which is which. A single column approach with deductions shown clearly as such on the spreadsheet avoids any confusion.

It is best to avoid putting workings for two or three marks within the one cell, which is what some candidates did with their business property income calculation. It is very easy to make mistakes, and workings have to be clearly shown in order for marks to be awarded.

Requirement (b)

This requirement caused a lot of problems. Even if answering correctly, candidates often took a very long-winded approach towards a final answer, wasting considerable time in the process. Also, with what were often a half page of notes and workings, it was sometimes difficult to find a candidate's final answer.

As already mentioned, Maximum Ltd had brought forward amounts of trading loss (£288,200) and property business loss (£3,800). The brought forward capital loss should have been set against the chargeable gain, and is therefore irrelevant to this requirement.

Simply taking the brought forward trading loss and using this against the (candidate's own figure) taxable total profits of Maximum Ltd for the year ended 31 March 2026 scored 1.5 marks. Add in the brought forward property business loss, and that scored half the available marks.

The other two marks were for dealing with the group relief aspects. One problem here, however, was that some candidates got into considerable confusion by treating the trading profits of the two subsidiary companies instead as trading losses. The correct treatment was to offset the brought forward trading loss against the trading profit of Xim Ltd (£21,400), and then to show or state that no relief was available against the profits of Mum Ltd. Many candidates – despite correctly dealing with Xim Ltd – did not mention Mum Ltd.

Rather than an extensive set of workings, the entire 4-mark answer was therefore simply $£288,200 + £3,800 - \text{own figure taxable total profits} - £21,400 - £0$.

Section 10

ANSWERS TO PRACTICE VALUE ADDED TAX QUESTIONS

PRACTICE SECTION A OBJECTIVE TEST QUESTIONS

271 A and D

Voluntary registration is beneficial for traders who can recover their input VAT and either make zero rated supplies (so will not have to charge higher prices inclusive of VAT), or make supplies to other VAT registered businesses (who can recover the additional cost of the output VAT charged).

A business which buys zero rated supplies and sells standard rated goods to members of the public, will not benefit by voluntary registration since it will not recover VAT on its purchases (as these have no VAT being zero rated) and will have to charge members of the public an extra 20% to recover the VAT on sales.

A business which buys zero rated supplies and sells zero rated goods to members of the public will not benefit from voluntary registration as there is no VAT to be charged on sales or recovered on expenses.

272 B

Frances' taxable turnover exceeds £90,000 on 30 November 2025 ($16,000 + 21,000 + 31,000 + 2/3 \times 34,000$) = £90,667. She has 30 days to notify HM Revenue & Customs and is registered from the 1st day of the month following the registration deadline, i.e. 1 January 2026.

Examiner's report

The other incorrect options are:

- A 30 December 2025 being 30 days after historic test exceeded
- C 31 January 2026 being one month after quarter end when historic test exceeded
- D 1 February 2026 which would be correct if the historic test was met on 31 December 2025

273 D

Taxable supplies to 30 November 2024 are £81,500 and to 31 December 2024 they are £92,000. Brett therefore exceeds the registration threshold of £90,000 by the end of December 2024.

Brett must notify HM Revenue & Customs by 30 January 2025 and he will be registered (and therefore have to charge VAT) from 1 February 2025.

Examiner's report

The other incorrect options are:

- A 1 March 2025 is the month after the date from which he must start charging VAT
- B 1 January 2025 is the day after the end of the month in which the registration threshold is breached
- C 30 January 2025 is the registration deadline

274 B and C

VAT cannot be reclaimed on cars which are used for private purposes.

VAT can normally be reclaimed on fuel used partially for private purposes (although output VAT will be due based on the fuel scale rate). However, the fuel has been consumed prior to the date of registration and therefore the input tax cannot be reclaimed.

Input tax can only be reclaimed on goods and assets if they are still on hand (or not consumed) at the date of registration and they were purchased within four years prior to registration.

Pre-registration input VAT can only be reclaimed on services if they were supplied within six months of registration.

Pre-registration input VAT can be reclaimed on goods acquired for the business provided they are on hand (i.e. in inventory) at the date of registration.

275

	Can be in VAT group
A Ltd	✓
B Ltd	✓
C Ltd	✓
D Sarl	

Companies that are under common control (>50%) can be in a VAT group provided they are all established in, or have a fixed establishment in, the UK. All of the companies are under the common control of Fergus, but D Sarl cannot be a member of the group as it does not have a place of business in the UK.

276 B

	£
1 July 2025 – 31 December 2025: Pre-registration (6×110)	660
1 January 2026 – 31 March 2026: Post-registration (3×110)	330
Total input tax recoverable	990

**Tutorial note**

Pre-registration input VAT relating to services can only be recovered if it was incurred in the six months prior to registration.

277

	True	False
Vikram should have notified HM Revenue & Customs that he had ceased to make taxable supplies by 30 July 2025.		✓
Vikram must account for output tax on the value of non-current assets and inventory held at the date of deregistration and on which a deduction for input tax has previously been claimed, unless this would result in a liability below £88,000.		✓

A VAT registered trader must notify HM Revenue & Customs (HMRC) within 30 days of ceasing to make taxable supplies, i.e. Vikram should have notified HMRC by 16 July 2025.

Vikram must account for output tax on the value of non-current assets and inventory held at the date of deregistration and on which a deduction for input tax has previously been claimed, unless this would result in a liability below £1,000.

278 B

The basic tax point is the date the goods are delivered. This is only overridden by an actual tax point if a tax invoice is issued or payment is made before the basic tax point or, provided an actual tax point has not already arisen under the earlier rule, an invoice is issued within 14 days after the basic tax point.

279 £133**Quarter ended 31 March 2026**

	£
Input tax:	
Relief for impairment losses ($£800 \times 1/6$)	133

**Tutorial note**

Relief for impairment losses is only available where at least six months has elapsed since the debt was due for payment and the seller has written the debt off in their VAT account.

The VAT on the £1,000 debt (net of any recovery from the liquidator) can be recovered in the next quarter.

280 D

Input VAT: $£600 \times 20/120 = £100$

Output VAT: $£380 \times 20/120 = £63$

**Tutorial note**

The input VAT in respect of the fuel is recoverable in full, despite the private use element. Output tax will be payable on the fuel scale charge to account for the private use.

281 C**Recoverable input VAT**

	£
Entertaining new suppliers	0
Car leasing ($£3,000 \times 1/6 \times 50\%$)	250
	250

**Tutorial note**

*VAT can only be recovered on entertaining staff and overseas **customers**.*

Where any car, which has some private use, is leased only 50% of the input VAT can be recovered. The level of the car's CO₂ emissions and the percentage of private use are irrelevant.

282 C

	£
Entertaining overseas customers	320
Purchase of new office equipment	1,250
Total input VAT recoverable	1,570

**Tutorial note**

Input VAT incurred in relation to entertaining overseas customers is recoverable. Input VAT incurred on entertaining UK customers is irrecoverable.

Input tax on the purchase of business assets is recoverable, except for cars with an element of private use.

283 £2,200**Quarter ended 31 March 2026**

	£	£
Output tax:		
Sales ($£30,000 \times 1/6$)	5,000	
Samples	0	
		5,000
Input tax:		
Purchases ($£16,800 \times 1/6$)		(2,800)
VAT payable		2,200

**Tutorial note**

Business samples are not treated as taxable supplies and therefore no output VAT is payable in respect of them.

284 C**Quarter ended 31 March 2026**

	£
Output tax:	
Fuel scale charge ($£412 \times 1/6$)	69
Input tax:	
Fuel ($£1,200 \times 1/6$)	(200)
VAT reclaimable	(131)

**Tutorial note**

The input VAT in respect of the fuel is recoverable in full, despite the private use element. Output tax will be payable on the fuel scale charge to account for the private use.

285

	True	False
The date of the supply is not required on a simplified VAT invoice.		✓
A description of goods and services is required on a simplified VAT invoice.	✓	
A simplified VAT invoice can be provided when the consideration for the supply is less than £1,000.		✓
The amount of VAT payable on the supply is not required on a simplified VAT invoice.	✓	

**Tutorial note**

A simplified VAT invoice can be provided when the consideration for the supply is less than £250. A simplified invoice need only show the following information: supplier's name, address and VAT registration number; the date of supply; a description of the goods or services supplied; the consideration for the supply; the rate of VAT in force at the time of supply. The total amount payable needs to be shown on the invoice, but not the amount of VAT.

286 B

Chimney Ltd will have four penalty points after submitting the return for the quarter ended 31 January 2026 late. The company will therefore be charged a £200 penalty and another penalty will be charged if the following return is submitted late. Penalty points will only be reset to zero if Chimney Ltd submits all returns on time for the next twelve months.

Penalty points do not expire after two years once the threshold of four penalty points is reached.

287

Number of monthly payments	NINE ✓	TEN
Monthly payment amount	£4,770 ✓	£7,350

**Tutorial note**

Payments on account are made at the end of month's four to twelve on the annual accounting scheme. Each payment is 10% of the VAT liability for the previous year i.e. year ended 31 December 2024.

Each payment is therefore £4,770 (£47,700 × 10%).

288

	True	False
Input tax cannot be claimed until the invoice is paid which delays recovery of input VAT	✓	
Traders using the scheme do not have to pay output VAT to HMRC until they receive it from customers	✓	
To join the scheme the trader's expected taxable turnover (excluding VAT) for the next twelve months must not exceed £150,000		✓
The cash accounting scheme cannot be used where a trader issues an invoice in advance of supplying goods	✓	

To join the scheme a trader's taxable turnover (excluding VAT and sales of capital assets) for the next twelve months must not exceed £1,350,000.

289 £960

The flat rate percentage is applied to the tax inclusive turnover.

$$(\text{£}10,000 \times 120\%) \times 8\% = \text{£}960$$

290 B

The flat rate scheme applies a percentage to the VAT-inclusive total turnover including zero-rated sales.

	£
Standard-rated sales (£100,000 × 120%)	120,000
Zero-rated sales	30,000
Total VAT inclusive sales	150,000
VAT (£150,000 × 11%)	16,500

291 A

Marina accounts for output VAT of £2,000 as the goods would be standard-rated if supplied in the UK. She can claim back input VAT of £2,000 on the same return as the goods are used by a trader that only makes taxable supplies. The net effect on VAT payable is therefore nil.

**Tutorial note**

The rate of VAT in the overseas country is irrelevant. You should always use the rate of VAT in the UK for calculations.

292 C**Examiner's report**

The correct answer is C, because appeals relating to indirect taxes must be made directly to the Tribunal. Many candidates selected A, which is not correct because for direct taxes, appeals must first be made to HMRC.

This is a challenging question on tax administration, an area which candidates often appear to struggle with. Candidates are reminded of the importance of being prepared for questions on all aspects of the syllabus, including tax administration, which is an important aspect of TX-UK.

PRACTICE SECTION B OBJECTIVE TEST CASES

293 THIDAR (ADAPTED)**Key answer tips**

This question tests knowledge of a number of VAT issues.

There were some easy marks to be gained in the first two questions for a relatively straightforward compulsory registration computation and knowledge of the recovery of pre-registration input VAT.

The next two questions cover the administration of VAT, which again, would provide easy marks if the rules had been learnt.

The final question focuses on the recovery of input VAT, an area commonly tested.

1 A

	£
Total standard-rated sales for months 1 to 12	58,800
Total zero-rated sales for months 1 to 12	28,100
Total taxable supplies for months 1 to 12	86,900
	£
Total taxable sales for months 1 to 12	86,900
Less: Taxable supplies in month 1 (£3,500 + £0)	(3,500)
Add: Taxable supplies in month 13 (£2,900 + £1,000)	3,900
Total taxable supplies for months 2 to 13	87,300
	£
Total taxable sales for months 2 to 13	87,300
Less: Taxable supplies in month 2 (£0 + £2,000)	(2,000)
Add: Taxable supplies in month 14 (£3,300 + £1,800)	5,100
Total taxable supplies for months 3 to 14	90,400

2 D

The £1,800 advertising is more than six months prior to registration, and the £300 advertising has no VAT invoice, so there is no pre-registration VAT recoverable.

3 B

A VAT invoice must be issued within 30 days of making a taxable supply. VAT records (including VAT invoices) must normally be retained for six years.

4

Percentage penalty	0%	3% ✓	6%
Interest payable	Yes ✓	No	

**Tutorial note**

The VAT liability was due on 7 November 2025, but wasn't paid until 27 November 2025, and was therefore 20 days late. A penalty is payable on late paid VAT that is more than 15 days late. The penalty charged is 3% of the late paid VAT for payments between 16 and 30 days late. This penalty is given in the tax rates and allowances provided in the examination.

Interest is payable from the date the tax should have been paid to the actual date of payment.

5 C

	£
Irrecoverable input VAT	
Entertaining UK customers	160
Car leasing ($£700 \times 20\% \times 50\%$)	70

**Tutorial note**

VAT can only be recovered on entertaining staff and **overseas** customers.

Where a leased car has some private use, only 50% of the input VAT can be recovered. The level of the car's CO₂ emissions and the percentage of private use are irrelevant.

294 CANDY APPLE AND SUGAR PLUM (ADAPTED)


Walk in the footsteps of a top tutor

**Key answer tips**

This question is really two separate questions and tests knowledge of a number of VAT issues.

There were some easy marks to be gained in the first part for a relatively straightforward compulsory registration computation and knowledge of the implications of late registration.

The second part of the question is purely computational and tests your knowledge of output and input VAT, including the rules for pre-registration input VAT.

1 D

Candy was liable to compulsory register for VAT when her taxable supplies during any 12-month period exceeded £90,000.

This happened on 31 October 2025 when taxable supplies amounted to £90,100 (£11,200 + £11,200 + £11,200 + £11,200 + £15,100 + £15,100 + £15,100).

Candy was required to notify HMRC within 30 days of the end of the month in which the threshold was exceeded (i.e. 30 November 2025) and was registered, and required to charge VAT on taxable supplies, from the first day of the second month after her taxable supplies exceeded the threshold (i.e. from 1 December 2025).

2

	True	False
A late filing penalty will be charged for late registration		✓
Candy must account to HM Revenue & Customs for output tax at 20/120 of the value of sales from the date that she should have been registered from	✓	
Candy must issue VAT invoices charging her customers the VAT that she should have charged on sales from the date she should have been registered by		✓

**Tutorial note**

A late registration penalty may be charged. A late submission penalty applies for filing a return late (which is also consequence of the late registration); but that is separate from the penalty for late registration.

Output VAT must be accounted for to HM Revenue & Customs from the date that she should have been registered. Sales from the date of compulsory registration are treated as VAT-inclusive (even though VAT was not actually charged to customers). Candy can try to recover the VAT that she should have charged from customers but is not required to do so by HM Revenue & Customs and indeed it may not be possible.

3 **£10,740**

	£
Output VAT	
Standard-rated sales ($£53,700 \times 20\%$)	10,740
Zero-rated sales ($£23,100 \times 0\%$)	0
	10,740

4 **A**

	£
Input VAT	
Electricity ($£49 \times 1/7$)	7
Furniture ($£1,500 \times 95\% \times 20\%$)	285
	292

**Tutorial note**

Where services are used partly for private and partly for business use, an apportionment is made to calculate the recoverable input VAT.

5 D

	£
Pre-registration input VAT	
Consultancy fees (£375 × 20%)	75
Inventory (£1,000 × 20%)	200
	275

**Tutorial note**

Pre-registration input VAT can be reclaimed on:

- *services supplied within the six months prior to registration, and*
- *inventory acquired for business purposes in the four years prior to registration that has not been sold at the time of registration.*

295 LITHOGRAPH LTD (ADAPTED)

**Key answer tips**

The first two questions in this case test your knowledge of the VAT annual accounting scheme.

The other three questions require fairly standard calculations of output VAT and input VAT, including relief for impaired debts.

1

	First POA	Last POA
April 2024		
May 2024		
June 2024		
July 2024	✓	
January 2025		
February 2025		
March 2025		✓
April 2025		

**Tutorial note**

Lithograph Ltd will have made nine payments on account, and these will have been paid in the months of July 2024 to March 2025, being months 4 to 12 of the annual VAT return period.

2 D

The payments on account are 10% of the VAT payable for the previous year, i.e. the year ended 31 March 2024.

The annual VAT return is due two months after the end of the VAT period, i.e. 31 May 2025.

3 C

	£
Output VAT	
Car scale charge ($£2,049 \times 20/120$)	342
Office equipment ($£8,000 \times 20\%$)	1,600
	1,942

**Tutorial note**

For transactions quoted inclusive of VAT, the VAT is calculated as 20/120 (or 1/6).

4 £10,400

	£
Input VAT	
Expenses ($£28,000 \times 20\%$)	5,600
Machinery ($£24,000 \times 20\%$)	4,800
	10,400

**Tutorial note**

Input VAT on business entertainment is not recoverable unless it relates to overseas customers.

Input VAT cannot be recovered in respect of the car as this is not used exclusively for business purposes.

5 D

	£
Recoverable VAT	
Impaired debt 1 ($£4,800 \times 1/6$)	800
Impaired debt 2 – not recoverable	0
	800

**Tutorial note**

Relief for impaired debts is available where the claim is made more than six months from the time that payment was due, and the debt has been written off in the company's books.

The VAT on the second impaired debt cannot be recovered until the VAT return for the year ended 31 March 2027.

296 ALISA (ADAPTED)

*Walk in the footsteps of a top tutor***Key answer tips**

This question covers many areas of VAT that are commonly tested in the examination.

Compulsory registration, pre-registration input VAT and the recoverability of input VAT are topics students should be well prepared for.

There are two questions relating to VAT administration. The first, regarding the payment of VAT, should be an easy two marks. The second, relating to the requirements on a VAT invoice may not be as commonly tested, but can hopefully be answered from general knowledge.

1 B

	£
January to April 2025 ($£8,000 \times 4$)	32,000
May to August 2025 ($£10,500 \times 4$)	42,000
September 2025	16,500
Total sales to September 2025	90,500

**Tutorial note**

Taxable turnover exceeded the VAT registration threshold by 30 September 2025. Alisa should therefore have notified HMRC by 30 October 2025, with registration effective from 1 November 2025.

2 D

	£
Website design: $(6 \times £240 \times 1/6)$	240
Advertising: $(6 \times £180 \times 20\%)$	216
Total pre-registration input VAT recoverable	456

**Tutorial note**

Pre-registration input VAT is recoverable in respect of services supplied in the six months prior to registration.

3 £180

	£
Repairs $(£456 \times 1/6)$	76
Fuel $(£624 \times 1/6)$	104
Maximum input VAT recoverable	180

**Tutorial note**

The input VAT in respect of the fuel is recoverable in full, despite the private use element. Output tax will be payable on the fuel scale charge to account for the private use.

The VAT charged on the purchase of the car cannot be recovered but VAT incurred in relation to repairing the car can be.

4 D

**Tutorial note**

All businesses must make their VAT payments electronically and this must be done no later than one month and seven days after the end of the quarter, i.e. 7 May 2026.

5

	Include
The customer's VAT registration number	
An invoice number	✓
The customer's address	✓
Date of delivery of the goods	
A description of the services supplied	✓
The price inclusive and exclusive of a prompt payment discount	

**Tutorial note**

A customer's VAT registration number is not required to be included on a valid VAT invoice. The date of delivery of the goods is not automatically required, although this may be the same date as the tax point, which is required. It is not necessary to include the price inclusive and exclusive of a prompt payment discount, although some traders choose to include this to ensure the purchaser accounts for the correct amount of VAT.

297 THE WHITLOCK SISTERS (ADAPTED)



Walk in the footsteps of a top tutor

**Key answer tips**

The first two questions test the straightforward computation of the VAT payable using the flat rate scheme percentage, and then the VAT that would have been payable if the normal basis had been used, and should have provided easy marks to a well-prepared student.

Be careful to read the question carefully though to ascertain whether the figures given are inclusive or exclusive of VAT.

The third question tests more of the details regarding the flat rate scheme – this sort of question can only really be answered if the rules have been learnt.

The final two questions test tax points in respect of services and entertaining expenses.

1 D

Using the flat rate scheme to calculate its VAT liability the partnership will have paid VAT of £7,800 ($£50,000 + £10,000$) $\times$ 13% for the quarter.

**Tutorial note**

Under the flat rate scheme, VAT is calculated by applying a fixed percentage to the turnover figure inclusive of VAT and including any exempt or zero-rated supplies. Expenses and purchases are not relevant.

2 £3,783

If the partnership had used the normal basis it would have paid VAT of £3,783 ($(£50,000 - £27,300) = £22,700 \times 20/120$).

**Tutorial note**

- 1 Calculate the VAT element of VAT-inclusive prices using either 1/6 or 20/120 of the VAT-inclusive price.
- 2 Output tax is not charged on exempt supplies.

3

	True	False
To join the scheme expected taxable turnover (including VAT) for the next 12 months must not exceed £150,000		✓
The scheme can only be used by small unincorporated businesses		✓
A business must leave the scheme if total VAT-inclusive turnover exceeds £230,000	✓	
VAT must still be charged on standard-rated sales invoices at the rate of 20%	✓	

**Tutorial note**

*To join the scheme expected taxable turnover (**excluding** VAT) for the next 12 months must not exceed £150,000.*

The scheme can be used by both small unincorporated and incorporated businesses.

4

Deposit

When the deposit is paid

Balancing payment

Invoice date

The basic tax point date (BTP) is the date when the service is completed, which will be the date that the room is used, i.e. the day of the room hire.

In respect of the 25% deposit the BTP is overridden by a payment before the BTP and that payment date becomes the actual tax point.

In respect of the 75% balancing payment the BTP is not overridden by either a payment or an invoice being issued before the BTP. However, as the invoice is issued within 14 days of the BTP, the invoice date becomes the actual tax point.

**Tutorial note**

For services, the basic tax point (BTP) is the date the service is provided/completed.

The actual tax point (ATP) can be either before or after the BTP.

The ATP will be before the BTP if:

- *An invoice is issued before the BTP, or*
- *A payment is received before the BTP (as in this case with the deposit payments).*

The ATP will be after the BTP if:

- *An invoice is issued within 14 days of the BTP, or*
- *The business has an agreement with HMRC for a different date (typically businesses agree a month end invoicing policy so that the invoice date is usually the ATP).*

5 D

**Tutorial note**

*Input VAT incurred on business entertaining cannot be recovered, with the exceptions of staff entertaining and entertaining overseas **customers**.*

298 KNIGHT LTD (ADAPTED)

*Walk in the footsteps of a top tutor***Key answer tips**

This question covers a variety of VAT topics. Firstly, it deals with the VAT return looking at output VAT and then input VAT separately. The third question looks at impairment loss relief, and tests the detailed rules regarding what is recoverable. The fourth question tests the rules regarding VAT groups. Finally, the fifth question relates to the penalty system.

1 A

	£
Output VAT	
Sales (Note 1)	38,210
Fuel scale charge ($£279 \times 20/120$) (Note 2)	47
	38,257

**Tutorial note**

- The tax point for the deposit is the date of payment (as payment is received before the basic tax point), so no adjustment is required to the output VAT figure of £38,210.*
- The fuel scale rate is quoted inclusive of VAT. The VAT element can be calculated as 20/120 of the scale figure, or as a short cut, you can use 1/6.*

2 C**Input tax – Sundry expenses**

	£
Entertaining UK customers (Note 1)	0
Entertaining overseas customers (Note 1)	139
New reception area (Note 2)	3,300
Other sundry expenses (all recoverable)	9,121
	12,560

**Tutorial note**

- 1 Input VAT on business entertainment is not recoverable unless it relates to the cost of entertaining staff or **overseas** customers.
- 2 Input tax is recoverable on the extension (capital expenditure). There is no distinction between capital and revenue for VAT purposes.

3 £0

**Tutorial note**

Relief is only available for the impairment loss provided that both six months has passed from the time that payment was due and the debt has been written off in the seller's accounts.

Claims must be made within four years and six months of the payment being due.

4

	True	False
If Knight Ltd forms a VAT group it must include both Are Ltd and Can Ltd		✓
Standard-rated supplies made by Knight Ltd to other VAT group members will be ignored for VAT purposes	✓	
Knight Ltd will become the representative member of the VAT group and will be required to submit one VAT return for the whole group		✓
Each group member will remain liable for its share of the VAT payable		✓

**Tutorial note**

Are Ltd and Can Ltd can form a group with Knight Ltd for VAT purposes as they are under the control of Knight Ltd and all of the companies are UK resident. However, eligible companies are not automatically included in the group. Either Are Ltd or Can Ltd may be excluded.

There will be no need to account for VAT on goods and services supplied between group members. Such supplies will simply be ignored for VAT purposes.

The group must appoint a representative member who will be responsible for completing one VAT return for the group. However, the representative could be any of the group companies.

Each group member is jointly and severally liable for the VAT payable by the whole group, not just its share.

5 C

**Tutorial note**

The late submission for the quarter ended 31 March 2024 is irrelevant, as it was more than two years ago and therefore the penalty point has expired (as the penalty threshold was not reached).

The late submissions for the quarters ended 31 December 2024, 30 September 2025 and 30 June 2026 each result in one penalty point.

As Knight Ltd has three penalty points, no penalty will be charged. Knight Ltd will have zero penalty points once all the current points have expired, i.e. two years from 30 June 2026, which is 30 June 2028.

299 ARDENT (ADAPTED)

**Walk in the footsteps of a top tutor****Key answer tips**

This question covers a variety of VAT topics that are frequently tested, along with the recently introduced system, making tax digital (MTD). Pre-registration input VAT is a very common examination topic so make sure that you know the specific rules, as you are unlikely to be able to correctly guess them!

1

	True	False
MTD software is used to print out returns which can then be sent to HMRC		✓
The usual VAT return and payment submission dates apply	✓	
Although returns are produced automatically, the business is still responsible for checking them	✓	
The rules apply to all VAT registered businesses, including those with taxable supplies below the VAT registration threshold	✓	

**Tutorial note**

From 1 April 2025 all VAT registered businesses are required to use MTD, whether or not their turnover exceeds the registration threshold. This means that from that date, any business not already registered for MTD will now have to keep their VAT records digitally and provide their VAT return information to HMRC through MTD compatible software.

2 A

Input VAT re. advertising – 1 July 2025 – 31 Dec 2025 ($£120 \times 6$)	£720
Laptop still in use at registration	£200

**Tutorial note**

*Input VAT incurred on services in the **six months** prior to registration can be recovered provided the services were supplied for business purposes. The input VAT incurred on advertising costs from 1 April to 30 June is therefore not recoverable.*

Input VAT incurred on the acquisition of goods for business purposes can be recovered provided the goods are acquired no more than four years prior to registration and the goods are still held at the date of registration. This rule applies equally to capital items as well as current assets such as inventory and consumables.

3 £15,740

	£
Output VAT:	
Standard-rated sales ($£125,700 \times 20\%$)	25,140
Input VAT:	
Standard-rated invoices ($£56,400 \times 1/6$)	(9,400)
VAT payable	15,740

**Tutorial note**

The VAT incurred from the point of registration is recoverable regardless of whether the goods are still in inventory at the end of the VAT quarter. This is only relevant when determining whether pre-registration input VAT is recoverable.

4 B**Tutorial note**

All businesses must file their VAT return and pay VAT electronically.

The deadline for filing and payment is one month and seven days after the end of the quarter.

5

		Period	
		One year	Two years
VAT scheme	Annual accounting		✓
	Cash accounting		
	Flat rate		

**Tutorial note**

Penalty points expire after two years, provided the penalty threshold has not been reached.

As the annual accounting scheme reduces the administrative compliance burden of filing quarterly returns this may help Ardent Ltd to avoid further late submissions.

300 DENZIL DYER (ADAPTED)**Key answer tips**

A question ranging over a number of VAT issues. Make sure you attempt all questions.

This questions tests a number of the fundamental rules of VAT, such as the different types of supply, recovery of input VAT and the issuing of VAT invoices.

There are also two calculations required. Make sure you are careful to answer the question asked.

1

	True	False
Output VAT is only due in respect of standard-rated supplies.	✓	
Incorrectly classifying a supply as zero-rated would not remove Denzil's liability to pay the output VAT which is calculated on the actual price charged. This would then be an additional cost to the business.	✓	
The type of supply, whether standard-rated or zero-rated, has no effect on the recovery of input VAT for Denzil.	✓	

2 B

	£
Net after prompt payment discount ($£500 \times 95\%$)	475
VAT payable ($£475 \times 20\%$)	95
Total price paid by Tracey	570

**Tutorial note**

Prompt payment discounts are applied (if the customer qualifies for them) before calculating the VAT payable. As the price is exclusive of VAT, the VAT is calculated at 20%. The amount paid by Tracey will include the VAT.

3 A and B

**Tutorial note**

Denzil can recover input VAT on purchases paid for in cash as long as he receives a VAT invoice. Denzil must use the goods or services supplied for business purposes, although an apportionment can be made where supplies are acquired partly for business purposes and partly for private purposes (except in the case of the purchase of a car).

4 **£133**

Printing supplies: $£800 \times 1/6 = £133$ input VAT.

**Tutorial note**

The supply must be supported by evidence, normally in the form of a VAT invoice. Denzil will therefore not be able to recover any input VAT in respect of the purchases of office supplies for cash, where there is no invoice.

5 B and D

**Tutorial note**

Denzil must issue a VAT invoice when he makes a standard-rated supply to one of his VAT registered customers. A VAT invoice is not required if the supply is zero-rated or the supply is to a non-VAT registered customer (e.g. a member of the public) – then an invoice need not be issued unless the customer requests.

301 KRISTEL**Key answer tips**

This question requires the calculation of output VAT on sales, input VAT on purchases, and additional output VAT on goods taken for own use, along with knowledge of simplified VAT invoice requirements and the flat rate scheme.

When calculating output VAT on sales, make sure you carefully consider the impact of prompt payment discounts. For input VAT, be aware of the restrictions on recoverability and the rules regarding services purchased from overseas suppliers.

For goods taken from inventory for personal use, consider which figure output VAT should be charged on. When dealing with simplified VAT invoices, you will need to recall the essential information that must be included and what can be omitted.

Finally, for the flat rate scheme, you should understand that VAT is calculated by applying a specific flat rate percentage, but it is identifying the correct figure to apply that percentage to which is the key point.

1 D

	£
Output VAT on standard-rated sales ($(£7,200 - £140) \times 20\%$)	1,412
Output VAT on zero-rated sales ($(£1,600 - £90) \times 0\%$)	0
Total output VAT	1,412

2 B

	£
Input VAT on marketing services ($£220 \times 20\%$)	44
Input VAT on car	0
Total input VAT	44

**Tutorial note**

Input VAT is reclaimable on marketing services only. The same amount would be accounted for as output VAT under the reverse charge procedure, since the marketing services were supplied by a company situated overseas, however the question only asks for the input VAT figure.

No VAT can be reclaimed in respect of the car since it is used partly for private purposes.

3 B

$$£90 \times 20\% = £18$$

**Tutorial note**

Where goods are removed from a business for personal purposes, a taxable supply arises and the value of that supply of goods for VAT purposes is the replacement value.

4 D**Tutorial note**

A less detailed VAT invoice does not need to show the total amount of VAT charged. The other items must appear on a simplified invoice.

5 A

	£
Standard-rated sales inclusive of VAT ($£26,250 \times 120\%$)	31,500
Zero-rated sales	6,300
Total taxable supplies	37,800

$$\text{VAT payable to HMRC} = £37,800 \times 8.5\% = £3,213$$

**Tutorial note**

Under the flat rate scheme, the VAT payable is calculated by applying the flat rate percentage to the total taxable supplies of the business.

302 LIAN**Key answer tips**

This is a typical VAT question with lots of calculations, which many learners prefer. It tests the tax point date, relief for impairment losses, penalties for late submission, annual accounting and services acquired from overseas.

1 D

The payment of the deposit on 28 September would have been included in the quarterly return to 30 September 2025.

The delivery of the equipment on 23 December 2025 is the basic tax point but because the invoice was raised within 14 days of this, the invoice date becomes the actual tax point, being 3 January 2026. This will be reported in the quarterly return to 31 March 2026 and not in the return to December 2025.

2 B

Since the claim for the impairment loss is made more than six months after the due date for payment of 18 June 2025, this output VAT can be reclaimed. The payment due dates for the other two invoices are not outstanding for more than six months as at 31 December 2025.

3 A

The penalty point in respect of the first late submission for the quarter ended 31 December 2022 will have expired after two years (i.e. by 31 December 2024) as at that point the threshold of four points had not been reached. The late submissions for the quarters ended 31 June 2024 and 31 December 2024 each incur a penalty point. Therefore, the late submission for the quarter ended 31 December 2025 incurs the third penalty point and there will not yet be a financial penalty.

No penalty for late payment is charged if VAT is paid within 15 days of the due date. The payment was due on 7 February 2026 and made on 20 February 2026, therefore no penalty is payable.

4 B

Since only one VAT return is submitted each year under the annual accounting scheme the reduced administration means that penalties could be avoided in respect of late submissions. Lian would also have an extra month to submit her return which would also help with this.

**Tutorial note**

It is the cash accounting scheme which gives automatic relief for impairment losses.

The same amount of VAT is paid under the annual accounting scheme, but over nine monthly instalments with a balance paid at the same time as the annual return is submitted.

There are instalment payments and a balancing payment under annual accounting.

5 D

The services are deemed to be supplied where received, that is the UK. VAT will be accounted under the reverse charge process with 20% of £4,000 entered as output VAT and 20% of £4,000 entered as input VAT.

**Tutorial note**

The overseas rate of VAT will never apply to a supply of services in the UK.

303 MABEL**Key answer tips**

This VAT question tests the calculation of output VAT when discounts are available and the recovery of input VAT when there are entertaining and private costs, both of which are commonly tested areas. The remaining three questions relate to deregistration, the sale of a business and the impact of a sale as a going concern. These topics are less commonly tested but would not present too much difficulty to a well-prepared student.

1 A

	£
Sales paid after 14 days ($£98,000 \times 40\% \times 20\%$)	7,840
Sales paid within 14 days ($£98,000 \times 60\% \times 90\% \times 20\%$)	10,584
Output VAT payable	18,424

**Tutorial note**

60% of customers receive the 10% discount and therefore the calculation of the VAT is based on 90% of the selling price. VAT is calculated on the exclusive of VAT sales figures and is therefore at 20%.

2 C

$$(\pounds 35,700 - \pounds 690 - (\pounds 900 \times 20\%)) \times 20/120$$

**Tutorial note**

Input VAT is allowable on entertaining **overseas customers** but not for entertaining UK customers. Input VAT is also not allowable on the private element of the telephone calls.

3 B

HMRC should be notified within 30 days of ceasing to make taxable supplies, and the VAT registration is cancelled from the date of cessation.

4 D

$7,400 \times 20\% = \pounds 1,480$ being the VAT on the office equipment.

The computer equipment has already been sold and so is no longer held by Mabel. No VAT will have been reclaimed on the car, because it is used for both business and private use, and therefore there will be no output tax to account for.

5 A

**Tutorial note**

The new owner can either take over Mabel's VAT registration, or they may already be registered. There is no requirement that they must take over Mabel's registration.

Only if the new owner chooses to take over Mabel's VAT registration they will also take over Mabel's past liabilities (e.g. if she has previously submitted an incorrect return).

Mabel will still have to prepare a VAT return up to the cessation of trade.

PRACTICE SECTION C CONSTRUCTED RESPONSE QUESTIONS

304 SILVERSTONE LTD (ADAPTED)

*Walk in the footsteps of a top tutor***Key answer tips**

This is a classic ten mark VAT question. A number of easy marks are available for the key facts and advantages of the VAT cash accounting and annual accounting schemes, provided they are related to the particular circumstances of Silverstone Ltd.

Part (b) covers the overseas aspects of VAT which is relatively straightforward provided the rules have been learnt.

**Tutor's top tips**

Part (a) – Read the requirement carefully – you are required to explain why the company can use the schemes and why they will be beneficial. Make sure that you take account of and refer to the specific circumstances of the company and do not just write about the schemes in general.

In part (b) use headings in your answer so that it is clear which points relate to each type of supplier and remember to deal with both when and how to account for VAT for each supplier.

(a) Cash accounting scheme and annual accounting scheme

- Silverstone Ltd can use both schemes because its expected taxable turnover for the next 12 months does not exceed £1,350,000 exclusive of VAT.
- In addition, for both schemes the company is up to date with its VAT payments and VAT returns, and for the cash accounting scheme it has not committed any VAT offences in the last 12 months.
- With the cash accounting scheme, output VAT will be accounted for two months later than at present since the scheme will result in the tax point becoming the date that payment is received from customers.
- The recovery of input VAT on expenses will not be affected as these are paid in cash.
- With the annual accounting scheme, the reduced administration in only having to file one VAT return each year should save on overtime costs.

(b) 1 Purchase of machinery

- Silverstone Ltd will have to account for output VAT of £4,400 (£22,000 × 20%) on the VAT return covering the date the goods were imported.
- This will then be reclaimed as input VAT on the same VAT return.

2 Overseas sales

- The overseas sales will be treated as zero-rated supplies.

**Tutorial note**

The rate of VAT that would normally apply to sales is irrelevant where they are made to overseas customers. The supplies will be treated as zero-rated in the UK – the overseas customer will account for the sales tax in their own country.

ACCA Marking scheme		
		Marks
(a)	Both schemes – Expected taxable T/O for next 12 months ≤ £1,350,000	1.5
	– up to date with VAT payments	0.5
	– up to date with VAT returns	0.5
	Cash accounting – no convictions	0.5
	Cash accounting – output tax accounted for two months later	1.0
	Cash accounting – input tax recovery not affected	1.0
	Annual accounting – reduced admin (only one return a year)	1.0
		6.0
(b)	1 Purchase of machinery	
	Account for output tax	1.0
	On VAT return covering importation	1.0
	Reclaim as input tax on same VAT return	1.0
	2 Overseas sales zero-rated	1.0
		4.0
Total		10.0

Examiner's report

The first requirement was reasonably well answered, although candidates had a tendency to write everything they knew about the two schemes rather than tailoring their answers to the information given in the question.

The comments on the second requirement have been deleted as they relate to a part of the question that has been adapted since it was first set.

305 TARDY PLC (ADAPTED)



Walk in the footsteps of a top tutor



Key answer tips

This question has four requirements covering various administrative aspects including penalties and interest, accounting for supplies of services, disclosure of VAT errors and penalties for errors. All these aspects should be manageable provided you have learnt the detailed administration rules. However, make sure you are guided by the marks available, that you answer the specific question asked and that you base your answer on the facts in the question, not everything you know about VAT!

In the answers the highlighted words are key phrases that markers are looking for.

(a) Penalties



Tutor's top tips

There are multiple separate requirements here – to advise of the penalty implications of a further late submission; to advise of the penalty and interest implications of a further late payment and to state what the company needs to do to avoid future penalties. You must make sure you deal with each requirement and give four clear points to get the four marks available.

Penalties are tested relatively frequently. The key points to grasp are that there is no penalty for late submission until the business has four penalty points, but once it has four points, penalties are payable on each subsequent late submission until the points revert to zero.

The amount of the penalty needs to be learnt as they are not included in the Tax Rates and Allowances provided in the examination.

And to avoid further penalties, the company will need to submit 4 consecutive returns on time.

In respect of late payment of VAT, both interest and penalties may be payable. The details of these are provided in your tax tables.

- Tardy plc has already got three penalty points, so a late submission of the next return will result in four penalty points and therefore a penalty of £200 being charged.
- VAT being paid more than 30 days late will result in a penalty of 6% of the overdue VAT, plus a daily penalty at an annual rate of 10%.
- Late payment interest will also be charged at 8.5% for the period until the VAT is paid.
- In order to avoid future penalties, Tardy plc will need to submit four consecutive VAT returns on time, the penalty points will then revert to zero.

(b) Supply of services***Tutor's top tips***

*This part also has two requirements, **when** and **how** the VAT should be accounted for. It would be easy to miss the first part of this requirement, which is actually about tax points, rather than overseas supplies. Note that the question relates to services, not goods, and therefore the tax point rules are different.*

The second requirement requires an explanation of the reverse charge procedure, by which VAT is accounted for in the country where the services are carried out.

- VAT should be accounted for on the earliest of the date when the service is completed, the date the service is paid for, and the date the invoice is issued.
- Output VAT at the UK VAT rate should be declared on the UK business's VAT return.

This will then be reclaimed as input VAT on the same VAT return, so the effect will be VAT neutral.

This is known as the reverse charge procedure.

(c) Errors on a VAT return***Tutor's top tips***

The requirement here is to explain why the error can be disclosed on the next return, which means applying the de minimis test to the amount of the error. Since the error is less than £10,000, the company's turnover figure is not required.

- Tardy plc will be permitted to disclose the underpayment of VAT of £8,200 by entering this amount on its next VAT return as the net error is less than the limit of £10,000.

(d) VAT penalties**Tutor's top tips**

This question covers the standard penalty for an incorrect return. The same penalty system applies to income tax, NICs, corporation tax and VAT and could be tested in relation to any of those taxes. Note that the penalties for errors are included in the Tax Rates and Allowances provided in the examination.

Here you are asked for the maximum amount of the penalty, which depends upon the taxpayer's behaviour and also by how much it could be reduced by an unprompted disclosure. Again, make sure you cover both points in your answer.

- Tardy plc has been careless in its incorrect treatment of the supply of services received, so the maximum amount of penalty will therefore be 30% of the VAT underpaid ($£8,200 \times 30\% = £2,460$).
- However, this penalty could be reduced to £0 as a result of the company's unprompted disclosure to HM Revenue & Customs.

ACCA Marking scheme	
	Marks
(a) Four penalty points – £200 penalty	1.0
Penalty for paid VAT more than 30 days late – 6%	1.0
Interest payable on late paid VAT	1.0
Need to submit four consecutive quarterly returns on time	1.0
	4.0
(b) Earlier of service completion and payment date	1.0
Declare output VAT on UK VAT return	1.0
Reclaim input VAT on same return	1.0
	3.0
(c) Can disclose on return as less than £10,000	1.0
(d) Careless therefore maximum penalty 30%	1.0
Can be reduced to £0	1.0
	2.0
Total	10.0

306 ZIA

*Walk in the footsteps of a top tutor***Key answer tips**

A classic VAT question covering the preparation of a VAT return and the flat rate scheme.

Part (a) requires the calculation of VAT payable by a sole trader for a year.

Part (b) considers why the flat rate scheme may be an option and requires knowledge of the conditions.

Part (c) requires a calculation to prove whether or not it would be advantageous to join the scheme.

The highlighted words in parts (b) and (c) are key phrases that markers are looking for.

**Tutor's top tips**

In this type of question, read the question carefully and find out whether the figures given are inclusive of VAT (as in this question) or exclusive of VAT.

(a) Value added tax (VAT) – year ended 31 March 2026

	£	£
Output VAT		
Sales – Standard-rated ($£115,200 \times 20/120$)		19,200
– Zero-rated		0
Input VAT		
Impairment losses ($(£780 + £660) \times 20/120$)	240	
Purchases – Standard rate ($£43,200 \times 20/120$)	7,200	
– Zero-rated	0	
Rent ($(£1,200 \times 13) \times 20/120$)	2,600	
Telephone ($£2,600 \times 60\% \times 20/120$)	260	
Entertaining – UK customers	0	
– Overseas customers ($£240 \times 20/120$)	40	
		(10,340)
VAT payable		8,860

**Tutorial note**

- 1 *Relief for impairment losses is given once six months have expired from the time the payment was due. Accordingly, relief can be claimed in respect of both impairment losses.*
- 2 *Rent is a continuous supply; therefore, the tax point for the April 2026 rental invoice is the date of payment (as this is before the invoice date). Therefore, input VAT is recoverable in respect of all 13 rental payments in the year ended 31 March 2026.*
- 3 *An apportionment is made where a service such as the use of a telephone is partly for business purposes and partly for private purposes.*
- 4 *Input VAT on business entertainment is not recoverable unless it relates to the cost of entertaining staff or overseas customers.*

(b) Flat rate scheme – conditions**Tutor's top tips**

Make sure you memorise the conditions and thresholds for the various VAT schemes which provide easy marks as long as you have learnt them.

This requirement has two parts (joining and leaving the flat rate scheme), so be sure that you address both parts.

- Zia can join the flat rate scheme from 1 April 2026 because his taxable turnover (excluding VAT) for the next 12 months is not expected to exceed £150,000.
- He can continue to use the scheme until his total turnover (including VAT, but excluding sales of capital assets) for the previous year exceeds £230,000.

**Tutorial note**

It is also necessary to leave the flat scheme if total turnover is expected to exceed £230,000 during the following 30 days.

Although candidates are not expected to be aware of this point, equivalent marks were awarded if this was given instead of the previous year limit.

(c) Flat rate scheme – benefits**Tutor's top tips**

The notes underneath the requirement give a strong hint to recalculate the liability using the flat rate given. Remember to then conclude whether or not it would have been beneficial to have used the scheme.

- Using the flat rate scheme to calculate his VAT liability, Zia would have paid VAT of £15,120 ($£126,000 \times 12\%$) for the year ended 31 March 2026.
- It would therefore not have been beneficial to use the flat rate scheme as the additional cost of £6,260 ($£15,120 - £8,860$) for the year would appear to outweigh the advantage of simplified VAT administration.

**Tutorial note**

Under the flat rate scheme Zia would be required to pay the flat rate percentage of his VAT-inclusive turnover (including zero-rated supplies) with no deductions for input VAT.

ACCA Marking scheme	
	Marks
(a) Sales – standard-rated	0.5
Sales – zero-rated	0.5
Impairment losses	1.0
Purchases – standard-rated	0.5
Purchases – zero-rated	0.5
Rent	1.0
Telephone	1.0
Entertaining – UK customers	0.5
Entertaining – overseas customers	0.5
	6.0
(b) Taxable turnover will not exceed £150,000	1.0
Can continue until total turnover exceeds £230,000	1.0
	2.0
(c) Liability under flat rate scheme	1.0
Conclusion	1.0
	2.0
Total	10.0

Section 11

SPECIMEN EXAM QUESTIONS

TAXATION – UNITED KINGDOM (TX UK) – SPECIMEN EXAM

Time allowed: This specimen exam is not timed.

This exam is divided into three sections:

SECTION A

- 15 objective test (OT) questions, each worth 2 marks.
- 30 marks in total.

SECTION B

- Three OT cases, each containing a scenario which relates to five OT questions, each worth 2 marks.
- 30 marks in total.

SECTION C

- Three constructed response questions, each containing a scenario which relates to one or more requirement(s).
- Each constructed response question is worth 10 or 15 marks in total.
- 40 marks in total.

All questions are compulsory.

TAXATION – UNITED KINGDOM (TX UK) – SPECIMEN EXAM

SECTION A

This section of the exam contains **15 objective test (OT) questions**.

Each question is worth **2 marks** and is compulsory.

This exam section is worth **30 marks** in total.

Important:

1 Calculations and workings need only be made to the nearest £.

2 All apportionments should be made to the nearest month.

1 William is self-employed, and his tax adjusted trading profit for the year ended 5 April 2026 was £82,700. During the tax year 2025/26, William contributed £5,400 (gross) into a personal pension scheme.

What amount of class 4 national insurance contributions (NIC) will William pay for the tax year 2025/26?

A £4,208

B £2,911

C £2,803

D £3,884

2 You are a trainee Chartered Certified Accountant and your firm has a client who has refused to disclose a chargeable gain to HM Revenue & Customs (HMRC).

From an ethical viewpoint, which TWO of the following actions could be expected of your firm?

1 Reporting under the money laundering regulations

2 Advising the client to make disclosure

3 Informing HMRC of the non-disclosure

4 Warning the client that your firm will be reporting the non-disclosure

3 Martin is self-employed, and for the year ended 5 April 2026 his trading profit was £111,100. During the tax year 2025/26, Martin made a gift aid donation of £800 (gross) to a national charity.

What amount of personal allowance will Martin be entitled to for the tax year 2025/26?

£

- 4 For the year ended 31 March 2026, Halo Ltd made a trading loss of £180,000.
- Halo Ltd has owned 100% of the ordinary share capital of Shallow Ltd since it began trading on 1 July 2025. For the year ended 30 June 2026, Shallow Ltd will make a trading profit of £224,000.
- Neither company has any other taxable profits or allowable losses.
- What is the maximum amount of group relief which Shallow Ltd can claim from Halo Ltd in respect of the trading loss of £180,000 for the year ended 31 March 2026?**
- A £180,000
 - B £168,000
 - C £45,000
 - D £135,000
- 5 For the year ended 31 March 2025, Sizeable Ltd had taxable total profits of £820,000, and for the year ended 31 March 2026 had taxable total profits of £970,000. The profits accrue evenly throughout the year.
- Sizeable Ltd has had one associated company for many years.
- How will Sizeable Ltd pay its corporation tax liability for the year ended 31 March 2026?**
- A Nine instalments of £20,500 and a balancing payment of £58,000
 - B Four instalments of £60,625
 - C Four instalments of £51,250 and a balancing payment of £37,500
 - D One payment of £242,500
- 6 For the year ended 31 December 2025, Lateness Ltd had a corporation tax liability of £60,000, which it did not pay until 31 March 2027. Lateness Ltd is not a large company.
- How much interest will Lateness Ltd be charged by HM Revenue & Customs (HMRC) in respect of the late payment of its corporation tax liability for the year ended 31 December 2025?**
- A £2,550
 - B £5,100
 - C £850
 - D £1,275
- 7 On 26 November 2025, Alice sold an antique table for £8,700. The antique table had been purchased on 16 May 2021 for £3,800.
- What is Alice's chargeable gain in respect of the disposal of the antique table?**
- A £4,500
 - B £1,620
 - C £4,900
 - D £0

- 8 On 14 November 2025, Jane made a cash gift to a trust of £800,000 (after deducting all available exemptions). Jane paid the inheritance tax arising from this gift. Jane has not made any other lifetime gifts.

What amount of lifetime inheritance tax would have been payable in respect of Jane's gift to the trust?

£

- 9 During the tax year 2025/26, Mildred made four cash gifts to her grandchildren:

For each of the gifts listed below, select whether the gift will be exempt or not from inheritance tax under the small gifts exemption.

£400 to Alfred	EXEMPT	NOT EXEMPT
£140 to Minnie	EXEMPT	NOT EXEMPT
A further £280 to Minnie	EXEMPT	NOT EXEMPT
£175 to Winifred	EXEMPT	NOT EXEMPT

- 10 For the quarter ended 31 March 2026, Zim had standard-rated sales of £49,750 and standard-rated expenses of £22,750. Both figures are exclusive of value added tax (VAT).

Zim uses the flat rate scheme to calculate the amount of VAT payable, with the relevant scheme percentage for her trade being 12%. The percentage reduction for the first year of VAT registration is not available.

How much VAT will Zim have to pay to HM Revenue & Customs (HMRC) for the quarter ended 31 March 2026?

- A £5,970
- B £3,240
- C £5,400
- D £7,164

- 11 **Which TWO of the following assets will ALWAYS be exempt from capital gains tax?**

- 1 A car suitable for private use
- 2 A chattel
- 3 A UK Government security (gilt)
- 4 A house

- 12** Winston has already invested £8,000 into a cash individual savings account (ISA) during the tax year 2025/26. He now wants to invest into a stocks and shares ISA.

What is the maximum possible amount which Winston can invest into a stocks and shares ISA for the tax year 2025/26?

- A £20,000
- B £12,000
- C £0
- D £8,000

- 13** Ming is self-employed.

For each of the types of records listed below, select the date until which Ming must retain the records used in preparing her self-assessment tax return for the tax year 2025/26?

Business records	31 January 2028	31 January 2032
Non-business records	31 January 2028	31 January 2032

- 14** Moon Ltd has had the following results:

Period	Profit/(loss) £
Year ended 31 December 2025	(105,000)
Four-month period ended 31 December 2024	43,000
Year ended 31 August 2024	96,000

The company does not have any other income.

How much of Moon Ltd's trading loss for the year ended 31 December 2025 can be relieved against its total profits of £96,000 for the year ended 31 August 2024?

- A £64,000
- B £96,000
- C £70,000
- D £62,000

- 15** Nigel has not previously been resident in the UK, being in the UK for less than 20 days each tax year. For the tax year 2025/26, he has three ties with the UK.

What is the maximum number of days which Nigel could spend in the UK during the tax year 2025/26 without being treated as resident in the UK for that year?

- A 90 days
- B 182 days
- C 45 days
- D 120 days

SECTION B

This section of the exam contains **three OT cases**.

Each OT case contains a scenario which relates to **five OT questions**.

Each question is worth **2 marks** and is compulsory.

This exam section is worth **30 marks** in total.

Important

- 1 Calculations and workings need only be made to the nearest £.
 - 2 All apportionments should be made to the nearest month.
-

The following scenario relates to questions 16–20.

Delroy and Grant

On 10 January 2026, Delroy made a gift of 25,000 £1 ordinary shares in Dub Ltd, an unquoted trading company, to his son, Grant. The market value of the shares on that date was £240,000. Delroy had subscribed for the 25,000 shares in Dub Ltd at par on 1 July 2015. Delroy and Grant have elected to hold over the gain as a gift of a business asset.

Grant sold the 25,000 shares in Dub Ltd on 18 March 2026 for £240,000.

Dub Ltd has a share capital of 100,000 £1 ordinary shares. Delroy was the sales director of the company from its incorporation on 1 July 2015 until 10 January 2026. Grant has never been an employee or a director of Dub Ltd.

For the tax year 2025/26, Delroy and Grant are both higher rate taxpayers. They have each made other disposals of assets during the tax year 2025/26, and therefore they have both already utilised their annual exempt amount for this year.

Marlon and Alvita

On 28 March 2026, Marlon sold a house for £497,000, which he had owned individually. The house had been purchased on 22 October 2010 for £152,600.

Throughout the period of ownership, the house was occupied by Marlon and his wife, Alvita, as their main residence. One-third of the house was always used exclusively for business purposes by the couple. Business asset disposal relief is not available in respect of this disposal.

For the tax year 2025/26, Marlon is a higher rate taxpayer, but Alvita did not have any taxable income. This will remain the case for the tax year 2026/27. Neither of them has made any other disposals of assets during the year.

16 What is Grant's capital gains tax (CGT) liability for the tax year 2025/26 in respect of the disposal of the shares in Dub Ltd?

- A £51,600
- B £50,880
- C £30,100
- D £29,680

- 17 Which TWO of the following statements would have been true in relation to the CGT implications if Delroy had instead sold the 25,000 shares in Dub Ltd himself for £240,000 on 10 January 2026, and then gifted the cash proceeds to Grant?**
- 1 Business asset disposal relief would have been available
 - 2 The CGT liability would have been paid later
 - 3 The cash gift would not have been a chargeable disposal
 - 4 The cash gift would have qualified for gift holdover relief
- 18 What is Marlon's chargeable gain for the tax year 2025/26?**
- A £229,600
 - B £0
 - C £114,800
 - D £344,400
- 19 What is the amount of CGT which could have been saved if Marlon had transferred 50% ownership of the house to Alvita prior to its disposal?**
- A £720
 - B £2,262
 - C £2,982
 - D £9,768
- 20 Why would it have been beneficial if Marlon had delayed the sale of the house until 6 April 2026?**
- A A lower rate of CGT would have been applicable
 - B Two annual exempt amounts would have been available
 - C Private residence relief would have been greater
 - D The CGT liability would have been paid later

The following scenario relates to questions 21 – 25.

You should assume that today's date is 15 March 2026.

Opal is aged 71, and has a chargeable estate for inheritance tax (IHT) purposes valued at £1,025,000.

She owns a property, which is her main residence. It is valued at £374,000 and has an outstanding repayment mortgage of £160,000. She also holds life insurance on her own life, currently valued at £350,000, but which will pay proceeds of £442,000 in the event of her death.

Opal owes £22,400 in respect of a personal loan from a bank, and she has also verbally promised to pay legal fees of £4,600 incurred by her nephew. Opal expects the cost of her funeral to be £5,200, and this cost will be covered by the £6,000 which she has invested in an individual savings account (ISA).

Under the terms of her will, Opal has left all of her estate to her children. Opal's husband is still alive.

On 14 August 2015, Opal had made a gift of £100,000 to her daughter, and on 7 November 2025, she made a gift of £220,000 to her son. Both these figures are after deducting all available exemptions.

You should assume that both the value of Opal's estate and the nil rate band will remain unchanged for future years.

- 21 What is the total net value for the property and insurance policy, which will have been included in the calculation of Opal's chargeable estate?**
- A £816,000
 - B £564,000
 - C £656,000
 - D £724,000
- 22 Which TWO of the following amounts will have been deducted in calculating Opal's chargeable estate?**
- 1 Personal loan from a bank of £22,400
 - 2 Promise to pay legal fees of £4,600
 - 3 Funeral cost of £5,200
 - 4 ISA investment of £6,000
- 23 What amount of IHT will be payable in respect of Opal's chargeable estate were she to die on 20 March 2026?**
- A £210,000
 - B £298,000
 - C £338,000
 - D £295,600

- 24 By how much would the IHT payable on Opal's death be reduced if she were to live for another seven years until 20 March 2033, compared to if she were to die on 20 March 2026?**
- A £88,000
 - B £40,000
 - C £128,000
 - D £0
- 25 Which TWO of the following conditions must be met if Opal wants to make gifts out of her income, so that these gifts are exempt from IHT?**
- 1 The gifts cannot exceed 10% of income
 - 2 The gifts must be habitual
 - 3 Opal must have enough remaining income to maintain her normal standard of living
 - 4 Opal must make the gifts monthly or quarterly

The following scenario relates to questions 26 – 30.

The following information is available in respect of Glacier Ltd's value added tax (VAT) for the quarter ended 31 March 2026:

- 1 Invoices were issued for sales of £44,600 to VAT registered customers. Of this figure, £35,200 was in respect of exempt sales and the balance in respect of standard-rated sales. The standard-rated sales figure is exclusive of VAT.
- 2 In addition to the above, on 1 March 2026 Glacier Ltd issued a VAT invoice for £8,000 plus VAT of £1,600 to a VAT registered customer in respect of a contract for services which will be completed on 15 April 2026. The customer paid for the contract in two instalments of £4,800 on 31 March 2026 and 30 April 2026.
- 3 The managing director of Glacier Ltd is provided with free fuel for private mileage driven in her company car. During the quarter ended 31 March 2026, the total cost of fuel for business and private mileage was £720, of which £270 was for private mileage. The relevant quarterly scale rate is £479. All of these figures are inclusive of VAT.

For the quarters ended 30 September 2024, 30 June 2025 and 31 December 2025, Glacier Ltd was one month late in submitting its VAT returns and in paying the related VAT liabilities. All of the company's other VAT returns have been submitted on time.

-
- 26 What is the amount of output VAT payable by Glacier Ltd in respect of its sales for the quarter ended 31 March 2026?**
- A £2,680
 - B £3,480
 - C £10,520
 - D £1,880

27 Calculate the amounts required to complete the following sentence:

Glacier Ltd will include output VAT of £ and input VAT of £ on its VAT return for the quarter ended 31 March 2026 in respect of the managing director's company car.

28 What penalty will Glacier Ltd be charged if the company is 20 days late in submitting its VAT return and paying its VAT liability for the quarter ended 31 March 2026?

- A 3% of the VAT liability and £200
- B 3% of the VAT liability
- C 6% of the VAT liability and £200
- D 6% of the VAT liability

29 What is the minimum requirement which Glacier Ltd needs to meet in order to avoid any future penalties?

- A Submit four consecutive quarterly VAT returns on time
- B Submit eight consecutive quarterly VAT returns on time and also pay the related VAT liabilities on time
- C Submit eight consecutive quarterly VAT returns on time
- D Submit four consecutive quarterly VAT returns on time and also pay the related VAT liabilities on time

30 Glacier Ltd will be required to issue a VAT invoice in certain circumstances.

Complete the following sentence by matching one of the "types of supply" and one of the "types of customer" into each target area.

Glacier Ltd will be required to issue a VAT invoice when is made to

Types of supply	Types of customer
a standard-rated supply	a VAT registered customer
any type of supply	any customer

SECTION C

This section of the exam contains **three constructed response questions**.

Each question contains a scenario which relates to one or more requirement(s) which may be split over multiple question screens.

Each question is worth **10 or 15 marks** and is compulsory.

This exam section is worth **40 marks** in total.

Important

- 1 Calculations and workings need only be made to the nearest £.
- 2 All apportionments should be made to the nearest month.
- 3 In your live exam please show all notes/workings that you want the marker to see within the spreadsheet or word processing answer areas. Remember, any notes/workings made on the Scratch Pad or on your workings paper will not be marked.

31 You should assume that today's date is 1 March 2025.

This scenario relates to one requirement.

Sarah is currently self-employed. If she continues to trade on a self-employed basis, her total income tax liability and national insurance contributions (NIC) for the tax year 2025/26 will be £9,732.

However, Sarah is considering incorporating her business on 6 April 2025. The forecast taxable total profits of the new limited company for the year ended 5 April 2026 will be £50,000 (before taking account of any director's remuneration). Sarah will pay herself gross director's remuneration of £30,000 and dividends of £10,000. The balance of the profits will remain undrawn within the new company.

Sarah has no other income.

Required:

Determine whether or not there will be an overall saving of tax and national insurance contributions (NIC) for the year ended 5 April 2026 if Sarah incorporates her business on 6 April 2025.

Notes:

- 1 You are expected to calculate the income tax payable by Sarah, the class 1 NIC payable by Sarah and the new limited company, and the corporation tax liability of the new limited company for the year ended 5 April 2026.
- 2 You should assume that the rates of corporation tax remain unchanged.

(10 marks)

32 This scenario relates to two requirements.

On 6 April 2025, Simon started employment with Echo Ltd. On 1 January 2026, he started in partnership with Art running a small music venue, preparing accounts to 31 March. The following information is available for the tax year 2025/26:

Employment

- 1 During the tax year 2025/26, Simon was paid a gross annual salary of £24,700.
- 2 Throughout the tax year 2025/26, Echo Ltd provided Simon with living accommodation. The company had purchased the property in 2015 for £89,000, and it was valued at £143,000 on 6 April 2025. The annual value of the property is £4,600. The property was furnished by Echo Ltd during March 2025 at a cost of £9,400. The living accommodation is not job-related.
- 3 On 1 December 2025, Echo Ltd provided Simon with an interest-free loan of £84,000, which he used to purchase a holiday cottage.

Partnership

- 1 The partnership uses the cash basis, but claims capital allowances on cars. The partnership's tax adjusted trading profit for the three-month period ended 31 March 2026 is £29,700. This figure is before taking account of capital allowances.
- 2 The only item of plant and machinery owned by the partnership is a car which cost £25,000 on 1 February 2026. The car has a CO₂ emission rate of 125 grams per kilometre. It is used by Art, and 40% of the mileage is for private journeys.
- 3 Profits are shared 40% to Simon and 60% to Art. This is after paying an annual salary of £6,000 to Art.

Property income

- 1 Simon owns a freehold house, which he began to let out furnished on 6 April 2025. The property was let throughout the tax year 2025/26 at a monthly rent of £660 received in advance. All rents were received on the due dates.
- 2 During the tax year 2025/26, Simon paid council tax of £1,320 in respect of the property, and also spent £660 on replacement carpets.

Prior to 6 April 2025, Simon's only income was from a previous employment.

Required:

- (a) Calculate Simon's taxable income for the tax year 2025/26. (12 marks)
- (b) (i) State the date by which Simon needs to notify HMRC of his new property and self-employment income in the tax year 2025/26. (1 mark)
- (ii) State the date by which Simon's online income tax return is due to be submitted to HMRC. (1 mark)
- (iii) State the date by which Simon's income tax liability is payable for the tax year 2025/26. (1 mark)

(Total: 15 marks)

33 (a) This scenario relates to one requirement.

You are a trainee accountant and your manager has asked you to correct a corporation tax computation which has been prepared by the managing director of Naive Ltd. The corporation tax computation is for the year ended 31 March 2026 and contains a significant number of errors:

Naive Ltd – Corporation tax computation for the year ended 31 March 2026

	£
Trading profit (W1)	372,900
Loan interest received (W2)	32,100
	405,000
Corporation tax (£405,000 at 25%)	101,250

Workings**(W1) Trading profit**

	£
Operating profit	274,530
Depreciation	15,740
Donations to political parties	400
Qualifying charitable donations	900
Accountancy	2,300
Legal fees in connection with the issue of loan notes (the loan was used to finance the company's trading activities)	5,700
Entertaining suppliers	3,600
Entertaining employees	1,700
Gifts to customers (pens costing £40 each and displaying Naive Ltd's name)	920
Gifts to customers (food hampers costing £45 each and displaying Naive Ltd's name)	1,650
Capital allowances (W3)	65,460
Trading profit	372,900

(W2) Loan interest received

	£
Loan interest receivable	32,800
Accrued at 1 April 2025	10,600
Accrued at 31 March 2026	(11,300)
Loan interest received	32,100

The loan was made for non-trading purposes.

(W3) Capital allowances

	Main pool	Car	Special rate pool	Allowances
	£	£	£	£
TWDV brought forward	12,400		14,500	
Additions				
New machinery	42,300			
Car 1	13,800			
Car 2		18,100		
	<u>68,500</u>			
AIA	(68,500)			68,500
Disposal proceeds			(8,200)	
			<u>4,300</u>	
Balancing allowance			(4,300)	(4,300)
WDA @ 18%		(2,520) × 50%		1,260
TWDV carried forward	<u>0</u>	<u>11,480</u>		
Total allowances				<u>65,460</u>

- Car 1 has a CO₂ emission rate of 50 grams per kilometre.
- Car 2 has a CO₂ emission rate of 105 grams per kilometre. This car is used by the sales manager and 50% of the mileage is for private journeys.
- All of the items included in the special rate pool at 1 April 2025 were sold for £8,200 during the year ended 31 March 2026. The original cost of these items was £16,200.

Required:

Prepare a revised version of Naive Ltd's corporation tax computation for the year ended 31 March 2026.

Note: Your calculations should commence with the operating profit figure of £274,530, and you should indicate by the use of zero (0) any items in the computation of the trading profit for which no adjustment is required.

(12 marks)

- (b) **This scenario relates to one requirement.**

The managing director of Naive Ltd understands that the company will have to file its self-assessment corporation tax returns online, and that the supporting accounts and tax computations will have to be filed using the inline eXtensible Business Reporting Language (iXBRL). The managing director is concerned about how the company will be able to produce documents in this format.

Required:

Explain the options available to Naive Ltd regarding the production of accounts and tax computations in the iXBRL format.

(3 marks)

(Total: 15 marks)

Section 12

ANSWERS TO SPECIMEN EXAM QUESTIONS

SECTION A

1 B

Class 4	£
£37,700 ($£50,270 - £12,570$) $\times$ 6%	2,262
£32,430 ($£82,700 - £50,270$) $\times$ 2%	649
	2,911

2 1 and 2

3 £7,420

	£
Personal allowance	12,570
Restriction ($£111,100 - £800 - £100,000 = £10,300/2$)	(5,150)
Restricted personal allowance	7,420

4 D

Maximum loss relief = Lower of:	£
($£180,000 \times 9/12$)	135,000
($£224,000 \times 9/12$)	168,000
Maximum loss relief	
	135,000

**Tutorial note**

Where companies do not have coterminous (matching) year ends, the available profits and losses must be time apportioned, to find the relevant amounts falling within the corresponding accounting period.

5 B

$$(\pounds 970,000 \times 25\%)/4 = \pounds 60,625$$

**Tutorial note**

The profit threshold is shared between associated companies, in this case two. Sizeable Ltd exceeded the threshold of £750,000 (£1,500,000/2) in the current and the previous period.

As this is not the first period that Sizeable Ltd is a large company, the corporation tax must be settled by paying quarterly instalments. The instalments are based on the estimated corporation tax liability for the current accounting period.

6 A

$$\pounds 60,000 \times 8.5\% \times 6/12 = \pounds 2,550 \text{ (period 1 October 2026 to 31 March 2027)}$$

**Tutorial note**

As Lateness Ltd is not a large company, the corporation tax would have been due 9 months and 1 day after the end of the accounting period (1 October 2026).

7 A

$$\pounds 2,700 (\pounds 8,700 - \pounds 6,000) \times 5/3 = \pounds 4,500$$

This is less than £4,900 (£8,700 – £3,800).

**Tutorial note**

The chattels rules apply to the disposal of the antique table. The gross proceeds are >£6,000 and the cost is ≤£6,000 therefore the treatment is as follows:

The gain is calculated as normal i.e. Proceeds – cost

The gain must not exceed the maximum amount of $5/3 \times (\text{gross proceeds} - \pounds 6,000)$

8 £118,750

	£
Chargeable amount	800,000
Nil rate band available at the date of the gift	(325,000)
Taxable amount	475,000
IHT payable at 25%	118,750

**9 £175 to Winifred is exempt
Other gifts are not exempt*****Tutorial note***

When determining whether the small gifts exemption applies; the total gifts to each recipient during the tax year must be considered. If the total value of gifts to one individual exceeds £250, the small gifts exemption cannot be applied to any of the gifts.

10 D

$$£49,750 \times 120/100 \text{ at } 12\% = £7,164$$

***Tutorial note***

The flat rate percentage is applied to total turnover, inclusive of VAT where applicable.

11 1 and 3**12 B**

$$£20,000 - £8,000 = £12,000$$

***Tutorial note***

The overall ISA investment limit for the tax year 2025/26 is £20,000.

13 31 January 2032 and 31 January 2032**Tutorial note**

Taxpayers with a business must retain all of their records (not just business records), until 5 years from the 31 January filing date.

14 D

The maximum loss relief is the lower of:

- Remaining loss: £62,000 (£105,000 – £43,000)
- Profits for 8 months ended 31 August 2024: £64,000 (£96,000 × 8/12)

15 A**Tutorial note**

The table regarding residency status is given in the tax rates and allowances provided to you in the examination, so you simply needed to refer to this table to find the answer.

SECTION B**16 A****Capital gains tax liability – 2025/26**

	£
Proceeds	240,000
Less: Cost (W)	(25,000)
Gain	215,000
Less: AEA (already utilised)	(0)
Taxable gain	215,000
Capital gains tax (£215,000 × 24%)	51,600
Working:	£
Deemed cost (MV at gift)	240,000
Less: Gain held over (£240,000 – £25,000)	(215,000)
Cost	25,000

**Tutorial note**

Delroy would have been able to claim business asset disposal relief (BADR) on disposal of the shares, as he was an employee and held at least 5% of the shares for at least 2 years prior to disposal. However, Grant is not eligible for BADR, as he was not an employee of the company.

17 1 and 3**Tutorial note**

As above BADR would be available for Delroy.

Cash is an exempt asset for CGT.

The tax would be paid at the same time as both transactions are in the same tax year.

18 C

	£
Proceeds	497,000
Less: Cost	(152,600)
Gain	344,400
Chargeable gain (1/3 business use)	114,800

19 C

$(£3,000 \text{ at } 24\%) + (£37,700 \text{ at } 6\% (24\% - 18\%)) = £2,982$

**Tutorial note**

If half of the gain had been transferred to Alvita, her previously unused annual exempt amount would have reduced the gain by £3,000. In addition, as Alvita does not have any taxable income, £37,700 of the gain falling in her unused basic rate band will be taxed at the lower rate of 18% rather than 24%.

You could have answered by calculating the tax liability for Marlon, compared to Marlon and Alvita owning it 50:50. This would give you the same answer but would have taken you longer.

20 D – The CGT liability would have been paid later

21 C

	£
Property	374,000
Less: Repayment mortgage	(160,000)
Net value of property	214,000
Insurance policy proceeds	442,000
Total net value	656,000

**Tutorial note**

Repayment and interest only mortgages should be deducted from the value of the property in the death estate.

An insurance policy on the life of the deceased should be included in the death estate at the proceeds received not the market value while they are alive.

22 1 and 3**Tutorial note**

The promise to pay the nephew's legal fees is not deductible as it is not legally enforceable.

An ISA investment is an asset so it would be added to, rather than deducted from, the estate.

23 B

	£	£
Gross chargeable estate		1,025,000
Less: RNRB		(175,000)
NRB at death	325,000	
Less: Gross chargeable transfers (20.3.2019 – 20.3.2026)	(220,000)	
		(105,000)
Taxable amount		745,000
IHT payable at 40%		298,000

**Tutorial note**

Opal's estate is reduced by the available nil rate band of £105,000 (£325,000 – £220,000). The PET on 7 November 2025 reduces the nil rate band available as it is within seven years of the date of death. The previous PET is more than seven years before death.

Opal also qualifies for the full residence nil rate band as she is leaving her main residence to her direct descendants and it is valued in excess of £175,000.

24 £88,000

£220,000 at 40% = £88,000

**Tutorial note**

If Opal were to live until 20 March 2033 the PET on 7 November 2025 would no longer be chargeable and would result in an additional available nil rate band on death of £220,000.

25 2 and 3

26 £3,480

(£9,400 (£44,600 – £35,200) × 20%) + £1,600 = £3,480

**Tutorial note**

The basic tax point for a supply of services is the date when they are completed, but if a VAT invoice is issued or payment received before the basic tax point, then this becomes the actual tax point. Therefore, the tax point for the additional contract is when the VAT invoice was issued on 1 March.

27 Output VAT of £80 and Input VAT of £120

Output VAT £479 × 20/120 = £80

Input VAT £720 × 20/120 = £120

28 A

3% of the VAT liability is charged for paying between 16 and 30 days late.

A £200 penalty is payable for submitting the return late as the threshold of four points has been reached.

***Tutorial note***

Glacier Ltd was late in submitting VAT returns for three previous quarters and therefore already has three penalty points. None of these points are more than two years old and therefore none have expired. When submitting the return for the quarter ended 31 March 2026 late, Glacier Ltd reaches the threshold of four penalty points and will be charged a £200 penalty.

29 D**30 Standard-rated supply and VAT registered customer*****Tutorial note***

Glacier Ltd must issue a VAT invoice when it makes a standard-rated supply to a VAT registered customer. However, there is no requirement to do so if the supply is exempt or if the supply is to a non-VAT registered customer.

A VAT invoice should be issued within 30 days of the date when the supply is treated as being made.

SECTION C

31 SARAH

The total tax and NIC cost if Sarah incorporates her business is £12,549 (£4,317 (W1) + £1,394 (W2) + £3,750 (W2) + £3,088 (W3)).

Therefore, if Sarah incorporated her business there would be an overall increase in tax and NIC of £2,817 (£12,549 – £9,732) compared to continuing on a self-employed basis.

Workings

(W1) Sarah's income tax payable

	£
Director's remuneration	30,000
Dividends	10,000
	40,000
Less: Personal allowance	(12,570)
Taxable income	27,430
Income tax	£
£	
17,430 × 20%	3,486
500 × 0%	0
9,500 × 8.75%	831
27,430	
Income tax payable	4,317

(W2) National insurance contributions

	£
Employee class 1: (£30,000 – £12,570) × 8%	1,394
Employer's class 1: (£30,000 – £5,000) × 15%	3,750

(W3) Corporation tax liability

	£
Trading profit	50,000
Director's remuneration	(30,000)
Employer's class 1 NIC	(3,750)
Taxable total profits	16,250
Corporation tax at 19%	3,088

ACCA Marking scheme	
Sarah's income tax payable	Marks 3.5
National insurance contributions	3.0
Corporation tax liability	2.0
Total tax and NIC cost	1.0
Increase	0.5
Total	10.0

32 SIMON**(a) Simon – Taxable income 2025/26**

	£
Employment income	
Salary	24,700
Living accommodation	
– Annual value	4,600
– Additional benefit (W1)	2,550
– Furniture ($£9,400 \times 20\%$)	1,880
Beneficial loan ($£84,000 \times 4/12 \times 3.75\%$)	1,050
	34,780
Trading profit (W2)	11,190
Property income (W4)	5,940
Total income	51,910
Less: Personal allowance	(12,570)
Taxable income	39,340

Workings**(W1) Living accommodation additional benefit**

- 1 The benefit is based on the market value when first provided.

	£
Market value	143,000
Limit	(75,000)
	68,000

- 2 The additional benefit is therefore £2,550 ($£68,000$ at 3.75%).

**Tutorial note**

The property was purchased more than six years before first being provided, so the benefit is based on the market value when first provided.

(W2) Trading profit

- 1 Simon's share of the partnership's trading profit for the period ended 31 March 2026 is £11,190 calculated as follows:

	£
Trading profit	29,700
Capital allowances (W3)	(225)
	29,475
Salary paid to Art (£6,000 × 3/12)	(1,500)
	27,975
Profit share (£27,975 × 40%)	11,190

(W3) Capital allowances

	Car £		Allowances £
Addition	25,000		
WDA @ 6% × 3/12	(375)	× 60%	225
TWDV c/f	24,625		

**Tutorial note**

The partnership's car has CO₂ emissions over 50 grams per kilometre and therefore qualifies for writing down allowances (WDA) at the rate of 6%. The WDA must be time apportioned for the short accounting period, and then restricted for the private use.

(W4) Property income

	£	£
Rent received (£660 × 12)		7,920
Council tax	1,320	
Replacement carpets	660	
		(1,980)
Property income		5,940

**Tutorial note**

The initial cost of purchasing domestic items for use by the tenant, such as carpets, is not allowable, however, the cost of replacing such items is an allowable deduction.

- (b)**
- (i) Simon will have to notify HMRC of his new source of income by 5 October 2026.
 - (ii) Simon's online tax return will be due by 31 January 2027.
 - (iii) Simon will have to pay the tax liability for the tax year 2025/26 by 31 January 2027. No payments on account will be due as he has not previously had any income that would not be subject to PAYE.

ACCA Marking scheme		Marks
(a)	Calculate Simon's taxable income	
	Employment income	5.0
	Trading profit	4.0
	Property income	2.5
	Personal allowance	0.5
		12.0
(b)	(i) Date to inform HMRC of new source of income	1.0
	(ii) Date to submit online tax return	1.0
	(iii) Date by which income tax is payable	1.0
		3.0
Total		15.0

33 NAIVE LTD**(a) Naive Ltd – Corporation tax computation for the year ended 31 March 2026**

	£
Trading profit (W1)	248,340
Non-trade loan relationship income	32,800
Total profits	281,140
Qualifying charitable donations	(900)
Taxable total profits	280,240
Corporation tax at 25%	70,060

***Tutorial note***

Corporation tax is payable at 25% as the taxable total profits exceed £250,000.

Non-trade loan relationship income is taxable on the accruals basis and it is therefore the interest receivable rather than the interest paid which should be taxed.

Workings**(W1) Trading profit for the year ended 31 March 2026**

	£
Operating profit	274,530
Depreciation	15,740
Donations to political parties	400
Qualifying charitable donations	900
Accountancy	0
Legal fees	0
Entertaining suppliers	3,600
Entertaining employees	0
Gifts to customers – pens	0
Gifts to customers – food hampers	1,650
Capital allowances (W2)	(48,480)
Trading profit	248,340

**Tutorial note**

- 1 *The only exception to the non-deductibility of entertainment expenditure is when it is in respect of employees.*
- 2 *Gifts to customers are an allowable deduction if they cost less than £50 per recipient per year, are not of food, drink, tobacco or vouchers for exchangeable goods, and carry a conspicuous advertisement for the company making the gift.*

(W2) Capital allowances

		Main pool	Special rate pool	Allowances
	£	£	£	£
TWDV b/f		12,400	14,500	
Additions not qualifying for AIA/FYA				
Car (Note 1)		13,800		
Car (Note 2)			18,100	
Additions qualifying for AIA (Note 3)				
Machinery	42,300			
AIA @ 100%	(42,300)			42,300
	0	0		
Proceeds			(8,200)	
		26,200	24,400	
WDA @ 18%		(4,716)		4,716
WDA @ 6%			(1,464)	1,464
TWDV c/f		21,484	22,936	
Total allowances				48,480

**Tutorial note**

- 1 Car 1 has CO₂ emissions between 1 and 50 grams per kilometre and therefore qualifies for writing down allowances at the rate of 18%.
- 2 Car 2 has CO₂ emissions over 50 grams per kilometre and therefore qualifies for writing down allowances at the rate of 6%. The private use of the car is irrelevant, since such usage will be taxed on the employee as a benefit.
- 3 It is preferable to claim the AIA, rather than full expensing, as there is sufficient AIA available, and this cannot result in a balancing charge on disposal of the machinery.

- (b)
- 1 If Naive Ltd has straightforward accounts, it could use the software provided by HM Revenue & Customs. This automatically produces accounts and tax computations in the iXBRL format.
 - 2 Alternatively, other software which automatically produces iXBRL accounts and computations could be used.
 - 3 A tagging service could be used to apply the appropriate tags to the accounts and tax computations, or Naive Ltd could use software to tag documents itself.

ACCA Marking scheme	
	Marks
(a) Corporation tax computation	
Trading profit	5.0
Capital allowances	5.0
Non-trade loan interest income	1.0
Qualifying charitable donations	0.5
Corporation tax	0.5
	12.0
(b) iXBRL	
HMRC software	1.0
Other software	1.0
Tagging service	1.0
	3.0
Total	15.0

